

PUBLIC ADMINISTRATION

*for Civil Services
Main Examination*

HIGHLIGHTS

- Designed for Union and State Civil Services Examinations Main Optional Subject Paper-I
- Exhaustive Syllabus Coverage
- Content Presented in Unique Question–Answer Format
- Questions are Based on Previous Years' Papers

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PUBLIC ADMINISTRATION

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*To My Daughters—Pawini and Vansha
and
Thanks to all My Family and Friends for their Support*

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PREFACE

Public Administration is an integral part of Civil Services as it helps bureaucrats to understand government systems, administrative concepts and practices. It is a wise decision to select Public Administration as an optional subject as it also helps to prepare for General Studies Paper II. Taking this subject as an option for the Mains paper will help you to understand and reach your examination and career goals with confidence and knowledge.

Scholars in the field of Public Administration have written about the discipline, devised methods, techniques and models to improve productivity, efficiency, effectiveness and economy of governments and administrations. Public Administration theories are best understood both in their historicity and contemporaneity. The length and breadth of the study is massive and so exhaustive that it is indeed a herculean task to gain familiarity with it. In order to give a successful paper, you would need much more than familiarity—you will need clarity and precision along with a thorough understanding of the subject.

Your most dependable tool in this journey is the voice of the teacher, presented in the unique question-answer format of this title.

What makes this title unique?

- Each chapter is a section of the UPSC syllabus and also pertains to the State Civil Services
- Each concept of the syllabus is explained in the format of questions followed by detailed answers
- Clear explanation of concepts, models and applications
- Explained inter-linkages to current affairs and other subjects
- Substantiated arguments including facts, timelines and committee reports
- Answers backed by theories
- Comparative analyses of Public Administration models

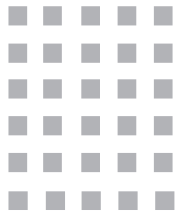
How will this title help you?

- It gives you a complete and comprehensive answer with facts and theories
- You will be able to practice an answer as you study the concept
- It helps you answer application questions as well as abstract questions that cover topics spread across more than one theme
- The language used in this book is easy to understand and simplifies complex theory. The theories have been condensed and broken down for better comprehension.

This title is based on intensive research. The theories and ideas of the thinkers of the past as well as the latest concepts being conceived by national and international agencies are included to help you handle all kinds of possible questions.

I wish you all the best for the examination as well as your role as a future administrator.

Dr. Anupama Puri Mahajan



ABOUT THE AUTHOR

Dr. Anupama Puri Mahajan, a researcher and writer, served as a Postdoctoral Research Fellow in the Department of Public Administration, Himachal Pradesh University, Shimla (India). She regularly contributes research articles on Public Administration to reputed journals, newspapers and chapters in books.

She has authored and co-authored books on Women Empowerment and Financial Administration in India and Development Administration.





QUESTION AND TOPIC ANALYSIS

STRUCTURE OF THE BOOK

This book caters specifically to the Paper I (Mains) in Public Administration. It covers the syllabus prescribed by the UPSC in a question-answer format. Its main aim is to have a database of all possible questions at one place instead of consulting a number of books for every topic. The structure of the book is designed in the following manner:

UNIT I: ADMINISTRATIVE THEORY

The first unit covers the basic concepts of Public Administration and the views and theories held by the pioneers of the subject. The evolution of Public Administration till it developed into New Public Management and how it graduated into Good Governance has been covered in this unit. It is important to note that the present status of the subject has something of all the periods of its evolution like Wilsonian view, the New Public Administration, Public Choice Approach and the new era of LPG (Liberalization, Privatization and Globalization).

UNIT II: ADMINISTRATIVE THOUGHT

This unit deals with the theories which have been categorized into various Schools of Thought beginning from the Scientific Management, the Classical School, the Behavioural Theory, Dynamic Administration and the Human Relations School. It also covers the works of Barnard, Simon, Likert, Argyris and McGregor.

UNIT III: ADMINISTRATIVE BEHAVIOUR

Organizations are run with rational decision-making which is made by the leaders and the employees make the best out of those decisions to improve administrative productivity and efficiency. This unit comprises basic concepts which deal with the human behaviour in an administrative organization like decision-making, communication and morale. This unit also presents theories on motivation and leadership.

UNIT IV: ORGANIZATIONS

The activities of the governments have increased manifold in the era of globalization which requires new ways of control by them. Regulatory Authorities have been formulated to control and keep in check the private as well as the public sector. This unit includes the role and functions of Regulatory Authorities and how the Public-Private Partnerships work.

UNIT V: ACCOUNTABILITY AND CONTROL

Unit Five includes the concept of accountability and control and how they are applied in the governance. Citizens are the backbone of a democracy and their participation is pertinent with the help of media. Pressure groups and voluntary organizations shape the dynamics of politics in a country. This unit also

covers the role of media, interest groups and voluntary organizations; the Civil Society and Citizens' Charters; and the Right to Information. Accountability cannot survive without auditory functions. Hence, it is important that social audit is understood to support good governance, which is explained in this unit.

UNIT VI: ADMINISTRATIVE LAW

The judiciaries of today are overburdened with pending cases and cannot handle the disputes in time. Hence, arose the need for Administrative Law. Unit VI comprises the concept of Administrative Law, Dicey's Law, Delegated Legislation and Delegated Legislation and their application in various countries.

UNIT VII: COMPARATIVE PUBLIC ADMINISTRATION

The present-day Public Administration has become a comparative study. The international agencies have developed various indices to determine best practices to promote inclusive development in the developing countries. Unit VII comprises historical and sociological factors affecting administrative systems; administration and politics in different countries; current status of Comparative Public Administration; Ecology and Administration; and Riggsian Models and their critique.

UNIT VIII: DEVELOPMENT DYNAMICS

Development Administration became a branch of Public Administration in the 1950s after the Second World War when the world was going through the exercise of nation-building, reconstruction of war-ravaged economies and capacity-building. This unit traces how Development Dynamics grew and which models worked and which did not. It includes the concept of development; the Anti-development Thesis; the relationship between bureaucracy and development; strong state vs. market debate; the impact of liberalization on administration in developing countries; and the Women Self-Help Group Movement with special reference to India.

UNIT IX: PUBLIC POLICY

Public Policy formulation, enactment and implementation leads to the status of Good Governance in a nation. Unit IX includes various models presented by scholars of Public Policy that can be followed by an economy to grow inclusively. It also includes the study of the processes of conceptualization, planning, implementation, monitoring, evaluation and review and their limitations. There have been many state theories in public policy formulation which have been explained in simple language in this unit.

UNIT X: TECHNIQUES OF ADMINISTRATIVE IMPROVEMENT

In a world of information and technology, administrative techniques are extremely important to improve efficiency in governance. Unit X deals with organization and methods; work study and work management; e-governance and information technology; and management aid tools like network analysis, MIS, PERT and CPM.

UNIT XI: FINANCIAL ADMINISTRATION

The final unit comprises the two emerging and burning issues of NITI *Aayog* and Goods and Services Tax, which have changed the way the Government of India has worked.



PREVIOUS YEARS' ANALYSIS

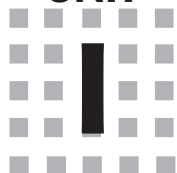
It is extremely essential to understand and analyse the previous years' question papers to achieve a better understanding of how to prepare for the examination. Even though there is no pattern in the UPSC question papers as it keeps changing its style, yet there are some generalities that can be uncovered from the previous years' question papers. The table given below gives us some idea about how many questions have come from each unit.

S. No.	Units	Years				
		2013	2014	2015	2016	2017
I	Introduction	4	5	2	3	3
II	Administrative Thought	6	2	6	2	5
III	Administrative Behaviour	0	2	2	2	1
IV	Organizations	0	1	1	2	1
V	Accountability and Control	1	1	4	4	2
VI	Administrative Law	1	2	2	1	2
VII	Comparative Public Administration	1	1	1	2	0
VIII	Development Dynamics	0	6	4	1	0
IX	Public Policy	2	3	7	2	0
X	Techniques of Administrative Improvement	1	3	4	2	0
XI	Financial Administration	1	1	0	4	

It can be seen from the above analysis, presented in the table, that Unit I and II have drawn a majority of questions. This implies that you have to be very clear about Introduction and Administrative Thought. There is a distinct pattern that emerges out of these question papers and rightly so. It is important to understand, firstly, what the subject is and secondly what the eminent scholars have said about it. The unit on 'Accountability and Control' got the second place in the number of questions but Public Policy has not been touched in the last few years which gives us a clue that it might get picked up in the coming year. Although all topics have to be covered, there is an advantage in preparing the above-mentioned topics in-depth.

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UNIT



INTRODUCTION

Chapter 1 Meaning, Scope and Significance of Public Administration

Chapter 2 Wilson's View of Public Administration

Chapter 3 Evolution of Public Administration and Its Present Status

Chapter 4 New Public Administration

Chapter 5 Public Choice Theory

Chapter 6 Liberalization, Privatization and Globalization

Chapter 7 Good Governance: Concept and Application

Chapter 8 New Public Management

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1

Meaning, Scope and Significance of Public Administration

Learning Objectives

In this chapter, you will learn about:

- Meaning and Definition of Public Administration
- Integral and Managerial View (Nature) of Public Administration
- Scope of Public Administration
- Significance of Public Administration in the Modern Democracies
- Private and Public Administration
- Public Administration: Art or Science

Q1 What is meant by Public Administration? How have various scholars defined it?

Ans. Administration has been a part of the human culture since a century. Prior to that, it was more about 'who rules the populace' rather than 'how it was to be done'. Administration is a combination of two words, 'ad' and 'ministaire' meaning to 'serve'. In crude terms, Public Administration is 'to serve' the people by the State that is ruling or as it is today, the government in power. All the government's activities need to be carried out in a planned way so that the teeming millions are not left high and dry in an anarchic state. The government in power is a subject of polity with reference to how it is elected but what and how it gets things done after coming into power is Public Administration. So, it involves implementation of public policy by the executive branch of a government caters to the needs of the citizens.

The State is a recent phenomenon. We have some evidence of the system of the republic in Rome where it was established. Greece supported democracy whereas India has the rich heritage of Kautilya's '*Arthashastra*' in which guidelines were provided for a king on 'how to rule' but the ancient period was consistently riddled with conspiracies and wars to win the lands and increase territories. Public interest and public good were the least of their worries. The present-day governments have the responsibility to deliver public goods effectively and efficiently for the benefit of the public. To accomplish this, a new study began and scholars began theorizing about it. Defining Public Administration is the first step to begin the study so that a basic understanding can be achieved.

Various scholars have defined Public Administration with essentially the same meaning. The definition of Public Administration as provided by eminent thinkers is given in the following section, along with brief explanations were necessary.

Karl Marx

'Administration is a determined action taken in pursuit of a conscious purpose. It is the systematic ordering of affairs and the calculated use of resources aimed at making those things happen which one wants to happen'.

Marx implied that administration does not and cannot happen on its own. It is a deliberate effort with a goal in mind. Secondly, it cannot be an unplanned effort and should be carried on in a systematic planned, sequential way with a judicious utilization of available resources.

W. F. Willoughby

'Administration of a government exactly parallels the management of organizational affairs in any sphere and has efficiency as its primary concern'. He gave five principles of administration which are:

- *General or overhead administration: planning, coordination, commanding, etc.*
- *Organizational structure: study of the design of the organization, such as, hierarchy, scalar chain, etc.*
- *Personnel Administration: recruitment, training, promotion, etc.*
- *Financial Administration: economic use of financial resources.*
- *Materials and supply: materials management.*

Willoughby's definition is a comprehensive one and covers almost all aspects of the administration that were prevalent in those times according to the nature and scope of the activities of the government.

J. M. Pfiffner

'Administration is the organization and direction of human and material resources to achieve desired ends'.

This definition depicts administration as an instrument using physical and human resources to attain the identified goals. So, it becomes a cooperative effort to work for common objectives. He lays stress on the coordinating role of administration.

L. D. White

'Public Administration comprises all those operations that have for their purpose the fulfilment or enforcement of public policy'.

The above definition simply equates Public Administration with the implementation of public policy.

Woodrow Wilson

'Public Administration is a detailed and systematic application of law'.

This is a very simplistic view of Public Administration though he has written in detail about it in his book.

Marshall E. Dimock

'Public Administration is the fulfilment or enforcement of public policy as declared by the competent authorities. ... Public Administration is law in action. It is the executive side of government'.

This definition portrays Public Administration as the implementation of public policy and law by the executive government.

Herbert A. Simon

'The scope of Public Administration deals with the activities of the executive or administrative branch only'.

E. N. Gladden

'Public Administration is concerned with the administration of the government'.

Dwight Waldo

'Public Administration is the art and science of management applied to the affairs of the state.'

Here, a reference is made to Public Administration being an art as well as a science applied in the state's affairs. Public Administration is considered as an art as it is a sphere of intellectual research, a discipline for study and administration of public affairs in a sequence of operations. It is an art of carrying out activities. On the other hand, it is on the way to become a science as a cause and effect of decisions can be determined and analysed.

Luther Gulick

'Public Administration is that part of administration which has to do with the government and this concerns itself primarily with the executive branch, where the work of the government is done, though there are obviously administrative problems also in connection with the legislative and judicial branches'.

This definition talks about the Public Administration being a science and ropes in all the three branches of the government.

Frederick Camp 'Fritz' Mosher

'....Any definition of this field (Public Administration) would be either so encompassing as to call forth the wrath or ridicule of others or so limiting as to stultify its own disciples....'. Perhaps it is best that it not be defined. It is more an area of interest than a discipline, more a focus than a separate subject, it is necessarily cross-disciplinary.

Mosher rightly professed that Public Administration is both, an activity and a discipline. Since its activities are all pervading and inter-disciplinary, there arises an identity crisis, thus becoming the ridicule of theirs.

Felix A. Nigro and Lloyd G. Nigro

They defined Public Administration focussing the following aspects:

- A cooperative group effort in a public setting
- Covers all three branches—executive, legislative and judiciary—and their interrelationships.
- Has an important role in the formulation of public policy and is thus a part of the political process.
- Is more important than, and is also different in significant ways from private administration.
- As a field of study and practice has been much influenced in recent years by the human relations approach.
- Is closely associated with numerous private groups and individuals in providing services to the community.

Probably, Nigro's definition is the most comprehensive one that covers almost all aspects of administration.

UNITED NATIONS DEVELOPMENT PROGRAMME

According to the UNDP, Public Administration has two closely related concepts:

- The aggregate machinery (policies, rules, procedures, systems, organizational structures, personnel and so forth) funded by the state budget and in-charge of the management and the direction of the affairs of executive government and its interaction with other stakeholders in the state, society and external environment.
- The management and implementation of the whole set of government activities dealing with the implementation of laws, regulations and decisions of the government and the management related to the provision of public services.
- This definition of Public Administration was given by UNDP in 2003 which is probably the reason why it is such a comprehensive one. It talks about almost all the areas of Public Administration.

From all the above definitions, it can be summarized that Public Administration is about the process of public policies from formulation to implementation^[1].

Q2 Write a short note on the views held about Public Administration with respect to the nature of the discipline.

Ans. The activities and scope of Public Administration is changing drastically with time and the definitions cannot sustain for long. Yet it is true that the definitions of Public Administration lead to the emergence of two views regarding the nature of Public Administration, one being the integral view and the other the managerial view. Given below are both the views in brief:

The Integral View

The 'Integral View', as given by L.D. White, holds Public Administration as the, 'the sum total of all the activities undertaken in pursuit of fulfilment of policy.' These activities include managerial, technical, manual and the clerical activities undertaken to achieve the objective. The nature literally means the essential qualities or characteristics by which something is recognized. The nature of Public Administration entails:

- Each official working in the organization from top-down comprises Public Administration.
- Activities undertaken may have a varying degree of importance in the larger picture of the administrative set-up.
- Administration would vary from one area to another which is contingent upon the issues and the organization.

Fayol also prescribes to this view opening that 'every employee in an undertaking—workman, shop-manager, head of division, head of department and manager'. If it is a state enterprise, the series extends to the Minister or the Head of the state takes a larger or smaller share in the work of administration. He includes every individual responsible of doing something in an organization in administration. The 'how' is the management techniques and principles that will be employed to do administrative tasks under consideration. Scholars like L. D. White, Marshall Dimock and Henri Fayol, Woodrow Wilson, F. A. Nigro and Pfiffner prescribed to this view. They called it the 'wider view' which comprises the three branches of the government, that is, the executive, the legislative and the judiciary. Dimock states that the issues deal with the 'what' and 'how' of a government. The 'what' being the subject matter and the technical knowhow to enable the administering official to carry out his activities.

Managerial View

As the name suggests, this view proposes that Public Administration deals with the work of those individuals who are engaged in the managerial functions in an organization. Such officials are responsible for planning, programming and organizing all the operational activities to accomplish the identified goals. The major supporters of this view are Simon, Smithburg, Thompson, Gulick, etc. Some important considerations of this view are:

- Individuals responsible to run an enterprise efficiently are the main doers of administration.
- The activities carried out by these individuals make it a coordinated effort.
- According to Gulick, 'Administration has to do with getting things done with the accomplishment of defined objectives.'

Gulick and Urwick provided the concept of POSDCORB—Planning, Organization, Staffing, Directing, Coordinating, Reporting and Budgeting.

Both the views, integral and managerial, differ in their approach. Dimock and Koenig stated that Public Administration, as a study, basically involves all aspects of a government's intentions to implement laws to bring public policy to the ground zero. On the other hand, Public Administration as a process comprises all the phases beginning from the enforcing agency demarcating and implementing the public policies in jurisdiction along with the other agencies particular to complete the process. However, the integral view would be more suited to India as the administration is quite traditional and all actions and plans are formulated at the top and the clerk also does the same.

Q3 'The scope of Public Administration is ever expanding'. Comment.

Ans. Public Administration is a tool of the government to carry out all its activities, hence its scope is the government's activity. While studying the scope of Public Administration, it is implied that we are dealing with the most relevant of its operations as an activity as well as a discipline. As is the case of various views on what Public Administration is, so is the case while putting down on paper its scope. There are different views on this issue but the common keywords that arise are government and public policy. We can study the division of the activities of the government into five areas as given by Willoughby—general administration, organization, personnel, material and finance. With recent developments in globalization, privatization and liberalization, it can be said that privatization holds the upper hand while deciding on the scope of Public Administration. The evaluation of Public Administration from state activity to what it is today is a state of neo-development. Waldo's words that Public Administration is dynamic and ever-changing are true.

Even though there are varying views on what the scope of Public Administration is, an effort will be made here to mention all the views:

- **The Traditional View:** The scholars supporting this view refer to only the executive branch. The involved activities here were organization, personnel and procedures in any governmental activity to execute public policies. This view did not hold strong in the light of other views with respect to scope.
- **The Modern View:** Thinkers of Public Administration held that a modern state had to undertake various types of activities and that the scope of Public Administration comprises all activities of the government in the field of public goods and services, defence, law and order, accountability and transparency and in public sector undertakings.

Public Administration as a Discipline: Public Administration developed as an individual discipline in the twentieth century when the political leaders and scholars began realizing its importance. The major contributor of this view was Luther Gulick who provided the concept of POSDCORB. It is explained here briefly in Fig.1.1.

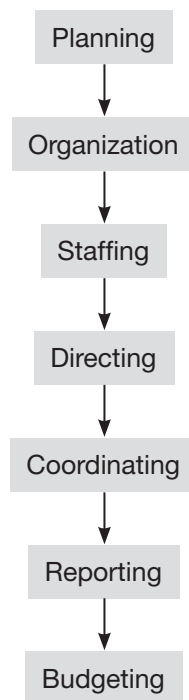


Figure 1.1: The Concept of POSDCORB

- **Planning:** In the acronym 'POSDCORB', 'P' stands for planning. The government has to plan beforehand which activities it has to carry out in any program or project to accomplish the identified goals.
- **Organization:** The second alphabet, 'O' refers to organization which implies that in any given organization, there has to be a formal flow of authority through which work can be categorized and delegated.
- **Staffing:** The term 'staffing' has evolved and is now called 'Human Resource Development'. It deals with the whole process of personnel administration beginning from recruitment, training, wages and salaries and moving on to working conditions and motivation, etc.
- **Directing:** The fourth element is directing which deals with program formulation and leadership dynamics. The administration has to make sound decisions to give out orders and directions to move an organization into the desired direction.
- **Coordinating:** There are various branches or division in an organization which work for the same goal but if they do not unite for it, the output and performance will be adversely affected. So, this step relates to the interrelation among all the divisions of an organization.
- **Reporting:** 'R' stands for reporting of work done during an identified period of time. It involves informing the officials at a higher hierarchical level about the activities and proceedings going on in an organization.
- **Budgeting:** The last alphabet stands for budgeting of an organization. No government activity can be carried out without financial resources. So, proper budgeting procedure needs to be followed to have increased effectiveness.

POSDCORB in a nutshell, promotes unity, certainty and predictability to Public Administration. It provides an instrumentality that combines interrelated interacting elements to work as a coherent entity. However, it is criticized on grounds that the POSDCORB techniques cannot form the scope of Public Administration. Public policy field has been neglected totally in its techniques. Thinkers like Robert Dahl, Dwight Waldo and Herbert A. Simon perceived flaws in POSDCORB stating that for every principle of Gulick and Urwick, there is another principle that contradicts it. It oversimplifies administration and challenged unity of command explaining that sometimes more than one boss is required to give orders and directions. The human relations school pulled apart the concept of POSDCORB on grounds that it ignored the competitive nature of needs, desires and wants of human beings.

The Subject Matter or the Substantive View: Since the POSDCORB view does not hold good as explained above, there emerged the substantive view highlighting the 'element of subject matter', that is, the services rendered and performed by the administrative agencies like that of defence, law and order, etc., must be considered. The areas on which these techniques can be applied are:

- Organizational Theory and Behaviour
- Public Personnel Administration
- Public Financial Administration
- Comparative and Development Administration
- Public Policy Analysis

L. D. White also supported this view taking the broader view covering the subject. To sum up, the modern state needs to combine all these views and keep up with the dynamically changing needs globally. The scope of the Public Administration keeps changing and expanding with times.

Q4 *Since the time governments came into existence, Public Administration has been a part of it. Discuss the significance of the discipline with special reference to modern day democracies.*

Ans. Public Administration is a tool to deliver goods and services to people. Its whole purpose revolves around this function, that is, 'to serve'. The effort is to improve all the fields whether it is defence, law and order, health and sanitation. Public Administration, as a social service, does not mean the absence of authority or power, for example, there is an essential need to have economic control mechanisms to have a balanced economic growth or a strong police force to maintain law and order. It is the right amalgamation of power and the consciousness of duties and responsibilities. Public Administration as a 'discipline' has been evolving to invent methods and techniques to achieve an increase in the 3 'Es' of Efficiency, Economy and Effectiveness.

The significance of Public Administration, cannot be underestimated. Given below are the relevant areas of the importance of Public Administration:

- **A Governance Tool:** Public Administration is first and foremost, a governance tool, in modern day democracies, as this is the period we are living in. Building a tool on the past experiences and theory is important but to apply it in the present context is even more important. The government activities have increased manifold with public interest as its motive. Government is a necessary evil in the face of globalization, privatization and liberalization with respect to the regulatory factor in its execution, for example, in dealing with economy, terrorism, food and agriculture, control of corruption, etc. The worldwide indicators of governance are vote and accountability, political stability and absence of violence, government effectiveness, regulatory quality, rule of law and control of corruption, which are extremely important to have a prosperous society.

- **A Tool for Development:** Economic, social and cultural growth is not possible without paying attention to Development Administration. Growing multinational corporations as a consequence of globalization require Public Administration to play an important proactive role. Historically, Public Administration has been a tremendous tool for development administration. There is evidence that the Roman Republic indulged in a lot of public activities and gave special encouragement to the systems of administration, law and legislative democracy. Such activities can be termed as developmental as they add to the betterment and upliftment of the society. There has been a detailed study by Greek scholars, Aristotle and Plato, to study the ideal state and society to have good governance. Herodotus, also a Greek scholar, researched a lot about comparative Public Administration. Development administration is considered important with respect to the growth of methodologies to execute public policies though it was a part of Comparative Public Administration. Development administration deals with the administrative capacity building in the fields of personnel, finance, accounting, etc. to conduct social activities. It focuses on the developmental activities of the Government. India has seen growth of development administration via Planning Commission through Five Year Plans and now via NITI Aayog which aims at developing the nation at the grassroots level.
- **Public Administration in a Welfare State:** The concept of a welfare state gained momentum after the fall of colonialism and the growth of sovereignty in the Post World War period. Prior to the World Wars, the nation state concentrated only on the enhancement of their boundaries and how to win wars. To do that, it had to reinforce its police and army strength. After the Wars arose the welfare state that took up the duties and responsibilities to cater to the welfare of the people. Physical as well as social infrastructure needs to be provided to the citizens by the Government.

The developing nations are facing a plethora of problems in commerce, road and transport, seaworthy fleets, defence, education, health, social security, employment, senior citizens, old age pensions, etc. Public Administration helps in providing services in all these areas to look after its citizens. It makes schemes and projects so that there is an overall development of a nation. The welfare state is also called by some as an 'administrative state'. Public Administration is all pervading and found in almost every activity of the government right from the policy formulation, planning projects and schemes, carrying them out, after the required funds have been appropriated by the legislative bodies with proper monitoring and supervision to ensure that the allocated funds were used properly for what they were meant for according to the predetermined standards and quality.

Q5 ***Privatization is more conducive to an increase in performance as compared to public sector undertakings. Comment.***

OR

'The field of Public Administration is a field of business' –Woodrow Wilson. Comment.

Ans. Before studying and analyzing the statement, a brief mention is necessary about the basic difference between public and private administration. Paul H. Appleby gave three theoretically strong differences with respect to the difference between public and private administration on political characteristic, breadth and scope and public accountability. The best outlay of the differences has probably been given by Herbert A. Simon. He termed the public and private administration as governmental and non-governmental administration. Given below are the differences given by Herbert A. Simon in brief:

Public Administration	Private Administration
1. Bureaucratic	1. Business-like
2. Political	2. Non-political
3. Red-tape	3. No red-tape
4. Financial allocations are difficult and involve long procedures.	4. Financial allocations are easy and quick.
5. The public administrator is expected to serve in public interest.	5. The private administrator works for his private investment.
6. Is impacted by the general perception that governments are inefficient and corrupt.	6. Private companies have a large budget for publicity and administering.
7. Bureaucracies are prone to authoritative and long-drawn procedures.	7. A private administrator is usually able to deliver within shorter timelines.
8. Governments can spend on publicity and market activities only within the budget.	8. Private companies have a large budget for publicity and market reach.

On the other hand, there are also some similarities in the two areas which are given below:

- Public Administration and private administration are both based on law. The public organization has the constitutional mandate and a private organization is established under a legal charter.
- The officers in both the organizations have to work within the law.

The 1970s saw a sharp increase in research and study as it was observed that state-led development was riddled with inefficiency and corruption. Scholars came out with studies such as Public Choice Theory, New Public Management and Neo-Liberalism to promote privatization for better performance. They suggested downsizing of government intervention in the market economy leading to the disinvestment in non-performing PSUs to stop losses.

The PSUs in India grapple with redtapism, input and process application, inefficiency and goals. The solution lies in either totally disinvesting in PSUs or bringing them to the level of private industries. It is not a blanket rule that the private sector would always perform better. We have examples of profiteering PSUs and failing private companies as well. It can be safely said that the focus has to be on profit and efficiency so that there is overall progress.

Q6 Is Public Administration a science, an art or a social science?

Ans. The question has plagued the scholars of the discipline of Public Administration for a long time. Thinkers have tried to develop the subject as a science. Science bases itself on precision and predictability provided the variables remain as prescribed to get the same results every time with precision. Public Administration is evolving as a discipline as well as in practice. That makes it hard or even impossible to keep the variables constant. However, the subject uses scientific data, data analysis, computer technology, statistical methods and simulations to develop theories and models that are applicable in continuously changing societies.

There are various arguments in favour of Public Administration as a science, art or a social science. The three aspects are dealt with individually below:

1. **Public Administration as a Science:** Woodrow Wilson, the father of Public Administration, stated that 'there should be a science of administration'. His main thrust was to foster a science of politics to resolve issues of corruption and violence. According to him, in USA, the progress of the science of

administration was hampered due to the active public opinions. He proposed that Public Administration must be grounded in three important elements—hypothesis, value neutrality and universality.

Robert Merton and L. D. White also supported that Public Administration is a science. Dwight Waldo considered the art-science controversy and mentioned that scholars were comfortable in using 'the art and science of Public Administration, presenting a compromise so that the study and research can go on'. Waldo explained it further by saying that this art-science confusion arises due to the numerous definitions with different aspects and the inability to arrive at a conclusive definition. The confusion between Public Administration being an activity or a study must be juxtaposed with rational action.

The points made in favour of Public Administration being a science are given below:

- **Empirical:** The early behaviouralists and more recently people applying economic theories to the analysis of public policies, advocated a logical positivist approach. They proposed that the administrative theory must be deductive based on value-free, rationally derived and testable hypotheses. Empirically based, quantitative research is the only way, 'the one best way' to seek and discover truth and reality^[2].
- **Objective:** The perception of objective reality in Public Administration is the main focus of a scientific researcher. The functional manager sees only the objective as the goal without any social considerations and the social dynamics involved in it. Their belief is based on pre-existing reality that needs to be uncovered. It does not take into account the continuously changing externalities.
- **Control:** The scientific approach to Public Administration keeps control in formulating policies and control without citizen's views and participation. The whole issue of whether the policy or the plan is required locally is ignored. They do not consider the wholesome integrated view and the plans remain in alignment of the interests of the few, control of all variables in an organizational environment is favoured to process and predict objective behaviour by using technical knowledge. The control extends to political irregularities. Irrationalities need to be processed into organizational action. This results in the application of the ideas and designs of the controlling planners instead of a holistic approach.
- **Verification:** Public Administration has developed various development models for economies which can be calculated and worked out mathematically. The results can be verified by calculating the variables based on facts.

The Universality of Principles was proposed by Woodrow Wilson and was supported by the contemporary thinkers. This view was refuted by Dwight Waldo and Robert A. Dahl claiming that Public Administration deals with human beings in a changing environment. Hence, the principles cannot be universal and need to be adapted as the situation demands. Development models constructed by western scholars for their nations failed in the underdeveloped third world countries. The same factors do not work in different countries; however, F.W. Riggs developed models for developing countries such as Thailand, Indonesia and India. A whole new concept of the scientific approach began taking place. Universality can be seen in the procedures followed by the governments for public organizations and agencies, like the accounting procedures, auditing, budgeting, etc. The private sector uses time and motion studies, leadership models, rational decision-making models, etc., even today, despite their points of criticism. The processes and procedures involved in Public Administration are rationalistic and mechanistic.

The above-mentioned points are relevant in claiming that Public Administration is a science. Methodologies and models developed based in the local context can help in making universal body of knowledge. The knowledge can be data based to formulate policies and plans but this does not mean that Public Administration can be considered only as a science. Since this argument ignores the human subjective element, it is important to understand Public Administration as an art, also.

2. Public Administration as an Art: Art is the skill of carrying out a task as a consequence of previous knowledge and practice. The practical implications of the body of knowledge that have been established and verified is art. Once the concepts, theories and principles of the subject of Public Administration have been developed, they need to be applied to environments and organizations or else they are of no use. Applying them to situations becomes an art as it uses the knowledge coming from the scientific inquiry. Given below are the points that prove the claim that Public Administration is an art:

- **Art in practice:** The two parts of the definition of Public Administration—action and discipline—from the subject. The practical implementation of Public Administration is relevant for good governance to reach the public.
- **Individualistic:** Public Administration has the characteristic of being individualistic as an administrator may be learning the same principles and concepts of the subject but one leader might modify them and create his own conception which is different from the others. Two leaders can get different results with the same control and knowledge. Individualism is a typical characteristic of a discipline being an art.
- **Rationality:** All decisions for policy formulation are based on rationality. Scientific methods that can verify decisions but can vary on the set of variables on which a hypothesis is built upon. The element of human error also changes the results. Hence, the result cannot be same every time in Public Administration as socioeconomic environment has to be considered, rendering Public Administration an art.
- **Social functions:** Modern democracies, besides being economic, undertake social welfare functions to meet the needs of the people. The social indices require a sensitized approach of inclusive development to achieve higher ranks. The Social needs of the population must be considered while making policies and plans. Such sensitization cannot be done with scientific methods; however, these can only be a support to arrive at approaches and models to achieve developmental objectives.
- **Cultural analysis:** The culture matrix of each society is unique. The same results of structural functional analysis cannot be applied to all. Approaches of Public Administration vary from one society to another. Scientific methods can be devised to ensure effective public delivery system but cannot be same for all economies.
- **Human element:** The administrators as well as the citizens for whom the whole exercise of Public Administration takes place have the foundation of human element. Considerations of the human sentiment do not take into account the scientific aspect of rules and regulations.
- **Innovation:** Innovation and creativity do not necessarily use science as a basis to create or invent something as a rule. Hence, governance cannot be wholly scientific. The behavioural psychologists emphasized on getting work done by using the concepts of motivation, morale and leadership.

From the above discussion, it can be said that Public Administration is both art as well as science. Public Administration uses the scientific methods, information and technology and data to achieve good governance, so the subject is considered as a Science. On the other hand, it emphasises on functional coordination, conflict resolution, motivation-morale theories and problem-solving with skills that involve the human adaptability rather than predictability and verification of science. This makes Public Administration an art.

3. Public Administration as a Social Design: Jong S. Jun^[3] suggested that Public Administration must be seen as a social design. The social design approach offers a socially grounded (or context-oriented) framework for understanding administrative phenomena and more effective human action. He gave three reasons to adopt this approach, which are:

- To convey the hazards of over resilience on one-dimensional approach (a science or an art);
- To emphasise the importance of the relationship that exists between the conceptual approaches that we use and what we actually think and do in our field;
- And the most important is to apply social constructionism to the field of administration. Social design is a metaphor used by Jong to have inclusiveness of what actually happens and what needs to happen in Public Administration.

Least but not last, the logic of inquiry in the field of Public Administration is multifaceted. As with any post normal science, there is immense room for a diversity of perspectives. Moreover, values and beliefs (subjectivity) will always be extant. Hence, Public Administration can be safely said to be a social science that includes both the aspects of art and science.

Notes and References

1. www.undp.org as retrieved on 12-04-2018
2. Norma, Riccucci M. (2010). *Public Administration: Traditions of Inquiry and Philosophies of Knowledge*. Washington D.C.: Georgetown University Press.
3. Jong, Jun S. (2006). *The Social Construction of Public Administration: Interpretive and Critical Perspectives*. USA: State University of New York Press

2

Wilson's View of Public Administration

Learning Objectives

In this chapter, you will learn about:

- Wilson's Views on Public Administration
- Wilson's Contributions to the Public Administration
- Difference Between Old and New Administration
- Difference Between Politics and Administration

Q1 **Comment on the Wilson's view of Public Administration.**

Ans. Thomas Woodrow Wilson (1856–1924) was born in Stanton, Virginia in USA. He graduated from the Princeton College and joined law thereafter at the Law School of the University of Virginia and got a Ph.D. from Johns Hopkins University in history and political science and taught, 'jurisprudence and political economy' for about 10 years. He became the President of the USA in 1911 and wrote eight books. While he contributed a lot to the study of Public Administration, he managed to achieve a lot in the field of politics by keeping USA out of the First World War. This was a big accomplishment since it kept the country on the developmental path. He gave a world-changing slogan to the Americans, 'Let's make the world a safe place for democracy'. He insisted on USA taking over as the world's judge as well as its chief of police.

He was the 28th President of the USA and wrote eight books on administration, from 1913 to 1921, with specific focus on a scientific study on administration. His essay on, '*The Study of Administration*' became very popular in 1887 after it was published in the '*Politics Science Quarterly*'. Prior to this essay, he had worked on comparative Public Administration in 1885.

Backdrop to the Science of Administration

The backdrop to the paper is that there was a spoils system^[1] in the USA and it was being exploited at the political level. The period from 1880 to 1900 in the USA was one of reaction and began a movement against the problems of urbanization, immigration, corruption, inefficiency and loss of ethics. The sorry tale for the system was caused in part because President Jackson had given high posts to party supporters without any merit criterion.

Views on Politics and Administration: Woodrow Wilson was not quite lucid on the topic of dichotomy between politics and administration. He is known to have proclaimed their link to each other on one occasion whereas at another, he differentiates between the two. He went on to believe in this movement

and worked on developing reforms. He wrote the essay thereafter on the dichotomy of the two subjects. Buchanan also said that the two could not exist in a vacuum and administrative activities cannot be carried out without the consent of political leaders.

CONTRIBUTION OF WILSON TO PUBLIC ADMINISTRATION

Wilson provided many concepts such as, public opinion, uniformity of administrative systems, constitutional law, etc. There is a need to understand how he considered Public Administration to be a science.

Nature of Public Administration

Wilson believed that Public Administration is a science. As he was in touch with German and French scholars, he observed that it was their fault that the administration had not been stated clearly. Second, the European governments were not elected popularly and were more centralized. This made administration easier because the bureaucrats did not have to bother about public opinion which makes the administrative activities slow and complicated.

Constitutional Principle and Administrative Reforms

Wilson considered that a constitution had to be amended within 10 years for some issue or another. So, administrative reforms cannot be linked with law because the law might change and the government will have a tough time to adjust to changes. Hence, a science of administration must be studied most carefully.

Woodrow Wilson began the inquiry into the discipline of Public Administration as a science and many scholars followed his thoughts.

Q2 *Discuss the contributions of Woodrow Wilson to the study of Public Administration.*

Ans. Wilson gave an extensive viewpoint on the study of administration. He said that the governmental activities had changed from an era of an absence of the problems of public revenue or public debt to puzzle financiers to a state where these complexities emerged involving trade and commerce. The need for studying administrative tasks had become paramount because the problem was running the constitution rather than framing one. The difference between the old and new administration is given below in Table 2.1.

Table 2.1: Difference Between Old and New Public Administration

Old	New
1. The focus was on 'who' would rule rather than 'how' to rule.	1. The focus shifted to the 'how to' of governing.
2. Duties were not simple but masters were few.	2. There are a large number of leaders/ administrators/masters/bosses.
3. The populace had no choice in the 'who' of the government and had to put up with them.	3. The populace elects and conducts government.
4. The government had to follow the courts even if the verdicts were unreasonable.	4. The government follows the opinions of the nation and the number of state duties increases.

Wilson says, 'The idea of the state is the conscience of administration'. Once the state has determined what it has to do as per the changing needs, it needs to find the 'how' of it. Here comes the relevance of a 'science of administration'. The science of administration was conceived by German and French professors and was foreign to other countries. It had to be adapted to the complex and multiform state of the USA.

Reason for the Development of Science in Europe

It is interesting to note why the science of administration developed first in Europe. Two main reasons for this are:

1. Since Europe was independent of popular will, there was a pressing need for a science to administer.
2. As the governments were monopolies they wanted to retain it by using the easiest ways to govern. A science would help to smoothen their own ways.

Cause for Slow Development of Science of Administration in the USA

America is a country of free will and founded on the principles of liberty, freedom and brotherhood. And so, the principles of government were also liberal and the government too was slow in using them. The government grew with an 'awkward' gait but its advantage was that it led to an ease and health of the constitutional development.

PERIODS OF GROWTH OF THE DEVELOPMENT OF ADMINISTRATIVE SYSTEMS

Historically, there have been three periods of administrative systems through which the world has passed, which are:

1. **Period of Absolute Rulers:** The period of absolute rulers had an administrative system that adjusted itself to absolute rule on its own. Only those regimes exist today and are doing well which again adjusted to the great 'political illumination' and held the notion that governors are just the servants of the governed. Administrations are organized in such governments as they are used to deal with the problems and woes of the general masses to gain effectiveness with simplicity. Wilson gave the example of Prussia where Frederic the Great built up a very strong public service system and is one of the refined administrative systems of today which was originally developed by a king.
2. **Period of Popular Control:** In this period, the absolute ruler was substituted by popular control. Such transitional regimes took more time to build an administrative system. Building of constitutional frameworks of a nation on one side and building of economic administration on the other becomes a difficult task as there seems to be continuous amendment process. There are rigorous details in the work of perfecting an administrative. Effectiveness and order were replaced by moderation and the executive remained a tool of the legislature.
3. **Period of Constitutional Framework:** This period consists of governments trying to build an administrative system in sync with the constitution which they have received after a period of struggle with absolute power yet not ready for the challenges of new period. Wilson felt that USA had not progressed in civil service reforms in the last 50 years probably because of constitutional flaws.
4. **Public Opinion and Public Reforms:** The rule of 'public opinion rules' is a universal axiom all over the world. Practical reform usually lags and makes compromises. People need to be educated and

be made aware to understand the constitutional government and this must be done to procreate the opinion into a principle over generations. A few important considerations regarding this, stated by Wilson, are:

- Public reform is slow when public opinion and prejudices have to be kept in mind. Public opinion needs to be trained because people tend to have a mob psychology and do not listen to reason.
- Once the principle of administration is established by building public opinion about it, the next generations will follow it.
- Since the voter forms a part of the 'bulk-mankind', he/she needs to accept the principles of public interest, public good and the constitutional framework.

Administration as Business

Wilson considers the field of administration as a field of business detached from politics and constitutional study. Administration requires to remove all types of confusions from the administrative methods and establish it on good empirically experimented principles. He stressed on better implementation of executive functions and improved methods of executive organization and action. Hence, civil service reforms are a prelude to administrative reforms.

Administration and Politics

Public office must be held by public trust and the service must be exclusively non-partisan to work as a business efficiently. Administrative issues do not have any connection between the political setup even though the dictates come from the political quarters. Blunkhli, an eminent German thinker considers administration separate from politics and law.

The differences between administration and politics are given below in Table 2.2:

Table 2.2: Differences Between Politics and Administration

Politics	Administration
1. Politics is a state activity in 'things great and universal'.	1. Administration is an activity of the state in individual and small things.
2. It is a special province of the statesman.	2. It concerns the technical official.
3. Politics cannot work without administration.	3. Administration is not politics and can work itself.

ADMINISTRATION AND THE CONSTITUTION

Constitution and administration differ basically on the point of modifications that a government has to make, according to the law, to ease administration. Wilson differentiated between the constitutional law and administrative functions. Wilson defined Public Administration as 'a detailed and systematic execution of public law and every particular application of general law is an act of administration', for example, tax generation and collection. The laws direct that such activities are outside of the scope of administration and neither are the plans of governmental action whereas their detailed execution is. The administrator has his own will in devising methods for achieving set goals.

Division of Authority

The study of administration has a close link with the study of a systematic and proper allocation of constitutional authority. Wilson gave a few principles regarding authority that are given below in brief:

- **Accountability:** As far as Wilsonian era is concerned, to develop the concept of accountability was extremely commendable. He fixed responsibility complimentary to accountability. It requires a fixed entitlement with clarity. This issue of division of authority at the higher originating levels of the government became a significant constitutional quality. The study of administration analyses the concept of division of authority to ensure trustworthiness by fixing responsibility to improve the parameter of efficiency of an organization.
- **Large Powers Lead to Responsibility:** Wilson opined that the larger the power an official has at his discretion, the less would be the misuse of it. The important condition here is that it is divided into shares proportional to the position in an organization and not into too many, otherwise, 'authority' would become obscured and lead to lesser responsibility. Wilson suggested authority to be centered in the heads and heads of branches of the service. If an official is given less authority and responsibility, he will feel insecure and neglected and will not perform to his best and is more likely to misuse his power.
- **The New Meaning of Government:** Wilson mentioned trustworthiness in many places and stressed that it is important to build trust in a secured atmosphere in an organization. This led to the belief that an official will perform better if he is rewarded with trust, authority, responsibility and praise. He goes on further to ask how much of the public opinion must become a part of the administration and answers it himself by terming public opinion as an authoritative critic. There is always a problem of separating the basics of liberty from its 'accidents', as Wilson puts it, resulting due to over-reliance on voting. He gave an interesting example to show that self-government does not require to be involved in each and everything of it any more than a houseowner cooking himself. Dinner can be cooked by anyone who can be trusted to do so. Public opinion needs to be cultivated to a level that it helps to point out good or bad administration but cannot be meddlesome. Public criticism can be safe and beneficent and cannot be done without.
- **Public Service:** What Wilson talked about more than a century ago can be correlated with today's scenario where public credibility has taken the shape of freedom to information and citizens' charters. Another important issue that he talked about in his essay was public service. According to him, the story of teaching people the type of administration to work for does not end there. They need to be aware that the political candidates must deliver public services. At the time that Wilson gave this view, he predicted the rise of political science but also held that it would not help prepare administrators.
- **Training of Civil Servants:** Wilson talked about building a corps of civil servants who would be schooled with sensitivity to build opinion. A proper traditional school for civil servants would teach them appropriate hierarchy and discipline though Wilson admitted that this class would become a hated class by free spirited and liberal Americans. General principles of government can be studied by a science of politics (political science) but it cannot develop skills to administer the government. Political science can surely help the legislators but not officials. The civil service needs to be revamped and better officers made by having a technically schooled civil service. Good behaviour must be rooted as a pre-requisite for civil servants.

Given below are the constituents of good behaviour for civil servants:

- The civil servants must believe in the government policy without the taint of officialdom.
- Responsible civil servants will be able to connect with public opinion in a direct fashion.

- They must be bureaucratic in every way following properly laid down rules to function efficiently.
- They should be cultured and self-sufficient to act with sense and energy yet closely associated with the needs of people at the grassroots level without any development of class attitude.

Wilson basically talked about his own country, that is, the USA, and had no theory, method or conception for the third world countries, whatsoever. He professed, 'We do not study the art of governing: we govern'. On the other hand, he said that the USA had crude democrats and had a long way to become cultured and sophisticated civil servants.

STRESS ON COMPARATIVE PUBLIC ADMINISTRATION (CPA) AND FOREIGN TRADE

Once again, it is worth mentioning that Wilson realized the importance of comparative Public Administration to understand that administration worked differently in democratic and undemocratic states. Wilson talked about all governments being the same in structure, which was in a way, safe to build comparative Public Administration studies. This would help the functional studies as well as trade with the foreign governments without the insecurity of understanding the systems of foreign governments. There is no harm in foreign trade, according to him, as there is no reason why foreign goods must not be used as far as they are of good quality.

Wilson advocated CPA to put away all biases and look around all over the world to learn better methods. It is impossible to learn without any competition and to compete only with ourselves. Since America's system is quite similar to the Britishers without the kings and the lords, he suggested the study of the administrative systems of France and Germany but also warned against being affected by their political principles. He made an excellent point that we do need to follow the specific country's political ideology but can definitely learn and imbibe their skills. The doctrines or principles to be followed, however, must be tested and experimented to arrive at the best possible method. He focused on the need for skill training of administrative officers more than training only on the science of administration. This would lead to a better system of administration built on mutual trust and helpfulness.

CPA will help evolve a system that can help in the interest of all to form confederations like the British by helping governments. A common objective to gain equality can hold the nations together. Wilson's contribution to this field of study can never be underestimated.

Notes and References

1. The 'Spoils System' was prevalent in the USA in the nineteenth century in which friends and supporters were given official important positions by the victorious political party in lieu of supporting the political party and bringing it victory.

3

Evolution of Public Administration and Its Present Status

Learning Objectives

In this chapter, you will learn about:

- Evolution of Public Administration
- Relevance of Kautilya's Principles in the Present Time
- Diocletian, Pacioli and Machiavelli's Views on Public Administration
- Evolution of Public Administration in China
- Evolution of Public Administration in the Eighteenth and the Nineteenth Centuries
- Paradigms of Nicholas Henri

It is very important to understand that Public Administration has been in practice since the day man evolved and started living in an organized society all over the world. We can see glimpses of Public Administration in the way man began barter system, organized living, utilities, chiefs of the community and many more. Public Administration developed as a subject as organized living began developing and people settled into villages, towns, cities, kingdoms and now democratic nations.

Public Administration is a complex concept to define because all activities of a government that are covered in it are not possible to be included in a definition. So, it is easier defined simply as the ways and methodologies in which government policies are executed by the public officials. Public Administration was a part of political science in most of the nations as a discipline as well as practice because it was considered as implementation of public policies. It has come a long way and presently, it is intrinsic to the administrators to find new ways to deliver public services.

Q1 *In the ancient times, besides Kautilya, which other scholars contributed to the subject and practice of Public Administration?*

OR

'The safest general characterization of the European philosophical tradition is that it consists of a series of footnotes to Plato' –Alfred North Whitehead, Process and Reality. Discuss.

OR

Plato's ontological theory of forms was one of the many thought-provoking contributions to administration. Comment.

Ans. Once human civilization settled into organized societal rules and norms, rulers and scholars began thinking of sustaining their kingdoms and realms. The evolution of Public Administration can be traced back to about 1400 BCE whereas Kautilya's administrative theory existed in 300 BCE. The evolution of Public Administration through scholars since 1400 BCE outlining the administrative thought and theory on practice is given below:

MOSES: 1401 BCE

The concepts of delegation of authority and hierarchy were used when Moses followed Jethro, his father-in-law's instructions, during the mass departure of the Israelis from Egypt under him. Moses delegated authority over the various Israeli tribes according to hierarchy.

PLATO: 400 BCE

Plato (428–348 BCE) was a Greek philosopher and mathematician from the classical period and a follower of Socrates. He wrote about ethics, political philosophy and rationalism and the theory of forms among other topics. He held that virtue was the knowledge essential to achieve the final good. His political philosophy is significant to the study of administration as he discussed the 'ideal state' or government explaining the 'tripartite structure' of the relationship between the appetite-stomach, spirit-chest and reason-head of an individual's soul and body and the tripartite class structure of communities or societies. He divided the individuals in a society into three categories:

1. **Productive Workers:** The productive workers relate to the 'appetite-stomach' who comprise labourers, farmers, tradesmen, etc.
2. **Protective Workers:** The protective workers are the class of warriors who are strong and courageous and form armies and called them the 'spirit-chest'.
3. **Governing:** The governing class comprised rulers or philosopher kings who were wise and rational, had a higher level of intelligence and portrayed control over their mind and body, could take sound decisions at a large scale, for the society, and called this class the 'reason-head'.

The philosophers and warriors of Plato found the class of 'Guardians' in an ideal state. Given below are some of the Platonian beliefs:

- He believed, in his work 'Republic', that reason and wisdom have the adequate potential to govern as only a few are fit to rule.
- He talks at length at about how a king must be educated.
- Another interesting theory he gave was that a bad despotic ruler is better than a bad democracy because one bad person is better than a group of them.

Stages of Evolution of the State by Plato

He gave five stages that a state will definitely pass through from bad to worse, which are:

1. **Aristocracy:** A governing body comprising the best people by virtue of hereditary nobility, education, capability, material wealth or social prestige.
2. **Timocracy:** It is a form of government in which love of honour is the dominant motive of the rulers or in some cases a certain amount of property is the condition to hold the office of the ruler. Plato called it the 'rule of the honourable'.

3. **Oligarchy:** Plato held oligarchy as the rule by the few, as the third stage, the state will transform into. It is a form of government in which all power is vested in a few persons or in a dominant class or clique.
4. **Democracy:** It is the form of government by the people, of the people and for the people in which the supreme power is vested in the people and exercised directly by them or by their elected agents under a free electoral system. It is prevalent in most of the present day modern nations.
5. **Tyranny:** Plato states that the state would move to its final degeneration and become a tyranny. Tyranny is the rule by single tyrant where he uses arbitrary or unrestrained exercise of power and abuses it. It is usually marked by oppression and cruelty.

Plato's Views on Government

Plato wrote in his work, 'Laws', about the best practical form of government and the details of statecraft guided by experience and experiment and the problems that might arise in the 'real-world of human affairs' while governing. Plato's perception of management, as a separate art, centuries ago, promoted the principles of specialization.

The Ontological Theory of Forms

Plato propagated the 'ontological theory of forms' by compiling notions and working them philosophically to constitute this theory. The theory entailed the following elements:

- **Definitions:** A matter of a general nature is generated by one or more general ideas. He says that a definition is constructed by a notion or a group of notions. Even if a definition is not precise or comprehensive, it is progressive because its criticism would be a leap towards defining it in a better way. Misdefining would also lead to a definition.
- **Standards of Measurement and Appraisal:** Plato suggested that 'all ordinary things and creatures in the everyday world are mutable'. All quantifiable or non-quantifiable things or forms have geometrical notions, ideal limits or standards. This applies to virtues as well, such as honesty, integrity or truthfulness. These virtues can be said to be improving in degrees.
- **Immutable Things:** As opposed to the mutable things like a girl growing in height or a fruit changing its colour while ripening, there are immutable things like the colour itself or the standard height itself in inches. He said that something 'A' can change into something 'B' and 'B' can change into something else but 'A' and 'B' themselves cannot change within themselves or then they will not be 'A' and 'B'.
- **Timeless Truths:** There are certain facts that cannot be changed and are beyond mutation, such as dates, geometrical forms, etc. There can be an impending change to those facts but the fact itself cannot be changed and are timeless truths, like India gained independence in 1947 is a fact and is not subject to change.
- **One Over Many:** The property of a thing is fixed and there can be a group of many similar things like the 'one', for example, there are numerous leaves on a tree. We may not be able to count the leaves but the property of a 'leaf' exists in all of them. It is the base of any theory to develop on that 'leaf', that it is a leaf.
- **Intellectual Knowledge:** Even though we base our perception of anything on our senses of hearing, sight or smell but our perception of general notions instead of being sensitive is intellectual.

- **Conceptual Certainties:** No knowledge is possible about conceptual context and is open to it being proven or not. He stated that when our physical senses, that is the forms, come into contact with everyday happenings, the process of reasoning leads to ratiocinative (inferential) knowledge.
- **Ontology of Forms:** This is the final outcome of all the preceding elements of this theory. Plato gave his theory of forms in his work, *Phaedo*, that a general notion is immutable, timeless, one over many, intellectually apprehensive and definable after a careful rational thinking process has been completed. 'Concepts-objects' exist in alternative world other than everyday things of our world of trees, people and plants, etc. Plato says that there is the immortality so our souls that have the capability to strive to comprehend the 'concept-object' which he calls 'forms' when our physical senses encounter the ideal and eternal objects. The human soul gets in contact with the ordinary things to be immortal.

Plato applied his theories to governance and laws to uphold the rule of law, giving us a glimpse of the beginnings of Public Administration.

ALEXANDER THE GREAT: 325 BCE

Alexander the Great gave the following points in the field of Public Administration:

- **Line and Staff Agencies:** The application of line and staff agencies can be seen in the management of Alexander's armies. Even though his purpose to conquer the whole world was imperialistic in nature and against the spirit of democracy, yet his acumen to command his armies is commendable. Due to his conquests, there was an increase in trade and the development of the world view of respecting the dignity of man which Alexander learnt from his teacher Aristotle.
- **Founder of the Western Political Tradition:** It is believed that Alexander, and not Aristotle, was the founder of the western political thought. His actions of conquering the world are questionable but he definitely advocated the idea of an imperialistic political and military organization. Military imperialism led to cosmopolitanism and racial tolerance by the intermingling of races. His politics was based on instrumental rationality, as was Simon's, and both created and was derived from the Macedonian military doctrine.
- **Authority:** Position and authority were two basic elements of Alexander's military organizations that were appraised and judged for their effectiveness. These concepts were bred into the western culture of imperialism and hence sustained.

Q2 *How did Kautilya's Arthashastra contribute to the study of Public Administration? Discuss the relevance of its principles in the present day.*

Ans. In 325 BCE, Kautilya, an Indian thinker, wrote the '*Arthashastra*', an ancient treatise on statecraft, economic policy and military strategy. He is also known as Vishnugupt or Chanakya. He taught at Taxila University and later took up the position of Prime Minister of the Mauryan empire. His work was called as 'Science of Politics' or 'A Treatise on Polity' or 'Science of Material Gain' or the 'Science of Political Economy'. Some of the major ideas given in *Arthashastra* with respect to Public Administration are explained below:

THE PRINCIPLES OF ADMINISTRATION

The principles of Public Administration have not been given clearly in Kautilya's work but have to be deduced and understood. The principles that can be deduced from Kautilya's work are:

- **Authority:** He held the position of the king in a state almost equal to God as the highest position of authority. He considered divine punishment for people if anyone treated the king with disrespect.
- **Democracy, Responsibility and Accountability:** The concept of democracy was evident in his regime and attached much importance to accountability of the king to his subjects. He kept several ministers in his circle to carry out the vast administrative work and used the concept of departmentalization and delegation by fixing responsibility. These principles are quite comparable to the present-day administration and management.
- **Coordination:** There is also mention of how the departments have to work together with clear coordination with the king as the principal coordinator.
- **Classification:** There was defined classification of public officials as:



- **Hierarchy:** A distinct line of hierarchy in all departments was seen right from the head till the clerk. Various titles of the officers were given to them in the Prakrit language.
- **Planning and Budgeting:** He created 15 heads of accounts to have clarity in budgeting. There was a whole structural set-up of a revenue collection body that was charged on agriculture, state trade and state goods. A proper system of control was established to address the issues of economic planning though the planning connected only with the budgeting and did not spread out over a period like the present day.
- **Decentralization:** The kings considered the public affairs personally, so the state has to be small for better administration. A proper framework was put into place with crystalline marked divisions for revenue and administration.
- **Welfare State:** The concept of a welfare state was also found in *Arthashastra*. The king's duties have been defined elaborately in the book to take care of welfare, happiness and prosperity of the people. The old, the minor and the destitute must be taken care of by the king and his officials like a father. This is an amazing feature of Kautilya's administration as social welfare and delivery of public services are major key points of today's Public Administration.

Although Weber and Kautilya existed in totally different eras and time zones, both focused on the aspects of rationality and efficiency in administration. Other points of similarities are the principles of hierarchy, job description, selection and promotion by merit, anti-corruption and ethical practices. Kautilya's concepts and principles are also relevant today but his teachings have been lost in the turmoil of politics and corruption in today's administration.

Q3 Trace the evolution of Public Administration.

OR

Diocletian, Pacioli and Machiavelli were ahead of their times and gave principles of administration in their era. Discuss.

DIOCLETIAN

Ans. Diocletian was the first Roman Emperor in the 284 CE who used the concepts of delegation of authority and chain of command. He divided his empire into 101 provinces and further divisions too, so that they could be administered efficiently. The restoration of efficient government was affected by Diocletian breaking the anarchy of the third century. He reorganized the fiscal, administrative and the military structures. He orchestrated the separation of army from politics to establish civil order. He carried out domestic reforms by removing army personnel from civil careers but favoured centralization in his monarchy to strengthen his rule. There were written codes of law and importance was given to various precepts of a welfare state. There was price control, reforms in agriculture, construction plans, new taxes that were imposed on a proportional basis, wage fixation, etc.

PACIOLI: 1494

Pacioli, from Italy, known as the father of accounting, wrote a book, '*Summa de Arithmetica, Geometric and Proportioni et Proportionalita*'. Accounting is a key issue in Public Administration to make the government and its citizens accountable. His accounting system comprised using journals and ledgers, inventories, liabilities, capital, expenditure and income accounts. He stressed on keeping the debits equal to credits in accounts. This system prevails presently also. He also pioneered the cost accounting, accounting ethics, book-keeping techniques and accounting principles to have effective results in all organizations.

MACHIAVELLI: 1513

Niccolo Machiavelli's concepts of public management are lessons for today's public management. He gave principles to sustain a democratic state for the public good, that is, the moral and political health of people. The basic premise of his theory was that people are not good or bad but desire security and individual success, which can be attained only by their being united as one. People are only interested in their own good and common good is achieved only by political will. The leader of any institution can instil the good in his officials and citizens by inculcating civic values towards a good society. He focused on dynamic interaction between the institutions and people in a 'well-ordered' republic. He gave the following concepts on leadership to manage public affairs:

- **Leadership:** There are tough and wise decisions that are needed to be made by a leader for his people. He must be feared and respected without being cruel so that he can deliver security and good governance to his subjects. Machiavelli gave the qualities of a good leader:
 - He is an architect giving shape to the institutions and motivating actions.

- He recommends building institutions rather than just pondering on the form of institutions.
- He emphasizes on sound institutional framework to prevent corruption.
- The leader must be one of the people so that selfish interest can be avoided and public officials must work on transfer principle.
- **Voting:** His concepts' basic premise was that there must be a republican state where people would have a choice to vote for or against their leader if he does not deliver public services to people.
- **Officials:** A Machiavellian leader must develop strong and confident officials to have better and efficient administration for the common good.
- **Virtue:** Machiavelli focused on 'virtue' as being the driving force to establish a good society via institutions. The strong civic values reduce the transaction costs as people will resist corruption.
- **The Moments:** The three Machiavellian moments are the leader, the civil values and ways and will to resist corruption.
- **The Perfect Republic:** He projected that the perfect republic can be achieved by strengthening the institutions continuously. This would lead institutions to stay away from corruption.

To summarize, Machiavellian thought considered power as a special phenomenon where one class gives orders and the rest executes them or follows. He claimed that the real power of the leader is within the leader himself by using all essentially needed ways. People can be manipulated with mind games. The three main laws of power were self-preservation, growth and concealment. Power in a living organism strives to survive and allows any power within him to grow and no one can limit it. Last, concealment aims at the hiding of shrewdness by a king to keep up with the appearances of people.

Q4 How has China evolved over the ages in the field of administration?

Ans. Public Administration is a tool to deliver goods and services to people. Its whole purpose revolves around this function, that is, 'to serve'. The effort is to improve all the fields whether it is defence, law and order, health and sanitation. Public Administration, as a social service, does not mean the absence of authority or power, for example, there is an essential need to have economic control mechanisms to have a balanced economic growth or a strong police force to maintain law and order. It is the right amalgamation of power and the consciousness of duties and responsibilities. Public Administration as a discipline has been evolving to invent methods and techniques to achieve an increase in the 3 'Es' of Efficiency, Economy and Effectiveness.

1000 BCE: The Chou dynasty overpowered the Shang dynasty in 1000 BCE. This period was called the classical period which continued till 247 BCE. There was a definite line of hierarchy beginning at the top at the chief minister's level going down to the level of ministers in various departments and officials and clerks. Public control flowed through feudal lords and autonomy had to be given to them due to the distance at which the emperor lived. There was a welfare system too taking care of education.

206 BCE: This was called the 'Golden-Age' in China when Han dynasty became powerful rulers and strengthened the organizational structures of governance. There was a three-tier system of provinces and districts. There was a method of competitive examinations based on selecting candidates based on ability and merit rather than birth.

200 BCE: The Sui dynasty brought China to a new level of building infrastructure and continued building the Great Wall. This period followed a flat period of administration. China endured dynastic rule till 1910.

1910 CE: Although the Chinese followed the bureaucratic system of Confucius yet they built a new system of administration and civil services and trained administrators to become efficient. The impact of this is seen in the functioning of the current bureaucratic system in China.

CENTRAL GOVERNMENT SYSTEM: THE ROYAL COURT ADMINISTRATIVE SYSTEM (1929–1949)

The Xin Hai Revolution started a war amongst the warlords and an establishment of People's Republic of China. China's political development was bad but developed a Public Administration system evolved by the nationalists focusing on the separation of powers. The president was imparted with more powers to give out orders, veto powers, commanding army orders, going into wars and making peace treaties. It had a secretariat like the American political system.

1949–2003: The Chinese government worked to mould the agrarian economy to a socialist one to promote market economies. They made sound economic plans that helped in the jump-start of the economy in China. Their plans covered joint ventures, cooperatives, price control system and establishment of economic zones. Reorganization efforts were made to have an efficient working system of Public Administration.

Today, China is one of the fastest growing economies in the world due to their administrative reforms. Although China faced an economic meltdown, it still holds a strong economy as compared to its counterparts in the region. It is powerful in various spheres of economy, politics, information and technology and the armed forces.

Q5 *How did various scholars contribute in the eighteen and the nineteenth centuries to the study of Public Administration? Write in brief.*

Ans. The eighteenth and the nineteenth centuries were the formative years of democracies. Thinkers were working hard to build intellectual as well as contextual resources for administration. Their addition to the discipline of Public Administration is given in the following timeline:

1776: Adam Smith—Adam Smith gave a theory in Economics and wrote, '*Wealth of Nations*' and discussed the principle of specialization.

1789: George Washington—George Washington filled civil service posts with revolutionary war veterans and brought in new insight into the civil service.

1801: Thomas Jefferson—Thomas Jefferson brought in the 'spoils system' by giving jobs in the government as a bounty bonus for political services.

1810: Robert Owen—Robert Owen was a Welsh reformer in the social arena and co-founded the Utopian Socialism and the Cooperative Movement. He gave a theory on personnel administration and training of workers.

1829: Andrew Jackson—Andrew Jackson reinforced the spoils system.

1850: John Stuart Mill—Mill gave the concepts of span of control, unity of command and wage incentives.

1856: Spoils System—The Pendleton Act revoked the spoils system and formulated the U.S. Civil Service Commission.

Q6 *The phases of evolution of Public Administration in the twentieth century cannot be described better than Nicholas Henri. Give the paradigms that he mentioned in his book, 'Evolution of Public Administration in the 20th Century'.*

Ans. Nicholas Henri has probably described the evolution of Public Administration in the best phased manner possible. It is quoted by various scholars and has become the standard phasing by all. He gave six paradigms how the Public Administration evolved till today. Before we go further, it is important to

define 'paradigm'. A paradigm is 'the generally accepted perspective of a particular discipline at a given time'. The six paradigms define the development of the subject. Formally, putting Public Administration in the right status, Woodrow Wilson began the steady mountain climb by writing an essay, '*The Study of Administration*' in which he rightly said that it was more difficult to run a constitution rather than framing one. He brought importance to the subject by stressing on consolidating 'intellectual resources' to manage the state. In 1906, the 'Public Service Movement' became popular and John D. Rockefeller funded the 'New York Bureau of Municipal Research' which acted as a prototype of a modern day 'Think-Tank' and built an intellectual resource of Public Administration. He established a 'Training School for Public Service' which trained the first batch of public administrators in the USA. In 1928, 74 cities also followed suit and established training schools and the movement grew rapidly. The six paradigms that marked the evolution of Public Administration given by Nicholas Henri are:

PARADIGM I—THE POLITICS/ADMINISTRATION DICHOTOMY: 1900–1926

The development in politico-administration dichotomy can be traced chronologically as given below:

1900: Frank J. Goodnow wrote in his book, '*Politics and Administration*' that the government has two functions, as the title of his book suggests, namely, politics and administration. He defined politics as, 'having to do with the policies of the state will' and administration as, 'having to do with the execution of these policies'. This implies that politics and administration have two separate functions to execute thus identifying the politico-administration dichotomy.

1926: Leonard D. White wrote in his work, '*Introduction to the Study of Administration*' that partisan views should not interfere in the functions of administrators stressing on the principles of administration that became the next paradigm.

1929: In 1929, the dichotomy gave some solace to the victimized societies of The Great Depression. Public Administration became relevant as it was defined that public administrators execute the policies made by the politicians. It directed the administrators to leave their political alignments to deliver more to the public.

PARADIGM II—PRINCIPLES OF PUBLIC ADMINISTRATION: 1927–1937

To make Public Administration 'value-free' in its own right, there was a shift to develop the Principles of Administration as the intellectual resource for the subject. The Rockefeller family infused loads of money into the research and development of the subject in the post-success period of the New York Bureau of Municipal Research and brought a higher status for the subject. The developments that took place in this period are:

1927: W. F. Willoughby followed L. D. White and wrote on the importance of the '*Principles of Administration*'. This established the fact that Public Administration was coming out as a substantial discipline provided the principles of scientific management are applied to it.

1930s to early 1940s: Academically, the discipline became more popular and broke its ties from political science. Many universities started debating over the growing importance of Public Administration and whether it is ready to go on its own. Such pondering led to the streamlining of the basic fundamentals.

1937: The Public Administration scholars worked on a volume that came to be called as the '*High-Noon of Orthodoxy*'. Luther H. Gulick and Lyndall Urwick wrote a paper entitled, '*Science of Administration*' and presented it in their report to the committee on administrative science. They emphasized on the application of the principles that were acronymed as POSDCORB that formed the basic elements of management. It

stood for Planning, Organizing, Staffing, Directing, Coordinating, Reporting and Budgeting. Even though the principles, by Gulick's own admission, did not encompass all the aspects of Public Administration but definitely outlined the functions of a chief executive. However, Public Administration still needed a lot of working to build it as a subject.

PARADIGM III—THE CHALLENGE: 1938–1950

The challenge in this paradigm was once again the politics and administration dichotomy and the management principles. It was argued that the two can never be separated. The other challenging issue was the belief of universality of the application management principles.

1930: By 1930s, the field of politics had gone beyond just the partisanship and become multi-directional by the inclusion of Public Administration and policy making.

1946: A Book of Readings was compiled by fourteen Public Administration scholars raising the issue of breaking up politics and administration. They questioned the assumption if administrative decisions could be taken without political influences.

1950: There was a forceful article, '*Trends in the Theory of Public Administration*' by John Meriman Gaus in '*Public Administration Review*' in which he stated that 'a theory of Public Administration means in our time 'a theory of politics also'. This was the end of the dichotomy and it led to developments in the discipline. The belief of founding fathers like Wilson that 'only public administrators could bring the citizens out of their misery of poverty and poor basic living standards' got much flak. Revisionist ideology perpetrating the inseparableness of politics and administration grew in time.

Present: The present-day democracies have seen a resurgence in the dichotomy and the co-existence of politics and administration is observed though their tasks remain separate. There are some aspects of the old Public Administration that can be still seen today in a modified form.

Principles of Management

The second challenge of this era was that of the universal and absolute application of the principles of administration. Following Gulick and Urwick's principles, Chester I. Barnard wrote, '*The Functions of the Executive*' followed by Herbert A. Simon's '*Views on Rational Bureaucracy*'. Herbert A. Simon was awarded the Nobel Prize in 1978 for his work. Simon's colleagues joined him in questioning administrative principles. He observed that for every principle there is a contradictory one. An example to prove this contradiction is the principle of span of control on one hand and the principle of clear communication on the other. The advocated span of control of a manager is of a limited number of subordinates under him to maintain a level of effectiveness that will lead to a tall hierarchy and a distorted communication. On the other hand, the principle of clear communication leads to a better organizational control but a flat hierarchy. This dilemma confused all Public Administration thinkers. If a principle can be challenged, it cannot be a principle.

Late 1940s: Simon negated the principles of Public Administration as the foundation of management theory. He said that there are two types of Public Administrators who must work in synchronization. One set of scholars are experts in 'the pure science of Public Administration' and based on the fundamentals of social psychology. The second set is related with the ones who would formulate the policies along with economics and social psychology.

Scholars did not accept the propagation of 'pure science' as they were already quite done with the scientific principles. Simon had included political science in Public Administration and the political scientists did not like that a major section of their subject extends beyond the umbrella.

PARADIGM III—PUBLIC ADMINISTRATION AS POLITICAL SCIENCE: 1950–1970

Since the uncertainty over the character of Public Administration had increased Public Administration fell back to political science. This period was termed as one with full of consternation, confusion and contempt. The challenges that came out were:

1960s: Absence of intellectual framework.

1960s: The American Political Science Association dropped Public Administration from its discipline and called it an 'intellectual wasteland'.

1962: The Comparative Administrative Group was formed in 1960 by the American Society for Public Administration and received funding from the Ford Foundation. It shot the discipline into the new sub-field of development administration.

1970s: Comparative Public Administration, development administration and cross-cultural administration as opposed to the national and regional systems of public management found place in international research. A paradigm, based on principles, did not include any cultural variable in Public Administration. Alexander Hamilton had mentioned the same concept about 150 years ago, though it did not get picked up.

1971: Nicholas Henri called this challenge as an 'intellectual dilemma'. There was resistance from the Ford Foundation against Comparative Administration Group because Public Administration in the USA is overly practitioner-oriented and it did not understand all the theorizing of comparative Public Administration. The funding was stopped in 1971.

1973: The discontinuation of the Ford Foundation to the Comparative Administration Group led to its closure in 1973.

Mid-70s: The courses that had been started in comparative administration and development administration were also discontinued.

There was a marked drop in the existence of these subfields of Public Administration which was considered by Henri as 'intellectual decline'. It was suggested by scholars though that study of other nations' Public Administration would help in having a better understanding of the American system of administration. Presently, there is more emphasis on these two subfields making the administrations in the world better by learning from each other.

PARADIGM IV—PUBLIC ADMINISTRATION AS MANAGEMENT: 1950–1970

Paradigm IV refers to the concurrent period of paradigm III. Some scholars of Public Administration began searching for the identity of the subject in management as it was being done earlier with political science. Chronologically, Public Administration went through the following landmarks:

1950s–60s: Generic Management—Scholars of Public Administration, after analysing survey reports, said that 'Generic Management' is the successor of Public Administration and business administration. By early 1960s, management was considered as, 'groundswell development that tends to pervade all others' in a report to the US government. Wilson's view that, 'the field of administration is a field of business' was removed from the study and strife of politics came into the forefront again.

THE IMPACT OF MANAGEMENT—UNDERSTANDING THE ‘PUBLIC’ IN PUBLIC ADMINISTRATION

Questions were raised over the relevance and meaning of word, ‘public’ in Public Administration and a need for considerable thought was given to workable tools and techniques in the government sector where private sector methods did not work.

Publicness and Privateness

Nicholas Henri has differentiated these two concepts based on three elements. They are:

1. **Agency:** A private agent would act for his own behalf whereas a public agent would be doing so for others. However, the rise of non-governmental organizations, privatization and corporate social responsibility complicated the definition and the role of agency in Public Administration.
2. **Interest:** A private enterprise undoubtedly works for its own profit whereas a government enterprise does so for the interest of citizens. Nonetheless, at present the concept of interest is relevant as a private company also may impact the citizens in a positive way, by contracts of the government, even if they make profit in the bargain. On the other hand, one man’s interest may be contradictory to the other.
3. **Access:** Transparency and openness are important in a public agency to keep people informed as a trust building exercise but in the private sector, accessibility to information is kept at a very low level. It is also the accessibility of public organizations that makes them ‘public’.

1965–1970: The Forces of Separatism

The Paradigm III and IV had the germination of the concepts of Renaissance of Public Administration without realization of it happening. This took place in three forms comprising two intellectual and one professional form:

1. **Separatism in the Halls of Academe: Nuanced Notions**—The relationship between Public Administration and management on one side and political science on the other was researched in universities. The following inter-relationships with other disciplines were worked upon:
 - (i) **Science, Technology and Public Policy:** The universities included the curriculum of ‘science, technology and public policy’ with a definite overriding tone of Public Administration. It included public policy based on elitism opposed to pluralism of Political Science, on synthesis and hierarchy. Public Administration scholars did not believe much in the political science edicts and fundamentals helping their subject.
 - (ii) **New Public Administration:** The focus of new Public Administration, ethics, urbanism and violence, took precedence instead of the efficiency, effectiveness and budgeting. It was a break away from political science.

These two intellectual forms had a positive influence on Public Administration.

2. **Separation in the Corridors of Power: Pride to The Practitioners**—This professional form of separation of Public Administration took place in this period. Henri called it the ‘practitioner pride’ symbolizing the growth of independent Public Administration. National Academy for Public Administration to build up an intellectual resource for public administrators to solve the problems of the governments. By the end of 1970s, the separatist movement was well on its way.

1983: Similarities

There were doubts over the commonality of administrative tools and techniques in management courses. There was no consensus over the curriculum in the universities. The missing elements were function, institution and sector. However, it was contended that Public Administration is unique because the administrators who changed their sector between public and private sectors observed that there were hardly any similarities between both the sectors. The 'experience' of administrators was most important to produce effectiveness in management rather than any degree or even experiences in other sectors. It was concluded that management needs to be understood in functional, institutional and sectoral terms.

PARADIGM V—PUBLIC ADMINISTRATION AS PUBLIC ADMINISTRATION

1970–Present

'Public Administration as Public Administration' is a phrase given by Nicholas Henri to denote the coming of Public Administration of age. It broke away from Political Science and Management and developed on its own. In this period, Public Administration went through the following events:

1970: The National Association of Schools of Public Affairs and Administration (NASPAA) was founded in 1970. It embodies more than 260 programs of Masters in the discipline and related degree programs in the USA and is responsible for the accreditation of the degrees. They have accredited 160-degree programs and offer a consistent curriculum.

2000s: The degrees offered in M.P.A. were being done by the Public Administration Departments more and more than the political science and business departments.

PARADIGM VI—GOVERNANCE

1990–Present

There are vast changes that have been taking place in the field of Public Administration due to a rapid growth in information technology and communication. The role of the governments has also been changing with the emergence of non-governmental sector, privatization and corporate social responsibility. Good Governance and its parameters were defined by the World Bank to assess the level of governance in nations worldwide. Given below are these changes:

- **The Decline of Governments:** Globalization brought the world economies closer and its growth increased with the use of internet. Developed countries have reduced the role of state in the provision of public services.
- **The Rise of Governance:** As popularly given the maxim, 'minimum government, maximum governance', control over citizens decreased and governance became institutional.
- **Making a Mesh of Things:** A Public Administration scholars defined the subject of Public Administration as governing by network and making a mesh of things. The mesh of governance is being continued. In the USA, the State contracts out everything via networking. Services are provided by public private partnerships and the non-profit sector.

To sum up, the future of Public Administration lies in more governance made easy with the internet. The discipline is gaining in its stature and more universities are including degree programs in Public Administration.

4

New Public Administration

Learning Objectives

In this chapter, you will learn about:

- Backdrop of the Emergence of New Public Administration
- Emergence of New Public Administration
- Minnowbrook Conferences I, II and III
- Digital Governance

Q1 *'New Public Administration is less generic more public, less descriptive more normative, less initiation oriented and more client-impact oriented and yet is no less scientific' –Frederickson. Discuss.*

OR

Under what circumstances was new public administration conceived?

OR

Explicate the theoretical premises of new public administration and show how far their concerns were accommodated in public administration.

Ans. The twentieth century saw a lot of activity in the public administration development with the first phase of Woodrow Wilson's politics administration dichotomy that was replaced by the second phase of scientific management by Fredrick Winslow Taylor followed by Hawthorne's experiments. The third phase was the era of challenged Taylorism and added the human perspective to the discipline given by Elton Mayo and his peers. It studied the socio-psychological factor of individual behaviour. The principles of administration given by Herbert Simon's were questioned by the behaviourists.

IDENTITY CRISIS

The fourth stage of identity crisis is most important to the development of new public administration. This was the time after the world wars and the Vietnam war in USA, when people were trying to get on their

feet. There were a lot of chaos, inefficiency and ineffectiveness and an ineffectual bureaucracy to alleviate problems such as unemployment, poverty, food shortage, health issues, etc. The old and traditional public administration proved to be futile and unequipped to provide the deliverables to the citizens living in fear, post war.

Agencies such as UNO, WHO and UNICEF were formed by the UN to cope up with the post-war challenges but they also proved to be infructuous due to the lack of the public administration's support. This led to the belief that public administration was unable to be pro-active and was falling into the rut of being a maintainer of status quo, giving advice to the affluent and elite.

Need for Social Change

The failure of public administration in the 1960s aroused a need for social change to assuage people's fears and insecurity. In the past three decades, public administrators and scholars have focused so much on the science and technology that they have ignored the general population completely while earning profit from the science and technology. Here, the benefiter, i.e., the person has been ignored. If the benefiter is unhappy then it negates the advantage of science and technology.

Importance of Value

The old public administration had no place for value in its field of study or activity. All effort was on value-free administration. This implied that administration would ensure that laws, rules and decrees are applicable to one and all without giving any sops to the economically and socially weak sections of the society. There emerged a need to think about public interest and service to citizens. An important observation needs to be mentioned here about the public administration as a discipline. Generally, public administration is studied with respect to its progress in Europe and USA. After independence, India established its constitution in 1950. India's foundational principle on which its statehood was formed was the welfare state. It provided reservation to the poor sections of the society initially for 10 years and this has been continued until today.

Importance of Social Equity in New Public Administration

Public administration has been defined as an efficient economic and coordinated management of the services such as health, education, welfare, defence, law and order to be delivered to the people. H. George Fredrickson said that new public administration added the 'social equity' perspective to it on the question of its failure to resolve any of the above-mentioned issues of efficiency and economic management while delivering these services. If a public administration system cannot address such issues, it will become a part of the system that creates these issues.

New public administration emphasizes that public administration must become the instrument of social change keeping in mind 'social activity'.

Q2 Discuss the emergence and growth of new public administration.

Ans. In the background of unrest amongst the public administrators, new public administration was conceived. The young scholars met and discussed the failures of public administration as a discipline as well

as its task of delivering services. Given below are the efforts that originated in the USA as a beacon in the direction of new public administration:

- **The Honey Report in Higher Education for Public Service (1967):**—The Honey report studied the status of public administration as a sub-discipline and its problems. It submitted five problems.
 1. Shortage of research funds.
 2. Lack of constructive arguments whether public administration is a subject, a science or a profession.
 3. Inadequate number of educational institutions running a public administration department.
 4. Deficient application of public administration theory into practice.
 5. Vague definition of the scope of public administration.

Recommendations Given in the Honey Report

The Honey report gave many recommendations and the most important ones were:

- It recommended that a national commission on public service education must be set up to build trained personnel for government posts.
- Fellowship and internship programs must be initiated for public service aspirants and for those who wanted to become teachers in the subject.
- An integrated program to bridge the gap between governmental experts and the subject theorists in teaching must be developed. The public servants must help and guide the universities to prepare specialized syllabus.
- There was a suggestion to establish an advisory service for new public affairs course. The Honey report initiated the process of new public administration but missed out on working out an approach to tackle societal issues in a practical way.
- **The Philadelphia Conference on the Theory and Practice of Public Administration (1967):**—In 1967 the American Academy of Political and Social Science held a conference in Philadelphia which was chaired by James C. Charlesworth. Given below are the main points of view that were presented in the conference:
 - The scope of public administration should be flexible for its growth as the functions of administration keep changing in a dynamic society.
 - Service policy administration dichotomy held no value as administrators were advisors of politicians in policy making. Separate studies on government and administration were also meaningless.
 - Rigid rules to establish hierarchy and internal processes lead to rigid results of administrative activities in a dynamic environment. Such results cannot correlate with the ever-changing societal dynamics. So, there must be adaptability in management and organizations.
 - Poverty, unemployment, urban squalor, environmental pollution and degradation must be the thrust areas for public administration.
 - The demand for social equality had cropped up to bridge the socio-economic gaps. Recommendations to administrative value to efficiency and accountability were made to increase reaction time of the administration on one hand and citizen's involvement on the other, in governmental activities.

Some other viewpoints were with respect to training of administrators in formal training schools specifically to socially sensitize them and inculcate administrative ethics.

Q3 *The essence of new public administration is 'some sort of movement in the direction of normative theory, philosophy, social concern and activism' –Waldo. Comment.*

OR

Trace the three Minnowbrook Conferences with respect to their goals and contributions.

OR

New public administrators are likely to forthright advocates for social equity and would doubtlessly seek a supporting clientele. Comment.

OR

The themes developed at 1988 Minnowbrook Conference (20 years after the first conference) largely focus on the current and future visions in the field of public administration. Elucidate.

OR

Minnowbrook Conference in USA identified four features crucial to new public administration. Explain.

OR

New public administration is a revolution or radicalism in words at (at best) status quo in skills and technologies. Discuss.

OR

In the evolution of the discipline of public administration, Minnowbrook Conferences I, II and III reflect the discipline's reconceptualization and its changing values. Elucidate.

THE MINNOWBROOK CONFERENCE I

Dwight Waldo has been an intense force in the development of public administration. In 1952, Waldo and Simon disputed over the point of signature of science administration propagating that values and facts were distinct. Both of them rejected the classical public administration. Simon insisted that facts were instrumental in achieving maximum efficiency whereas Waldo could not neglect the importance of values. The 1968 Minnowbrook Conference was held in the background of Waldonian perspective when the social environment was turbulent and the people of America, especially the African Americans had lost trust in the institutions. Dwight Waldo organized a conference with

the help of George Fredrickson at Minnowbrook and invited top young scholars of public administration. The main theme was to understand the value of social equity in the delivery of public goods and to bring about clarity in the functions of public administration. Waldo called himself the 'Minnowbrook voyeur' and delegated duties to his junior colleagues. He used his research funds to organize the whole show.

Before outlining the four main points that were presented at the Minnowbrook Conference, it is also important to study some other thoughts given below:

- **Humanistic:** A strong standpoint was that public administration needs to be humanistic to serve the citizens by actually being pro-active and taking the action to the streets.
- **Confrontational Decision-making:** This viewpoint called for bold decision-making to confront the problems head on. Coupled with this was relevant administration in public interest.

GOALS OF MINNOWBROOK CONFERENCE I

The four goals of Minnowbrook Conference I were relevance, value, equity and change. They are described briefly:

1. **Relevance:** The growing resentment against classical public administration has been stressing only on efficiency and economy and alleged that public administration did not consider and acknowledge the issues of people in reality. The problems that they face in life in a socio-economic environment cannot be solved by scientific management. Focus was laid on policy-oriented public administration so that it is capable of dealing with policy and normative aspects of management orientation. The scholars suggested changes in the syllabus of the discipline to make it more relevant with respect to the harsh realities in life.

Relevance refers to the issues specific to the particular country, area, culture or society. This means that if change is not made as per these specifics then the changes will not reach the people. The target for service delivery needs to be carefully selected.

2. **Values:** Public administration had been professing value neutrally as given by behavioural and political scientists since long but the Minnowbrook participants criticized it and asked to mould values, issues of justice, freedom, equality and human ethics into its scope. Nicholas Henri admitted that new public administration institutions were wary of their subject and respected the senior thinkers but wanted to include these elements to give public administration a moral tone so that the administrators feel committed towards the objectives of looking out for disadvantaged interests.
3. **Social Equity:** Since the nation was forcing social and economic inequality, there was a general unrest amongst people. The scholars at Minnowbrook I made a case for distributive justice and equity. The stress was on resolution of issues of deprivation of minorities to enhance societal harmonization. New public administrators discussed equity-maximizing behaviour that focuses on the purpose of public organization in the reduction of economic, social and psychic suffering and the enhancement of life opportunities for those inside and outside the organization.
4. **Change:** Classical public administration was pro status quo as also given by Weber but the Minnowbrook scholars wanted that public administration must imbibe relevance, social equity and values through change and innovation. Status quo works for its own interest and the administrators who ultimately become the repressors. They termed the administrator as a change agent who absorbs the environment and adapts to it to take radical but realistic decisions to help the people indeed. Operational flexibility and organizational adaptability must be a part of the administrative system so that changes can be made. The new public administrators consider change as a constant fact of administrative life; otherwise, it would lead to become self-perpetuation power centres.

So, these are the fundamental four goals that the Minnowbrook I set out for amongst many other points too like client focus and client centricity, management–worker relations, change and responsiveness, structural changes and in administration.

CRITICISM

After studying about an extensive thought-provoking and exhausted conference at Minnowbrook, it needs to be questioned if all these goals were achieved and if it really worked. Frank Marine had summed up the Minnowbrook I in this book, *'Towards a new public administration'* in 1971. He added 'client-focus' factor to the four goals of new public administration. The Minnowbrook I was criticized on three grounds that it was anti-positivist, anti-theoretic and anti-management according to Golembiewski and these have been briefly described below:

1. **Anti-positivist:** Anti-positivism, as per, Golembiewski, implies three points for its case:
 - (i) **Value-free:** Anti-positivism propagates that the first aspect is 'value free'. He rejects the definition of public administration as 'value free' which is generally seen as 'a stance inherited from political theorists interacting with behaviourists a couple of decades ago'. This means that a value-free public administration cannot be accepted.
 - (ii) **Rationalism:** The old school believed in a human being to be rationalist who just existed without any 'becoming'.
 - (iii) **Without Policy:** The politics/administration dichotomy was rejected as was any notion that held public administration without policy.
2. **Anti-technical:** New public administration rejected the classical view of scientific techniques and the idea of a man being subservient to the machine. New public administration promoted the human approach instead of the mechanistic one.
3. **Anti-bureaucratic:** New public administration is anti-bureaucratic or anti-hierarchic because of the inflexible top-down administration and proposed to substitute it with decentralization. Some more points of criticism of new public administration by different theorists were:
4. **Status Quo:** Robert Golembiewski called it a revolution or radicalism in words and (at best) status quo in skills or technologies: There was more need to clarify and implement the goals and he called it a partial success.
5. **Doubts over Social Equity:** Carter and Duffey had doubts if social equity would be added to the 3 E's (Economy, Efficiency and Effectiveness) in reality.
6. **Illusory:** Dunn and Fozouni felt that the new public administration was illusory and had just created a myth of revolution in the field of public administration.
7. **Demands on Scope:** The new public administrators assert what the scope with respect to political institutions, political processes and political leadership should be.
8. **Absence of Literature from Economy:** There was an omission of public commission theory given by Anthony Downs, Niskanen, James Buchanan and Gordon Tullock in Minnowbrook I as it emphasized more on political philosophy.

Even though the Minnowbrook I was criticized on these grounds, yet new public administration pushed the discipline to think harder on all-encompassing application where stress was on the social equity, client-centric, humanism and relevance. Under the Minnowbrook Conference II, the specifics of what the government should do were underplayed as the overindulgence with policy making was withdrawn.

THE MINNOWBROOK CONFERENCE II

The second Minnowbrook was held after 20 years since the first took place in 1968. The elder public administration theorists were angry at Dwight Waldo for inviting young scholars with an age limit of 35 years and ignored the senior theorists. There may be less supporters of new public administration after Minnowbrook I, but it definitely provided a serious thought to be dynamic.

The decades of the 70s and 80s that followed the Minnowbrook Conference I saw a gradual change but not as specifically as the Minnow wanted it to. Politically, the environment was anti-bureaucratic and anti-governmental. The press, the civil society and political leaders felt that the bureaucrats were not interested in performing and were complacent in their approach. This was the progressive era when reforms were made with the program development, implication and development to limit the bureaucrats. Reagan's bureaucrats were being attacked by all and a demand for free market approach was growing.

Organization

The Minnowbrook Conference II was organized in 1988 by George Fredrickson from the University of Kansas at the same venue. The number of participants was more with an equal representative of both the genders but only 50 per cent being young public administrators as the other half were the original Minnows. The participants from the fields of political science, law and management were also invited to have an integral approach to the discipline. It was an interactive conference where the debate between the normative and the behaviourist viewpoint continued whereas social equity and diversity were considered as basic assumptions. They discussed the possibility to link theory and practice with government and bureaucrats. Minnowbrook II was considered as less powerful and less controversial probably because the discipline had finally detached itself from political science. The second Minnowbrook evaluated the impact of the first and the extent of public policy and public administration as a subject.

Minnowbrook Conference and Public Policy

Another development that took place during the period between the first and the second Minnowbrook conference is a fraction of public administrators were branching away from public administration and started focusing on public policy. Wildavsky said that the policy studies application developed in the 1960s because of the apprehension of the failure of public administration.

The new public administration was perceived as the left wing and the policy studies as the right wing of public administration. They did not care for the philosophy and systems of the subject. Instead, they focused on the pragmatic question of what the government could achieve within the limits of prevailing political and institutional systems. Public policy schools were opened in universities in the 1960s and focused on the ways to improve the government through an enhanced system of extensive data to make sound decisions. A course on 'implications' was started as they felt that was what the public administrators had been doing but this did not hold out for long. Focus again shifted to operations as the government decreased their social initiatives.

Public Choice Theory

This was the period when the public choice theory was also developing and public choice theorists were propagating reduction of state intervention to let the free market operate. It stressed on the government to spend its resources more on public goods.

Liberalization, Privatization and Globalization

Another major development happening prior to the Minnowbrook Conference II was liberalization, privatization and globalization. Major changes were taking place to consolidate the efforts of the private and public sectors to sustain identity of the discipline.

MAJOR DRIVE ISSUES IN MINNOWBROOK CONFERENCE II

The Minnowbrook Conference II, a watershed event, concluded with parallel major driving issues in public administration development. There were themes in the backdrop of historical comparative evidence and the last based on the present and future goals of the few disciplines. These are given below:

1. **Social Equity:** Social equity remained a concurrent theme in the conference as a goal of community sharing effort, with a focus on interpersonal values but downsizing individual benefits. The participants felt that this goal of social equity of Minnowbrook Conference I had been initiated and the governments had accepted its signature.
2. **Democratic Values:** There was a forceful voice over sustaining democratic values and the sign of public administration to accomplish them. This would deal with ethics, accountability and leadership issues. Centrality of public administration to achieve institution performance was suggested.
3. **Normative and Behaviourist Debate:** This debate between normative and behaviourists continued from the Minnowbrook Conference I. The epistemology and ontology of the subject of public administration continued. There was also a line crossing from science to theology. So, the disagreement continues. Some termed it as a design science.
4. **Diversity:** The fourth theme that emerged in this conference was of the diversity in every individual in the society. It was keyed in three main settings:
 - (i) Generalist's versus specialists
 - (ii) Race, ethnic group and sex
 - (iii) Gender
5. **Piecemeal Social Engineering:** Piecemeal social engineering was suggested as a step forward to achieve public administration goals so that short-term goals can be achieved. Piecemeal social engineering implied (proposed by Sir Karl Popper) that long-term plans cannot be predicted or achieved because of rapidly changing situations. So, by analogy with the role of piecemeal experts in the science labs, small-scale plans must be made.
6. **Inter-disciplinary:** Public administration needs to develop toleration to other disciplines because it cannot work in a vacuum but an opposition of such an attitude was seen in the debates.
7. **Capitalism and Democracy:** Public administration could synergize the profit and non-profit sectors to achieve the identified goals as the rift between capitalism and democracy was a reality.
8. **Personnel Systems:** An organization cannot work without good personnel systems. So, the need to hire the best people, to train them and to motivate them is in itself is a completely whole separate science to increase productivity.
9. **Technology:** Computers were just taking over offices and the society in USA. There was an initiation technology to be applied in public policy but there was a lot of hesitation towards it.
10. **Discipline:** There was a lot of debate again about the scope and methodology of public administration. It was propagated that public administration as a discipline must be strengthened.

Conclusion

To sum up, the Minnowbrook Conference II was clearly disdainful of big governments and a downsizing was recommended. There was a shift towards privatization and outsourcing. Social values gained more emphasis in them but a positive note was that the subject of public administration came out of the first Minnowbrook, the second Minnowbrook Conference was more acceptable of behaviourism. Trust in public agencies was more than the bureaucracy. It took into account the citizen participation and human interpersonal values.

A need was felt to bridge the gap between the theoretical background of public administration and public officials. Much stress was laid on building a healthy competition not only between the private organizations but also public ones. Public policy development was essential to carry out the goals set for.

Criticism of the Minnowbrook Conference II

Minnowbrook II was criticized on the grounds that it could not set out the goals of public administration clearly. There were many papers and a lot of literature but fewer ideas and theories. Minnowbrook Conference II was comparatively less controversial than Minnowbrook Conference I. Fredrickson commented about it as, 'First, more technical; second, more individualist; third, a social equity that now included gender and age; fourth, an emerging perspective on productivity and performance measurement; and fifth, a greater connectivity to mainstream states and the positivist or Simon perspective.'

Minnowbrook Conference II did not discuss the significance of the scope of government in new public management. Neither did they discuss any futuristic agenda with respect to techno-bureaucratic systems. Another issue that proved to be complicated for participants was the study of efficiency of government bureaucracies. Another challenge was to link scientific tools to the subjective assessment in implementation of the art of administration. Lastly, it was efficient in making future research points for the discipline.

MINNOWBROOK CONFERENCE III (2008)

Minnowbrook Conference III was termed as the future of public administration, public management and public service around the world. Twenty more years had passed when it was held in 2008. In 20 years, public administration grew as a discipline and various new courses were added to its field and degrees were given accreditation like public affairs, public management, public finance and budgeting, non-profit management, local government and public policy analysis. Public administration became more scientific, rational and positivist. All these new degree programs featured in the Minnowbrook Conference III themes that could not be discussed in the Minnowbrook Conference II, such as, citizen participation and government contractorship. According to Fredrickson, public administration was setting 'into a kind of middle age'.

Organization

Rosemary O'Leary, professor and holder of the Phanstiel Chair at the Maxwell School organized the conference and worked out a solution for the issue of intimidation of young scholars by their senior counterparts. She conducted the conference in two parts. The first part was called the 'pre-conference workshop' at the Minnowbrook Conference I site and young scholars with PhD holders of not more than 8 years were included. Fred, Lambright and O'Leary observed the proceedings silently. Thirty scholars of all ages and experts from Minnowbrook Conferences I and II attended the second part of the conference.

BACKDROP OF MINNOWBROOK CONFERENCE III

The backdrop in which Minnowbrook Conference III was held was quite turbulent. Many events had happened in the recent past that deserve a mention here. They are given in brief below:

- Controversial presidency of George W. Bush
- Wars in Iraq and Afghanistan
- 9/11 attacks
- Hurricane Katrina
- Internet explosion
- Economic recession

The bureaucratic environment also had gradual changes as performance-based methodologies were adopted. With the passing of Performance and Results Act by the Clinton government, operational changes began to take place in federal agency programs.

- Government Performance Project was started in which the state governments were ranked and compared in terms of performance according to the guidelines set by the Office of Management and Budget
- An increase in the privatization in the government at every level in public service delivery
- First African—American nominee was set to become the President

THE CONFERENCE

Phase I

The Pre-conference Workshop: Fifty six critiques of the subject were presented at the pre-conference workshop. These papers eventually became a part of the syllabus in different courses and further discussions.

The issues taken by the new public administration scholars at the pre-conference workshop with respect to institutional and personal barriers are summarized below:

- Incentives in the field of promotion and tenure in institutes
- Widening of curriculum like the inclusion of bureaucracy incentivises to add inter-disciplinary applications
- Stress on standardization and constantly logical editorial and review board in public issues
- More funding required to support public administration research
- To take up international and competitive public administration research

Statement of Commitment in Future Search Exercises

The new public administration scholars pledged to assist the public administration development process as 'change agents' embracing a culture in public administration open to theories and methodologies from various fields with a focus on publicness. They gave the following points of commitment:

- **Expansion of Study:** They committed to expand the scope of public administration to include 'various units of analysis' local, state, national, international, stakeholders, government employees at all levels of organizational hierarchy and citizens.
- **Research Environment:** The new public administration scholars pledged for an intellectual research atmosphere where everyone is eager to share data and cooperate with each other to build a data bank for the field of public administration.

- **Confession of Limitations:** A trend must be developed where public administration researchers admit to the limitations of research methods and design to enhance further research.
- **Classroom and community:** They resolved to:
 - make research-based tools having a solid theoretical background
 - advance strenuous research methodological training supported by qualitative and quantitative methods
 - devote time in interacting with other practitioners to share data
 - indulge in capacity building of practitioners so that they can cope up with the present and adapt in problems
- **Publication Process:** The New Public Administration scholars committed to:
 - Publish relevant work (practice or theory)
 - Widen our scope of application of inter-disciplinary theory of 'publicness'
 - Promote multiple research methodology
 - Review research within the limits of the discipline that it was conducted

The new scholars came up with a special issue of the Journal of '*Public Administration Research and Theory*', edited by Beth Gazley and David Van Slyke, comprising parallel critical review articles covering various topics, a Wikipedia page, a Wikipedia book, a Facebook site, conference panels and joint research. Two very important issues of the journal, '*Administration Theory and Praxis*' and '*Public Productivity and Management Review*' were publications on Minnowbrook conference.

Phase II

Minnowbrook Conference III

The second phase of the Minnowbrook Conference III comprised presentation of papers on 12 themes by 200 scholars from 13 countries. The topics were:

- Academic practitioner relations
- Democratic performance management
- Financial management
- Globalization and comparative perspectives
- IT and management
- Law, politics and public administration
- Leadership
- Research methods and inter-disciplinary research
- Networks
- Public administration value and theory
- Social equity and justice
- Transparency and accountability

The main questions emerged from these 12 themes at the conference were discussed at the Minnowbrook III Lake Placid conference are:

- How public administration evolved from 1968 to 2008?
- What are the theoretical and empirical conclusions about the 30-year-old new public management?
- Owing to the inputs of interdisciplinary scholars, is public administration closer or farther away from a substantial core theoretical base?

- Networked governance and collaborative public management are impacting public administration, public management and public service. How are they doing that and how should the discipline be modified accordingly?
- How has globalization affected the discipline of public administration, public management and public service in the USA, developed world and developing and transitional countries.

Conclusive Points of Minnowbrook Conference III

To sum up, the following conclusive points emerge of Minnowbrook Conference III, the world became closer because of globalization. Governance requiring more studies on international agencies has increased who do comparative public administration research. A demand for research funds in comparative public administration was made to understand the globalization perspective.

1. **Reformation of Public Administration:** Public administration was redefined by them as a socially embedded process of collaborative relationships, dialogue and action to promote human flourishing for all. This implies that it is anti-individualistic and works in collaboration of others to have a healthy developing relationship for all. This question raised by some with respect to this reformulation of public administration was how the discipline would identify the competing parameters and of 'critical consciousness' should be included.
2. **Emphasis on Comparative Studies:** Public administration must conduct studies and do research on public administration of various countries to arrive at useful conclusions as no country's public administration system can be studied in isolation because of the emergence of liberalization, privatization, globalization and IT.

The notion that governance in a country was the responsibility of the government changed from being a hierarchal structure to a more networked form of government. Technology changed the old public administration to government because of its ways to perform change. IT changed the ways of business and brought in globalization. It gave, both, to collaboration, as the norm for government and the usage of policy instruments and institutional mechanisms as the seats of power. The managerial tools in use now are facilitation, negotiation, dispute resolution and collaborative problem-solving. Subsequently, courses in universities are being taught to have a formal methodological training in these tools.

3. **Action Research and Methodological Pluralism:** Methodological tools and techniques must be employed to conduct meaningful research. This would become a good research base for public administration as a discipline. Research findings must be submitted for review by contemporary scholars in lieu of multiple viewpoints on public administration.

After studying new public administration in the three phases of Minnowbrook Conferences, it is felt that the new in the new public administration has been challenged by younger scholars in lieu of changing times. On the other hand, that was the whole objective of new public administration, that is, to indulge in continued research and find new ways to tackle the dynamic situation in the world. The difference between the old public administration and the new public administration was that new public administration applied newer methods to a change of social values. So, the basic point here remains adaptability and responsiveness to change in the socio-economic status. Same is the case with new public administration that it has grown old now as new public management and globalization substituted for it. The word 'new' implied explicitly what was earlier implicit. However, new public administration was not able to gain success in political administration dichotomy until the decade of 1980s. The new public administration, though, achieved a new identity for itself by breaking away from political science shadows.

Q4 ***'New public administration is dead: long live digital era of governance.'***
Comment.

Ans. New Public Administration is dead as the needs of the society have changed but its significance can never be under-rated. Public administration as it is today because old as well as new public administration happened. Similarly, governance has reached where it is today because public administration evolved over a period of time. In fact, the basic themes of new public administration evolved over a period of time. The basic themes of new public administration of Minnowbrook Conferences I, II and III of social equity, debureaucratization, responsiveness, strengthening of the discipline and such can be achieved efficiently with the help of digitalization now. Though there is a point of controversy of decentralization now as the new concept of integration remains opposed to it.

The role of Information and Communication Technology (ICT) like the Internet of Things is viewed in two phases of E-Governance 1.0 where it was considered as the stimulus of change in public administration and governance. It meant that we are governed by technology. Basically, it was the misconnected notion that E-government would rule rather it is supposed to be tool. The second phase of E-Governance 2.0 talks about the relationship between the use of ICTs in government and the external factors of transformational change. E-Governance 2.0 implies that ICT-related change in government must be unpredictable and complex instead of being simple. The change in government is enabled by ICT as is a tool rather than the change itself. Automatic systems for various registrations or licensing can make things easier for all but people who are computer illiterate cannot use it. So, ICT can be a tool to govern but not the government. Putting IVRS system in place in a disaster-hit area can be a good thing for people to connect to their families but it will not be of any use to a deaf and dumb person where the administration service will have to be specialized. The administrators have to use ICT to deliver.

The goals of new public administration are quite similar today as compared to 2008 of Minnowbrook Conference III of new public administration. The digitalization can definitely ease and speed up the processes of governance.

5

Public Choice Theory

Learning Objectives

In this chapter, you will learn about:

- Emergence of Public Choice Theory
- Classical and Modern Day Versions
- Evolution and Timeline
- Down's Model
- Niskanen's Model
- Theories of Buchanan and Tullock

Q1 **What is Public Choice Theory? How did it emerge in the scenario of Public Administration?**

Ans. Classical Public Administration theorists like Simon and Weber emphasized on rigid organization, hierarchical structure, specialization, division of work and centralization.

Weber's Rationality theory for making rational decisions did not hold strong in the changing environment which emphasized on attaining the 3 E's. An organization does not work on its own constructs and structures. Public policy makers pass on the policies to the organization and it has to work amidst pulls and pressures. Since the objective is Good Governance, it cannot be achieved by rigid rational behaviour.

Societal concerns like ethics, human resources, consumer behaviour, management of state agencies, citizen-centric administration and e-governance necessitated the emergence of Public Choice and New Public Management.

CLASSICAL POLITICS–ADMINISTRATION DICHOTOMY

It includes:

- Organizational productivity demands mechanization of day-to-day activities and work;
- Centralization of power leads to mono-centric administration; and
- Rigid division of job description.

Modern Day Administration

On the other hand, Modern Day Administration rests on:

- Flexibility
- Decentralization of power.
- De-rigidization of job description to promote flexibility and adaptability to encourage innovation in changing situations in the economy.
- Changing of rules to suit needs to operate by the executing (officials) units.
- Bottom-up approach which enhances to capitalize optimum capability of employees at the lower level.
- Encourages free flow of information within the organization.

EVOLUTION OF PUBLIC CHOICE THEORY (PCT)

The evolution of Public Choice Theory (PCT) is given below in a timeline:

- 1948:** Duncan Black, the founding father of public choice made a framework of '*Theory of Economic and Political Choices*'. It talked about normally used formal methods. He worked on the earlier theories on 'voting' and formulated some, basic concept of 'median voter theory'. '*Work and choice and Individual Values*' was presented by Kenneth J. Arrow.
- 1951:** '*Social Choice and Individual Values*' was presented by Kenneth J. Arrow.
- 1957:** Anthony Downs wrote, '*An Economic Theory of Democracy*.'
- 1962:** James M. Buchanan and Gordon Tullock published, '*The Calculus of Consent: Logical Foundations of Constitutional Democracy*' in 1962. The work emphasized on the positive economic analysis with respect to ethical constitutional democracy.
- 1965:** Mancur Olson published his work, '*The Logic of Collective Action*.'
- 2008:** Peter Coughlin developed the theory of Probabilistic Voting and published his work in 2008.

Public Choice Defined

As per Dennis C Mueller, public choice can be defined as the economic study of non-marketing decision-making or, simply the application of Economics to Political Science. The basic behavioural postulate of public choice, as for economics, is that man is an egoistic rational, utility maximizer.

This definition suggests that choices are made to arrive at a decision not only in a market but also in a non-market situation. The premise on when the public choice works is that an individual, who is basically self-centered, uses reason to make a choice and finally maximizes utility, implying that he works to increase his benefit.

Q2 *Niskanen's model is framed by neo-classical thinking, whereas Down's model is largely dependent on the theory of political motivation.*

Ans. The Down's model presents an economic theory of democracy written by Anthony Downs which was published in 1957. Most of his work found place in the Public Choice Approach.

This theory rests on two maxims given below:

- 1. Rationality:** The rational action that the government can take provided it has the significant incentives. The basic assumption here is that every government wants to maximize its political scope and power in a democracy, within the consult framework.
- 2. Ignorance:** Generally, the voter is grossly unaware of political issues and this is a rational choice as an individual's vote does not have value to decide an election. This again is a rational decision though opposed to the earlier one.

The Down's Model can be summarized below:

1. **Voting Behaviour:** Downs explicates the voters are rational in their approach to cast their vote for the candidate from they think they can derive benefit the most. Here, the benefit or utility refer to the public services that the government provides like the policing, hygiene and water, maintenance of roads, removal of garbage and many such other activities.
2. **Benefits:** Rational men do not care for the policies as such but are concerned with their benefits that accrue to them as its result. If the income of the voter is very low, any change in the present government will lead to an increase in his economic status. So, he will vote against the incumbent for no other reason. On the other hand, if the individual is already rich due to benefits derived from the present government, he would want it to stay and vote for it. This again is a rational decision though opposed to the earlier one.
3. **Party System:** The case the voting behaviours of citizens remains almost the same in a multi-party system as in a two-party system. He applies rationally about which party would give him the most benefits although he may not vote so if he thinks that the candidate might lose. Thus, the logic of James Buchanan is reinforced that cultural environment impacts the rationality of a voter to decide his vote.
4. **The Basic Logic of Government Decision-Making:** Government's decision-making is not traditionally acted out and has 3 aspects.
 - (i) The government's objective does not align to its private nature.
 - (ii) Its private motive is to nurture its vote bank rather than to indulge in social welfare.
 - (iii) The government is a political party, striving for sustenance of control and power.
5. **Confusion over Voter Turn-out:** The voter considers the informational and the physical care and the cost that he will have to undertake for his decision to vote. From the political point of view, even one vote counts and on the other hand, it may not make much difference to an individual. So, Down is confused over the higher percentage of voter turnout than it should be, the reason for a voter to vote as mentioned earlier, could be to support democracy or in lies of benefits.
6. **Political Equilibrium:** The parties in a two-party system try to have a standardized and interchangeable manifesto to cut into each other's vote bank whereas in a multi-party system, parties try to keep their manifestoes distinguishable.

Over a period of time, if the political ideologies amongst the citizens maintains constancy, a political equilibrium can be achieved.
7. **Pliability:** Voters can be easily being pliable by the political parties with their policies and can be swayed from their fixed goals by convincing them otherwise.
8. **Identification with Ideologies:** The voter does not have to be informed of all political ideologies in detail. He would prefer a short-cut to save himself of the cost. Understanding and ambiguousness target the social diversity to make the most of the voter behaviour.

NISKANEN'S MODEL

The Niskanen Model was given by William Niskanen based on a formal model of bureaucratic supply of public output in 1971. It talked about the over-abundance of sector with reference to output and not inefficiency at minimum cost.

The following is the major maxim of the model:

1. Bureaucrats maximize their budget's size:
 - (i) The Niskanen Model finds its base in the central motivational hypothesis that bureaucrats are able to do so because of two reasons.
 - (a) **Utility Maximizers:** The bureaucrats are utility-maximisers, many factors play a role in it like income, power, status, economics benefits and perks.

(b) Survival Ground: Secondly, the bureaucrats have to create larger budgets to withstand the pulls and processes from subordinates, the executive and the legal committees.

It is observed that the civil servant can enhance the output and survive as a result of market failures to supply goods or services. This leads to a state of disbalance and in equilibrium and the citizen and defeat the government political party as they would want a reduction in the number of public services as well as in the level of taxation.

Niskanen goes on to claim that the process would continue and every political party that comes into power would be defeated because of maximization of the budget.

Monitoring of Bureaucracies

Niskanen model further argues that there are ways, albeit expensive to monitor the bureaucrats. The reasons are:

- Supervision is commonly done only by one committee and its members let the bureaucrats over-supply because they have their individual preferences to achieve.
- As the legal has limited resources the members do not perform and monitoring of the bureaucrats is done only to the limit where the marginal value and marginal cost fall into an equilibrium.

So, the monitoring of the bureaucracy is done only to the limit where the marginal value and marginal cost fall into an equilibrium.

Niskanen Model's Limitations

Although Niskanen has been considered as the founder of Public Choice literature on bureaucracy, his Model was criticized on various grounds. They are:

1. **Doubt Over the Assumption of Budget Maximization:** These have been active over the fact that the bureaucrats would maximize the budget to almost double. It has been found in many studies that the politicians have a stronger tendency to influence the budget-market for budget maximization.
2. **Integrity of Bureaucrats:** There is the point of integrity of bureaucrats who have to maintain their image and character so that they can be trusted enough to undertake further more significant tasks so NMS argument of bureaucrats as budget maximizers in their self-interest ignore the incentive that can be given to the bureaucrats to perform better.
3. **Complacent Political Parties:** The propagation of Niskanen model, that politicians are not active and accept the bureaucrats non-productive measures is countered by the fact that output of bureaucrats is quite significant. The main objective of politicians is to get selected and that is possible only if they have been able to deliver to the public via various Ministries. Here, the rational choice of bureaucrats plays an important role to whether to be productive or non-productive.
4. **No Control with Bureaucrats:** A bureaucrat, does not have control over output or the personal mechanism. He does not have the resources that are significant services for production of goods and services.
5. **Increase in Taxation:** As Niskanen says that budget maximization by the bureaucrats will lead to increase in taxation does not hold good as the governing rule party will lose the next election in such a situation. Therefore this assumption is criticized by many scholars on the grounds that the sponsors (politicians) will not let the bureaucrats work for budget maximization.

Considering the criticism of Niskanen Model by scholars, the conclusion is that bureaucracy is an important element in increasing the government's size significantly. Downs and Niskanen both gave an alternative theory of bureaucracy to Weber's Approach. Their work is an application of the rational choice

premise to the administrative theory. It considers the source of power of interest groups, impact of various groups on political decision-making and the behaviour of bureaucracies.

Q3 Discuss the Public choice theory given by James Buchanan and Garden Tullock.

Ans. James Buchanan and Gordon Tullock gave their perspective of Public Choice Theory. Given below are the major concepts of their theory:

The Irrationality of Voting for the Individual

Voting is the pillar of democracy which gives us a choice in deciding who we wish to be governed by. The economic statics of an individual factors a great deal in the outcome of an election with respect to its impact on him. An economics man cannot remain rational considering the money value benefit to him. Since voting is a norm in a society, people are influenced to do so. There appears to be a conflict between individual selfishness and cultural impacted behavior.

Rationality Behind Elections

In a society where there are more than two candidates standing for elections the voter behaviour is hardly rational and votes for the lesser evil who is most likely to defeat the 'greater evil.'

Social Welfare

Kenneth Arrow devised a formula which proved that determination of what the public wants as social welfare is impossible. This idea was further developed that if there could be some consensus in identification of social preferences, then a social welfare function can be decided upon.

Utility Maximization and Oversupply of Government: Buchanan and Tullock proposed the following regarding utility maximization and oversupply of government.

- 1. Government as a Special Interest Group:** Since 1930 the role of governments evolved as they had to perform social welfare functions but the policies made by them seldom implemented and the benefit did not reach to the common man. The logic here is quite simple that an individual is a utility maximize who acts in his own interests the same way the bureaucrats who are the principal agents of the Govt. are also utility maximisers.
- 2. The Theory of Collective Action:** It analyses the interest group impact on public policy process. Political participation via voting explains that the benefit to an individual is found to be nonexclusive. The voter is improved with private cost while voting but does not get private benefit. This leads to the exploitation of the individual by the political executive.
- 3. Economic Theory of Interest Group Politics:** This theory is quite similar to what the top two theories proposed. The Interest Group Theory of Politics and William Niskanen's 'Theory of Spending Coalitions' support that is an overabundance of government. They gave the idea of 'structurally induced equilibrium and agency theory to be applied to the bureaucracy and politics. There is an overdose of government. Various Public Choice theorists studied that political interest groups via elections gain power and what the individual and get depends on their level of participation and networking they are able to do with the policy makers.

From the above logic, it is deduced that the policy makers and bureaucrats work for their selfish interests financially as well as for gaining more power in the future.

The Constitution as a Social Contract

Buchanan and Tullock divided the Constitution into two areas: the first being the rules that deal with day-to-day administration and decisions regarding it. The second aspect is that the major laws made that deal with the policy, are not changed usually. An individual makes a choice and selects those laws that will be in his interest for a long period of time but he has no surety about the impact because his preferences are changing.

The uncertainty spreads to his attitude towards the law / rule affecting him. Hence, individuals make constitutional choices by considering their impact on them, keeping in mind their self-interest arising out of rationality but holds onto uncertainty. The constitution is called a 'political contract' by Buchanan and Tullock.

So, the basic element underlying the relationship between the government law in a system is the premise of social contract. The individual lives in a society and have a contract with each other to live peacefully so that they can help and gain from each other. After this contract is made, the society moves towards rights, duties, liberties and powers. The social contract consists of two main conditions:

1. Mutual defense of rights
2. Mutual decision by the concerned deliberative assembly

Hence, it is essential that this social contract between the government and the society is maintained for the good of all.

Rent Seeking

James Buchanan and Tullock coined the term 'Rent-Seeking Theory' which proposed that the government rules and procedures contour the individual behaviour as their objective is to maximise the reward to themselves. The concept of rent-seeking has a lot of significance in Public Choice Theory. It states that the intrinsic cost of monopoly of the govt and the imposed duties through empirical observation is quite small. Tullock suggested that transfers that are made by the government to public of public goods involve a social cost. The transfer of service is a zero—sum activity. Rent-seeking comprises of a social-cost, with respect to the dispensed product of the resources used to do so. Thus, Rent-seeking is an issue related with the supply of public goods in which rent income is derived as a return on investment without working at all for it.

The market of rent-seeking is a serious issue as it tends to disrupt the equilibrium of the market. Even though rent provides a stable income, real investment for commercial activity is important. The real investor produces real wealth whereas the rent-seeker does not. On the other hand, rent-seeking, if allowed in the private sector, will threaten the government. The government charges fees while sanctioning any quota or license which is rent.

The Rent-Seeking Theory is considered as 'new political economy'. In a nutshell, when a market economy and government both co-exist in a society. The government, via its agencies resolves to provide services in the market. These special privileges are taken by both the market stakeholders as well as the government to reap in the benefits of monopoly rent. The rent-seeking of monopoly rent. The rent-seeker benefits but on the other hand, provides services to the society. Rent-seeking is applicable in all kinds of societies.

Provider Capture

The government is the provider of services to the citizens, it is the government itself that reaps benefits the most instead of the public. This is the 'Provider Capture'.

Public Choice Theory has these two components of rent-seeking and provider capture as the main pillars of the PCT.

Cooperation

Another foundational principal of PCT is cooperation. The theory basically studies the four of human beings, especially, their constructive side, to find solutions to basic problems of the world like poverty, illiteracy, health and sanitation and the like. Once again, the issue between self-interest and public interest creeps in. The public interest must be in alignment with individual interest to make a compatible society. To do this, Public Choice Theory suggests that all mechanisms must be explored and a communitarian approach must be applied where the State and Civil Society work in tandem to attain the maximum benefit for individuals. Public–Private Partnership can be a major player in the Public Delivery System.

Minority Opinion–Enlightened Self-Interest

In a democracy with many rules, there is need to address the issues of minorities. The three instrumentalities must build up a cooperative effort and have an enlightened self-interest to bring the world together. Micro problems must be addressed by finding solutions, by making micro-adjustments which will lead to macro solutions to foster cooperation. Corporate Social Responsibility (CSR) is a new concept where a lot of money is given to provide benefits to citizen. Besides being utility maximizers, the cooperative sector has come up to bridge the gap between the government and the private sector. The concept of cooperation is based on enlightened self-interest. There are numerous examples of CSR like the Bill Gates and Melinda Gates foundations who are working in this area.

Empirical Public Choice in Voting: Quite a lot of research has been carried out to test many Public Choice Theory hypotheses and is called ‘political economy’. It equates money and votes. The study was done on two sets of models. The first set of models proved that money surely buys votes and the second set of models observed the extent of acceptance of the governing political party in relation to indicators like unemployment and inflation rates.

The Exit and Voice Concept

Democracy and its institutional framework has become a part of our lives in many ways, for example the voting system, society, bureaucracy, collectivism, etc. The best approach to study this is through this realistic concept of exit and voice. In a democracy, there are two clear choices with an individual, a human group, community, an enterprise or an organization—these are exit or voice.

Exit simply means pulling away from a relationship, like not voting for a candidate or not voting at all. On the other hand, voice means that it is the second choice that a person on an organization can have by either protesting to raise an issue through lodging a complaint, expressing grievance or suggesting a change.

Exit, and Voice has many implications which are briefly explained below.

1. **Exit, Voice and Loyalty:** Albert O. Hirschman gave the concept of exit, voice and loyalty. Hirschman views exit as an economic reaction tool in the hands of the people and prevails in an omnipresent way in a competitive market. Given that there are two responses of exit and voice to any issue, the point here is the reason why we make that choice. The reason is ‘loyalty’ which makes us choose voice over exit. It is important to understand if the public has the choice and the extent of making an exit.
2. **Exit not the Solution for all Problems:** According to Hirschman in a monopolistic economy, the monopolistic enterprises want the dissatisfied clients to exit for self sustenances. For example in the communist regimes the government electrical companies where they do not want private stakeholders to enter, like in India. Also, a government does not care if an employee /client leaves. Moreover, the reason for exiting is not clear in such a scenario.

3. **Exit and Value:** Exit and choice are important to retain ethics and values. When the situation is such that it is difficult for an individual or an organization to continue it can exit it so that ethics can prevail.
4. **Voice:** Voice consists of the power to protest when essentialities are threatened. In an electoral democracy, voice plays a significant role to raise social, political or economic concerns. Politicians have to answer these concerns to gain votes and promise them to resolve their demands. If the elected representatives fail to do so, they risk losing the next election. Citizens have the right to exit one party to join the other to realize their aspirations.
5. **Exit and Voice as an Accountability tool:** Exit and voice can act as an accountability tool if it is used, with respect to the quality of public service, individuals and organizations must use exit and voice to identify and react to a specific service. Exit and voice also acts as an incentive, as it would motivate people to use it more once they achieve what they are raising their voice against specifically for example, the government was unable to provide quality service in telecom via, BSNL, the customers made an exit and went to private stakeholders, such as Airtel, Vodafone, Reliance, etc. This acted as a wake-up call to BSNL and it started a major revamp to improve its services.

Hence, exit and voice are two tools for the citizen to influence organizations to have an impact.

Methodological Individualism: The concept of Methodological Individualism was given by economists James H. Buchanan and Gordon Tullock in 1962 in their work, *'The Calculus of Consent, Logical Foundations of Constitutional Democracy'* have been discussed earlier as given by Buchanan and Tullock.

1. **Self Interest:** They stated that all political and constitutional systems and processes work based on the promise that individuals work to safeguard their own interests rather than the public interest.
2. **Government Failure:** They highlighted the problem of 'government failure' instead of market failure. Whenever there is an economic meltdown or an economics recession, voices are heard favouring government intervention to control the market. The reality is far from it. Government intervention works on the key factor whether the government officials works on self in int or public. Mr. Buchanan calls it politics without romance when, he calls attention to review government's policies plying that we need to analyse the govts policies without any bias or sentiment.

The bureaucracy as well as the governing political party works to further their own individualistic interests which impact a society economically and politically. Policy outcomes are the most affected by this MI.

3. **Government as a Special Interest Group:** This point has been discussed earlier.
4. **Utility-Maximisers:** Individuals are utility-maximisers. Each person has his own set of preferences which we can call here as his 'utility function'. The 'utility function' can be defined according to James Buchanan as "a set of possible trade-offs among alternatives for potential choice, whether the latter be between apples and oranges at the fruit stand or between peace and war for the nation". It simply means that each individual functions on his own selfish interest to maximise his benefit based on his own choice and preferences. Once this is clear and established, it follows that there are individual differences in every society and culture. This is an economic concept but Buchanan has applied it in the political field in the PCT.

Political Exchange: A political exchange constantly works in a frame work and comprises all community members rather than the two parties involved in an economic exchange. It is based on theories of electoral party competition of theories of bureaucracy allows that an individual need to understand the question 'who and what gives the man date and legitimacy to governments'. The citizen of a country, where electoral democracy prevails have the choice to accept or reject the govt. Since the government do not stay within the counts. limits report to utility move maximization, the PD has the right to choose.

Collective Decision-Making: The Political exchange is determined by the government resolving to deliver public goods and the individual on the other hand gives its acceptance to the governing authority. Individuals in a government reconcile and reach a course nouns to finally have collective decision-making. The citizens with individual differences get aggregated moving towards social choice functions. This happens with the public choice via voting in an electoral democracy. The individual preference to become collective requires execution of individual is rewarded or sanctioned to induce compliance. PCT studies the market failures and the consequent appropriation of funds to deal with non-market processes comprising of individual choice. The PCT bases on itself on the concepts of rational man, individual preferences and price theory.

Logrolling: Literally logrolling mean working towards the passage of some legislation by exchanging political favours such as trading votes, Individual. preferences in voting result in reality the in winning majority than the lases of minority the minority participate ate in logrolleing or vote trading to counter it the majority govt in place with the help of such trading will result in govt overspending to please the minority by trading their support by giving the political famous for example passing of custom and duties bill, etc. In India, the GST Bill had been sitting in the Parliament since many years because various lobbies on both sides—majority and minority—did not want it to pass until it finally became a law in 2017. This logrolling needs to be crushed totally to have good outcomes of a government by rejecting the government.

Q4 How is the Public Choice Theory limiting in content and intellectual resources?

Ans. PCT has been a great innovative to have evolved over the years to has worked on governance and public administration. It has given significant concepts via various theorists. It focuses on finding alternatives to provide public goods while not ignoring the 3 Es.

However, there are some limitations which need to be mentioned here.

1. **Individualistic View:** As proposed by the PCT that all bureaucrats work individually. It does not take a wholistic view of the society. Bureaucrats may work individually but the psychological aspect of all of them working in self-interest cannot be understood. We cannot assume that all bureaucrats are utility-maximizers working for their own interest or in connivance with the politicians.
2. **The Down's Paradox:** The Down's paradox or 'The Down's Paradox' or the 'Voting Paradox' refers to the basic assumption of the PCT that citizens in a democracy should not vote, as a single vote of an individual will not matter to decide the result, in a democracy. The theory further asserts that even if the citizens vote, they will not make well-informed choices because of the cost factor and will move to invest their time and money in the consumer market, showing their rational ignorance towards voting. Such results do not hold up to an empirical evidence.
3. **Efficiency:** PCT advocates that political polices promote efficiency and if they fail, alternate mechanisms that is the market must intervene. This is criticized on the ground that PCT igneous the distributional effects of policy changes.
4. **Interest Groups:** Interest groups or lobbyists have a significant position in the PCT and claims that tariffs and duties are important and that the benefits are accrued to interest groups. This point has been criticized on the grounds that historically, tariffs were imposed not industry wise but as a blanket tariff for all. Industrial groups or institution groups have been found empirically to have no relation to their success in getting help from the government.
5. **Methodological Implication:** Economists believe that there is no co-relation between the economics analysis elements and these can be only predictions. The Public Choice theorists did not forgo the concept of egoistic rationality and followed the predictive analysis even though it did not succeed empirically.

- 6. Alternative Mechanisms:** Private stakeholders, that is, the corporate sector and the NGOs, comprise of the alternative mechanisms. Private stakeholders shirk in contributing to the delivery of public goods due to the obvious reason of profit.

Even though there are many limitations of the Public Choice Theory, it is important to note here that it can be very effective if continuous research backs it up in the dynamic economic and social environment. The Public Choice Theory has not withstood the empirical evaluation but researchers have not abandoned their research efforts and keep adding up variables to it. Individual egoism must be eliminated from this theory to make it more viable. However, it is still being applied in many areas, so much so, that the Nobel Prize winner, Paul Samuelson, in his book devoted eleven pages to it. He acknowledged government as well as market failures. As a post-script to Public Choice Theory, sunset legislation also took shape. Privatization, limiting government borrowing by Constitutional means and simplification of tax procedures are some of the reformative actions that followed the Public Choice Theory.

6

Liberalization, Privatization and Globalization

Learning Objectives

In this chapter, you will learn about:

- Origins and Features of Liberalization, Privatization and Globalization
- Challenges Inherent in the Movements
- Impact on Public Bureaucracy
- Impact of Economic Slowdown

Q1 *What do you understand by liberalization, privatization and globalization? Discuss.*

GLOBALIZATION

Globalization, started after World War II (WWII) but accelerated considerably since the mid-1980s, driven by two main factors. One factor involves the technological advances that have lowered the costs of transportation, communication and computation to the extent that it is often economically feasible to locate different places of production in different countries. The other factor has to do with liberalization of trade capital markets, more and more governments are refusing to protect their economies from foreign competition or influence through import tariffs and non-tariffs barriers, such as, import quotas, export restraints and legal prohibitions.

A number of international institutions established in the wake of WWII including the World Bank and the International Monetary Fund (IMF), brought the world together.

The four indicators via which globalization is assessed in the area of public reforms are:

- A downward trade discrepancy to allow full export and import of goods and services across borders.
- An environment of having the 'ease of doing free flow of businesses' for free flow of capital.
- Smooth technology exchange globally.
- Free movement of labour among different countries.

This implies that globalization is free flow in trade, capital and technology. Globalization can be understood as a process where an increase is perceived in all the dimensions of progress, economic, social and

cultural fields cutting across all geographical boundaries. This process in turn has substantial effects on the economy.

If we consider the word's etymology, the term 'globalization' derives from the root word 'globalize' which pertains to the growth of an international network of social and economic systems. Gradually, the whole world is knitting together into a single world society. Internet and means of communication have become the main sources of the spurt of globalization, especially, in the areas of economics, politics and culture for example, we have McDonald's food chain in China and French films being played in Minneapolis.

GLOBALIZATION

OECD

The geographical dispersion of industrial and service activities such as research and development, input sourcing and production; as well as cross-border networking through joint ventures and shared assets.

International Monetary Fund (IMF)

The process through which an increasingly free flow of ideas, people, goods, services and capital leads to the integration of economics and societies.

Asian Development Bank

Globalization is a process of economic integration of entire world through the removal of the barriers to free trade and capital mobility, as well as through the diffusion of knowledge and information in the entire world. It is a historic process moving at different speeds in different countries and in different sectors.

World Bank

Globalization refers to the growing independence of countries resulting from the increasing integration of trade, finance, people and ideas in the global marketplace. International trades and cross-border investment flows are the main elements of this integration.

LIBERALIZATION

Liberalization usually follows globalization. It is mostly used in reference to economic social resulting from lifting restrictions like tariff subsidies. It has become a commonly used process to boost economies since the 1980s. It liberates the economy from control mechanisms of the government to give freedom to businesses to grow.

Liberalization can be defined as, 'unilateral or multilateral reductions in tariffs and other regulatory controls that put constraints on trade.'

Need for Liberalization

With the advent of globalization due to the growth in the Internet, Communication and Technological (ICT) sectors, for example, Internet of Things and wearables industry, a need for liberalization arose to bring about an ease of operational business and to develop a healthy competition among companies at an international level. It leads to a decrease in cost of production, distribution and time consumed in doing so.

PRIVATIZATION

Privatization literally means changing something from state to private ownership or control. There are three forms of privatization:

1. **Ownership Measure:** The extent of privatization can be measured by seeing the percentage transferred from Public Sector Undertakings (PSUs) to the private sector which could be single ownership, corporate or cooperative. Furthermore, ownership measure can be of following types:
 - **Denationalization:** It involves a gross 100 per cent transfer of possession from government to the private sector.
 - **Joint Venture:** There are variants of percentage share of transfer which decides the controlling stakeholder in a joint venture.
 - **Liquidation:** Total stake is sold out to a private enterprise who will decide what to do with the company.
 - **Cooperative:** A cooperative is formed with workers to run the business through facilitation with finance from banks for the purchase of shares and are also benefitted with the ownership dividend over and above their salaries. This is a type of denationalization.
2. **Organizational Measures of State Control:** There are certain organizational control mechanisms of restricted control which are given below:
 - **Holding Company:** A limited autonomy is given to the enterprises for operational business whereas the government retains control in the top-level managerial decisions displaying decentralization. This type of control is seen in a holding company, for example, RAM Heavy Electrical Company.
 - **Lease:** The government leases out a PSUs to the highest private bidder for a fixed period. The private lessee has to bid for a specified percentage of profits. The lease may or may not be renewed.
 - **Restructure:** Restructuring can be based on finances or just basic. Financial restructuring involves writing off the piled-up losses and adjustment of debt-equity ratio. On the other hand, basic restructuring comprises of outsourcing a part of its activities to ancillaries.

So, an organization must give an ample amount of autonomy to its operators to increase efficiency and productivity. A proper incentive system needs to be devised so that workers produce more. They must be permitted to venture into free market to obtain material to cut cost of production and finally to arrange financial resources to expand their area of operations. This would bring an attitude of privatization in a PSUs.

Privatization follows from its other two counterparts of Globalization and Liberalization. The term 'privatization' was first used by Professor Peter Drucker in his book *'The Age of Discontinuity'* in 1967 while discussing disinvestment of government in PSUs. He was criticized by many claiming that such an action could not be possibly undertaken. In 1980, the British Prime Minister Margaret Thatcher initiated the revolution and it spread to the other parts of the world. The Public Choice Theory also propagated a withdrawal of the government's stake and the employment of non-intervention policy, that is, liberalization. The natural consequence of liberalization led to privatization.

The Organization for Economic Cooperation and Development (OECD) defined privatization as, 'Any material transaction by which the state's ultimate ownership of corporate entities is reduced.' This implies the processes of direct disinvestment by the government of corporate assets and dissolution of managerial positions held by the state. The governments all over the world are prioritizing financial profitability to assess the performance of a public enterprise. Privatization is being followed almost in every country. The various forms of privatization are contracting out, franchising, user, fees and load-shedding.

To sum up, liberalization, privatization and globalization are all interlinked and are supportive to each other.

Q2 *Discuss the challenges being presented by the emergence of liberalization, privatization and globalization with special reference to India.*

Ans. Liberalization, Privatization and Globalization (referred to as LPG in the following lines), gained momentum in the 1980s and has been increasing ever since. Nations—both developing and developed—have been reaping the benefits of these movements. The Indian economy got a boost when economic reforms in the 90s took place, according to the blueprint prepared by the World Bank and the International Monetary Fund (IMF), based on free trade. The liberalization policy led to privatization and globalization in the Indian economy and rolling back of the state from many areas.

It is important to understand the challenges and effects of LPG on Public Administration. They are:

- **Clash of Civilizations:** A political scientist, Samuel P. Huntington, in 1992, gave his theory in an article, *'The Clash of Civilizations'*. According to him, in the post-cold war period, the ideologies of the capitalist free market and economy would be one of the major causes leading to conflicts arising due to cultural and religious factors. After the cold war, the world politics has changed shape by an addition of other sovereign countries to the strong western democracies. There are groups of civilizations which would eventually clash with each other considering economic factors, especially between Muslim and non-Muslim societies.

The reasons for the clash of civilizations are:

- **Fundamental Differences:** There are historical, linguistic, cultural and religious differences among societies and they cannot be eliminated.
- **Globalization:** Due to globalization, there is a rush of interaction between societies thereby increasing 'civil consciousness' highlighting the similarities and differences amongst them.
- **Loss of Identity:** LPG has brought in social change and left a gap between them and their culture. Religion has replaced this gap to unite these societies.
- **Conflict:** A conflict between the western and non-western countries is increasing to be able to influence the other.
- **Cultural Factors:** Integration of cultural factors is very difficult because they are very strong.
- **Economic Factors:** Economic regionalism is on a rise and it will enhance civic consciousness ultimately.

So, this becomes a conflict between the west and the rest leading to a clash of civilizations as the traditional cultures cannot imitate the west.

- **Strong Organizations:** LPG makes strong nations as their economies are reinforced because of their capability to accumulate resources. When developing countries grow economically, they get an impetus in all around development like India is now contesting for a seat in the United Nations. As a consequence of LPG, many strong organizations like the World Trade Organization and the Euro Currency have emerged. On the other hand, there is a need to have strong state intervention in globalized strong market economies so that they can be guided in the right direction to achieve their basic goals. India faces a major challenge in strengthening organizations to compete with the developed economies on one hand and corruption within the country, on the other.
- **The Social Connect:** LPG brings about branding via the Multinational Corporations (MNCs) and an element of commonality across nations, for example, a person is confident of the taste of his burger in any part of the world provided he goes to the same outlet of the food brand. This type of aggressive marketing has brought about a societal change in the developing nations. The challenge here is that the MNCs only deliver private goods and the government cannot ignore the fact that the responsibility of public goods still lies with the government. It can definitely reduce and downsize its presence from the market and concentrate more on providing public goods.

So, the government's must facilitate rather than intervene in the markets in private industry. LPG has resulted in emergence of competition, pro-market environment, privatization and reforms to remove deficiencies, for example, the 1991 economic reforms in India. The response of the government has to be necessary to:

- Liberalize markets
- Orient markets
- Conduct performance appraisal of PSUs

A deregulation and decentralization initiative in PSUs are essential in India to reduce rigidity in the centre plans so that adjustments can be made to the local needs. The government needs to imbibe entrepreneurial participation to promote innovation to increase the 3 Es and to reduce budget deficit.

- **State-Market Cooperation:** 'State-Market' cooperation can be seen in LPG from two directions. The first is 'Strategic Cooperation' which comprises of making the economic environment conducive to long-term market stability through monetary and fiscal policies. Secondly, regulation of the market can be done by establishing an institutional framework like the Securities and Exchange Board of India (SEBI) and to control the upheavals of the stock market and the Insurance Regulatory and Development Authority (IRDA) to control the insurance sector. The central banks formulate and modify the monetary and fiscal policies to adjust the markets like the RBI in India.

In spite of the undesirable side-effects emanating from globalization, there are many opportunities that present themselves to Public Administration which must be captured. This will lead to the usage of globalization as a lever for development rather than face any side-effects. However, it must be studied how these opportunities are varied in every country and if these challenges presented by globalization pose a threat or an opportunity. This can be observed with the help of how different factors like, history and culture affect public administrators in resolving issues specific to their country. Countries must tackle the challenge of globalization by understanding their local as well as national needs and priorities.

Q3 Discuss the impact of LPG on public bureaucracy.

Ans. When there is an economic and social global change, it impacts all arenas. Public bureaucracy is influenced because of the growing LPG. Given below are the ways in which the public bureaucracy is influenced by LPG:

- **Debureaucratization:** LPG requires debureaucratization because once the process of delicensing and deregulation has taken place, the need and role of bureaucracy also decreases. New Public Management (NPM) evolved after LPG revolution took place. NPM was an effort in the direction of the restructuring of the bureaucracy. The public expenditure to support the bureaucracy is enormous in itself to survive. Downsizing bureaucracy would result in economy of government expenditure. The growth of neo-liberalism led to the conception of NPM and a rollback of the state bureaucracy. The RTI and Citizens' Charter are examples to check the bureaucracy's arrogant and secretive attitude to make them accountable and responsible.
- **Role of State in LPG:** The concept of good governance grew radically after the LPG came into full force. The World Bank's Worldwide Governance Indicators (WGI) emphasized the importance of performance indicators and performance measurement of PSUs and state agencies to evaluate a country's state of good governance. It pushed the point of the state acting as a regulator to check fraudulent and excessive profit motive in the private sector. The governance has the responsibility to provide social security to the public in the fields of health, education, shelter, hygiene, etc.

Effective mechanisms to control corruption in the area of LPG also falls on the governments as a regulator to have effective good governance through efficacious bureaucrats. To make LPG a success, ethical good governance must be practiced amongst the bureaucracy to build sustainable development. The failure of World Bank's programs was yielded to the lack in privatization and government sector reforms because of unsuitable regulations. Public choice theory and new public management guided the way for LPG.

- **Public-Private Partnership (PPP):** The executive branch of the government has to fulfil its role as a regulator to check that there is facilitation of free market economies and that the market does not divert away from the poor sections of the society. The government can achieve this by simply employing PPP in such areas where the private sector is reluctant to go by giving sops like tax exemptions.
- **Infrastructure:** While the government has to pave the way for LPG by following the reforms directed by the Bretton Woods institutions, the World Bank and IMF, it has the responsibility to develop the necessary physical infrastructure of roads, bridges, airports, land provision to MNCs for setting up their manufacturing units, safe drinking water, etc., so that there can be ease of doing business, for example, setting up of IT parks in satellite towns in India. The changes that LPG brings to developing countries happen in varying degrees which leads to clashes between societies. The bureaucracy is also a part of the society and gets influenced and pressurized by the powerful business elite groups and lobbyists. As the stage of development increases, there comes a shift in the behaviour of bureaucrats and they need to be efficient to deal with new problems plaguing the urban population due to LPG.
- **Changes Brought into Public Administration:** The world has gradually moved into an era of LPG since the 1990s. The government has changed its role into a facilitator from a feudalistic dictatorship. It has become an entrepreneurial government establishing the *laissez faire* and relieved the government of the pressures of the market and left it free to deal with the efficient delivery of public goods by incorporating citizen participation and responsiveness of the government, for example, the Odisha state did not allow the private companies when the village *Panchayats* opposed their setting up.
- **Terrorism:** Terrorism is the act of brute force used by organized groups to instil fear amongst people and to force to get their demands fulfilled with arms and do not hesitate in doing mass killings by making the governments bow down. LPG unwillingly helps terrorism as cross-border trade and commerce makes it possible for them to trade illegal money and arms. Technology also helps them to do so, for example, wireless transfers of amounts of money or organizing terror attacks. This has an adverse effect on governments as well as the economy of a nation. India is facing the problems of a proxy war and imported terrorism which harms the economic development. The bureaucracy finds it hard to deal with problems arising out of terrorism like, displacement of populations, extreme poverty and lack of basic services.
- **Climate Change:** LPG basically focuses on the growth of manufacturing sector. Rapid growth of manufacturing industry has led to large amounts of carbon emissions. Developed nations are themselves responsible for climate change as global warming is gradually changing all seasons and converting deserts to flood hit regions and rivers to go dry. There is a lot of effort going into the direction by the governments to control climate change. At the Paris Conclave 2015, more than 125 countries committed to cut green emissions to keep the global temperature less than two degrees. It is the duty of the bureaucracy to implement the rules and regulations to check greenhouse gas emissions with strict monitoring and inspection.
- **Food Security:** LPG has resulted in a good healthy life with an increased lifespan. Medical supplies and healthcare has improved tremendously and has resulted in an increase in population which in

itself is a mammoth problem. The problem of food security has arisen as an after-effect of LPG. The bureaucracy faces a problem in the public distribution of basic requirements to keep the population out of starvation and poverty.

- **Lack of Capacity in Developing Countries:** Developed countries look towards the developing and underdeveloped nations for setting up their manufacturing units to take advantage of cheap labour and land while the developing and underdeveloped nations get employment and business in return. The conditions laid down by the World Bank and IMF leads these nations to building of physical infrastructure and they eventually grow economically. The problem lies in the capacity of a developing country to reap the benefits of LPG. The bureaucrats are still getting revamped and waiting for reforms and the nations are on the way to deregularization. So, this becomes a challenge for the LPG to be successful in developing nations.
- **Lack of Sovereignty:** With the directions and conditions of Bretton Woods Institutions, World Bank and IMF, nations face a loss of sovereignty. The developing nations have to resort to structural adjustment in their bureaucracy and their government agencies to facilitate and ease out the process of setting up businesses. So, countries cannot have independent policies and results in loss of democracy too. Democratic powers of a country are reduced as developed countries form their organized forums but since these forums do not have a political cognition, the big giant economies like the USA and Japan dictate their terms and conditions having an impact on the bureaucracy to cope up with international pressures.
- **Loss of Community:** The policies of economic LPG have led to a reduction in the livelihood of people in the communities they live in. A large population has to migrate to urban areas as they are displaced from their indigenous lands due to land acquisition. Turmoils of the urban poor and their insecurities are on the rise and there is a marked decline in the industries of semi-skilled labour, such as, handloom workers, woodcutters, farm labour, street vendors, etc. The bureaucracy struggles to alleviate poverty and rehabilitate the lost communities.
- **Challenge of the Age of Information:** The age of information has digitized all spheres of our lives and led to e-commerce, e-banking, e-learning, e-governance and e-medicines. All social and economic activities have become commercial commodities. The governments find it extremely difficult to deal with all the new technology-based services turned into commodities. The government departments are computerized or are in the process of computerization. Developing countries are still doing capacity building whereas the developed nations already have achieved it successfully. This gap becomes a real challenge because of LPG. Mostly, globalization works on-way as the citizens might lose their community values. We accept the values of MNCs and their culture whereas they do not. There are exceptions to this rule, for example, McDonalds in India sell burgers to serve the Indian taste, however, the local population is changing its lifestyle by adopting the western culture. The public bureaucracy has no measures to control this issue.
- **Global Corporate Empire:** The formation and continuous expansion of MNCs have created a new entity called 'Global Corporate Empires'. Sometimes the total turnover of three to four MNCs equals the GDP of an underdeveloped or a developing nation. Their objective is to increase profits by manufacturing in the developing countries at cheaper raw material, labour and land cost and thereby augmenting their margins of profit. The developing nations are moving towards capitalism but the bureaucracy has to take up the social welfare functions so that no one is left behind. Governments have passed legislations, as in India also, regarding Corporate Social Responsibility (CSR), to contribute at least 2 per cent of their profits every year. This applies to the companies with an average net profit of 50 million rupees over a period of three years.

Hence, it is clear from the above-mentioned points that LPG is good for the economic development of the world increasing the global GDP but the governments and the bureaucracy have to keep up the pace to do their own social functions so that the gap regional and economic disparity closes down.

Q4 *Is globalization turning the opposite way and becoming deglobalization because of economic slowdown?*

Ans. Globalization may have been revived and been given a boost to international trade but it has always been existing in the world. Globalization has become a thing to stay in the future too. The 2008 world economic recession brought it to a massive slowdown. The attack on 'World Trade Centre' (USA) was an attack on the west, its power and its capitalist ideology. Deglobalization is happening due to:

- **Cultural Differences:** The critics feel that there is a need to take a relook at the ideology itself. Some say that globalization era is over as the markets' faith in it has reduced. The basic problem with globalization in the USA was that it was assumed that the non-western nations also wanted to live like them, said John Gray, a Professor at the London School of Economics. The non-westerners felt injustice had been done to them. The conflict needs to be integrated and peace made for global civilization.
- **Globalization Crimes:** Globalization Crimes leads to oppression of consumers, democratization, despoiling of environment, dewelfarizing of the state, increasing poverty in the third world and a utopian, mythical, global ideological subjugation though the anti-deglobalization theorist refute it by saying otherwise. There has been an economic meltdown but the world is picking up the broken pieces and the rate of economic growth is once again increasing.
- **Rise of Localism:** Instead of globalization, there can be seen a rise of localism in the last couple of years. There is an increase in local banking, manufacturing, sourcing for foods and restaurants, for example, we see websites like somatotropin and food panda in India to source food at one stop and manufacturing of indigenous electronic goods, smart phones, pen drives and power banks locally in India. The present Government of India emphasizes on the manufacturing of goods in India and has propagated the slogan, 'Make in India' for international companies. Statistics show that the ease of doing business has increased due to infrastructural and institutional reforms and 100 per cent opening of the Foreign Direct Investment (FDI) has opened many manufacturing sectors.
- **Protectionist Control Mechanism:** The post 30s Great Depression brought in a hoard of protectionist measures and increased tariffs and duties. Instead of protecting consumers, it led to a steep decline in trade due to businesses shying away from investing in stringent environments. In 2012–2013, the governments slammed the protectionist control measures three times than the liberalization measures. After 2008 recession, the anti-trade policies moved up to three times in 2010. Policies need to be restructured to bring down controls and protection by the government like the agreement of World Trade Organization (WTO), 'One Belt, One Road' initiative, Trans Pacific Partnership which act as stimuli to world trade. Examples of deglobalization can be seen in the USA increasing the import tariffs for China which did the same for the USA, thereby decreasing the levels of globalization and also changing the attitudes towards it.
- **Geo-Political Factors:** Policy measures and geo-political factors put constraints on an easy flow of human resources, technology, goods and services. There are bilateral agreements often go against the very concept of globalization.

Hence, the global economic turndown has led to a gradual downtrend in globalization. Slow trade and productivity have resulted in a decrease in GDP growth. Import substitutes and social unrest in various nations also have contributed to deglobalization with a decrease of 2 per cent of world economy growth trade to a high of 20 per cent prior to 2008.

7

Good Governance: Concept and Application

Learning Objectives

In this chapter, you will learn about:

- Evolution of Good Governance
- Political Intent and Good Governance
- Minimum Government, Maximum Governance
- Democratic Governance and Good Governance
- Assessment of Good Governance in India
- Types/Models of Good Governance
- Interconnection Between Human Rights and Good Governance
- Corruption and Good Governance
- Contribution of World Bank to Good Governance
- Ethical Governance
- Kautilya's Contribution to Good Governance

INTRODUCTION

The concept of good governance, having no defined boundaries, flexes itself in all directions. It covers the basic rights and duties which a government must cater to deliver. The indicators which are used to understand and analyse the level of governance of it being categorized as good have been identified by various world organizations. The most commonly used are human rights, rule of law, accountability, transparency, responsive, equitable and inclusive efficient and effective and lastly participatory.

Governance is the process by which the governments take decisions and get them executed. Usually, it acts as a mechanism that measures how much various governments could succeed in delivering in the above-mentioned areas. The global organizations, analysing economies at the international level, study governance with respect to markets, people, public private partnerships, the political representatives and the executive and so many more such issues.

Governance is not a new concept. We, for sure, know that it existed in India in the fourth century when Kautilya wrote his famous work, 'Arthshastra'. On the other hand, now a new-found interest is seen in the study of good governance. This fact is deduced from the simple fact that governance, no doubt, has been there ever since but how good, has to be evaluated. There is a definite difference in the developed

and the developing countries with their delivery system and governance. The causes for this difference have to be analysed by the world organizations like the World Bank, International Monetary Fund, Asian Development Bank, etc. These organizations help in improving good governance of its member countries by adopting new policies to have better economies and their regulatory structure.

Modern governments came into existence for those very characteristics that are the basic constituents of good governance. The word governance was first used by Plato which meant 'to steer', which in the modern sense has come to mean a process by which the social and economic resources may be managed efficiently and economically. This is quite contrary to the traditional monarchical 'Top Down' approach. So, basically the objective of good governance is to use power lawfully to get results with respect to economy and societal progress utilizing political forces as well, in an organized way.

MEANING AND DEFINITIONS

The definition of good governance by World Bank evolved because of the developing governance approaches. Governance considers traditions and institution of a nation along with the state. A government is elected on the basis of such traditions and institutions.

Governance is also defined as the process which acts as an instrument to make decisions powered by authority with respect to appropriation of public funds. Actually, a few developed nations became the pioneers of good governance who stressed on modernization of the fundamental pillars of a country's system, the financial system, the political system and the judiciary.

The present developmental model of good governance emphasizes on the rule of law, a sound judiciary system, laws specifying property rights, company laws, etc. Public sector management also has become a major factor in good governance because of a decrease in its size, thereby resulting in better transparency, accountability and better economic policies with the help of industries and a decrease in the levels of corruption.

Good governance model is being widely used all over the world to have better service delivery systems. Agencies like the World Bank, International Monetary Fund, the Organization for Economic Development and Cooperation's Development, Assistance Committee and the World Trade Organization, support this model.

Good governance also comes across as normative, that is, 'what should be' instead of positive, that is, 'what is' because the main objective is to have a fair and square social welfare system and a consistent sustainable macroeconomic environment.

The definition of good governance includes implementing the developmental plans and policies of the government along with the revamping the organizations to put a good management system in place. The eventual ultimate stakeholder, that is, the citizen, needs to have order, justice, equity and accountability.

On the other hand, the most important factor impeding good governance is corruption. The factors leading to corruption are being studied globally by economists and thinkers. Corruption retards growth whether it is economic or social. The state has to intervene to sever the corrupt relationship between the governed and the governing authority and build better systems which will not let the corruption permeate the organization. Civil society's role has to be considered to achieve the goal of strong organizations. Citizen participation without any political alignment is necessary.

There are various dimensions adding up to the concept of good governance like human rights, sustainability of environment, women empowerment, efficient bureaucracies or the monitoring of aid that comes in from various quarters or economic aspects. According to some thinkers, good governance and development have a 'strong cause and effect relationship' where development is a direct effect of good governance. Hence, good governance has an umbrella syndrome where all the 'good' adds up to governance though caution needs to be taken to not to burden the schedule of progress and development.

This umbrella syndrome highlights 'inclusivity' where most of the countries are increasingly becoming multicultural and multi-ethnic. Good governance must always be coupled with control to avoid excessive centralized power in the hands of the government.

Q1 *What is good governance? Discuss the evolution of good governance globally. Was India ever a part of the good governance evolution? If yes, how?*

Ans. Good governance has been existent in our society since centuries albeit not in the modern form. It has been evolving however over the years to reach its present status. Given below is the timeline of the evolution of the concept of good governance.

TIMELINE

Given below is the timeline with respect to the evolution of good governance:

1215: The historical evolution of good governance had its benchmark, '*The Great Charter*' of 1215 in England by King John in its primer constitution enhancing decision-making and curtailing the monarch's powers.

1800s: The right to vote become fundamental class-wide. Karl Marx and Engels conceptualized socialism and introduced some reforms like fixed working hours, standardized norms of housing, education, social security and minimum wages.

1930s: The 1930s witnessed some activity in the field of good governance in various countries.

- **Germany:** Social welfare was added to the role of the government by Bismarck.
- **USA:** The 'New Deal' was passed by President Franklin Roosevelt which were a group of programmes as a result of the 'Great Depression' between 1933 and 1936. It stressed on the '3 S's' as Relief, Recovery and Reform for the underprivileged.
- **USSR:** USSR began central planning.
- **England:** It emphasized on a welfare state.
- **France, Austria:** Both the countries stressed on good governance.

Second World War: The end of the World War II brought in many new nation-states into existence with new dimensions to the international relations. The foundation of the United Nations was laid down but there was an escalation of cold war. The International Monetary Fund helped in encouraging the world trade.

1960: Nation states like South Korea and Taiwan became emerging powers in the region towards the end of 1966 with India, Brazil and Pakistan following the trail of development via governance. Talk about corruption also started with respect to governance.

1969: The Report of the Commission on International Development, commonly known as the Pearson Report, in Canada included just one sentence on the subject. It stressed the need to have administrative reform so that the government is participatory, effective and responsive while executing the framed projects and plans.

1970s: State led growth started declining and questions were raised over state dominated political societies as the state was failing in its developmental activities.

1980s: The 1980s saw the emergence of good governance towards the end of the decade with the Berlin Wall's collapse which triggered the dissolution of the USSR. It weakened the Eastern block's unity and alliances. A study conducted by the World Bank, 'Sub-Saharan Africa—From Crisis to Sustainable Growth', is a landmark historical development in the evolution of good governance.

1989: The year 1989 shook the whole world with the end of autocratic governing bodies. The term, 'Governance', was used for the first time by the World Bank to introduce reforms in public sector organizations. The World Bank study defined 'Governance' as 'the exercise of political power to manage a nation's affairs'.

1990s: It was observed that governance could be a medium of development by including the private sector and NGOs, with the government as a controlling factor. The World Bank initiated many governance programmes without political interference but promoting the participatory aspects. The Organization for Economic Cooperation and Development (OECD) and the United Nations Development Group (UNDG) promoted the concept of good governance vigorously by declaring its indicators including human rights, democracy, etc., among other issues. The European Union, on the other hand, dissociated issues like human rights from good governance. It perceived good governance as a medium of public delivery system to achieve development and economic growth.

1992: The World Bank gave a definition of governance, 'Governance is epitomized by predictable, open and enlightened policy making (that is, transparent process); a bureaucracy imbued with a professional ethos; and a strong civil society participating in public affairs and all behaving under the rule of law'. This definition is still representative of the World Bank's views till today.

2000: The United Nations held a Millennium Summit with its 189-member states and declared 8 Millennium Development Goals (MDGs) that comprised of 18 targets and 48 indicators. The MDGs aim to accomplish betterment of the lives of people by 2015 and to measure the results to quantify development.

2001: The World Bank came out with its development report acknowledging accountability as a fundamental of empowerment and to alleviate poverty. The participatory monitoring of the government budgets or programmes encourages proper collection and analysis of information. Feedback and response are integral to have good governance for better and effective delivery systems.

2005: The World Bank released its report, '*Review of World Bank Conditionality*' which gives the data on governance of 200 nations founded on 350 variables. These variables have been summarized under six main indicators. Its observance was that the governance of public sector undertakings had improved with respect to the conditionalities imposed by the World Bank.

2012: The United Nations held the 'United Nations Conference on Sustainable Development' in Rio de Janeiro in June 2012. It declared Sustainable Development Goals (SDGs) to achieve international development. The SDGs were to replace the MDGs at their expiration at the end of 2015.

2013: The United Nations stated that there would be 12 areas that would succeed the 8 Millennium Development Goals in 2015. These would include good governance as a 'stand-alone' goal, reduction in bribery and corruption, peace goals, etc.

2013: The UN General Assembly via a decision established the 'Open Working Group on Sustainable Development Goals' in January, 2013 in 'The Rio+20' outcome document, 'The Future We Want' and proposed 17 goals and 169 targets. The issues covered were eradication of poverty, hunger, health, education, sustainable cities, protection of oceans, forests and climate change.

2015: The United Nations has scheduled a conference in September 2015 to be held in New York.

Q2 Trace the evolution of good governance in India.**OR****Is good governance new to India?**

Ans. India has had a long history of good governance since the ancient times. There is mention of governance in the Rig Vedic times though the Head of the State was the King. There is an acknowledgement of 'gram', a village, and its leader was called, 'gramani'. A group of villages was called 'Vish' which was administered by a 'Vishpati'. A cluster of Vishas became a 'Jan' under a 'Gopa' who was a representative of the king. This type of structure can be seen presently in the three tiers Panchayati Raj System of India which is actually what the UNDP termed as 'democratic government' in 2002.

GOOD GOVERNANCE AND BUDDHA

Gautama Buddha was born in the 6th century BCE in Lumbini (Nepal) in the Shakya's tribe which was known to be quite downtrodden and poor. He is considered as the 'enlightened one' in the Buddhist traditions. Buddha, in his teachings, besides religious preaching, also talked about good governance. He gave the 'Middle Path Approach' which proposed that life is full of misery and we have to face these miseries due to our karma of past lives. The only way to deal with these miseries is to go on the right path of faith, religion, honesty and good. So, the 'Middle Path Approach' talks about following this path to attain peace with the society.

According to Buddha, the word, 'king' is 'Sammutideva' in Pali language which means 'God in the public opinion'. The king has to follow the canons laid by Buddha so that the common masses are satisfied with his ways. The public has full right to choose another leader if they are not happy with their king. Buddha wrote about 'virtues of the ruler' in his scriptures called 'Jatakas'. He talks about responsibilities of the king and his subordinates in it. These ten virtues which Buddha laid down were morality, honesty, altruism, gentleness, self-restraining, non-anger, non-violence, forbearance and uprightness. He laid down various guidelines for the king and his subordinates.

GOOD GOVERNANCE AND KAUTILYA (GOVERNANCE IN THE MAURYAN PERIOD)

The great king Chandragupta Maurya (340 BCE to 298 BCE) founded the erstwhile 'Kingdom of Mauryas' and ruled India as one state. He brought the Indian subcontinent under his kingship under the guidance of the well-known economist and political guide, Kautilya. Various economic and political reforms were executed by them in unison and India became an efficient country boasting of a well-structured bureaucracy.

In the field of social sciences, Kautilya (300 BC) is well-known as an expert on economics, public administration and political science. *Arthshastra* is the greatest of his works and a significant contribution to the world. In the present-day scenario, we can term his methods and concept as indicators of good governance. Kautilya termed, what we call as good governance, as an ideal state or *Ram Rajya*.

Ram Rajya: The Ideal State

Kautilya had some specified unique ways to achieve the state of *Ram Rajya* in detail which can be summarized in the following points:

1. **Dandniti:** Kautilya acknowledged the king to be the leader embodying peace and order. He had to be a slave of the people. His own interests were secondary to his duty to do for the betterment of the society. He had to set an example to his subjects so that they follow him. This concept of the king

being a 'constitutional slave' is comparable to Max Weber's rational authority which propagates 'depersonalized bureaucracy' implying a bureaucracy being deprived of any individuality. The leader must be able to inspire his ministers to work together to achieve their commonly accepted objectives to have good governance.

2. **Dandniti:** According to Kautilya, to achieve good governance, *dandniti* has to be applied where required justifiably to command respect from his subjects. This concept of 'coercive authority' exists today also. So, Kautilya's authority can be equated to 'Rule of Law' to have justice. He talks emphatically against corruption as it destabilizes the king as well as his kingdom.
3. **Human Resources Management:** He spoke of accountability, job security or team work and delegation to be extremely important to achieve an ideal state. There must be a right person for the right job. Much importance was laid on the appointment to *amatyas* who were writers of a high status. They were supposed to have the capability to file writs, write declarations, manuals, etc.
4. **Guided Administration:** The bureaucrats must be guided and instilled with a sense of propriety. Keeping in mind the social welfare, the administration needs to be guided and advised but they cannot be controlled because the civil servants tend to become guides for the people.
5. **Discipline:** The king must be a disciplined leader following an intricate 'Code of Conduct' which he would impose on his ministers too as they are models for the common masses.
6. **Goal:** According to Kautilya, the ruler must stay from extremes without missing the goal. He must neither lose sight of the objectives nor be too reformative, liberal and progressive. Market economies must have some state regulation.
7. **Salaries and Allowances:** The king and civil servants must have fixed salaries and allowances by the council. Kautilya fixed the amounts also. This parameter of Kautilya is quite contradictory to Plato's notion of the king being able to spend as much as he wanted to, from the government treasury. The king was also not supposed to be promiscuous with 'n' number of women.
8. **Rule of Law:** This concept of Kautilya was quite stringent and consequently effective. He said that law and order was the king's portfolio and he was responsible for the protection of life, liberty and wealth of his subjects. If there would be any forsaking or negligence of duty on the king's part, he would have to pay from his salary.
9. **Good Ministers:** The king must appoint good ministers and has absolute power to replace him/ them with a good one if he feels otherwise.
10. **An Ideal State in the Case of Instability:** An 'Ideal State' or good governance must be achieved even if there is political instability.

Hence, it can be said that Kautilya was a beacon in the evolution of good governance in the Indian administration.

1947: It is generally believed that good governance is not a new concept and has been prevalent in India under various kings and monarchs in the pre-democratic era. After India got its freedom in August 1947, it established a democratic government with its own Constitution which ultimately came into force in 1950. The main goal was to achieve the rule of law, freedom and democratic governance. The terminology might have evolved over the years and finally come to execute the concept of good governance, its seeds were well sown into our constitution. The UNDP, in its published report, in 2002, emphasized the importance of a democratic government which can be found in the directive principles of the state policy in Part IV of the Constitution of India. It included the fundamental human rights as fundamental rights in the Part III of the Indian constitution. The Indian judiciary has passed various verdicts from time to time upholding the fundamental rights in many cases.

Post-Independence Objectives

India needed a reorganized novel administrative set-up to cater to the needs of a newly free country which were poverty, education, health, policing, corruption, etc. Dealing with these problems is considered good governance in the present-day. Policy-making was allocated to the secretariat and policy execution to the executive agency. The government was made accountable by the constitution framers for the following sectors:

- Legislative oversight over administration
- Rule of law and human rights
- Voting rights and maintenance of democracy via holding elections under the Election Commission.
- Institutions like that of the Comptroller and Auditor General of India, Finance Commission, etc., to be set-up autonomously.
- Upholding fundamental rights.

A few more areas which were identified for development after independence were growth of public private partnerships, planning, democratic decentralization, social engineering, etc. Jawaharlal Nehru's Five-Year Plans were a good economic and social planning system for development of India.

Administrative Reforms: First Phase

In India, administrative reforms were carried out by various committees from time to time. A brief chronological timeline is given below:

1945: Tottenham Committee recommended a clear-cut separation between the functions of the secretariat and the executive agencies with requisite delegation of powers.

1947: The Girija Shankar Bajpayee Committee emphasized on the reorganization of the ways of the secretariat and the civil service to have greater efficiency.

1948: The Economic Committee and the Kasturbhai Lalbhai Committee carried forward the work of the Girija Shankar Bajpayee.

1949: The N. Gopalaswamy Ayyangar Committee suggested that the cabinet must be reinforced legislatively to have better civil servants so that work methods may be improved.

1951: Gorwala Committee emphasized on the efficient functioning of the 'State Level Public Enterprises'.

1953-1956: The Paul Appleby reports stressed majorly on the reorganization of the basic principles and concepts of administration. It suggested that the Indian Institute of Public Administration must be set-up to train officers and establish 'Organization and Management Divisions' at all levels.

The government executed many recommendations of these committees.

Administrative Reforms: Second Phase

1966: The administrative reforms began their second phase with the setting up of the Administrative Reforms Commission (ARC).

The objectives of the ARC were:

- Evaluation of administrative shortcomings.
- Assessment of administrative needs to cater to the present and future developmental essentialities.

- Economic administration.
- Ascertainment of balance between administrative reform and stability.

Given below are the main recommendations given by the ARC:

1. Initiation of performance budgeting.
2. Setting up of *Lokpal* and *Lokayuktas* at the union and state to promote integrity, ethics and responsive governance.
3. Establishment of a personnel agency at the centre and also in every ministry.
4. To work towards a harmonious centre-state relationship under Article 263 of the constitution.
5. Pension reforms regarding prompt payments.
6. Improvement in policy formulation.
7. Setting up of 'Consumer Consultative Committees'.
8. Establishment of 'Internal Standing Committee' on planning, formulation of planning cells in each ministry, setting-up of state planning boards, preparation of project manual and training programme for project management.
9. Eliminating politicization of civil service.
10. Producing specialists in the civil service.

Even though the above-mentioned recommendations were made and were definitely forceful but the Administrative Reforms Commission could not get results. Various committees/commissions were constituted to look into matters of administration in the sectors of education, law and order, centre-state relations, etc.

Administrative Reforms: The Third Phase

The third phase began in the 1990s when good governance began with the 'New Public Management' of public administration and encouraged liberalization, private and globalization as a systematic plan. The Right to Information Act 2005 worked as a tool of good governance to deal with transparency and accountability. E-governance through Information and Communication Technology (ICT) helped in dealing with various issues of citizens in less time.

2005: The RTI Act 2005 became a tool of good governance, especially in the sectors of empowerment of women, development of youth, rights with respect to democracy and for the underprivileged and participatory good governance. This act helps to promote transparency which is one of the major characteristics of good governance. It also helps in serving public causes with relevant information.

Social Welfare Schemes in India

To have effective and efficient good governance, various social welfare schemes were launched in India from 1960–1990, like *Jawahar Rozgar Yojana* for employment to the weaker rural adults, Employment Assurance Scheme, Food for Work Programme, *Jawahar Gram Samridhi Yojna* and *Sampoorna Grameen Rozgar Yojna*. The roadmap of progress in good governance in India can be mapped as below:

Mahatma Gandhi National Employment Guarantee Act (MNREGA), 2005

According to this MNREGA Act, every Indian citizen is given the guarantee of earning livelihood in the rural area establishing the 'right to work'. A minimum of 100 days of 'guaranteed employment' during the period of one fiscal year is ensured to every household on condition that its working members want to do unskilled manual work.

The Comptroller and Auditor General of India has reported some shortcomings in this scheme like the paucity of information and awareness about it among the targeted group, its implementation and corruption.

National Food Security Act (NFSA), 2013

The NFSA 2013, also called as the Right to Food Act provides subsidized foodgrains to people living below the poverty line. Five kilogrammes of rice, wheat and coarse grains are given to each eligible person and pregnant woman and lactating mothers. This scheme ensures that no one goes without food in the country.

Even though this act was seen as a political measure *in lieu* of the elections, its objective is quite clear. Critics believe that this act would lead to a serious problem to maintain equilibrium between oilseeds and pulses affecting the prices adversely and raising the fiscal deficit. Private stakeholders also would lose their will to work in the agriculture sector.

Q3 Discuss how the political intent influenced the development of the good governance in India.

Ans. The former Indian Prime Minister, Manmohan Singh, who has been known as the architect of 1990's major economic reforms reiterated that this decade needs reforms to ascertain India's growth which would favour an atmosphere where we have global investments. He emphasized some salient rudimentary points which are:

- **Corporate Law:** He stressed on the stake of the government to bring the corporate laws at par with the international standards of efficiency and stability. Corporate Social Responsibility (CSR) is another sector which was stressed upon by Manmohan Singh to have sustainable growth.
- **Foreign Direct Investment:** Dr. Manmohan Singh emphasized on the need to promote economy worldwide. His UPA government permitted Foreign Direct Investment (FDI) in multi-brand retail and aviation. He also increased the limit in single-brand retail and broadcasting fields. The diesel prices were increased and subsidy decreased to restrict the subsidy amount.
- **The Whistle Blowers Protection Bill, 2011:** The Whistle Blowers Protection Bill, 2011 was proposed to have protection for individuals who report any event of corruption or misuse of power. It covers various issues of protecting the whistle blower on one hand and looking into the case against whom it has been filed. This bill would promote citizen participation in curbing corruption and protect them though there are some shortcomings in this bill and has not been passed yet in the legislature.
- **The Judicial Standards and Accountability Bill, 2012:** The Judicial Standards and Accountability Bill was passed by the Lok Sabha in 2012. It aims at maintaining a balance between optimizing judicial freedom and accountability of the higher judiciary members. This act is another medium to strengthen good governance by increasing transparency in the judiciary which is a pillar of a democracy.
- **Companies Act, 2013:** The next step in the popularly known 'Manmohanomics' is the Companies Act, 2013. It was mandated in 2013 and deals with major issues like governance, e- management, compliance and enforcement, disclosure, auditors, mergers and acquisitions.
- **Corruption:** There have been many reforms in Manmohan Singh's tenure which were instrumental in improving good governance. He addressed the issue admitting that corruption strikes at the roots of good governance, dents the country's international image and demeans us before our own people.

Q4 How can you explain 'Minimum Government, Maximum Governance' as a model of administration for effective governance?

Ans. Good governance has been sitting on the back burner since decades, being discussed only for the sake of discussion whereas it needs to be proactive and pro-people as per Narendra Modi, the Prime Minister of India since 2014. He is known to have propagated the maxim of 'minimum government, maximum governance'. To achieve this, he highlighted the two features of transparency and accountability that are intrinsic to a citizen-friendly government. Given below are some of his initiatives:

ONE DAY GOVERNANCE MODEL

The 'One Day Governance Model' in Gujarat focuses on facilitating the citizens with eight defined services via one counter within a day. The government procedures are supported by technology at *Jan Seva Kendra's* under 'Computerized Inter State Check Posts'. Many states like Kerala, Karnataka, Haryana and Maharashtra have followed suit. Modi emphasizes not on the ICT procurement in itself as an acquisition but on what the technology is capable of delivering to the citizens.

In the backdrop of this model, good governance can be defined as a practice that leads to a higher level of satisfaction of the citizens at a reduced cost and labour to the government. The existing procedures leave the citizens high and dry, frustrated and waiting for an endless period of time for their documents and services and then finally resort to bribery.

Basic Tenets of Modi's Model of Governance

Narendra Modi has been able to redefine good governance in his own way while retaining the basic World Bank Indicators of good governance. Given below are the basic tenets of the Modi's model of good governance:

- **Swaraj:** According to Modi, the secret of success in good governance is not to retain any power but to decentralize the functioning of the government. *Swaraj* (rule of the people) was brought about successfully in Gujarat with the help of applying the *Swaraj* model in water resource management. Gujarat faced a problem of 20 per cent of the area having excess water resources than the rest of the 70 per cent of the same. The *Swaraj* model ascertains that public choice is activated and the government provides for infrastructure along with capacity building to achieve the aim of decentralization of power. The *Swaraj* model worked to deliver tap connectivity to 72.22 per cent of the households by 2011 as compared to the national average of 26.6 per cent. It is heartening to observe that 42,000 women were involved in the programme being included in the '*Pani Samitis*' which were constituted with the *Gram Sabha's* approval. A delegation of property rights from Gandhi Nagar, the seat of power, was made to the villages to enable decentralization. 2800 women trained by the Gujarat government, headed the *Pani Samitis* to cover over 18,000 villages to manipulate the available water resources.

To sum up and revert back to the model, Modi emphasized and worked to develop the infrastructure and tools for implementation rather than making decisions on how water should be made available and utilized by villages. The end-client, that is, the villager was given the power and the required training to use sound decision-making to use water resources instead of having a government official dictating from his offices without any concrete conceptualization of the ground reality.

- **The P-4 Model:** The generally accepted norm to escalate the level of governance in developing nations has been P-3, that is, 'Public Private Partnerships' to reinforce the developmental projects and the speed of delivery. Narendra Modi added another dimension of 'People', making it 'People Public Private Partnership', that is, the 'P-4'. He feels that there is a lack of involvement of people in decision-making. People's participation would be conducive to an environment where they would have a sense of ownership of the initiatives and programmes of the government.

Components of Modi Model

The five components that Modi includes in his model of good governance are as given below:

1. **Understanding of History:** It helped him to connect governance to the needs of the country to accomplish fixed goals.
2. **National Spirit:** He has formulated schemes to support National spirit like 'Make in India', 'Start-Up India', etc.
3. **Non-Appasement:** The country goes forward when the leader follows the non-appeasement of caste and religion. When vote politics is waived off, the nation gets a clean picture and helps the social as well as economic growth.
4. **Revamping Bureaucracy:** Bureaucracy has been riddled with transfer industry by selling the posts. The Modi's model refutes such bureaucracy and has its vision to clean up the system.
5. **Forceful:** A dynamic personality is required to enforce the existing laws and change the redundant ones and makes everyone follow the principle of efficiency in administration.

Q5 *Does any theoretical framework support Narendra Modi's schemes? Write a short note.*

Ans. Modi declared 'December 25' on 2014 as the 'Good Governance Day'. He calls it '*Sushasan*'. On the day, he gave a message in which he gave his theory of good governance summarized in the following points:

- 'Citizen-first' is the motto and underlying principle of good governance.
- Simplification of process and procedures would make the governmental system transparent and speedy.
- Public Grievance Redressal System leads to a responsive system.
- India needs government process re-engineering.
- Technology will make the nation, 'Digital India' and make it into digitally empowered society.
- The 'Nation First' is a come-back to the philosophies on secularism. Modi began the work on 'Nation First for Nation'. It relieves the pressure of 'vote-bank' politics and gels in with the young minds. The term 'Nation First' refutes caste or religion bias in decision-making.
- Modi emphasizes on an inclusive growth rather than just investment growth. Inclusive growth comprises the social infrastructure like health, education, social bonding, etc.

Q6. Good governance is closely aligned with effective democratic governance. Discuss.

OR

Not only governance but good governance is the key factor in achieving the United Nations Millennium Development Goals. Explain the indicators.

Ans. The indicators of good governance given by the World Bank cover the basic issues of corruption, law and order, accountability and transparency, regulatory services, government effectiveness and political stability. Democratic governance implies empowerment of citizens in a democracy to move towards sustainable governance. Democratic institutions are duty-bound to deliver the basic social and physical infrastructure so that the citizens can have a good life with basic amenities. Good governance can be achieved only if the democratic institutions in a nation are strong and viable. The World Bank developed Worldwide Governance Indicators (WGI) to evaluate the level of achievement in the area of good governance.

WGI were developed by Daniel Kaufmann, Aart Kraay and Zoddo Labaton initially in 1999 and were modified over time. The WGI were grouped into six clusters which have been used to measure governance in over 200 countries since 1996. There are many organizations that have developed a set of good governance Worldwide Indicators.

The major agencies that are used for their indicators are Country Policy and Institutional Assessment, Overseas Development Institution's World Governance Assessment, Mo Ibrahim Foundation's 'Ibrahim's Index of African Governance' and the United Nations Economic Commission for African Governance Report for Africa.

The six clusters of indicators are:

1. Voice and Accountability
2. Political Stability and Absence of Violence/ Terrorism
3. Government Effectiveness
4. Regulatory Quality
5. Rule of Law
6. Control of Corruption

These six indicators were established by studying hundreds of variables collected from 31 data sources which included Public Sector Undertakings (PSUs), surveys, NGOs and private sector surveys.

These indicators are discussed below:

- **Voice and Accountability:** According to the World Bank, voice and accountability captures perceptions of the extent to which a country's citizens are able to participate in selecting their government as well as freedom of association and a free media. The World Bank states that accountability is 'at the heart of the governance which was earlier diagnosed as holding public officials responsible for their actions'. At the political level, it means making rulers applicable to be ruled, typically through the contestability of political power.

The definition of accountability given by the World Bank implies in two dimensions:

- (i) **The First Dimension:** It comprises the internal effect in a government organization with respect to financial accountability and establishment of monitoring mechanisms. This means that the public sector management needs to be assessed and improved in the areas of public expenditure management, civil service reform and public institutions thus increasing the level of efficiency. Issues like public investments, budget planning (Operations and Maintenance) and the budgeting process itself. Civil service reforms would lead to good governance with

less government. Disinvestment of PSUs was another aspect to cut losses. Reducing the red tape and the long-drawn procedures of the government for public institutions would help in decreasing politically motivated actions.

- (ii) **The Second Dimension:** The second dimension of this indicator of 'Voice and Accountability' is the accountability. Earlier, accountability implied the government officials have to be responsible for their actions. At other places, accountability was referred to holding the governments accountable via the contestability of the political power. It follows from the description of accountability:
 - **Internal Effect:** Accountability works with an internal effect within a government organization with respect to financial accountability and establishment of an internal control system. The internal effect accountability is termed as horizontal accountability.
 - **External Effect:** The external effect of the citizens outside the organization gives the second dimension to accountability and is named as vertical accountability.
- **Political Instability and Violence:** The second cluster of indicators as given by the World Bank involves 'perceptions that the government will be destabilized or overthrown by unconstitutional or violent means'. It targets at measuring the limit to which a government is capable of developing and implementing effective policy while taking green economy into consideration. This would help the stakeholders to evaluate the risk factor impacting their investment in a green economy.

This indicator has been developed now by various representative sources and the variables included in it are summarized here:

- **Protests and Riots:** Destruction of public property assets, injury or fatality of people is the outcome of protests and riots. Routine movement falls into disarray and all business operations are hampered.
- **Terrorism:** The threat of terrorism is a reality and has raised the risk level to a very high degree. Such incidents are a loss to physical and human resources and lead to political instability. India is ranked as the sixth in the risk factor owing to terrorism. This risk variable measures the political instability arising out of terror attacks to gain political power for the purpose of making profit.
- **Inter State War:** The variable of 'Inter State War' refers to the inter-state war which measures the loss occurred as a result of it in deaths and property. Such wars cover air strikes or a full-blown war to change the government.
- **Civil War:** Civil war is usually fought by insurgents against the government in power involving armed forces on a sustained, organized and a large scale. It usually results again in a large number of casualties, injuries and loss of physical infrastructure. Patrick M. Reagan in his book '*Civil Wars and Foreign Powers*' (2000) stated that about '2/3rds of the 138 interstate conflicts between the end of World War II and 2000 saw international intervention'.
- **Government Effectiveness:** Government effectiveness measures the perceptions of the quality of public services, the quality of civil service and the degree of its independence from political pressures, the quality of policy formulation and implementation and the credibility of the government's commitment to such policies.

The Millennium Challenge Corporation of the USA added a few more aspects of measuring the government effectiveness given below:

- **Political Leadership:** There is a need for innovation, learning and flexibility within the political leadership so that any contradiction within the policies might be resolved and cohesive ones can be formulated.

- **Budgeting:** Mobilization of funds and their allocation with the help of good budget management following with sound budgeting principles.
- **Services:** Developed as well as developing countries have a basic need for services and this indicator would measure the effectiveness of the services like transportation, telecommunication, electricity, health, education and digital government services.
- **Police Administration:** Government effectiveness includes police administration and it aims at developing police consistency. The evaluation is based on the level to which the new governments are committed to it.
- **Red Tape:** Government effectiveness assesses the extent of red tape in a bureaucracy of a country and how it becomes an obstacle in enterprise operations.
- **Tax Administration:** Another dimension of this indicator is the degree of ease of paying tax and an effective mechanism of appeals.
- **Other Issues:** Some other issues that are evaluated are:
 - Coordination between various government agencies to avoid overlapping of functions.
 - Monitoring at periodic intervals of the processes of government agencies to ascertain efficiency in decision-making and their execution.
 - The structure of political organizations and their ranking of their aims with respect to reforms.
 - An ethics-based system to hire and promote officials supported by the fundamentals of merit and performance only.
 - Government wage bill that can be upheld and is viable and flexible to get capable meritorious personnel for positions.
 - Low-distortion taxes form the base of government revenues, low and uniform import duty, discounts on export and an effective tax structure.
 - The government's budget linkage to its policies, multiyear expenditure plans and its formulation based on sound internationally accepted principles of budgeting.
 - Budget implementation according to the appropriated funds in the legislature with minimal digression.
 - Review of budget periodically by using good management information systems and a coordinated effort of maintaining banking and fiscal records.
 - Maintenance of fiscal records and public accounts throughout the year and timely audit and submission of the Action Taken Report.

The Millennium Challenge Corporation, an assistive bilateral US Congress in 2004, found that the countries with a higher level of government effectiveness had a higher degree of economic growth. This leads to better opportunities of getting more investments as a result of higher credit ratings. If all the dimensions mentioned in this indicator of government effectiveness are of a higher rating, such nations have a better system of health, education, public delivery system, reduction in child mortality and controlled environmental degradation.

- **Regulatory Quality:** According to the World Bank, its fourth indicator is the 'Regulatory Quality' that measures perceptions of the 'ability of the government to formulate and implement sound policies and regulations that permit and promote private sector development'. This indicator was developed by taking the views of various international agencies. The quality of regulations took precedence among the other performance measurement dimensions of regulatory governance and a significant decrease in paperwork. These dimensions measured by this indicator have a wide range with unfair competitive practices, price controls, excessive protections, discriminatory taxes, environmental regulations, ease of doing business trade policy, investment climate for rural business and many more.

Organization for Economic Cooperation and Development (OECD) developed a database on Regulatory Quality Indicators and defined them, based on the principles of necessity, efficiency, effectiveness, transparency and protection of public interest. The OECD surveyed in five major areas:

- (i) Content of regulatory policies.
- (ii) Regulatory quality tools.
- (iii) Institutional arrangements to promote regulatory quality.
- (iv) Dynamic aspects of regulatory quality.
- (v) Performance/Outcome indicators.

The World Bank and the European Union also have a similar set of indicators to evaluate the regulatory quality. The aim of these surveys is to analyse the regulatory indicators quality in hope of a better outcome regulatory activity.

USE OF INDICATORS BY THE GOVERNMENTS VIA CONDUCT STUDIES

Governments use regulatory indicators to evaluate the regulatory performance. Conduct studies assess the generally accepted guidelines in this field to determine plausible areas where improvements can be carried out to perform an economic evaluation.

Conduct studies use indicators, scorecards, process standards or checklists. Data analysis is important to arrive at accurate results to develop a sound budgeting system. It has been established in many studies that it was difficult to achieve accuracy in government structures. The tools used in conduct studies are explained briefly here:

- **Scorecards:** The Regulatory Impact Analysis (RIA) uses scorecards to evaluate its quality. It utilizes a simple yes/no system so that it is easy to assess the impact. Such measures can be incorporated into other indicators. The yes/no answers can be supported by a short narrative based on evidence when definite answers are fed into the indicator. The particular program's funding can be decided based on an increase in effectiveness. Scorecards are used by private stakeholders like the British Chambers of Commerce and for research purposes by scholars and academicians.
- **Regulatory Process Standards and Checklists:** This tool is prevalent in Canada being used by the Treasury Board Secretariat which ensures that all federal regulatory process management standards are being followed keeping quality in mind. It administers a survey comprising of questions regarding the impact of the federal government. Countries like Sweden and Netherlands have also been using these checklists to maintain supervision on the quality of indicators.
- **Review:** Review of RIA programs by auditing bodies, internal agencies acting as watchdogs and assessment by external agencies are important to evaluate the limit to which the laws impact the decisions. Around the world, the agencies involved in this process are Government Accountability Office (GAO) in the USA, the National Audit Office (NAO) in the UK, the Auditor General in Canada and the Impact Assessment Board in the European Commission. These agencies indulge in preparing reports on various parameters that depict the economic and social status of a country. The reports depict how effective the regulatory agencies are based on the data collected and analysed.
- **Surveys:** There are two types of surveys commonly used by governments:
 - (i) Business surveys on regulatory costs.
 - (ii) Surveys of regulators on the impact of RIA programs.

Usually it involves interviews and questionnaires and they help in gauging the variation keeping in mind the viewpoint of regulators and of the advantages of the RIA. How these structured interviews are gainfully used to internalize government oversight rather than from the outside in Canada is a good example.

Regulatory Budgets: Regulatory budgets are another tool which contemplate ceilings or targets of regulatory costs to be incurred by different agencies. It acts as a tool to monitor the regulatory costs and is presentable in the Parliament with the objective to increase accountability. There are two approaches while preparing the regulatory budgets.

- The first is the holistic approach which comprises all regulatory costs and pits them against regulatory benefits.
- The second approach is the minimalistic approach that emphasizes on a unit of the gross regulatory costs like administrative burden or compliance cost.
- **Rule of Law:** The fifth major good governance indicator is the Rule of Law. Its objective is to measure, 'the extent to which agents have confidence in and abide by the rules of society and in particular the quality of contract enforcement, property rights, the police and the courts, as well as the likelihood of crime and violence', according to the World Governance Indicators. The Rule of Law Index is an important parameter to assess the quality of democratic governance. The World Justice Project (2010) evaluates the 'Rule of Law' indicator and includes limited government powers, absence of corruption, order and security, fundamental rights, open government, regulatory enforcement, civil justice and criminal justice.

Factors Affecting the Evaluation of Rule of Law Indicator

The Millennium Challenge Corporation (MCC) is an organization, a premier work of smart USA government in action. It works on governance data alliance in direct partnership with professionals trained in special skills from the civil society.

The MCC worked out the following factors on which the countries are evaluated:

- **Public Confidence:** It is important to assess public confidence in the police and the judiciary, the extent to which the public follows laws and regulations, the number of years the nation has been following the law and order and the effectiveness and fair legal system.
- **Crime:** The second established factor in the evaluation of Rule of Law Indicator (RLI) is the extent of crime that exists in a society which covers violence, organized crime, kidnappings related to foreign countries, how the indigenous economy is being impacted, human trafficking and how it is dealt with by the government.
- **Protection of Citizens:** The RLI would rate the protection of citizens given by the police with accountability with respect to their lives, property and its reporting.
- **Property Rights:** This factor would comprise the study of the limit to which the property rights are taken care of. Some issues included in this are intellectual property, precision and ethical registration of property and defending the unfair encroachment of property.
- **Legal Framework:** The RLI appraises the actuality of the institutional legal and market framework:
 - To ensure safe land tenure.
 - No difference between men and women with respect to their outreach to land.
 - Effective management of common property rights.
 - Just-user rights over resources, mainly water to be utilized for agriculture.
 - Citizens' participation in water resource management.
- **Tax Evasion:** It aims to assess the level of existence of tax evasion and insider trading. It also looks into the dimensions of 'informal economy, that is, the parallel economy generating income not recorded for taxation purposes.
- **Judiciary:** It tracks the role of the judiciary and its features of being independent, effective, predictable and upholding integrity. The parameters assessed in this factor are legal compliance, ways and means to question the government's activities via the courts, voluntary compliance of people to the law instead of violence and crime and the government's observance of judicial verdicts.

- **Protection of Judges:** It is important that judges feel safe and secure in performing their duty in passing verdicts and judgements. Other issues to be appraised are:
 - The appointments, promotions and dismissals fairly and justly.
 - Provision of legal counsel to the citizens who cannot afford it.
 - To sue the government for claims without the scare of reprisal.
- **Reporting Mechanism:** Lastly, the RLI considers the factor of the prevalence of an indicator reporting mechanism for public so that they can lodge a complaint against police if there is one and the response time of the government to it.
- **Control of Corruption:** The World Bank has identified its sixth main group of Indicators as Control of Corruption Indicator (CCI). It explores and 'measures the extent to which public power is exercised for private gains'. This comprises any amount of money that changes hands in an illicit manner. It examines the nexus between the state and the richer class which helps their financial objectives illegally and assesses the fortitude and effectiveness of a nation's policies and strategies to curb and fight back corruption on one hand and the institutional framework on the other.

Evaluation of the CCI is made based on the parameters given below:

- **Prevalence:** The prevalence of corruption is assessed at two levels, petty and grand, at all hierarchical levels of the government.
- **Viability:** The CCI appraises the viability of a country with respect to the level of corruption for foreign as well as domestic business.
- **Civil Service:** The civil service of a country is its backbone for the implementation of any policy without corruption. The bureaucracy must ensure that nepotism and *bhai-bhatijawaad* is reduced and eliminated eventually.
- **Irregular Payments:** The factor of 'irregular payments' is considered with respect to import and export permits, government contracts, public service, judicial decisions and assessments.
- **Bribery:** The CCI considers the cost of bribery as a part of the annual sales of an enterprise.
- **Corrupt Executive:** Another important parameter in the CCI is the level of corruption among the officers in the government in all departments.
- **Laws:** The legal dimension in CCI is studied with respect to anti-corruption laws and how the politics and institutions of a government are faring.
- **Trust:** Another dimension of the CCI is to evaluate the confidence and trust of public in the financial integrity of politicians.
- **Other Issues:** There are 13 other issues which are factored in while collecting data regarding control of corruption. They are mentioned below in brief:
 - (i) The accountability and transparency processes being used in decision-making and the ways of disclosure down to the grass roots level.
 - (ii) Periodic supervision, monitoring and detection of corruption and actions taken against them.
 - (iii) Identification of conflict of interest and whether rules of ethics are being followed by public servants or not.
 - (iv) The public disclosure of assets and income by public officials for open scrutiny and their verification.
 - (v) The effect to which a public official is exempt from malfeasance, that is, wrongdoing under law.
 - (vi) The citizens affected by corruption are given protection via effective internal audit systems by the officials responsible for tax collection.
 - (vii) The accountability of collected tax via effective internal audit systems by the tax officials responsible for tax collection.

- (viii) The budget-form process carried out by the executive agencies is all-inclusive and transparent and has a proper mechanism for it being transparent and accountable.
- (ix) The whistle-blowers, anti-corruption activists and investigators are given adequate protection by law.
- (x) Absence of bias while investigating and legally processing the corruption cases at all levels of government.
- (xi) The awarding of government contract system is carried out in a transparent manner promoting an open and effective competition.
- (xii) Reduction of labourers and obsolete bureaucratic procedural regulations with respect to licensing and registration to fight corruption.

Q7 *How is good governance assessed in India?*

Ans. In India, good governance measurement was discussed in a report, 'State of Governance—A Framework for Assessment' by the Department of Administrative Reforms and Public Grievances with the help of the Centre for Good Governance, Hyderabad. It is mentioned that the role of governance indicators is important and that good governance develops based on demand provided that other factors are congruent. The indicators to measure good governance must be linked with the poor, children, women and minorities. It is understood that the quality of governance is improved with good governance and vice versa.

MODEL CODE OF GOVERNANCE

A committee of chief secretaries prepared principles of good governance for the state to assess their development progress like:

- Service delivery
- Better programs for the poverty-stricken sections and remote areas
- Technology and systems
- Financial management and budgetary system
- Accountability and transparency
- Public service morale and anti-corruption measures
- Incentivizing reforms

Governance Assessment Framework

The Governance Assessment Framework was made keeping in mind the Indian social, political and economic conditions. The framework attempted to link the aspects of this framework with the global scenario too. It identified five aspects underlying the 'Governance Assessment Framework' given below:

1. **Good Governance:** Base on the term 'Good Governance', it was suggested that 'good' cannot be measured if 'governance' is not understood. The word 'good' when added to governance has a different connotation. Usually, frameworks assess the quality of governance while neglecting the content. Such quantification is unable to make actionable diagnostics which is country specific. The two aspects that take the main seat in this framework are:
 - Deconstruction of governance into elements.
 - Application of generic governance principles to those elements.

2. **Core Principles:** The quality of governance has been led to identifying the standards of quality governance as core principles. They are:
 - Accountability
 - Transparency
 - Equity
 - Performance (efficiency and effectiveness)
 - Participation and voice
 - Rule of Law
 - Strategic vision
 - Lack of arbitrariness
 - Ethics and integrity
 - Predictability
3. **Involvement of Stakeholders:** There are three main classes of stakeholders—state, market and civil society that are explained below:
 - (i) **State:** State comprises legal, judiciary and the executive and their agencies, elected representatives, political executive, bureaucracy, civil servants and at all levels.
 - (ii) **Market:** The market must be inclusive of large, medium and small-scale enterprises.
 - (iii) **Civil Society:** The civil society comprises NGOs and the Civil Society Organizations (CSO) and media. Such a governance process includes all stakeholders for effectiveness and efficiency with state as the controlling power.
4. **Process Instead of Outcome:** Outcome depends on whether the processes used were good or not. The public policy formulation and its implementation with the help of the right stakeholders are achieved through government indicators which differentiate between the outputs, processes, outputs, outcomes and impacts. So, this aspect emphasizes on the selected parameters and the processes instead of development outcomes.
5. **Relevance of Government Measurement to Realities:** The worldwide governance indicators are important but would be rendered ineffective if the sub-national and local grass roots factors are not incorporated. The central government assumes the responsibility of government reforms across states though some states have taken up such reforms on their own.

Governance Framework Concept in India

In India, governance includes multiple stakeholders and has five dimensions which are further divided into interrelated components. A component is the basic unit of governance which has to be measured according to DAPRG. Each component has associated governance indicators that aim to measure the level of governance. All such indicators are divided by the principles of good governance.

Dimensions

The five dimensions of governance in India are explained below in brief:

1. **Political:** The political dimension forms the rest of the consequent resultant values of governance of participation, accountability and transparency. It includes four components:
 - (i) **Exercise of Franchise:** The political process of our country is based on every citizens' right to vote. The Government of India practises democratic governance through the election process. It ensures the participation of citizens to raise their voice against their problems and hold the government accountable.

- (ii) **Conduct:** The second component in the political dimension deals with the profile and conduct of elected representatives of the people, political parties and the political executive. According to this application, the personality and behaviour of the people representation is the basic determinant of effectiveness of accountability and citizen participation. The attitudes of the officials responsible for governance has a direct as well as indirect impact on governance.
 - (iii) **Legal:** Legislature plays a vital role in the level of good or bad governance. Avoiding delays of passing laws or legislating on relevant issues are examples of a definitive indicator.
 - (iv) **Political Decentralization:** The political decentralization leads to empower the grass roots level of government. It is an important indicator of empowerment at the lowest levels of a government.
2. **Judicial and Legal Dimension:** To uphold the Rule of Law is one of the main governance duties of an administration. Economic activity and growth also increase when a state is peaceful otherwise investors tend to stay away from a state of unrest. If the government fails to provide speedy justice and maintaining law and order, there arises a possibility of a private stakeholder becoming a parallel power centre weakening the government. There are four basic components in this dimension:
- (i) **Law and Order and Internal Security:** The most essential function of a state is to maintain law and order and internal security. A peaceful nation that makes the citizens safe leads to better economic growth and general well-being.
 - (ii) **Protection of Fundamental Rights:** The underprivileged section of the society needs some additional support for the protection of their fundamental rights. This component relates to the capability of the state to do its duty well in safeguarding the fundamental rights.
 - (iii) **Police Administration:** To achieve the first component of maintenance of law and order and internal security, the police force has to be effectively forceful. It needs to be citizen-friendly to instil confidence in the common masses to be able to take help from them. Good governance can be successful only if the police can maintain corruption and fear-free administration. This indicator considers the issues of the value of the functioning of police force, its size, the functions given to them, constant training and skill reinforcement and operational efficiency.
 - (iv) **Judicial Accessibility and Accountability:** Delivery of timely and fair justice, accountability and efficiency of justice and finally citizen perception are the core issues considered in this indicator.
3. **Administrative Dimension:** Public delivery system of essential services like health and sanitation, education, primary healthcare, physical infrastructure needs to be built as well as provided. Efficient management of the services can be manipulated by good governance to provide a comfortable life to citizens. This dimension also focuses on the performance of the government on issues like vigilance on corruption, responsiveness of governance and transparency in administration. The administrative dimension is comprised of the following four issues:
- (i) **Citizen Interface:** This indicator measures the citizen participation being engaged by the government agencies with respect to their daily disposal of their functions like the redressal of grievances, compliance of the RTI Act and Citizens' Charter.
 - (ii) **Resource Management:** The aspect of managing human, financial and other resources goes on to assess the issues of personnel management are handled like the recruitment, training, motivation, performance appraisal, etc., some other issues quantified are financial management and use of information and technology.
 - (iii) **Basic Service Delivery:** This indicator determines the quantity and quality of delivery of basic services comprising of social and physical infrastructure. If services like education, health and transportation are provided satisfactorily, then the perception of citizens towards governance is considered as good.

- (iv) **Anti-corruption Measures:** The administrative dimension's last aspect is the perception of corruption, vigilance and enforcement. This indicator measures the perception of citizens towards the extent of corruption and mechanisms to tackle it. It determines if the officials as well as private stakeholders indulging in corrupt practices are given punishment accordingly.
4. **Economic Dimension:** Economic growth of a country at macro level across all economic sectors is an important aspect. The economic dimension measures the ability of a government to create such an economic environment where growth is possible without unnecessary delays in a planned manner. Given below are the indicators included in it:
- **Fiscal Governance:** This parameter measures the limit to which the state has been successful in handling its finance at both medium as well as long-term. There are two indicators involved in measuring fiscal governance:
 - Revenue mobilization
 - Expenditure management
 - **Business Environment:** This indicator measures the manner in which business operations are managed in the state. It considers issues like the business environment, the laws and procedures required to run a business, etc. Infrastructure, monitoring and regulations, manpower management are some other issues included in this indicator.
 - **Primary Sector:** There has been a major decline in the primary sector in this century and there is a need to elevate this sector. This indicator measures the participation of the State in the provision of services like market linkage and input supply to uplift this sector.
5. **Social Dimension:** The state's involvement in providing for the underprivileged in the society is appraised by the indicator, 'social dimension'. It also evaluates governance with respect to the participation of media and civil society. It also includes environmental management. The three issues covered in this indicator are given below:
- **Social Welfare:** This aspect appraises the extent to which the government has succeeded in taking care of the social infrastructure. The poor, the backward and women need special schemes and projects to bring them into the mainstream.
 - **Civil Society and Media:** In a Parliamentary democracy, it is not only the opposition that acts as a watch dog but also the civil society and the media. Media is considered the fourth pillar of a democracy, the other three being executive, legislature and judiciary. It plays a pivotal role in forming public opinion. This indicator evaluates:
 - The space and role of media and civil society.
 - The quality and ability of the media and the civil society to play an autonomous role.
 - **Environmental Management:** Finally, the indicator of environmental management assesses the government's involvement in the maintenance and management of natural resources.

Q8 What are the various types or models of good governance that come under its umbrella?

Ans. In the present-day scenario of globalization, governance can be optimized in small or large organizations. To say that governance is required to govern a nation is not so simple. The mode or the type of governance defines the extent or the scope where it can be optimized. To understand governance, it needs to be broken down to its practical parameters. This would explain how governance will be effective in science, education, technology, risk and environment besides corporate economy and society. The traditional modes of governance have been known to be top-down where legislation binds all actions. Private sector remained absent in the traditional approach.

Given below are the different types or modes of governance:

- **Economic Governance:** Even though some economists reject the role of governments in economy, it is most essentially needed to make a market economy succeed. Legislation is required to control rights with respect to property rights and contracts ensuring that social and physical infrastructure are provided to the organizations. Economic governance is an upcoming subject which studies and makes a quantifiable comparison of the framework of different institutions. It is commonly defined as the study of proper order and executable systems. It requires a collective action of the government and the private sector to provide social infrastructure adequately as there is no expectation of any monetary returns. Financial stability in the 21st century is a global public good and each region, North America, Europe, South America, Africa, and the Pacific, must provide leadership to ensure it. As global payments and imbalances are adjusted, Asia can do its part by promoting the shift towards more domestic and regional demand as sources of dynamic growth. As discussions evolve on reforming the financial regulatory framework, Asia should work to tighten financial oversight over imprudent market prices and fill the gaps in existing financial rules and regulations. Enhanced regulatory standards, stronger cross-border supervision and market transparency and effective global mechanisms for crisis prevention and management are the keys to a more financially stable future.
- **Corporate Governance:** Corporate governance originates from economic governance. It deals with the governance within an organization or a corporation with respect to its organizational structure. It also looks at how the corporation manages its shares and stocks as per rules and regulations by the company's managers and the board of directors. Accountability of managers is ascertained under corporate governance to the investors and employees with respect to assets.

Aim of Corporate Governance: The aim of corporate governance is basically to coordinate the separate parts of an organization towards its wholesome benefit. Secondly, it serves the purpose of control to ensure that all those parts do not misuse each other. Finally, it aims at an easy exchange of information between individuals having interest in the organization.

Principles of Corporate Governance

It is imperative that the principles of corporate governance be adhered to in running an organization productively. There are some commonly accepted rules all over the world which have emerged as basic principles. They are briefly enumerated below:

- **Ethics:** Ethics forms the basis of all human behaviour which becomes the reason for different outcomes. So, an organization must work on the basis of ethics in every section. This would result in the organization's sustainable growth over a long period. There would be a considerable decrease in cost because ethics would form a strong governance system. Such an organization would finally spend less by saving only from unlawful practices.
- **Cohesive and Clear Goals:** An organization must have clarity in its goals which work towards one common objective. Corporate failure generally happens due to lack of focus in goals. Such blurring of goals is not helpful in the successful running of an organization.
- **Strategic Management:** As it has been said by an American business conglomerate that good governance is equal to good management. Strategic management means fixing a goal, making a viable strategy to accomplish that goal and establishing a supervising agency.
- **Organizational Effectiveness:** Organizational effectiveness is considered as a means to achieve the overall, major goal of the organization, that is, good governance. Organizational effectiveness can be optimized by making the stakeholders participation to evaluate how effective the methods are.
- **Communication:** Effective communication is very important for an organization to succeed. Again, stakeholders' participation is needed to assess effective communication. If required, more channels of communication can be set up along with a reporting system.

- **Global Governance:** Since the world has come to understand the transnational interdependence, there is a need felt for its governance, worldwide to bring in good governance. International institutions, for example, the World Trade Organization, are formed to control and regulate affairs. Hence, global governance can be defined as mechanisms that encourage and promote globalization by making various nations follow and execute international policies. A basic important point here is that global governance includes the poor population which would otherwise have a negative influence over the global economy.

A very illustrative example of this is global health governance. All nations are bound by international bodies like the WHO. Furthermore, global governance leads to cooperation between the nations in various fields of health, education, science and technology and mainly market economies. Various NGOs, private entities, intergovernmental organizations and many civil society stakeholders are involved in global governance. Another example of global governance is the Asian Forum on global governance. It can be instrumental in the struggle over wealth, power and knowledge.

- **Project Governance:** Project governance ascertains that the gaps in corporate governance are covered. Projects have been a part of the evolution of human civilization globally and therefore, projects need to be managed properly, keeping in mind the pre-determined goals based on logical decisions. Project governance works on a few core principles which are universally accepted in one form or another.

Given below are the principles of project governance:

- **The Stages of a Project:** It is most important that a project goes through the lifecycle beginning from its concept, feasibility and design moving to its execution and operation. These explicitly explained stages define a project so that it can be easily governed with proper control and supervision. Implementation is crucial to a project. Hence, the project lifecycle includes the stages of concept, start-up, initiation, design, delivery, acceptance, deployment specifying project ownership and closure.
- **Project Ownership:** After guaranteeing accountability for the successful completion of the project, the second principle ensures that the project ownership or any other stakeholder is represented clearly. The project leader monitors all the parties with respect to their functions and duties. The objective of project governance is to make all stakeholders move towards one common goal.
- **Project Decisions:** Issues like delegation, authority, responsibility is fixed. Stakeholder governance and project decisions need to be separated. This separation is the third principle of project governance.
- **Project Governance Mechanism:** Flexibility and quick decision-making are pre-requisites for timely project completion. Project governance makes sure that decision-making is done on time keeping it distinct from the organizational structure.

These principles along with many other issues would ensure that a project would be completed on time.

- **Regulatory Governance:** To have good governance, it is very important that sound regulatory frameworks must exist as its foundation. It helps in proper functioning of market economies and societies, environment, etc. Regulations can best be defined as a way of interfering in the pursuit of implementation of various guidelines or rules.

The basics that work in most of the countries promote self-regulation and an ever-growing use of agencies. Many recent reforms like the market reforms were initiated during the 1980s when privatization was encouraged to have a better economy but it did not succeed. Regulation was used to promote competition. Second basic issue is to reduce regulation as much as possible and lastly, independent agencies must be promoted.

So, it is essential that there must be policy-making for regulatory standards. Transparency and participation must be included in the regulatory governance. There must be supervision of regulatory policies also by having periodical reviews.

- **Participatory Governance:** Participatory governance basically implies 'inclusive governance', where institutions are set up to resolve issues of those paramount organizations which were supposed to provide basic facilities. These issues must exclude the problems of the rich and concentrate only on the demands of the poor. The basic aim of participatory governance lies in building up a mechanism which enables self-respect and sustainable development.

This can be accomplished by capacity building of the stakeholders. The civil society must be involved in all aspects, political, economic and social. Once the basic needs of people are met, the quality of people's participation will also improve. Citizen participation can become a part of community development to have effective participatory governance. It acts as a bridge connecting government welfare programmes to the beneficiaries. It is the foundation of democracy.

Common people can contribute a lot through various agencies like committees, NGOs, etc. Civic society and citizen participation though are somewhat two different concepts but they form participatory governance.

- **Non-Profit Organizations:** Non-Profit Organizations are a significant mechanism to cater to the basic issues of the poor. They build up the physical as well as social infrastructure including hospitals, education, institutions, etc., such organizations are formed with the only motive for welfare and are given 'Not for Profit' legal sanction by the government.

Once it is proven, with the help of the government that those organizations are trustworthy, their corpus of funds also increases. Accountability and transparency are essential to make organizations successful. Boards, committees and trusts work for the welfare purposes and they help the government in achieving its welfare goals. Supervision is the basic key in running these organizations. Oversight in this regard has to ensure the duty of care, loyalty and obedience to ascertain that the mission is achieved. Such boards perform the basic functions of recruitment, implementation of policies and strategies, budgeting, legal compliance, etc. Finally, performance must be evaluated and assessed to ensure how much the goals have been achieved.

Q9 What is the theoretical background of good governance?

Ans. The modern society is governed by an organized body of individuals who have the authority and responsibility to wield power legally. There is a multitude of terminological variations used for defining the various approaches or models by which governance is applied. There is a need to study these different models or approaches of governance for a better understanding with an aim to improve governance continuously.

There are different forms of government like the democratic or totalitarian, presidential or monarchical, pluralistic or monastic, competitive or monopolistic. These various forms of government are based on two things, organization of the government and secondly, the control over the society. Theoretically, there are two approaches discussed below:

1. **The Mechanistic Approach:** According to this approach, there is a conflict generated out of individual and group interests in a society which is resolved by the government as its duty. The government can achieve this goal by achieving this by using its ability of decision-making and planning. There are three bases on which this conflict can be resolved:
 - (i) **Normative Characteristics:** The normative characteristics include customs and beliefs.
 - (ii) **Structural Characteristics:** Societal classes, castes with respect to India, form the stimuli of structural characteristics.
 - (iii) **Behavioural Characteristics:** These are the choices, priorities and behaviour of people.

The above given conflicts are resolved by the government keeping in mind the laws regulating that nation. Thus, the main features that have evolved in this approach have a logical sequence as given below:

- The social system is made-up of an individual as a unit.
- The system works to optimize an individual's gains.
- The structural base of the government is formed in a way to optimize the gains of the individual which results in the plurality of ends.
- Societal harmony is attained by sound decision-making of the government while maximising the benefits to the individual.
- The law of the land maintains a uniform civil code.

The mechanistic approach has a structural basis of a government which is constituted logically. This approach has been adopted by various western countries with a few modifications here and there.

Criticism: The mechanistic approach was however criticized because of its underestimation of human capabilities implying that human beings act like a machine part or an accessory performing an instructed task. This would lead to death of creativity and individuality. The mechanistic approach helped in detaching executives from the organization emotionally and thereby reducing their personal continued involvement.

2. **The Classical/Organismic Approach:** This approach emphasizes on a system that is compared to a living organism. The approach was propagated by Plato and Aristotle by establishing a connection between the government to the living organisms or the society. It says that, as a human society evolves to a higher level substantiating a better understanding of principles, ideals and educational standards, the government also evolves to a higher level. Marx and Herder theorized almost in a similar viewpoint that a government sees evolution through a higher human consciousness. This would lead to a state where there would be no need of governance. The organismic governance approach shows flexibility and responsiveness keeping true to its title, 'organismic' thereby concentrating on the human-centred thought. This implies that the government is a medium for social change.

As the mechanistic approach leads to a lower level of employee involvement within an organization, the level of success of that enterprise decreases. Human behaviour needs to be understood to have an evolution in individuals and consequently in their organizations. The government, in this approach, has the responsibility to transform the goals of people, ethically, into norms so that the norm is legitimized. So, in turn, these norms, in the form of emotional and intellectual energy of people, become the driving force of an organization. This approach, hence, leads to adaptation, flexibility and the capability to change according to circumstances being humanistic. Though this approach has its weaknesses of being informal and lacks in possessing any set conditionalities, this approach is more suited to governance.

However, the mechanistic model is used to form the required structural–functionalistic foundation of an organization. This foundation must be designed in a way that the organismic way is included in it.

Q10 Human rights are integral to sustain the society. How are good governance and human rights interconnected?

Ans. The Universal Declaration of Human Rights (UDHR) in the preamble, 1948, says that each and every individual and organ of society shall endeavour to uphold the given human rights in the Universal Declaration of Human Rights. Progressive measures should be used at national as well as international levels to secure their universal and effective recognition and observance, both among the peoples of member states themselves and among the peoples of territories under their jurisdiction. The UDHR was taken up as its primary goal by the United Nations General Assembly on 10th December 1948 at the Palais de Chaillot, Paris. The international law was passed in 1976 after it was passed and approved by a majority of nations.

THE LINK BETWEEN GOOD GOVERNANCE AND HUMAN RIGHTS

Good governance and human rights strengthen each other as the ideals and values propagated by the human rights guide the governments to work according to the established parameters of output while not forgetting to fix accountability. Conversely, human rights cannot get its deserved voice and place if good governance does not serve as a fulcrum to its implantation through sound and appropriate legal structure and agencies. There are four precincts where the link between good governance and human rights can be found which are given below:

1. **Democratic Agencies:** Human rights values and ethics can be transformed into reforms through democratic institutions so that public can participate. Democratic institutions also make it possible to have mechanisms to involve social groups to have better decision-making processes at the grass roots level. Civil society participation is encouraged through democratic institutions to have execution of human rights.
2. **Service Delivery:** Human rights are promoted and encouraged if there is an efficient public service delivery system in place. A good public delivery system ensures the right to education, health and food are taken care of. There is an impending need to have reforms in the area of accountability and transparency.
3. **Rule of Law:** Human rights based good governance leads to better legal framework for better functioning of Parliament and legislative assemblies. This would also mean inclusivity of capacity-building of legal institutions.
4. **Anti-Corruption:** Anti-corruption is imperative for human rights sensitive good governance by establishing tools and mechanisms via various agencies to curb corruption.

Hence, good governance contributes a lot by putting human rights into prominence in the above-mentioned four areas. The democratization of human rights makes people participate in policy making and decision-making by expressing their ideas and opinions in an organized manner.

Significance of Human Rights

There have been numerous research studies on human rights protection to aid in good governance. Several points that have emerged substantiate the significance of human rights which are given below:

- **Legal Framework:** It is essential to have a sound legal framework for a nation so that the state can formulate and promote human rights sensitive policies for the society. This can be seen in nations like Australia, Republic of Korea and Malawi where laws have expedited the human rights issues and cases.
- **Public Participation:** Human rights can be protected by various social partnerships with multiple stakeholders so that it does not remain the sole responsibility of the government and neither its monopoly. Policies that emanate from such participatory processes turn out to be widely accepted by the society. This process can be facilitated by having *ad hoc* public hearings or forming advisory boards, etc.
- **Consensus Formation via Surveys:** Information regarding complicated social issues must be gathered via research and surveys. Opinions can be formed based on these studies. Each nation has its own country specific problems which can be analysed and understood.
- **Transparency:** Attainment of information is essential to have increased transparency so that the formulated policies reflect justified economic, social and cultural rights. Budgeting acts as a tool to protect human rights. In India, the RTI Act 2005, led to greater accountability of public officials.

- **Awareness of Human Rights:** Lack of awareness of human rights will not lead to justification of Human Rights. Actualization of human rights is possible if there is awareness of human rights by teaching people via educational institutions or a social dialogue. NGOs and Self-Help Groups help a lot in this area. In India, people were taught by such organizations to access public documents to keep the public officials accountable and answerable in case of lapses or corruption.
- **Focus on the Weaker Sections:** The parameters of good governance help in protecting the human rights as all of them tend to focus on the weaker and the vulnerable sections of the society. Social infrastructure can be addressed by the practices of good governance while indulging in policy formulation.
- **Reforms:** Lastly, reforms with respect to human rights are essential in nations that are coming out of internal conflicts and civil war and it is imperative that human rights reforms for good governance are carried out.

Hence, human rights and good governance have a significant link for a better civil society. Good governance is strengthened by promoting human rights.

Q11 Briefly discuss if corruption impedes the progress of a nation with respect to governance. How have the various international agencies dealt with corruption?

Ans. Since the conception of human societies, corruption has been present all-around. There is evidence of corruption in various literary works like Dante's works, Kautilya's *Arthshastra*, Shakespeare's plays, etc. One of the major reasons for its being in highlight is the role of the fourth estate, that is, the media. Globalization has moreover reduced the gaps between economies and countries to lay emphasis on corruption. NGOs have also been an important factor in increasing awareness towards corruption. Since corruption retards progress in economic governance and efficiency, more attention is being paid to this problem. Lastly, the USA initiated the subject and tried to resolve it by establishing international institutions as they lost out on foreign deals in international market because of demand of bribes to governments and officials.

Though many definitions have been given by various organizations all over the world but the issue here is to understand corruption rather than to define it. To understand this link between good governance and corruption, there is a need to understand both the concepts. Since the concept of good governance has already been discussed, emphasis will be laid upon corruption. Corruption is basically improper use of mandated authority of elected representatives or the executive.

World Bank: The World Bank defines it best as abuse of public power for private benefit. Corruption can occur between individuals and business concerns. It takes place mostly in situations where large amounts of money are involved or when aid is partaken by the poor and developing nations from the developed ones, in an e-commerce environment, natural or man-made disasters and many more situations. It is found everywhere in most of the countries as a part of daily life. It goes on to become massive with larger amounts of money and higher positions of power. Bribery, extortion, nepotism, fraudulent embezzlement and kickbacks to political parties are some of its aspects.

CORRUPTION AND INTERNATIONAL MONETARY FUND (IMF)

Good governance happens where there is no corruption and development come about only when anti-corruption moves on to become an intrinsic part of good governance. The IMF lays strong emphasis on good governance by minimizing and eliminating corruption.

As corruption leads to mistrust in government among public, it becomes detrimental to progress and growth in economy and market. The IMF considered this so important, that in 1997 it developed a

policy named, 'The Role of the IMF in Governance Issues' to tackle economic governance. The IMF has maintained a relationship between its member-nations to fight corruption. It promotes surveillance in financial and technical help so that there is a secure environment which limits corruption. It also checks money laundering.

CORRUPTION IN GOOD GOVERNANCE AND THE ASIAN DEVELOPMENT BANK (ADB)

ADB defines corruption as the abuse of public or private office for personal gain. This points out to any behaviour in which people in the public or private sectors improperly and unlawfully enrich themselves or those close to them or induce others to do so by misusing their position.

The ADB has increased its measures of anti-corruption to achieve good governance especially in the Asian region. The ADB has constituted an 'Office of Anti-Corruption and Integrity' (OAI) for any complaints or irregularities regarding their own projects, activities or employees. This helps in sustaining integrity among its own operations and staff on one hand and maintaining good governance to ascertain effective aid. It adopted an 'Anti-corruption Policy' in 1998 and formulated the 'Second Governance and Anti-corruption Plan'. It prepared the 'Uniform Framework for Preventing and Combating Fraud and Corruption,' in 2006 and finally in 2012.

Such steps seem absolutely essential to donor banks to instil, in the governments, a standard of good governance to maintain. The ADB declared zero tolerance for corruption and misuse of funds. It believes that cases of corruption have decreased with the help of such tools of anti-corruption. It claims that monitoring and reviewing its projects periodically helps in combating corruption.

The policy has three objectives:

1. Support competitive markets and effective public administration.
2. Support explicit anti-corruption efforts.
3. Ensure ADB financed projects and its staff adhere to the highest ethical standards.

ADB worked tirelessly in 2013 to ensure that its funds were not misused and were spent on their pre-determined purpose without any corruption.

Q12 Write a short note on the contribution of the World Bank to good governance.

Ans. The World Bank has been an instrument of developing and executing the 'Governance and Anti-Corruption Strategy' (GAC). Its main task is to have an improved documentation system and efficient handling of loans. This would make the World Bank's system effective if it has organizational structure implemented according to its own requirements.

THE GAC STRATEGY

The GAC tables a report based on its achievements. The GAC strategy has some objectives on its agenda which can be summarized as given below:

- **Reduction in Poverty:** Reduction in poverty is one of GAC's main objectives by having an environment of better services and infrastructure catering to four aspects:
 - (i) **Country Assistance Strategies:** The GAC involved itself in making such strategies which would have the specific country's requirements aimed towards effective developmental infrastructure.

- (ii) **Sectoral Strategies:** Within the scope of GAC, it finds plausible methods to promote a particular sector.
- (iii) **Project Design and Implementation:** The 'Project Design and Implementation' formulates sectoral strategies to get better transparency, citizen participation, supervision and judicial monitoring by some neutral body and some control of the contract of the project functioning design.
- (iv) **Country Systems:** The GAC aims at developing country specific development of individual's capacities in all projects.
- **Two-fold Manner:** The GAC strategy works in a two-fold manner. On one hand, it strives to revamp the methodology of coping with developmental governance issues with respect to effectiveness and on the other hand, it moves in the direction of tackling the GAC issues.
- **Designing Programmes:** The GAC designs and executes developmental programmes in a way that they deal with the political dilemmas efficiently. So, it aims to have a good system in synchronization with its strategies dwelling seriously on the political decision-making of that particular country and secondly, promoting capacity strength and monitoring.
- **Risk-Management:** The GAC strategies help in risk management as it became clear after the 2008 economic crisis. It learnt how such factors need to be included in the GAC to do better work.
- **Country Specific Issues:** The GAC has to deal with country specific issues regarding corruption in the path of developmental effectiveness. Risk management and not avoiding risks is the solution. The poorest of the nations need confidence building at the grass roots level by establishing an institutional framework along with infrastructure. Building nations is not a risk-free job and the GAC has to make sure the high standards set up by the World Bank are upheld successfully.
- **Evaluation of GAC Implementation:** It is necessary that GAC itself evaluates and assesses its own progress in executing its programmes and projects. It carries out assessment in two ways:
 - (i) Assessment of the limits of achievement of GAC strategy in numbers that has improved World Bank development tasks.
 - (ii) Assessment of the effect of GAC work on the developmental effectiveness.
- **Link Between the World Bank Aims and the GAC:** The GAC needs to implement in such a way that it promotes the World Bank's aims. The country specific strategies need to be in the World Bank's aims so that development is visible at the grass roots level. It stresses on 'Change Management' efforts to execute the 'World Bank Groups' strategies.

The GAC needs to implement in such a way that it promotes the World Bank's aims. The country specific strategies need to follow the same aims of World Bank so that development is visible at the grass roots level. It stresses on 'Change Management' efforts to execute the 'World Bank Groups' to have good project designs and their implementation while checking corruption. Core country systems with respect to procurement, management and decentralization are being strengthened. It stresses on the 'who' and 'how' on having sufficient execution of the GAC skills and information.

Q13 How does corruption impede the progress of good governance? How is corruption and growth interlinked?

Ans. Gary Becker, the Nobel Laureate in economics, opined that corruption can be removed only if state is abolished. Since this cannot happen, solutions to this problem need to be studied. Countries like Canada, Finland, Denmark, the Netherlands and Sweden have vast public sector undertakings but the least measures of corruption. So, it is the way the state functions which is more important rather than the size of the government.

The factors that lead to corruption are given below:

- **Regulations and Permits:** The root cause of corruption is that most of the countries in particular, have regulations and permits in abundance. Any economic activity in such countries has to undergo through the rigorous process of obtaining licenses, permits and authorizations. The functionaries responsible for granting such permits consider themselves as extremely indispensable and important and start refusing or delaying them unless some bribe is given to them. Middlemen also came into existence to make a parallel system out of it.
- **Taxation:** Taxation laws sometimes lead to corruption. The laws which are ambiguous and complicated to the taxpayer makes avoid them. Online tax payments now have reduced corruption to some extent as it has decreased the interaction between the taxpayer and the tax official. Mostly, the individual avoiding tax is penalized and not the official which encourages them to look for opportunity for bribery basically because they are underpaid.
- **Expenditure Decisions:** It happens many times that public expenditure is made on the principle of purchasing goods below market prices. The officials have the power to decide about the projects. Commissions become a way of public expenditure and favouring certain groups.
- **Political Parties Finances:** The government treasury cannot give money to the political parties to fund their activities. As they have no official source, they resort to get funds from business houses that in turn put pressures on them for their personal gain out of turn.
- **Bureaucracy:** It is not uncommon to have immoral and corrupt bureaucracy when the whole system becomes corrupt. Recruitment and promotion policy need to be based on merit to root out corruption. A sound incentive structure must be put into place to reduce corruption. Wage system of civil servants, penalty procedure, institutional controls, transparency of rules, laws and processes and examples of leadership are important factors affecting corruption directly.

Research is being done by social scientists to understand the effects of corruption. One set of researchers say that the more corrupt a country, the lower the curve of economic growth. On the other hand, some researchers, after studying Indonesia's economy, state that institutionalized corruption is better than non-institutional corruption. They also say that it may improve efficiency and growth as it does away with the government-imposed rules and limits. They also promote that the most efficient firms pay the highest bribes which ensures that the best company gets the project. Decisions can be made quicker and bribes can keep the officials happy. Strangely enough, the research propagated corruption which cannot be supported.

On the other hand, the arguments for corruption can be refuted by the fact that rules and limits are mostly made to get bribes. Secondly, it is not essential that the higher bribe bidders might be most efficient, rather officials may slow the progress by working only if bribes are paid. On a qualitative level, corruption decreases public revenue and leads to an increase in public spending which is adverse for the deficits and the government faces a problem in having a stable fiscal policy. Economic inequality becomes common because of bribes. Market economies move the way the corruption wants them to straying away from the course of the government's plan.

After studying about various issues and aspects of good governance, it can be safely said that a nation cannot be run without good governance at all. Presently, a lot of stress is being laid on good governance to run the major sectors of the social infrastructure like the health, education, etc.

Q14 Write a short note on the following:

(i) Good governance and ethics.

(ii) The issues faced in implementing ethical governance.

Ans. (i) Good governance: Good governance based on ethics liberates the society to live to their best capacity. The World Bank Indicators included ethical governance characters like the kind of political regime, methodology of economic and social resources management, capabilities of governments in policy formulation and their execution. The second Administrative Reforms Commission in its fourth report in 2007 mentioned the failure of the existing procedures to control problems of bribery, public delivery system and lack of efficiency. There is evidence of dealing with the issue of ethics in good governance in Kautilya's *Arthshastra* also.

Anti-corruption strategies and policies are the tools to combat the void of ethics. Good governance needs to look into the issue of work ethics. The office of the bureaucracy lacks work-responsibility, work-conscience and ethical work-conduct. Commitment to work cannot be bought but needs to be inculcated as it is elusive and there is no method to achieve it.

Since the bureaucrats fail to follow the prescribed code of conduct, it is important that the causes must be studied. The reasons why the code of conduct does not work are:

- (a) Ineffective oversight of bureaucracy's behaviour.
- (b) No penalizing for violations.

(ii) Corrupt Environment: The basic issues impeding ethical governance are corruption, red-tapism and inappropriate behaviour. These can be reduced to a large extent by making the procedures and documents available, thereby increasing transparency and accountability. E-governance is another solution to this problem which has been discussed earlier.

Lack of Objectivity

There is little scope to achieve ethical governance as there is no objectivity in measuring it and the annual confidential reports are written in an archaic colonial way. Given below are three factors of objectivity:

1. There is a lack of proper objective supervision or monitoring of the civil servants which makes the bureaucrats arrogant and having a monopolistic attitude.
2. It is seldom seen that a civil servant is penalized for any violations. Moreover, the process of bringing the guilty to book is so cumbersome that the society has started perceiving that breaking law is part of the business. The penalization for corrupt deviations serve as an encouragement in indulging in them.
3. The environment surrounding the civil servants is so corrupt that at times the system engulfs them into its fold of corruption.

Q15 Discuss ways to improve ethical governance.

Ans. For ethical governance to run smoothly there can be no objective method but there can be a code of conduct for civil servants and public officials, which if not adhered to must be punishable. Following a code of ethics would at least ensure a minimum standard of behaviour thereby increasing the organization's effectiveness and efficiency. Though a legal framework exists but its implementation needs to be ensured. Various bodies and organizations are working towards the success of ethical governance but it is a mammoth task to achieve. There are certain aspects that can be worked for moving towards ethical governance which are given below:

- **Bottom-Up Approach:** The structure of the government must be representative of all sections of the society by having a public service based on a bottom-up approach. Regional and local government norms must replace uniform standards. This is also known as the 'Green Federalism Concept' that promotes inclusive governance via micro planning and implementation at all levels.

- **New Institutions:** Self-Help Groups (SHGs) and Non-Governmental Organizations (NGOs) will establish ethical governance via inclusive growth. This will increase the effectiveness of government agencies by promoting transparency and accountability with the help of legal tools like the Right to Information (RTI) Act.
- **Social Evolution:** A proper and complete education in ethics to curb the degradation of ethics. A few basic values to be upheld in this case would be:
 - An essential sense of justice and fairness to be present in the policy maker as well as the policy implementer.
 - A sense of service to be instilled in the bureaucrats instead of bureaucratic arrogance.
 - Self-confident and dynamic civil servants eager to serve the vulnerable.
 - An attitude of empathy and promptness working towards empowerment of the weaker sections.
 - Spreading awareness of human rights.
- **Sustainable Development:** Privileges of political power are as harmful as those of intellect of wealth. To have sustainable development, the main aim must not be the increase in gross domestic product only. There is a need for a conscientious effort towards ethical upliftment also.
- **E-Governance:** E-governance is one of the most significant solutions to deal with the problem of ethical governance. Some of its important aspects are:
 - A computerized centre to apply for any kind of license or a permit.
 - An acknowledgement receipt for the application and a due date of delivery with the details of contact and complaint.
 - An SMS service to the complainant/applicant that his job has been completed and a convenient time and date to collect the same at the mentioned time and date.
 - The right to appeal in case of a delay.
 - Compensatory fixed cost in case of a delay
- **Low Salary Structure:** In growing economies, inflation has become the norm. Low salaries of public official force them to unethical ways to deal with rising prices and demands.
- **Procedural Difficulties:** The administration has such complicated and lengthy procedures that entrepreneurs have to resort to short-cuts by greasing the palms of public officials with bribe.
- **Nexus Between Politicians and Business Houses:** Election time is the best for corruption to grow and ethics to die. The nexus between the political parties and the industrial houses leads to unethical alliances, personal favours and deals that would help their businesses to grow rapidly.

Q16 *Kautilya had laid the foundation for good governance centuries ago. Does ethical governance help in good governance?*

Ans. Ethical governance is not new to India. Kautilya laid down the rules of ethics centuries ago. There were strict laws for punishment in cases of corruption and unethical conduct. Gradually, a downward trend began in the field of ethical governance. Ethical governance is extremely weak in India due to lack of ethical accountability. There is a gap even in judicial pronouncements in democratic governance. The nation has witnessed corruption at the highest levels and faces it at the lowest levels also in day-to-day dealings with the administration. Greasing palms is the way the Indians live. *Lokayuktas* and *Lokpals* are institutions being established and their effectiveness is yet to be seen. At the risk of being cynical, it may be said that the officials working in such institutions are also Indians and a part of the system. Corruption cases in India lie delayed in courts and such delays become a hindrance in enforcing accountability.

The judicial process is itself corrupted and is rampant with bribe-based listing of cases. vigilance committees to check such cases are formed but result in failure because of administrative manufacturing of the courts. India has probably the richest of the cultures and religious texts but with time they have been overshadowed by greed and corruption. The elected representatives have themselves admitted that out of each 100 paise sent as aid in schemes to vulnerable sections, only 17 paise reaches them.

The UNDP's new manual that was published in 2014, with respect to civil services reform, states that the government wants the civil services to inculcate qualities like fair play and result oriented activities. Even though the government has come up with this plan, it has no mechanism to do this and hence they just remain words.

The manual has introduced a new concept, 'citizen first' approach, to have a good business in the country. It asked the business to be receptive and considerate of the weaker sections and urged them to become role models. There are a lot of do's and do not's for the bureaucrats but does not give any solution as to how the Indian bureaucrat can be depoliticized with inclusion of competence. The manual suggests an idealistic situation without any practical solutions.

Conclusion

Good governance is absolutely vital to development in all spheres for all nations. Its relevance in the present global situation is felt by all levels of government. An effort to achieve it is based on the awareness to deal with it. There is a need to encourage participatory governance and not let it remain just a lofty idea. Institutional and infrastructural growth in developing nations will facilitate good governance. Education solves a lot of problems in targeting the indicators of good governance. Moreover, education will open up many opportunities in various sectors resulting in economic and social development. It is the duty of the government to keep up a continuous supply of services to the citizens and this can happen if the society also develops simultaneously. Economic factor is a positive step towards democratic governance and developing countries need to work in this direction. Devolution of powers to the lowest level of government will lead to responsible governance.

8

New Public Management

Learning Objectives

In this chapter, you will learn about:

- Emergence of New Public Management (NPM)
- Evolution and Impact of NPM
- Various Models of NPM
- NPM in Indian Context

Q1 **Discuss the backdrop against which the New Public Management (NPM) emerged?**

Ans. Public administration faced changes in its nature articulating a new paradigm. NPM rose in the 1980s because New Public Administration was not valid anymore. It became clear in the tail end of 1980s, by the time Minnowbrook Conference II had taken place, that New Public Administration was not applicable to nations' governments and NPM rose as a paradigm.

Backdrop of New Public Management (NPM)

The contextual sources of NPM have a few bases why NPM rose to be relevant. They are:

1. **Civil Rights Movement:** Issues of racism were raised in the USA and a civil rights movement began under the leadership of Martin Luther King in the 1960s.
2. **The Soviet Union:** The Soviet Union was disintegrated and 17 independent states came into being in 1991. The Warsaw Pact was made and the Berlin Wall collapsed. The world changed to become a unipolar one as only the North Atlantic Treaty Organization (NATO) was left to dominate over the rest of the world. This led to the growth of the USA and it became a superpower of the world.
3. **Competition:** There was an increasing importance of market-driven calculations in shaping human behaviour and action. It pervaded all walks of economic, political and social life which replaced publicness by competition.

Contextual Input of Public Sector Attack: The public sector came under attack as it was too large and consuming too many scarce resources. The world had changed with the fall of USSR. Even in India, it was felt that the importance of the public sector that began in the Nehruvian era was becoming a burden to the State exchequer and had become redundant. It was felt globally that the resources used were large and the output as good as nil.

Attack on Government and Bureaucracy: It was observed by all public administrationists that there was too much government and less governance and this problem was being compounded by the non-caring and arrogant attitude of the bureaucracy. There was a felt need of more stress on public service delivery which the governments were failing to do so. Thus, outsourcing of public service delivery to the private sector was recommended to reduce the functions of the government.

NPM emerged against this backdrop and deleted the word and its notion of administration in the Post-Weberian and Wilsonian era.

EVOLUTION OF NPM

The traditional public administration was attacked in the Post-Weberian period and the organizations that gained success could not owe it to the classical edicts of public administration like hierarchy, centralization, rationality, monopolistic nature of traditional bureaucracy and the *status quo* of economies and neither could the Simon's administrative man's rationality solve the problems anymore. However, NPM did not happen overnight and took some while for it to develop and evolve globally. It began primarily in the UK, under the prime ministership of Margaret Thatcher, in the Municipal Corporations of California and later in New Zealand and Australia. Thatcher actively took the role and challenge of being a policy entrepreneur. She pushed reforms in public management policy in areas of organizational methods, civil service, labour relations, expenditure planning, financial management etc.

Given below is the timeline for the evolution of NPM:

1969: Program planning and budgeting system was propagated by Waldo in 1969. It was a budgeting system based on planning and programmes to implement the microeconomic decisions and methodologies.

1970s: The late 1970s saw a shift from the capitalist ideology to a neo-liberal one which discredited the welfare state, public sector enterprises and the bureaucracy.

1976: Simon refuted the Scientific Management Principles (SMP) and supported divorcing facts from value-judgements. He based his criticism in favour of behaviour, decisions and organization but believed that the separation of facts from value cut-off public administration from its fundamental political philosophy whose main goal must be public interest.

1980s: John Major continued Margaret Thatcher's work by pushing her initiatives and formed the 'Next Steps Initiative' to launch the Citizens' Charter, Quality Competitiveness, Resource Accounting and Budgeting and the Private Finance Initiative.

1980s: Public Management was proposed by Organization for Economic Cooperation and Development (OECD) and formed 'Public Management Committee and Secretariat' (PUMA).

1984: Two doctrines emerged to support the accountability paradigm in progressive public administration:

1. The public sector must be separated from the private sector in the aspects of ideology, ease and method of conducting business affairs, organizational structure and dealing with people.
2. Safeguards were needed to be built for taking managerial decisions against political powers by devising complex and detailed mechanisms.

1984: NPM found roots in neo-liberalism in reformatory steps taken by capitalist countries like the Financial Management Improvement Program, Fundamental Policy of Administrative Reform in Japan, etc.

1986: Public choice theory was proposed by James Buchanan and Warren Nutter, based on methodological individualism by moulding the societal behaviour of individuals aggressively to have a choice to select their public service providers and reducing the role of the state. According to public choice theorists, individual rationality by Simon was not acceptable as an individual acted in his/her own interest and not rationality.

1989: Christopher Hood raised the issue of NPM to check the slowdown or reverse the government's growth in terms of excessive public spending.

1990s: President Clinton supported public management and launched 'National Partnership' and passed the law, 'Government Performance and Results Act'. This movement spread to other developed nations like Japan, New Zealand and Australia and other developing Asian and African countries. Various autonomous agencies of the public sector were formulated and adopted a 'performance contracting policy' to deal with the issues of waste management, road maintenance and the likes.

Q2 *The advent of the concept of 'The rollback of the states since the nineteen eighties has been altering the role of public administration but certainly not diminishing its central place in human society'. Discuss.*

OR

'NPM for all Seasons' by Christopher Hood brought a change in the public administration. Discuss.

Ans. The NPM model was initially given by Christopher Hood and Michael W. Jackson in 1991. He conceived a new notion of public accountability with varying designs of trust and distrust and as a result, created a variation of accountitization (a term coined by Power and Laughlin in 1992). He put the basic rules of progressive public administration in a reverse order by:

- Reducing or eliminating differences between the public and the private sector.
- Shifting the focus from process accountability to results.

Accountability comprised of 'accounting' as its new basic element to depict high levels of trust in the market and private corporate marketing methods and low levels of trust in the bureaucratic officers to be perceived as budget maximizers. Their functions must be scrutinized carefully with precise costing and assessed by using accounting techniques. The NPM principles were laced with economic elements to the extent that it involved economists and accountocrats. All such notions were termed as NPM to give it a comprehensive outlook to include new politics, the new right and the new industrial state. The shift of the old public administration to NPM came quite smoothly and the older version was gone with no qualms about it.

Theoretical Basis of NPM

For any model to work out practically, it needs to have a theoretical basis. There are many models of NPM given by various theorists and public administrators to reinvent government into a tool for responsive governance. Given below are the characteristics that form the theoretical bases which cannot be questioned while forming an NPM model:

- **Budget Cuts:** All modern governments are facing budgetary problems as their activities have increased and resources are scarce. To meet expenditures of its governments, they go in for deficit budgeting and end up in the deficit cyclical pressures. Economy can be achieved only on the basis of budgetary cuts and economy. The way out, as suggested by Peter F. Drucker and many public choice theorists is privatization as it would reduce the government expenditure and related functions.
- **Separation of Provision and Production:** Provision of public goods and their production can be separated to build strong community organizations. An effective way to do this is by contracting out given by Ostrom in his 'Polycentric Administrative System'. It was also supported by public choice theorists to free the government from economic restraints and influences.
- **User Charges:** Even though user charges were advocated by public choice theorists yet it was initiated by rational management thinkers. The scheme of 'Build Operate Transfer' (BOT) for infrastructure is an outcome of this theoretical basis. It can save the government to find resources to fund infrastructural development. The concept of 'vouchers' is also derived from the theoretical base of 'user charges' from marketing models.'
- **Competition:** To have an improved market economy, the Public Sector Undertakings (PSUs) need to compete with private corporate sector so that people can get the choice to decide what to buy and from which company. Internal competition between departments can also be cultivated to shift funds. Another way to motivate performance is to give more discretion and leverage to managers to work freely. Along with this leverage comes the concept of decentralization which was common to the classical public administration and public choice theory. NPM based itself on accountability as a major thrust area to boost up performance techniques of performance measurement. Performance indicators and accounting are used to increase accountability and performance.
- **Separation of Politics and Administration:** The separation of politics and administration was stressed in NPM as it was the focus in Comparative Public Administration (CPA) and NPA to have effective management. Financial management and performance auditing are two important techniques to have an increased ease. Planning, Programming, and Budgeting System (PPBS) and outcome budgeting help in streamlining governmental spending.
- **Strategic Planning and Management:** Public management comprises of strategic planning and management methods to affect the shift from rational bureaucratic attitudes to humanistic management styles. Human Resource (HR) management and capacity building are two watchwords to have a cause and effect relationship. If we have the first, we can have the right level of required performance.

All the above-mentioned theoretical bases must be treated along with Information Technology (IT) to get transparency with speed. If time can be saved, cost can be automatically economized too. Administrative structures must be reorganized and citizen participation enhanced.

The stress of NPM was on changing the style of administering government and delivering public goods to the citizens. Christopher Hood, a pioneer of NPM, wrote a book entitled, '*The Art of the State*' and gave a comprehensive outlook on it. He defined it as 'The problem of how to design and operate public services and the detailed work of executive government'. Public administration has been renamed as 'Public Management' which incorporated the new ideas, concepts and methodologies to conduct government 'business' which was earlier referred to as 'administration' or governmental activities.

The term, public management is liked by all as the first word 'public' holds appeal to thinkers who perceive it as being related with the activities of the government whereas the second word 'management' deals with the application of management techniques to deliver public services without stress on politics.

Assumptions of NPM

The vast and increasing literature on public management is built on three assumptions:

1. **Transformation:** Public management is in the middle of transforming itself to a new approach to 'managerial modernity' in the delivery of public services via using IT to modernise post-industrial area bureaucracies. A variety of international professional reforming institutions like World Bank, International Monetary Fund (IMF) and the Organization for Economic Cooperation and Development (OECD) began motivating 'laggard' nations or institutions to adopt the best management practices.
2. **Sharp Difference Between the old Public Administration and the NPM:** NPM is more 'result-oriented' than the 'process-oriented' old public administration. Economy is the new buzz word to produce efficiently and effectively.
3. **Management Techniques to increase Efficiency:** Public Management stresses on increasing efficiency by using the latest techniques like Total Quality Management (TQM), reorganization, benchmarking and human values to deliver public services in public organization.

Q3 *There are various views given by scholars on New Public Management but there is no single definition. Is it a viewpoint still under consideration? What are the various models with respect to public service delivery?*

Ans. Organization of public services is a major issue in NPM with the existing ways and methodologies to deal with it. According to Christopher Hood, the basic ideas of NPM had a historical perspective and used Group-Grid Cultural Theory to analyse the public management themes like control and regulation designs, disaggregation of types of management and failures of these themes. Before embarking upon Hood's model of NPM, it is essential to understand the Group-Grid Cultural Theory in brief.

GRID–GROUP CULTURAL THEORY

The Grid-Group Cultural Theory was developed by Mary Douglas, Michael Thompson and Steve Rayner. Aaron Wildavsky and Richard Ellis also contributed to this theory. It showed how native traditions and practices are significant to the modern society behaviours and ways. This model has two basic parameters that indicate the sociality. They are:

1. **Group:** Though the lines are subjective and discretionary, yet the 'group' dimension identifies the level at which people bond with each other. On one end of the horizontal axis are separated individuals who bond together at a low level and on the other end, there are people who bond with each other because of a personal attachment to others giving each other more time to establish long-lasting relationships. The group dimension measures the degree to which the lives of people is shaped up and controlled by the group they live in. It factors in all the restraints put on an individual due to aligning oneself to that group.

These collective constraints act as a controlling factor and determine an individual's behaviour, for example, the amount of time a person spends on leisurely activities depends specifically on the dynamics of the group if it were a work-oriented one. On one end of the line, people who spend time on leisure on a weekend would live comfortably in that group and on the other end, would be people who like to waste away their time and do not wish to contribute to the society and would be eventually ostracized from that group.

So, when individuals converge into a group, the regulations and controls convert into effective laws that are effectively implemented. The same theory, when applied to management, displays that a low group does not happen to manage resources while a high group does.

2. **Grid:** The grid dimension is shown on a vertical axis which depicts the difference in people of a group in their choice of adopting different roles. On one hand of the axis, would be individuals who are more homogenous in their capabilities, the functions that they can perform and the ease with which they can swap each other's roles, thus increasing interdependence. On the other end of the axis, those individuals get a position who have distinct and specialized roles with a different level of accountability. Their titles and positions are such that their functions are not interchangeable but can share and organize together.

In the field of management, a low grid does not manage needs whereas the high grid does.

THE GRID–GROUP CULTURAL MODEL

There are four types of culture in this model:

1. **Fatalism:** The fatalist culture bonds together on a low level because of their individual differences and do not realise their duty to look after the lower strata of the society. The impoverished fend for themselves wherever their fate takes them, whether it is negative or positive. Over a period of time, they become indifferent and unresponsive to external stimuli and do not help themselves or the others. Out of this section of the group, if they succeed, they consider themselves successful with contrast to those who are not and that they achieved it on their own. Such a fatalist group does not manage needs or resources. There is an imbalance of power because of being apathetic and are thus known as 'isolate' also. They have a despotic leader with no cultural heroes.
2. **Collectivism:** Besides having individual differences, a collectivist culture entails strong bonding between individuals and development of institutions, hierarchies and laws. Laws control people and indulge in welfare activities. A collectivist culture may include sub-groups which would obey overall laws but might have internal rules too. It is also called 'Positional' or 'Hierarchical' culture which depicts hierarchy and robustness. Obedience is inbred and their cultural hero is a bureaucrat and tend to manage resources instead of needs.
3. **Individualism:** In this group of culture, individuals are alike but do not relate to each other, do not show any duty to each other or any allegiance to any central authority and do not care for each other. There is a fear of an individual taking advantage of the other and as a result, because of the difference in the levels of power, individualism might turn into fatalism. This type of culture is also known as 'markets' and deals with competition in a *laissez faire* market with pragmatic materialism. It is based on grabbing opportunities and believes in self-regulation. Its cultural hero is its pioneers and manages needs as well as resources.
4. **Egalitarianism:** This type of culture is also known as 'Enclave', 'Communitarian' or 'Sectarianism'. It is based on the premise of equality and commune where the group is less central, requiring individuals to help each other, based on values and ethics more than the laws. Laws are resorted only if there is a value-deficiency. Since individuals are quite similar in this culture, they imbibe similar values and there is a group pressure on an individual to behave in the norm-prescribed way. The group tends to correct the astray individual displaying communitarian characteristic. The cultural hero is usually a charismatic holy person. It manages needs but not resources.

CHRISTOPHER HOOD—MODEL OF NPM

After understanding the Group-Grid Cultural Theory, Christopher Hood's concept of public management can be studied. He identified seven propositions of public management, which are:

1. **Grid-Group Cultural Theory:** This theory comprises of all prevalent variations in cultural and historical debates dealing with the organizational issues in the government and public services delivery.
2. **Cultural Theory Framework:** Analysis of the shortcomings in the public delivery system, regulatory mechanisms and public management techniques to remove them can be achieved through the application of cultural theory.
3. **Organizing Public Services:** Ways to organize public services through the cultural theory can be determined by an extensive study of correlating them to the four polar categories of the cultural theory.
4. **Reverse Effect:** Even though the cultural theory has definite organizational designs to effective delivery of public services, yet there may be other methodologies too which may have negative or reverse effects.
5. **Limits to Effectiveness:** The organizational ways to have an effective public delivery system have their limits to it, even in the NPM globally, if one system has to be followed.
6. **Dimensions of the Cultural Theory:** The cultural theory explores varying dimensions to apply to different levels that can be studied in NPM.
7. **Understanding Cultural Variation:** The cultural theory aims at understanding cultural variation with a historical perspective to arrive at the 'Good Management Techniques'. It also includes the building of capacity to refute the models of public management if they are workable.

To summarize, Christopher Hood with Dunleavy in 1991, presented a hands-on professional management showing a paradigm shift to disaggregation of units into quasi-contractual or quasi-market forms:

- A shift to a higher level of competition and mixed delivery by using 'contracting out' in the public sector.
- Focus on private sector management techniques to apply to the public sector.
- Stress on output controls.
- Definitive focus on the development of performance measurement.
- Emphasis on economic and parsimonious resources and reform budgets to attain accounting transparency.

Q4 Give various approaches given by Pollitt, Ferlie and Borins.

Pollitt

Pollitt argued that public services have political, ethical, constitutional and social angles that differentiate them from private goods. Pollitt made some observations about NPM which are:

- **Nature of Public Management Reform:** Public management reform has emerged as a growing concern in most of the governments in their party manifestos, government plans and projects. It has become an organization in itself, comprising of national and international networks and agencies, civil servants, scholars, politicians and management consultants.

- **Government as a Business:** The NPM approach perceives government as a business concern and that it must be run accordingly. This approach has become a part of public sector reforms across nations.
- **No Convergence on NPM:** The NPM approach is not an only converged model of public reforms. It can be, however, considered as one of the models to elicit public sector reforms due to the variability in regions and nations.
- **Gap with respect to Implementation:** There is a wide gap between discussions on NPM and their implementation. There is a need to assimilate the phase of discussion and correlate it with the implementation.
- **Assessment of Public Management Reforms (PMR):** In various countries, who are trying to bring in PMR, the assessment has not been explicit or credible. Even the worldwide good governance indicators have not been able to solve this problem of ambiguity.
- **PMR Alterations:** It is seen that PMR evaluation comprises of cyclical modifications, for example, decentralizing mechanisms are preferred after a period of using centralising mechanisms. At times, performance measurement and auditing of a lower level is preferred to let the sectors grow to be interspaced with strict auditing and measurement.

In a nutshell, Pollitt, claimed that there was no stable pattern or a design in public management across the globe. There were variations being followed depending on the factors specific to that country. On the other hand, what has been observed practically holds a theoretical base too as one size does not fit all.

Some management techniques like TQM have shown a stable pattern from which evaluative contexts can be built. Hence, he suggested to work out models specific to the country that are being designed for, keeping in mind the localized factors, including sectoral and task differences. Another variable to consider is how that country's politics works so that the managerial design can be made accordingly. Vested interests and iterative characteristic of PMR are two ways to look out for, while planning the PMRs.

Ferlie *et al.*, 1996

According to Ferlie *et al.*, NPM is seen as a body of managerial thought or as an ideological thought. They identified the changing political economy of the public sector in the following areas:

- **Decline in Public Sector Unions:** Contracting out led to a steep decline in public sector unions as an effort of the shift in power in the 1980s due to changes in the legal framework of contracting out from the traditional system of collective bargaining of salaries. Performance based salary system became a norm and a new political economy emerged.
- **Decrease in Professional Autonomy:** Higher research and educational professionals were subjected to stern managerial minority and their autonomy was affected adversely. It is accepted that professionals might again regroup and get organized to demand autonomy in core tasks.
- **Public Sector Managers:** The doctrine of 'Management Must Manage' has led to an advantageous group of public sector managers who are responsible to introduce managerial reforms. There is a growth in managerial posts with respect to reclassification of tasks like finance, audit and information.
- **Rise of Non-elected Elite:** Public Sector Enterprises (PSEs) have seen an appointment of managers to their boards instead of executive directors to manage the delivery of new public services. Skilled non-elected elite managers from the private sectors have been inducted into PSEs to create this new group who will be instrumental in developing public sector reforms.

- **Democratic Deficit:** In developing NPM models, the user is becoming less significant and is creating a democratic deficit although the supporters of NPM argue that the user would be eligible to a larger number of choices in the new market mechanisms. Public accountability establishment might be a challenge to NPM. Ferlie *et al.*, developed a set of aspects to be included in the NPM which are:
 - Decent, organizational bundling, new forms of corporate governance like the Board of Directors.
 - Identification of the core scope of large operations.
 - Developing quasi-market mechanisms to appropriate funds for the public sector.
 - Separation between public financial allocation and private service delivery.
 - Focus on service providers and their user-responsiveness with quality.
 - Performance assessment via transparency mechanism.
 - Stress on value-for-money coupled with efficiency.
 - Downsizing of organizations to economies and be efficient.
 - Deregulation of the labour market.

Borins, Kernaghan and Marson (1984)

Three types of approaches to new public sector management were developed by Borins, Kernaghan and Marson with respect to Canada. They are:

1. **Downsizing State Role:** They advocated a reduction in the state's role in the society via privatization, deregulation and contracting out.
2. **Organizational Structure:** A need was felt that the government organizations must be reorganized by following the best management practices.
3. **Capacity Building:** Public sector reforms must be implemented with special reference to capacity building of public sector employees so that they can be empowered with participatory decision-making.

Hence, they focused on:

- Devolution and participatory decision-making in the public sector.
- Downsizing of the bureaucracy to increase efficiency thereby resulting in lesser control in the central agency.
- Acceptance of competition-driven market and receptiveness of segregation of activities to be performed by the public sector or private sector.
- Building a correlation between the public and private sector.
- Service users to be treated as customers and focusing on providing quality services.
- Performance based evaluations of organization and their employees.
- Providing managers with adequate human and technical resources to meet their performance targets.

OSBORNE MODEL OF PUBLIC MANAGEMENT

The scholars, David Osborne and Ted Gaebler, contend that the system of governance that emerged in post-industrial era did not work anymore. Financial constraints in government budgets has made it even more difficult to cover the increased complex governmental activities as the society has evolved into a citizen-centric one demanding services with a given standard of quality. Osborne suggested 'Entrepre-

neurial Government' covering the aspects of results, decentralization of authority and decrease in the size of bureaucracy.

It promotes competition within as well as outside the government and citizens are customers with ample choice for servers. The forms, thence was on reinvention of government by competition, mission-orientation and earning entrepreneurship. They devised ten core principles which would be universally applicable though that aspect has been severely challenged owing to the fact of having localized factors affecting the system and vice versa.

The key elements included in the Osborne model are:

- Private sector management principles and techniques must be learnt and incorporated into government sector management.
- Two concepts of 'hands-on' management and 'arms-length' organizations would promote implementation of policy detached from the policy makers.
- Public sector enterprises must inculcate the culture of entrepreneurial leadership.
- Focus on evaluation of input and output with the help of performance management and audit.
- Breaking down of public services to their most basic elements to apply cost management.
- Contracting out, competition and private sector markets to effectuate resource allocation and service delivery in the public sector.

Action Plan of Osborne and Gaebler

The main principles of NPM model's action plan to have a successful organization are:

- **Core:** The organization must have a core objective to focus to reach the desired target.
- **Consequences:** The action of the employees must have a correlation with consequences and the groups of an organization to have the desired results to have an impact on the citizens.
- **Customers:** It is important to keep the customer in mind to realise that the main objective of delivering a public service needs to reach him.
- **Control:** Control must be decentralized to empower employees, agencies and the society to alleviate problems of the people.
- **Culture:** Change the bureaucratic model of the public agencies to include human values to win over citizens.

ORGANIZATION FOR ECONOMIC COOPERATION AND DEVELOPMENT (OECD) PRINCIPLES OF NPM

The OECD established four principles which are also known as the Enterprise Performance Management (EPM). It left each state to define NPM in its own way to manage their own way.

Given below are the four principles in brief:

1. **Reliability and Predictability:** Public services delivery must be devoid of any vagueness because they have to be given one way or the other. This principle involves operationalization of public agencies within the constitutional framework with precise and proper procedures and professionalism.
2. **Openness and Transparency:** The OECD developed the second principle as openness and transparency so that the government organization would be open about their processes and procedures to agencies through legislative control agencies.

3. **Accountability:** The third principle of accountability is defined by OECD as, 'answerable for its actions to other administrative, legislative or judicial authorities'. Performance of organizations are improved in all areas if accountability can be fixed.
4. **Output of Public Administration:** The cost-benefit ratio should render the outputs as efficient and effective in achieving the identified goals by law.

The OECD principles do not include empowerment of citizens via participation probably because they do not conform to the view of NPM that men are selfish and work in their own interests and believe in the market governed by price and incentive.

WEBERIAN CONCEPT

Weber also became ambivalent about his concept of legal-rational bureaucracy and gave hermeneutic-interpretive tradition. He wrote about various types of bureaucracy and to discuss only one type would be unfair.

Critical Theory

The critical theory was proposed by the Frankfurt School of Thinkers like Max Horkheimer, Theodore Adorno and their followers. They give a physical and ethical foundation to administrative reforms. The emphasis was on the problems of bureaucracy and the bureaucratization of state and society. Weber argued that bureaucracy was a perfect epitome of instrumental rationality. He considered bureaucracy as the supreme organization which embodies precision, speed, clarity, continuity, etc. Three types of rationality have been defined by critical theorists:

1. **Instrumental Rationality:** It involves empirical analytic sciences, social management technologies, public administration and Regulatory Impact Assessment (RIA) within the confines of the European Union to control human and material nature.
2. **Hermeneutic (Interpretive) Rationality:** It's basic aim is to interpret written documents to remove any ambiguous nests or contortions in them. This was used initially to interpret Bible in the right way.
3. **Critical (Emancipatory) Rationality:** This involves elimination of distorted communication provides a physical and ethical base to solve administrative reforms' problems. It separates itself from the traditional scientific and legal theory of the practice of public administration. Instrumental rationality includes the elements of downsizing, reduction of tax and privatization to increase efficiency. Community participation helps in the implementation of policies.

Some other principles given by them, were, catalytic government, community-owned government, mission-driven government, result-oriented government, anticipatory and decentralized government.

Q5 What are the commonly accepted elements of New Public Management?

Ans. Whether NPM is a paradigm shift in the public administration discipline, away from traditionally large bureaucracies and the classic command and regulation, remains a question till today. There are a number of models given by various scholars of public administration, for NPM. A Commonwealth Association for Public Administration and Management Conference was held in Charlotte town, Canada in August 1994 to discuss issues in public management with respect to that era's transitional status of public administration to public management. It was agreed that it had come about due to the changing environment of liberalization, privatization and globalization supported by a splurge in ICT and world trade.

A compilation of the basic elements common mostly to all with some variations necessary specific to countries are:

- **High Quality Public Delivery System (PDS):** The focus on high quality in PDS and efficiency resulting in elevation of social infrastructure is a challenge as it becomes difficult to quantify and measure targets but new methods in NPM have been worked out in all working areas. It suggests a synergy of the private and public-sector management ideas to motivate the public sector managers to build a framework of the public service mission keeping in mind the maintenance of quality standards. Application of TQM technique and business processes revamping can be used to enhance service quality. The citizens are considered as clients or consumers whose satisfaction must be guaranteed. Surveys are being conducted to show the levels of consumer satisfaction with respect to public services across government departments for the public to have transparency to understand the commitment of the government. Citizens' Charter movement is a good outcome of this element of NPM where the responsibility and a pledge of the public agency is declared. If the service is not delivered as promised, a system is in place for the redressal of grievances.

Principles of Service Delivery

Denhardt's gave principles of service delivery which are:

- Citizens instead of customers are to be served.
- Public interest is most important.
- Citizenship instead of entrepreneurship comes first.
- Strategic thought must have priority over action.
- Maximum accountability should be aimed for.
- Catering to the real needs of the citizens must be the objective rather than their manipulation.
- People need to be valued rather than productivity.

These principles are conducive to the reduction of the size and scope of the activities of the government. High quality PDS reflects as a way of loyalty-building method towards the state. There can be an amalgamation of partners of the government, private sector and the non-profit sector to provide quality services to promote alternate service delivery mechanisms.

- **Increased Autonomy of Public Managers:** NPM argues for a greater role of public managers in the government by providing a wider range of choices to the citizens to choose from or to just reject the services totally. To achieve pre-set goals through private sector management practices, the public managers also need as much autonomy as the private managers. The management techniques of the private sector cannot be put into practice if they are constricted by the authorities. They must be given with more autonomy to work with the private management principles. The principle of contracting out requires increased autonomy and flexibility in agencies to achieve as per targets. Public managers require a creative environment to be more innovative and must be granted with more power.
- **Performance Measurement:** Motivation based on the measured performance by standardized techniques would decide the rewards in the form of pay and perks. There is a move from cash to accrual accounting as the system of contract system is being put in place. In output orientation, there is a focus on output control in areas of resource allocation and rewards linked to performance measured by techniques. Emphasis must be more on outputs and performance accountability mechanisms rather than the inputs processes. This drives the public managers to work more in ways to achieve the targets.

- **Managerial Support Services:** To achieve pre-identified performance targets, the public managers need the support of the managerial staff in areas of recruitment, training, wages and salaries, promotions, etc. Human Resource Management Development tends to work in these directions to have the best personnel to manage the positions successfully and efficiently. Training is the best method to direct the workforce suited to the jobs. Many countries are following this step to have better managerial staff to increase productivity. ICT is another element that serves this sector in a precise and improved way by drafting questionnaires, surveys and training capsules to keep upgrading the skills of employees. Citizen-sensitization can be taught to the public officials to cater to their needs.
- **Competition-Sensitization:** The public choice theorists advocated competition in public service delivery and reduction of the state's role. Private sector, along with the non-profit sector, needs to be involved to increase efficiency and quality. This is visible in physical infrastructural development where BOT schemes are instrumental to achieve the targets. We see this competitive market in developing countries too and especially in India in the social infrastructure development too in the fields of health and education.

Other elements of NPM include internal markets, vouchers, user charges and decentralized management helps in achieving the goals of NPM.

Q6 *Trace the evolution of administrative systems in the world in the last three decades with respect to NPM.*

OR

'The New Public Management' is an incarnation of a new model of public sector management in response of the challenges of liberalization, international competitiveness and technological changes. Explain.

Ans. NPM originated from the Margaret Thatcher's tenure as the Prime Minister of the UK and the movement took a leap when Christopher Hood gave his theory on it and defined the areas of expansion and incorporation the old public administration could do. The NPM spread its wings to the developing countries. Also, away from the developed nations.

The administrative changes that occurred as a result of the NPM movement are:

- **Privatization:** Many African and Asian countries favoured privatization of public sectors and there has been a mixed response to it by the administrative machinery. Nigeria privatized 87 out of 113 Public Sector Undertakings (PSUs) but this decision adversely affected the economy. It didn't increase productivity because the process was hindered by problems of corruption, lack of transparency, lack of accountability, inconsistency and in credibility. The NPM model failed in Bangladesh too basically because the recommendations made by World Bank like market-based systems, privatization, NGOs involvement in development and anti-corruption practices but they were not adopted.
- **Singapore Model of NPM:** The NPM reforms were a success in reshaping the public sector in Singapore. In 1994, public sector reforms in the areas of budgeting form 'Results Reform' based on outcomes and attainment of targets. Autonomy and flexibility were given to ministries. In 1980s, 'Public Service for the 21st Century Initiative' (PS21) was introduced to reinvent the civil service and provide public goods to the citizens. The PS21 initiative included:
 - **Self-Well-Being:** To increase the degree of morale and welfare of the public-sector employees to work like the private sector to increase efficiency.
 - **Excel:** Innovation is significantly to elevate the level to increase productivity by teamwork and relevant training.

- **Organizational Review:** All public organizations in Singapore underwent an organizational review to have better organizational processes and procedures to ascertain the three Es, economy, efficiency and effectiveness.
- **Service Quality:** This was the fourth pillar on which the PS21 initiatives were based. It aimed at maintaining the service quality of the public goods to be delivered to the citizens.
Besides the PS21 initiatives, some other areas where reforms were carried out successfully were privatization, institutional reforms, client-centrism and local administration reforms.
- **NPM Reforms in India:** India adopted the LPG reforms and initiated various developmental schemes to bring about positive changes and reforms. Citizens' participation in governance is very important to have an impact but the dampener here is that people in India are more involved in political rather than developmental activities. Market-based public administration in India has orchestrated India to a new reduced and directed role of the state with the partnership of E-governance. The cybernetic state has given way to speedy and effective governance. The NPM reforms in India began in the 1990s. It included the reverse role of the government in a guided way, permission to private companies to take part in developmental functions, Public Private Partnerships (PPP), BOT schemes, democratic decentralization of which the 73rd and the 74th Amendment is the most significant one and disinvestment of PSUs. Such measures gave a kick-start to the Indian economy. It reduced the state monopoly and let the market-based economy to come into play.

Privatization and increased limits of FDIs every year has led to an increase in choices to the consumers to maximize utility satisfaction, though on the downside it is also called the McDonaldization of the economy by some. There is a stiff competition in the market and is a true example of LPG and NPM.

Q7 Is NPM really the answer to salvage the 'laggard' economies? Discuss.

Ans. It has been almost two decades since NPM reforms were proposed. The developed and developing nations alike adopted them in varying degrees to adapt to the growing demands of globalized economies. The first-generation reforms with respect to microeconomic policies working towards stabilization gradually changed into the second-generation reforms of New Public Governance (NPG). Public administration scholars recommended that their untested governance theories and the governments lapped them up and applied them to salvage whatever they could of the 'laggard' economies. ICT gave a tremendous boost to the movement as its growth also coincided with NPM.

Presently, everything is moving at a lightning speed because of the use of internet in the fields of e-commerce and trade. The paradoxes and the complications of NPM need a careful study to remove the flaws for a better and an effective methodology to implement the NPM and LPG to deliver the new public services. Given below are some of the points of criticism against the NPM:

- **Internalization of NPM:** NPM is a paradigm and has been accepted by developed countries and is being adopted in the developing nations as an international phenomenon. The objections against it are:
 - **Globalist Nature:** Whether 'one best practice' to initiate public sector reforms is an acceptable approach is questionable. There may be convergence of NPM to some extent as a whole but each country needs its own NPM model to respond to its localized needs. So, the globalist or the pluralist nature of NPM was objected to by the proponents of the model themselves.
 - **Pluralist Nature:** Christopher Hood raised the question of pluralism against the internationalization of the NPM. He pointedly criticized the Osborne and Gaebler model that their public sector reforms were culturally plural instead of being globally homogeneous.

- **Bias:** There is a built-in bias in public sector reforms with respect to their continuance. With the dynamically changing nature of economy, reforms need to be modified accordingly.
- **Multiple Reform Paradigms:** There are multiple reform models of public management presently, so there is a risk of multiple unwanted reverse as well as side-effects.

If we observe the development of NPM, it can be said the Westminster nations aimed and achieved the downsizing the role of the state whereas the Nordic nations focused more on reforming the state machinery according to the change in the environment. A limited scope was seen of the public sector reforms internationally.

- **Philosophical Ideology:** The second objection to NPM was if the philosophical content was enough to consider NPM as a paradigm. It is only a collection of notions and techniques that are put together instead of even having a clear definition. There are three basic premises on which it was criticized. They are:
 - **Christopher Hood's Objection to Philosophical Content:** Given below are the points of criticism based on the philosophical ideology by Christopher Hood: NPM lacked substance and theory.
 - (i) It was ineffective in delivering services at a lower cost.
 - (ii) It has become a tool for 'particularistic' advantage.
 - (iii) NPM cannot be called universal.
 Post-NPM, there has emerged a hunger for power and control between the politicians and bureaucrats.
 - **Public Choice Theory (PCT):** Another point of criticism under the umbrella of physiological ideology is that most of the NPM content was based on the PCT and since PCT itself was criticized on many grounds, NPM also stands to criticism on the same points. For instance, the point of politicians and bureaucrats acting on self-interest is not valid always.
- **Managerial Base:** Scholars in public administration questioned the empirical or the physiological base of NPM under the managerial view. Private sector principles of management might not always be applicable to the public sector just because of their nature of being a public service not leading to any profit. Moreover, it is not an essential condition that private sector managerial principles are always better in practice as is evident in private sector meltdowns. Then there was the fear of the partisan interests which would lead to the death of NPM.

Whatever the criticisms of NPM are, it has still given a positive direction towards effective governance of public services. Osborne and Gaebler's ten principles of NPM in 1991 changed the face of administration to management which were steering the PDS, citizen-centric governance, competition, mission-driven governments, citizens as consumers, earning of allocation of resources for their government agencies, preventing problems, maximization of participation of people's participation, the decision-making process and leveraging market forces via market-based policies in PDS.

UNIT

II

ADMINISTRATIVE THOUGHT

Chapter 9 Scientific Management and Scientific Management Movement

Chapter 10 Classical Theory

Chapter 11 Weber's Bureaucratic Model

Chapter 12 Dynamic Administration: Human Relations School

Chapter 13 Functions of the Executive by Chester I. Barnard

Chapter 14 Simon's Decision-Making Theory

Chapter 15 Participative Management

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9

Scientific Management and Scientific Management Movement

Learning Objectives

In this chapter, you will learn about:

- Emergence of the Scientific Management Movement
- Taylor's Scientific Management
- Evolution of Scientific Management around the World
- Taylor's Principles of Scientific Management
- Techniques of Scientific Management by Taylor
- Concepts of Scientific Management by Taylor
- Application of Scientific Management in India

Scientific management theory forms a part of the classical organizational theory which functioned in an organizational structure with a narrow span of control, centralized authority and a top-down approach.

Q1 *Discuss the background in which Scientific Management emerged and developed.*

OR

Briefly present the background in which Scientific Management movement developed and reached the stage where Taylor gave his ideas.

Ans. The conception of scientific management, as a conscious effort, is associated with Frederick W. Taylor (1856–1915). However, the period from 1880 has been termed as the 'Pre-Scientific Management Era'. Before we start understanding scientific management, it is important to understand the background in which it emerged.

Pre-Scientific Management Era: Evolution of management cannot be time-lined because it has been existent since there was a civilized society. There is evidence of management in ancient Greece, the Roman Catholic Church, ancient India and the armed forces. The use of management in handling the affairs of an organization was found in the second half of the nineteenth century as business was simple. A brief mention of the contributors to management concepts here is relevant.

Robert Owen: Robert Owen, a textile mill manager in Scotland from 1800–1828, came out with his study on various variables that influenced the output of the employees and stressed on their treatment as human beings.

Charles Babbage: On the other hand, Charles Babbage, a British professor of mathematics focussed on the usage of accuracy and precision in measurements to take sound decisions in an enterprise. He wrote an essay, *The Economy of Machines and Manufacture* in which he stressed on the use of science and mathematics in factories to find solutions.

Henry and Towne: Henry and Towne, in 1886, also worked to develop management techniques to be applied in factories. Andrew Ure and Charles Dupin were also some of the initial contributors to the Scientific Management movement.

Q2 Write about how Taylor came to develop his theory of Scientific Management.

Ans. Scientific Management and the movement included Frederick Winslow Taylor and his associates Galbraith, Grant and Emerson who developed a whole new study. F. W. Taylor is known as the 'Father of Scientific Management'. Post-Taylor, his work influenced Edward Eyre Hunt, who wrote, 'Scientific Management Since Taylor', in 1924. Taylorism is present today also to bring about a system to manufacturing. However, the use of the word, 'factory' in his studies does not mean that his principles can be applied only in a factory setting. It implies a wider scope for the application of Taylorism while using the word 'factory' as a metaphor for a better society.

Taylor worked as an engineer after his education in France and Germany but could not study any further because of his impaired eyesight as he carried out his earlier education studying under kerosene lamps. Later in 1893, he became a consulting engineer in New York. His early experiments were:

- Invention of a cutting tool, a hydraulic power loading machine and a boring and turning mill,
- Introduced various new methods in the Bethlehem Steel Company though they were not accepted.

Taylor used his experiments in Midvale Steel Company, Simonds Rolling Machine and the Bethlehem Steel. He observed managerial inefficiency that did not match with the advancements in the industrial sector as organizations increased in size but not in true managerial methods. The entrepreneurs worked towards new scientific methods to increase efficiency and thereby their profits.

Scientific Management Approach: The scientific management advocates were chiefly concerned with the solution of management problems at the shop floor level based on scientific measurement of work and the remuneration based on it. New tools like the time and motion studies evolved to increase efficiency and quantity of work. The whole approach was a mechanism working to serve the capitalist to increase the margins of profit and securing more pay for more work by incentivizing. His intent, through his studies, was to save time and maximize profit using minimum resources.

Scientific Management as a Mental Revolution: Taylor got involved in a controversy over his scientific management approach and had to testify before a House of Representatives Commission. He stated that he had attempted to 'sweep away a good deal of rubbish'. He implied that scientific management was a 'complete mental revolution on the part of the working man'. Taylor had been frustrated over how the workers had to work without training and brought their own tools to work in the most unplanned manner. There was no set procedure on the part of the management to which they could work. The management never bothered to check either the efficiency achieved or if the tools used were appropriate. So, the mental revolution had to be on the management's side too for a proper approach to scientific management.

Objectives of Mental Revolution in Scientific Management: Taylor propagated mental revolution emphatically to achieve certain goals that established his scientific management approach. These were:

- Mental revolution was like a final step to the development of his scientific management approach as a system rather than a quick remedy for particular problems.

- It was an explanation to justify his theory to quell doubts of his approach.
- His management techniques could be applied to a variety of organization.

Taylor fashioned his scientific management principles from the basic premise of mental revolution and systematic managements.

Shop Management: Taylor presented a report, 'Shop Management, The Principles of Scientific Management and Testimony', before the Special House Committee, USA, in which he gave a comprehensive view of his theory. It finally took the shape of scientific management principles as mental revolution had already made an impression in the industrial society. Thompson helped him in his work as it had become difficult for Taylor to carry on single-handedly. Some other followers were Henry L. Grant, Morris L. Cooke, Frank B. Galbraith and Harrington Emerson.

Q3 Trace the evolution of Scientific Management principles around the world.

Ans. The scientific management movement spread in other countries as well. Given below is a brief account of how and where it gained popularity:

Europe and Japan: Scientific management gained momentum in Europe and Japan. Paul Deviant's scientific management did not get as much attention as Taylor. Post-World War I, scientific management in Japan too began its journey. The Europe and Japan counterparts were also targeted by the executives of organizations. The movement began with factory reforms as it did in the USA but the companies wanted only short-term profits and reduced costs. Manufacturing was an important feature to increase production to meet demands and this led to a larger role of the engineers.

Germany: Germany also developed some crude and disjointed reforms in areas of wages, cost accounting, incentives and time studies. Ultimately, Taylor also joined the movement. Taylorism got recognition in the post-war period in Czechoslovakia, Poland and the Eastern Europe.

United Kingdom: The British did not accept Taylorism in the early years, probably because an organized group of entrepreneurs was lacking. On the other hand, there is evidence that Cadbury and a few others had applied the scientific management principles completely. Another reason for a slow growth of scientific management in the UK could have been that they were too busy resolving issues of the labour unions.

France: Louis Renault, a European autocrat and automobile industrialist used scientific management. Georges de Ram, who worked for Renault, initiated the whole program of a planning department, time study and other methods in two shops and observed the production go higher by twice but could not offset the cost and as a result he was told to discontinue the experiment. Ram started the program again after an interim of four years without Renault's permission which led to a strike. The workers were afraid of the scientific movement, so they were educated of its benefits.

The European expression of scientific management was based on the after-effects of the World War I. France had glimpses of it in the army where scientific management was used for the arsenal operations after the war, they continued to depend on it to increase the production of ammunition, war planes, etc. After the Renault strike, managers learnt to tackle labour issues and pushed for labour reform.

Developments in the 1920s: There were three major developments in the 1920s to depict the growth of the scientific movement:

1. The German rationalization movement took up the objective of scientific movement but did not make a separate system for separate sections, formulate economic planning, holding talks with the cartel or making a politically backed corporate sector.

2. There were comparable and similar versions of the Taylor society in other countries. They held conferences periodically to further their ideas and experiments.
3. The workers also changed their mindset to accept Taylorism.

Taylorism rapidly gained popularity in the capitalist world after the World War I to earn more profits in a downward economy all over the world.

Q4 Explain the principles of Scientific Management given by F.W. Taylor.

Ans. In the background of how scientific management developed by Taylor, it is also called, 'Task Management'. He developed his theory opposed to the incentive and initiative approach in which an increment is given to the workers to do their jobs with all his interest and deliver more and the workers have to take an initiative to do so.

Initially, Taylor developed four scientific management principles, to which he added some more, later on. They are:

1. **Replace 'Rule of Thumb' with Science:** Taylor observed that the management and the workers get stuck in the same old routine of their work method. There was no standardization of work method to the extent that workers brought in their own tools to manufacture the way they thought best. This affected the varied quantity of produced goods. He stated that there must be a scientific inquiry into each and every task of an organization, from the management's side as well as the employees. Data collection analysis and formulation of principles with techniques based on them must be carried out. This approach is advantageous because it is based on cause and effect relationship. This would ultimately lead to an increase in skills and economy in resources.

So, the 'Rule of Thumb', which is derived from practical knowledge and experience must be eliminated as it would waste a lot of time because they are untested, unscientific and perceived as the manager's dictatorship.

This principle can be summarized as:

- Standardized effect and consequences
- Ensures the particular calculated outcome
- An improved method to attain goals
- Efficient and economic use of available financial and human resources

Hence, under the umbrella of scientific management principles, one half of the problem is 'up to the management' and there is an established methodology and techniques, which he called the 'one best way' for the workman to follow.

2. **Scientific Selection and Training of Workers:** The scientific management by Taylor propagated that there must be the right person for the specific job to be done by a specially trained recruiter via a Central Personnel Department so that effectiveness can be maximized. Each worker needs to be scientifically trained by the organization for a particular job rather than being left alone to devise his own methods. This would lead to allocating the worker the type of work that is his area of interest and would be best at. This would inculcate a sense of belongingness to the organization.
3. **Principle of Cooperation:** Once the scientific methods have been worked out, there needs to be cooperation between the management and the workers to ascertain that they are being implementing properly. Taylor has given the concept of mental revolution to change the mindset of employees as well as management towards each other.

Mental revolution included two elements:

- (i) The management and the workers just divert their attention from the size of the profit (surplus) and work towards increasing the surplus, that is, production.
- (ii) Both the sides must accept scientific inquiry in all jobs.

4. **Equal Division of Responsibility:** It has been established that management has the responsibility of planning. On the other hand, the workers must be responsible for the implementation of the planned work given to them. In the old system of 'initiative and incentive', planning was left to the workers but Taylor proposed it and identified the element of planning work methods as the duty of the management. The worker must fulfil the duty of carrying out the planned work. So, this is the principle of equal division of the work and responsibility between the management and the workers to optimize production for the benefit of all.

It was found that a large number of factories employed these scientific management principles to increase production, efficiency and effectiveness.

Q5 What are the techniques of Scientific Management as given by F.W. Taylor?

Ans. The scientific management principles laid down the theory of scientific management but to implement and execute them to the fullest potential, it is important to understand the techniques given by Taylor. Given below are the techniques:

1. **Method/Work Study:** Work study techniques given by the scientific management comprises method study, time study, motion study and fatigue study. Before conducting any study, it is significant that method study is carried out to examine and analyse the processes and procedures involved in production. Work study is the systematic, objective and critical analysis and study of all the variables affecting work to optimize efficiency.
2. **Time Study:** Time study is a scientific management technique to closely monitor the precise time needed for a worker to complete each constituent of an individual operation. A time-keeping instrument is used to record the time taken to accomplish a job that has been broken down to separate the components.

Time study can be applied in three areas which are:

- (i) Repetitive work cycles
- (ii) A wide range of different types of work has to be done
- (iii) The most important control components form a part of the cycle

The Industrial Engineering Terminology Standard defines time study as, 'A work measurement technique consisting of careful time measurement of the task with a time measuring instrument, adjusted for any observed variance from normal effort or pace and to allow adequate time for such items as foreign elements, unavoidable or machine delays, rest to overcome fatigue and personal needs'.

Objectives of Time Study

Time study aims to achieve the following objectives:

- Increase in operational efficiency
- Simplification of work
- Standardization of work methods
- Planning/schedule (cost)
- Safety

After the time to complete the element of the job cycle has been determined, considering all the variables, the researcher would conduct comparative experiments to find out the varying result occurring due to some changes made in the stimulus, like layout, equipment or the sequence of physical motion, to reduce the time taken to do a task.

Characteristics of Time Study

Time study cannot be conceived as an end-goal but a technique to increase production, achieve industrial cooperation and accrue larger profits for the benefits to all. Given below are a few characteristics of time study:

1. **Continuous Research:** Time study does not identify and fix the time taken to do a job once and for all. Taylor advocates that research must be a continuous process to determine new ways by adding more variables as they would keep changing as a normal course.

Gilbreth applied the four elements of scientific management to bricklaying and found great success. They are:

- (i) The development of the science of bricklaying was initiated by the management with strict rules regarding every worker's motions to lay the bricks. The management also perfected and standardized the implements and improved the working conditions.
- (ii) The basic elements of scientific management laid down by Taylor were applied to select and train bricklayers, scientifically and consequently eliminating those unfit for it.
- (iii) Cooperation between the science of bricklaying and the bricklayers was developed with the help of management and paying a daily bonus for rapid and disciplined workers
- (iv) Lastly, equal work and responsibility between the worker and the management was initiated. The management also worked along with the bricklayers to motivate and guide them.

To summarize, the time study deals with the following five steps:

- (a) Goal setting
 - (b) Experimental design
 - (c) Time data collecting
 - (d) Data analysis
 - (e) Reporting
3. **Motion Study:** Motion study is a scientific management technique which involves observation and registration documenting the physical motion that a worker has to make to do a job. Its aim is to concentrate the easiest, shortest and relevant motions and to do away with the useless motions. One best way of doing a specific task is determined to increase efficiency and reduce fatigue. Over a period of time, the Time Study and the Motion Study combined into a technology called The Time and Motion Studies. The motion study was propagated by Frank Gilbreth and Lillian Gilbreth. This study has developed as industrial engineering on a wider perspective.

The Gilbreth conducted motion study by:

- Studying the movements made by the workers at a given specific task.
- Analysing the movements and identifying useless ones to reduce the number of motions involved.
- Developed a categorization system for indispensable motions included in a task and called them, 'Therbligs'.
- A total of 15 therbligs were identified like, 'find', 'select' and 'rest with an icon' to denote them, for example, an 'eye' for 'find'.
- Made a 'Simo Chart' (simultaneous motion chart) for maximization of profit.
- Invented study motion study techniques like cyclegraphs, chronocyclegraphs and stereochronocyclegraphs to examine infinitesimal quick motions.

Motion study aims at an increase in the industrial production, keeping the mental and physical strength and capability of an individual under consideration. It was a systematic program for worker development to train them and make them a specialist at their job so that they could produce more and earn more via the piece rate system.

4. **Fatigue Study:** To explain fatigue study, it is important to understand the meaning of fatigue. Fatigue is a by-product of work which every individual face in a varying degree though it can be subdued by allowing the body to rest a while. Fatigue study is a scientific management technique to identify the sum total and the number of times rest is essential for a worker to accomplish a task. It is normal for a human body to get tired and take rest. If he/she does not get the required rest, efficiency is bound to go down. Since the whole stress is on efficiency and an increase in output, it is important to study how much and how many numbers of times a rest period is needed.

In fact, fatigue study is a pre-requisite to motion study. Once, all unnecessary motions are removed, the worker will have to make less motions and will ultimately be instrumental in more production and profit for all. The fatigue study lashes out on the wasteful human energy due to unnecessary motions involved in a task.

Aims of Fatigue Study

Given below are the aims of fatigue study:

1. **Cause:** The study aims at finding its cause from which activity is the individual getting it.
2. **Elimination:** The study asks that wasteful and unnecessary actions to eliminate fatigue.
3. **Reduce:** If fatigue cannot be eliminated, then an effort needs to be made to at least reduce fatigue to increase production.
4. **Means:** To reduce fatigue, management will have to provide rest periods and some place where the workers can rest.
5. **Execution:** After an analysis has been completed, the observations must be put into action and executed so that the worker can employ the method himself.

There were a few problems faced while conducting the fatigue study by the Gilbreth. They found it difficult to identify the unnecessary fatigue and the necessary fatigue or even if it was practically possible to end fatigue and finally to determine the frequency and the timing of the rest periods.

Fatigue study and motion study are interrelated as both aimed at the elimination of waste. The work study helped the industrial workers as well as the enterprises to have a positive effect on standardization, increase in production and quality of goods produced on one hand and more benefits to the workers on the other hand.

Q6 *Besides the basic principles of Scientific Management given by Taylor of 'Science, not Rule of Thumb; Scientific Selection and Training of Workers; Principles of Cooperation and Division of Responsibility', what other concepts and ideas did Taylor give?*

Ans. Taylor based his concepts and ideas on the basic four elements of scientific management which were science, not rule of thumb; scientific selection and training of workers; principle of cooperation and equal division of responsibility. His study was not restricted to these principles. Given below are the concepts which he developed for industrial welfare:

FUNCTIONAL FOREMANSHIP (SUPERVISION)

The old traditional type of organization was generally found in the order of the military organization with linear hierarchy with one boss. He believed that one person could not supervise all types of work. The nomenclature is archaic of 'foreman' who would be called a supervisor today. Taylor gave this concept early in his career but did not emphasize on it later.

Cause for Refuting 'One Boss': According to Taylor, an individual becomes a boss after he gets promoted because he must have excelled at his job. He is a master in his field of work but after becoming a boss, he has to oversee different types of specialized tasks of which he is not a specialist. So, Taylor suggested that he must supervise those workers in the work area of his specialization for which he received promotion in the first place and became a boss.

Development of Functional Foremanship: Taylor observed that most of the individual organizations faced inefficiency and wastage because the planning done by the foreman (supervisor) was exactly the same way he worked when he was an apprentice (trainee) himself. So, Taylor developed this idea based on division of work not only at the worker's level but also at the supervisory level.

Concept of Functional Foremanship: Taylor gave two aspects of Functional Foremanship. They are:

1. **Functional Organization:** Taylor defined 'Functional Organization' as, 'Functional organization consisted of so dividing the management that each man from the assistant superintendent shall have as few functions as possible to perform. If practicable, the work of each man in the management should be confined to the performance of a single leading function.'
2. **Planning and Production:** Taylor advocated for a total reorganization of supervision. He divided responsibility into two major areas or departments of 'Performance' and 'Planning'. He did not want that these two departments should get mixed up. The two basic sets of duties of planning and performance must be handled by eight supervisors in total, four in each area.

Functional Foremanship in Practice: To achieve good supervision, functional foremanship needs to comprise two departments, planning and production with four experts in each department to do their respective jobs.

Specialists of Planning Department and Functions

Taylor suggested that there must be four planning foremen that are:

1. **Instruction Card Clerk:** The instruction card clerk has the responsibility to give daily instruction on a card for each item of work and send them to the gang boss (gang leader). The cards contain instructions regarding the type of the work, the process to be used for doing it, the material to be used and the specific machinery and tools to be employed to do that task. So, the clerk assists in making plans.
2. **Route Clerk:** The route clerk is responsible to fix the sequence according to which a specific work would go through, prior to its completion, for example, the raw material that has to be used has to go through different levels.
3. **Time and Cost Clerk:** The time and cost clerk has to maintain a record by preparing tickets, to track time and cost and submit them to his next level of authority.
4. **Disciplinarian:** The fourth boss in a planning department is that of a disciplinarian who had to maintain discipline by executing well-laid rules and regulations. He ensures that all shops are working as per the rules and norms and has to mediate disputes if any. Rewards and punishment are also decided by him.

Specialists for the Production Department and their Functions

After the standardization procedures have been worked out, it is important that workers are supervised strictly so that the final goal of maximizing profit is achieved. He gave four bosses for the production department which are:

1. **Gang Boss:** A gang boss (team leader) is the leader of the group who receives instructions on how to do a job and to distribute the raw material to the worker concerned. He is responsible to check if workers are fit enough and the machines are in order to work optimally.
2. **Speed Boss:** He is entrusted with the responsible to monitor the speed at which production is being done to check efficiency within the allotted time. He identifies causes for delays and removes them.
3. **Repair Boss:** He is in-charge of all maintenance, renewal and repair of machines. He ensures that the workers are handling the machines properly, oiling them or cleaning them regularly.
4. **Inspector:** Finally, the inspector is responsible to check the work done is as per the pre-decided quality norms laid down by the planning department. He takes corrective action if he finds any variation.

Hence, functional foremanship applies the principle of multiplicity of commands yielding expert supervision. The concept of functional foremanship was altered to be applied in public administration and bred a class of specialists.

SOLDIERING

‘Soldiering’ is a word used in the USA, meaning ‘slow working’ or ‘under working’ or ‘avoiding work’. The same condition is also called ‘hanging it out’ in England and ‘*ca canae*’ in Scotland. Taylor links soldiering to maximum prosperity. Simply said, he argued that the main objective of an organization’s management and its employees should be maximum prosperity. When two organizations or two employees compete with each other and one is able to produce more, it will have more profits than the other and would be able to pay higher wages to its employees. Thus, it would lead to maximum prosperity.

The issue here is that there is a general tendency of soldiering among employees because they are inherently lazy. If this issue is resolved, it will increase productivity of every organization leading to a booming economy all over and result in enlargement of markets. It will solve many problems like unemployment and poverty. Employees would get higher wages, shorter working hours and better living conditions, thereby, resulting in maximum prosperity for all.

Causes of Soldiering

Even though the fact of maximum prosperity is self-evident, bad conditions continue to exist. Taylor presented a paper, ‘Shop Management’ in 1903 in which he explained the causes of soldiering. The causes for soldiering are:

1. **Increase in Output Implies Unemployment:** There is a myth since the industrial revolution, if the workers increase their output, it would result in unemployment. Their belief is that if they finish their work faster, they would have nothing to do thereafter. Secondly, the belief that machinery will lead to lay-offs was also a cause for soldiering whereas the truth was that higher production with the help of machines would result in lower costs and the demand increases.
2. **Defective Management Systems:** Workers feel that if they underwork, they will be able to get a higher pay as compared to the effort put in. This condition occurs due to defective management systems.
3. **Rule of Thumb:** The rule of thumb methods are inefficient and require scientific techniques. Scientific management techniques will result in higher wages and profits. (These have been discussed earlier).

Categories of Soldiering

Taylor gave the following categories of soldiering:

Natural Soldiering: Taylor said that men were naturally lazy and worked at a slow pace. They work faster only with external pressure, though there may be some exceptions.

Systematic Soldiering–Exception Principle (with respect to Soldiering): The few uncommon men who work fullest to the capacity will form a contrast and the common average will tend to rule because they will form the majority. They will gradually slow down the few rapid ones and eliminate the exception. The uncommon will become common and join the herd of the inefficient and the poorest. The main reason for this situation is that the few energetic men feel no reason to work more if they are not getting anything more than the slow workers. This is systematic soldiering as explained by Taylor.

DIFFERENTIAL PIECE RATE SYSTEM

Taylor believed that a rapid worker who worked to his full ability and increased efficient production of good did not get any incentive. So, he introduced the differential piece rate system with an objective to punish the slow worker and incentivize the rapid worker. In this system, a standard output was identified and fixed. Two slabs of wages were formulated:

1. The first slab of a higher wage rate was applicable to those workers who met the production of standard number of units within a definite period.
2. The second category referred to those workers who were unable to reach the standard output within the same period of time who would be given a lower wage.

This system would lead to motivate the less efficient workers to work more to reach the higher wage bracket. Taylor called this a two-tiered system of payment. The lower wage rate would be kept at quite low differentials which will drive out the inefficient workers out of the job.

Given below are the benefits of Taylor's differential piece rate system:

- The system is quite direct and simple to comprehend and implement.
- The heavy penalty on workers on poor performance motivates the inefficient workers to work more to move towards the higher wage rate.
- The organization gains and moves towards maximum prosperity as the most efficient workers are attracted towards it.

However, there are some demerits of the differential piece rate system too:

- This system is too strict for those workers who are trying to work better but miss the target by a minor percentage.
- It does not prove good for maintaining quality.

DEVELOPMENT OF SCIENCE

Taylor literally worshipped efficiency in an organization brought about by workers. He laid down five guidelines in sequence to bring about efficiency:

1. The first step in this sequence to gain efficiency is to identify about 10–15 individuals working in separate organizations and states of a country who are experts in their area of work.
2. The second step involves a study of their basic motions of their skilled task and the tools that they use.

3. Thirdly, a timing device to time all these experts to finalize the best method of work accomplished in the shortest time possible.
4. All wasteful and useless motions must be eliminated.
5. Lastly, all useful movements must be put together in a sequence with the best tools to make a perfect 'one way'.

Motives that Influence Workers

A precise study regarding the motives that influence men must be carried out. During scientific investigation, it became clear that there were many exceptions as the subject under study, 'the human being' is a complex being. However, the laws that are finally developed are quite universal because of the majority being involved.

TASK MANAGEMENT

Taylor talks about the impact of 'task idea' on the workman's efficiency. This concept became so popular with people that scientific management came to be known also as 'Task Management'. It states that a definite task to be completed in a given time must be allotted to workers daily so that a systematic progress can be made. The workers also can measure his own performance through the clearly defined task (standard) which he attempts to accomplish and derive satisfaction out of it.

Through a series of experiments, Taylor observed that workmen would keep on accomplishing their clearly defined daily tasks only if they are promised an increase more than what the average workers are getting. From the point of view of the management, the sum total of the increase is determined by analysing the type of task the worker is doing. The increase can be a bonus, a premium or a reward if he finishes the daily task as prescribed. This must be done by applying functional management employing the structure of organization as given in it. (Discussed earlier).

Q7 Can Public Administration in a developing country like India apply principles of Scientific Management? Discuss.

Ans. India is at the verge of bursting into the realm of a developed nation for rising from the abyss of a developing nation category. Private sector has been growing tremendously since the economic reforms of the 1990s and especially now with the liberalization of policies. Digitalization has brought India closer to the world and the corporate sector is on the road to 'maximum prosperity'.

India has seen a lot of richness of overseas trade and commerce, no doubt, but the modern-day global business market requires India to keep abreast of the latest scientific methods and techniques. Scientific management finds presence in India today on almost all organizations in one form or the other. India is a developing country with an uprising of a large sector of small scale industries bringing about a growth of economic development. The central as well as state governments are continuously trying to encourage it but it is important the organizations are well managed to achieve the goal of maximum prosperity.

The example of small scale industries in India can be studied to understand Taylorism in India. This sector is facing manufacturing problems like shortage of raw material, capital, technical expertise and skilled workmen.

Application of the Four Scientific Management Principles in India

The Rule of Thumb: Instead of the rule of thumb, companies are replacing scientific management techniques. The factories are found employing the best way to do a job with standardized tools. There are government agencies to supervise and check whether standards laid down are being followed or not.

Training: Training is given to workmen specific to the job that they are improving to do ultimately. Mostly, a three-month period is considered as the training period in every company to bring speed to the workmen. Periodical training is also imparted to keep the employees up-to-date with the changes in the tools and machinery.

Equal Responsibility Between the Employees and the Management: This third principle of equal responsibility between the employees and the management is found in almost all the organizations. The organizations have a 'Research and Design Department' which does continuous research to find the best way and their employees take. The responsibility to give their hundred per cent of their ability. Piece rate system is also prevalent in most of the factories today also.

Cooperation: The fourth principle of cooperation between the workers and managers also exists to maximize benefits in the interest of all. Scientific management is useful in areas like disaster management. Past experience can support scientific research and a proper method can be devised to train men to deal with disaster threats in the future. Another area where scientific management has been helping is election campaigning. There are companies which are using the latest digital technology to do data analysis to come up with solutions to understand voter behaviour, choice of the candidate, etc. Areas like maintaining law and order can use the scientific management approach to devise proper laws and ways to implement them.

India is ridden with the problem of real estate price rise. The industrial sector cannot find land in the urban areas. They must move to areas that are not developed. The industrialists can apply the principle of 'fair day's pay for a fair day's work' according to the work the labour does and can get higher productivity. Agriculture is another sector to have applied the scientific management as scientific techniques can help this sector a lot.

Universities in India can also benefit a lot by applying scientific management. Teachers can be termed as knowledge workers and higher education as knowledge work. The goal is to increase the research as well as the quality of education. This can be done by planning for the knowledge work as given below:

- Identify and define goals for each department individually in areas of research and specialization
- Updation of teaching courses
- Norms for evaluation of research with respect to quality
- Quality of teaching and the reasons for non-performance
- Interdepartmental, inter-university and international collaborations for advancement of knowledge and research
- Correlation between funding and output
- Monitoring via audit

So, considering all the principles of scientific management in synchronization with monitoring and supervision, India can still gain a lot from it. On the other hand, since scientific management rules out the human factor totally, some other motivational theories can be used in conjunction with it to derive maximum utility and profits for the organizations economically.

Q8 *How has Scientific Management thought widened the scope of Public Administration?*

Ans. Public administration is an ever-evolving discipline which thrives on continuous research and study in all areas of governmental activities. Scientific management accomplished a great deal while applying it in the private industrial sector. Its principles and all its elements brought solutions which were implementation-worthy and achieved good results. The concepts of maximum prosperity, functional foremanship, mental revolution and the differential piece rate system created a revolution in itself to cope up with the after-effects of the World Wars and the Industrial Revolution.

The government started widening its scope to cater to the social needs of the society since the private sector logically could not deliver public goods. To do so, the government ventured into the social sector and had to provide social as well as physical infrastructure to build the economy.

Scientific management applied industrial psychology to improve management-worker relationship. Personnel management gained a lot from the principles of hiring the right person for the right job and many scholars began studies to have an efficient system of Human Resource Development (HRD). At present, we have degrees in masters in HRD in probably every university. Public administration works towards good governance with its focus on the '3 Es', that is, Efficiency, Effectiveness and Economy, with the support of scientific management techniques. The social sectors like health, demographic data collection, Public Sector Undertakings (PSUs) and education benefit by following it. Communication systems of an organization were developed scientifically so that the communication flow is channelized effectively in a bureaucracy.

Taylor propagated that there is a politico-administration dichotomy. Smooth implementation is important in both fields to take advantage of division of work and specialization. Both the sides must not meddle into each other's areas to increase efficiency. Scientific management theory made inroads into public administration and helped it to achieve its goals in a better way, especially, in India. It can cater to the demands of rising population and its effects and in achieving optimization in the industry.

Q9 Has the Scientific Management approach by Taylor helped in resolving conflicts and issues between managers and workers?

Ans. Taylor in his scientific management approach gave his concept of functional management and separated the organization into two departments of planning and execution. (Discussed earlier in Functional Management). The plan made by managers never percolated down to the employees which made them feel dissatisfied and the management again became monopolistic as before. The workers were considered cogs in a machine; who were not supposed to have any ideas of their own related to the job as 'the one best way' had already been devised by the management. This led to depersonalization and the human factor got ignored completely.

Scientific management broadened the concept of administrative management to a whole new level. Administration has always been defined as the management of public affairs. It gave a whole new meaning to the generic notion of administration. The theory of functional management reduced the day-to-day conflicts between the workers and the management. It can be safely said that the scientific management approach is extremely innovative and effective if combined with the human relations approach.

Q10 Taylorism was criticized on many grounds and was replaced later by various schools of thought. Discuss.

Ans. Taylor presented his scientific management approach in an era when the emphasis was on increasing efficiency and productivity. His theory was criticized on the grounds given below:

1. **Human Factor:** Taylor believed in meting out monetary incentives to workers and considered that the worker strived hard only for money and no other motive. He ignored the human factors such as happiness, liberty, self-respect or self-esteem. Social and welfare incentives must be combined with the economic ones to have an all-round happiness. The concept of functional management also emphasized the notion of bosses supervising with little or no concern for the workers' situation. The obsession of scientific management with efficiency and production ignores the human aspect and the importance of informal organizations and organizational environment. Taylor was criticized on the grounds that he considered man as an automaton and turned a blind eye towards social conditions.

2. **Overdependence on Mechanisms:** Scientific management is heavily dependent on tools and mechanisms like timing device, score cards, etc. Even though Taylor talked about mental revolution but did not pay much attention to it later on. Managers who were less trained at that time were opposed to Taylorism's rejection of 'Rule-of-Thumb' concept as they felt that they had been managing well before.
3. **Quantification:** Scientific management talks a lot about quantification of targets to be achieved as it favoured and encouraged workers to speed up. It is normal that if a worker is speeding up to achieve targets, he cannot be creative in his craftsmanship and will be subjected to monotony. Over-speeding might also become a deterrent in the workers' health.
4. **Trade Unions:** The trade unions felt that Taylorism led to the squashing down of the power of collective bargaining and would eventually result in unemployment because every move in the process of production was fixed in scientific management like output, movements, working conditions, rest periods, etc., also, the differential piece rate system would lead to a conflict between the efficient and inefficient workers according to the trade unionists. The trade unionists were of the view that management's objective is to increase productivity by machines and hence would need less workers. Taylorism had a narrow view of the technical and method inventions rather than any concern for the economy as a whole or the human aspect of production. In fact, scientific management was considered to be an opposite philosophy of trade unionism.
5. **Other Schools of Thought:** Thinkers like Oliver Sheldon, Mary Parker Follett, Elton Mayo and Peter Drucker picked apart Taylorism because of the human factor. They oppose the view of Taylor that workmen are inherently lazy and avoid work. The workers do not like to work because of psychological and social factors prevailing in the organization as well as the micro division of work will lead to health problems for the workers. Elton Mayo, through his Hawthorne experiments refuted Taylorism. He stressed on the importance of emotional values and attitudes of workers to increase productivity.
6. **Place in Public Administration:** Scientific management made a place for itself in the private sector but could not do so in the government sector and in public administration as it dealt with lower personnel in an organization.
7. **Functional Management:** Multiple bosses for supervision contradicts the unity of command principle, so it was abandoned later on.
8. **Criticism by Managers:** Taylorism got flak by not only the workers but also manager on three points given below:
 - (i) **Costly:** The scientific management by Taylor is a costly system to be put in place starting from training of workers and managers, standardizing the tools, finding the 'one best way' to setting up of planning and production.
 - (ii) **Time-Consuming:** Setting up all the process, procedures, tools, reorganization and standardization takes a lot of time and the work takes a toll leading to decrease in profit margins during that production.
 - (iii) **Poor Quality:** The managers feel that speeding up and the race to work faster than the others results in poor quality of the products.
9. **Undemocratic Nature:** Scientific management is considered be undemocratic because the functional bosses behave in a dictatorial way in ordering the workers to only obey and not to give any kind of input or suggestions. The employees get frustrated as they are forced to follow every order that he gets.
10. **Overproduction:** If scientific management is applied to all the manufacturing units and factories, they will increase production and a problem of overproduction will have to be faced in the market. This will result in a recession in the economy and ultimately harm the industrial firms.

11. **Neglect of Non-Wage Incentives:** A worker does not get any non-wage incentives like job security, praise, participatory management, creative expression, etc., but he needs them all the same. The worker will definitely perform better if non-wage incentives are also combined with wages.
12. **Group Performance:** Taylor ignored group performance or team spirit (*esprit de corps*) among the employees whereas an organization does not succeed without it. Moreover, its individualistic approach also stretched to the problem of separation of planning from production. There was no sharing of information or knowledge between the two.
13. **Limited Application:** Scientific management can be applied only to those manufacturing units which have quantifiable products and is useless in the social sector.
14. **Division of Work:** Taylor's concept of division of work was not appreciated because Taylor did not project its anatomy correctly and divided work minutely which led to depersonalizations. There is neither any relation between both the sides of management and employees nor any participatory involvement.

Notwithstanding all these points of criticism given above, the scientific management by Taylor has its own points of merit and is still used in factories and firms where products are quantifiable. Some of the concepts of scientific management techniques can be used in non-quantifiable production units also.

The relevance and advantages of scientific management techniques can never be underestimated. Taylor was a genius who brought processes and procedures in order. His ideas spread all over the world and were applied in business concerns. Though his theory has been considered as pro-capitalist, countries like Russia also followed it. It is being used in India now too.

Notes and References

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10

Classical Theory

Learning Objectives

In this chapter, you will learn about:

- The Beginnings of the Classical Theory
- Contributions of Henri Fayol
- Difference between Fayol and Taylor
- Contributions of Gulick and Urwick
- The Limitations of the Classical Theory
- Common Features of Various Theories

Public Administration deals with the governmental activities and they have been increasing manifold with the growth of modern democracies. Gradually, the economies, as put by Woodrow Wilson, increased in trade and commerce and it all became a lot more complex. The administrative problems of the government began to include the private sector too, because providing to the citizens became a challenge for all governments. At the end of the First World War, new nations were being built and a struggle full of misery erupted amidst hunger, poverty and rising prices. There was a lot of immigration of labour happening in the war-torn areas and then the Great Depression took place in 1929. There was a need-call for a theoretical and practical base of Public Administration. At the turn of the century, F.W. Taylor came up with the Scientific Management Theory which focuses on the scientific technology to improve on methods and working tools to increase productivity and effectiveness in an organization. A wide gap was felt in the practical aspects of management and the theoretical base.

Public Administration lacked in the theoretical base in its social theory and was unable to apply the scientific tools in varied situations leaving it bereft of a link between the application and the theory. It was no wonder that a new look at the discipline became significant and needful. The establishment of theory and skill relationship led to the understanding that bureaucracy only tended to be concentrated in power, corruption and wealth because they act in self-interest. India is a good example of this problem as it has in no way helped in the alleviation of any of its vast number of problems like poverty, illiteracy, sanitation and hygiene, etc. Bureaucracy, instead of being an instrument of the government to aid development did the exact opposite.

Q1 Discuss the beginnings of the Classical School and the views held by it.

Ans. The Classical School is believed to have its beginnings in the late nineteenth century as a managerial process to interact between the management and the employees and their effect on the capital. Their emphasis was on the employers and the production processes. There were inputs by eminent scholars like

Wilson, Goodnow, Simon, Fayol, Luther Gulick, L.F. Urwick, J.D. Money, A.C. Riley, M.P. Follet, R. Shelton and Waldo. The Classical Theory nested in the belief of the economic rationality of all employees of an organization. Adam Smith floated the assumption that all individuals are incentivised by economic gains and will apply their choice factoring in all available opportunities giving to them the optimum benefit economically.

THE RATIONAL ECONOMIC VIEW

The rational economic view is based on Schein's standpoint, as given below, in brief:

- The motivation of individuals is only the economic benefits.
- Since the economic gains are under the control of organizations, individuals do not have any choice, being open to being handled as the management wants to.
- The economic rationality of an individual has no value for irrational emotions.
- Since irrationality of emotions is conducive to a corresponding irrational behaviour in the employees, the organizations devise ways to control it for the maximization of productivity and profit.

The Classical School

The Classical School, also known as the 'Structural Theory of Organizations' includes two perspectives:

1. **The Theory of Scientific Management:** Chapter 9 deals with The Scientific Management Theory.
2. **The Theory of Administrative Principle:** The main thinkers who contributed to the Classical School of Thought are Taylor, Henri Fayol, Gulick and Urwick, and Mooney and Reiley.

Q2 Discuss the contributions made by Henri Fayol to the Classical Theory.

Ans. Henri Fayol was born in 1841 in Istanbul. He moved to France and started working in a large mining company. He became the director of the company with a thousand workers employed in it. Henri Fayol is discussed here for his contribution to the Classical Theory for his paper, 'The Administrative Theory in the State'. He said that there is an essential principle of the administrative theory, which is, that management's importance increases with the growing size of an organization, is applicable in both the sectors of public and private. According to him, if the matter of public service delivery is a problem, then that is a problem of management. The management operations have a greater significance in the final result rather than the efficient working done by the workers.

ROLE, MEANS OF OPERATION AND THE HIGH COMMAND IN THE PUBLIC SERVICE

He took the case of the role, the means of operation and the structure of the high command in the public service delivery in a government organization from the point of view of the administrative theory rather than the personnel in the organization. His starting premise is that every modern-day nation has an authority head over the government organizations in totality. Given that the role of the authority is understood, these men have all the power to function at their maximum or minimum optimum level. The basic role of the government officials is to utilize all the available resources judiciously and get the desired results. The role of the high command, that is, the Prime Minister, is to see that

proper planning and organization is done to run the administrative state with proper coordination and control. Fayol defined various concepts which are necessary to understand his theory, which are given below:

Planning: Planning is 'deducing the probabilities or possibilities of the future from a definite and complete knowledge of the past'.

Organization: Organization means to define and set up the general structure of the enterprise with reference to objective, its means of operation and its future course as determined by planning. It is to conceive and create the structures of all the services that compose it, with reference to the particular task of each agency'. It involves all detail and the whole to make the frame and to embody its elements. In an organization, the theoretical concepts of planning that is called policy now, are transformed into facts.

Execution: It is the result of command and coordination.

Command: It sets the services in a flow that are defined by planning and organization.

Control: Control is the examination of results to ensure that pre-decided results have not been achieved. This would happen if coordination is lacking in its execution. Control aims at comparing, discussing, criticizing and stimulating planning to ascertain efficiency in command and coordination.

So, the role of the high command in a three-tiered hierarchy, the above-mentioned duties to deliver public service.

Means of Operation: The head of government agencies cannot possibly do all tasks on their own even if they are extremely efficient. The management can get all the detailed work done by a team of employees who form their staff.

Administrative Tools: The administrative tools of a management constitute all the documents of an organization which are used by the staff to make decisions. It comprises the five principles of planning, organization, command, coordination and control which a manager strives to make decisions and run his agency. The manager must have relevant and precise information to carry out his functions efficiently.

Tools of Administration

The tools of administration that Fayol proposed are:

- **General Survey:** Fayol suggested surveying the past, present and future situations of the business unitwise to make a whole of the enterprise. The past denotes the objective of the organization's establishment and whether they have been achieved or not considering all the changes that were applied. The present situation depicts the actual status of the resources and the required resources too. The probable future according to Fayol deals with the economic, political and social changes that may take place and their impacts on the business. The survey must achieve the best foundation of the plan of operations.
- **Plan of Operations:** The plan of operations is an amalgamation of short-term, long-term, annual and special plans. It takes into consideration the predictable events. The planning element is usually lacking in organizations which becomes a cause for failures.
- **Reports or Proceedings:** The plan of operations can work well only if timely, detailed and precise reports are filed for all events and situations.
- **Minutes of Meetings:** Minutes of periodic meetings and conferences must be taken and maintained so that the manager can review them and take decisions. This saves time and effort of the manager.
- **Organization Chart:** A detailed organizational chart with proper branches must be prepared giving detailed description of duties and functions of various sections and departments.

It is clear from the above administrative tools that they are extremely significant to have an efficient management of government organizations.

Impact of Administrative Tools: The major administrative results that the tools of administration have on the efficiency of government agencies have two aspects, given below:

1. **Responsibility:** The plan of operations is followed positively by a sense of responsibility among the administrative staff of an organization. The plan inculcates a responsibility among the employees at all levels of hierarchy to act accordingly. It directs the employees to accept the weekly, monthly and annual plans and attempt to achieve their targets.
2. **Confidence:** Heads of the Departments would have no clue about what is to be done and how it is to be done if it were not for the plan of operations; it would be a total state of chaos leading nowhere.
3. **Structure and Organization:** Once the role, the functions and the means of operation of the high command, according to Fayol, have been established, there is a need to look into the structure and the organization. He mentions the office of the Director, the Minister and the Prime Minister.

Councils for Improvements: Fayol's administrative theory presumes that every government has a council for improvements, whatever they may be termed as, having the responsibility to research and find ways to make the functioning of agencies better under the leadership of the Director. Fayol believed that such a council was essentially required in all governments. He suggests that the council should have five members to take charge of it. They are:

1. The first to take care of planning, organization, command, coordination and control, that is, administration.
2. The second would deal with the financial problems.
3. The third would tackle issues of organization of accounting and statistics.
4. The fourth official would be an expert in the legal matters.
5. Lastly, the fifth executive must be a businessman.

Public Opinion in the Council for Improvements: The functions and the role of governmental agencies in the service of the delivery of public services must be supported by public opinion. The issue lies in the lack of awareness of government projects and plans amongst the people. Citizens must be trained in the possibility of reforms with their support which can result in a decrease in taxes and the cost of living. The administrative theory principles and tools can help in guiding the public opinion in the right direction. It can also be attained by teaching it in higher education institutions.

Fayol narrowed down the impact of financial effect on public opinion in two ways:

1. **Cost of Government:** The cost of government includes the annual budget of the government and its 'extraordinary requirements', as Fayol termed them. The expenditures are justified with full money value if administration is good but it is difficult to determine that. He poses a question, in his words, 'Taking the public services as they are, the good with the bad, in order to form an idea, can we not estimate at 10 per cent of the ordinary and extraordinary budget, that part of the expenses of administration that should interest public opinion, in the sense that the country will spend it or not according to whether the business of government has been efficiently managed or otherwise?' This simply means that efficiency of the government administration can have an impact on public opinion.
2. **Repercussion:** Fayol pointed out the second element of the issue of public opinion as the 'repercussion'. It refers to the effect that the government operations would have on the general economic development of a country.

These two elements show that all citizens who cut a slice of their wages and salaries to pay taxes for the nation's development which sustained their interest in the degree of good or bad management leading to their strong public opinion to support administrative reforms. It checks unreasonable taxes and levies imposed by the government which harms the economy as well as bad experiences of the consumers due to rising prices and decreased comfort.

The Function of Administration

Henri Fayol presented a paper to the Institute of Industrial Administration in 1934 on the 'Functions of Administration'. The paper had three main objectives:

1. Study of scientific administration
2. Empirical and practical application of principles in administration
3. Logical scheme of administrative principles comprising of structural and human aspects involved in administration

Division of Business Operations

Fayol divided all business operations into six groups:

1. **Technical Operations:** Production, manufacture, etc.
2. **Commercial Operations:** Purchases, sales and exchanges.
3. **Financial Operations:** Capital optimization.
4. **Security Operations:** Protection of goods and persons.
5. **Accounting Operations:** Stocktaking, balance-sheet, costing, statistics, etc.
6. **Administrative Operations:** Planning, organization, command, coordination and control.

Mooney and Reiley added three principles, investigation, appropriateness and order, to Fayol's six elements of administration to have outline of a 'logical scheme' for the function of administration as a whole.

Q3 Discuss Henri Fayol's principles of management and their relevance in the present-day.

Ans. Henri Fayol published 14 principles of management in 1916 in the book, 'Administration Industrielle et Generale', with the objective to ease the managers to organize and interact with the staff. They have a great relevance in the building of an intellectual resource for the discipline of public administration and are significant today also in some ways. They are given below along with their relevance in today's times:

1. **Division of Work:** In an organization, there are multiple sections and units which have specified jobs in their respective specialized areas. A generalist cannot achieve efficiency to the level which a specialist can do. Specialization upgrades efficiency of the employees thus increasing productivity, precision and speed. The principle states that if a job can be divided into sub-segments by designating them to various employees, it can increase efficiency. The stress was on specialization instead of a generalist doing multiple tasks.

However, in today's world, with the dynamically changing world economy, the efficiency and productivity in the application of the principle of specialization has not remained the same. Employees today have to do multitasking and, in many companies, robots and computerization have taken over many tasks. There is a shift in the nature of jobs as they are being outsourced to other countries. The US faces stiff competition because of the effects of liberalization, privatization and globalization and has to retrench time and again to sustain. Growing economies have led to

growing businesses and led to shortage of specialists. Workers have to perform a number of varied tasks these days and it has been proven by thinkers in Japan that efficiency increased with generalists doing multiple tasks.

2. **Authority and Responsibility:** Authority is essential in an organization to get things done otherwise no one would do anything amidst utter chaos. The head of a department or any agency can give orders which will be accepted by employees because of his authority. The use of formal/informal authority helps the managers to perform their responsibilities. The concept of authority comes along with responsibility as complementary to each other.

Presently, the trends in management are towards less of bossiness and command and more of empowerment of employees, employee articulation and cooperative management. There are teams and working groups which are supposed to manage themselves harmoniously. The manager's duty is to coordinate the teams to administer effectiveness.

3. **Discipline:** Each enterprise must have lucidity in their rules and regulations, in its mission and vision, which need to be adhered to. Discipline will help grease the interactions among the employees themselves and with the management preserving respect and dignity of all concerned. There has been a shift from formal to informal controls. The rigorous disciplinary rules and regulations of the yester years had strict control in the hands of the managers but presently there is more emphasis on peer pressure and informal group discipline.
4. **Unity of Command:** Fayol stressed on the importance of having one boss to fix answerability and responsibility. It would also facilitate elimination of any confusion of orders. Now, there has been a reversal of this principle as decisions are taken in group discussions, workshops, conferences and working committees. Sometimes, groups are formed for a short period across organizations and even nations. So, orders are given by the organization's manager as well as from the group members. The present trend is of more reliance on multiple bosses
5. **Unity of Direction:** Continuing with the principle of unity of command, Fayol gave the principle of unity of direction. It proposes one boss and a single directed instruction. Focus and unity carries through and all employees of an organization perform the unidirectional functions in tandem with the organizational goals. The functions must be given in the plan in clear terms. The manager has the responsibility to see that the plan works effectively and monitors their efficiency and productivity. Now, the economic and social environs are in confusion over this principle as it is vague and does not specify how to group the activities having the same goal. The multinational companies have a variety of products which they manufacture or trade. It becomes difficult to apply this principle because:
 - Companies have two markets, domestic and international.
 - Two bosses or more would probably work out better in terms of efficiency.
 - If the target clients are ultimate consumers and manufacturers at the same time, this principle does not apply.
6. **Subordinate of Individual Interests to the Common Good:** An employee's interests cannot supersede the interests of the group, managers or the enterprise. Fayol established focus on organizational goals through this principle implying that attention must be paid while recruiting employees for the organization to those individuals who can prioritize their personal objectives lower to those of the organization.

The present-day organizations differ from the ones earlier as they had a mechanized methodology. In recruiting and working as Taylor and the Scientific Management School proposed. Now, the businesses have come to consider the individual interests of the employees to give them job satisfaction. This was not paid attention to in Taylorism. The alternative to this dilemma of creating a balance occurred by displaying organizational allegiance to accept employees as the worthiest asset to them whose interests are important.

7. **Remuneration of the Personnel:** According to Fayol, job satisfaction of employees must be considered to the maximum. They must be paid the right figures so that it is reasonable to the organization as well as the staff. They must neither be underpaid or overpaid to achieve their optimum motivation and productivity. Pay must include monetary as well as non-monetary benefits.

The organizations saw a shift to remuneration system without any basis of merit for some time but now the organization have devised a system of performance-based pay structure. Employees have a basic pay and then additional incentives if they are able to achieve higher targets to increase their motivation and productivity. This system promotes transparency as the employee is aware of the system and he can galvanize his efforts accordingly. The 'performance-based salary system' is similar to Taylor's 'piece differential pay'.

8. **Centralization:** Fayol's principle of centralization suggests that a balance has to be reached between the management and authority. The balance is directly proportional to the size of an enterprise. Centralization implies the extent of power or authority the management keeps with itself to make decisions and how much it shares with the lower levels of hierarchy, which was termed as decentralization by Fayol. He said that in case of an imbalance, it will cause inefficiency. The best way out would be to have the managers formulate policies and plans at a macro broader level and let the lower rung staff deal with the practical aspects of them.

The present scenario regarding this principle in organizations is that the top-down approach of management is deficient in employee participation and the top management fails in achieving efficiency due to lack of motivation. Nowadays, there are 'ad hoc' working groups which work out a plan to decide about the manufacturing of a product and its release date in the market. All decisions regarding tasks are taken by the group in the 'bottom-up approach'. Also, there are 'problem-solving' or 'trouble-shooting' groups' which are involved in the decision-making process.

9. **Scalar Chain:** Every organization has a line of hierarchy according to which it passes orders. Fayol suggested that there must be a clear top-down vertical hierarchical flow which will form the management structure of an organization considering the exceptional situation when the line of hierarchy can be skipped horizontally without any need for permission. This principle is also called 'the hierarchy principle'. The formal organizational control facilitates the leader to manage efficiently.

This principle could not hold through the next century. Hierarchical control changed into 'normative integration' in multinational companies and is being applied in the intersection of goals, values and norms for the employees and the management to conduct their business. It tends to align the behaviour of subsidiaries organizational goals with the tools of centralization, formalization and socialization. So, the organizations today lean more towards flat hierarchical structures and minimum possible managerial layers.

10. **Order:** There must be an office decorum implying everything needs to be in its place. Tidiness and safety must be paramount to maintain the image of the office to develop the environment into a pliable and positive one. The staff must be equipped with the proper office supplies and whatever they need to make their plans work. Job classification must be appropriately done to facilitate collection of information internally.

The principle of order still holds true till today. Organizations now rely more on internal information collection to have better coordination, sound decision-making, good control and order.

11. **Equity:** To achieve the right balance between employee commitment and compliance, there must be the application of the principle of equity. It suggests that the managers must have a kind and a sensitive attitude towards the employees so that they give their loyalty and commitment to their jobs for the longest period of time. This principle is given as a separate principle but quite similar to the sixth principle of 'subordination of individual interests to the common good'.

This principle is still quite evident today too as organizations follow it to inculcate a spirit of kindness on the management's side and commitment on the side of the employees.

- 12. Stability of Personnel Tenure:** The managers of an organization need to create an environment in such a way that employees stay in the company for a longer period of time. If they leave the company, it would cost the organization for the time and money spent on the training of employees. A higher rate of turnover of employees would result in inefficiency.

Presently, companies like to have a higher turnover so that they can get away with lower wages. Another trend is of downsizing with a view to eliminate the middle management. Training programmes are a common event in the present-day organizations.

- 13. Initiative:** The employees ought to be given the leverage to innovate and create in their plans and processes. This would add benefit to the organization as the inventions and innovations will be owned by the company.

Now, the organizations prefer to focus more on problem-solving groups rather than depending on the innovative hierarchical lines. An environment conducive to innovations is better than just relying on hierarchical elements.

- 14. *Esprit de Corps*:** The last management principle of Fayol, '*esprit de corps*' stands for taking a stab at the contribution and solidarity of representatives. Administrators are in charge of the improvement of spirit in the work environment separately and in the zone of correspondence. It adds to the improvement of the way of life and makes an environment of common trust and comprehension.

Presently, due to the downsizing of organizations to achieve greater efficiency, contractual system of employees has become a norm. The principle of building up morale among the staff has a lot of significance in today's economies.

Although the management principles of Fayol have changed their form and lost their shine and relevance in the present globalized market economies, many organizations apply them in part at least.

Q4 Write a short note on how Fayol's approach differs from Scientific Management of Taylor with respect to the focus on efficiency through management training and behavioural characteristics.

Ans. Although both the management thinkers belong to the same Classical School of Thought, there are four discernible features in their theory. They are:

1. Fayol brought a top-down methodology to deal with administration by concentrating on administrative practices to expand effectiveness in associations. His written work gave direction to supervisors on the best way to achieve their administrative obligations and on the practices in which they ought to lock on.
2. The significant contrast between Fayol and Taylor is Fayol's worry with the 'human' and behavioural characteristics of employees and his focus on training management instead of on individual worker efficiency.
3. Fayol focuses on the significance and the act of anticipating and arranging so as to prepare administration and enhance working environment profitability.
4. Fayol is also famous for putting forward 14 principles of management and five elements that constitute managerial responsibilities.

LUTHER GULICK AND LYNDAL URWICK

Luther Gulick and Lyndall Urwick developed a science of administration to establish that Public Administration is a science to make it applicable to the private as well as public sector organizations. Gulick and Urwick were born in faraway terrains from each other, Gulick in Japan while Urwick in Britain. Gulick

finished his studies from Columbia University and served on the National Defence Council amidst the First World War. He served as the manager of the New York City for a long time between 1954–56 and was the President of the Institute of Public Administration, New York from 1962–82. He was the author of books like '*Administrative Reflections of Second World War, Metropolitan Problems and American Ideas, Modern Management of the City of New York and Papers on the Science of Administration*'.

Urwick finished his instruction from Oxford University and like Gulick served in the First World War as the Lt. Col of the British Armed Force. Urwick was additionally connected with a few worldwide administration establishments and distributed a few books like '*The Management of Tomorrow: The Making of Scientific Management, Leadership in 20th century, Century Organizations, The Patterns of Management*'. He furthermore filled in as editor for a few papers on exploration of organization. He was additionally a famous mechanical advisor who worked widely to introduce the administration training in the UK.

Urwick altered the most critical work, Papers on the Science of Administration exhibited by Gulick in 1937. Both of these scholars were extraordinarily impacted by Fayol and Taylor and the Machine Model of the Man. This consolidated with their particular military and modern foundation drove them to propose the Classical Theory of Management or the Administrative Management Theory. The established hypothesis that an organization is a science. Both these thinkers contended that like the surge of designing is a science through strategies for exact perception, orderly finding and recordings over a timeframe comparatively, creative thinkers can undertake the study of an organization.

Q5 Discuss the contributions made by Gulick and Urwick to the science of Public Administration.

Ans. Both the thinkers likewise pushed on the significance of the structure of the association. Urwick composed that absence of structure can prompt a ton of inefficiencies and perplexity inside an association and Gulick proceeded to distinguish ten principles on which the hierarchical structure can be planned. The following are the ten principles as recorded by Gulick:

1. **Division of Work:** The first principle was division of work and Gulick and Urwick justified it by the basic logic that the nature of men is different with respect to capacity and skill. Workers benefit from specialization as an individual cannot be present at two places at one time and neither can he do two things at one time. Lastly, any individual cannot learn everything in a lifetime. So, it is an issue of 'human nature, time and space'. They have given the example of a shoe factory where either all the workers can make shoes all by themselves or each one can be given a specialized task which could take less time and save money, thereby, increasing operational efficiency and affecting economy. The system of division of work and specialization can be supported by new technologies and social changes. This would make specialization would become even more minute as 'knowledge and skill advance while man stands still'. It is essential to have cooperation between the specialized personnel and theme agent.

Limitations: Gulick himself pointed out three limitations of division of work. They are:

- (i) **Practical Difficulty:** The first problem is a practical one emerging from the volume of work required in working hours. Nothing is benefitted from the sub-division of work if that would further result in setting up an errand which does not require the full time of a worker. The problem is when there is a gap for the worker and he need to fill the time by doing some other tasks.
- (ii) **Technology and Custom:** There is a fear of a conflict that will arise between technology and custom. There might arise problems due to jurisdictional areas. Division of labour becomes elastic, leading to a constraint on the labour market and a decrease in favourable possibilities for specialists.

- (iii) **Physical Division:** Division of labour cannot go from the physical realms to organic limits. This has been explained very aptly in an example by Gulick that it might seem more efficient to have the front half of the cow in the pasture grazing and the rear half in the barn being milked all the time but this organic division would fail.
2. **Departmental Organization:** It is said that the parts make up a whole. The Theory of Departmentalization is based on four foundational bases, which is popularly known as the four Ps, given below:
- (i) **Purpose:** The organizations established on the basis of purpose is denoted by Gulick as vertical departments. The elements to be considered in this basic premise are:
 - There is a central core of management including zeal, experience, ability, cognisance of the purpose that has to be achieved and minimum required information about the technologies being applied
 - A group of employees specific to the department
 - Skilled workers and experts
 - (ii) **Process:** The workers who are grouped together for a specific purpose are assigned different departments where the processes take place.
 - (iii) **Place:** The third 'P' refers to the place 'at which the service is performed and brings together all those who work in a limited area regardless of the service they are performing or of the techniques they represent'. This plan was well in practice in colonial territories and underdeveloped countries. It leads to a concentration of groups of activities and departments are created.
 - (iv) **Persons:** Specialization of the jobs forms the foundation of departmental organizations. People acquire specialized skills for specific tasks and get experts in that field.
3. **Hierarchical Coordination:** With the concept of division of work and subsequently subdivision of work, coordination between the departments becomes essential otherwise it the organization would be riddled with disorder and chaos. There are two ways by which coordination can be achieved:
- (i) **Organization:** The subdivisions are interconnected to each other by virtue of the employees and their work placed within the structure of authority. In a top-down approach, the work must be delivered by orders from the superiors to their subordinates to make it a cohesive turnout.
 - (ii) **Idea:** An idea concentrating on the purpose and the will of the workers can dominate and produce work by coordination amongst each other.
- The concept of the holding company was also put up by Gulick to effectuate coordination between the departments and within the department without the government being a holding company itself. Another way to achieve coordination was leadership by persuasion.
4. **Coordination through Authority:** Authority overrides all problems of authority to achieve coordination. Coordination requires proper balance of control and communication. The steps to be considered in achieving coordination through authority are:
- Defining the job.
 - Appointing of a Director with authority to achieve the goals.
 - Identification of the nature and number of the work units of a job.
 - Structure of authority between the Director and the subdivisions. This step is the most important to understand to make the Director empowered with authority, coordinating abilities of coordination to achieve efficiency.

Limitations of Coordination: The limiting factors of coordination are size and time. In large organizations, the size makes coordination difficult to be achieved. The lines of hierarchy become complicated and the purpose of the organization gets confused and neglected with the employees working towards self-interest. The second daily shortcoming of coordination is with respect to time. Time, in the principle of coordination, implies how the employees get into habit of their tasks over a period of time but when large organizations need to be set up overnight, coordination becomes a problem.

5. **Span of Control:** Man has inherent weaknesses and shortcomings in performing functions in terms of time, knowledge and energy. If the work is of a routine matter of doing physical functions, a manager can direct successfully where he is the central authority. It follows here that the limitations of span of control lie at the top of an organization. There are different numbers given by various administration scholars about how many people a manager at the top can direct.

The three elements that were given by Gulick and Urwick about span of control:

- (i) Diversification of function
- (ii) Time
- (iii) Space

It was accepted that more research in this area was required. Urwick published an article, 'The Manager's Span of Control' in which he admitted to agreeing with Vytautas Andrius Graičiūnas in the fact that span of control principle was deficient in the theoretical base for the empirical belief.

6. **Unity of Command:** Simply put, this principle calls for one master otherwise confusion shall arise in serving two or more masters. In Gulick's words, 'A workman subject to orders from several superiors will be confused, inefficient and irresponsible. A workman subject to orders from but one superior may be methodical, efficient and responsible. Unity of command thus refers to those who are commanded, not to those who issue the commands.' This principle emphasizes on coordination and organization.

7. **Line and Staff:** The next principle dealt with the line and staff agencies. The inspiration was derived from the army where the staff is the wing that directs and the line agencies are the ones taking the orders. The staff agencies comprise the individuals who carry out the planning functions backed by intellect. The line agencies are the ones doing all those functions. The line officers also know and plan and can suggest to their seniors but cannot become staff officers. The staff executives, on the other hand, have the responsibility of only passing feedback of their result of their planning and direction.

It can be said that the principle of staffing follows from the principle of leadership. The leader needs help to run the affairs of an organization which can be provided by the staff agencies. The staff agencies do not have any direct authority and have the responsibility to impart technical support and information when needed by the line agencies. It aids in the:

- Strengthening of the planning department as a help for the chief executive.
- Barring the administrative authority and control in the staff agencies.

In the words of Gulick, 'Line and staff organization combines features of both the line and functional types' but the implication is that the staff positions in a department:

- Deals with one specific phase of business.
- Impart advice to the line agency officials mostly in sales, technical division, manufacturing and finance.
- Administer only one staff function.
- Focus on the analysis, empirical testing, recording in research, coordination and advising.
- Facilitates formulation of plans.
- Gives special services.
- Designing.

8. **Scalar Process:** The principle of the scalar process was presented in the report to the American government was also supported by Mooney and Reiley. To have a successful organization, its structure must embed itself in a formal chain of authority flowing from the top to the bottom.
9. **Delegation:** The concept of delegation is included and subsequent to the principle of scalar chain which has been presented by many scholars. The leader in command cannot perform all functions in an organization and has to delegate authority to his subordinates. There must be clear norms how to delegate authority and there emerges the concept of accountability and responsibility of the subordinates who have been delegated authority. The three prerequisites of delegation are:
 - (i) Coordination
 - (ii) Control of specialist functions
 - (iii) Responsibility for different services

HUMAN FACTOR AND TIME IN PUBLIC ADMINISTRATION

In his later writing, Gulick admitted of developments since he had edited the 'Papers on the Science of Administration'. He observed that since governments comprise human beings with one main goal of public service, the core variable to develop and execute public administration is human beings. According to him, the major challenge today is of the way to provide human welfare in the dynamically changing environment and not to wage wars. To effectuate the objective of public service, authority needs to be broken down at the top and be delegated to the lower levels of authority. Decentralization is absolutely a prerequisite to uphold democracy and to deal with the globalized market economies which would result in growth and positive change.

Public Policy

He says that public policy is based on timing to achieve exquisite statecraft. There are five aspects of timing:

1. Time as an input
2. As a flow of events
3. As an output
4. As significant events or processes
5. Management policy

Time becomes a compulsory ingredient in public management which has been ignored by governments.

Gulick and Urwick gave the acronym 'POSDCORB' for Planning, Organizing, Staffing, Directing, Coordinating, Reporting and Budgeting as the management principles. (They have discussed earlier in the Evolution of Public Administration).

Q6 What are the features common in all the theories given by the thinkers of the Classical School of Thought?

Ans. Classical theory emerged in the late 19th century and organizations began searching for answers to tackle the issues of efficiency, effectiveness, productivity, economy and the interrelations between the management and the workers. Many thinkers of administration gave their theories and presented reports to their governments to change to give better public service. The common features that emerge in all these theories are:

- **Hierarchical Structure:** A clear line of hierarchy is essential to establish formal organizations at three levels of management. These three levels of management would have their own set of goals and targets to achieve and work towards the processes. The three levels of management are top, middle and the

lowest level. The top level would consist of the Board of Directors or the Chief Executives who have the overall responsibility of achieving long-term targets and goals. The next level, the middle management level, has the obligation to supervise the divisions under them and fixing the departmental objectives considering the allocated financial resources. The lowest level of management are the officials overseeing the day-to-day tasks, training personnel and dealing with the problems of the workers. This classification of management is found in large scale organizations but not so much in small enterprises. The feature of leadership and responsibilities were vividly defined in the Classical Theory. The formal structure of organizations is given to fit parts into a whole, formalizing a whole system.

- **Generic:** There is a generic view of administration in this school of thought. It opines that administration is itself administration wherever it exists. There is a commonality of administration principles in the private as well as public sector organizations.
- **Authoritarian Leadership:** Classical theorists pushed for autocratic leadership to run organizations. A strong leader is required to deliver in the areas of sound decision-making, organising, directing and coordinating. This kind of leadership, however, is applicable in small enterprises where all the top decisions have to be taken by him but in large organizations it becomes difficult and impossible to implement autocratic leadership because the top-level management consists of Board of Directors.
- **Financial Incentive:** Every individual works with the motivation and incentive of money. Productivity and efficiency improve with the incentive of more money. The management retains the controlling power to manage the employees.
- **Division of Labour:** Mostly all the classical theorists advocated division of labour and consequently specialization. Each project is broken down to smaller targets that are accessible to achieve. Workers become experts in their assigned tasks and help in increasing productivity.
- **Top-Down Approach:** There is a unidirectional downward flow of communication in organizations. Decision-making is done at the top-level management and they are executed in the lower level of the organization. No input is considered at the lower level of administration.
- **Non-Political:** Public administration is considered non-political and a technical discipline to deal with the methods and processes to achieve delivery of public service with efficiency, economy and effectiveness with the limited available resources.
- **Non-Humanistic:** Behaviour of workers is totally predictable because they are considered as cogs in a machine. If the standards and processes are standardized, the output would be according to the predicted quantifiable numbers. If a worker does not meet the pre-determined standards, he is replaced.
- **Universal Application of Principles:** Principles like span of control, line and staff agencies and coordination are applicable to all the organizations.

The common features of the Classical Theory mentioned above summarize the theory.

Q7 In what ways was the Classical Theory deficient?

Ans. The 'Classical School of Public Administration' had based its theory on non-humanism, division of labour, hierarchy and efficiency. Classical theory gave way to the Weber's Bureaucratic Model and Human Relations School. Besides all the advantages, there were shortcomings pointed by administrative scholars. Given below are the points of criticism:

- **Taylor's Scientific Management:** Simon criticized Taylor's assumption that workers get motivated only through monetary incentives. Taylor did not pay attention to the law of diminishing returns that would be applied to dividing the work to its minutest detail. He also ignored the fact that planning and action cannot happen in isolation when workers have to act without their involvement in planning.

- **No Empirical Evidence:** The classical theorists relied more on their individual experiences rather than testing them empirically except the likes of Hawthorne experiments. They were set up in close environments with limited variables and assumptions. They tried to generalize and formulate principles on their own experience in the manufacturing industry. Any field study to be considered as a science needs to have empirical testing in the best possible laboratory settings.
- **Unviable Assumptions:** They went ahead with their principles knowing that their assumptions were not tested but were only value and belief judgements. The assumptions of monetary incentive and productivity being the only quantity to evaluate an organization's success were unreasonable and did not consider the individual's wants and its attitude towards his job as a duty and not as a passion that he likes.
- **Informal Organization:** Post-classical theorists ignored the role of informal organizations working in favour of the employees. Social interactions among the employees and between the employees and the management are important to reach better decisions and to create harmony and coordination in the organization. Innovation in the processes take a hit which otherwise would help in formulating better processes.
- **Strict Rules:** In the 'Classical School of Management,' the thinkers stressed on strict and rigid rules and regulations which had the unpredictability of results. It ignored the fact that employees may just perform the minimum level of performance target laid out whereas he might be capable of much more. On the other hand, the workers might forget the purpose for what they have been working amidst all the constricting bounds and limits.
- **Cogs in a Machine:** They totally forgot that workers are human beings with their inherent individual differences, wants, needs and desires. They considered their employees as cogs in a machine who fit the specified role in a set environment without any input of theirs. Not every time, workers perform according to the prescribed standards as they might have better ideas of their own or find difficulty in adjusting to the process.
- **Status Quo Conditions:** All the principles and conditions set in an organization by classical management were formulated and established, provided there are no external influences affecting it and a *status quo* prevailing but it does not happen so. An organization does not exist in isolation in today's world and neither did it then. There are market concerns that affect an organization always. Fayol's principles were good in a predictable environment but the present volatile market conditions render the principles of formal authority, structural form of organization, etc., in a disarray.
- **Ambiguous:** The administrative principles laid down by the classical theorists were not clearly defined, for example, achieving coordination is an overt requirement by any organization. Division of labour was proposed without laying down any methodology on how to achieve it. The principles were just stated and not dwelt upon with detailing. Moreover, the principles were inconsistent, the least to say, for example, the 'Principle of Division of Work' contradicts with that of unity of command.
- **Pro-Management:** On the whole, the Classical Theory was prejudiced against the workers and was pro-management. Workers only fit into the larger scheme of the mechanized organization without any consideration for their wants and desires.

Even though the focus of Classical Theories was too narrow, it initiated a serious thought on building contextual base for the discipline of public administration. POSDCORB is still valid in many organizations today.

11

Weber's Bureaucratic Model

Learning Objectives

In this chapter, you will learn about:

- The Iron Cage Bureaucracy
- Types of Bureaucratic Structures
- Characteristics of Bureaucracy
- Collegiality
- Separation of Powers and Forms of Representation
- Limits of Weber's Bureaucratization
- Bureaucratization and Failure of Public Service Delivery
- Emotional Intelligence
- Post-Weberian Developments

Q1 **Contemplate on the extent to which the Theory of Bureaucracy of Weber aimed at ascertaining social acceptance of bureaucracy.**

Ans. Max Weber was born in 1864 in Thuringia in Germany. His father, Max Weber Sr., was a trained jurist and a municipal counsellor who moved to Berlin in 1869 and became a rich politician aligning himself to the right-wing liberals. His mother, Helene Fallenstein Weber was a refined and liberal woman of the Protestant faith. Over their different paths, they became estranged and drifted apart. Max Weber was a weak child who took to books and was deeply impressed by historical essays. He was arrogant about his intellect in his early days and protested against Cicero's speeches and views. His mother was dissatisfied with his revolutionary ways and sent him to attend 'confirmation lessons' where Weber learnt Hebrew to study the Old Testament. He began drifting away from his parents and did not accept authority of his elders which led him to his own world. He was doubted by his teachers but went on to study law like his father. He also took up additional subjects like history, economics and philosophy at Heidelberg. He came into his father's influential circles and took part in the religious controversies of those times. He fell into debt and drinking and became a robust young officer of the duelling fraternity. He joined army for a year when he was 19 but hated being unable to pursue his studies. His military career ended in 1884 and he picked up his studies in the University at Berlin. He went for military service intermittently and joined the law courts of Berlin. His Ph.D thesis was on the 'History of Trading Companies during the Middle Ages' in 1889.

He began advisory work for governmental organizations and researched on private reforms for the stock exchange and on the estates of Eastern Germany. In 1894, he accepted a full professorship in economics in the Freiburg University. He suffered from depression arising out of his guilt over the tensions with his father and his father's death. He taught in-between the periods of his depression. He began intellectual work in 1900 and took up editorship of a journal in 1903 which gave him the impetus to study and research again. He went to the USA to deliver a lecture and was deeply interested in the nation's pathetic state but admired its people. He became interested in the labour problems, the immigrant's issue, political management, the problem of native Indians and the issue of African Americans.

Q2 Discuss 'The Iron Cage Bureaucracy' in all aspects as given by Max Weber.

Ans. Max Weber propagated the theory of structure of bureaucracy. Weber brought the word, 'bureaucracy' into limelight. The word is made of two words, 'bureau' meaning 'the office' and 'cracy' meaning 'authority'. Weber's work was published after his death in 1922 but it got him a Nobel Prize. His standpoint of the position a bureaucrat must hold, is synonymous with the views of Wilson that he must be a neutral servant of his political masters. His study emphasizes the study of administrative structure rather than the processes as given by Fayol, Taylor and Urwick.

ROLE OF BUREAUCRACY

Weber conceived his theory of bureaucracy based on his American visits. He felt that, 'machine politics were indispensable in modern mass democracy unless a leaderless democracy and a confusion of tongues were to prevail'.

Machine Building: He described, 'machine politics' as the management of politics by professionals and by an organized political party organization which has an efficiently formulated manifesto but on the other hand, such a system might revive the Caesarist People's Tribune although it would improve rational efficiency and breed the bureaucratic machines. He considered machine building as a method to examine ideas in which democracy ought to be assisted by a bureaucracy differentiated by skill and training of staff achieved through written exams and interviews. Weber was aware of the drawbacks of the spoils system characterized by extravagant expenditure, improprieties, technical deficiencies and non-democratic processes. He referred to the American belief that the people preferred corrupt politicians to inefficient bureaucrats who have a permanent tenure and cannot be changed. He connected the Protestant and Asceticism with the modern economy. He said that they equate on the grounds of training and making a career out of highly intellectual experts in the church as well as the bureaucracy.

Characteristics of Bureaucracy

Max Weber gave the following characteristics of bureaucracy.

1. **Functions of the Officialdom:** Weber presented the functions of a modern official. They are:
 - (i) **Jurisdictional Area:** Weber propagated the principle of fixed and official jurisdictional areas supported by laws and regulations. The duties and administrative functions must be specifically laid down by the lawmakers.
 - (ii) **Authority:** The mandatory authority with the officials must be clearly defined and restricted by rules and regulations with respect to coercive actions that could be physical or religious.
 - (iii) **Bureaucratic Authority:** There must be a detailed and efficient methodology for the officials to perform their duties with corresponding rights. There are three components of

‘bureaucratic authority’ which are developed in the absolute state in the capitalist democracies. He stated that there are only a minuscule number of organizations supporting historical rule.

- (iv) **The Principle of Hierarchy:** Weber proposed an organizational system in which there must be graded authority empowering the higher officials to supervise the subordinate levels within regulations. The principle of hierarchy prevails in all types of organizations, whether public or private.
- (v) **Documentation:** Each and every document of the office must be preserved in its original form in an organization. The section of officers involved in maintenance of office documents in a proper filing system with the latest tools and implements, form a bureau in a public organization and an office in a private organization. Weber differentiated the status of bureau or office between the public and private organizations.
- (vi) **Office Management:** Max Weber emphasized on specialized office management training. This needs to exist in the public sector as well as the private sector.
- (vii) **Capacity-Building of the Officials:** Weber stated that officials must work to their full capacity in the bureaucracy to be effective. Such capacity-building, to use a modern-day term for Weber’s theory, takes a long period of time to develop in both the public and private sectors.
- (viii) **Rules and Regulations:** Office management must have clearly laid down rules and regulations. To have the knowledge of the rules of an office involves the knowledge of the legal system related to social and political situations also. Furthermore, it was noted by Weber that office holding is a ‘vocation’ requiring training and proper recruitment. He defined it as, ‘An acceptance of a specific obligation of faithful management in return for a secure existence is decisive for the specific nature of modern loyalty to an office’.
- (ix) **The Position of the Official:** The modern-day official has a distinguishable status in the society due to his rank order. He derives his power from the subordinates below him. Weber discussed the power of the elected official who becomes powerful with the people below him and furthers his career with the superiors above him. The administrators’ tenure is for life in government bureaucracies and gets a fixed salary according to the rank he keeps. The high esteem and the salary make the position of an official the most coveted one.

Causes of Bureaucracy

Max Weber presented the following social and economic presuppositions and the causes of bureaucracy:

- (i) **Money Economy:** A monetized economy is a presupposition to have a bureaucracy. Historically, there is evidence of large bureaucracies in Egypt, Rome and China. The pecuniary arrangements are prerequisites for a strong bureaucracy otherwise it has the danger of becoming some other type of structure. To avoid fluctuations of the currency, the officials were paid in kind in the old economies like Egypt. In any case, the officials must be paid for their work appropriately to avoid malpractices. On the other hand, an efficient administrative bureaucracy would help in sustaining a stable taxation system.
- (ii) **Quantitative Development of Administrative Tasks:** The second presupposition is that the level of administrative bureaucratization in developed monetized economies was directly proportional to efficiency. Bureaucracy develops amidst the political nexus and the state, though not always. The empires in China and Africa did not have a developed bureaucracy because they were deficient in the mechanism and tools to support it. Taxation helps in sustaining the economy. Political and social structures help the bureaucracy to evolve and develop.

- (iii) **Qualitative Changes of Administrative Tasks:** Bureaucracy is intensified by an increase in quality and scope of administrative tasks. There is the complexity of the modern state which pushes the state towards officialdom and bureaucratization to resolve the issues of developmental duties, like education, construction and consumer goods. A better managed state leads to a higher standard of living in the present scenario rather than the welfare services being catered to by the private sector which failed miserably with concentration of wealth in the hands of a few. The modern means of communication help in achieving the functions of the bureaucracy.
- (iv) **Technical Advantages of Bureaucracy:** Any bureaucracy to be successful has to depend on the technical support with which it trumps over the other organizations. The bureaucracy is enriched with the skill set of precision, speed, clarity, filing system, the authority to make decisions and hierarchical lines backed up with training and expertise. The prerequisite here is that bureaucracy must be a paid service as compared to honorific arrangement being an avocation, to promote speed, continuity and precision. It carries through, most importantly, the principle of specialization giving shape to the tasks with expertise.

The business of bureaucracy runs with specified principles, rules and without any regard of person. This leads to the derivation that Weber presented the market economies. This might lead to a 'class situation' if the principle of free market is not controlled. Weber's second element here is the 'calculable rules' which is significant in calculation of results. This presents the case of bureaucracy thriving in a capitalist state where dehumanization leads to gains for all, while eliminating all sorts of emotions and irrational interests, thus arriving at rationality. Weber talks about a bureaucrat being a personally detached and an objective expert removing any hints of sympathy, grace or gratitude.

- (v) **Bureaucracy and Law:** Max Weber said that rational interpretation of law based on formal concepts stands opposed to tradition or charismatic justice. He suggested that empirical justice was based on rational concepts and concrete precedents and could be formulated as a technology. Sometimes, a co-existence is seen of traditionalism and 'Lordly' grace but a move towards democratic principles of justice equating with rational adjudication must be facilitated. The modern bureaucracy does not include arbitrariness and comprises the rule and the rational estimation of objective purposes. A system of rationally debatable 'reasons' stands behind every act of bureaucratic administration. The rationality of law is conducive to equality before law. He also rejects any place for ethos and emotion in the rendering of law. Another factor that influences and interferes with the service of law is the public opinion fired by the press and supported by the politicians.
- (vi) **Means of Management:** The next presupposition deals with the concentration of the means of administration. In a capitalist state, the means and materials get concentrated in the hands of the powerful. In government, it is the public organizations and the bureaucracy whereas in the private sector it gets built-up in the capitalist organizations. In Weber's times, war was of the machines and depended mainly on the business of magazines which promoted the concentration of means of production and management. The way army organizations work, the bureaucratic organizations also work the same way in close connection with the means of organization in all the spheres.
- (vii) **Social Differences:** Bureaucracy arises with the levelling of social and economic differences in a modern mass democracy accompanied with the regularity of the execution of authority resulting from the presupposition of equality before law. It opposes the previous premise of working bureaucracy from case to case. This leads to the social exploitation of the bureaucratic position. Social and economic exploitation happens with the position and status of bureaucrats. Political democracy mostly gets into a confrontational equation with the bureaucracy.

- (viii) **The Permanent Character of the Bureaucratic Machine:** Post-establishment of bureaucracy, it becomes only stronger and cannot be destroyed. Bureaucracy has been and will be a powerful instrument for socializing relations of power. Such a societal action is the most methodical and superior action to any kind of resistance of 'mass' or 'communal action'. Owing to the continuity of bureaucracy, each bureaucrat becomes a cog in the ever-continuous bureaucratic machinery with a common purpose to preserve continuity and authority. Expert training and functional specialization of work apply to Public Administration and private economic management as well.
- (ix) **Economic and Social Consequences of Bureaucracy:** A bureaucratic organization of a social and a political structure has far-reaching consequences depending upon the direction which the power using the apparatus gives to it. The main consequence is the 'party donors' funding the bureaucratic organizations to influence them. Bureaucracies tend to get in direct alliance with the capitalists. A socialist policy formulated by the State can lead to the curtailment of private profit.
- (x) **The Power and Position of Bureaucracy:** The bureaucracy has the maximum possible power, in a democracy socially, economically and politically, being the leaders of the proletariat. The political heads also find themselves a trainee in front of the bureaucrats. In many instances, their specialized knowledge gives them superiority. Sometimes, even the Parliament is seen to be literally powerless to further its interests although the bureaucracy and the Parliament have to work in coordination to achieve the interests of the community. The result is that the common welfare gets lost in this tussle and helps the capitalists.
- (xi) **Stages in the Development of Democracy:** The main concern after the development of bureaucracy was its preservation. It helps in distinguishing between the concept of an 'objective legal order' to the 'subjective rights of an individual', for example, the separation between the public and the private law, especially, in urban settlements. Bureaucracy evolved from the point of feudalism and serfdom to what it is today crossing many stages in the same way as democracy also developed.
- (xii) **Education and Training:** Bureaucracy actively encourages a rationalist way of life and the professionalism required to be a part of it. Education and training are intensely impacted by bureaucracy. Various educational institutions of higher learning focus on the training of young minds to be prepared for the bureaucracy. Professions apart from bureaucracy developed expert examinations to be an expert member of that profession like the medical or the engineering jobs although democracy somehow resents this development of a 'privileged class'. Specialized entrance examinations, however, developed in most of the modern democracies for bureaucracy which is the most sought after profession as it awards great prestige socially and provides economic advantages too.

PRINCIPLES OF BUREAUCRATIC STRUCTURES

Bureaucratic organizations have to indulge in the levelling process to be successful in their administrative tasks. The bureaucratic structures developed recently although they were present in some form in earlier times too. The modern-day bureaucracies have managed to shake off the rigid, coercive and irrational structure to quite an extent. Given below are some of the types of bureaucratic structural types:

Charismatic Authority

The General Character of Charisma: Permanence is the common ground between the patriarchal and bureaucratic organizations dealing with day-to-day matters. A patriarch is a natural leader who uses bureaucracy in his own image serving its rationality to fulfill routine matters but on the other hand, when tasks go beyond the normal routine, it involves a charismatic foundation. It has been historically seen that

charismatic leaders have supernatural gifts of body and mind in an absolutely 'value-neutral' sense. The features of charismatic leaders are mentioned below:

- The charismatic leaders follows no form of an ordered procedure of appointment or dismissal.
- They do not have any regulated career, advancement, salary or training for charismatic leadership.
- They do not accept any controlling or executive agency.
- They have no appeal for permanent bureaucratic departments.
- They respect inner control and resoluteness.
- The charismatic leader stakes the job at hand and insists on compliance because of it.
- Their success dependence on whether their followers abide by them.
- They derive authority from people following them.
- Charisma can only be internally qualitative which enhances their power.
- Charismatic structure opposes the bureaucratic and the economic structure in a market economy.
- Mostly, the charismatic leader renounces money and rejects all rational economic behaviour.
- Individual means pay for the charismatic structures.
- Charismatic war leaders amass the loot and booty as a reward.

In the words of Max Weber, 'Modern movements of artistic origin represent independents without gainful employment (in everyday language renters). Normally such persons are the best qualified to follow a charismatic leader. This is just as logically consistent as was the medieval friar's vow of poverty, which demanded the very opposite'.

Foundations and Instability of Charismatic Authority: Charismatic authority can be perceived as the most unstable for the simple reason, that the charisma could just wither and fade away or the followers may perceive him to have lost his virtue. The reason for this being that pure charisma does not know any legitimacy other than flowing from personal strength, that is, one which is constantly being proved, as Max Weber said. The charismatic leader sustains authority by a show of strength, for example, by performing miracles if he is a saint and the followers must benefit from the leader's actions to prove him to be a leader. *Qadi-justice*, though a very formal system, is one way of settling disputes with the prophet's words in charismatic leadership as opposed to the traditional and formal one. Charismatic justice comprises a mechanism of routinized rules to lay down the God's will which can be called 'routinized charisma'.

Charismatic Kingship and Discipline: Keeping the premise of a king being a warlord, it can be said that the king is a charismatic hero although in the area of political dominion, kingship is not the oldest leadership. There are examples of chieftains who held all powers arising out of their charisma. Charisma mostly becomes traditional and formal while getting down to the routine business of governing. This decrease in charisma is due to a waning of individual powers of the leader which unfortunately leads to irrational discipline and status stratification. Discipline involves a logically designed rationalist system.

Weber gave the characteristics of 'Discipline' as given below:

- Discipline means 'the fate of charisma, whenever it comes into the permanent institutions of a community, to give way to powers of tradition of rational socialization'. A reduction in the charisma of the leader means that enforced rational discipline has been destroying it and a change in the status formations.
- Discipline ensures that a command is carried out in a consistent way. The obedience of a plurality of men is rationally uniform.

- Discipline works with the charismatic leader to maintain law and order while ruling over large jurisdictions within the disciplinary codes developed and trained personnel to provide legitimacy to them.
- Discipline is of a general nature while the bureaucracy is impersonal but against the charisma. The extremes in this institution do not adhere to discipline.

Discipline pervades to the common public and can be seen in all types of organizations like the army and religious institutions. However, rationality plays an important part in following the leader's will while devotion to a common cause of the bureaucrats and the common masses towards the leadership is quite objective.

Discipline and Charisma: Charisma forms a significant part of the society. There are certain economic factors that identify the routinization of charisma which are:

- The requirement of a social strata
- Legitimization of social and political authority heads

True charisma is normally antagonistic towards the objectification of discipline but considers it as a necessary evil to acquisition of power, maintaining its following and to continue its job and governmental duties with responsibility.

Religion and Discipline: There are five religions known to world history to influence life, namely, Confucianism, Hinduism, Buddhism, Christianity and Islam and also Judaism to some extent as it comprises the foundations of Christianity and Islam. Weber discussed the 'economic ethic' of a religion which means the 'practical impulses for action which are founded in the psychological and pathological contexts of religions in his words. He published a series of articles entitled, 'The Economic Ethic of the World Religions' in which he stated that economic ethics shape the economic organizations although not in very clear terms. The religious indicator is one of the determinants of an economic system impacted by political, geographical and national factors. In every religion, a social stratification change is relevant to an economy as it leads to further evolution of the society in every sense.

Charismatic authority, to sum up, is the rule over men, to whom the ruled concede voluntarily due to their faith in the charismatic leader. Hence, the legitimacy of charismatic leader lies in the belief of people in his magical and supernatural powers who takes care of their welfare and performs miracles. His leadership continues till the time he can keep doing that for them. Since charismatic authority rests upon miracles and magic, it fades away as soon as they disappear, and so it can be concluded that it is totally irrational.

Traditional Authority

Traditional authority refers to the psychic attitude set for the habitual routine work as a norm of behaviour. Weber defined it as, 'Domination that rests upon this basis, that is, upon piety for what actually, allegedly, or presumably has always existed, will be called 'traditionalist authority'. Patriarchy (meaning a social system in which the male is the primary authority head) is the most important kind of domination whose legitimacy lies in tradition. It reflects on the day-to-day work of people as a result of traditional authority. The leader gets his authority *in lieu* of his inherited status and has the power of command as a custom or his own decision. The common masses follow the leader due to their loyalty to the family over generations. The traditions and customs become the norm for the society. The subordinates or the 'following' do not challenge the traditional authority.

Features

The features of traditional authority can be summarized as:

- It rests on customs, symbols, religion and myth.
- The authority seats itself in inherited legacy.
- Workaday routines are legitimized.
- Followers, that is, the common masses believe in the authority.
- It does not rest on individual dynamism or a charismatic leader or by rule of law in the bureaucratic authority.

Types

Weber sub-divided the traditional authority into the types given below:

- **Religious:** In the religious form, the leader has legitimacy of authority by virtue of the belief of the common masses in their religious leader. It continues till there is evidence of his being a religious head through miracles, customs, symbols, etc.
- **Culture:** In a gradually evolving culture, there is a following that looks towards tradition and the leadership continues till the time it is refuted.
- **Gerontocracy:** Weber gave this another type of traditional authority as gerontocracy in which rule by elders is given the mandate. Clan or tribal structures also fall in this structure.
- **Patriarchalism:** Patriarchal authority rests in the male head of the dynastic lineage which takes over the regime after the death of his father.
- **Patrimonialism:** It means rule by inheritance but Weber interpreted it as a rule by a military force or an administration coming down from ancestors. In such a form, patriarchy emerging from a family or a clan forms authority. The leader may exercise authority according to his own discretion and it cannot sustain in modern democracies because it is irrational.
- **Feudalism:** Routinized authority in feudalism is another form of traditional authority given by Weber which rests upon a binding agreement between the leader and his subjects.

Weber observed that traditional authority breeds inequality because the authority is irrational and cannot be challenged due to domination. There are extremes of total subservience of the followers on one hand or absolute rejection on the other hand.

Weber observed that traditional authority breeds inequality because the authority is irrational which cannot be challenged. It is wrought with domination as there are extremes of total subservience of the followers on one hand and absolute rejection on the other. Monarchies are a good example of traditional authority.

Q3 *According to Max Weber, legal rational authority is the best and most rational authority. Discuss the aspects.*

OR

Contemplate on the theoretical base of the statements:

- **Bureaucracy represents the purest type of legal-rational authority.**
- **Bureaucracy does not represent the only type of legal authority.**

Ans. Legal-rational authority rests in rules and procedures. The leader gets his/her authority *in lieu* of his/her inherited status and has the power of command as a custom or his/her own decision. The common masses follow the leader due to their loyalty to the family over generations. The traditions and customs become the norm for the society. The subordinates or the 'following' do not challenge the traditional authority.

We refer to the rule of law in liberal modern democracies. It is predictable because there is an observable law with clear equations in a market economy. The purest form of legal-rational authority is bureaucracy but when we talk about it in a market economy, we do not consider bureaucracy. Democracy and bureaucracy do not exist successfully. When Weber was writing on this topic, in the period from 1914–1920, there were no liberal modern democracies and political systems, though they have evolved now after a century.

In a pure type of legal-rational authority, Weber says that there always a friction between the legal-rational authority and capitalism. The pure type poses three issues:

- Various ways to establish laws and norms
- Who obeys what?
- Rests on the acceptance on the validity of the ideas given below:
 - Norms can be established by an agreement or by imposition on the grounds of expediency or value rationality or both.
 - The idea is to obey. It may not be useful immediately but if there is belief in its values, it is accepted.
 - The legal system must be acceptable because of its consistency value. There must be a consistent system of abstract rules which must be established intentionally and not by accident.

Weber's authority in his system can be authoritarian. The members of the society follow law in an individual capacity.

Characteristics of Legal-Rational Authority

Given below are the characteristics of legal-rational authority:

1. **Continuous Rule Bound (Conduct):** Rules change slowly and with difficulty. New legislations in legal-rational authority are grandfathered because those who entered earlier in the system have to follow them and the new entrants have no choice but to follow.
2. **Specific Sphere of Competence (Jurisdiction):** There are limitations and strict rules that have to be followed in an organization and in case of a problem, one can go to a specific department. This implies hierarchy and a right to appeal. There is a hierarchy of appeal, that is, chain of command, where a citizen can go for appeal.
3. **Specialized Training:** The administrative staff needs to be trained specially for that particular job and to perform particular functions related to it.
4. **Means of Production:** The staff must be completely separated from the ownership of the means of production or administration. The source of rules and laws are outside administration. There must be a procedure beyond the official's authority for the change of rules. This addresses the unpredictability of rules and they must not be changed by the administrators. This means that the administrators cannot own the means of administration unlike in traditional authority where the feudal lord owns some means of administration from the monarch. This becomes an impersonal process, a separate procedure to establish rules and to execute them.

Characteristics of Bureaucracy (Theory of Bureaucracy)

According to Weber, the most efficient organization is bureaucracy. Given below are the main characteristics of bureaucracy:

1. **Free Individuals:** The purest type of legal authority employs a bureaucratic administrative staff. They have to be personally (legally) free individuals as opposed to traditional authority bound by family.
2. **Hierarchical:** The staff is organized in a hierarchical system of an office along with the right to appeal.
3. **Contract:** The office staff is hired by a free contract on the basis of technical qualifications. The office-holders receive a fixed salary. According to the contract, there must be meritocracy on the basis of which individuals are hired, a contract is signed and fixed salaries and perks are given.
4. **Sole Occupation:** An office is the sole occupation of the incumbents and it constitutes a career in itself as opposed to traditional authority. An office could have a number of positions but in bureaucracy one can have only one position with a fixed tenure in one organization. There is a ladder of progress in a bureaucracy. Universities are a classic example of bureaucracy with promotions after a fixed period are made.
5. **Ownership of Means of Administration:** The officials work entirely separated from the ownership of means of administration because they are governed by discipline and control.

Efficiency of Bureaucracy

The pure bureaucratic type of administrations, from the technical point of view, are capable of attaining the highest degree of efficiency. It makes possible a particularly high degree of calculability. Bureaucracies are relatively efficient but not necessarily take care of welfare. Bureaucracy is technically competent and predictable in a market economy. If not bureaucracy, what else is there and how else can one organize. The primary source of superiority of a bureaucratic administration lies in the role of technical knowledge. Bureaucratic administration means domination through knowledge and the bureaucrats are the most competent people to exercise authority.

Weber points out that the purest and the most ideal bureaucracy can also be incompetent and can be removed if the incompetence is demonstrated. On the other hand, if there is a tenure promotion but incompetence can be proved, the official can be removed.

Elimination of Private Ownership by USSR: In 1919–1920, Weber wrote about Soviet Union trying to eliminate private ownership. In this respect, it makes no difference whether the economic system is organized on a capitalist or socialist basis. Socialism would require a higher degree of formal bureaucratization. If this would not be possible, it would demonstrate another element of irrational conflict between formal and substantive rationality.

Formal and Substantive Rationality: Where the bureaucracy carries out and simply implements the rules of the game is formal rationality whereas substantive rationality involves social welfare which is considered as the larger goal.

Socialism: A conflict between formal and substantive rationality in a public owned economy, the state has to take central decisions about where the money has to be invested in a market economy. On the other hand, if the investment has to be made out of the taxpayer's money, it cannot be done in a capitalist economy. Maximum interest rates or currency exchange rates can be applied but cannot allocate resources where they want to, otherwise substantive rationality will be invoked. Both the forms of rationality, formal and substantive cannot exist together.

One can be either concerned about formal rationality to take decisions on one side or the content of decisions that is, substantive rationality, while implementing them on the other, implying that there is a shift towards a socialist economy. In communist societies, for example, in China, justice is served through courts who are not considered blind about 'who' committed the crime. This connotes that the rights of the working class are defended invoking the case of substantive rationality.

A capitalist legal system is formally rationalistic. It does not matter who the justice is being served to except in some cases, for example, in mitigation of circumstances where the richer class can hire better lawyers. Substantive rationality enters here sometimes resulting in blindness of justice which means it is procedurally right but not substantially.

Consequences of Bureaucratization

Weber pointed out three consequences of bureaucratization that are mentioned here in brief:

- **Meritocracy:** There is a tendency of levelling of interests in recruitment in terms of technical competence as everyone is considered equal before the eyes of law. Meritocracy supports extensive training at the higher levels of bureaucracy. The essence of bureaucracy has to be formalistic though it results in insensitivity.
- **Plutocracy:** Plutocracy has been explained by Weber as growing out of interest in the greatest possible lengths of technical training.
- **Formalistic Impersonality:** The third consequence of bureaucratization is the domination of spirit of formalistic impersonality without hatred and passion.

In a real bureaucracy, no personal sentiments or preferences are considered.

Contradictions in Bureaucratization

The spirit of rational bureaucracy has the following characteristics:

- **Formalistic:** In all systems, bureaucracy has some substantive elements and turn into being client-sensitive. This is a welfare tendency.
- **Democracy:** Officials tend to treat their official function in the interest of the welfare of those working under authority. This a tendency towards substantive rationality supported by all those in authority. The 'Theory of Democracy' becomes a point of controversy.

Q4 Write a short note on collegiality as given by Weber.

Ans. Collegiality grows out of professional groups and is, in no sense, specifically democratic. Privileged groups tend to protect their own and become monocratic, a single source of power, which can be traditional or legal rational and the common masses can be deprived by the principle of collegiality. This may occur in a variety of ways:

1. **Veto Collegiality:** Alongside the monocratic holders of the governing powers, there are other monocratic authorities which are in the position to veto acts. This is the case of the veto collegiality.
2. **Principle of Unanimity:** The second type is that the arrangement of authority must be carried out only after consultation. Two things may follow:
 - The principle of unanimity
 - Decision of majority

This can be done by an advisory body or by individuals with a special expertise.

Basis of Collegiality: Collegiality involves sticking together as a profession due to ethics. Given below are the basis of collegiality in brief:

- **Vergemeinschaftung:** Collegiality lies in the fact that the governing authority has arisen from the *Vergemeinschaftung* meaning mutual respect and bonding of previously autonomous groups, such as, a guild. Such members try to demand its share of power.
- **Constitutional Division of Powers:** Bureaucracy is supposed to be blind to individual differences though it does not happen always. Authoritative power can be further divided by law.
- **Status Groups:** It may lie in the independent position of status groups.
- **Countermeasure:** The basis of collegiality may also lie in the attempt of the monarch to counteract the increasing expropriation at the hands of a technical bureaucrat.
- **Reconciliation:** Lastly, it can be based on the need to reconcile the different views of technical experts.

Q5 Write a short note on 'Separation of Powers' and 'Forms of Representation' as given by Max Weber.

Ans. Historically, the separation of powers in Europe developed out of the old system of estates. The constitutional separation of powers is a specifically unstable structure. The issue of keeping the budgetary promises needs to be considered. However, separation of powers establishes spheres of authority and proves to be good for the economy.

Weber wrote about various forms of representation. They are:

- **Democratic:** The chief holds appropriate rights of representation like hereditary.
- **Estate:** The effects of the decisions of such bodies as estates extends beyond the personal holders of privileges, for example, Greece.
- **Instructional:** The representation is chosen by rotation with the mandate and right to recall, for example, Russia.
- **Free:** The representation is elected rather than selected, not bound by instruction and is only obliged to express its own conviction.

Representation in a Capitalist Economy

In a capitalist economy, there are a few considerations given by Weber:

- Free representation undermined the economic base of older status groups.
- Calculability and reliability were focussed on to increase predictability. The *bourgeoisie*-imposed checks on the Monarchs to control the unpredictability of elections.
- In early stages, the power of property qualification defended the power of propertied class against the proletariat.
- Occasionally, monarchs advocated universal suffrage hoping that the proletariat will be a conservative force against *bourgeoisie*.
- Parliamentary free representation was the product of struggle between the Monarchs and *bourgeoisie*.

Q6 What are the limitations to Weber's limitations of bureaucratization?

OR

Discuss the ways how Weber's 'legal-rational' model of bureaucracy is not 'rational'?

Ans. Before the limitations to Weber's theory are discussed, it is significant to understand the principles that finally emerge from its study. They are:

- A formal hierarchical structure
- Management by rules
- Organization by functional speciality and division of labour
- An up-focused or in-focused mission
- Purposely impersonal (separation of official and personal property)
- Employment based on technical qualifications (meritocracy)

Max Weber's theory on bureaucracy faced a lot of criticism on the grounds that it produces an elite class with excessive administrative power and too much stress on management by rules and formalization. Documentation increased manifold which resulted in delayed decision-making. It was not an all-pervading theory for all types of organizations. Technical qualifications based on merit were overemphasized. Bureaucracy became a large agency in itself which adversely affected coordination and communication.

Weber's bureaucratic theory was criticized on the following ways:

- **Impersonal:** Weber's bureaucracy characterises it as being impersonal and detached as discussed earlier. However, the officials 'can see and can be seen' and get involved in all walks of life. It becomes difficult for them not to get entangled in public life inspite of strict laws are in place. The characteristics of dehumanization and formalization ignore the role of informal relationships in an organization. Weber neglected the role of a bureaucrat being a human and hostile towards democratic norms.
- **Depersonalization:** The bureaucracy which Weber portrayed does not adapt to the evolving situations. According to Ralph Hummel in his book, *The Bureaucratic Expectations*, bureaucracy is full of mechanized officials without any feelings and is unconnected to the society which is like a, 'bomb that threatens humanity'. The moral sense to differentiate between what is 'right' and what is not eludes the bureaucrat.
- **Ideal Type:** Weber stated that his bureaucratic theory was based on the idealist and the purest foundation in a fully developed democracy. The Weber model of bureaucracy is perfect, complete, the most effective and the most efficient. On the other hand, reality is not perfect and none of the organizations fit the description of perfection. The 'ideal type' could be like a guide for the organizations but it is not appropriate as the level of efficiency expected may never be achieved due to the imperfections in reality.
- **Domination:** Weber's theory of bureaucracy rests on the concept of domination of the political leadership over the bureaucracy. On the other hand, the bureaucracy controls politicians passively which Weber terms as 'passive democratization'. Elite group formation is a consequence of bureaucracy which tries to dominate it.
- **Contradictions:** Hence, Weberian thoughts regarding bureaucracy are extremely contradictory while reinforcing capitalists and imperialists views on one hand and being sensitive to anti-capitalism on the other. He kept his theoretical base against socialism rejecting the social welfare and the common good of the masses. He did not consider exploitation, economic crisis, colonial oppression, expansion and the struggle of the people. He could not address the issue of domination of exchange value over human activities and monetization of social interactions. The dysfunctional features of bureaucracy are not taken up at all by Max Weber. The generalized nature of formalized bureaucratic structure ignores the individual cases burying any amount of creativity and innovation. Consequently, the depersonalized bureaucracy becomes a case of the most unpopular formal organization in a society. The present world has come a long way from Weberian times and lacks adaptability.

Q7 *Max Weber considered 'impersonality' and 'dehumanization' as the major two pillars of bureaucracy but it led to red tapism, arrogant attitude and became disqualified in the delivery of public service. Discuss in brief.*

OR

Discuss how improved emotional intelligence can help fight the deficiencies of 'impersonality' and 'dehumanization' pointed out in Max Weber's theory of bureaucracy.

Ans. Weber rests his theory of bureaucratization on two major characteristics of impersonality and dehumanization. It means no personal interests or any social parameters factoring in the matters of the bureaucracy. Even though Weber said that the bureaucracy was the ideal, working according to the rule book, bureaucracy is considered as totally impersonal, non-caring, nepotistic and ridden with 'red tapism' globally. It is difficult to find any accountability, responsibility or judicious use of power in bureaucracy. Delivery of public services was never one of the concerns of Max Weber. Dehumanization means a total lack of empathy for ethics, human values, social dynamics and social problems. Weber only emphasized on the rules and their execution which did not serve any purpose for the society and destroyed human virtues and led to an economic *status quo*.

Emotional intelligence considers emotions, the human factor as an important element in sound decision-making. Emotional intelligence embodies self-awareness, and relationship management. Psychologically, it implies that emotional intelligence is the ability to determine and cope up with one's own emotions as well as being empathetic towards others. It comprises emotional awareness, empathy and coping up. It would activate the bureaucrats to motivate their subordinates to accord them with the motivation and empathy when required, making them proactively efficient and innovative. This would lead to an increase in the level of public service delivery. Emotional intelligence can be implemented with the help of governance tools like the Right to Information Act (RTI) and citizen-centric administration through Citizens' Charters.

The features of impersonality and dehumanization of Weber's theory ignore a major element of emotional intelligence, that is, social skills. If emotional intelligence is studied with respect to Weber's theory, the following highlights are seen:

- The hierarchical structure and authority neglects knowledge authority.
- Weber ignores innovation and emotional intelligence, considers autonomy of creative and free thinking as a non-essential element.
- Lastly, Weber's theory of bureaucracy does not accept innovation as a key feature of emotional intelligence.

Emotional intelligence can bridge the gap which was left wide open by Weber. It can develop belongingness among the have-nots of the society if the bureaucrats can inculcate emotional intelligence within themselves. The bureaucrats can deal with issues of environment, inclusiveness, sustainability and social problems. The bureaucrats can be successful in all these areas only if they are given more flexibility and authority to take decisions, so that innovative and accountable execution of policies can be efficiently done.

Finally, emotional intelligence would also help to control arbitrary decisions and conflicts as the bureaucrats would be sensitized to social problems. They would also be able to develop motivational skills to be more effective in a society since Weber's time was a century ago when Plato's stoic approach to life was a norm but today's world is based on good governance to provide public services efficiently.

In India, bureaucracy has not evolved to the extent where it would be easy to access them. They still have an arrogant and inaccessible attitude who consider common public as illiterate with no sense. Bureaucracy is ridden with red tapism and corruption.

Q8 Write in very brief the Post-Weberian developments which countered his Theory on Bureaucracy.

Ans. Weber's theory of bureaucracy originated in a different time and place and could not adapt to the changing times. There were many theories to counter his theory and can be grouped together as Post-Weberian developments. They are:

1. **The Humanist Approach:** The humanist approach believed the characteristics of hierarchy, authority, specialization and depersonalization of Weber led to a mechanistic model. The humanist approach stressed on the humanist aspect comprising of motivation, human behaviour, social interactions and social group processes. They focussed on the satisfaction of basic human needs primarily to move up the ladder of achievement. Many thinkers researched on socio-psychological views of an organization.
2. **The Heterarchical Model of Organization:** Blankstein, Fullan, Smylie, DuFour *et al.*, and Kruse and Louis gave the heterarchical model of organization. They professed that collective actions would lead to the accomplishment of school objectives by revamping leadership role emerging from the centre than the top. The school administrator would lead the organization with intellect and promote learning.

The most popular administrative thinker in this school was Rensis Likert who gave the 'System for Design'. It asserted that rational and mechanistic perspectives were not significant to an organization as much as the socio-psychological elements. He established the interrelation between the organizational structure and effectiveness. It was found that organizations which were effective focussed more on the involvement of its employees. He formulated eight indicators or processes to rank organizations which are:

- (i) Leadership
- (ii) Decision-making
- (iii) Interaction
- (iv) Motivation
- (v) Communication
- (vi) Fixing objective
- (vii) Control and oversight
- (viii) Performance goals

He formulated four designs in his model to practically implement these eight processes.

3. **Public Choice Approach:** Please refer to Chapter 5 Public Choice Approach for a detailed discussion on this.
4. **Critical Theory:** The critical theory was given by the German School of Thought which critiques Weber's Theory of Bureaucracy for what it stood. It was developed in the 1930s. It concerns itself with the consequences of modernity as given by Kellner. To some extent, Weber was a believer of the critical theory as his concept of rationalization of the modern society led to the domination of limited creativity and human soul. Theorists like Benjamin Horkheimer, Adorno, Fromm and Marcuse formed the Frankfurt School of Germany. They professed that modernity has expired and hence it must be discredited in absolute. Given below are the major elements of the critical theory:
 - Marxist theory must be applied to social issues to bring freedom to people from their misery.
 - Empirical application to the theories of philosophy needs to be done.
 - A rational society is conceivable as man is a rational being.

- The changing society is conducive to social change, that is, progress.
 - Progress does not happen due to formal rationality as it leads to oppression and totalitarianism in the society.
 - Events do not happen in isolation and become a part of the constantly changing social process.
 - Social progress depends on the 'self' being objectified otherwise all gets 'doomed'.
 - Enlightenment transferred into totalitarianism and conformity eliminates individualism.
5. **Good Governance:** Please refer to Chapter 7 Good Governance: Concept and Application for a detailed discussion on this.
 6. **Normative Concerns:** As the term suggests, 'normative' refers to the 'norm' and 'value' in this case. Thinkers like Dehadit and Denhart propagate theories like 'New Public Service Approach' upholding the publicness of public administration. This approach is also called the 'Discretionist View' emphasizing social value through efficient delivery of public service.
 7. **Marxist Bureaucracy:** Karl Marx never wrote down a consolidated theory of bureaucracy but made a lot of comments while theorising capitalism. Marx criticized Weberian theory on the following grounds in his writings:
 - (i) **Capitalist System:** Marx stated that in a capitalist system, bureaucracy is like a party which exploits and oppresses the working class questioning the rule of law.
 - (ii) **Status quo of the Bureaucracy:** The bureaucracy remains in a *status quo* as it promotes itself and it keeps growing. They do not believe in welfare of people and are self-serving.
 - (iii) **Elitist:** Marx and Engels wrote in their 'Manifesto' of the Communist Party, 'The executive of the modern state is but a committee for managing the common affairs of the whole *bourgeoisie*'. Though they did not refer to bureaucracy directly but the implication was the same as the executive power in modern states is the bureaucracy representing the capitalists. Marx was against Weberian bureaucracy as it formed an elite privileged class which did not care about people except their exploitation. Weber's bureaucracy works together with the capitalists to administer and Marx's bureaucracy has been seen as a mechanism for class rule.

In the present context, e-governance is said to increase the iron cage of rationality as it would result in dehumanization and impersonalization. However, it must be perceived as a tool for good governance.

Notes and References

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12

Dynamic Administration: Human Relations School

Learning Objectives

In this chapter, you will learn about:

- Hawthorne Experiments
- Hawthorne Studies
- Hawthorne Effect
- Application of Hawthorne Effect
- The Social Man
- Assessment of Human Relations Approach

Elton Mayo

Elton Mayo is known for his Hawthorne experiments which were made to observe and study the variation of productivity levels of workers in flexible and deviating environmental conditions. He was the founder of Human Relations School of Management. He focused more on the role of social and psychological factors that motivate employees to be more productive. While Taylor and Fayol were developing the 'Scientific Management School of Thought', Mayo diverged from their view to discover a 'social person' implying that a man is not a robotic mechanical being but an individual with feelings and social desires.

Mayo was less interested in teaching and more engrossed in research experiments. This led to a minimal interaction with his students or his colleagues at Harvard. Mayo stressed on the need of healing people which his contemporaries did not comprehend. The reason for the lack of influence and understanding of Mayo's principles was also due to his infrequent writings and lack of a structural program.

Mayo and Janet Pierre

Elton Mayo was impressed by the 'Theory of Hypnogogic State' given by Janet Pierre. Mayo did not stress on the organic causes of a hypnogogic reverse and focused on the social factors that a worker is impacted in a work environment and the monotony of doing the same work repeatedly. He used psychotherapy and continued to develop industrial psychology theoretically as well as practically in the USA. This interest led to his famous Hawthorne studies.

Q1 Discuss the Hawthorn effect via Elton Mayo's Hawthorn experiments.**OR*****Describe the Clinical Approach, that Mayo followed in his 'First Inquiry'.*****THE CLINICAL APPROACH: THE FIRST INQUIRY**

Mayo felt that the economic theory was lacking in being inclusive of the human aspect. 'Knowledge of acquaintance' of the happening in reality, and an in-depth comprehension of the intricacies of human relationships should be an integral step before formulating or understanding any economic theory. This forms the clinical method as the foremost step to do any laboratory investigations.

Mayo conducted his 'First-Inquiry' in Philadelphia in which he questioned the assumption that individual self-interest was an adequate incentive. He investigated the case of the mule-spinning department in a textile mill near Philadelphia. He was helped by Dr. S.D. Ludlum, Professor of Neuropsychiatry at the University of Pennsylvania, who provided the facility of his clinic and his staff.

The situation was quite intriguing as the overall labour was highly satisfactory except in the mule-spinning department. The employers were exceptionally 'enlightened and humane'. The mill had a well-organized operational work and a successful venture.

The estimated general labour turnover in other departments was evaluated at 5–6% per annum. Whereas the spinning department gave a labour turnover of 250% approximately, which warranted more deployment of workers in times of shortage. None of the four incentive schemes had an impact on the issue. Given below are the observations made during the study:

- Every 'piecer' (worker) suffered from some foot, arm, shoulder or legs ailment and was not aware of any treatment for it.
- The workers had a low esteem of the job they performed.
- There was no communication flow among the workers and they worked solitarily.
- Fatigue was a common complaint and reason for which they had no social life after work.

Rest periods were introduced in the department in which the workers were allowed to lie down and relax or simply go to sleep.

Effects of Rest Periods

The immediate effects of rest periods were the dissipation of solitariness, ceasing of labour turnover, maintenance of production and higher morale. Incentives of bonus along with rest periods were introduced and overall there was a positive effect on productivity.

Rest periods were linked to achieving a target but the adverse effects returned as soon as this scheme was discontinued. So, rest periods were re-initiated by an emboldened and confident manager. This helped the workers to be happy and social again. Mayo felt that there were many questions that were left unanswered. This inspired him to continue his research on the improvement of the situation of workers and impact on productivity.

Q2 Discuss the Hawthorne studies.

Ans. The Human Relations approach in organizational theory emerged as a need-based reaction due to dissatisfaction with the scientific management approach that had been prevalent before it. The scientific management school did not consider the human element, motivating factors and the importance of informal organization and relations.

The Hawthorne Studies were documented by Elton Mayo in his book, *The Human Problems of an Industrialized Civilization* in 1933. The Hawthorne studies were published in six volumes by Mayo and his colleagues, namely:

1. *The Human Problems of Industrial Civilization*
2. *The Social Problems of the Industrial Civilization*
3. *The Industrial Worker*
4. *Leadership in a Free Society*
5. *Management and the Worker. Management and Morale*

Mayo conducted the research, popularly known as Hawthorne's studies, from the late 1920s till early 1930s focusing on the significance of social groups influencing individual behaviour at a workplace. He was helped by his graduate assistant Fritz J. Roethlisberger and the Head of the Department of Employee Relations at Western Electric, William J. Dickson. They documented the report officially in their work *Management and the Worker* and yet another important work, *The Industrial Worker*, by T. North Whitehead.

FIRST PHASE: THE ILLUMINATION EXPERIMENTS

Mayo and his team began their work on the effects of illumination on productivity but could not succeed much.

They created two groups: experimental and control. In the experimental group, lighting was altered after varying periods. This was observed and recorded. The control group was presented with no change in lighting. There was no variation observed in both the groups as there was a steady increase in output.

The failure of illumination experiments taught Mayo and his colleagues to maintain better observation records in a log in the laboratory setting regarding:

- Industrial and engineering changes.
- Physiological changes.
- Anthropological (social) changes.

Mayo identified three never-ending problems of management

- (i) The application of science and technical skill to some material goods or product.
- (ii) The systematic ordering of operations.
- (iii) The organization of teamwork, that is, of sustained cooperation.

As operating situations keep changing in a dynamic society, teamwork also needs to be reorganized continuously. The first two problems are studied and researched leading to effectiveness whereas the third problem remains relatively neglected. If the third problem is focused upon, it would lead to efficiency and the organization would become successful. It was concluded that lighting and productivity had no correlation. The cause for increased productivity was attributed to the informal relationship that must have developed among the group.

SECOND PHASE: THE TEST ROOM

The first phase is also referred to as 'The Great Illumination' which ran through from 1924–1927. This was an attempt to evaluate how the output could be increased by modifying the physical working condition.

A group of six girls were put under observation in a separate Relay Assembly Test Room with an observer to maintain record of the experiment observations in the following manner:

- The group of six girls were made used to consistent physical working conditions and they formed an informal team with renewed commitment toward the project.
- Gradually, working conditions were changed one at a time like:
 - Rest periods of different lengths
 - Shorter working days
 - Shorter working week
 - Mid-morning snack/coffee break

The result was that the workers felt content, less fatigued and there was an increase in output. There was also a free flow of ideas and feelings between the workers and the management, guided by the observer.

The twelfth experimental change was to revert back to the seventh stage of physical working conditions which included a 15-minute mid-morning break with lunch and a 10-minute mid-afternoon rest. The twelfth period led to the highest output and this lasted for 31 weeks.

Changes Made During the Tests

There were five changes that were introduced at various intervals during the experiments described earlier. They can be summarized as below:

1. **Incentive:** The first change was the group bonus incentive scheme which increased productivity to some extent.
2. **Rest Periods:** The earlier rest period of five minutes each in the morning and evening was increased to ten minutes each.
3. **Free Snacks:** The third change was introduction of free snacks and coffee/soup which again increased the output.
4. **Withdrawal of Snacks/Coffee:** Free snacks and coffee/soup were withdrawn but the rest periods of five minutes each were increased to four which led to a slight decrease in productivity due to the increased number of rest periods interrupting the flow of work. The rest intervals were reduced to ten minutes each with coffee/soup in the morning and snacks in the evening.
5. **Withdrawal of all Benefits:** The research team withdraw all benefits but to their surprise, productivity increased.

The period of these five changes extended to two years.

Conclusion of the Second Phase: The perplexity over the observation that there was an increase in productivity even after the withdrawal of all benefits was resolved by the conclusion that the team of six girls bonded together as a team and cooperated with each other. They managed to increase their output without benefit due to the considerable impact of the following factors:

- Less pressure and coercion from the management.
- Feelings of importance, acceptance, communication, cooperation and integration.

Hence two main points emerged from the second phase of the Hawthorne studies of the test room, which are:

1. The working teams organized themselves and enjoyed full participation in the task.
2. The aim and the goal of the organization is to devise policies that affects the workers in their daily tasks.

THIRD PHASE: HUMAN ATTITUDES AND SENTIMENT MASS INTERVIEWING PROGRAMME

The goal of the 'Phase Three'— Mass Interviewing Programme was to find out the approach and the frame of mind of employees toward the management and the organization; its insurance plan, promotions and salaries. Elton Mayo and his team started the Mass Interviewing Programme with 2000 employees comprising of structured interviewers with direct questions though the method of interviewing was later changed to an unstructured one.

Guidelines for Interviewers

Initially a few guidelines were formulated and given to the interviewers, which were:

1. **Attention:** The interviewee must be given undivided attention consciously.
2. **Talking:** The interviewers must listen instead of talking.
3. **Arguments:** There must be no argument or advice from the interviewer.
4. **What to Listen:** These were three things that needed to be listened to keenly, which are:
 - (i) What the respondent wants to say.
 - (ii) What he/she does not want to say.
 - (iii) What he/she is unable to articulate without assistance.
5. **Plotting a Pattern:** Personal pattern that emerges out of the interview must be identified and plotted for further questioning. The interviewer can summarize the preceding conversation without any twisting of facts to confirm what respondent said. The interviewer would help in the development of mature attitude and judgment to help the interviewee to express his/her problems.
6. **Confidentiality:** All that has been said in the interview must be kept in confidential manner though it would have to be documented and reported.

So, the interviewer had to understand the role and develop the skills in order to get reliable results.

Finding of the Mass Interviewing

The management executives of the company had prepared a short statement that was repetitively made to every employee before the interview began about the confidentiality of the interview given below are the observations of the mass interviewing:

1. **No Correlation between Sentiment and the Complaint:** It came into light during many interview sessions that there was no correlation between sentiments and complaints as some of the respondents narrated their life events embedded in the hearts since a long period. Their internal and external conditions needed to be studied further. During their interview, it became clear to the workers themselves that many of their complaints and miseries were unfounded. The interview sessions acted as a therapeutic session for the employees.

Hence, it was suggested that interviews help employees to dissipate emotional problems by expressing their problems frankly. The employee can introspect instead of complaining and taking advice from others.

2. **Impact of Human Relations:** The employees felt recognized and accepted being a part of the operations of the organizational dynamics. The mass interviewing program can assist the employees to cooperate and associate with others supervisions and co-workers in a better way.
3. **Expectations:** The workers felt satisfied or dissatisfied due to their social status and expected social rewards.

4. **Group Behaviour:** Employees reacted to group dynamics and behaved accordingly. Two girls who were offered promotions in another department did not accept due to the interrelations within their own group. The interviewers helped them to adjust to their new post and department.
5. **Behavioural Change in Supervisors:** The mass interview program also influenced their behaviour as they were aware that they had been selected as a research subject while the subordinates were being asked questions related to work. The superiors also put on their best behaviour. So, it helps the double loyalty system with respect to the employee to his own group as well as to his organization. It is up to the management to make use of this element.

The 'Interview Method' contributes in the development of cooperation between the workers and deals with the diagnosis and treatment of specific problems to increase the output. Elton Mayo and his team realized that they had achieved a lot in the mass interview program and there was more to be done. This led to the fourth stage.

PHASE FOUR: BANK WIRING OBSERVATION ROOM EXPERIMENTS

Social Organization vs Disorganized Hypothesis (1931-32)

The final experiment was titled the 'Bank Wiring Observation Room Experiment' and was conducted in a non-experimental situation. The worker's job was to set up internal telephone exchanges in the organization. The experiment was conducted in two companies, one non-unionized and the other was anti-union. However, all workers reached an informal agreement about this target that they would accomplish ignoring any kind of financial bonus. The aim of the experiment was to observe a group of 14 male workers out of which 9 were wiremen, 3 were soldiers and 2 were inspectors.

The experiment was conducted in the following manner:

- The wage rate was fixed per hour based on the average productivity of each employee.
- A group bonus was declared which would be fixed only after the group's average output was evaluated, the assumption being that they would all increase their work effort to be eligible for maximum bonus.
- There was no improvement made in the working conditions by the management.
- The targets were supposed to be fixed by the workers themselves and they fixed it lower than the target but failed to achieve that.
- The wiremen projected higher prestige than the soldiers which was evident in small things like who gets lunch for all or agreements over windows.
- The workers harassed the trucker who came to deliver and pick up materials.
- The inspectors dressed and behaved in a better manner than the rest of them but were not accepted as one of the workers.
- Lots of gaming and betting went on in the bank wiring observation room between the two groups.
- Long term friendship, conflicts and antagonisms were observed mostly, between the inspectors and the rest of the workers.
- The workers gave four terms to those working in the back room:
 - (i) Not a rate buster: those who don't work too much.
 - (ii) Not a chister: those who don't work too little.
 - (iii) Not a squealer: those who don't let the inspector be aware of anything that could be used against operators.
 - (iv) Not officious: those who don't behave like the inspectors.

Social control was observed in accepting of members according to norms agreed by the majority.

- Their performance on intelligence tests or physical capabilities had no correlation with their output.

Given below are the observations made in this phase:

1. **Informal Groups and their influences:** The workers under study bonded into small informal groups affecting each other's behaviour. The more efficient workers admitted later that they underperformed so that their co-workers would not get fined for not performing up to the standard. This was commendable since economically, the world was going through depression and unemployment was a grave threat. The social group formed was an important factor in determining the target limits.
2. **Socio-Psychological Factors:** As opposed to Scientific Management Approach, the experiment proved that man was not an automaton and would respond to social dynamics as they are social animals. It shows clearly that there is more to sociological factors than credited.
3. **Social Pressure:** The worker fixed their targets only because of social pressure. Incentives did not affect their decision.

Mayo stressed on the fact that the human-social factor must be included in the study of administration. Unfettered by emotions or prejudices, an administrator or manager can achieve this understanding only by careful training that comprises of technical skills, operations management, systematic ordering of operations and cooperation which is the most important.

Q3 *Discuss the Hawthorne effect in the light of the Hawthorne studies.*

Ans. The Hawthorne Effect was the outcome of Hawthorne Studies. Productivity increased even in cases where wages or lighting was decreased. Mayo and his team established the fact by the process of elimination that employees worked better due to the attention that was paid to them and the development of cooperative behaviour. Cooperative group behaviour was developed. The Hawthorne effect contains great insights for management.

Benefits of the Hawthorne Effect

Given below are the main points observed in Hawthorne studies:

1. **Mechanism of Operations:** Elton Mayo emphasized on the mechanism of operations to be the key factor in the management of a range of situations. The studies proved that supervision of worker by the foremen was not required to increase their output. This only works for some time when they are conscious that they are being watched. In the present times also, as reorganization of companies happens quite frequently, the employees perform better for some time as they know they are being monitored but become slack as soon as the observation factor dissipates.
2. **Informal Organization:** Informal groups that form within working group or a team exist in all societies. It trumps all other controlling factors and determine the targets to be achieved. A formal organization includes informal organizations. It was found that when people come together for whatever purpose, in this case a task, they tend to bond together and strive to be accepted and recognized by others. The social interaction leads to formation of leaders and the ones who follow. This implies that the informal organization has social structures and processes which tend to become the controlling factors.
3. **Group Collaboration:** A natural corollary that follows the concept of the existence of informal organization is that of group collaboration. The influence of group collaboration in the variation of output had been ignored in the past. This problem emerged from an intensified scientific management movement which led to the progressive destruction of social life. The problem was further aggravated by an absence of 'established society' which would act as a stabilizing factor.

Since there was a lack of social life, the workers, took to forming groups within the workplace and that became a stabilizing force that provided them some satisfaction. So, the informal groups formed within the working organization led to a peaceful state in their domestic lives and that affected the ability adjust to the problem of 'adaptive civilization' with continuously changing technical and social change.

It is important, according to Mayo, to understand that group collaboration does not happen on its own or by accident. It needs to be planned and directed by the management so that interrelation between the workers do not come in the way of a cohesive organization and society.

However, it is not necessary that informal organization will always benefit the organization. The understanding that the management needs to have is that the informal social structure has an impact on productivity and must be manipulated and managed to the benefit of all.

4. **Logic of Sentiments and Logic of Costs and Efficiency:** It was observed in the Hawthorne studies that there was a conflict between the workers logic of sentiments and the logic of costs and efficiency of managers. The experiments proved that human social relations and job need to be balanced out to eliminate shortcomings of the existing Scientific Management Approaches.
5. **Modified Behaviour Under Observation:** Mayo and his team had realized that the behaviour of the workers changed when they were aware that they were being watched by the company management.
6. **Emergence of New Concepts:** Researchers keep studying the Hawthorne effect in changing times and come up with new concept in light of collaborative management like motivation, job satisfaction, group norms, resistance to change, participation of workers and effective leadership.

Q4 Discuss in brief the 'Social Man' portrayed by George Elton Mayo.

Ans. The term 'social man' was coined by various psychologists and sociologists. Mayo referred to Durkheim and Pareto in his chapter, 'The Seamy Side of Progress' to explain the social man in his book, *The Social Problems of the Industrial Civilization*. Mayo preferred to call the social man with reference to the workers who act on their sentiments and emotions. He considers two basic issues that society must solve:

- Provision of economic needs
- Maintaining cooperation

While borrowing mostly from Durkheim, Elton Mayo built his analysis of an individual's society needs.

The main issues that Elton Mayo discussed in his concept of the 'social man' are:

Social Disruption—Detachment of Identification with Work Group: There is a growing detachment of identification with the work group, family and society due to increase in science and technology. An individual might have to leave his home town also for education and employment, thereby weakening family ties. This leads to social disruption in a modern individualistic society.

Two Symptoms of Social Disruption: In an individualized society, two symptoms of social disruption are found:

- (i) **Increase in Unhappiness:** Unhappiness permeates to all levels of strata leading to personal misery and depression.
- (ii) **Group Organization:** It is observed at the lower levels of organizational hierarchy that individuals tend to form groups and become hostile to other groups.

Stasis: These two symptoms of social disruption lead the society into a state of stasis which is a 'confused struggle of pressure gaps, power blow and disaster'. Economic progress engulfs the individual's importance in a social context.

Political State: The emergence of a political state has led to an organizational social structure and it tends to encompass all sorts of social character but fails to sort out the daily personal lives of individuals.

On the other hand, it is not possible for a political state to consider personal lives and it must adhere to general rules of political control. So, the individuals are left on their own in a socially disrupted society. So, social skills need to be developed along with the technical skills to be capable of common with each other and develop good friendly interrelationship with other workers well as their friends and family. A balance between the social technical skill will lead to avoidance of wars and better administrators will emerge. The issue is that administrators are prepared to train workers in technical skills but have not accepted any responsibility in social skills because of which they do not get worthy skills optimally. The society had gone out of balance and social chaos and anarchy would continue until such a balance between science and sociology and psychology is achieved.

Q5 Discuss how revisiting Elton Mayo can help public service managers in reaching the targets fixed by their employers?

Ans. A career in public service does not promise fame or money, and the people who join this career are aware of it. Their aim should be public service and to provide service with efficiency. We have the notable examples in military, fire-fighting and the police service.

The formal Weberian bureaucratic structure is difficult to change and neither is it easy for the employees to adopt to such changes. Governments are keen to implement modernized concepts and systems as it has also become a part of the political manifestoes. However, employees in the public service area are not sure of the modernizations with precision.

CHANGING MEANING OF PUBLIC SERVICE

Previously, the connotation of public service was a simplistic view, that is, to provide services with the resources available. Now, the term public service has expanded its scope to include the constituents of:

- Cost
- Modernized methods

The objectives of the government organization also modified from welfarism to a market-based neoliberal technique to deal with the changing economy and society. Political elements also could not be left behind as every organization is inherently ridden with its own agenda. However, every government organization strives towards increasing efficiency by:

- Fixing targets
- Social inclusion
- Effective agencies
- Adapting to changing environments
- Getting audits done

The ground reality of employees involved in public service is that they have no intent to involve themselves in the managerial aspects of an organization, thus, widening the gap between the organization and its employees. The employees face crisis in three areas:

- (i) Individuality
- (ii) Affinity
- (iii) Dexterity and competence

From an organizational point of view however it is not a small task.

Another issue that public service employees have is to adapt with the other gender at work, that is, especially men with women. Men feel threatened in their zone of service if they see competence in women.

Mayo's work can be of immense value in delivering public service.

Some issues involved in public services are given below:

1. **Public Service Ethos:** Usually, individuals join the public service organizations because they want to join the public service ethos and serve people. This falls on the highest level of Maslow's Need Theory Scale. As a result, these employees have no desire to become managers and are content in their positions. Resistance to change comes from the above discussed premise which is comparable to the actions of the inspector at Hawthorne experiments. Mayo pointed out a vital observation that managers needed to understand what the work force wants, realizing the reasons for resistance.
2. **Soldering:** Among the employees, social groups are formed who maintain the output rate, whichever job or department they join. Mayo's concept of soldiering is seen in present organizations also. The consequences of soldiering are mostly positive as it results in social binding formation of groups and the employees stay happy with a higher sense of self-esteem and identity. Workers who do not conform to the social group's norms get ostracized and become frustrated, bored and underproductive. The member of the social group owes an obligation to maintain the standards of work.

Mayo emphasized this observation in 1949 as:

Every social group must secure for its individual and group membership:

- The satisfaction of material and economics needs.
- The maintenance of spontaneous cooperation throughout the organization.

As a result, Mayo said the apprentice learned to be a good workman and he also learned to get on with his fellows:

3. **Cause for Output Variation:** Another parameter studied was the reason for the variation in output variation. In the tests conducted on the identified groups, it was observed that the highest and the lowest output producers were those who did not conform or join any sub group. The level of the social hierarchy on which the worker places himself influences the output implying that the social status is the most important factor today also as it was in Mayo's time. The lower placed workers produced less to irk the higher ones and they, in turn, produced more to claim a higher bonus. The rate at which the workers produce is determined by a combination of technological and social factors.
4. **Trust between the Management and Workers:** When the formal and informal ethos of an organization merges, the management moves on a successful path and *vice versa*. In Mayo's words in 1949, 'It is at least evident the economists' presupposition of individual self-preservation as motive and logic as instrument is not characteristic of industrial facts ordinarily encountered. The desire to stand well with one's fellows, the so-called instinct of association, easily outweighs the merely individual into and the logical reasoning upon which so many spurious 'principles of management are based'.

Mayo concluded that despite withdrawing all sorts of physical variables, the output still increased because of social interrelations. Identification of boredom in routine tasks led to the observation that social relationship was important to maintain and increase the outcome and productivity instead of functional incentives in Taylorism.

People love their work and that is why they go to work and do it well. Informal culture goes a long way in motivating them to perform well and adapt to new technical changes. In the end, managers, need to take care that the public service workers and managers do not feel threatened by change.

Q6 Give a critical assessment of the Human Rational Approach (HRA) by Elton Mayo.

Ans. Elton Mayo's HRA emerged as a counter response to Taylor's Scientific Management Approach. On one hand where Taylor emphasized on the application of science to the management of workers to increase productivity and efficiency, Elton Mayo, on the other hand focused on the 'social person'. He looked out for the employee as a worker who works more efficiently due to social interrelationship with his colleagues.

Given below are the points of criticism levelled against Elton Mayo's HRA:

1. **Manipulative Tendency:** Some critics of the HRA mention the manipulative tendency of the ideological structure of Mayo approach. They say that according to Mayo, workers are manipulated to increase their productivity and efficiency by the management conceding to the fact that their earlier methods had failed, for example, the fear of firing was no more effective. So, manipulation of workers becomes, the main form of control, and is popularly quoted as, a 'wolf in sheep's clothing'. The HRA uses manipulation to convince workers into accepting the goals of management.
2. **Totalitarianism:** Clark Kerr criticized the HRA as totalitarianism and was against Mayo's assertion that 'in the division of loyalties to self, to family, to State to Union, it is considered a guarantee to freedom'. Kerr believed in accommodated conflicts in the modern society instead of universal collaboration. Mayo's collaboration cannot be accomplished by superimposing over workers in modern society and can thrive only in a static society.

Human relation training would work better than competition to gain a worker's loyalty in a company based on the belief of that all individuals are motivated by a desire to maximize their own welfare and self-interest. These critics explained that in a progressive society, the market plays its role in favour of group welfare. Kerr and his colleagues criticized Mayo's idealized society on the grounds that people would become robots who would get manipulated by the 'Gods of industrial proficiency'.

3. **Influence in Personnel:** Critics undermine and scorn the HRA in manipulation of workers for their selfish interests via applying, techniques like leadership, training programs, group theories, etc., on workers. The manipulative techniques comprise:
 - Simplification of issues
 - Omission of essential facts
 - Use of ambiguous language, images and data
 - Exploitation of prestige personalities to emphasize the message
4. **Bias of the Testers:** In the famous Hawthorne experiments, the role of the tester is the most important of the questions put to the employees were of a subjective nature. The tests comprised of questions related to the values of the employees, organization, values and their loyalty to the management and the enterprise. William H. Whyte Jr. criticized on these grounds and stated: 'What the personality testers are trying to do is to convert abstract tests into a concrete measure that can be placed on a linear scale, and it is on the assumption that this is a correct application of the scientific method that all else follows thus failing to make the tests scientific enough and illustrating a basic bias'. The employees who conform to these values get rewarded which pleases the management and helps its goals.

Some major criticisms with reference to the bias, the testers and reliability of personality tests are:

- (i) **No Correlations:** No correlations between the performance test and the actual conditions was found and, on some occasions, reverse correlations were also seen.
- (ii) **Use of Profiling:** Profiling individuals in hiring was witnessed in these organizations. One indicator was artistic beauty and taste as a fundamental standard of life leads to executive success. Anyone who scored above the tenth percentile on aesthetic values on a participant profile was looked at suspiciously.

5. **Individuality:** The tests were considered unscientific and too personal, infringing on an individual's right to privacy and freedom. Expecting a better standard of performance by the management is justified. However, exploiting the innermost weaknesses that emerge out of psychological testing is unjustified.
6. **Control:** The Hawthorne experiments were considered as a tool to exercise control over the workers, for example, in the leadership training programs. Excessive sustenance of a cordial atmosphere does not necessarily result in an increase of efficiency and productivity.
7. **Importance of Groups:** The notion of the HRA that groups are superior to individuals is questionable. The criticism is against group dynamics which states that a congenial atmosphere at a workplace will induce the best in all employees and lead to an acceptance of goal management as well as the leader. Such an acceptance, as critics point out, kills creative thinking in a group and as individuals only conform to the group behaviour, individuality and innovation is ignored.
8. **Educational Institutions:** Another criticism is related to the decreasing number of students enrolling in the liberal arts to the ratio of 3:10. The reason is the growing importance of manipulation of others by using sharpened and trained skills. Hence, students moved towards business administration courses to gain the max out of this movement. The educational institution creates the way the industry wants its managers to be.
9. **Social Ethic:** Three components form the parameter of social ethic:
 - (i) A belief in group creativity
 - (ii) Belongingness
 - (iii) A belief in the application of science to achieve this belongingness

The emphasis of HRA to reach a compromise between the labour unions and the management implies that this approach attempts to seek the emotional health of a worker with a goal to accept the management targets and needs. It is analogous with Taylor's views in Scientific Management Approach to rationalize physical work.

The nutshell of HRA is that, a man is reduced to a 'thing' to be trained in a lab by exploiting his innermost emotions thereby rendering the humanists as the most inhuman.

10. **Trade Unions:** The HRA was not taken favourably by the trade unionists (Researchers like Whitehead and Robert S Lynd). The trade unions organize themselves and promote social groups by providing social structures to encourage active and effective participation of employees in the community. So, if the employees have a direct 'universal collaboration' with the factory or the enterprise, the role of trade unions becomes redundant. Elton Mayo ignores the role of the trade unions to bridge the gap between the employers and the employees.

According to critics, trade unions can apply the remedies for social isolation and moral confusion of the individual. They can only help an individual and the enterprise to understand industrial relationships.

11. **Environmentalism:** In light of HRA, in which stimulus response connections are established, the approach ignores the environment which is a basic source to understand and analyse behaviour. The Hawthorne experiment ignored the external environment while focusing only on the internal environment in the rooms where these were conducted. Hence, Mayoists fail to explain the problems of industrial relations by ignoring the external environment of a factory or an organization.

Summing up, it can be said that Mayo's approach might have been catering to the human relations yet it was in no way different than Taylor in moulding man as a cog in a machine to increase organizational productive efficiency.

Notes and References

Adapted from the books written by Elton Mayo:

1. Mayo, Elton. (2004). *The Human Problems of an Industrial Civilization*. London: Routledge.
2. Mayo, Elton. (1998). *The Social Problems of an Industrial Civilization*. US: Routledge Publishers.
3. Mayo, Elton. (1998). *The Hawthorne Experiments*. US: Institute of Management Foundation.
4. Mayo, Elton. (1998). *Some Notes on the Psychology of Pierre Janet*. Boston: Harvard University Press
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13

Functions of the Executive by Chester I. Barnard

Learning Objectives

In this chapter, you will learn about:

- Formal Organizations
- Physical and Biological Limitations in Cooperative Systems
- Physiological and Social Factors in Cooperative Systems
- Principles of Cooperative System
- Effectiveness of Cooperation in Formal Organizations
- Complex Organizations
- Coordination in Formal Organizations
- Specialization and Analysis of Purpose
- Authority in Cooperative Systems
- Communication and Acceptance
- The Environment of the Decision
- Theory of Opportunism
- Executive Functions
- Critical Assessment of Barnard's Theory

In the contemporary society, things can get done by depending on responsible behaviours, independence and autonomy of individuals instead of orders or sanctions. The theories of organization with a human face like Barnard's theory still holds its weight today.

Barnard

Barnard could not complete his Harvard education and joined the American Telephone and Telegraph Company and later became the President of the New Jersey Bell Telephone Company. He was influenced by Elton Mayo's ideas and experiments. He also held positions such as the President of the United Services Organization (The USO of World War I), the head of the General Education Board and President of the ROckefeller Foundation and so many more.

Barnard developed his theory amidst conflicts between Taylorism and Mayoism. He was associated with Pareto, Henderson, Mayo and Donham to lead him to understand that the concept of the economic man was obsolete.

Barnard divided his work into two treatises:

1. An exposition of a Theory of Cooperation and Organization
2. Study of the Executives and of Functions and of the methods of formal organizations

These two parts are essential inseparable components of a whole. He died in 1961 after contributing a lot to the management theory.

Q1 *'While Taylor and his associates concentrated on improving the task efficiency of the individual, Barnard on the other hand, started with the individual, moved to cooperative effort and ended with executive functions'. Comment.*

OR

A more thorough consideration leads to the understanding that communication, authority, specialization and purpose are all aspects comprehended in coordination. Comment.

OR

Why is it that the behavioural approach to the study of organization is a continuous phenomenon? Discuss Chester Barnard's contribution to this approach. What are the fundamentals on which Barnard based his Theory of Cooperative Systems?

Ans. Chester I. Barnard's aim in writing this most illustrious work, *Functions of the Executive* was to provide a comprehensive theory of cooperative behaviour in formal organizations. According to him, this concept is logical and sequential. Cooperation is conceived itself when it becomes impossible for an individual to achieve goals on his/her own, biologically. Given below are the basic considerations that comprise Barnard's concept of cooperation:

- Once other individuals have joined in, a rapidly evolving system is established, comprising of inter-related biological, psychological and social elements
- Effectiveness is very significant to reach the organizational goals
- Individual motives can be accomplished at acceptable level of satisfaction and efficiency
- Lastly, an executive must coordinate and supervise the processes that are a part of the cooperative system to connect them to the environment leading to the satisfaction of employees

Barnard defined the concept of organization as, 'A system of consciously coordinated activities or forces of two or more persons.' This implies that the components required for an organization to survive involving executive functions:

- The willingness to cooperate
- The capability of communication
- Identification and affirmation of the organizational purpose

All these elements of an organization can be successfully achieved with the help of a capable leader. The studies prior to Barnard found no mention of the social aspect of formal organizational activities. The premise is that an employee of an organization is a part of other organizations also in his non-working hours, which influence his actions even in the working hours.

FORMAL ORGANIZATIONS

Barnard defines formal organizations as, 'associations of cooperative efforts to which it is possible and customary to give definite names that have officers or recognized leaders, that have reasons for existence that maybe appropriately stated such as governments, government departments, etc.

Features of Formal Organizations

Having defined formal organizations, it is imperative that its implications be enumerated as its features. They are given below in brief:

1. **Formal Organization as Cooperation:** It is assumed that cooperation is a normal pre-requisite for a formal organization to be successful, as opposed to individualism. The reality is that organizations do fail in spite of the cooperation and normal conditions. Organizations fail due to faulty structure and the external forces working against it.
2. **Equilibrium:** A successful formal organization requires the maintenance of an equilibrium between the continuously changing environment of biological, physical and social forces that affect the internal processes of the organization. The focus here must be to constantly adjust the external and the internal processes is keep the organization's survival.
3. **Functions of the Executive:** A formal organization is governed by the functions of the executives like control, management, supervision and administration. The top executives take help of executives and Legislative Bodies, Boards and Committees. The executive functions may not be restricted to the officials in positions but may extend to other formal organizations with respect to the nature and processes.

Before an attempt to study formal organizations can be made a few terms must be defined to ensure clarity. An organization is made up of individuals and there has been an incessant inquiry and study about his/her nature and related matters. Barnard outlined his study of, 'The Individual and Organization' into four significant parts:

- I. The status of individuals and the properties of persons
- II. The method of treating individuals and persons
- III. Characteristics of personal behaviour outside cooperation systems
- IV. The meaning of 'effectiveness's and 'efficiency'

1. **The Status of Individuals:** Barnard discussed the status of individuals and the properties of person. The first is with respect to the following aspects of an individual:
 - (i) **The Nature of an Individual:** According to Barnard, an individual is a discrete, special, physical thing and believes and acts in this individual physical entity although from a broader perspective, no one has an independent existence. He describes the individual physically regarded, is an individual thing or a were phase or functional presentation of universal physical factors and its correctness depends upon the purpose.
 - (ii) **Physical and Biological Factors:** A body in itself is not a human being. A living organism keeps adjusting to the event whereas human body is an organism comprising of physical as well as biological elements. Moreover, its behaviour is modified if either of the factors is removed or changed.
 - (iii) **Social Factors:** Human organisms do not function without other human organisms as they are bisexual and distinct from physical objects. In the words of Barnard, 'the mutual reaction between two human organisms is a series of response to the intention and meaning of adaptable behaviour to the factors peculiar to this interaction, we give the name 'social factors' and

we call the relationship 'social relationship'. Thus an individual is a single, unique, isolated whole thing embodying innumerable forces and materials past and present which are physical, biological and social factors. This concept is directly proportional to the relations of an individual to an organization.

2. The Properties of Persons: The second part of this issue of cooperation systems concerns itself with the properties of persons. A person imbibes itself with certain properties like activities or behaviour. The person's behaviour is determined by psychological factors due to which choices are made with a limit and culminate in the achievement of its purpose on objective. Barnard explained these four properties of a person as given below:

- (a) **Activity:** An individual is characterized by activity and in the gross is called behaviour, without which there is no existence of an individual person.
- (b) **Behaviour:** The behaviour of individuals collectively is the outcome of psychological factors which is a sum total of combination, resultant or residues of the physical, biological and social factors. These factors are identified by the history and the present individual status with respect to his/her current environment.
- (c) **Limited Power of Choice:** Persons have the power of choice to choose freely the predetermined decisions. Along with the choice comes the responsibility with respect to morality, personal individuality and legality which lead to personal integrity to adapt socially. On the other hand, individuals lacking in self-respect are unfit for the cooperation. Barnard states that this power of choice is limited depending on the limitation possibilities.
- (d) **Purpose:** Lastly, Barnard defends purpose as 'the attempt to limit the conditions of choice so that is practicable to exercise the capacity of will'. Some important consideration with respect to purpose made by Barnard are:
 - When individuals cannot conform due to adverse possibilities, individual behaviour can be altered by individual training, modified attitudes and incentives.
 - The above-mentioned executive process is carried out with the help of intuition and experiences lack of it culminates in disorganization.

3. The Treatment of Individuals and Persons: Given below are the main points of significance in deserviting the treatment of individuals and persons:

Barnard specifies persons 'as participants in specific cooperation system are considered in functional aspects, as stages of cooperation'. Cooperation efforts can be depersonalized or socialized.

Since an individual is a sum total of physical, biological and social factors with a limited power of choice, there is a juxtaposition with the cooperation effort. Both the aspects are identified by an inquiry in two scenarios, they are:

- (i) When two or more persons are involved in a cooperation effort, the processes are important.
- (ii) When the person is the object of the cooperation functions or process, individualism is significant.

Barnard mentions that individuals in a cooperation system have a dual relationship. The first is an internal one, which could be cyclical and the second would be external which could be a continuous one, where individuals could be depersonalized by the cooperation systems.

4. The Behaviour of Individuals: Individuals have the choice to become a part of a participative cooperation system based on:

- (i) Purposes, desires, impulses; and
- (ii) Available external alternatives to the individual.

Deliberate and specialized control over these choices form an organization. The first category of desires and impulses can be termed as motives resulting out of physical, biological and social factors of the past as well as present and can be direct or complex executive. The motive may not result in the identified objective.

5. **Effectiveness and Efficiency in Personal Behaviour:** Barnard said that when a particular goal is achieved, that action is effective but if not, then it is termed as ineffectiveness and if the unsought results are not important, the action is efficient. In another situation, an action is rendered as effectiveness if the end is not attained but the unsought results meet with the motives without being the cause of the action it is not effective.

Thus, the conditions for an action to be effective or efficient are:

- The action is effective if it achieves the specific aims.
- The action is efficient if the identified aim has been satisfied if it effective or not.
- The action is inefficiency if motives are not satisfied even if it is effective.

Barnard distinguishes between the ends that are sought:

- **Physical Ends:** The material objects and physical conditions like air, light, etc., found in physical environment exclusively in a parallel with social environment.
- **Social Ends:** Social ends are found compulsorily in social events in conjunction with a particular physical environment.

So, actions comprise social or physical aspects and may result in unsought consequences which may or may not give satisfaction.

To sum up, Barnard focuses on the cooperation and organizations as concrete syntheses of opposed facts, thought and emotions of individuals. The executive's function is to ease and expedite synthesis in concrete action of contradictory forces like instincts, interests, conditions, ideals and positions to reconcile them. The functions of the executive is basically to bring opposites together to reconcile them.

Q2 How has Barnard based physical and biological limitations in cooperation systems on purpose? Discuss.

Ans. Barnard lays out a logical deduction to explain the physical and biological limitations in cooperation systems. According to him, individualism comprising of choice and free will are embodied in purpose. On the other hand, the anti-thesis of determination, and behaviouralism is in the expression, 'limitations'. To counter the individual purpose and the limitations cooperation arises via:

- Concrete processes like technologies in industries;
- Techniques in organizations, practices in institutions; and
- Rituals in religious and adaptable behaviour in private action to select appropriate means to ends.

The considerations that Barnard undertakes to understand the reasons for cooperation, the instability of organization and the executive decisions were:

1. Where or why is cooperation effective?
2. What are the objects of cooperation processes?
3. What are the limitations of cooperation?
4. What are the causes of instability in cooperation systems?
5. What effect has the cooperation upon the ends sought?

These questions are answered based only on physical and biological factors.

Cause and The Timing for Effectiveness

Barnard presents his concept by stating that individuals have purpose comprising of biological needs while cooperation is a means of overcoming the limitations restricting the activities that individuals can do. Overcoming a limitation is a means to an end and if the limitation cannot be removed the end needs to be dropped. Actions that cannot be carried out due to physical or biological factors can be done with cooperation and limitations can be overcome.

Cooperation is ineffective when:

- If the effectiveness of all human power put together is less than what is required to achieve the end.
- An individual's capabilities in combination might be advantageous in a specialization set of circumstances whereas disadvantageous in another.
- An ordered combination of personal efforts is important for the degree of effectiveness in cooperation.

Classification of Biological Limitations

Barnard grouped the human biological into three classes:

1. **Application of Energy Mechanically:** Effective cooperation here implies the ability of the group exceeding that of an individual where power is a significant factor. Speed is another factor required in complex cases to offset contradictory forces. The cooperation principle requires a simultaneity of effort to maintain speed and power. Mechanical power and speed depend on the mechanical limitations of individuals. So, 'contemporaneous cooperation' effective factors with respect to power, endurance speed or mechanical adaptation in the group is superior to an individual although continuity is more important than simultaneity.
2. **Perception:** Cooperation in physical energy applied must be in conjunction with sense organs and perception to accomplish effective cooperation.

Barnard mentions two classes of contemporaneous cooperation observations:

- The observable objects are inside the area with boundaries among the observers.
- The second class is the opposite of the first, that objective to be observed is outside the area restricted by the line joining the position of observers who are centrally located.

Progressive cooperation is essential in situations where it is not possible for one person to observe for a longer point of time.

3. **Response to the Environment:** Specially experienced and trained observers are required to have effective cooperation. Perception through sensory organs can result in errors to adversely affect cooperation.

Barnard admitted that these three above-mentioned classes are ideal situations which may not be present to achieve effective cooperation. There are evident limitations of cooperation.

Objects of Cooperative Processes

It appears that objects of the simplest type of cooperation are same as individual but not so in reality. The objects of individual actions are subject to changes in the physical environment which limit the achievement of purpose. Purposes can be immediate or remote, which are briefly described below:

Remote Purposes

Remote purposes are of four kinds:

1. Need a change in the environment for an action
2. Require a change which fulfils a future use

3. Involve a change of location of material to be utilized in the future
4. Require the materials and tools to be shaped to have effective biological powers

These remote purposes help towards a cooperative effort losing their personal characteristic. Fixed capital and working capital come together to play an important role in cooperative systems which cannot be applied to individual actions due to their personal consumption.

Barnard mentions the following activities operating in the cooperative systems:

- Securing goods for consumers
- Distribution of goods for consumers
- Securing of cooperation equipment
- Securing of working capital

All these activities in a combination become a part of a cooperation system. In a given situation, either of these activities become the center of the limitations of the situation.

Limitations of Cooperation

In establishing a cooperation system, it is essential to include the earlier mentioned activities but the changes in physical environment make its achievements limited along with the social factors. Continuous adjustments are required by individuals developing various ways to formulate cooperation systems and to overcome the limitations. The changes in the environment become limitations in complex cooperations systems.

Cause of Ability in a Cooperation System

These are situations where the nature of purposes of action changes as alternatives change. It is found in organization when executives change their parameters of cooperation. Old purposes are rejected or modified in case of failure to replace them with new ones. The executives take decisions to adjust with the changes based on their personal experience and common observations. The number of purposes also develops and increases in number with an increase in the system of cooperation.

Hence, a cooperation system is established initially based on quasi-mechanical process excluding social factors physical factors must be assessed so that its limitations can be removed with the help of cooperation by acknowledging individual capabilities.

Q3 Discuss the psychological and social factors in systems of cooperation.

Ans. Cooperation systems do not work with physical factors exclusively. Every physical factor is attributed with the social and psychoanalytic factors present at that time as well as any conditioning or memory that the individual has, which as a result affects human behaviour. Chester I. Barnard discussed two aspects with respect to the power of choice in adapting human behaviour giving more value to the response to the present situation. They are:

Appraisal of the Situation with Respect to Choice

There are two appraisals of an individual in a given situation in which the individual is involved. They are concerned with the:

1. Individual's power
2. Individual's determination within the limits of his powers

Both these appraisals co-exist in most of the cases though they are distinct and affect purposeful human behaviour.

An individual builds relationship with others by either restricting limitations of the other individual or by increasing his limits of his/her choice via bringing about changes outside the physical factors or limiting the other person's desires and choices. The individual can expand the opponent's choices. However, both aim at determining behaviour through two aspects:

1. The first way considers individuals as objects to be manipulated by changing the factors affecting them and define them as functions of continuing process through operation upon specific factors.
2. The second appraisal studies individual by regarding individual behaviour by regarding individuals as subjects be satisfied as absolute and independent at that time.

Both appraisals suggest that an individual must be studied by including social factors combined with others insurably. They must be regarded as distinct only to analyses them. Hence, social factors affect 'upon' the individual from a cooperation system as well as from other social relationships.

Social Factors–Individual behaviour

Barnard accepts that social factors affect individual behaviour in a cooperation system in five ways:

1. **The Interactions Between Individuals within a Cooperation System:** Individuals in a cooperation system accept interaction with others socially as a result of cooperation comprising of a set of social factors. Any one of the social factors gets combined with mental and emotional characters bringing about a change in individual motives. If such a change is affirmative, it becomes a resource and if not, then it proves to be a limitation.
2. **Interaction between the Individual and the Group:** Interaction is not restricted between an individual with another. It occurs with groups also. A group has two connotations here. The first refers to the impact of interactions on the psychology of an individual who is in association with more than one person. The second aspect of a group refers to it being a unit with which the individual gets into contact 'socially presenting a system of social action which as a whole interacts with each individual within its scope'.

Hence, the group elicits adjustments and modifications in the psychological nature of individuals and their motives. The concept of these changes being favourable to the cooperation system proving themselves to be resource, and a limitation otherwise, remains the same, as discussed in the first point.

3. **The Individual as the Object of Cooperation Influence:** Barnard says that the social factors discussed in the first and the second point may not be logical, however, a cooperation system can have a conscious and deliberate relationship with an individual. This relationship has two elements to consider:

- A special action taken to bring the individual within the cooperation system.
- Control over his action within that system.

The first aspect deals with calling upon an individual's will via persuasion or coercion whereas the second refers to the individual actions. Both the aspects affect the individuals minds and emotions and the changes become a resource of a limitation depending on their being favourable or unfavorable to the cooperation system.

4. **Social Purpose and the Effectiveness of Cooperation:** A cooperation system works with an objective, a purpose, an aim which is in itself a consequence of cooperation. It distinguishes between the factors which will play in taking an action by a cooperation system distinct from

an individual's aim. If the objective of a cooperation system is achieved, cooperation is said to be effective and vice versa in varying degrees. Effectiveness of individual effort in a cooperation system has the following two connotations:

- Effectiveness is related to the particular effort put in for the cooperation result, assessed from a point of view of cooperation regarding its impact on the achievement of the cooperation objective.
- Secondly, the individual efforts also concern towards achieving cooperation purposes as a way to satisfy personal motives.

Nonetheless, there is no significance of personal motives in the effectiveness of individual effort in a cooperation system.

5. **Individual Motives and Cooperation Efficiency:** Cooperation efficiency is different from effectiveness as a result of individual efficiencies because individuals work for their personal motives. All the personal individual motives add up together to become the sum total of motivation cooperation system. Cooperation efficiency is the degree to which the cooperation motives are satisfied. Individual efficiency is the most important factor in achieving cooperation efficiency and if the individuals are efficient the ineffectiveness actions are stopped. So, the efficiency of a system of cooperation effort depends on the effectiveness of the marginal contributions determined by the marginal contributor implying that it is the capacity to survive.

Hence, it can be said that social factors always exist in a cooperation system owing to the fact that they are a part of such a system and secondly due to the impact a system and social experience upon individuals and their motives.

Q4 Discuss the principles of cooperation action as given by Chester I. Barnard.

Ans. Barnard said that all cooperation action is 'a synthesis of diverse factors, physical, biological and social and affects a total situations in which those factors exist'. He explains four principles in which he applies his concept of cooperation which are:

1. **Limitations on Cooperation:** Barnard says that there might be limitations of cooperation achievements of goals because of the physical, biological or social factors either individually or in a combination encompassing the whole situation, an individual.
2. **Purposive Conduct:** The individual behaves in a manner that leads to achieve a special pre-decided purpose. All factors determine the relationship or conditions to change a situation to become favourable via cooperation.

An organization's efficiency effectiveness depends on the fact whether individual satisfaction is more than enough to elicit their corporation. Cooperation depends on the following factors:

- Increased security;
- The defined goal; and
- Satisfaction in social interaction.

The social satisfaction is achieved with cooperation activity. Physical environment is altered to secure physical forces for immediate satisfaction or to make possible cooperation action which is otherwise not possible. Social factors can be modified to make the situation favourable also. Power of cooperation is enhanced by capital mechanical machines and processes. Personal skills can be polished with training and specialization.

3. **Cooperation Effort and Effectiveness:** Effectiveness of cooperation implies the achievement of recognized objectives of cooperation action. The degree of achieving these objectives is the degree of effectiveness. Effectiveness needs to be addressed in a system of cooperation as a whole. Effective

cooperation requires individual actions in a cooperative system one person's actions that lead to effectiveness own to other's actions also.

4. **Cooperative Effort and Efficiency of Cooperative Effort:** Effectiveness of cooperative effort refers to the gratifications of individual motives. The effectiveness in a cooperative system is the result of the efficiencies attained by individuals. An individual continues to work if he is personally satisfied by his actions. Barnard states that, 'The efficiency of a cooperative system is its capacity to maintain itself by the individual satisfaction it affords. This may be called its capacity of equilibrium, the balancing of burdens by satisfactions which results in convenience.' Effectiveness can be achieved by:

- Altering individual motives;
- Considering the social factor; and
- Productive outputs allocated to the individuals

To secure individual satisfaction, material and social benefits can be used negatively. Summing up, cooperative efficiency is built upon:

- What it secures and produces;
- How it allocates its resources; and
- How it allows individual motives.

Hence, these above-mentioned assumptions form the principles of cooperative action.

Q5 Discuss the Theory of Formal Organization given by Barnard.

THEORY OF FORMAL ORGANIZATION

Chester I. Barnard defines formal organization as, 'A cooperation system is a complex of physical, biological, personal and social components which are in a special systematic relationship by reason of the cooperation of two or more persons for at least one definite end. Cooperation of two or more persons in a cooperation system forms an organization.

A formal organization thus, is a system of consciously coordinated activities or forces of two or more persons. An organization is a constituent of a larger system, a cooperation system.

The theory of formal organization is based on three premises in which an organization is formed. Barnard gives these three premises as:

1. There are individuals willing to communicate with each other;
2. Who are willing to contribute actions; and
3. Who want to achieve a common purpose.

So, the elements at an organization to be established are communication, willingness to serve and a common purpose in his words. These are explained below:

1. **Willingness to Cooperate:** An organization is known for the services and actions of the persons which constitute it. It cannot run without the willingness of the persons to contribute to the cooperation system. The main points of consideration given by Barnard are:
 - (i) Loyalty is regarded as an essential condition of organization.
 - (ii) Depersonalization of personal action is required to elicit willingness for cooperation.
 - (iii) There is usually of a very small percentage of individuals who are willing to contribute to cooperation.

- (iv) Willingness of any person cannot remain constant in degree due to physical shortcomings.
- (v) Positive or negative willingness to cooperate is the net satisfactions or dissatisfactions experienced or expected by each person via varied alternative which could be personal also.

Hence, willingness from the individual's aspect is the joint effect of personal motives and reluctance and on the other hand, from the organization's point of view it is the joint effect of objective, incentives and liabilities imposed.

2. **Purpose:** Willingness to cooperate develops with the objective of cooperation. It is significant to have a purpose of an organization although it may have a different connotation, which aims at achieving a system, coordination and cooperation. Individuals in an organization need to accept the purpose to indulge in cooperation activity, implying a simultaneity between the acceptance of a purpose and the willingness to cooperate.

Barnard specifies two aspects of the cooperation purpose which are:

- (i) **The Cooperation Aspect:** The cooperation aspect relates to the 'act of cooperation'. It implies that a purpose acts as a constituent of a cooperation system which makes the participants perception of that purpose as the object of cooperation. The executive is assigned with a depersonalized objective activity to develop a belief in the common organizational purpose.
 - (ii) **The Subjective Aspect:** Every individual in an organization has two personalities an organization personality and an individual personality. An individual weighs a common purpose of an organization as what benefits or liabilities it would have for him/her. An organization's common purpose concerns itself with the organizational personality of the individuals. The two personalities need to be differentiated and an effort must be made to align them. Individual purpose is essentially internal and a subjective thing whereas the organizational purpose is an external, impersonal and an objective one. The executive function is to make the organization and solve source of personal gratification and a motive for many individuals use an organization.
3. **Communication:** The gap between the organizational common purpose and the individual motives that works towards achieving the common purpose can be bridged by communication. There can be varied methods of communication to achieve the common purpose such as:
 - (i) **Obvious Actions:** Organizational actions are obvious which do not require formal communication. Training helps in making the individuals understand what is required out written or oral.

Communication technique smoothen the process of all individuals arriving at a common purpose.

Q6 Write a short note on how the effectiveness of cooperation fits into the theory of formal organization as proposed by Barnard.

Ans. Effectiveness in cooperation is a subject of technological processes. This process is easier to achieve physical targets but becomes complex in cases of religious and social organizations. Organizations need to keep updating their purposes to fulfil specific acts of service especially, in governmental organization or religious organization.

Organization Efficiency: In an organization it is essential to have efficiency in individual efforts contributing to the cooperation system. The organization's sustenance depends on its capability to preserve the individual's supplementing energy and bring about effectiveness in the organization's purpose. Organization efficiency is defined by Barnard as, 'the capacity to offer effective inducements in sufficient quantity to maintain the equilibrium of the system'. This implies that it is not always that materials flow out of the organization to establish productive efficiency but on the other hand, organizations like churches and research and development organizations require an inflow of materials. Barnard stresses on the fact that non-economic inducements are as important as economic or may be even more so to elicit a higher degree of efficiency, which might be a complex task.

Q7 Discuss a complex organization from a structural point of view to designate the elementary features of organization governing the evolution and growth of the complex system.

Ans. Barnard states that all complex organizations are built up from units of organization, historically and functionally. Given below is the concept of organization the way Barnard gave:

1. **Dominant and Subordinate Organizations:** When we study informal organization at national or local levels, it becomes clear that there is some formal organization that will dominate over others subordinate to them. Barnard classifies them into two, which are:
 - (i) **Formally Organized Religions:** Earlier, in the times of the early Greek city states only one organization did both the functions of the state and religion.
 - (ii) **States–Formally Organized Political Interests:** There is separation between the State and church. More than one church is found in a nation if even if there is state religion.

So, it can be said that formal organization do not dominate in singularity as they used to in some primitive societies. However, churches and states exist in all societies to which all other formal organization are formally subordinate.

2. **Direct or Indirect Subordination Organization:** Most organizations that are subordinate to the supreme organization can have a direct, indirect, or both status. In a direct subordination, the privileges and limitations are determined by the superior organization. In an indirect relationship, there is an implied permission to exist and they contribute their services within these rights and privileges. This means that all individuals are subordinate to the state and their organizations. Many departments, subordinate-departments, agencies are subordinate to the government and similarly, churches have archdioceses, dioceses, parishes and districts.

The function of subordinate is to have control over the purpose and processes of organization. The subordinate organizations are also called incomplete and dependent because of the factor of control. According to Barnard, State, as a formal organization, depends for its functions and for its success or failure on the characteristics and vitality not only of its citizens but also, and chiefly organization to which those citizens contribute, that is, of which they are members. A citizen cannot have direct accessibility with the government but can definitely have it through its subordinate organizations.

3. **Competition and Conflict in Complex Organization:** To have individuals contribute to organization, competition is an essential factor. Competition enters between subordinate organizations of the same rank and also with the superior organization for the cooperation and loyalty of individuals. Informal organizations play an important role for the individuals to exercise their vast choice.

Growth of An Organization

The basic structure of complex organization can be better understood by referring to the genesis and growth of an organization.

New organizations can emerge:

- I. Spontaneously
 - II. As a direct result of an individual's effort to organize
 - III. As infant bodies set off by an existing parent organization
 - IV. As a the result of segmentation of existing organization caused by schism, rebellion or the imposition of an external force
- **Spontaneous Organization:** Spontaneous organization happen due to simultaneous contributory efforts of two or more individuals without any leadership to achieve a common purpose, for example, family organization. They exist mostly for a short span with some exception.
 - **Direct Individual Effort:** An individual makes a conscious effort to determine a purpose and involves others to cooperate with him.
 - **Offshoots of a Parent Organization:** A successful organization decides to open new units by sending its expert to a new location.
 - **Schism, Segmentation, Rebellion or Some External Force:** It has been observed over a period of time that organizations have arisen due to segmentation due to the effect of growth or as Barnard terms it, 'schism' recognize that is needed due to expansion,
 - Impact of centrifugal personal forces; and
 - Impact of superior external force working on the principle of 'Divide and Rule'.

THE EXECUTIVE ORGANIZATION

A unit organization requires the performance of executive functions by more than one individual on a continuous basis. However, complex organization communications normally consummate in a single person's executive functions in the subordinate organization. Given below are important observations in an executive organization in brief:

- It is important to have limits specified in executive functions facilitated by formal communications.
- An executive organization is established by the coming together of executives of more than one unit organization with one superior executive.
- There are two organizations—working unit and executive unit. The same decision is applicable in both.
- Each individual working in organization is considered as one to avoid discrepancies in remuneration even though he might be working in more than one.
- The size of executive units of an organization is identified by other units of the same kind.

Hence, necessary structural characteristics of complex organizations are identified by the impact of the need for communication upon the size of a unit organization.

Q8 How did Barnard relate informal organizations to formal organizations?

Ans. Informal organizations form when individuals come into contact with each other and interactions occur with no governance by formal organizations. They may meet accidentally and organize activities which consequently have an influence over their knowledge, attitudes and emotions. Barnard states that, 'Informal organization is indefinite and structureless and has no definite subdivision'. Its shape and density are not defined, being affected by external factors and created for the purpose of accomplishing something together. Hence, informal organizations can be formed of a community or of a state and are related to formal organization in some way.

Consequences of Informal Organization

Informal organizations impact in the ways given below:

1. **Attitudes and Customs:** Informal organizations have a significant role to play in Social Psychology and Social Anthropology via customs, social norms and ideals. There are two points of consideration with respect to these impacts:
 - (i) **Ambiguity between Institutions:** A confusion about informal units emerging out of informal organization arises and leads to divergence and coercive interaction between formal and informal organizations.
 - (ii) **Logic in Organizations:** Relatively, formal organizations are more logical and its actions and policies are backed by intellect and reason.
2. **Informal Organization Conducive to Formal Organizations:** When people come together and interact with each other, it forms a basis for becoming a formal organization. There are two types of interests-material and non-material.
 - **Material Interests:** Informal organization need some base of formal organization to become extensive. Not arising out of a common of material interests leads to conflict and disorganizations.
 - **Non-Material Interests:** Non-material interests on the other hand, require social interaction with a definite goal to attain. This happens due to human beings having an inherent need to be socially active and feel compelled to indulge in meaningful activity.

So, it follows from this logic that a purposeful objective must be defined to achieve social satisfaction.

The means that attain there can be discussion or some social activity but sometimes it is not successful.

Purposive Cooperation: It is a major expression for the logical or scientific capabilities of individuals and also a principle source. Barnard defines purposive cooperation as a rational action and the personal capacity of rational action is largely derived from it.

Hence, informal organizations also have same form of formal organizations, forming a relationship which requires a societal cohesiveness. A society is structured by formal organizations which are utilized and conditioned by informal organization. They are interdependent in their successes as well as failures. Absence of formal organization will give birth to individualism and disorder.

3. **Creation of Informal by Organizations:** It has been already established that formal organizations arise out of the informal organizations and once they are formed they cannot survive without the base of the informal organization. A formal system of cooperation includes informal relationship and interactions. One can learn out the formal organization not by studying its organization

charts or manuals but rather by observing and studying the informal society. The working of an organization can be understood only by close association with social interactions although the social interactions could be incidental.

4. **The Functions of Informal Organization in a Formal Organization:** The function of the informal organization in a formal organization as given by Barnard can be briefly summarized here:
 - (i) Informal facilitates communication in a formal organization.
 - (ii) Cohesiveness is maintained by the informal by controlling the willingness to contribute and maintain the stability of objective authority.
 - (iii) The next function of informal is to keep personal integrity, self-respect and independent choice in place.

Characteristics of Informal Organizations

After studying the informal organizations, their characteristics are can be listed as given below:

1. **Habit:** Social interactions between individuals or between individuals and groups develop into an organized system as a consequence of habits of through action and uniform states of mind.
2. **An Endless Chain:** Although an individual's interactive experiences are limited, they form an endless chain which leads to the development of customs and institutions.
3. **Informal to Formal:** There is a natural progression from informal to formal organizations and the formal organization is essential to any informal organization.
4. **Development of Interdependence:** Inversely, formal organizations also help in developing attitudes and states of mind to form an interdependent relationship between the formal and informal organization, although in an approximate manner.
5. **Formal to Informal:** Established formal organizations conceive informal organizations.
6. **Informal Organization:** Inversely, formal organization maintain communication, cohesion and protection of integrity of the individual.

Q9 What elements of formal organization were mentioned by Barnard?

OR

Coordination is the fundamental principle of any organization (Barnard). Comment.

Ans. A more thorough consideration leads to the understanding that communication, authority, specialization and purposes are all aspects comprehended in coordination.

Barnard considered five elements comprising the formal organizations, which are:

1. The bases and kinds of specialization
2. The economy of incentives
3. The theory of authority
4. The environment of decision
5. The theory of opportunism

According to Barnard, 'specialization deals with the growth of technology and differences of process'

These are two major bases of specialization:

1. Exceptional characteristic individual adjustment to the skill
2. The impact of continual experience

Gradually, these two bases of specialization developed into space and limit, which is much more important than the technical process and the materials used. Time and place need to be in synchronized with the skill and processes.

Bases of Specialization

Barnard specifies bases of specialization of organizations on which the Western civilization rests, which are given below:

1. **The Place:** Geographical specialization is an inherent element because a cooperation work has to be done somewhere. It is seen that a similar kind of work in two adjacent locations do not produce the same degree of efficiency and effectiveness. This happens because of a difference in the degree of a specialized knowledge of terrain.
Geographical specialization basically occurs before the actual functions or processes of an organization. Individuals need to work at different locations with geographical coordination in cooperation systems. A continuous and conscious effort must be made to improve cooperation on modifying the physical factors of a situation like tools and machinery.
2. **The Time:** The second foundational base on which specialization of work is built, is the time. In organization, providing continuing services, limiting and the endurance of individuals are relevant. Organization will hire those individuals who are more punctual and believe in delivering in time.
3. **The Persons:** Barnard calls the persons doing work in an organization with respect to organizational relations as 'associational specialization'. Individuals working in an organization get used to working with in a team and get to know them well. Specialization is important in formal as well as informal organization.
4. **Specialization as Purpose of Work:** In a cooperation system, the purpose of work, that are specializations, need to be considered to accomplish the objectives to deliver services. Process might be varied but the most important area of emphasis is the way it is done with a particular point of view. Functionalism flows know specialization focusing on the end goal to be achieved.
5. **Specialization of Process:** Specialization of process is important to accomplish the goal. There can more than one process to do that but the best specialized process needs to be determined to enhance the skills from a continual experience or upon reinforced knowledge by research and experience.

Q10 *The effectiveness of cooperation systems depends almost entirely upon the invention or adoption of innovations of specialization while the primary aspect of specialization is the analysis of purpose. How did Barnard justify this statement?*

Ans. The cooperation systems have their primary premise of establishing coordination of two or more than two persons by eliminating the limitations arising out of biological factors (contemporaneous cooperation) and natural environmental causes (progressive cooperation). Simultaneity of effort is applied to increase the power or the scope of perception in case of limitations of individual sense organs. The time factor dominates each activity. The orders of acts is also important where two acts have to be carried out at the same time keeping in mind the spatial factors. The time factor predominates because the spatial aspect is already there in the natural physical environment. The time and space factors are very clearly evident and if issued because of lack of temporal coordination, cooperation systems do not become successful. Thus, the three things that disturb the equilibrium of a cooperation systems are:

1. Failure of simultaneity of effort
2. Less increase in the power factor over an individual
3. Shorter range of observation

Development of Cooperation Systems

Barnard gave a few steps towards the path of developing good cooperation systems, which are given below:

1. **Correct Order:** A temporal order of coordinating activities is extremely important. Time must be right for all cooperating acts.
2. **Spatial:** Spatial factor is a natural fact for concrete acts of organization and take place where the individuals performing those acts are. The acts must be specialized according to the particular locations.
3. **Association:** The individual willingness participate in the coordination process and the ability to communicate are the pre-requisites to achieve this kind of specialisation. Social specialization assists in the first kind by creating a social atmosphere with proper associational specialization. Hence, the organizational capability of inventions and innovation depends on specialization in time, place and association.

So, the right time and right place, when coordinated beyond individual capacities, enhances the cooperation's effectiveness. The individual willingness to the coordination process and the ability to communicate are the prerequisites to achieve this kind by creating a social atmosphere with proper associational specialization hence, the organization inventiveness depends on three factors, specialization in time, place and association.

4. **Determination of Specific Objectives:** Each specific end involves a specialization of means including a combination of viable specializations depending on the ends of cooperation. The most suitable specialization is selected in view of the desired ends.
5. **Process:** The end results depend in the selection of talents, repetitive practice, etc., in the development of processes and skills. These processes in turn depend on subtleties and sharp precise coordination of temporal, spatial and associational specialization. All specializations have to be coordinated to move ahead together to have an efficiency and effective cooperation system.

Summing up, there exists a progressive reaction of organization upon objectives, persons and physical environment which are modified as the means of elaborate specialization. The above-mentioned stages of specialization is the unit organization rather than a specialized individual who is a result of them.

Q11 Elaborate on the economy of incentives as proposed by Barnard.

Ans. It is understood that an organization attains its refined and elaborate energies when individuals are willing to contribute and they do so based on incentives. Unless the motives of satisfaction and preservation of the self are fulfilled, individuals will not work towards an increase in the cooperation in an organization. It is the organization's responsibility to induce cooperation in an individual via incentives. The lack of such incentives results in the crashing of the organization purpose and thence cooperation. Every formal organization spends a lot of energy to work out affordable and adequate incentives.

Barnard defines incentives, 'as the net satisfaction which induce a man to contribute his efforts to an organization resulting from the positive advantages as against the disadvantages which are entailed'. This implies that the net advantage can be increased or the disadvantages be decreased for motivating the individuals working in a cooperation system. Working conditions can be improved and the environment at work made attractive for the employees. Another aspect involved here is that the states of mind attitudes or motives can be altered.

Barnard gave the following methods of incentives that can change the subjective attitudes and methods of persuasion. He divides the incentives into two classes:

I. Specific Inducements

Specific inducements, as the name suggests, are specific and can be specifically offered to an individual. They are:

1. **Materials Inducements:** These include money, things or physical conditions are offered to individuals as inducements when they join the organization. There is a large variety of such inducements in an organized money economy. Barnard perceives these as weak because only a small amount is required to fulfil physiological need although many thinkers do not agree with this point of view. An illusion is usually built among people that material inducements are the most important and money income has become an index of social status and personal advancement.
2. **Personal Non-material Inducements:** The opportunities for distinction, prestige, personal power and the dominating position have more relevance than materialistic inducements. Money without prestige does not act as an inducement for long.
3. **Desirable Physical Conditions:** It has been observed in various research studies that work environment and physical working conditions act as important inducements to cooperation.
4. **Ideal Benefactions:** The capacity of organizations to satisfy personal ideals with respect to non-material, future or altruistic relations, termed as ideal benefactions by Barnard, are usually ignored. They are usually the workers pride, aesthetics, religious sentiments, etc.
5. **Associational Attractiveness:** Associational attractiveness or social compatibility is very important to ensure individual's contribution to cooperation with the organization as an inducement. Issues like social hostility or national enmities become a hurdle. The organization must make it clear that it does not support such issues so that workers find a favourable social compatibility within the organization. A powerful formal communication through informal organization becomes a problem.
6. **Habitual Methods and Attitudes:** Individuals working in an organization become accustomed to certain methods and attitudes and are averse to foreign attitudes. If the employees come to know that there is going to be a change in methods and processes they will hesitate to cooperate.
7. **Enlarged Participation:** Another controlling incentive is the inculcation of the feeling of participation in the organization. Individuals feel loved and get a higher prestige when they are involved in large organizational processes.
8. **Condition of Communion:** The condition of communion is the subtlest of the inducements that an organization can offer. It is again related to social compatibility with a difference. It is 'the personal comfort in social relations termed as solidarity, social integration, the gregarious instinct or social security' as Barnard puts it. It promotes camaraderie. Presently, organizations plan team lunches or dinners and team games to encourage communion. It is the informal organization which attracts the individuals to an organization.

To sum up, there are manifold inducements that can be given to the individuals because different individuals react differently to inducements.

II. The Method of Persuasion

In a case where an organization is incapable of affording adequate incentives to individuals to contribute, the method of persuasion can be used in the following three ways:

1. **Creation of Coercive Conditions:** Exclusion of undesirables is an effective method to perpetuate organizational efficiency. An environment of fear is created so that individuals work effectively.

It has been observed that the element of fear has been used by organizations since a long time favourably. Bare subsistence and protection are incentives to sustain an organization although slavery leads to inefficiency and cannot be considered as a sole method of persuasion.

2. Rationalization of Opportunity: It is a modern method of persuasion occurring at two levels:

- Social organization as a whole with respect to religious and political organization
- Convincing individuals so that they must act in the desired manner.

The examples of rationalization are many like the religious motives behind the crusades, the communist doctrine in Russia, etc. The rationalization of hate is another example of increasing solidarity. This method has the adverse implication of materialism as the incentive leading people to live at a bare minimum living but if it used along with more effective methods, it can prove to be useful. Rationalization of incentives is mostly used in recruitment in military organization.

Both the methods of incentivizing individuals are useful in maintaining individual cooperation for the organization to be effective and efficient. They define the organization processes and the executive functions as highly developed technology and skills are required to apply them so that economy, the third element, is added to the other two elements of effectiveness and efficiency, for successful operations in an organization.

ECONOMY OF INCENTIVES

The net effects of income and 'outgo of things' as a consequence of objective incentives and the process of persuasion are the issues to be covered to economize incentives. It becomes difficult for an organization to sustain if it concentrates only on material incentives. The limitations that need to be overcome in pursuit of the economy of incentives are:

- Environmental difficulties.
- Effectiveness of organization effort.
- The internal efficiency of an organization.
- The amount of inducements disbursed.

As Barnard stated, 'Since all incentives are costly to organization, and the costs tend to prevent its survival, and since the balancing of organization outgo and income is initially to be regarded as impossible without the utmost economy, the distribution of incentives must be proportional to the value and effectiveness of the various contributions sought'. This simply means that a cost-benefit analysis can be applied to assess the degree of economy in an organization while determining how much to give as incentives. There can be a differential system to allocate material as well as non-material payments with relation to the position the individual holds in the organization.

Q12 *Authority is another name for the willingness and capacity of individuals to submit to the necessities of cooperation systems. Discuss.*

Ans. Authority is inherent even in simple organization. However, abuse of authority is considered as a norm without any peculiarity of a particular country or a system of governance. An individual decides to disobey laws in certain situations with respect to individual moral responsibility whereas largely disobeying of authority is ignored.

AUTHORITY

Barnard defined authority as, 'Authority is the characteristic of a communication (order) in a formal organization by virtue of which it is accepted by a contributor to or member of the organization as governing the action he contributes, that is, as governing or determining what he does or is not to do so far as the organization is concerned'. According to this definition authority involves two aspects:

1. **The Subjective:** The personal, the accepting of a communication, as authoritative.
2. **The Objective:** The characteristic in the communication by virtue of which it is accepted in the system of coordination.

This definition implies that an order needs to be essentially communicated in a formal organization which must be complied with by the individual's way of contribution. Compliance of the order by the individual decides the sustenance of authority. However, this viewpoint is opposed to the common norm considering that authority lies in the 'person of authority'.

Thus, the authority rests in its acceptance and not in the people. Authority fails because of two reasons:

- The persons of authority cannot maintain authority due to lack of securing sufficient contributions of personal efforts to be effective.
- The individuals consider the burden in accepting authority altering the balance of advantage against their interest.

Conditions of Acceptance of Authority

It has been well-established now that it is absolutely essential that an individual accepts a communication as authoritative if he is willing. Barnard gives four conditions necessary for authority to be accepted:

1. **Comprehensible Communication:** The communication can be perceived as an order by authority only if the individual is able to understand it with respect to language, level of difficulty and interpretation.
2. **Consistence with the Organizational Purpose:** Any communication must be considered to be consistent to the organizational purpose by the individual to be compliance worthy. If there happens to be a conflict of interest in the eyes of the employees carrying out the order the executive must take the responsibility of rectifying the confusion otherwise that order will not be executed.
3. **Compatibility between Personal and Organizations Interest:** An individual would contribute by following the communicated order only if he thinks that its net advantage would offset the burden. As long as there is sufficient inducement to an individual, he will carry out the orders but if he believes it to be less, he will refuse to do so to the extent that he might tender his resignation willingly.
4. **Mental and Physical Ability:** This condition is quite an obvious one as an individual can carry out an order only if he is mentally and physically able to do it. It is the executive's responsibility to look into the mental and physical faculties of the employee when he communicates the order to him.

Methods of Securing Cooperation Authority

If everything depends on the individual while accepting authority, then the question for securing cooperation arises. The first and foremost scenario to accept cooperation via authority is to fulfil the four conditions mentioned above. Barnard suggested the following three ways or situations in which cooperation may be secured from individuals:

1. **Zone of Indifference:** Zone of indifference, is in the words of Barnard, 'If all the orders for actions reasonably practicable be arranged in the order of their acceptability to the person affected, it may be conceived that there are a number which are clearly unacceptable, that is, which certainly will not

be obeyed, there is another group somewhat more or less on the neutral line, that is, either barely acceptable or barely unacceptable and a third group unquestionably acceptable. This last group lies within the 'Zone of Difference'. The emplotee who is neutral will accept the order because the action demanded of him was anticipated by him when he took the job. The Zone of Indifference will be wider or narrower depending upon the net advantage of incentives over burdens.

2. **Interest of Persons:** There is always an active personal interest at any given time to follow orders from authority in the zone of indifference. This interest is kept active with the help of the formal organizations function. The condition here is that acceptable communications are used which fall into the personal zone of in Barnard talks about the fiction of superior authority for two reasons:

- (i) **Superior Authority:** An employee will not disobey an executive order unless he/she is absolutely sure in his appraisal for fear of accepting that the executive is wrong. Most commonly, an individual is reluctant to take such a responsibility of criticizing an executive order.
- (ii) **Deliberate Flouting of Authority:** If an individual disregards authority deliberately and leaves the organization in a lurch which an organization will never tolerate and can also take punitive action against the individual.

Thus, fiction is used to explain overt acts.

Q13 How does Barnard's objective characteristic of a communication induce acceptance?

Ans. Authority has been defined by Barnard in part as, 'A characteristic of a communication in a formal organization'. A communication is an executive order when it is an action of the organization. Authority can be established by an official only when he acts officially in a definitely organized system. So, the characteristic of authority in organization communications lies in the potentiality of asset of those to whom they are sent.

Authority can be placed in position or in leadership. When both are combined, authority is established and individuals will accept orders from outside the zone of indifference. The leaders or positions must be sufficiently informed along with influence to communicate orders. On the other hand, authority comes with corresponding responsibility. So, a cooperation personal attitude of individuals on one hand and the system of communication in the organization on the other.

The most loyal workers would leave the organization if the organizational system cannot pass coherent orders without contradiction. Hence, the system of communication in a formal organization is very important to maintain effectiveness and efficiency in it and is called, 'Lines of Authority'.

Controlling Factors in a Communication System to establish Objective Authority

The essential conditions of communication finally define the size of unit organizations and its groupings. Given below are the controlling factors:

1. **Channels of Communication:** There must be clearly defined channels of communication by:

- Stating official appointments;
- Assigning positions to each individual;
- General announcements;
- Organization charts;
- Educational effort;
- Establishing a consistent and a practical system; and
- Giving stress on more to position rather than the person.

2. **Definite Formal Channel of Communication:** Objective authority necessitates a definite channel of communication to every member of an organization. Communication must flow in one direction implying that every individual must report to someone defining a definite formal relationship to the organization.
3. **Direct and Short Lines of Communication:** When an order is communicated by an official from top-down, it is usually verbal (written or oral). By the time it reaches the person or unit for whom it is intended, there is a loss of understanding in the various hierarchical levels that it passes. The organization needs to have a system where there are definite channels of communication. This problem has been mitigated in the present corporate world where computerization does not let any misunderstandings happen. Shorter the lines of communication, the better is the communication, for example, in large organizations like army.
4. **Complete Line of Communication:** Complete line of communication must be used beginning from the head of an organization to the bottom will divert conflicting communication and maintain responsibility.
5. **Supervisory Heads must be Competent:** The superior heads must have competence in general ability. The central office of communication about all progress of activities and the outgoing activities to serve the immediate purposes. Since the objective authority is lodged in the highest position in an organization which could also be a board, a legislature or a Committee instead of a person.
The supervisory heads must have competence in general ability the central office of communication translates the incoming communication about all program of activities and the outgoing activities to secure the immediate purposes. Since the objective authority is lodged in the highest position in an organization which could also be a board, a legal on a committee instead of a person.
6. **No Interruption in the Line of Communication:** There must be no interruption in the lines of communication during the organization's activities. Most of the organizations do not work at night or Sundays while organizations like the railroads, telecom companies and army work around the clock. So, the lines of authority must never be broken in active organization. Moreover informal organizations also breakdown if formal lines of authority are interrupted and chaos follows.
7. **Authentication of Communication:** Any executive order that is communicated must be authenticated by the person holding the position of authority in actuality. Authentication must be considered in three aspects.
 - Position of authority;
 - Within its authority; and
 - Authorized communication from the concerned office.

Even though the processes of communication are changing rapidly, the underlying principles remain the same. A simple way to achieve this is to dramatise appointments so that everyone at the bottom is aware who fills which position to inculcate a 'sense of organization', connecting into loyalty and solidarity.

The above-mentioned controlling factors in the character of communication system of objective authority are kept in balance, the simple as well as complex organization work effectively and efficiently.

Q14 Briefly discuss the environment of decision with respect to the 'Functions of an Executive'?

Ans. Barnard discussed the environment of decision in his book, 'The Functions of the Executive' briefly. He said that individuals act either deliberately or unconsciously whatever processes take place before the act, they result in a 'decision'. The acts after the decision has been taken are the subsidiary acts which are automatic, the processes of which are automatic to the actor.

These are two elements involved in a decision:

1. **The End:** The end to be accomplished, and the end is usually a means to a remote end or the immediate end which occurs due to an executive order and social conditions and facts the orders are passed by persons in position of authority who arrive a decision by either a non-logical process or a logical process. Both the processes is significant in making a decision. Another factor that is important here is the superlative status to which the logical processes define the organization action opposed to individual action.

Acts of Process: Bernard specifies two acts of a decision in an organizational decision:

- (i) The decision of an individual whether to contribute or not is an issue of personal choice and falls outside the system of the organizational efforts though the organization must attend to the adverse individual choice.
- (ii) The second act concerns the depersonalized decision from the viewpoint of an organization purpose whether that individual will contribute or not and this decision is a part of the organization itself.

2. **The Means:** The means to be used.

Thus, a distinction between the private personality and the organizational personality must be made. This leads to the point again that central or general organizational decisions must be made at the central system of the organization by executives at these central positions of authority.

Circumstances of Making Decisions

Barnard presents three circumstances which surround the making of concrete decisions which are given below:

1. **The Occasions of Decisions:** The executives make decisions who are specially trained and have experience to do so within the parameters of his position. The occasion for decision-making emerge out of the following three fields:

- (i) **Authoritative Communications from Superiors:** Generally, the superior authority instructs the concerned executive to take decisions with respect to interpretation, application and distribution of instructions. The responsibility of the decision-making cannot be shirked from, though it can be reduced by delegation.
- (ii) **Cases Returned by Subordinates:** There are occasions when the subordinates refer them to their superiors and are called appellate cases arising out of incapability of subordinates:
 - Ambiguous instructions;
 - Jurisdictional conflict or conflict of orders; and
 - Failure of subjective authority.

The executive is responsible to make decisions where necessary and which cannot be justifiably delegated.

- (iii) **Executive Initiative:** The third occasion is most important requiring an executive's best faculties to comprehend the situation and take an initiative to make the decision. It may concern something that needs to be connected by presenting valid choices to the non-executives.

The most concrete objectives of purposes are found where the non-executives are working and a final call needs to be taken with definiteness although the conditions in character get modified as the area of focus shifts from the executive to non-executive.

- (a) **Purpose:** In decision-making, the pre-determined organization purpose is treated as objective and a major factor since organizational decisions relate only to organization's purposes and not to any personal ones. The purpose has significance in an event defined by some features with constant refining of the purpose as the environment changes and repeated decisions. Series of final decisions sums up to an effected general purpose.
- (b) **The External Forces:** A decision is made in an environment which is comprised of physical factors, social laws and ideas, norms of action forces and resistances which constantly keeps changing. There can be static and dynamic facts which play an important role in the decision-making. Immaterial or irrelevant facts need to be ignored and the significant facts get importance as alternative to reinforce or change the purpose.

Thus, within complex organizations, the decision-making techniques is followed as an organizational process of thinking, which may not be in alignment to the individual's interests. The important factor here to consider only the factors only from an organizational point of view rather than psychological or logical viewpoint.

2. **The Evidence of Decision:** A majority of executive decisions do not present any direct evidence of themselves and can be deduced from a pile-up of indirect evidence by inference. Barnard mentions three important considerations here:
 - In cases where decisions are directly known, result in orders to achieve a pre-determined result in which the controlling generic. Decision may not be disclosed.
 - A firm decision may not be conducive to communication at that time as it may require preparation and development in educational or persuasive preparation.
 - The decision may not be taken for reasons of time, space or lack of sufficient authority.

Thus, decisions fall into two classes:

(i) **Positive Decisions**

- To do something
- To direct action
- To prevent action.

(ii) **Negative Decisions:** Decisions not be decided.

The negative decisions are generally not logical and work on initiation which might be a good thing in future by rejected certain alternatives.

3. **The Nature of the Environment:** Decisions deal with a variety of materials and fields but mainly with two things:

Q15 Elaborate on the Theory of Opportunism.

Ans. In an individual decision-making, his environment and circumstances arise from his physiological requirements or the states of mind and attitudes around his social environment but that does not account for an organization's purpose. In organizational purpose all the ends of action are determined by social processes and the results of the organization itself. The ends are restricted partly by the employees with respect to their voluntary participation impacted by the cooperation objective but the ends are determined by the means and conditions of a cooperation action based on the 'good' of the organization. The organization 'good' can be due to:

- The internal equilibrium of the organization having an effect on its relations with participants, that is, its employees.
- The external equilibrium having an effect on its relation with the general (social) environment.

So, the good refers to the future and foresight in some standard or norm of desirability.

The Theory of Opportunities is concerned with the anti-thesis of the moral element, that is, the opportunistic element with focus only on the present conditions and the means available. The element of opportunism is rudimentary and cardinal in the Theory of organization.

Concept of the opportunist element: In the words of Barnard, 'The opportunist element refers to the objective field within which action must take place'. It is of utmost importance that the decision-making process is done while studying the events, objects, conditions which will act as a favourable or an unfavourable factor in accomplishing the organizations purpose. Some factors will be accepted and some rejected while making a decision. It would be an easy process if it has been done before empirically but difficult if there is no technique involved in it as the analysis would then be a hypothesis.

Strategic factors: Barnard states, 'The Theory of Strategic Factor' is necessary to an appreciation of the process of decision, to the understanding of organization, the executive functions as well as perhaps, individual purposive conduct.

There are two classes of elements in the attainment of an organization purpose:

1. **Complementary Factors:** They help in achieving the purpose provided the other factors remain unchanged.
2. **Limiting (Strategic) Factors:** The factors whose control, in the right form at the right place and time, will establish a new system or set of conditions which meets the purpose. For example, a missing screw may be a self-limiting factor in a machine which can not be operated. A factor is limiting if an element is missing but when a personal action is that element which is ultimately the purposive effort, it is better termed as 'strategic'.

So, the strategic factor always determines the controlling action even if it is the limiting factor. The action and not the missing factor then become the controlling factor. It follows that the strategic factor is the focal point of the environment of the decision at which choice of doing the action is made based on the near future consequences.

Determination of New Strategic Factors

In an organization, according to the theory, repetitive decisions requiring a continuous probing of new strategic factors is important to achieve immediate purpose. In an organization a sequence of decisions at different times by different executives and other persons in different positions.

A broad purpose and a broad decision necessitate breaking up of the purpose and decision into detailed purposes and subsidiary decisions in a prioritized order. The process of decision evidently compresses of subsequent approximation by refinement keeping in mind facts and time making it practical.

Discrimination of Strategic Factors

The strategic factors can be discerned with accuracy by technique and the minutest of details. The means that can be applied to determine strategic factors are analysis, mechanical analytics statistical processes and balance sheets. In the present scenario, various data analysis techniques and software are used to bring such factors into limelight. It is observed that the development of processes tools, and men are always at a varied level in relation to different constituents of the environment situation. The order in which these constituents are applied in a situation by an individual are physical, political, social and moral. A varied degree is also found between the economic and social factors of the environment. Economics dwells in the past to understand the present whereas the physical environment relates to the existing present.

The confusion of past and present environments becomes a problem and a decision for the present. The future is taken based on the past. This situation becomes a strategic factor.

Hence, decision in its opportunistic aspect begins with an existing purpose and an object environment of things physical biological, social, emotional and moral. The ideal process of decision is to:

- Discriminate the strategic factors;
- Redefine purpose based on the estimated future results of action in the existing situation; and
- Assess in the light of history.

Q16 Elaborate on the executive functions as professed by Barnard.

Ans. The executives are channels of communication and coordination passing through central positions. The executives have the functions related to the organization through coordination. Executive work concerns itself with the specialized work of maintaining the organization in operation although all executives have to do non-executive work also, which is sometimes more important than the executive work.

The executive functions:

- Serve to conserve and control a system of cooperation effort;
- Are impersonal;
- Provide the system of communication;
- Promote securing of essential efforts; and
- Formulate and define purpose.

Given below are the functions of the executives as found in complex, not essentially large organization:

1. **Maintenance of Organization Communication:** The centers of communication and its related executives are imperative to maintain in a complex organization comprising more than one organization. Setting up of a communication system is the first task of an organization in an executive organization. Executives maintain the communication system through recruiting individuals in suitable positions in the communication unit. A few important points of consideration in maintaining organization communication given by Barnard are:

- (i) **The Scheme of Organization:** The scheme of organization is the first phase of the executive of defining organization positions. This scheme can be displayed through organization charts, specifications of duties, division of labour, etc., Coordination is shown through these tools to explain detailed analysis upto its subsidiary purposes, specializations, etc.

- The type and the number of persons required in a cooperation system for this purpose.
- The necessary incentives.

All these above-mentioned factors are mutually dependent related to other executive functions. The scheme of organization is a strategic factor to be considered with respect to the present situation.

- (ii) **Personnel:** The scheme of organization is dependent on the availability of the services of personnel as one of the factors of the organization as a whole.

Given below are the essential elements necessary for the personnel to give their best in delivering their executive functions.

- (a) **Loyalty:** The personnel in an organization must be loyal and respective to the organizational functions and purpose. They need to submit to the general organization purpose and this cannot be bought by incentives although they must be given.

(b) **Prestige:** Loyalty and respect are elicited from the executives by serving their love of prestige. Interest in work and pride in organization must exist so that the individuals remain loyal and respect.

(c) **Personal Abilities:** Personal abilities are broadly divided into two classes:

General Abilities:

- General alertness
- Comprehensiveness of interest
- Flexibility
- Faculty of adjustment
- Poise
- Courage, etc.

The general abilities are complicated to evaluate as they are based on general experience and cannot be spontaneously developed.

Specialized Abilities:

- Specific attitudes
- Comprehensiveness of interest
- Flexibility
- Faculty of adjustment
- Poise
- Courage

There is a lack of general decision abilities whereas the higher positions in an organization have to be filled by generalists to keep the line of authority short and to control the organization of executive work. Hiring the right personnel leads the organization to be efficient which requires appropriate control.

(iii) **Informal Executive Organizations:** A formal organization depends on informal organization with respect to communication in the executive organization. The best way to maintain informal executive organizational communication is to promote such executives to the executive position who have an ability to be compatible with others. Formal compliance at times takes a back seat in this scheme of organization. Informal organization helps in keeping the executive functions well-coordinated with the formal organization its functions are:

- Communication of intangible facts;
- Opinions, suggestions and suspicions that cannot be raised without raising a call for action;
- Minimizes typical political blocks due to difference of opinion;
- To encourage self-discipline in groups or teams; and
- To develop personal influences in an organization.

Barnard stresses on two significant functions of informal executive organization:

(i) Avoidance of formal orders except when essential which develops a system of communication. This involves selection of the right personal use of inducements, techniques of control and promoting compatibility amongst personal.

2. **The Securing of Essential Services from Individuals:** Barnard states that the second executive function is to promote the securing of personal services comprising an organization material dividing the work into two as given below:

(i) **Bringing of Persons into a Cooperation Relationship with the Organization:** This division of work involves securing personal or replacing the ones who leave. The task involves:

- (a) **Bringing Individuals in Reach for Recruitment:** Individuals must be brought into the orbit of the organization to recruit them by promotional efforts inducing them with higher pay, visas, faith or incentives.
 - (b) **Application of the Promotional Effort:** Once the selected persons are within the scope of the organization, they must be held within it by the methods of persuasion and inducements while not forgetting to apply economy in their executive.
 - (ii) **Making the Personnel deliver Services:** The quantity and quality of the services delivered by the personal recruited needs to be controlled and maintained to make it the material of the organization. Retention of employees is more important than just recruitment and effort need to be made to increase the level of the contributions of the individuals employed in an organization by maintaining their morale, scheme of inducements, supervision and control, inspection, education and training.
3. **The Formulation of Purpose and Objective:** Barnard specifies the third executive function as the formulation of purpose and objective. In his words, 'purposes defined more nearly by an aggregate of action taken than by any formulation in words but that aggregate of action is a residuum of the decisions relative to purpose and the environment resulting in closer and closer approximations to the concrete acts.'

This implies that decisions made to formulate the organization purpose is of utmost importance. To achieve this purpose must be broken down to its subsidiary parts and special objective's. The organization as a whole contributes to formulate, redefine, fragment and progressive action the organization purpose. It can be deduced from this premise that there must be delegation of objective authority with clear, short lines of communication and sound decision-making.

The defining of purpose is a widely distributed executive function. Its flow to the lower levels becomes a different proposition. The general organization purpose must percolate down to the lowest levels so that they sustain cohesion and on the other hand, the higher levels must understand the concrete conditions and the special decisions of the ultimate contributors. This up and down flow of coordination is essential for an organization to function progressively otherwise it remains only a system for intellectual processes.

To sum up the combination of all these above-mentioned functions blending together into a whole, make an organization a working system. Concrete interaction and mutual adjustment of the executive functions along with the maintenance of the moral aspect determined by the environment of factors of an organization are conducive to a successful cooperation system as a whole.

Q17 The executive works in a definite process according to Barnard. Elaborate.

OR

How do the concrete interaction and mutual adjustment of the executive functions, partly determined by the factors of the environment of the organization, make an organization a cooperative system as a whole? Discuss with respect to Barnard's Functions of the Executive.

Ans. The executive functions are the foundation for functional specialization in organization and have no individual meaning as they are parts of a process of an organization as a whole. The executive process is an area of study of specialized responsibility of executives to consider an organization as a whole and the situation strategic to it. This is an art rather than science which is aesthetic and not logical. The

decision-making process is based on possessing the sense of the whole two main considerations involved in an executive process are effective and efficient of action described below briefly:

1. **Effectiveness:** Effectiveness is concerned with the propriety and suitability of the methods chosen to attain the final purpose keeping in mind the situation and conditions as a whole. This implies application of technological systems to have smooth operations in an organization. Hence, application of detailed technologies is the most essential means to achieve effectiveness.
 - (i) **Strategic Factors:** Finding the application and the best technique at a given time for a defined objective under given conditions is important to have effectiveness. This is the strategic factor. The resultant objective is broken down into smaller detailed objective and the right technique is decided to achieve it. Failure to do so will result in an inefficient operation because the action will definitely be completed without meeting any standards of efficiency.
 - (ii) **Integration of the Whole:** In the words of Barnard, the executive process, even when narrowed to the aspect of effectiveness of organization and the technologies of organization activity, is one of integration of the whole, of finding the effective balance between the local and broad consideration, between the general and the specific requirements.
 - (iii) **Control:** Control is governed by the economics, the political, the religious, the scientific, the technological, with the result that effectiveness is not secured and failure ensue or threatens.
 - (iv) **Concept of Whole:** A formal conception of the whole is difficult to attain and probably not possible except in perfect conditions of intellect, comprehensive sensitivities and integration.
2. **Efficiency:** Barnard defined efficiency as, 'applied to organization is the maintenance of an equilibrium of organization activities through the satisfactions of the motives of individuals sufficient to induce these activities.'

Factors Affecting Efficiency

Barnard describes effectiveness through the study of the factors affecting it they are:

1. **The Analysis of The Status of a Cooperation System:** An organization is a system of cooperation human activities which has the functions of creation, transformation and the exchange of utilities. The organization accomplishes these functions with the help of creation of a cooperation system which is a nucleus and a subsidiary system which comprised of physical, personal and social systems. A cooperation system works in different types of economies which are briefly explained below:
 - (i) **A Material Economy:** The total sum of the utilities connected by an organization to physical things and forces controlled by the organization actions comprising of control and the commission of utility by the organization to these physical things is a material economy. A material economy is under a constant change which are caused by:
 - Independent changes in physical factors;
 - Exchange of control between organization and individuals/organization for material or non-material utilities;
 - Actions of antagonist individuals/organization; and
 - Acquisition of control by the creative actions of the organization.
 - (ii) **The Social Economy:** The social economy comprises of the organization's relationship with other organizations, with individuals who have no cooperation relation with the organization and where relationships have utilities for the organization.

This implies capability of cooperation with those external to the cooperation system. A social economy also keeps changing similar to the material economy which is a consequence of:

- Changes in the attitudes of external organization and persons towards the organization due to their economies; and
 - Changes brought about due to exchange of utilities.
- (iii) **The Individual Economy:** It the individual economy is the power of the individual to act and the utilities assigned by him to material and social satisfactions. It keeps changing because of:
- Physiological needs;
 - Exchange made with others;
 - Creation of his own utilities; and
 - Other changes in his state of mind, attitudes and values.
- (iv) **The Organization Economy:** The organization economy is the aggregate of the utilities assigned to it which are:
- The physical material it controls;
 - The social relations it controls; and
 - The personal activities to coordinates.

All these values are appraised by the organization as a social system and the decisions taken with respect to the comparative utilities of non-comparable elements.

Hence, it is possible to study a cooperation system with respect to the type of economy it deals with. If the social assets and the economic value can be assessed then it is easier to study it in terms of economics via balance sheets However, organization economy talks about success or failure with respect to the decisions of the organization. Lastly, Barnard mentions that, 'there is no unit of measurement for the economy of organization utility'.

2. **The Equilibrium of the Organization Economy:** Equilibrium of the organizational economy necessities the control and exchange of adequate variable utilities which in turn would control and exchange the personal services of which it is formulated. The organization exists only on the basis of exchange, transformation and creation of a surplus of utilities in its own economy.

To sum up, cooperation must create a surplus to neutralize the effect of waste. Personal satisfactions of an employee loyalty and faith improves effectiveness. The control of distribution becomes a matter of highly developed technique whereas creative effectiveness is not technical even though it develops techniques. Hence what is needed is to have a sense of the whole covering all strategic factors. As the physical, biological, economic, social, personal and spiritual utilities cannot be measured determination of strategic factors is all about having a matter of sense of the significant relationship of heterogeneous details to a whole. The whole executive process is moral and aesthetic instead of being an intellectual one.

Q18 Discuss how Barnard's take on the functions of an executive was criticized.

Ans. There is no disputing the fact that Barnard's contribution to the management theory has been immense however, there are some issues that were raised by various thinkers regarding his work.

An attempt is made here to discuss some opposing viewpoints on Barnard, which are.

1. **The Psychoanalytic Approach:** Both Barnard and psychoanalysts have contributed their theories which state the individual's inherent need to maintain a balance between their individual personality's independence and their essential requirement to be a part of and a group.

Nonetheless, their approaches are different. The psychological perspective considers the most important issue to the present cooperation behaviour as the avoidance of regression behaviour. The executive role is paramount in building an environment where the individuals within the organization's parameter can evaluate themselves and their work from a collective viewpoint.

2. **Organizational Ecology:** The organizational ecology critics argued that Barnard's perspective is environmentally deterministic, ignores power and managerial discretion is denied. The quality of coordination is an essential element of an organization existence.

Barnard laid down some assumptions related to ecology but developed concepts of executive action in individual organization instead.

3. **Not Prescriptive or Descriptive:** Kenneth Andrews criticized Barnard's central purpose to the cooperation effort and its form not being explained properly either disruptively or prescriptively. Barnard's definition of authority does not explain the role and various aspects of the objective of authority. Moreover, Barnard does not ascribe active integration of adverse options and instead gives the choice of acceptance or rejection to the individuals.
4. **Abstract:** The concept of leadership has been described by Barnard but in an abstract way. There is ambiguousness and lack of ease to understand the examples. The book the look comes across as difficult to understand. Even the definition of effectiveness is confusing. Similarly, the definition of formal organization is inadequate as Urwick said that 'boy kisses girl', also could come under the umbrella of formal organization of Barnard. Neither is there any discussion on the relationship between an organization and its clients.

Despite all the points of contributions, Barnard has made huge contribution in the field of the theory of organization and functions of the executive.

14

Simon's Decision-Making Theory

Learning Objectives

In this chapter, you will learn about:

- Choice and Behaviour
- Relevance of Decision-Making
- Link Between Decision-Making and Administrative Organization
- Fact and Value in Simon's Theory
- Rationality in Simon's Theory
- The 'Decision-Making Scheme' and 'Satisfying Model'
- Unity of Command

Herbert A. Simon

Herbert A. Simon defined administration as the art of 'getting things done'. The focus is on the processes and to ensure intelligent and analytical action whereas the need is to emphasize on the choices preceding the action to determine what needs to be done rather than the 'actual' doing. There is a general notion that decision-making is related to policy formulation whereas it percolates down from the top in an organization.

Q1 *Write a short note on how senior establishment a link between decision-making and the execution of decisions.*

Ans. According to Simon, the responsibility of actual doing is at the lowest rungs of the organizational hierarchy, though that does not imply that the higher levels are not involved in action. The administrative and the supervisory staff are a composite partner in having an impact on the decisions of the operating levels to achieve organizational goals in large and small organizations. The supervisory staff has a direct influence on the operatives. An organization needs to build a strong structure to implement supervision by influencing rather than directing the operating levels. Simon finally links the influence of the administrative staff based on a strong organizational structure with the decision-making process. He emphasizes the importance of conscious decision-making to analyse and influence the behaviour of the employees.

Q2 *Discuss the interrelation between choice and behaviour as given by Herbert A. Simon.*

Ans. Simon builds the base of his Theory of Administrative Behaviour on two concepts-choice and behaviour. Either it is an individual or a group or an organization, their behaviour is determined by their choices. or unconscious selection of some actions out of all the available possibilities.

Simon gave the following concepts that exist in the interrelationship between choice and behaviour:

1. **Selection:** Simon emphasizes on the term 'Selection' with respect to making choices of a particular action that influences the ultimate behaviour selection is itself the product of a complex chain of activities, called planning or design activities. The characteristics common in making a selection are:
 - (i) **Alternatives:** There are a multitude of alternative possible actions that are available physically, which an individual may take by exercising his choice, that is, making a decision. The process of selecting a choice or making a decision can involve a deliberate selection or a rational element.
 - (ii) **Value and Fact:** Individual behaviour in an organization is 'purposive' which implies that is goal oriented and acts to move towards objectives. A behaviour pattern emerges in the light of the situation where 'getting things done' is the main objective of an administration.
2. **Decision:** Decisions can be big or minute but they have to reach the goal, for which a goal selection is of utmost importance. Clubbed with the behaviour appropriate to the matter in hand, the smaller goal or the matter in hand could gravitate towards the major distant goal, and choices keep presenting themselves to the individual and the individual keeps selecting till the final goal is achieved.

There are two kinds of decisions that are involved here:

- (i) **Value Judgements:** The decisions that are made that leads towards the selection of final goals are called value judgements.
- (ii) **Factual Judgements:** When the decisions involve implementation of goals, they are called factual judgements.

The issue that emerges here so that factual and value elements do not come up individually for the administrator, because the final objective is formulated, quite vaguely with terms, such as justice, general welfare, liberty, such goals may again serve as intermediary. Simon gives an example of men moving towards economic gain but when that is achieved, they tend to work more to accomplish security, comfort and prestige.

Simon stated lastly that there are cases when value and factual elements may be combined into a single objective. He explains this through an example of apprehension of criminals as an objective of a municipal police department whereas this objective may be considered as an end too.

3. **The Hierarchy of Decisions:** Simon explains purposiveness as an element of hierarchy of decisions as all decisions move down a notch of the level in an organization while executing the decisions that were taken at the higher level. All decisions are guided by general goals thereby affecting the behaviour of the employees. The goals could be multiple and diverse depending on the functions and the role of that organization.

Integration of goals happens in fact even though it is not deliberate. The administrator takes into consideration all facts before making decisions.

4. **The Relative Element in Decision:** The administrator selects a solution out of the various alternatives available without the security that it would be the perfect one for the goal-achievement. Hence, every decision involves compromise and a maximum level of possibility. This compromise refers to the relativity and requires a common denominator considering that all behaviour is directed towards the achievement of several objectives. The relevant point to keep in mind is that these objectives are a means to a more general end.

Simon explains with an example of municipal government decision, the close relationship that prevails in any given administrative problem between value and fact. In taking decisions regarding the opening and improvements of a new street, it is important to identify the following given facts.

- The design
- The relationship of the street to the master plan
- Financial resources
- Whether the project be let out on contract or force account
- Any utility cuts required subsequently in the project of the street.

Such decisions regarding this project involve a combination of value and fact.

The separation of value from fact can be done by differentiating the 'purpose' of the project from its procedures. To continue with the example of the street, the purpose for which the street must be constructed and needs to be analysed in conjunction with the social values impacted by it like:

- Speed and convenience in transportation
- Traffic safety
- Influence of the street layout on population layout.
- Construction costs
- Distribution of cost among taxpayers.

Such decisions must be accompanied with scientific and practical knowledge to support values such as:

- The relative smoothness, permanence and cost of the pavements
- Relative advantage of alternative routes, with respect to cost and convenience to traffic and
- The total cost and distribution of cost for alternative methods of financing.

Hence, the final decision made factors in the relative importance given to objectives and on the judgement regarding the limit to which any plan will accomplish the goal.

Q3 *How is decision-making relevant in an administrative process?*

Ans. Administrative activity is a group activity according to Simon because individual tasks can be conducted by a single person but not when the nature of the tasks grows unmanageable by an individual. The process and techniques employed to achieve tasks by a group are called administrative processes. These administrative processes involve decision-making to determine some elements objectively the decisions of the members of the organization and organizational procedures to communicate them further to the concerned members.

It can be deduced from this explanation that the decisions which the organization makes for an individual:

1. Specifies his functions including the general nature and scope of his duties
2. Allocates authority to individuals in the organization to further make decisions
3. Limits the choices for better coordination of activities of the employees in an organization

While discussing decision-making in the administrative processes, Simon gave the following points:

1. **Specialization:** An administrative organization uses specialization to delegate specific activities to different sections of the organization bound by a deadline. Simon talked about two types of authority.
 - (i) **Vertical:** Specialization may get set into a vertical division of labour establishing a hierarchical pyramid of authority. It could have varied degrees of formality, thereby, rendering decision-making functions, a specialized job, along the hierarchical pyramid of authority.
 - (ii) **Horizontal:** Horizontal specialization or the division of work is at the foundation of any organized activity to achieve its goals.

Simon emphasizes on vertical specialization in his study. Vertical specialization is characterized by the division of decision-making duties between operative and supervisory personal. He inquired into the causes for withholding authority for operative employees. He gave three causes for the prevalence of vertical specialization in an administrative organization which are:

- (i) **As a Consequence:** (In presence of horizontal specialization), vertical specialization becomes essential to build up coordination among the operative employees.
 - (ii) **Expertise:** Vertical specialization develops greater expertise in the making of decisions.
 - (iii) **Accountability :** Vertical specialization allows the operative employees to be accountable for their decisions to the higher authority.
2. **Coordination:** A correct decision taken at the top, to have a positive group behaviour, requires all of them to adopt the decisions. The second pre-requisite to have a coordinated execution of a plan is that there must be a centralized deciding authority to formulate a general plan of operations to govern the activities of all members of the organization. Coordination can be either procedural or substantive.
 - (i) **Procedural coordination:** It refers to a general description of the behaviours and relationships of the organization's employees and establishing lines of authority and spheres of every member's area of work.
 - (ii) **Substantive coordination:** It determines the content of the employee in an organization.
 3. **Expertise:** Simon stated that the organizational tasks must be sub-divided in a manner that the processes that use a specific skill must be carried out by skilled persons only to benefit from the expertise of specific skills. Similarly, the advantages of expertise in decision-making must be capitalized. This can be done by fixing responsibility of taking a decision with respect to the specialized skill of the operating individual having that skill. Simon admits more that although subdivision of decisions involve more complication than the sub-division of organizational tasks, the quality of decision can be improved by combining the knowledge of diverse skilled persons.
 4. **Responsibility:** The organization must have its employees comply with the norms of their team or supervisors. The operating employees have participatory role in policy form of an organization. Simon further subdivides the organization's working and states that the overall control policy form rests with the administrator whereas the technical matters with the specialized workers.

Q4 Discuss the relation between Decision-Making and an administrative organization as given by H. A. Simon.

Ans. An organization has various roles within itself as well as in the markets to coordinate behaviour in the modern individual society. Simon discussed vertical specialization of the decision-making and the effects of computers on decision-making in organizations.

Given below are the main observations of Simon, with respect to decision-making and administrative organization.

1. **Organization and Personality:** Usually, large organizations are considered as the cause of all social evils and especially the mechanization of workers, bureaucratization and organizational inefficiency. This logic lays the foundation of the need to study organization seriously. Simon studied the relation between organization and personality. An organization is important in:
 - Modifying and shaping personal qualities and habits of employees
 - Establishing authority and influence over others, and
 - Structuring communication and identifying the environment of information in which decisions are taken.

Simon defines organization as the 'pattern of communications and relations among a group of human beings, including the processes for making and implementing decisions'. This pattern provides to organization members much of the information and many of the assumption, goals and attitudes that enter into their decisions and provides also a set of stable and comprehensive expectations as to what the other members of the group are doing and how they will react to what one says and does. The sociologists call this pattern a 'role system'; we are concerned with the form of role system known as an 'organization'.

An executive decision affects the day-to-day operations and sets an organizational pattern, that is, the organizational consequences.

2. **Organization and Markets:** Organizations do not exist in isolation. Markets behave as a social organizer in a healthy infrastructure and efficiently managed organizations more than centralized planning. They act as coordinators more than centralized planning even behaving as a social organizer albeit in a healthy infrastructure and efficiently managed organizations. Markets work by complementing the organization, instead of replacing them. The organizational employees have very little to do with the markets directly. Simon discusses the 'New Institutional Economics' with respect to determining an economic theory for real organizations. It explains how organization phenomenon is another kind of market behaviour and the market interaction between the employers and their employees by focussing on their economic contract. The economic contract through authority and reward is important to the extent of working towards the organizational goals' achievement. There are various motivations working towards it. There must be a realistic organizational theory.

Q5 Briefly discuss the synergy between decision-making and computers.

Ans. Simon wrote the first edition of his book right after the first computer was introduced to the world. There has been a modest change in the executive decision-making processes and the organization designs. Computers have become an integral part in organizational lives. Some of the things that computers can do in ensuring sound decision-making relate to:

- Computer is a powerful number-cruncher
- Artificial intelligence
- Internet of things
- Large memory to store data
- Easy access to data
- Crowd sourcing in real time during disaster
- In various areas of engineering and science-medical diagnosis, information superhighway

When Simon wrote this theory on administrative behaviour, the computers had been first introduced but even then he understood their significance in impacting decision-making. In today's scenario, for every day, the use of computer is applied at each level of the organization. It has made an information-rich world and the specific software are there to disseminate information and make it work for decision-makers. In fact, the information glut needs to be made relevant and useful for us in improving communication and decisions.

Q6 How are fact and value embedded in the Decision-Making Theory of Simon?

Ans. Simon based his 'Theory on Decision-Making' on two things—fact and value. He proposed that every decision comprises two essential elements—'fact' and 'value' to reach to a correct administrative decision. There is a clear distinction between policy questions and administrative questions. Simon begins his theory by adopting 'logical positivism' as a base.

DISTINCTION BETWEEN FACTUAL AND ETHICAL MEANING

Simon sets apart the factual from the ethical in a decision.

- **Factual:** Factual propositions are statements about the observable world and the way in which it operates. They can be tested for their being true or false.
A larger implication than a factual proposition as they are predictive but are also a selection of one set of future state of affairs over the other in preference. Its objective is to direct behaviour towards the selected alternative. This makes the decision not only factual but also ethical.
- **Ethical:** The decision being correct or not, involves ethics intrinsically using ethical terms, such as 'ought', 'good' or 'preferable'. This basic premise has been put forward by the proponents of logical positivism. To decide if a selected factual proposition is correct, given below are the considerations to be kept in mind.
 1. The propositions must be compared with facts and experience in a direct relation.
 2. The sequential deductive logic to the first one is that a factual proposition cannot be arrived at from the ethical ones because they cannot be compared, being normative.
 3. Ethics cannot be related in a factual sense.
 4. Ethical decisions may not be correct or true.
- **The Evaluation of Decisions:** Since administrative decisions have no way to be scientifically tested before them to be correct, they can be evaluated relatively. The objective that had been set when the decision was taken can be assessed with respect to the extent. Ethics become a part of the rational decision-making in two ways:
 1. The values that are considered as organizational objectives must be stated clearly so that it is easy to assess; and
 2. The values be such that a clear judgement can be made regarding the probability that particular actions will implement these objectives.
- **The Role of Judgement in Decision-Making:** Judgement of a decision in its division of ethical and factual is very different but can be solved by the implication of the word, 'factual'. The things that are factual in the observable world can be tested to be true or false. Facts are essential while making a decision but whether it is true or false cannot be predicted. Judgement is relied upon when various factors affect the decision.
- **Different of value Judgements in Private and Public Administration:** Simon discusses the difference in value judgements in private and public management. The major difference lies in the setting of objectives and the processes employed to execute them. The types of organizational objectives that are fixed in private management are fixed by a Board of Directors and stockholders whereas in Public Administration, it is the Legislative body.

Policy and Administration

Simon gave the two essential elements, fact and value, in decision-making but they cannot be kept separate for a long period. The objectives set by the management drive their value from the means-ends relationship connecting them with the activities, which have their own value. For the realization of objectives, the value state changes in order to achieve the end. The values of fire service remains a value as long as the final objective of controlling fires by fire department is fulfilled, given below:

Simon talks about intermediate values and further sub-divides the process of decision-making into two major segments, given below:

1. A system of intermediate values and their evaluation on relative basis. It would involve factual as well as ethical elements.
2. The second segment would consider all possible alternatives in terms of the value system and would constrict itself to factual elements.

The logic behind this separation of intermediate values is the different standard by which correctness has to be applied to both the elements of fact and value. The correctness refers to subjective human values and on the other hand, the 'correctness' applied to factual decisions implies objectively in the empirical truth.

PRINCIPLES OF DISTINCTION BETWEEN FACT AND VALUE

Simon, himself found the subject of distinction between fact and value in decision-making a confusing and controversial one. However, he gave the following principles regarding the difference between the factual and ethical elements of a decision.

- Invention of procedural devices to assist in the separation of fact and value in democratic institutions.
- The decision to be made should be controlled by the ratio of fact to ethics in issues with the help of procedural devices to have a smooth and justified process.
- The legislative body must have access to information and advice to make factual decisions. Factual information must support the alternatives and their consequences.
- Lastly, the administration or the legislature have to make many ethical judgements in response to the values upheld by the community and the administrator's judgements and accountability must be considered.

In reality, these principles might not be followed to divide the work between legislature and administration of a public agency. This could happen due to:

- The legislative body will avoid taking policy decisions and would tend to pass on to the administrative agency.
- An administrator may have his independent views and values instead of being neutral and complaint in decision-making.

However, the Legislature and the administration needs to be kept as separate agencies as much as possible. Simon clarifies that the term 'factual premise' does not necessarily imply it being correct empirically but can be a belief or an assertion of fact. Individuals use beliefs as a part of their decision-making inputs and become factual premises.

Q7 *Autonomy of private organizations has a relevant role in administrative behaviour (Simon). Discuss.*

Ans. Since technology has taken over all spheres of our personal as well as organizational lives, whether private or public, it becomes unenviable that organizations take help of expert opinions of technocrats to take decisions. The major flaw in taking help from technocrats in making decisions is that values might be ignored or compromised. In a private organization, there are two issues in the separation of fact and value, given below:

1. **Choice of Basic Values:** The first issue would be the 'who' and 'how' of the choice of basic values. The answer to 'who' in private sector of profit organizations would be the owner per law but in a non-profit organization, the trustees choose the values. The 'how' of this question is researched and analysed to some extent to control the corporate policies to resist personal benefits due to their positions.

2. **Gap between Goals:** The gap between the goals set by a private organization and as wanted by the community needs to be addressed to bridge its gap. A private organization, as proposed by neoclassical economists, in a free market economy must produce with maximum effectiveness to ensure maximum profits.

The private companies have to respond to the consumer choice and with little regard for values, provided the economy has a perfect competition.

Q8 How is rationality important in administrative behaviour in Simon's Theory of Decision-Making?

Ans. Correctness of an administrative decision is seen in relation to other alternatives and is correct if the means selected, achieve the desired ends of decisions. There is a need for the rational administrator to select effective means to reach a sound decision and have rationality in administrative behaviour. The objective environment of decision and the consideration of the results that will commence because of that choice is relevant. Rationality involves set of one choice out of the various available alternatives. The varied alternatives would have varied results though the choice made by the administrator may not be necessarily rational.

Good administration implies realistic behaviour that can be related to the ends. Given below is how rationality is important in administrative behaviour according to Simon:

1. **Means and Ends:** Simon states that facts and value are directly linked with means and ends while making a decision the best possible means one selected out of the available choice, to reach the desired ends. However, the ends in turn becomes mean to achieve greater goals making a means-ends chain that must be linked with rationality.
2. **The Hierarchy of Ends:** The means-end relationship work towards the integration of behaviour. It is for the decision-maker to segregate the means that will serve the ends and some means for distant ends. So, the goals must be prioritized and placed in a hierarchical order. Each level must be considered as an end relative to the levels below it and as a means relative to the levels about it.

This hierarchal structure of ends leads to accomplishment of integrity and consistency for each employee-typical pattern of behaviour alternatives to reach the final goals. Conscious integration is found to be lacking in reality. The hierarchal structure is more like a complex web rather than a linear one. This complex web consists of disintegrated elements that become weaker as the hierarchal level increases.

3. **Organization by Purpose:** The hierarchy of means and ends exists in an organization as well as in individual. Organization by purpose makes it possible to keep the organization structure in a parallel to the system of means and ends to achieve the purpose.

However, the means-end hierarchy is as complex as it is in individual behaviour. The organizational activities hardly are in sync even with the objectives when they are formulated.

Usually, the cause for the lack of integration is due to shifting away from formulating a policy about a controversial issue.

It can be clearly said that the organization as well as individuals are unable to keep their behaviour integrated via the means and end relationship.

As a result of their rational behaviour, the hierarchy of means-ends also remains complex and inconsistent.

Limitations of the Means-End Scheme

The means-end hierarchy in explaining rationality in administrative behaviour demands for some conditions to be met to be successful. It has been observed that there are some shortcomings in the means-end scheme, given below:

1. **Failure in Consideration of Alternatives:** It is seen that the ends of a specific choice of behaviour alternative are not comprehended correctly. The other alternatives are also not considered wisely. Since the pre-condition to rational decision-making is the comparison of alternative means specifically with respect to ends, efficiency must be its guiding factor but this process is compromised most of the times.
2. **Separation of Means and Ends not Possible:** In most of the situations as in reality, an absolute separation is not possible because the alternative means are not commonly neutral in value. All alternatives must be weighed in with equal consideration.
3. **Time Element in Decision-Making:** The means-end scheme of things makes the time element in decision-making ambiguous. It is confusing to focus if there are more means over a period of time in the means-end chain. Choice has the problems of deciding which alternative to be dropped at that time and how to limit the ends at a given point of time. Thus, these limitations of the means-end relationship, however, do not discredit its significance. The time-binding character of strategies must be given its due importance to reach rationality in behaviour. The time factor needs to be supported by knowledge to improve the decision-making process. Group behaviour adds to the decision-making process as in an organization, whether public or private, it is not an individual only who is responsible. A common goal has to be reached by a collective effort. Behaviour is adjusted and modified when competition enters into a decision.

Q9 *Discuss the concept of rationality according to Simon.*

Ans. Rationality has been built up as a concept by Simon. He mentions that clarity in a decision-making process does not imply simplicity. Rationality is concerned with the selection of preferred behaviour alternatives in terms of some system of values whereby the consequences of behaviour can be evaluated.

A decision can be called 'objectively rational' if, in fact, it is the correct behaviour for maximizing given values in a given situation. On the other hand, a decision is 'subjectively rational' if it maximizes attainment relative to the actual knowledge of the subject. Simon explained rationality in the following terms:

1. **Consciously Rational:** A decision is easily rational to the degree that the adjective of means to ends is a conscious process.
2. **Deliberately Rational:** A decision is deliberate to the degree that the adjective of means to end has been deliberately brought about, whether by an individual or an organization.
3. **Organizationally Rational:** A decision can be organizationally rational if it is oriented to the organization's goals.
4. **Personally Rational:** Simon termed the decision personally rational, if it is oriented to the individual's goals.

All these kinds of decisions can be considered a part of an organization's decision-making.

Motivation and Emotion in Decision-Making

Usually, reasons and emotion are perceived as two polar opposites in human behaviour in a rational perspective. Our emotions cloud our judgement and avert our behaviour to be rational or even bounded rational. At a conscious level, only a few things can be dealt with by human being at one time besides the automatic physiological functions of our bodies. Actions requiring thought can only be done one at a time, although time-sharing can be done with either non-serious things or when something goes wrong.

However, time-sharing is an essential need to carry out all our tasks to achieve personal or organizational goals.

Emotions are connected with exterior stimulation some past experience.

These two elements trigger a response to alter human behaviour with emotion connected to it. Emotion is the elementary and the main source of motivation, steering human behaviour towards the goals, in sync with the decision. The common perception that thought is inimical to emotion but the opposite is true as to reach a goal, we need to be motivated backed by emotion.

Emotion as a Force: Emotion acts as a force that assists direct action to achieve particular goals. It works in conjunction with reason when it comprehends the importance of permanent and larger goals whereas it works against reason when, as Simon put it, 'It hastens decision unduly and narrows too far the range of possibilities and consequences that receive consideration in the decision process.'

Q10 Elaborate on the psychology of administrative decisions.

Ans. The Psychology of Administrative Decisions: Simon's basic premise regarding the psychology of administrative decisions is that 'it is impossible for the behaviour of a single, isolated individual to reach any high degree of rationality.' There are various components that an individual has to consider to reach a rational decision to set course for his behaviour like:

- The number of alternatives that he must explore.
- Evaluation of the alternatives is vast to reach objective rationality.
- Individual choice bases.

A very important factor that shapes the decision is the psychological environment of the choice in achieving a higher degree of rationality as it can be deliberately chosen and modified. Even though it is an individual concern, since he/she is a part of an organization, it becomes an organizational matter. Simon states, 'One function that organization performs is to place the organization members in a psychological environment that will adapt their decisions to the organization's objects and will provide them with the information needed to make these decisions correctly.'

Limits of Rationality

Individual behaviour must perforce fall far short of the standard of rationality as given by Simon. Rationality is succeeded by moulding all behaviours of an individual or an organization into an integrated pattern by:

1. Considering all behaviour alternatives before a decision is made in a wider perspective.
2. Taking into account the whole complex of consequences that would occur after making a choice and
3. Keeping the value in focus, selecting one alternative out of the available choices.

Behaviour consists of a mosaic character. Each element has to be integrated into a pattern to reach the common organizational goal although these goals keep changing along the way of its implication. Simon says:

'Behaviour reveals "segments" of rationality—that behaviour shows rational organization within each segment but the segments themselves have no strong interconnections.

The limitations of objective rationality can be, hence, enumerated as:

1. **Knowledge:** Extensive knowledge and an assessment of the consequences as a result of choices made is a pre-requisite of rationality although it is fragmentary.
2. **Anticipation of Values:** As the consequences are predictive in nature, the conception and determination of the value element in a decision can be only imagined and can never be accurately done.

3. Alternative Choices: It is difficult to conceive all alternatives to reach objective rationality.

- Individuals do not have a detailed knowledge of any given situation, but it is most essential to reach rational decision-making. However, this limitation can be overcome with a working procedure in place. Secondly, relevant knowledge and information is crucial to the rational choice by connecting a limited set of factors upon which the decision is based to a closed system of variables.
- Anticipation can differ from actuality as values keep shifting with time and preference. Valuation becomes restricted with respect to accuracy and consistency. The 'risk' factor in the consequences as imagined and visualized presents a clear picture but difficult to do so. Visualization of risk leads to avoidance of that outcome.
- At the time of selecting a specific alternative, only a few come to mind as possible behaviour alternatives. Since each alternative has distinct consequences, it follows that many sets of possible consequences never reach the stage of valuation, since it is recognized that they are possible consequences of available behaviour alternatives.

Purposive Behaviour in the Individual

Any individual activity is purposive in nature. Simon gave some characteristics of the psychological process of choice which are given here in brief:

- 1. Docility:** Each individual observes the consequences of his movements and adjusts them to achieve the desired purpose by achieving the integration of the human being exhibiting docility. Docility has following features:
 - A stage of exploration and inquiring followed by a stage of adaptation.
 - The human being's process to observe regularities in nature of a general sort and to communicate with other human beings, helps him to shorten his learning process.
 - Communication gives the human being the advantage in learning so that behaviour maybe adapted to the purpose.
- 2. Memory:** The role of memory is significant in achieving rational behaviour as it is the stored information that an individual can recall to solve a new problem that is of the same kind that had occurred in the past. Memory can be stored in mind by an individual or documented in an organization.
- 3. Habit:** Habit permits conservation of mental effort by withdrawing from the area of conscious thought those aspects of the situations that are repetitive. Habit forms an extremely important task in purposive behaviour as it permits similar stimuli or situations to be met with similar responses or reactions, without any requirement for fresh thought or action. Methods of handling recurring questions becomes matters of organization practice, documented as process and procedures in manuals, do not need any reconsideration. Habit and memory are closely linked.
- 4. Positive Stimuli:** Normally, the choice made for a decision involves some hesitation to review all the alternatives which allows for a psychologically sophisticated level of behaviour. Simon distinguished between hesitation choice pattern and the stimulus-response pattern of behaviour but a longer period of hesitation could lead to inaction.

Hence, in actual behaviour, as distinguished from objectively rational behaviour, a decision is initiated by stimuli which channel attention in definite directions and that the response to the stimuli is partly reasoned but in large part habitual.

Q11 *The 'Decision-Making Scheme' and 'Satisfying Model' of H.A. Simon is the major component in the Satisfaction Model of the administrative theory. Comment.*

THE EQUILIBRIUM OF THE ORGANIZATION

Organizational Goals: According to Simon, the equilibrium can be achieved by first understanding the organizational goals. Decisions must be made with a direction by satisfying all the constraints and achieving the goals. Such organizational decisions involve the constraints that determine a satisfactory role but an indirect link with the individual employees who carry out the tasks. The sets of constraints put by the organizational goals can be turned as organizational goals without much connection with the personal motives. The actions opposing the goal must be eliminated.

In a hierarchy of an organization, the senior employees expect cooperation from their subordinates and to advance their goals which will mould the choice of the subordinates accordingly.

DECENTRALIZATION IN DECISION-MAKING

Simon states that as there are large elements of decentralization in the decision-making. Decision-making in any large organization, different constraints may define the decision problem of different positions or specialized units. Individuals working in the organization are not motivated by the organization's profit motive usually, though the organization's main goal would be profit.

Hence, the nature of organizational goals, whether profit or non-profit, designs the structure of the organizational decision-making mechanism to determine the courses of action.

THE SATISFYING MODEL

The survival and success of organizations greatly involve the provision of incentives to the employees to do their task effectively and efficiently. Financial incentives have to be supported by creating a pleasant physical and social environment. Simon says that people have a tendency to remember the earlier days as the golden age when there were no advancements in education, technology or effects of pollution. The quality of life is significant to motivate a person to do his job well.

The Satisfying Model is explained by Simon by focussing on the levels of work satisfaction with respect to the attachment to or alienation from work by employees. Important points covered in this model are given below.

THE WORK OF THE EXECUTIVE

According to William H. Whyte, 'The Organizational Man' was an executive who has sold his soul to the corporation. He dressed as it wanted him to, lived as he wanted him to and thought as it wanted him to. Most important, he was loyal to the group, conformed to the group norms and made his decisions and did his work through group processes. It was no part of his role to express his individuality, to innovate in solitude or to dissent from the gap consensus.

This was an expression of reminiscence for an individualistic protestant ethic being replaced by a social ethic. According to Simon, a balance must be reached between the individualistic ethic and the social ethic. Simon gave few important points regarding the 'Satisfying Theory' which are:

1. **Dissatisfaction with Job:** Individuals look for satisfaction in other parts of their lives if they do not find it in their jobs. Computers have affected the extensive work at varying levels of an organization and have downsized by replacing human resources. So, the managers can pay more attention to

goals over a longer period. Computers have also improved the information flow and communication. So, the employees are relieved from the boring routine with the help of computers. There can be lateral transfer of responsibility to alleviate boredom.

2. **Golden Age Myths:** The pre-industrialized society was as happy as they were in the Golden age. Alienation and isolation of individual workers were observed by many scholars and researchers. The fears of Karl Marx are being voiced now due to computers causing automate factory and office work. The charges were that the Industrial Revolution de-humanized work and the computers worsened the situation.
3. **Automation and Alienation:** Computers have brought a vast change in the working of the organizations. There were many studies conducted to gauge the levels of job satisfaction amongst employees and it was observed that 80–90% responded, 'satisfied' or 'reasonably' satisfied' with their jobs and even today the results are same. So, it can be safely concluded that automation has not led to alienation.

However, some reaction to automation that was studied was of fear of job prospects being replaced by computers. This can be due to human nature's resistance to change though not in entirety. It can be moulded by presenting it in such a way that it elucidates a positive response from the workers.

So, it is difficult to discern the reason for the reaction arising out of genuine resistance or wrongful presentation.

Alienation and Authority Relations

The basic purpose of automation is to reduce the number of employees. Gradually, the concentration of hiring employees shifted to service sections and automation took over the routine and clerical jobs. The service sections involve public dealing, leading to positive humanizing aspect of a job.

Secondly, as a result of networking their computers, hierarchy has taken a backseat in the total system of communication channels. The promotion of video conferencing and working from home has pushed the employees away from a social environment allowing face-to-face interaction in an office.

Here, the top management has to devise ways to impose their authority in an acceptable manner so that organizational goals are not ignored.

Summing up, it can be said that industrialization or automation has not led to alienation of the employees. The employees are not satisfied with the machines or computers, rather they need to learn ways to cope up with an intrinsic human nature character of alienation. The working environment needs to be more socially adaptive and interactive. The organizations today make an effort in humanizing the environment by organizing periodical team lunches or dinners, outings and events to promote social interaction.

Q12 *Simon discusses how an organization fits the individual behaviour into an overall pattern to influence his decisions. What are the two aspects of influence that can be distinguished?*

Ans. Simon discusses how an organization fits the individual behaviour into an overall pattern to influence his decisions. there are two aspects of influence that can be distinguished, which are:

1. The stimuli with which the organization seeks to influence the individual, and
2. The psychological 'set' of the individual which determined his response to the stimuli.

These may be termed as the 'external' and 'internal' aspects of influence, respectively and work in juxtaposition instead of separately on authority, communication, training, efficiency, and identification (Organizational loyalty). Simon defines decision as a conclusion drawn from a set of premises value and fact, arising out of the five factors mentioned above. A coupled of considerations regarding authority are:

- Authority primarily affects the individual behaviour of employees in an organization.
- Authority formalizes the organizational structure.

Group Mind: In an organization, individuals usually form a group and get united to become an organized behaviour to exhibit a coordinated group behaviour. The group mind does not have any transmission of nerve impulses. Coordination among organizational individuals occurs when a plan of action is formulated for the group and communicated to it. Authority plays the main role in acceptance of this plan. Individual behaviour is guided by other group members owing to the coordination and expectation of other members. This results in a group plan out of habit or reflex, for example, a soldier obeying a command to attack.

Simon comments on such coordinated individual behaviour in the following words.

‘... he sets himself a general rule which the communicated decision of another to guide his own choice (i.e., to save as a premise of those choices) without deliberation on his own part on the expediency of those premises.’

AUTHORITY

Authority as defined by Simon is, ‘The power to make decisions which guide the actions of another’. It is a relationship between two individuals, a superior and a subordinate. The superior makes and communicates decisions to the subordinate with an expectation to obey them while the subordinate expects such decisions and acts accordingly.

A relationship of authority can exist when the two participants, superior and subordinate, behave with this expectation.

Given below are the behaviours/patterns of a superior and subordinate/subordination:

Table 14.1: Behaviour Patterns of Superiors and Subordinates

SUPERIOR	SUBORDINATE
A superior frame and communicates decision with an expectation that they would be accepted by the subordinate.	A subordinate expects such decision and behaves in a manner to fulfill it.
A superior delivers his decision as a command that involves the other's behaviour to take a course as a choice.	A subordinate's behaviour is determined by an 'indeterminate' decision selected by his superior, accepting the 'choice' made for him rather than using his own critical faculties.

These differences bring out the fact that subordinate/subordination behaviour can be determined by a command for that moment but not the next and moreover action may not necessarily be considered as a result of a command. This implies that there are two aspects to the individual behaviour:

1. An expectation of obedience by the one.
2. A willingness to obey by the other.

Influence and Authority

Individual behaviour can be affected by persuasion or suggestion which shows that there could be an influence without any relationship of authority.

On the other hand, authority is seen when a choice is made out of obedience. Sometimes persuasion, suggestion and command co-exist at one given point to reach a conviction to make a choice. These three elements generally overlap each other.

Conviction: Conviction usually results from the social transmission of factual statements even in the absence of proof. Simon explains this with an example of a patient taking his medicines prescribed by a doctor without any doubts or demands of proof. A major factor that plays a role is the expert status of the individual who is transmitting his decision as a command. Which is why recommendations of experts are accepted way more easily than a non-expert and also because the individuals accepting the recommendations or decisions are not experts themselves. Hence, a balance between specialized decision-making and fixing of responsibility with expertise must be maintained to achieve organizational efficiency.

Authority and the 'Last Word'

Simon said that usually a subordinate accepts commands either in line with his own choices or against it in case of authority. There is acceptance of a decision. Also, as mentioned earlier, out of expectancy. Expectancy refers to a situation where the organizational employee accepts the decision because it is expected by his superior to act in the instructed manner

There is acceptance of a decision, also as mentioned earlier, out of expectancy. Expectancy refers to a situation where the organizational employee accepts the decision because it is expected by his superior to act in the instructed manner

In case of a dispute between two individuals which is not resolved via persuasion or discussion to reach conviction, authority plays the final role, that is, it has the right to have the 'last word'. It follows from this logic that, 'the more obedient the subordinate, the less tangible will be the evidence of authority'. This means that authority would have to be exercised only if there is an absence of expectancy and obedience in case of a reversal of an incorrect decision. Friedrich explained this by giving a 'Rule of Anticipated Reactions'. Due to the exercise of this rule, it becomes difficult to identify authority relations because of 'power' situations.

The Sanctions of Authority

There are various circumstances that prevail in the exercise of authority. The most important factor that plays a role here is the socially 'expected' conduct which is determined by the institutions of a society. The degree of the expected obedience varies according to the situation which makes its range as wide as the ambiguous and varied individual human behaviour. The present generation is less proven to obedience as its predecessors for various progressive reasons and limiting terms of the employer's contract. Secondly, professional experts have a limited zone of acceptance as per their job description.

Factors of Authority Sanctions

There are various factors affecting the acceptance the of authority in an organization which are given below.

1. **Social Sanctions:** The society sets norms for obedience otherwise and if not conformed, the individual would face strong disapproval from his fellow employees. If an employee does not accept his superior's command, the social sanctions might affect and decrease the effectiveness of authority.
2. **Psychological Differences:** Enforcing authority involves psych differences between individuals as some personality types follow leaders and authority more easily than others. There are psychological tests that are conducted to measure this personality trait through a lot of refinement and research.

3. **Purpose:** 'Purpose' is an important factor of sanctioning authority in public administration as coordination achieved by accepting authority to execute decisions serve in accomplishing the ultimate larger organizational goal. The conditions have to be met if the purpose has to be effective in sanctioning authority.

The employee must have confidence that the command issued by his superiors will serve the larger organizational purpose. He may accept commands even if he believes the decision to be incorrect because he may not want to go against authority basically because he does not wish to harm his long term career.

4. **Formal Sanctions:** Job and economic security and its relation with status determine more formal sanctions. Most employees show obedience while accepting commands from authority. However, the importance of formal sanctions gets diminished as the management usually ignores insubordination if it is not verbal and the fact that many employees do not aim for promotion.
5. **Acceptance of Responsibility:** Individuals who do not care for the larger organizational goal or unwilling to be ambitious for promotion, tend to avoid responsibility. This becomes the major reason to accept authority's decisions. They do not want to take responsibility of the consequences of incorrect decisions.

Limitations of Authority

The organizational employees who are subordinates make a sphere of acceptance and the superior also makes choices within that area of acceptance. The areas of limitations of authority are:

1. **Poorly Defined Objectives:** A voluntary organization would have the narrowest range of acceptance whereas an organization scale like an army would have the broadest area of acceptance.
2. **Restraint of the Superiors:** Modern administration thinkers have proposed that there is more to acceptance of authority by the subordinates. The superior also need to be restrained to use authority and make use of alternative methods of influence to achieve a state where the subdued acquiesce voluntarily.
3. **Extent of Leadership:** Authority is criticized in the area of acceptance of political leadership questioning the extent to which they will lead. In reality, if the people do not get what they want, they will abandon that leader.

Uses of Authority

Authority steers an organization to achieve the organizational purpose by separating decision-making processes from actual performance, which Simon called vertical specialization in decision-making. The uses of authority are briefly enumerated here:

Subordination of Specific to General Decisions: Subordinates submit their behaviour to the decision makers to achieve coordination in the organization hence utilizing authority.

Vertical Specialization

A unit within an organization may be given the task of advice and recommendations which are their accepted by others. So, the advisory unit indirectly uses authority are given below:

1. **Responsibility:** The legality of authority is that it can enforce compliance of group norms on individual behaviour or by the people having authority. Legislative enactments have to be accepted by all under its jurisdiction and non-compliance elicits sanctions against such employees. Enactment of laws rules could also come from other organization like the church or family.

Authority without responsibility does not hold any significance nor without sanctions. Enactments outside state are usually of an ethical nature rather than legal sanctions.

2. **Expertise:** In an organization, authority needs to ensure that the decisions made comprise of a high standard of rationality and effectiveness. Specialization plays a vital role in the accomplishment of administrative efficiency. Specialization takes the responsibility of good decision-making rather than the actual process of 'doing' skills specific to a job are required to take participative decisions so that the subordinates accept the decision. An organization is usually divided into sections and sub-sections that make specialization workable.

In an organizational hierarchical set-up the individual possessing the required specialized skills are identified and appointed to take such specific decisions to make them acceptable and if this case cannot be created, authority does not become executable. In some situations one needs to go beyond the formal structure of authority to evince innovation. Expertise is used in area of all types of information but if it is lateral, then authority sanctions cannot be applied.

3. **Coordination:** The third use of authority is to ensure coordination and is maintained in an organization distinct from expertise. Coordination is essential to make sure that all employees accept the same decision to reach the desired objective. Here, centralization helps the functions of decision-making so that one general operational plan emerges to administer all activities in an organization. Coordination must be applied in both the aspects of the procedure as well as the substantive senses. The procedural coordination establishes the authority flow while laying out the areas of activity and authority of each member of the organization.

Q13 Discuss the concept of Unity of Command according to Simon.

Ans. Simon observed that the principle of unity of command, as stated, lacks in some aspects however, an employee, perforce, has to disregard one command if he gets more than one to execute it and comply. However, there may be situations where he might have to accept non-conflicting commands from another department to complete his job in all aspects. Care needs to be taken that an employee is not placed in an awkward situation of following two commands and responsibility must be fixed.

Simon gave four methods of conflict—resolution in authority while using unity of command.

1. **The Traditional Situation:** There is only one boss who uses his authority to give orders.
2. **Conflict:** There can be multiple orders from many superiors but the worker must have a protocol to follow in case of a conflict.
3. **Division of Authority:** Each organizational unit is given specific jurisdiction where each individual can for has to follow one authority.
4. **Ranking System:** In case of conflicting orders, the employee ranks the orders and follows the last one received while communicating it to the authority who issued the order.

These procedures can be used individually or in conjunction in an organization.

A hierarchical pyramid of orders allows the traditional authority or conflict to avoid sort them out. In case of a conflict, the issue is taken to the common superior to resolve the problem by identifying the person who would decide. Hence, a consensus emerges that a compromise can be reached between the two theories:

- (i) Lines of authority in the hierarchy facilitate the normal channels for the flow of command/ however, not exclusive.
 - (ii) When there is more than order, hierarchy assists in conflict resolution.
3. **Division of Authority:** Division of authority is derived from hierarchy of authority on the basis of the special nature of tasks and is called a functional allocation of authority. This division of authority based on subject matter of task is distributed via instructions and manuals to clarify the activities with respect to authority and decision-making. General rules and protocol are devised beforehand in case of a conflict.

Allocation of authority can be achieved in two situations as:

- (i) The limit to which it helps or acts as a barrier in successful completion of work.
- (ii) The limit to which jurisdictional conflicts are reduced by the allocation of authority.

However, the division of authority must be modified and adapted according to the division of work as per the nature of tasks. Jurisdiction of authority becomes difficult in some cases where the organization is established on diverse principles of line and auxiliary or functional or geographical to settle disputes. An appellate authority becomes essential deteriorious where the legality of the issue will be examined. The adjudicators must take care of the following while resolving the conflict that

- (i) Impact decision will have on the lines of authority
- (ii) On the organization policy and
- (iii) The information that he would gain from the conflict w.r.t. the validity and competence of his employees.

Rank: Ranking system is usually found in military organizations.

Hence, a compromise between hierarchy and authority in case of a conflict works well as a mechanism. Disputes help the administrator to gather information about his subordinates to be better equipped to manage and resolve conflicts.

Q14 How does Simon differentiate between Formal and Informal Organizations?

FORMAL AND INFORMAL ORGANIZATIONS

A formal organization involves laying down of specific lines of authority which help in maintaining procedural coordination. Authority is connected with formal organization in two ways:

1. Fixing of authority to enforce formal organization and
2. The formal organization fixes lines of hierarchical authority and division of work itself.

However, the formal organization as laid out and as in practice are two different things in ways given below:

- Interpersonal relationship might not figure in reality.
- These interpersonal relationships may be directly inverse to the specified norms of the organization.

On the other hand, an informal organization involves the interpersonal relations in the organization impacting divisions which might be missing in the formal organization.

So, every organization survives successfully with the co-existence of formal as well as informal organization. However, the formal organization ensures that organization politics does not prove to be deteriorious to its functioning. In Simon's words,

'A proper allocation of duties and the maintenance of adequate channels of communication may both believe the need for the growth of informal channels and encourage cross-fertilization and attitudes of cooperation within the informal structure.'

Q15 Communication is important in (Simon) influencing decisions. Discuss.

Ans. Communication is an important factor in influencing decisions in an organization. There are four components involved in the role of communication in decision-making:

1. The nature and functions of communication systems.
2. Formal and informal channels of communication.

3. Specialization in an administrative organization
4. Role of training in communication.

These four components are discussed here in brief:

1. **Nature and Functions of Communication:** Communication can be defined as 'any process where by decisional premises are transmitted from one member of an organization to another. An organization cannot survive without defined channels of communication. Leading to the swaying control that group behaviour has on an individual. Given below are some important features communication has:
 - (i) **Techniques of Communication:** It is extremely important that the techniques of communication are put in place as they establish the procedures and flows the way the decisions are taken and processed. An employee will not be able to take sound decision if he is not provided with the information he needs to do that and consequently pass on his decision to other levels of heir so that the decision can be implemented.
 - (ii) **Two-way Process:** Communication in an organization is a two-way process involving:
 - (a) The transmission to decisional centre of orders, information and advice to make decisions.
 - (b) The transmission from the decisional centre of decisions to other parts of the organization. Communication flows upwards, downwards and laterally in an organization
 - (iii) **Communication Originates at Various Points:** Information that would influence a decision arises at various points in an organization. The employee-hiring for specific job is done purposefully to be able to provide information that would have relevance for a particular decision. The decision-making power can be allocated to those individuals who have the expertise to do a specific job. Since it's not possible that an individual can have all the information required to make a decision, other members of the organization are involved requiring a proper channel of communication to transmit information. The only exception to this feature of communication is in the case where an individual is responsible for a decision.
2. **Formal and Informal Organization:** Formal communication system established in an organization works with the equally significant informal communication flow constructed on social inter-relation within the organization. The various forms of communication are oral communication, memoranda and letters, paper-flow, records and reports and manuals. Oral communication does not serve a formal organization beyond a limit. Since higher officers maintain a proper channel of physical meetings, oral communication cannot be freely done. Telephonic communication also are not effective. Memoranda and letters form effective means of communication more than oral communications. Although no strict requirements are formalized to issue letters for communication at every level but they are usually used for correspondence.

Paper-work is used as a medium for communication especially in financial companies, for accounting, policies, premiums, etc. Case files need to be prepared for clients and the departments to move from one point to another.

Records and reports are prepared after the decisions are taken and transmitted to notify what has been done. Lastly manuals are an important form of formal communication to communicate the organizational practices to the employees to follow a protocol.

Informal communication supplements the formal channels of communication by way of information, advice, and orders also. This importance of informal communication is so great that the actual system varies from the one that was specified in the original formal organization. Informal groups develop their own dynamics and leadership is formed. Authority relationship is also established which enables the group to follow the 'natural leaders' via shop talk'.

Friendliness and cooperation is also encouraged by the administration so that the informal communication system will help the efficient operation of the organization instead of conflicts

although it is observed that the informal group sometimes work for their personal gains and rivalry develops, which has to be eliminated. Formation of informal group occurs as a consequence of the failure of the delivery of the formal structure. As a result, the informal group resorts to gossip and inaccurate information is circulated within the organization affecting its effectiveness although it forms a public opinion and the administrator can correct his decisions.

Hence, personal motivation and communication influence the informal communication system. Upward flow of communication is facilitated only if:

- (i) The information does have an adverse effect on the transmitter.
- (ii) The boss will be informed eventually, so the transmitter decides to give that information himself.
- (iii) The information has to be passed on to avoid displeasure of the superior.

So, an organization develops decision centres, headed by executives with their own teams to facilitate the communication system in handling of its 'official memory'. The most specific decision centre is the Budget Division especially in the government. There is an expert system of maintaining memory in classifying the documents as confidential, routine, etc.

4. **Training and Communication:** Training is an essential component in transmitting decisions from and to the decision centre. Specialists are required to disseminate the decision on various grounds, like the legality of the issue manuals passed on to give instructions and training may be imported to the selected personal. Formal training helps the new members to learn the complicated tasks in a relatively short time. Mostly training occurs right after their recruitment.

Simon differentiated training into, 'how to do' and 'what to do'. The 'how' part of the job is generally managed by the supervisory staff. Given below are a few important parts that emerge out of the observation of formal training.

- (i) **Motivation:** The trainee must have personal motivation to learn the task. This difficulty is perceived more in the case of old employees to be trained for a new task.
- (ii) **Deference:** The trainee must have a reasonable amount of deference towards the trainer but this becomes a problem in case of in-service employees. This can be achieved via the conference method where the in-service employees are led to the illusory belief, that they are contributing new and creative ideas.
- (iii) **Training in Decision-Making:** In cases, where decisions of the same nature have to be taken, training can be used as a method to provide a frame of reference for the thinking of approved solutions and values that he can freely use.

Hence, training assists in the exercise of formed authority out giving out commands.

5. **Computers and Communication:** In the present-day context, one cannot think of communication, without computers, although it is another medium rather than being communication. The 'medium is the message' is not the point here. The content of the message is more relevant in a system of communication. Simon talks about an information explosion monitoring two points, which came out in the New York Times.

- Stock exchanges submerging under a tide of paper, and
- A limit may be reached by 2000 to absorb information except by some gifted individuals.

These predictions at that time were examined by Simon through the study of the elements of stability and change in human affairs. Change is happening rapidly regarding economic and technical dimensions. Computers are a medium to ease out information flow and improve communications but it will definitely not produce utopia. However, the computers have proved to be great general-purpose information-processing devices and have now become specialized with new software being developed every day. The computer simulation techniques and artificial intelligence make us learn how the human being learns and thinks.

Simon gives an interesting argument against information explosion. He said that information does not have to be processed just because it is there, like we don't have to answer the telephone if it is ringing.

Lack of right information, sometimes, becomes a problem instead of lack of information in the decision-making process. The limitation lies in our capacity to attend to the information. Irrelevant information needs to be ignored and use the relevant information selectively to have sound decision-making.

Another point against information explosion is that science does not advance by an information pile up but rather organizes and composes the information. It makes us find the right way to summarize and characterize the information and find the pattern hidden in it to compress the vast information into laws. Presently there is the stream of data analytics which has the basic function of processing data for special needs. Science is being developed to find a way to transmit information and how it can be organized for storage and retrieval to use it for problem solving in decision-making.

Effective information processing systems are being developed to make decisions in business as well as in government. There is no doubt that computers are a reality in an organization but the most important component would always remain the 'people' who will use them to achieve rational decisions.

IT APPLICATION TO ORGANIZATIONAL DESIGN

In 1930s, research on human relations in organizations turned their attention from organizational design to the linkage between the individual as organization member and the total pattern of organizational activity. Organizational event must be cultivated in ways that employees get motivated to get interested to join the organization and work towards the accomplishment of organizational goals.

Organizational Design: In a post-industrial society, the problem of the ways to organize to make decisions, i.e., process information, is gaining importance. The earlier view of organizational departmentalization was done by making groups of people but now software technology has changed this dynamic. Simon proposed the system of following information as it flows from one person/computer to another.

Factorization of Decisions and Allocation of Attention

Division of labor involves factoring the total system of decisions that need to be made into reactively independent sub-system designed with minimal humans and computers. All decisional sub-centres must consider the interdependencies minimization via factorization allowing an optimum level of decentralization of the final decision of the subsystems. It involves a maximum utilization of relatively simple and inexpensive devices to coordinate the decisional subsystems.

Factorization helps in decreasing the magnitude of decisions to be taken by the organization with the help of good principles of attention management. Attention management in an organization is similar to what it would imply for an individual. Simon explained Attention management as, 'Processing capacity must be allocated to specialized decision tasks, and if the total capacity is not adequate to the totality of tasks, then priorities must be set so that the most important or critical tasks are attended to'.

Difficulties in Attention Management

1. Simon further says that it becomes a complex delaying situation at the top of the organization where '**parallel processing capacity**' becomes difficult to access without losing out on coordination. The top management can handle only a few items on active agenda.
2. **Interface:** The relevant information required at the top level of an organization is usually beyond the walls of an organization in large quantities. The information has to be identified, obtained and ingested selectively.

3. **Prioritization:** Simon suggested that since attention is a rare element in top management there must be a distinction between decisions that have deadlines in real time and those which can be modified with respect to time lines. The management uses a variety of system design to tackle the different decisions

To sum up, an organization design has to meet two basic demands, in Simon's words:

- The totality of decision problems be factored in such a way as to minimize the interdependence of the components; and
- That the entire system be so structured as to conserve the scarce resource - attention.

IT involves, both human and mechanical tools to make wise decisions. The human component utilizes their stored memory in the human brain whereas the computer is itself a memory but with the problem of sorting of vast information. This problem is easily resolved with data analytics and Management Information System.

Q16 *How does decision-making affect the criterion of efficiency?*

Ans. An organization facilitates the basic premise to make a decision via a system of authority and communication based on facts and values. On the other hand, the internal aspects of the decision need to be analysed to understand how an individual assimilates all these premises to reach a complete decision. The premises include the information that an individual himself has acquired along with the criteria of efficiency and loyalties towards the organization that an individual has developed over a period of time.

Discussed below are the basic considerations in this synthesis between efficiency and decision-making:

1. **The Nature of Efficiency:** The criterion of efficiency in commercial organization is backed by the profit motive. The balance sheet of efficiency comprises of:

- (i) Income maximization, if costs are fixed; and
- (ii) Cost minimization, if income is fixed.

Practically, it is observed that income maximization and cost minimization must go hand in hand. The criterion efficiency is interlined with the organization and conservation objective to sustain a positive balance of output over input.

Output and income can be directly compared because of the common profit motive in a commercial organization but other factors also need to be considered which are not monetary and exist in non-profit organizations. However, non-monetary factors exist in commercial organizations concerning employee welfare or in public interest activities.

2. **The Cost Element in Decision:** All organizations except volunteering organizations involve monetary input in some cases, the money input is considered against the cost for the community to be valued in terms of goods and services that the organization purchases though not completely true in the case of the cost of the services of the employees. Input is difficult to measure while incorporating the employee welfare. This issue compounds in the case of economic stability in a public organization. The criterion of efficiency must be weighed in government agencies too without the public agency's economic effect keeping mind a general equilibrium.
3. **Positive Values in Decision:** Values in a decision are difficult to assess in monetary terms instead of the negative values. The value of the output and the cost of production (input) is the same value in money. In public administration, the money values of output can be measured by the objectives of the activity and their achievement. However, the objectives in a public organization need to be defined prior to their measurement with valid value-indices. Usually, the objectives in the government are of a general and indeterminate nature and present a problem in their measurement.

4. **Relative Accomplishment:** The journey to achieve efficiency via a value decision does not end at defining objectives. It also entails the determination of the degree to which the objective needs to be accomplished along with the value quotient. Government policy formulation usually does not include the factor of degree in objective determination. The value element in decision-making is sustained by the introduction of procedural reform via a modification and extension of budgetary techniques.

The Criterion of Efficiency

A common denominator between the two values of low cost and large results must be identified by weighing the costs. Time and money, with are considered as costs due to scarcity of resources. In the words of Simon, 'The criterion of efficiency dictates that the choice of alternatives which produces the largest result for the given application of resources. Efficiency involves the ratio between input and output, effort and result, expenditure and income cost and the resulting pleasure. This concept of efficiency is being accepted in the present day social sciences. This was opposed to the Scientific Management Approach which understood efficiency as the efficiency percentage of the employee and defined it as the relation between what is accomplished and what might be accomplished.

Efficiency is different in social sciences and engineering as the government computes social welfare. The criterion of efficiency, when applied to administrative decisions relates to the concept of maximum of utility in economic theory and if the administrative decisions are made rationally, the criterion of efficiency also can affect them.

An Assessment of the Efficiency Criterion

Efficiency is assessed on the grounds given below.

1. **Mechanical Efficiency:** Efficiency results in the mechanization of administration although prioritization of alternatives does not restrict the administrative techniques applied to their accomplishment.
2. **Ends Justifying the Means:** Some thinkers criticize it on the grounds that the efficiency criterion spoils the equation between the means and the ends. Ends justify any appropriate means to achieve efficiency whereas means and ends must not be in contradiction. Thus, value elements must be factored in wisely so that means do not remain at a lower level to ends.
3. **Ruthless Efficiency:** The efficiency criterion is criticized for focusing more on the means rather than the ends although it has been countered by the fact that valuation is of the most significance in the criterion of efficiency. Efficiency is related chiefly with the means to cater to the wide scope of ends although means must be separated totally from ends via differentiating between the fact and ethical elements.

EFFICIENCY AND THE BUDGET

The budget making exercise must adhere to rationality by analysing the administrative issues by keeping in mind the positive value element, that is the value and the negative value element, i.e., the cost. An assessment is required through a specific technique enabling the administrator to assess the various expenditure alternatives in terms of results and costs. For a budget to be prove a tool to monitor efficiency, the following modification needs to be made in the existing techniques.

1. **Customary Budget Methods:** A traditional budget states the allocated funds and for the ensuing year and the items it is allowed to spend it on. Usually the previous year's figures are copied by a marginal increase to decrease without any system or a plan.

Such modifications must be evaluated critically and improvements must be made for rationalization instead of a hit-or-miss-process.

2. **The Long-Term Budget:** Since the existing budgetary process has proven to be made inadequate, two documents, an annual budget and a long-term budget must be prepared and presented. The long-term budget needs to be discussed as the annual budget as a part of it.

The long-term budget has the following parts:

- Long-term estimates of trends in problem-magnitude for various departments.
- Long-term estimates of service adequacy.
- A long-term work program, showing work units the services to be delivered to attain the objectives already identified.

3. **Progress towards a Long-Term Budget:** The citizens and the legislature in a society need to be informed about the long-term plan specifying the services that will be given to them but nothing is done on these lines. Moreover, improvement needs to be made to determine a specific degree of efficiency to be achieved via expenditures made.

Hence, improvement in the governmental decision-making processes in the Legislature as well as the administration, comprising the Budget Document, is required to:

- (i) Allow an effective division of labour between the policy-forming and administrative agencies; and
- (ii) Emphasizing on the social production functions and their role in decision-making.

Quality and intermediate goals must be specified to ensure that the public activity is carried out proper reporting and documentation, using the latest ITs.

Q17 Write down a critical assessment of Simon's Theory of Decision-Making.

Ans. Simon's work can be summarized as comprising his concept of 'The Economic Man' giving a framework of the ideal and the rational model of decision-making.

- The administrative man which describes the decision-making process in reality;
- Organization perspective; and
- Design perspective explaining design and application of IT.

The critical arguments given by various thinkers against Simon's theory of decision-making are given below:

1. **Schizophrenia Economics:** Simon defined economics as 'the science that describes and predicts the behaviour of several kinds of economic man—notably, the consumer and the entrepreneur'. Behaviour compiles that Economics is investigating the economic behaviour using applied psychology. He connects Economics to the social and the artificial sciences. Social Sciences refer to human behaviour which investigate the rationalized behaviour under certainty and uncertainty.

The criticism against the definition of Economics is:

- (i) Economics is defined as 'a science which studies human behaviour as a relationship between ends and scarce means which have alternative uses implying it to be a study of economic behaviour'. So, the economists find Simon's view of economics different from theirs.
- (ii) Since economists give 'The Economic Man' the quality of being capable of measuring and weighing in terms of a consistent value structure all alternatives open to him in the decision-making process. Simon, however, does not conform to this view.

2. **Incomplete Information:** The Rational Model of decision-making assumes that people have full information about all possible alternatives which is not true. People involved in the decision-making theory rarely have complete or perfect information. The critics state that other models of

decision-making consider the probability to frame outcomes rather than assuming that the individuals in an organization used always be aware of the outcomes.

3. **Individual Rationality:** 'Simon's individual rationality is restricted due to the individual ability to conduct analysis and access via all possible alternatives. Making rational choices becomes a difficult task as they are limited due to the degree of difficulty and complexity rises.
4. **Measurement of Factors:** Simon's optimization of benefits and minimization of cost is criticized on the ground that individual choose an acceptable option instead of an optimal one as it is quite complex to measures and evaluate factors out of the all possible alternatives, accurately.
5. **Insufficient Theoretical Frame of Reference:** The Simon's decision-making theory lacks in the explanation of the from a whole perspective. The weaknes are that it:
 - Fails to elaborate on the organizational phenomenon;
 - Ignores the social, historical, political, economic and cultural factors;
 - Does not accept non-rational human behaviour; and
 - The model of 'Satisfying Man' has a restricted predictive value.

Simon fails to explain the principles of deciding while changing from one task to the next and their reasons, more empirical work and theoretical modeling in Simon's decision-making theory is required to remove the ruggedness in the concept of bounded rationality.

6. **Fact and Value:** Simon includes the factors of fact and value in the decision-making process. The question of empirical observe, simulations and expt. is left unanswered as Simon never did that. His critics said that it's was impossible for an individual to achieve any high degree of rationality. So, the decisions are at best taken as 'heuristics' or 'rules of thumb' according to Simon at all. Simon was only concerned about decision-making.
7. **Dichotomy between Emotions and Reasons:** Social psychologists terms the difference between reasons and emotions as 'affective behaviour'. They say that behaviour is either rational or affective, to which Simon equates with irrational behaviour. Simon himself concedes to the fact that defining rational behaviour is complex and different and given a categorization of rationality.
8. **Decision-Making for Markets:** Simon based his decision-making theory in government organizations but was silent about how it is processed in the private organizations. He agrees with Friedrich Hayek that the market 'reduces and localizes information and computational requirements and communicates information through prices'. The market comes across more rational than a government organization because it operates through prices so that people can make their choice to use their limited resources. Simon fails to illuminate the reason why some decisions are taken by the market and not governments.
9. **Normative Decision-Making:** Simon states that decision-making less normative as well as disruptive merits. Normative Economics lays down rules for good decision-making and that describes the decision-making behaviour of economics agents. He considers that normative advice is used to improve decision-making in social science while including external agents like organizational rules or technical progress which in turn influence the descriptive and normative dynamics theories. Simon's comprehension of normative economics is different from the neoclassical economics. Since the neoclassical economical concepts and premises are relatively very rigid and does not consider human behaviour, they focus only on how people 'ought' to behave rather than 'how' they should behave.
10. **Simon Opposed to the World:** Simon's theories of decision-making and rationality were in contradiction to other theorists in the world. His work was rendered complex and incomplete with none to corroborate and lacked in scientific observations in a laboratory, although his subjects cannot be put in a laboratory situation for the simple fact that his subjects are organization.

To sum up, Simon's work is outstanding and can be developed even more with respect to the present-day organizations and information technology.

15

Participative Management

Learning Objectives

In this chapter, you will learn about:

- System-4 Approach to Original Leadership and its Application
- Effectiveness of System-4
- Supportive Behaviour in System-4
- Linking Pin Model
- Likert's Scale in Measurement of Attitudes
- Counter to Classical Organizational Theory
- Analysis of Human Personality
- Formal Organizations
- Dominant Assumptions of Management and the Employees
- The Relationship Between an Individual and An Organization
- The Intervention Theory and Method—A Behavioural Science View
- The Concept of Organizational Learning
- The Impact of Organizational Learning on the Organization with respect to its Growth, Effectiveness and Adaptability
- Appropriateness of the Organizations as Organizational Structures
- The T-Group Training Technique
- Critical Assessment of the Contributions of Chris Argyris
- McGregor's Early Life and Achievements
- Theory X and Theory Y
- Application of Theory X and Theory Y
- Direction and Control in Theory Y
- Importance of Theory X and Theory Y
- The Managerial Cosmology
- Critical Assessment

THEORY OF PARTICIPATIVE MANAGEMENT—RENSIS LIKERT

INTRODUCTION AND HIS PERSONAL LIFE (1903–1981)

Rensis Likert was an American social scientist who was a pioneer in participative management and developed a scale for attitude measurement, called the 'Likert Scale'. He began his education at the University of Michigan studying Economics and Sociology. He joined the Columbia University to study Psychology and then later taught psychology at the New York University. He became the Director of Research for the Life Insurance Agency Management Association. In 1939, he was appointed as the Division Director for the Bureau of Agricultural Economics in the U.S. Department of Agriculture. Finally, in 1946, he assisted in setting up a research centre at the University of Michigan, the Institute for Social Research, till 1970 when he retired.

RENSIS LIKERT'S WORKS

Besides participative management, Likert researched on developing the Likert scale, which is the simplest method of measuring attitudes and is being followed all over the world. His main contributions have been:

- Likert scales: a marketing perspective
- Likert scales: a regression to the mean
- System-4: a resource for improving Public Administrative
- New ways of managing conflict
- New patterns of management
- The human organization: its management and value

Q1 *The successful management leaders are found in Likert's System-4' approach to organizational leadership. Discuss.*

Ans. Modern society and organizations are facing conflicts and dissent due to the reasons given below:

1. **Legitimization of Human Rights:** Even though human values have been recognized as legitimate by all global institutions, they are not complemented by the support required by social, political and business institutions for their execution. The deprivation of legitimizing human rights results in adverse attitudes and become a source of conflict. People's expectations remain unfulfilled and they are excluded from the decision-making process.
2. **Technological Research:** The modern society is going through a sea change regarding technological research and it brings along with itself tensions conflicts and anxieties. In Likert's time, the organizations followed the 'win-lose' problem-solving method. Research required that the results must lead to conflicts leaving employees frustrated and wanting their human rights, economic gains, the need for status and riddance from exploitation. Likert suggests a win-win model to resolve conflict although he says, that some conflicts are fruitful to bring about a positive change.
3. **Social Science Research:** There is statistical evidence that less than 2% of all the funds are devoted to social science research whereas it has produced various conflict resolution models. Likert stated that his System-4 model leads to a sophisticated management system in an organization to resolve conflict.

Hence, Rensis Likert suggests that a complex form of social organization is essential in participative management. He realized that the existing organizational structures were inadequate to deal with organizational conflict. He proposed a system to quantify the results of work of group dynamics, even for the qualities like trust and communication. To rectify the problems being faced by traditional organizational systems, he categorized management systems into four classes:

1. **Exploitative–Authoritative:** This system identified power and control over the decision-making process with the highest level in an organization.
2. **Benevolent:** This system categorized the master-servant relationship between management and workers. Rewards were the only motivation for employees with very less focus on teamwork and communication.
3. **Consultative System:** This category involves teamwork, communication motivation, trust, a higher level of responsibility to achieve targets in the management–employee relationship.

- 4. Participative Group System:** This fourth category of an organizational system had its foundation in the management's trust on their employees to achieve targets with a collective sense of responsibility, teamwork and open communication. The management interacts with its subordinates and solves conflicts by inducing them to participate.

Likert recommended the 'System-4' for all organizations to adopt for better management of human assets which help in dealing with their problems. An organization moves towards being productive by working on intangible variables like attitudes, cooperation and communication which are the major human assets. To achieve this, managers need to be re-educated to implement democratic participation and maintain a balance between the Mechanistic and Behaviorist approaches.

Given below are the elements involved in 'System-4' as given by Rensis Likert in The Total Model Organization (System-4T).

- The human organization is composed of interlocking work groups with:
 - A high degree of group loyalty
 - Favourable attitudes
 - Trust among peers, superiors and subordinates
 - Consideration for others
 - High personal interaction with others
 - Group problem-solving

The above-mentioned skills help in the following ways:

- Effective participation in decisions on common problems to establish organizational objectives; integrating needs and desires of all members of the organization and of the employees related to it because of their functions.
- All individuals within the organization are highly motivated to attain organizational goals.
- High levels of reciprocal influence and total coordination information are achieved.
- Effective and efficient communication is accomplished.
- The organization's leader develops an effective social system to promote interaction, problem-solving, mutual influence and organizational actualization. In this System-4, the leader is technically capable while setting high targets.

Elements of System-4T

The above brief description lays down the System-4 in a nutshell but there are many measurables involved in it. Given below are important dimensions of social systems:

- 1. Organizations:** Any human organizational system can be measured and interpreted by using well-defined variables. The values obtained of these variables can be analysed in relation to the:
 - Measurements of its performance
 - Its success in goal actualization
 - Its capacity in constructive conflict resolution

There are two types of variables working in organizations:

- 1. The Causal Variables:** These are variables that work towards improvement in the level of performance and conflict resolution capability. These variables differ in different organizations.
- 2. Intervening Variables:** These intervening variables are determined by the causal variables as per leadership, motivation, control and word. Both the types of variables can be measured with reliable instruments.

Given below are the dimensions for measuring a human organization and evaluating its performance capabilities in brief:

(I) Human Organizational Variables: Under this classification, the variables are given as under:

1. **System 1-4 Continuum:** This variable measures the 'motive' source (According to Likert) used by an organization, the way it is used and the quantum of effective motivation created. The state of this variable depends upon:

(i) **Leadership:**

- Extent of behaviour applied in a culturally relative manner.
- The level of team-building behaviour work group problem-solving applied in a culturally relative manner.

(ii) **Structure:** The organizational structure's compatibility with the leadership processes in System 1-3, and System-4 is measured.

2. **Additional Leadership Variables:**

- (i) The level to which the leader has high performance goals and motivates his subordinates to support him in achieving them.
- (ii) The extent of technical compliance of a leader comprising of knowledge and skill with respect to:
 - The leader's technical field
 - Administrative dimension of his job
 - Interactional processes: person-to-person and groups.
 - Problem-solving processes: cognitive along with group building and maintenance.
- (iii) Work facilitation by the leader comprising his capacity to provide help in the areas of:
 - Technical and operational training.
 - Planning.
 - Resources and equipment.

3. **Additional Structural Variables**

The limit to which there is a variation from no structure to a structure which facilitates an optimum amount of differentiation with sufficient vertical and horizontal linkages are included in the additional structural variables.

4. The level to which well-established relationships prevail among organization's members.

(II) Time: Another important variable with respect to which relationships are analysed among causal, intervening and end result variables.

The above-mentioned variables excluding time are important in a human organizational system. They can be summarized as six variables.

1. The System 1-4 continuum
2. The levels of performance goals
3. The levels of technical competence
4. The levels of help with work
5. The nature of the organized structure
6. The level of established working relationships (System-4T)

An organization's high score on these variables depicts its effectiveness and differentiates it from the ineffective ones.

Application of System-4T Model

1. **General Principles:** According to Likert, a moderate shift towards the System-4T means that the concerned organizational employees responded favorably in both attitude and behaviour, improving performance. The principles can be interpreted as:

- **Moderate Shift:** When the scores fall within the range of expectations, skills, interaction capabilities of the individuals, affected by it.
- **Greater Shift:** When the scores are higher than the individual capacity and respond to the system-effectively, the response would be less than a moderate shift. A great shift might cause insecurity.

System-4T brings about 20–10% more improvement in performance as compared to other systems. The System-4T concepts work better when the organization is considered from a dynamic point of view instead of static. It also proved to be applicable to organizations, government systems universities and non-profit organizations to have better conflict resolution and effectively achieving goals.

2. **Interaction between the Organization and Its Environment:** An organization does not exist in a vacuum and interacts with its external environment influenced by the its management system. If both the stakeholders use the same management system, there is no conflict which would definitely arise if the management systems are different.

A few aspects that must be taken care by the System-4T organization are:

- Recruitment of those persons who are more oriented towards System-4T than others.
- The management must provide more training to new employees to adopt the system.
- The System-4 organization must adopt System-3 Model while dealing with clients to make them more comfortable.
- The System-4 organization must be patient in dealing with System1 organizations to convert the 'win-lose' situation to a 'win-win' situation.

3. **Research Strategy to Improve Conflict Management.**

To resolve conflicts in a conflict-ridden world, the following considerations must be kept in mind to evolve a research strategy:

Likert says that clear measurement of variables is better in business organizations than non-business conflicts like riots or disasters.

Conditions in which organizational research can be efficient:

- Relatively accurate performance measurement.
- Short time span of cause and effect cycles to get outcomes

A large number of cause and effect cycles producing a large number of observation and condition would lead to a better research analysis to produce favourable change in attitudes and behaviour.

Q2 *In what ways can the System-4T be considered effective in organizations problem-solving?*

Ans. According to Rensis Likert and his research experiments conducted with the System-4T there was definitely a higher degree of improvement in conflict management as compared to the traditional structure.

Likert conducted an experiment in General Motors using human organizational causal variables which included items aspect of supervisory managerial leadership and the organizational climate. He

also focused on peer leadership group process and satisfaction. Improvements in all variables tested was observed. He used two systems:

1. **Survey feedback Method:** This method is used to improve a sales organization. Human organizational variables of teamwork and leadership were measured and favourable results were obtained.
2. **Cross-functional Business Teams:** Likert used this method to improve performance and conflict along with McClullough in 1972. Business teams were used at all hierarchical levels in a firm, especially, at lower levels to reduce inefficiencies caused by conflicts among functions of such as engineers, sales, maintenance, production and quality control.

The business teams include the supervisory as well as non-supporting staff with the persons affected in operations varying from 1520 to 100 or more.

The teams are structured to focus on:

- Problem-solving in dealing with;
- Intellectual processes; and
- Emotional and motivational processes.

So that effective cooperative teams can be built.

IMPACT OF SYSTEM-4T

It was noticed that the research studies that were conducted by various research scientists in the US and other countries reflected the superiority of System 4-T. The studies show that the more an organization shifts from System-2 to System-4T, an organization shows a marked improvement in its performance and capacity of conflict resolution. The impact of System-4T is shown in the following intervening variables:

1. **Communication:** Communications in all directions upward, downward and lateral, are more precise and sufficient with respect to:
 - Information that the employees send and receive.
 - The trust with which each accepts the communication as accurate.Perceptions are observed as more accurate and are also rectified if there is in any error in a supportive manner.
2. **Influence:** The ability of reciprocal influence at every hierarchical level is increased. The lower levels can influence their superiors via upward communication and interaction.
3. **Responsibility:** All individuals within an organization feel responsible for the organization's success. It is also found that the employees took initiative also to help the institution to accomplish its pre-determined goals.
4. **Motivation:** Deductively, influence and responsibility, both are two characteristics of motivation. Greater motivation is seen in:
 - Confidence and trust among organization's members.
 - Greater commitment to the organization's success.
 - Resolve differences.
 - Group loyalty leading to higher motivation.

All these forces add up to a positive approach to make an organization effective.

5. **Coordination:** Better communication, reciprocal information and motivation lead to better coordination.

6. **Decision-Making:** Better decision-making is seen in System-4T due to:
 - Better Communication;
 - Reciprocal influence and multiple overlapping structure;
 - Group decisions are better than individual decisions as it improves participation; and
 - Group decisions are implemented in a better manner as it involves everyone.
7. **Peer Leadership:** Additionally, Likert mentions importance of peer leadership also in achieving the effectiveness of the System-4T. The leadership behaviour of the superiors at the top of the organization is mirrored and perhaps often magnified, by successively lower levels in the organization.

Q3 Discuss the role of supportive behaviour in System-4 leadership.

Ans. A strong and tough social fabric is considered an important factor to withstand and fight back conflicts and disputes. The interaction-influence network is dependent on leadership. Likert produced generally accepted leadership principles, one of which, is the supportive relationship. Given below are the essential features in achieving leadership through supportive relationships.

1. **Applying the Principle of Supportive Relationships:** The principle of supportive relationships is crucial to a manager on a leader who has to resolve conflicts.

It involves two basic and importance characteristics:

- (i) All persons have a strong inherited desire to achieve and maintain a sense of personal worth and importance.
- (ii) All individuals respond to an experience on the basis of its relation as they see it, to their own values, goals traditions, expectations and skills.

Likert says that the principle of supportive relationships must fit the present situation as the leadership behaviour varies from one situation to another. This process takes over a long period of time as the people affected see it in suspicion right away.

2. **Increasing the Accuracy of Perceptions:** The leaders must be relatively sensitive individuals with reasonably accurate insights into reactions and behaviour of others to provide sustenance for supportive behaviour. This can be achieved by working towards getting objective measurements of the causing and intervening variables. Various indicators were presented by the organization for the leaders to understand the attitudes and behaviour of the individuals with whom they interact. On the other hand, the groups persons must fill out a form to evaluate their leader's behaviour. After a careful analysis of both the forms, the identified errors can be removed. Both the forms can be analysed and errors identified to remove errors in perception. The observation that comes out is the correct viewpoint on values expectations and reactions of others and how they consider the behaviour of their leader as supportive and help in problem-solving.
3. **The Bilateral Check:** Elliot Smith stated in 1928 that 'the Bilateral Check' must be applied by observing the manager's assessment of a situation and on the other side, by studying the viewpoint of the same situation by other individuals interacting in the group with the leader. Both the observations can be analysed to rectify perception errors.
4. **Improving Each Group Member's Supportive Behaviour:** If the principle of supportive behaviour is applied without the support of all individuals in a group, the organization cannot move on the successful path of performance and conflict resolution. A survey can be conducted by circulating a questionnaire designed in order to describe the overall behaviour of the members of any group engaged in problem-solving. The results must be analysed to find the errors in the individual's perceptions and he/she can be asked to introspect about his difference in behaviour. The individual can modify his attitude with the help of supportive behaviour.

5. **Confidence and Trust:** To follow the principle of supportive behaviour, managers / leaders must place their faith in the individuals interacting with him within the organization with respect to their abilities, judgment and integrity. System-4T encourages interaction information network so that an individual learns to build trust in others. Studies show that less industrialized nations showed the indicator of trust to be very low. The extent of confidence and trust in others is directly related to the nature of its political system which do not find supportive behaviour important.

6. **Personal Worth:** Likert says that, individuals have a keen desire to achieve and self-actualize by doing useful work. If an individual who is not expected to perform at a high-level competence will also assume that others see him as weak and this as ego-deflating for an individual. The manager must motivate individuals by setting high standards of performance and confidence to bring about supportive behaviour.

The leaders must encourage innovation and creativity in their employees and teams so that they strive to being out the best in themselves.

7. **Conflict Management:** The leaders must apply the principle of supportive behaviour to conflict management, specifically with people who differ with him. The main point is to resolve conflicts in System-4T otherwise it will become System-1 or 2 of win-lose situation.

Hence, when differences and diversely occur in a supportive climate, they contribute substantially to innovative problem-solving

Q4 Discuss the Linking Pin Model given by Rensis Likert.

OR

An essential function of a Linking Pin is to provide an information flow and to establish reciprocal influence between the two groups of which he or she is member. Discuss its role in problem-solving.

Ans. The execution of System-4T Model requires an effective conflict integration–information network in successful conflict resolution. The workgroups in an organization must be cohesive with high performance goals linked together by individuals who belong to two or more groups. System-4T emphasizes on the face-to-face group playing an important role in interactions. Likert stated that problems concerned with work are solved typically in the work group problem-solving meeting, mostly by consensus.

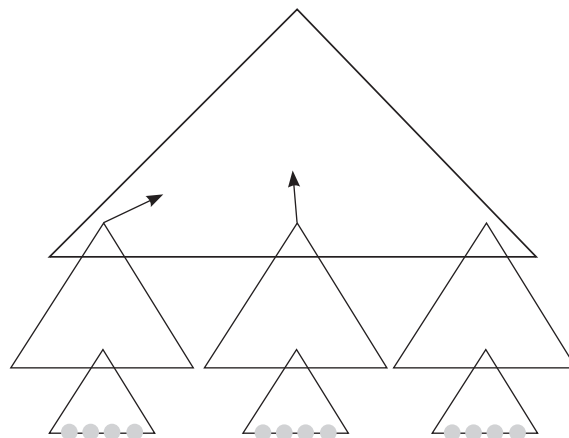


Figure 15.1: Linking Pin Model

The Fig. 15.1 explains the Linking Pin model. Each enclosed area denotes a work group with a superior and with subordinates.

- The president, 'P' and VPs, V, make up one group.
- Each VP and department heads, D, reporting to him form another group in all scenarios there are supervisors serving as linking pins between the sub work groups and the ones in which they, in turn are subordinates .
- The P alone or with other or officers links the centre work group to the board of directions.
- The work groups are mostly larger at the base of an organization and smaller at the centre and smallest at the top.
- The job description of employees at the base is almost same and simple.
- Groups dealing with specialized and difficult tasks, policy or coordination are generally smaller (5-10).

Alternate Forms of Linking

The role of Linking Pin as a problem-solving tool has not been researched and studied extensively. Fig. 15.1 explained a single-linking pin but there can be at least three more ways in which multiple linking can be operational in specific difficult problems. They are given here in brief:

1. **More than two Hierarchical Levels:** The first approach involves more than two hierarchical working groups in the problem-solution meetings. The hierarchy level to attend the meeting can go up or down two or more than two levels called, 'skip-level meetings'.
2. **More than One Linking Pin:** The second way of multiple linking is to have more than one Linking Pin. This helps in solving serious and complicated problems. Large organizations and corporations are using multiple linking pins between top management position and their boards of directors.
3. **Multiple Group Linkage:** This method involves multiple linking by technical people if the problem is of a technical nature, along with the technical head of the work group.
 To sum up, the linking pin model is substantiated by Likert by using:
 - (i) Sub services as a linking pin for horizontal coordination
 - (ii) Vertical overlapping linkages of line and staff agencies.
 - (iii) Vertical overlapping linkages of product departments.
 - (iv) Multiple overlapping group structures of both horizontal and vertical linkages.

Role of the Linking Pin

1. **Information Flow:** The basic function of the linking pin is to facilitate smooth flow of information to establish reciprocal information between two groups of which he/she is a member in case of a problem.
2. **Channel:** The linking pin should work as a channel between the two groups to make his groups aware of situational requirements and points of conflicts.
3. **Balanced Pace:** The linking pin keeps a balanced pace between the two groups so that all are at the same level of problem-solving to avoid direct confrontation.
4. **Mobilization of Motivational Forces:** The linking pin is responsible to mobilize all motivational factors in a System-4T organizations to move towards constructive and cooperative problem solving.

Linking Pin–Unrepresentative

Another important point to mention here about linking pins is that a linking pin is not a representative of either of the groups. In any situation, if he does so, interest will cease and lead to a 'win-lose situation'. On the contrary, it is mostly because of the representatives, that conflicts occur. The linking pin, on the other hand, focuses on all his faculties to work out a solution that is acceptable to all.

Advantages of Linking Pins

In a nutshell, the advantages of linking pins are given below:

A Linking Pin:

- Exerts information in multi directions.
- Is Psychologically closer to each group than any other member.
- Is An accepted member of both the linked groups and has greater information.
- Can communicate effectively with each group as he understands each member's or group's language, bent of mind and the norms
- Coordinates problem-solving.
- Creates reciprocal responsibility to execute the decisions reached and accepted mutually.

Likert finally discusses the importance of linking pins as Lateral Linkages in large sized organizations. Cross-functional teams also act as lateral linkage.

Q5 Discuss the Likert's Scale in the measurement of attitudes.

Ans. The 'Likert Scale' is one of the major contributions of Rensis Likert to the field of research study methods besides his formulation of the System-4T model to improve constrictive conflict management. Rensis Likert, a social scientist at the University of Michigan, developed this technique of testing in his Report, 'A Technique for the Measurements of Attitudes' which was published in the Archives of Psychology in 1932. His objective was to measure psychological attitudes scientifically as any other scientific tool.

Definition: The Likert's scale is defined as, 'A psychometric response scale primarily used in questionnaires to obtain participant's preferences or degree of agreements with a statement or set of statements'. Likert Scales are a non-comparative scaling technique and are unidimensional (only measure a single trait) in nature. Respondents are asked to indicate their level of agreement with a given statement by way of an ordinal scale.

This definition implies that the Likert's scale is a psychometric response measurement scale to record a respondent's response participant in a survey via in a question 5 point scale.

It deals with the problem of a response if we just expect a 'Yes' or a 'No'. As depicted in the Fig. 15.2 given below, the 5 point scales solve the problem as it is humanly normal to have a strong or a less strong positive or negative opinion about a particular issue.

1	2	3	4	5
Strongly agree	Agree	Neither	Disagree	Strongly disagree

Figure 15.2: The Five-Point Scale

Methods of Likert Scale

These are a number of analytical methods that can be applied to execute the Likert Scale questions. They are:

1. **Analysis Methods for Individual Questions:** When there is an individual question which involves ordinal data, the following analysis methods can be used:
 - Bar charts and dot plots
 - Control tendency in a concise form by way of median and mode.
 - Range and interquartile range to analysis variability.
 - Use of non-parametric tests (differences between the medians of comparable groups) like the Mann-Whitney U test.
2. **Multiple Likert Question Responses:** The analysis methods used in case of multiple Likert question responses are:
 - The same Likert Scale must be applied to all questions.
 - Interval scale giving coding that shows the difference between items without any absolute zero point.
 - All items included in the questionnaire must measure a single latent variable (A latent variable is not observed directly but inferred from another variables that one directly observed and measured)
3. **Analysis Methods of Yes/No:** The analysis methods of a simple Yes/No or agree/disagree are:
 - Chi-square test
 - Cochran Q test
 - McNemar test

The Process of Developing a Likert Scale

Rensis Likert's process of Likert Scale is very simple. The steps are:

1. **Defining the Focus:** The first step involves to define primarily 'what' is to measured with the assumption that the concept to be measured is unidimensional.
2. **Generating the Items:** The indications that will be involved in the measuring of the concept must be generated provided they can be measured on a scale of 1 to 5 with the responses of 'Disagree/ Agree' scale.
3. **Rating the Items:** Once the concept has been itemized they must be related where:
 - 1 = Strongly Agree
 - 2 = Agree
 - 3 = Neither
 - 4 = Strongly disagree
 - 5 = Disagree

These can be noted by a group of appointed judges who do not express their opinion. Their function is to judge how favourable each indicator or item is regarding construct of interest.
4. **Selecting the Items:** The intercorrelation between all pairs of items must be calculated depending on the responses. This step has two aspects that need to be kept in mind are:
 - (i) The items which have a low correlation with the total quotient of all items must be eliminated.
 - (ii) The average rating value for the top and bottom quarter of judges and must be tested by t-test of differences between the mean value for the item for the top and bottom quarter judges.
5. **Administration of the Scale:** The Likert Scale is ready to administer from 1 to 5. The response can go up to 7 by keeping the middle value as neutral but mostly it is a 5 point scale.

Critical Assessment of the Likert Scale

The Likert scale has its good points as well as bad too.

The advantages of Likert Scale are:

- (1) **Degree of Opinion:** The Likert Scale allows the respondent to have a degree of opinion or no opinion instead of a simple Yes/No and since it is a universal for data collection, it is easily understood and quantifiable force for the individual participating in the survey to take a definite stand.
- (2) **Simple:** As the steps to construct the Likert Scale are very few and simple, it acts as an advantage to the researcher to use it.
- (3) **Inexpensive:** Likert's Scale, besides being simple, is also inexpensive. The questionnaire can also be sent out through mail by post, internet or in person.
- (4) **Normal Distribution:** The Likert Scale uses normal distribution around its central point and questions the statistics if the distribution is heavily skewed. Generalizations drawn through heavily skewed scales need extra caution.

The Disadvantages of a Likert Scale

Although the Likert Scale is one of the best psychometric tests, the critics have assessed it on its negatives also the results of the Likert Scale attitude measurement can be compromised due to the respondents modifying their responses according to social desirability, especially, while filling in their personal information. People also avoid the extreme strong opinions to avoid the positive consequences associated 'extremists' even if that choice would be correct. This would lead to concentration of results around the middle of the scale. This means that the space between each possibility is equidistant which is not the reality in life.

However, the Likert Scale is very useful in attitude measurement especially, while conducting outline surveys.

Q6 *'A person should have only one boss is no longer valid'. Based on this, how does Likert counter this organizational structure?*

Or

How does Likert's concepts counter the classical organization theory?

Ans. Likert did not agree to 'one boss' organizational structure as the large modern organizations had various hierarchical levels with a wide base and a narrow top. He proposed that the Linking Pin Model (explained earlier in this chapter) would serve as the right approach to organizational structure and problem-solving. He explained his organizational theory in the following given points:

1. **Overlapping Group Function:** Likert believed that there is usually a person who belongs to more than one group who can be identified to be a Linking Pin between the groups because there is an overlapping group function in most of the organizations. The usual criticism against having more than one boss is rebutted by developing and maintaining supportive atmosphere to induce supportive behaviour in constructive conflict resolution. So, the overlapping group function contradicts the 'one boss' edict of Scientific Management.
2. **Central Chain of Command:** Likert's overlapping group structure envelops the line organization and the service organization blotting out the central chain of command. McGregor supported this

view and said 'one day we shall draw organization charts as a series of linked groups rather than as a hierarchical structure of individual. reporting relationship'.

3. **Organizational Theory:** Likert said most of the organization theories were based on classical theories which assumed about human behaviour. These assumptions got altered by new research on leadership, management and organization. As opposed to earlier qualitative data, management can be now based on verifiable quantitative data which is more reliable and stable. The major change is seen via the supportive manager who uses group decision-making and supervision in the management of his work group.
4. **One Boss leads to Hostility:** Likert opposed the traditional scientific management organizational theory's assumption that an individual's time can be bought (when an organization buys control over his) and thus his behaviour can be controlled. Likert proved through his research studies that, supervision based on economic needs and control by use of 'have' to, motivation produces hostility of the subordinate to superiors and to the organization and its objectives. According to Likert, participative management inculcates responsibility of an individual to not only to his superior but also to his fellows group workers. It uses overlapping group form of structure which each group linked to the rest of the organization by linking pins who are members of more than two groups.
5. **Control in Organizations:** Likert proved that control was more than issuing orders as in Classical Organization Theories. Control must be viewed as any means that results in behaviour modification in an intended way otherwise it does not exist. Classicist pressure on individuals to increase productivity results in resentment and hostility whereas, in Likert's theory, supervisors may exercise control through seeking cooperation by identifying supportive behaviour in favorable attitudes and group behaviour as given in System-4T.
6. **Power Equalization:** Power Equalizations Theory states that equalizing power of groups in an organization is the essential element of organizational effectiveness. Likert's participative model proposes that, 'Participative organization is a complex social system the requires high levels of psychological, technological, economic and administrative aspects. This model is more complex than the traditional organization and difficult to establish. Participative management cannot be confused with delegation. Likert calls it a power-maximized system in his book, 'The Human Organization'.
7. **Universal Application:** Likert said that the scientific method is the same in all countries and organizations. Culture is a conditioning variable which influence the methods and procedures for applying the basic management principles. As opposed to Classical Theorists, management principles can be applied to all organizational structures.

Thus, Likert challenged the Classical Theory of Organization in relation to rapidly changing economic and technical times. Likert's theory of fusing together of individual and organization goals has been backed by various research studies. His approach makes good leaders, good supervisors and even good subordinates thereby, building powerful groups linked by overlapping supervisors.

Q7 How far has India adopted Likert's System-4T model in its organizations to improve organizational effectiveness and constructive problem-solving?

Ans. Likert emphasizes on the participative management to promote organizational effectiveness and constructive conflict resolution. In India, the concept of System-4T or participative management is not a new one, imported from the USA Even though India has not progressed as much as the USA and other developed countries the concept has existed for about a century in India now. The progress of participative management in India can be outlined chronologically given below.

- 1920:** Ahmedabad Textile Industry had joint meeting of workers and employers to work out decisions on various issues.

- Ist World: War** Tata Iron and Steel Company established a works committee with management and trade unions.
- 1920:** The Government of India formulated joint committees in their press and encouraged private business to do the same.
- 1920:** Mahatma Gandhi urged Ahmadabad Textile Industry to have joint consultation councils to resolve conflicts and if not possible, then refer the issue to an arbitrator.
- 1922:** The Buckingham and Carnatic Mills in Madras (now Chennai) formulated a works committee named as the, 'Work People's Welfare Committee', with an objective to avoid industrial disputes and develop a cooperative atmosphere.
- 1931:** The Royal Commission on Labour in India recommended guidelines for establishing Works Committee at industry levels.
- 1940:** A Tripartite Labour Organization which became the Indian Labour Conference was formed.
- 1944:** The Indian Federation of Labour was constituted.
- 1945:** All India Trade Union Congress was formulated.
- 1947:** The Industrial Disputes Act, 1947 was passed which provided the formulation of works committees in every industrial unit.
- 1948:** The Industrial Policy Resolution (1948) was passed and encouraged the involvement of works in every industrial management.
- 1950:** The Directive Principles of State Policy called upon the States to ensure an adequate means of livelihood, ownership and control of material sources of the community are distributed to serve the common good and that there should not be the use of wealth and means of production to the common detriment.

The Five Years Plans also nurtured National Industrial Policies.

PARTICIPATIVE SCHEMES AND MODELS OPERATING IN INDIA

Given below are the Participative Schemes and Models operating in India are:

- 1. Works Communication:** The Industrial Disputes Act, 1947, Section-3, provides for the formulation of work communication in industrial units with an equal number of representatives of employers and workmen in every individual organization which has hundred or more than hundred employees. The work communication is supposed to deal with the social and physical conditions of the workers in a consultative nature and its decisions are not binding on the management. Although the law was on the side of the workers, very few work communications was set up and did not succeed.
- 2. Joint Management Council:** The Tripartite Body on labour relations set up the Joint Management Councils in 1958 which will be formulated willingly with an equal representation in private as well as public sector. The size of the workers was to five hundred. Its functions were consultation, information and administration but did not succeed as there was a lack of concrete consequences.
- 3. Shop Council:** The Government of India directed to implement the scheme of 'Shop Councils' at the shop-floor level and 'Joint Councils' at the enterprise level with an equal representation employing five hundred on more workers in the public, private or cooperative sector.

They were supposed to deal with efficiency, increase productivity, training, incentives, large incentives, etc. The scheme received a fair response especially, in the manufacturing and mining sector.

4. **Unit Council:** The Unit Council Scheme was started in 1977, covering participative management in commercial service organization in the public sector employing 100 or more workers with equal representation. The functions of the Unit Council were to work on issues like optimum efficiency, absenteeism, pilferage, physical conditions and two-way communication between the management and workers
5. **Plant Council:** The Plant Council was formed in 1985 especially for Public Sector Undertakings. The scheme basically required one Plant Council for the whole unit with equal representations of employees and employers total not more than 18, but one-third from the supervisory staff. Its functions are to determine productivity, schemes planning important achievement of monthly targets, material supply and also in economic and financial areas personal problems, welfare, environment were also, a part of the role of these councils.
6. **Board of Management:** Each Board of Management was constituted a communication to promote participative management to look after the interests of:
 - The national economy;
 - Efficiency in management;
 - Workers.

It was composed of representations of central organizations of employees and trade unions and a few from the state and professional institutions. The Committee's recommendations covered a lot of Likert's concepts. It adopted a 3-tier system of participation: at level, plant level and shop floor level.

7. **Share Ownership Schemes:** The 'Employees Stock Option Scheme' (ESOP) was introduced in 1985 by the Government of India giving an option to permanent employees to be able to put money in saving for five years by way of 'Employees Convertible Debenture' which will eventually be converted into equity share by the company.

Though India has seen the rise of political parties that have encouraged complete participation from all its members, in most cases, parties still swing between the exploitative authority and the benevolent authoritative. Politicians who are winning their next term also have not reached System-4T.

Hence, we see that it has been a long journey for participative management in India as efforts made by the Government of India but could not achieve much. The major causes for its failure have been:

- Resistance by the employers against participation of workers in decision-making processes.
- Entry of trade unions with political alignment makes the whole situation an imbroglio rather than provide solutions.
- The workers themselves are not confident to participate.
- Lack of training, of strong leadership and misunderstanding of participative management as delegation.

Nonetheless, new schemes and management styles are being introduced and implemented in India with respect to participative management, though it has a long way to go to reach System-4T.

Q8 Critically evaluate Likert's contributions to Social Science Research.

Ans. Social research is absolutely indebted to Likert's contributions in participative management decision-making, overlapping of organizational functions, Linking Pin, Likert's Scale of attitude measurement, measurement of attitudes to improve organizational effectiveness and System-4T, management.

However, critics have given their viewpoints on limitations of participative management and other issues that Likert proposed through his theories, which are:

1. **Slowdown of Decision-Making:** According to Likert, participative management helps in inclusive decision-making which, involves more hierarchical levels through linking pin. The problem lies in involving so many levels in decision-making as it slow down the process of decision-making.
2. **Communication:** While involving more levels to have effective participative management, communication needs to be of a higher level to decentralize the decision-making process. Interpersonal and group communication sometimes is not as extensive in reality as Likert recommended.
3. **Negative Implication of Sponsors:** In the measurement of attitudes of employees in an organization runs the fear of responding honestly by the employees. They are afraid of the negative implications that their honest answers might have on their position and job in the organization. So, they tend to give a neutral reply which gives skewed research observations not giving a true picture of the attitudes in reality.
4. **Likert Scale:** The 5 points Likert scale is ridden with issues of reliability, measurement confusion, difficulty in the use of midpoint affecting validity of measurement and the doubt over using interval data or ordinal. The Likert Scale takes longer to complete as compared to other formats like the binary answer format.
5. **High Goals of Performance:** Participative management decision-making aims at setting high goals of performance by the employees and for the employees but they are not secure and confident of themselves to go through with it. They are afraid of setting a high goal and then being unable to deliver.
6. **Universal Application:** As Likert advocated use of his questionnaires regarding attitude measurement with respect to achieving organizational effectiveness and constructive conflict resolution but it is criticised by thinkers who doubt its universal application. Not all situations in organizations are suited to Likert's theory and experiments. Conditions such as participation, openness, supportive and information adequacy directly related with the organization's member's satisfaction and commitment to the organization are ideal though the human resource side is ignored. There is a lack of integration of physiological, economic and system theories.
7. **Linking Pin:** The linking pin model by Rensis Likert proposes that each unit head and subordinates would work and would serve a chief of the level below him and as a subordinate to the level above him. This would make him a linking pin to solve problems but most of the critics refuted it by saying that the linking pin model was more of a diagram with boxes instead of being useful in reality. The committees that are formed with linking pins to resolve conflict because decisions are made as a consequence of compromises which are usually not the best and are Log-rolling decisions. The parties remain resentful and towards the decision.
8. **Security:** Since too many employees and work groups are involved in decision-making, the issue of security arises with a lot of information flowing around. There is fear of confidential vital information being leaked out. To sum up, thinkers have also criticized Likert's System-4T on the ground that if conflicts are a part of the individual and group, cannot be realized in total reality.

A supportive atmosphere is required to bring about the necessary changes to implement System-4T.

Summary

Rensis Likert's principles and concepts need to be applied by taking action. They can be summarized as:

1. **Focus the Action Efforts of the Causal Variables:** Causal variables like leadership behaviour and structure must be improved to have a positive effect on the intervening variables. No direct action must be taken to improve the intervening variables otherwise the change would be minor and only for a short period and reversely, affects the causal variables also adversely.

2. **Gradual shift to the System-4T:** The shift of the system should be gradual and not a jump from System-1 to System-4. Change must be made from System-1 to System-2, System-2 to System-3 and then finally from System-3 to System-4. A sudden shift from System-1 to System-4 is not possible due to lack of competence of the employees as well as their interaction skills.
3. **Involvement:** Involvement of persons whose behaviour has to change is input to improve in the planning of the actions to be taken and not only in the subsequent steps of the system of improvement.
4. **Use of Objective Evidence:** It is of utmost importance to use objective evidence in the action planning process. This also comprises:
 - Using the situational requirements
 - Descriptions with reference to the measurement describing the current situation
 - The desired model.
5. **Integrative Goals:** There must be use of integrative goals and mutual interests in the decision-making that develops the actions plan.
6. **Initiative by Higher Positions:** The individuals holding the highest position in an organization must take the initiative to begin the improvement program.
7. **Supportive Atmosphere:** The principle of supportive behaviour must be applied to have a supportive atmosphere to launch the improvement plan of action.

Some other points to keep in mind in implementing Likert's System-4 T are:

- Training for leadership and measurement skills;
- Anticipate conflicts and prevent them;
- Avoid building the adversary relationship into conflicting situations;
- Avoidance of regress during the conflict resolution process leading to violence;
- Professional assistance can be taken to resolve conflicts constructively;
- A third party can be used to build an int-information network for the necessary period; and
- Multiple parties may be asked to play a cohesive role to handle bitter conflicts.

Conclusion

Likert propagated System-4 management to the organizations by using a survey feedback process. The intervention was initiated by the members filling up the 'Profile of Organizational Characteristics' which asked questions concerning the present as well as ideal conditions of six organizational features, namely,

- Leadership
- Motivation
- Communication
- Decisions
- Goal
- Control

The second stage involved feeding data to different groups in the organization. The group member worked out the discrepancy of between the present situation and the ideal situation, keeping System-4 as the ideal benchmark to make plans for the organization to move towards System-4.

THEORY OF PARTICIPATIVE MANAGEMENT—CHRIS ARGYRIS

Chris Argyris was a pioneer in business, education and organizational learning. He was born in 1923 in a Greek family and was raised in Athens and then in New Jersey. His early life and educational achievements are chronologically itemized below:

- WW II:** Served in the US Army.
- 1947:** Completed his degree in Psychology and joined at Clark University and joined Kansas University.
- 1949:** Obtained a degree in Economics.
- 1951:** Received his Ph.D. from Cornell University with a thesis on the behaviour in organizations under the supervision of William F. Whyte.
- 1951:** Became a member of Yale Labour and Management centre under E. Wight Bakke.
- 1971:** Joined Harvard University as a Professor of Education and Organizational Behaviour until his retirement. He was also the Director of the consulting firm, Monitor in Cambridge, Massachusetts.
- 2006:** Received an Honorary Doctor of Laws degree from the University of Toronto.
- 2011:** Received a Doctor of Science from Yale University.

He wrote more than twenty books and many articles in books while conducting experiments. He died in 2013.

Q9 *How do the views of Chris Argyris analyse the human personality?*

Ans. According to Chris Argyris, the human personality consists of:

The Parts and the Whole: The parts of the human personality, no matter what they are, plus the way they are related to one another, constantly constitute the 'whole', that all personality theorists would call personality. Personality is the organization of all the parts related to each other. The administrator needs to understand the personality as a whole by training the foreman in new techniques of human relations to understand human behaviour in totality.

Internal–External Balance: Interestingly enough, the parts of a personality stick together for coexistence and form the whole and are all adjusted.

Internal Personality Balance: It occurs when the parts of a personality are in equilibrium with each other.

External Personality Balance: When the personality as a whole is in equilibrium with the outside environment, it is called adapted.

Integrated: When a person is adapted and adjusted, he/she is called integrated.

Important Issues for An Administrator

An administrator considers the following issues as relevant in the administration of conflicts, given below in Fig. 15.3.

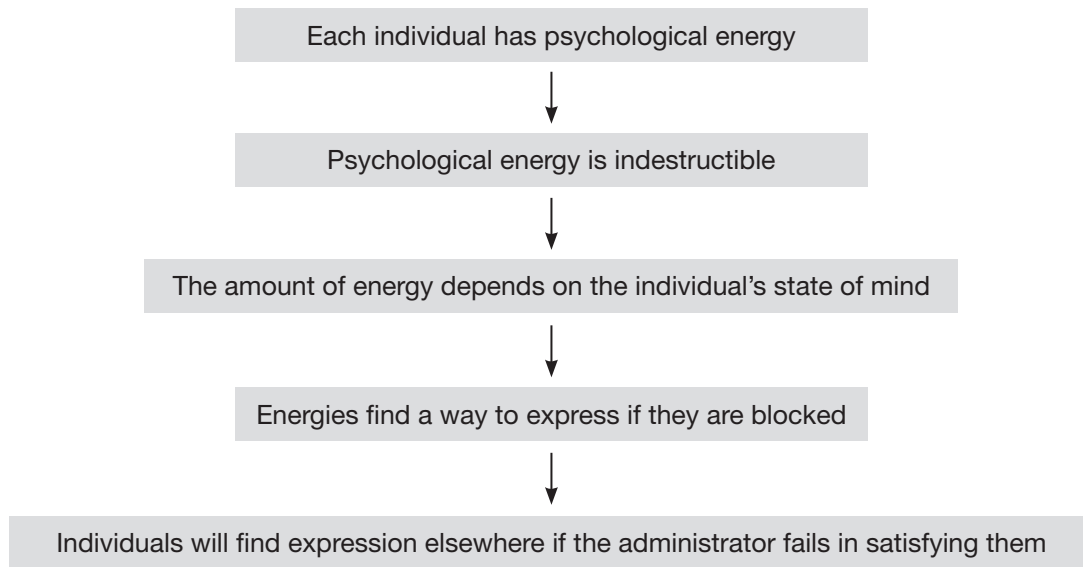


Figure 15.3: Issues for an Administrator

Needs System: Chris Argyris gave the needs system in analysing the human personality. It can be summarized in the points given below:

- The psychological energy sources itself from the needs of an individual and affects individual behaviour.

Inert Needs: The need systems that are not in action are inert needs or potential active needs.

- The need system comes into action when the psychological energy overflows which is also termed as 'tension'.
- Reduction of tension cannot be the only reason of life.
- Psychologically healthy people strive towards the goals of self-actualization.
- The administrator must find out the needs that affect the behaviour of individuals with patience, understanding and friendliness.

Personality and Abilities: Chris Argyris categorizes needs into inner and outer needs; conscious and unconscious needs; social needs and physiological needs. Needs further align themselves into skills which determine human attitudes and behaviour.

Q10 Discuss how individual and group adaptation are linked to formal organizations as viewed by Chris Argyris.

Ans. Chris Argyris viewed individual human behaviour being affected by blocked self-actualization or inhibited due to the pressurizing requirements of a formal organization. As a result, healthy employees face frustration, conflict, failure and short-term perspective. The approach that Chris Argyris gave for individuals in a formal organization is a logical stepwise progression where frustration leads to aggression which is depicted in Fig. 15.4.

FRUSTRATION ↔ AGGRESSION

Figure 15.4: Frustration–Aggression

A person who is frustrated turns aggressive and aggression again turns into frustration.

I. Individual Adaption

Argyris describes the concept of the individual adaptation in a formal organization. He gave the principles of job specialization, unity of direction, chain of command and span of control. He proposed that the employees would be complacent in following the leader but will use their abilities lower than optimum. The feelings of complacency and submissiveness increase as the hierarchical level goes lower which in turn instils feelings of frustration, failure, short-term perspective and conflict.

The focus of this study was to understand the behaviour of individuals in reaction to these state affairs described below with respect to the stages of conflicting feelings:

Conflict: An individual feels antagonistic towards the demands made upon him by the formal organization. This develops into a conflict between the needs of an individual and that of the organization. Argyris laid down the following possible reactions to such a conflict:

- The individual could just leave the situation by exiting from the organization on a temporary or a permanent basis.
- The employee could attempt to go up the organization's hierarchical level/s which could have less conflict.
- The individual could change the organization which would provide temporary conflict resolution.

Hence, the individuals tend to develop the above-mentioned defence mechanisms to adapt to the situation of conflict of interest and its fallout. After conducting a series of experiments, Chris Argyris concluded that:

- The employees did not have friends within the organization which led to a lack of the feeling of group belongingness.
- Since there were no informal group structure, the factors leading to apathy were clearly related to organizational structure and workflow.

Individuals want to:

- Become their own boss
- Remain passive and receive orders
- Be isolated and work on their own
- Like to do a variety of workflow tasks
- Wants security

II. Group Adaptation

An individual adapts effects of an organization by leaving, climbing the organizational ladder, using defence mechanisms or becoming apathetic. Individuals need to adapt to the organizational groups and mechanisms by seeking group sanctions in order to survive. The groups work in their own way of rewarding adaptive individuals and penalizing the ones going against it.

Argyris studied researches of many thinkers who worked on group adaptation. The main conclusions that he drew from those studies are:

1. **Free Time:** Employees who have psychological failure tend to decide an attitude of working less than their capacity and indulge in non-constructive activities. They delay work, wasted time from 3–6 hours of a working day because they felt that they would do only this much work for the pay they are receiving which is termed as 'slowdown'.

Solution: Quota restrictions improved the rate of efficiency and cutting down of wasting time.

2. **Motivation and Enthusiasm:** Studies showed that, generally, workers were apathetic and indifferent towards their work and the company. This problem is so massive that it adversely affects the national economy. Employees feel that an amount of work should be much below their best. This happens due to dependence and subordination.

Solution: This problem was resolved by Argyris. He said that as one goes up the chain of command and their level of self-actualization increases. The feelings against the management and union leaders start dissipating and become positive.

3. **Rate Busters:** If employees, under a research study group, perform above the upper limit decided by the group, informally, it is called rate buster. They are generally disliked and face group ostracism and sarcasm.

The norms of rate busters according to informal groups are:

- Work as per the set work norm by the group norms.
- Do not tell anything to the supervisor about colleagues.
- He/she should not act as an inspector.

4. **Formalizing Small Groups:** Formalizing small groups ultimately happens by joining trade unions to grant sanctions to groups to continue their norms. If the management attempts to disorganize them, the workers employ tactics to harm the production process by way of strike or slowdowns. Argyris says that being a part of trade unions helps the employees to reduce their dependence on the management.

On the other hand, the trade unions become formal organizations again and the employees become dependent, passive and submissive to the trade union officers making the trade unions bureaucratic. However, the trade unions are adaptive mechanisms.

5. **Monetary and Other Rewards:** Argyris observed that, 'dissatisfied workers will tend to decrease the psychological importance of their work and emphasize the material aspects'. The employees, as a result of frustration, will disregard 'work' to get satisfaction and move towards materialistic rewards thinking that they can live outside the work situation.

It was proven by various studies that money compensated for the loss of job satisfaction. This point of view is quite contrary to the theory emphasizing human relations stating that it is not only the monetary benefits the employees need to increase the productivity and organizational efficiency.

So, even if the organization attempts to focus on human relations, the employees themselves dehumanize the whole issue and desire for material rewards. Neither the management nor the workers attempt to address the underlying basic problem. The management continues to give material rewards as long as the employees keep delivering to increase the organizational productivity. The problem, however, continues as the workers feel that they have been given rewards without asking them.

Thus, the study and analysis of Chris Argyris points out that a new field of study has emerged as, 'Organizational Behaviour' as a behavioural science because it can be empirically observed. To sum up, Argyris emphasizes on the importance of informal organizations in providing opportunities to an individual in an organization by:

- Decreasing his feelings of dependence, submission and passivity towards management
- Protecting him from exploitation and increasing his opportunity to be self-responsible
- Letting him express his frustration and aggression
- Depending on the social groups to find psychological shelter

The informal organization, hence, helps an individual to adapt in a better way within an organization, decreases the basic causes of conflict, frustration and failure.

Q11 **How did Chris Argyris connect the dominant assumptions of management and the employees?**

Ans. The organization's top management has its own viewpoint and assumptions regarding its employee that they are:

- Lazy
- Uninterested and apathetic
- Money-oriented
- Create errors and waste

Any problems in the production level are blamed on the employees, trade unions and the government. The three main policy decisions that are important are:

1. Dynamic Loyal Leadership: An organization must have strong leaders to:

- Get facts to make effective decisions
- Are aware of management's objectives, policies and practices
- Communicate these policies to the employees
- Evaluate employee performance according to the policies

Argyris concludes that 'the impact of directive leadership upon the subordinates is similar to which the formal organization has upon the subordinate'. Pressure-oriented directive leadership 'compounds the felony' that the formal organization commits every minute of the day.

2. Systematic Control and its Impact upon the Employees: The second policy decision that the managers make to ward off a decrease in productivity is:

- Careful definition
- Inspection
- Evaluation

of the quality and quantity of every employee's performance. Thus, the management controls are devised by the top management with respect to organization policies, rate of production, inventory, job specializations, planning, quality of production, etc., such controls are essential to maintain a traditional formal organization, especially if it is large and decentralized.

The Impact of Managerial Controls

To understand the impact of management controls over employees, it is relevant to mention the principles of management which were initially given by Taylor. They are:

- Separation of planning from performance principle
- Scientific methods of work principle
- Managerial principles

The first principle allows the employees to only pay attention to perform and planning is left for management. This leaves the employees out of the planning process. Lack of participation leads to psychological failure of employees. Studies show that piecework system can succeed if the target can be possibly achieved but fails if:

- The goal is unattainable and the worker abandons the goal
- The task is predictable, it becomes monotonous to the worker
- The attainment of the goal depends upon the factors beyond the control of workers
- Workers also complain about being a Guinea pig in research studies like time and motion studies on one hand and express a wish to change on the other.

- Another obstacle that the supervisors face is that of the budgets because they:
 - Report results and not reasons
 - Focus more on past than the present
 - Are rigid
 - Pressurize for an ever-changing goal
 - Create failure

The foreman or the supervisor becomes more of department-centric than focusing on the organization.

These obstacles in the working system must be removed to keep a healthy psychological environment for the workers to achieve goals. The effect of management control on employees results in group formation to reduce tension and promote belongingness.

3. **Impact of 'Human Relations Fad' upon Employees:** The management conducts experiments with the human relations approach if the first two principles of directive leadership and management controls fail to encourage job identification among the workers. The US followed by Europe has held plenty of conferences and seminars to promote the human relations approach to increase production. Studies also showed that production did not increase even though incentives were given. Elton Mayo suggested smaller informal groups to build a relationship of belongingness among them. The impact of group decision on an individual is important when a formal communication is conveyed because the attitudes of employees can become negative too.

However, the words, 'participation' and 'democracy', in an organization have different meanings for an employee and an administrator. Thus, care needs to be taken to not let the democratic methods go the path of autocratic decisions and pseudo-democratic conditions.

To summarize, from the management's point of view, it evaluates employees to be flawed with respect to:

- High turnover
- High absenteeism
- Low productivity
- Apathy
- Disinterest
- Low identification with a free enterprise system

The management tries to rectify the situation by using effective formal leadership control and believe in the Human Relations Approach (HRA) to solve problems. Nonetheless Argyris stated that an analysis of these approaches only reinforces the problem.

Q12 *Chris Argyris dealt with the relationship between an individual and an organization in his book 'Personality and Development' in 1967. Discuss.*

Ans. According to Chris Argyris, 'The bureaucratic pyramidal principles influence most modern organizations which has led to many organizational problems'. He studied industrial organizations to find out the impact of management practices on individual behaviour and personal growth in an organization. He developed a personality model while at Yale which is called 'The Immaturity–Maturity Theory'.

Assumptions of the Immaturity–Maturity Theory

The immaturity-maturity theory is based on the following assumptions:

- Organizations work in a way that blocks personality development of workers and make them passive.

- There is incongruity between the socio-psychological needs of healthy mature employees and the goals of a formal pyramidal organizations.
- Formal organizations dole out subordination to workers while employees want freedom and equality.
- Employees want to participate in engrossing activities whereas the formal organization ties them into specified tasks.
- Conflicts arise as a result of the incongruence between the personal aims of a worker and the organization's requirements.

The Immaturity–Maturity Theory

The immaturity-maturity theory states that seven changes must take place in the personality of individuals to develop them into mature individuals over a period of years in a journey from childhood to adulthood. Individuals mature not only with respect to time and age but also emotionally and intellectually. The work environment can alter an individual's maturity process in a positive or a negative way.

The Seven Changes

1. **Infant Passivity to Adult Activity:** The first dimension of the theory is that an individual move from a state of being passive as an infant to a state of increased activity as adults.
2. **Dependence to Independence:** As an immature child who is dependent on others moves to a state of relative independence as adults.
3. **Limited Choice of Behaviour to Diverse Behaviour:** A child has very few and limited choices but as an adult, one is capable of different ways that one can behave.
4. **Complete Understanding:** There is an erratic, shallow and casual area of interest but an absolute and complete understanding about his choice of interests is developed.
5. **Short Span of Interest:** As a child, an individual has a very short span of interest but as an adult, his span of time increases to make it inclusive of the past as well as future, adding up to a long-term perspective.
6. **Subordinate-Superordinate Position:** As infants, individuals are subordinate to everyone but when they become mature, they progress to an equal or superior position as compared to others.
7. **Self-awareness and Self-control:** Infants have no self-awareness or self-control but learn to become aware and be in control of their behaviour as adults.

All these seven dimensions of individual personality included in the 'Immaturity–Maturity Theory' are given below in Table 15.1.

Table 15.1: Immaturity–Maturity Continuum

Immaturity	Maturity
1. Passive	Active
2. Dependence	Independence
3. Behave in a limited fashion	Capable of behaving in many ways
4. Erratic, shallow interests	Deep and strong interests
5. Short-term perspective	Long-term perspective
6. Subordinate position	Equal or superordinate position
7. Lack of awareness or self-control	Awareness and self-control

Hence, this continuum shows the seven changes that transform individuals from immaturity to maturity.

Impact of Immaturity–Maturity Theory

According to Chris Argyris, only a few people reach the level of maturity. This level involves many obstacles and problems but the individual strives to get rewards for himself/herself. These challenges arise due to management policies and practices. So, the management practices and controls should be such that they promote maturity and individual creativity to integrate individual and organizational goals. This leads to the application of the fusion process theory which states that individual and organizational goals must be fused to culminate into a simultaneous process.

Q13 *Discuss the Intervention Theory and Method—A Behavioural Science View.*

Ans. Chris Argyris defined intervention, 'To intervene is to enter into an ongoing system of relationship, to come between or among other persons, groups or objects for the purpose of helping them'. An important assumption of intervention is that the system exists independently of the intervenor and he must be able to help any individual or subsystem to enhance their competence and effectiveness.

PREREQUISITES FOR INTERVENTION ACTIVITY

There are some primary tasks and processes that must be carried out to make an intervention activity helpful to an individual, group or an organization. They are:

1. **Valid Information:** The interventionist and the client cannot learn anything without valid information.

Valid information includes:

- Factors
- Interrelationships

that comprise the problem of the client system.

The ways it can be checked are by:

- Public verifiability
- Valid prediction
- Control over the phenomena

An interventionist's assessment of a client's situation comprises manipulated variables that result in effectiveness.

2. **Free and Informed Choice:** Intervention activity should be planned and formulated in a way that the client system sustains discretion and autonomy both. The client must be clear about his objectives of his actions by free choice by 'satisficing' as termed by Herbert A. Simon. 'Satisficing' means selection of the option with the maximum probability of selecting while considering the cost factor.

Free and informed choice helps in:

- Keeping decision-making as the locus in the client system
- Making clients self-responsible for their destiny
- Maintaining autonomy of their system
- Keeping the client's high level of motivation
- Choosing the most central option to cater to their needs after exploring maximum possible alternatives

The client may, at times, give up his/her free choice to the interventionist to resist this situation.

3. **Internal Commitment:** Argyr explains an interventionism as the point at which the individual has reached where he is acting on the choice because it fulfils one's own needs and a sense of responsibility, as well as, those of the system. An internally committed person acts because of his own choices and not externally induced ones and feels independent. The implications of internal commitment are that an individual has:
- Collected valid information
 - Made an informed and free choice; and always open to re-evaluate his/her position

Connotations of the Primary Tasks of the Intervention Activity

After studying the prerequisites of the intervention activity, it is important to understand their connotations. They are:

1. **Congruence between Effective Intervention Activity and Effective Client Systems:** There is a congruence between the activities of the client systems and the intervention activities. The relevant points to consider in the intervention activity are:
 - The intervention makes the client system so effective that the client is competent of dealing with a case of a recurrence of similar problems.
 - The interventionist must not design or change strategies so that the individual does not feel insecure and a victim of bias.
 - The human substantive problems are a result of the management processes in bureaucratic organizations, so that the interventionist has to maintain the congruence.
2. **Change is not a Primary Task:** An interventionist's primary task is to bring out valid information, develop free choice and inculcate internal commitment for the client and not bring about a change in the client. The interventionist's job is to help the client make the change himself without stating the change as bad or good. Producing a change is, therefore, not an adequate criterion for judging the effectiveness of an interventionist.
3. **Primary Task as a Criteria:** An interventionist can select the client system to be helped if he/she can keep the primary tasks as a standard criterion. This is particularly helpful in questionable organizations which are involved in illegal operations. Two conditions need to be met for an intervention system which are:
 - The client system must be open to learning
 - Intervention must be linked to the top level in a management system
4. **Interventionist's Manipulation:** The primary tasks minimize the probability of client manipulation of the interventionist or the other way around. The client and the interventionist, both, might try to overpower each other to gain power and suit their own purposes. The client usually tries to influence the interventionist to cut short the three primary tasks and skip directly to the change itself. This results in a short-lived and an ineffective change. On the other hand, sometimes, an interventionist is called when the client system is in deep trouble.
5. **Exiting the Client System:** The primary tasks act as a criterion to leave the client system is the individuals are not following the basic three primary tasks of valid information, free choice and internal commitment. Once the changes are made by the clients as the interventionist planned, the organization moves from survival to growth and the interventionist can leave the organization.
6. **Primary Tasks and Growth in the Basic Knowledge:** There is a positive relationship between the primary tasks and growth in the basic knowledge and practice. Argyris points out the fact that study and research with respect to the intervention theory is quite primitive and needs a lot of work. Each organization using the interventionist method adds to the basic knowledge of the field.

To sum up, the interventionist and the client develop secondary tasks of change if the primary tasks have been successfully established to increase the stability and sustainability of the system successfully.

Types of Intervention Activity

Provided that the intervention activity is congruent to the research, all intervention activities that need to be researched to build a successful client system. Given below are three types of intervention activities that can be carried out:

1. **Commonality of Problems:** Generally, the problems that an enterprise faces are mostly common to concerns like lack of trust, lack of internal commitment or organizational policies. This makes it possible for the interventionist to use tested and existing survey methods or a T-group application to reap the benefits of quick action and time-saving.
2. **Creative Arrangement of Existing Problems:** The interventionists use a creative arrangement of existing problems by modifying the intervention system by T-group method. It does not succeed all the times but the mistakes can be used to improve future methods.
3. **Combined Resources of Intervention and Creative System:** This is a rare type where the resources of intervention and creative system's resources are joined to help improve the overall client system. This is a rare and a difficult type because it involves a lot of courage to go into experimentation and the expertise required to implement intervention. However, it has the benefit of a high degree of trust among the clients as only a highly expert interventionist will attempt it.

Hence, it can be said that the interventionist activities are basically based upon interpersonal, small group and intergroup factors to improve client-system effectiveness and goes forward with one strategy that can work for all formal organizations.

Organizational Competence and Effectiveness

Argyris coined the term, 'Organizational Entropy' which he compared to the Second Law of Thermodynamics that, 'entropy always increases with time, and so does an organization faces disorder after a time and their competence and effectiveness is compromised.'

Some important observations are mentioned herein brief:

1. **Lower Levels of an Organization:** In a lower level of an organization, work is specialized and broken down to the simplest tasks to increase productivity and job satisfaction. The responsibility of planning lies with the top levels of management. The systems are designed to inhibit the employees in suppressed conditions.
2. **Managerial World:** The organizational employees are eager to alter the system as they go to the higher level of the managerial world. It becomes complex to handle interpersonal groups and relations because of value administration, that is, the internalized commands.
3. **Resistance to Change:** Organizations face a resistance to change due to various causes like lack of trust, low risk-taking and crisis management. Employees do not feel the need for anyone to tell them that effectiveness should be increased. These restraining forces are not tackled with openness.

However, intervention in a client system can bring about a positive change in the organizational effectiveness and spread satisfaction in both the levels of the management and employees.

Q14 *How did Chris Argyris explore the concept of organizational learning and its impact on the organization with respect to its growth, effectiveness and adaptability?*

Ans. Chris Argyris with Donald Schon built an approach in which when people interact with each other, various meanings are created by them. It is the individual and social construction of reality. There are

important meanings that are created when individuals express their views which are different from when they are to be acted upon. Argyris explains a few important concepts before he gave the concept of organizational learning. They are:

Reasoning Processes: Reasoning processes are those activities by which we create premises which are assumed or are proven, to be valid and from which we draw conclusions about how to act. This implies that such activities form the basis of how people analyse and interpret reality.

Learning: Learning is defined as occurring under two conditions. First, learning occurs when an organization achieves what it intended, that is, there is a match between its design for action and the activity or an outcome. Second, learning occurs when a mismatch between intentions and outcomes is identified and it is corrected, that is, a mismatch is turned into a match.

THE DYNAMICS OF LEARNING

Agents of Organization: Individuals act as agents of organizations to produce the behaviour that leads to learning.

Organizations: The organizations create conditions to influence the individuals to:

- Frame the problem
- Design a solution
- Produce an action to solve a problem

Individuals: Individuals, besides acting as agents, might bring their biases and constraints to the learning situation different from the organizational needs.

Single-Loop Learning: When matches are created or when mismatches are corrected by changing actions, it leads to single-loop learning.

Double-Loop Learning: When mismatches are corrected by first examining and altering the governing variables and then the actions, double-loop learning occurs.

Governing Variables: The governing variables are the preferred states that the individuals strive to 'satisfice' when they are acting by observing the actions of the agents of the organization who drive and guide their action. They are not beliefs or values held by the individuals.

Fig. 15.5 given below depicts the single-loop learning and the double-loop learning.

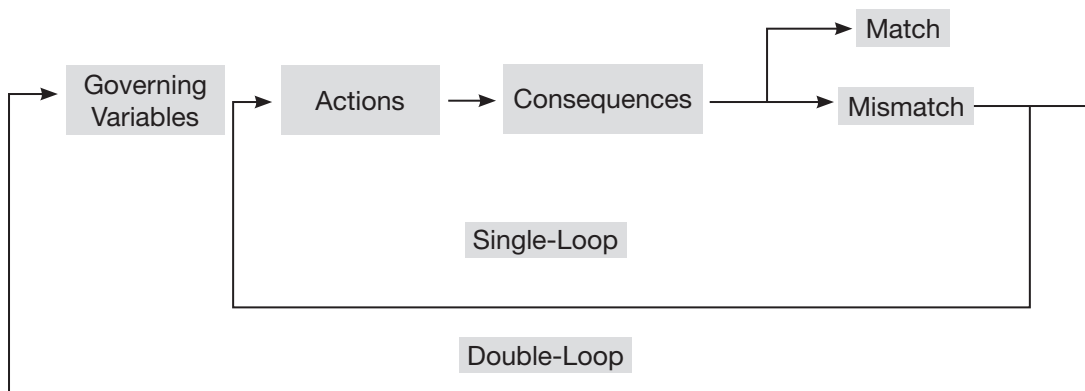


Figure 15.5: Single-Loop Learning and Double-Loop Learning

Some of the important facts in the single and double-loop learning are given below:

1. **Occurrence of Learning:** Learning occurs when a match or a mismatch is produced between the intentions and outcomes. Argyris made a distinction between discovering a new problem or a solution is worked out in actuality because the criteria and designs used in both the cases are different. Hence, learning occurs when a solution is actually produced.
2. **Single-Loop Learning and Double-Loop Learning:** Every organization needs both single-loop learning as well as double-loop learning can be adapted for the complex and non-programmable issues. Argyris observed that single-loop learning has several unintended consequences whereas double-loop learning control the long-range effectiveness.

Merits of the Organizational Learning System Over Existing Change Models

The existing models proposed three stages:

1. **Unfreezing:** Unfreezing means that actions result in inconsistencies which were not planned for.
2. **Introducing New Values and Behaviour:** Human beings hate inconsistency and want to learn new actions and values to rectify their errors.
3. **Refreezing:** Practice of new actions result in a change in attitudes, values and behaviour.

Argyris found discrepancies in the existing models. The gaps are given below as a comparative analysis with his model in Table 15.2.

Table 15.2: Comparison between the Old Model and Double-Loop Model

The Old Model	Model of Argyris Double-Loop Model
1. Individuals had the capability of learning new behaviour or skills.	1. The underlying governing variables which might lead to doubts over attuning individual behaviour must be considered to avoid <i>status quo</i> . Double Loop changes must be made in the governing variables.
2. Individuals are unaware of the skills that they may have.	2. Individuals are made aware of their skill set.
3. The individual's inability to know one's skills is due to suppression of feelings.	3. Individuals must be made to express their feelings to encourage Individuals to produce competent actions. This can be accomplished by modifying the reasoning processes of the individuals.
4. Indus can be asked to state their values and if they are not consistent with them, the error needs to be rectified.	4. If an error is a mismatch between the interior and the actual plan, they cannot plan <i>an organization</i> design on their own.

The comparative analysis shows that a design must be prepared to implement organizational double-loop learning.

General Observations in Double-Loop Learning

Argyris observed that experimentation in double-loop learning showed a lack of variance. Given below are the points with respect to consistency of results in double-loop learning study:

1. **High Levels of Inference from Raw Data as Concrete Reality:** The human mind must accept the raw data as concrete reality via high levels of inference. There is a hierarchy of concepts which makes it possible to organize and enact reality. A large number of studies were conducted covering seventeen groups in various countries and 600 respondents.

2. **Model 1:** The second reason for high consistency was that the focus was not on the prediction of the actual behaviour and instead it was on making the individuals understand the programme to make predictions of about the kind of meanings and behavioural strategies that they will or will not produce. He suggested, along with Donald Schon, two theories:
 - (i) **Espoused Theories:** In this case, effective action was on focus and gaps between the espoused theory and individual actions.
 - (ii) **Theory-in-Use:** Incongruence must be designed to explain, predict and have basis has four governing variables or 'values for the actor to sacrifice':
 - Strive to be in unilateral control
 - Minimize losing and maximize winning
 - Minimize the expression of negative feelings
 - Be rational

Behavioural Strategies: There are two considerations with respect to behavioural strategies:

- Advocate your views without encouraging inquiry to be in control unilaterally and win hopefully
- Unilaterally save face and minimize upsetting other by making them defensive

Factors inhibiting Organizational Double-Loop Learning

The organizational learning theory assumes that highly skilled and programmed (automatic) reactions, the individuals transfer these skills into the social system. A problem arises if the internal organizational conditions encourage double-loop learning but the external environment is *status quo*. Individuals tend to learn more through double-loop learning in organizations, for example, in the universities. The factors inhibiting organizing double-loop learning are:

1. **Valid Information:** The double-loop learning theory-in-use is effective if the individuals are convinced of the information is valid but is hindered as soon as they feel that the valid information is threatening.
2. **Conflict between Technical Requirements and Model I Theories-in-Use:** When employees try to hide the clash but still act politically to save themselves, they violate the formal technical requirements and also hide their resentment.
3. **Win-Lose Situations:** Conditions like vague information, unclarity, inconsistency, incongruency and scattered information lead to errors tend to create win-lose groups and intergroup dynamics. This leads to competitiveness which results in mistrust and submissiveness amongst individuals.
4. **Error Escalation:** Whenever double-loop learning is introduced by organizations, a self-reinforcing system leads to self-fulfilment and escalates error.

However, such factors can be removed because they do not occur due to personality problems, rather they are due to the new skills that individuals have to learn. The inhibiting factors gradually dissipate and lead to learning. Argyris named his theory-in-use as Model I, theory-in-use-bureaucratic pyramidal value system which was similar to McGregor's theory X and Model II theory in use as democratic humanistic value system which was similar to McGregor's theory Y.

To sum up, double-loop learning is possible at the organizational as well as individual level involving competence, justice and making the individuals aware of their own causal contribution to the organizational features. Intervention theory states that individuals can learn new learning systems by introducing alternative models with different governing values and behavioural strategies.

Q15 Write a short note on the problem of appropriateness of the organizations as organizational structures.

Ans. Chris Argyris stated that one type of organizational structure is not appropriate to deal with all type's tasks or activities. The differences between the form of organizational structure and its activities are given below:

1. **Pyramidal Structure:** This is the most traditional classical organization or a mechanistic type of structure which caters with normal routine jobs which do not comprise innovative tasks. It is more of a bureaucratic structure with a centralized seat of power at the top and the wide base dealing with the same routine type of tasks which do not require internal commitment of individuals. The conventional pyramidal structure has the typical top-down control of workers by managers and results in adverse situations comprising organizational injustice and irrational decision-making.
2. **Modified Formal Structure:** This system of modified formal structure resembles the system-4 given by Rensis Likert. This type of structure can deal with group action and includes concepts of hierarchy, control, centralization and unity of command. Employees, lose their interest in work. They perceive that climbing the hierarchical ladder will give them more power, become more frustrated when they cannot and finally wish to leave the situation or join trade unions which are again pyramidal structures.

On the other hand, the managers become forceful and directive to get work done from the disinterested employees. However, this type of organizational structure is more effective than the pyramidal structure because it provides an opportunity of subordinate participation where the superiors can implement their decisions.

3. **Participative Structure:** The participative structure is more flexible and employee-centred than the two structures mentioned above. This deals with the creative and group activities where every individual has an equal opportunity which requires interdepartmental or interorganizational cooperation. A worker's participation in decision-making that have an effect on his/her work will increase the level of job satisfaction, thereby, increasing the activity.
4. **Matrix Organization:** Argyris said that 'one of the most promising strategies to induce cooperation and integration of effort on critical business problems is the development of project teams and the matrix organization. The features of a matrix organization are:
 - The matrix organization is overlaid on the pyramidal structure and replaces the subordinate-superior relationship.
 - It would accord freedom to individuals to start or end a new activity.
 - Authority would be based on an individual's expertise and information rather than on power.
 - Individuals must find ways to develop their capabilities.
 - Job enlargement includes an increased level of operations at the same low level and expands the individual's intellectual and interpersonal capabilities.

The Process: The matrix organizational structure builds a project team to solve specific problems. The members selected in the team are representatives of all-important managerial functions. Each member is given equal responsibility and power to work to resolve the problem and are expected to coordinate with each other cohesively. The team is either disbanded after the problem is resolved or given a new assignment. On the other hand, the team remains active if the problem is a recurring one. This organization looks like a matrix, hence, the called matrix organization. Another relevant point here is that an employee can be a member of several teams simultaneously with a different role.

Matrix organization is extremely useful in research and innovations. The space science and atomic centre in India has a matrix organization.

Q16 How has the T-Group contributed to the training technique? Discuss.

Ans. T-Group training is a Sensitivity Training form given by Chris Argyris. It relates to his point of view of leadership which allows self-development and self-actualization of individuals. His argument was that the 'best' leadership provides opportunities for the subordinate employees to self-actualize. The T-group administration of training follows from the theory of single and double-loop learning where he said that skills follow values and wrong values in executives can make them lazy and rigid which would result in a decrease in productivity.

Rigidity in values require unfreezing of their old values and 'freezing of new values'. The T-group training helps in transforming theory X beliefs into theory Y values. T-group method is mostly used in laboratories as a 'group experience designed to provide maximum possible opportunity for the individuals to expose their behaviour, give and receive feedback except with new behaviour and develop everlasting awareness and acceptance of self and others 'in the woods'.

The T-Group Process: A T-group typically comprises 10–15 individuals who meet and interact outside their work environment without any planned objective. The leader starts a discussion. The T-group process is initiated by the educator explaining its design and its purpose to:

- Discover their values and their influence on others
- Find out if they want to replace their old values with new ones
- Become aware of groups inhibiting individual behaviour
- Promote human growth and decision-making

Feedback is an important constituent in T-groups for studying and interpreting the feelings they have for each other. Argyris admitted that more study and research need to develop T-group training model. The T-group was criticized on the grounds that it involves bias and its failure in determining any substantial favourable change in actual performance effectiveness. So, T-groups are found to be highly unstructured. Moreover, it 'creates stress situations for their own sake', its goals may be incongruent with the organizations goals and invade privacy of individuals. Nonetheless, T-groups orchestrate individual change and one of the first intervention methods of organization development and effectiveness.

T-Groups in India

T-groups were initiated in 1957 by Rolf Lynton by establishing 'Aloka' in Mysore. His basic objective was to develop the capacity of youth. He executed leadership training planned for twelve weeks in an unstructured group. Another exercise that was undertaken with respect to T-groups was conducted by Max Coley, Dean of Teachers, College, Columbia University, USA and a member of National Training Laboratory (NTL) from 1959–1962 in Delhi, as a consultant to the Ministry of Education. In 1960, Lynton shifted to SEIT Institute. The SEIT Institute became a central organization for laboratory training. IIM-C also called NTL experts to implement lab training there.

However, it is difficult to implement T-groups in India because of lack of organizational structure and the weaning power of managers.

Q17 Critically evaluate the work of Chris Argyris.

Ans. Chris Argyris has been criticized mainly for his exaggeration of the human and interpersonal aspects as it ultimately helps the individual welfare and not for the organization. The critics state that it is not the management's duty to develop the human personality in employees but to create opportunities for their development. Some important points of criticism are:

1. **Human Personality:** A study of organization was conducted from a psychological point of view by Argyris. He proposed that, 'A psychologically mature employee would be able to resist management's

manipulation and needs a higher aim to work to increase the level of self-actualization'. Argyris holds this view in an open model organization where the workers can deal with the interpersonal incompetence but it cannot work in a closed model organization as it shows a high degree of resistance to the influence of human personality. Employees do not trust each other and resist to new ideas.

2. **Interventionist Strategy:** Argyris proposes an interventionist strategy to alter the individual personality and improve effectiveness and efficiency in the organization but usually the management is not keen on changing its organizational structure and the employees resist to intervention and its sequence of operating things.
3. **Acceptance of Authority:** The concept of employees' personality as given by Argyris has been criticized as being utopian. According to Argyris, employees move towards maturity and want to achieve and self-actualize but a feeling of frustration creeps in, making them frustrated and they want to leave the organization. However, he has been criticized with the counter-point that its commonly seen that employees are happy to accept authority and obediently work towards organizational goals.
4. **Organizational Politicization:** Chris Argyris stated that 'good' learning occurs when the climate is not political in an organization but in fact, organizations are basically political. Employees are a part of interest groups and have an impact on the ultimate decisions taken and policies made. Any organizational theory must accept its political nature like the 'Game Theory'. The objective of an organizational theory should be inclusiveness with respect to politics and organizational learning rather than eliminating it.

Nonetheless, contributions of Chris Argyris regarding learning, theory-in-action and theory of intervention and concepts of human personality and its sequence of operating things are commendable.

THEORY OF PARTICIPATIVE MANAGEMENT—DOUGLAS MCGREGOR

Q18 *Discuss the early life influences and achievements of Douglas McGregor.*

Ans. Douglas McGregor (1906–1964) was born in Detroit in an environment of the city growing, as a car-growing production industry, U.S. He worked at the McGregor Institute as a night clerk and played piano on the side. The institute was established by his grandfather and managed by the family to help about 100 transient workers at a time, with accommodation.

Given below are major highlights of McGregor's early life and achievements later on, chronologically:

- 1923: Enrolled for a Psychology degree at the college of city of Detroit (Wayne State University).
- 1930: Became Regional Gas Station Manager in Buffalo.
- 1932: Completed his first degree and organized soup kitchens at the McGregor facility and helped in the management of the institute.
- 1937: By 1937, he had completed his M.A. at Harvard and Ph.D. in Psychology. His topic for Ph.D. was, 'The Sensitivity of the Eye to the Saturation of Colours' as he was colour-blind.
- 1937: Joined Harvard as a psychology lecturer.
 - Set up the Industrial Relations Section at the Massachusetts Institute of Technology.
 - Did consultancy work in the field of industrial relations at Dewey Almy.
 - His work ranged from wage and salary administration, contract negotiation, foremen training to problems of organizational structure and functions.
- 1948:
 - Became President of the Antioch College in Yellow Springs, Ohio.
 - Focussed on problems of leadership and the 'civil rights movement.'

- 1954: Returned to MIT on the faculty of the Sloan School of Management.
1960: Published his work '*The Human Side of Enterprise*' and '*The Professional Manager*' in 1967.

Q19 Analyse McGregor's Theory X and Theory Y. Do you agree with the view that with every passing year, McGregor's message has become more relevant and more important? Substantiate your answer.

Ans. It is important to understand the assumptions of management and scientific knowledge before going on to understand Theory X and Theory Y.

McGregor begins his background by saying that every professional relies on three things to accomplish his objectives:

1. Knowledge of science
2. Of his colleagues
3. His personal experience

The first two things are more important to a professional manager than the personal experience to distinguish him from a layman.

Some important objectives made by McGregor, with respect to an enterprise are:

- Industrial management requires the ability to predict and control behaviour.
- Organization of human efforts to attain economic objectives of the enterprise.

Generally, the managers feel that they could do much better only if they know how to 'tap the unrealized potential of their human resources' and McGregor offers a solution with the help of social sciences. However, managers find it difficult to follow social scientists as they feel it is too theoretical. McGregor suggests that Theory has to be combined with practical action. The manager must be able to test Theory systematically to convert it into action. Control is selective adaption. There is another factor of following practical logic in controlling human behaviour which exists in selective adaptation to human nature instead of making them conform to the wishes of the managers.

CONTROL AND PROFESSIONAL ETHICS

Control of human behaviour immediately makes one apprehensive of it leading to exploitation and manipulation of the employees by the manager. These concerns are compounded by the use of social sciences knowledge which can be allayed by addressing the issue of professional ethics discussed below in brief:

- **Use of Social Sciences Knowledge and the Social Responsibility:** The use of social sciences knowledge does not consider ethics and values attached to it. This can only be done by the professional manager by setting parameters of its use. The government puts various industrial legislations with respect to child labour, working conditions, safety measures, etc., to check unethical issues. It is up to the manager to be socially responsible to exert self-control and follow an ethical code voluntarily. However, there are numerous ways in which these ethical codes are misused and violated.
- **Use of Psychological and Physical Testing Information:** Each management conducts psychological and physical testing in the process of recruitment which is justified but if managements use that information after the individual has been selected in an organization, for administrative or promotional practices, it becomes unethical. The information that an individual provides during testing is confidential and private unless the purpose of the testing is made clear prior to the testing.

Once the management has been given its freedom to achieve the organizational economic objectives, it is imperative that humans and values be upheld.

Methods of Influence and Control

Formal principles of organization like the span of control, unity of command, authority task supervision, etc., are present in all management organizations. Even though these principles are criticized, they still serve as laws of an organization. McGregor gives three points arguments the classical principles, which are:

1. **Unsuitable:** Laws are unsuitable for modern organizations as their formulation was based on old institutions like Churches and military. Unity of command, for example, does not work in an enterprise because middle-level manager belongs to more than one group and has more than one boss. McGregor also humoured a family being an organization where two bosses co-exist.
2. **Ethnocentrism:** The classical principles ignore other factors like political, social or economic in influencing the organizations and managerial practice.
3. **Assumptions of Classical Organizational Theory Partially True:** The assumptions of Classical Organizational Theory are partially true as times have changed since their formulation and new formulas and techniques are being evolved with every passing day.

METHODS OF INFLUENCE

Out of all the classical principles of organization, the methods of influence and control relate to the means of control, which are given below:

Authority: McGregor considered authority as central and indispensable means of managerial control from which other principles like unity of command, staff and line and span of control are derived.

Means of Managerial Control: A few implications, with respect to, authority are:

- **Physical Coercion:** Physical coercion is one of the forms of control. It is a legitimate means of social control over criminal behaviour, labour problems, parental control or war.
- **Persuasion:** Persuasion is the second form of social control as the sales and marketing field cannot work with authority and physical coercion. Consultation and discussion work well within the management. Authority is resorted to only if performance fails, but not in sales.
- **Professional Help:** Professional help is one of the subtlest yet important means of influence which is not given its due importance. Professionals influence clients by their expert technical knowledge which cannot be done by any other means.

To sum up, these means of influence, as McGregor says, are relative and none of them is absolute. A management can be successful if it applies the most suitable means to the situation and modifies the ability of others to achieve their goals.

However minor or major modification it is, the important point is that some degree of dependence must be there to create opportunities for control making the dependence factor critical to determine the most effective method of control.

Limitations of Authority

Authority is accepted as an absolute by Operations and Maintenance (O & M) practice and very little attention is paid to. Control is a process of selective adaptation in varying conditions especially in the differential degrees of dependence in organizational relationships. Authority must be explored as a means of control as its absolute nature has complications. The limitations of authority are given below:

- **Reduced Authority:** The effectiveness of authority depends on the ability to enforce it through punishments like, firing. However, this action has restrictions aided by legislations.

The employer-employee relationship has changed since the concept of authority was established but has not been understood properly.

- **Availability of Countermeasures:** Collective bargaining relationships is one of the countermeasures used to render authority less effective. Other such countermeasures are restriction of output or sabotaging organizational objectives which occur as a consequence of over dependence on authority.
- **Downward Dependence:** Authority focusses only on downward dependence where there must upward as well as lateral interdependence. Groups and subordinates with a common boss are involved in lateral inter-dependence in a competitive situation.

However, as McGregor puts it, 'Authority, as a means of influence, is certainly not useless, but for many purposes, it is less appropriate than persuasion or professional help.' Exclusive reliance upon authority encourages countermeasures, minimal performance, even open rebellion.

THE IMPORTANCE OF PSYCHOLOGY OF DEPENDENCE

Another issue complimentary to the concept of authority is that while to be dependent is being secured but frustrating because of limited freedom while on the other hand, independence can be satisfying and threatening.

It can be observed that authority can neither result in being dependent or independent but interdependence which results in specialization.

Role Relationships

It is a commonly accepted concept that a manager is a boss in all situations that keep changing along with the methods of influence. The manager must play his complex role by making it flexible and observing behaviour and attitudes of others.

The flexibility in the managerial role is appropriate in controlling situations but is restricted because of his own theoretical assumptions and attitudes and the expectations of his subordinates. The manager needs to be flexible to the dynamically changing environment and adapt to it accordingly. Authority, though cannot be done away absolutely, must be supplemented with other methods of influencing and controlling behaviour and attitudes of employees. The organizational setting saw two major transitions from physical coercion to formal authority and secondly, of reduced reliance on authority but with not much of alternate methods.

Q20 Discuss the traditional view of direction and control of Theory X and how McGregor presented Theory Y.

Ans. McGregor outlined some major assumptions about human behaviour that affect every managerial decision in Theory X, an authoritarian approach, which are:

1. **Avoidance of Work:** An average human being has an inherent dislike of work and will avoid it if he can. The management overemphasizes on productivity, based on the belief that the management must contract the inherent human inclination to avoid work.
2. **Coercion and Punishment:** In McGregor's words, 'Because of this human characteristic of dislike of work, most people must be coerced, controlled, directed, and threatened with punishment to get them to put forth adequate effort toward the achievement of organizational objectives'. This implies that workers will accept rewards unquestioningly and want more but will not deliver. This requires the punishment warning. By 1957–58, human relations was criticized and this assumption of coercion via punishment became the trend.

3. **Mediocrity of the Masses:** The third assumption of Theory X states that, 'the average human being prefers to be directed, wishes to avoid responsible, has relatively little ambition, and wants security above all'. The worth of a human being is publicly expressed only as a lip service.

McGregor said that although Theory X provides with an explanation of some behaviour, there are other phenomena in the industry that shows a different side of the human nature.

Assumptions about Motivation

At the core of any Theory of the management of human resources are assumptions about human motivation. The main generalization about motivation is that man is a wanting animal whose needs once satisfied gets replaced by another. He keeps working to satisfy his needs from birth till death.

McGregor rates human needs in a series of levels hierarchically. They are given below in the flowchart starting with the lowest level.

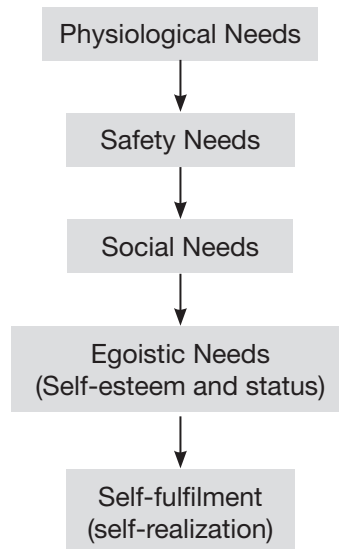


Figure 15.6: Hierarchical Level of Human Needs

These levels are described in brief here:

1. **Physiological Needs:** Until an individual's physiological needs are not fulfilled, no other need is considered important. Other physical needs like rest, exercise, shelter, protection from elements also have the same status.

This implies that a satisfied need does not motivate behaviour but this fact was not considered in the Theory X. The need makes one work for it till the time one is deprived of it, for example, water, air or food and has no motivating effect on individual behaviour.

2. **Safety Needs:** The second stage refers to the safety needs that affect individual behaviour. The safety needs include protection against danger, threat and deprivation. An individual demands security only if he is in a deprived state and feels threatened. This is usually common in industrial organizations where a downward or lateral dependent relationship exists.

3. **Social Needs:** Social needs become important once the physical and safety needs are satisfied and become a motivating agent for human behaviour. Managements largely assume that the social needs are opposed to the organization. Human Relations studies showed that individuals working in smaller groups worked better than the ones in a socially cohesive large group. It is assumed that once the physical and social needs are fulfilled, individuals become resistant antagonistic and uncooperative as a result.
4. **Egoistic Needs:** There are two types of egoistic needs:
 - (i) **Self-esteem:** It includes self-respect, and self-confidence, autonomy, achievement, competence and knowledge.
 - (ii) **Reputation:** These needs refer to the need for status, recognition, appreciation and the deserved respect of one's fellows. These needs do not manifest itself evidently and are not satisfied easily and are not given any attention by the organization.
5. **Self-fulfilment:** Self-realization of one's own capabilities and self-development to embrace creativity are self-fulfilment needs which do not get expressed fully. The organizations do not present opportunities that help self-fulfilment to grow. Normally individuals keep struggling with the other four lower level needs and this level does not get consideration. On the other hand, self-fulfilment increases his psychological well-being. The incentives offered by the organization cannot be used at work which makes him disinterested in his job and considers it as punishment.

Since money is the only tangible need the frustrated and disinterested workers divert all their attention is demanding more money.

Carrot and Stick Theory

After studying the Theory X, it is important to mention the Carrot and Stick Theory as it is effective in given circumstances. It simply states that the means for satisfying an individual's physical and safety needs can be given or withdrawn by the management as reward or punishment. This Theory is relevant only till the time the employees are struggling with their primary survival needs. Beyond that, the individuals are motivated by higher needs and looks for self-respect and self-fulfilment which the enterprise does not provide for the management will rely on punishment because the rewards would be ineffective validating one of the Theory X assumptions. The Carrot and Stick Theory is applied by either creating conditions that encourage for self-fulfilment or by punishing him (the stick) by doing nothing by changing those conditions.

Theory Y: The Integration of Individuals and Organizational Goals

McGregor acknowledged some utility and success of Theory X for the first two levels of physical and safety needs but it didn't do anything for the next higher levels. He conceded, however, that abdication was not a replacement of authoritarianism.

Assumptions of Theory Y

The assumptions of Theory Y have studying behaviour in many specialized areas. Some of these assumptions overlap with those of motivation. They are:

- **Interest in Work:** The expenditure of physical and mental work is as natural as play or rest implying that the average human being does not inherently dislike work. The main factor in deciding the work is a source of satisfaction, that is, done willingly or is a source of punishment that will be avoided if possible.

- **Means of Producing Effort:** In the words of McGregor, 'External control and the threat of punishment are not the only means for bringing about effort towards organizational objectives. Man will exercise self-direction and self-control in the service of objectives to which he is committed'.
This implies that an individual is interested in working towards organizational objectives without any external control.
- **Commitment to Objectives:** Commitment to objectives is a function of the rewards associated with their achievement. An individual can reach higher levels of accomplishment of self-actualization and egoistic needs as a reward of his efforts towards the achievement of organizational objectives.
- **Responsibility:** The fourth assumption of Theory Y is that the average human being learns, under proper conditions, not only to accept, but to seek responsibility. McGregor does not agree to the assumption of Theory X that an individual's wants to avoid responsibility, does not have ambition and focus on security.
- **Solutions of Organizational Problems:** It is assumed that individuals on a wider basis, have a high level of innovation and creativity in solutions of organizational problems.
- **Partial Utilization of Capacity:** Under the conditions of modern industrial life, the intellectual potentialities of the average human being are only partially utilized. This means that the mental faculties of employees are underutilized which is a loss to the organization.

Table 15.3: Differences between Theory X and Theory Y

S.No.	Theory X	Theory Y
1.	Dynamic	Static
2.	Possibility of human growth	The environment does not lead to human growth and development assumptions.
3.	Focus on selective adaptation	Focus is on single absolute form of control.
4.	Based on substantial potentialities of individuals.	Focus on the least common denominator of the factory hand.
5.	Limitations usually fall upon the management innovation to tap human potential Theory Y.	Limitations of human nature.
6.	Offers easy rationalization for ineffective organizational performance, owing to the human nature.	If there is inefficiency, laziness and uncreativity in workers, the flaw lies in the management's methods of Organization and control.

After comparing and summing up the assumptions of Theory Y and Theory X, it can be safely said that even if Theory Y assumptions not been validated and needs a lot of work, they still trump the Theory X assumptions in improving organizational efficiency. Theory Y presents many challenges to change managerial habits of thought and action.

PRINCIPLE OF INTEGRATION

As opposed to the scalar principle used in Theory X stating that direction and control through the exercise of authority, the Theory Y is based on the Theory of integration. The Theory of integration states that 'the creation of conditions such that the members of the organization can achieve their own goals best by directing their efforts towards the success of the enterprise.'

The scalar principle is so deeply ingrained into the managers that it is difficult to implement the Principle of integration.

Important Considerations with Principle of Integration

Some considerations with principle of integration can be termed from McGregor's discussion which can be summarized as:

1. **Precedence of Organizational Requirements:** The organizational requirements take precedence over the individual needs in enterprises (Theory X). The employment contract states clearly that for the rewards bestowed the individuals they have to accept external direction and control. Managers reject the process of integration outrightly or modify it according to their own mindset and attitudes. However, the principle of integration directs an organization to be more effective in accomplishment of its economic goals.
2. **Promotions and Salaries:** While Theory X proposes that promotions, transfers, salaries and increments must be done, keeping in mind, the objectives and the organization and the rewards given to him would satisfy the individuals desires and goals. The carrot of promotion cannot achieve commitment from the employees which will be ultimately added to long term organizational costs. On the other hand, Theory Y implies that if an enterprise ignores personal needs and goals, it will suffer. The principle of integration pushes the organization and the individuals on the same track to find a solution, Theory Y faces a challenge in carrying out this challenge.
3. **Application of Theory Y:** Theory Y appears to be easier to apply in organizations. Theory Y faces lack of valid and research and theoretical framework behind it. McGregor suggests that Theory Y must be applied on a limited scale in a favourable environment. He concedes that perfect int between the organization and the individuals is not possible but the 'best' can be striven for.
4. **Self-direction and Self-control:** Application of Theory Y does not mean absence of authority and control. It assumes self-direction and self-control exercised by people will willingly be done to achieve organizational objectives with the main variable here of commitment. The lesser the commitment, the more the external influence will be required and vice versa.

The degree of commitment achieved largely depends on managerial policies and practices.

6. **Commitments and Authority:** Authority is the main perpetrator to achieve commitment in individuals to accomplish organizational goals, but if used in larger amounts, it will lead to dissipation of commitments, in the long run. McGregor emphasises on using less of external control and more of self-control and self-direction to increase commitment. Authority is an important source of commitment but is not appropriate in all situations.

Theory Y can be successful only if management reduces its control, direction and organization.

Q21 *Analyse McGregor's Theory X and Theory Y. Do you agree with the view that with every passing year, McGregor's message has become more relevant and more important? Substantiate your answer.*

Ans. The statement that McGregor's message has become more relevant and more important is true to quite an extent. The Theory X and Y model was formulated fifty years ago, but has been able to establish its validity by research since then. Many organizations have switched to the Theory Y techniques as it integration the needs of the organization and the employees in a top-down approach.

Given below are some important aspects of McGregor's Theory that substantiate its relevance or the lack of it:

1. **Self-Control:** In modern-day organizations, employees learn to self-control and self-manage. They take responsibility so that they can attain optimum result on their efforts. This is a far cry from the 'hired hands' in the era of Theory X presently.
2. **Managers as Facilitators:** Managers act as facilitators, as McGregor suggested, as opposed to controlling and directing employees. Managers engage the workers by making them feel a participator in the organizational processes which result in the best decisions.
3. **Motivation:** Theory Y suggested a change in the managerial styles which is prevalent in modern-day organizations also. That is why motivation is used in a top-down manner to help the employees to let them discover and top their potentialities.
4. **Technology:** With the increase in technology in the area of Information Technology, data solutions, marketing analytics, etc., there is a need that employees must be innovative and capable of taking initiatives in a top-down manner.

If the managers restrict, direct and control individuals, it will make the individuals disinterested and lazy. Theory Y encourages dynamism and building of leaders. An example of this mindset is seen in 'Google', where the employees are given 20 per cent of their time to do the task they wish to do. The management upholds free flow of communication and self-control. Another example of relevance here is how 'Apple', a mature and a developed enterprise, besides giving materialistic inducements, also imparts training for employees, hold fun games, schemes like, 'The Best Employee of the Week', social work projects, etc. to nurture a positive environment at the workplace. However, Theory X managers are required to deal with immature subordinates. At the same time, it is worthwhile to note that the Third World countries might not be ready for Theory Y because authority and hierarchy are worshipped there to the extent that carrot and stick Theory can be used there because lazy employees do exist. The managers must be adaptive to understand the types of organization they have and the nature of employees.

'Apple' is another example, of a mature and developed enterprise which, besides materialistic inducements, also imparts training for employees, holds fun games and schemes like 'The Best Employee of the Week/Month', etc., to nurture a positive environment.

5. **Social Media:** Social media has an important role to play in moulding and encouraging managers to conduct business based on Theory Y instead of Theory X. The managers have a task in controlling their social online behaviour too. The present-day generation which grew up with the Internet of Things, collaboration or system thinking are called Y generation or Facebook generation. Theory Y is completely compatible with the generation Y, with special reference, to Theory Y's assumptions to Theory Y's assumptions.

Both the styles of management of Theory X and Y have their utility. The manager basically needs to analyse and adapt to the environment and also welcome feedback to improve himself. Today's organizations use either of the two theories or in combination to get the best out of the situation.

To sum up, it can be said that McGregor's Theory Y is being used by modern day organizations. His ideas were an elaboration of Mary Parker's Theory of Constructive Conflict Resolution. Employees expect participative management to become a part of the decision-making process. As a result, they become more innovative and work towards organizational achievement.

Q22 *In McGregor's view, the managerial cosmology meaningfully addresses the understanding of the manager and his role perceptions. Discuss.*

Ans. 'Cosmology' literally means the 'science of the origin and development of the universe', which is based on the Big Bang Theory. McGregor addresses the issue of a manager's cosmology, with respect to, his reality in the physical world and at a deeper level, his beliefs, however implicit, concerning the 'meaning of it all.' Cosmology puts everything into perspective which otherwise would be quite confusing.

The concept of cause and effect is extremely relevant to put the perception of reality and his experiences it into order. So, cosmology is the rudimentary element to establish an individual's security and confidence to deal with physical and social reality. Each individual cosmology is unique in some area and common with another but the catch here is that cosmology is not reality but the human perception of reality.

APPLYING BEHAVIOURAL SCIENTIFIC KNOWLEDGE TO MANAGEMENT

McGregor states that useful scientific knowledge consists in:

1. Identification of the factors, characteristics or variables that are sufficient and necessary causes of a given set of phenomena, and
2. Statements about the relationships among these factors that are associated with changes in the phenomena.

McGregor gave a formula which has the following elements to work out performance 'P' of an individual at work in an industrial organization. It is a function of certain characteristics of the individual, 'I' including his knowledge, skills, motivation, attitudes and or a certain aspects of the environment or a situation, 'E', including the nature of his job, the rewards associated with his performance and the leadership provided to him.

McGregor proposed that:

- **Performance 'P':** Performance of an individual at work in an individual organization.
- **Individual 'I':** Certain chars of the individual 'I' comprising of his knowledge, skills, etc.
- **Environment 'E':** Certain aspects of the environment situation including the nature of his job.

The variables involved in this equation are many and complex and cannot be quantified with the prevailing behavioural sciences.

General Findings of Cosmology of Industrial Managers

McGregor presented those relationships that are scientifically established through research and that are relevant to the industrial managers. They are:

1. **Rewards and Punishments as Incentives:** McGregor divided rewards and punishments into two which was substantiated by research:
 - (i) **Extrinsic:** The extrinsic rewards are tangible and popularly used. They prevail as environmental characteristics and are directly related to behaviour, for example, money, fringe benefits, promotion, praise, recognition, criticism, social acceptance and rejection.
 - (ii) **Intrinsic:** Intrinsic rewards are inherent in the activity itself and the rewards in the attainment of the goal. They cannot be directly controlled externally but the environmental characteristics can increase the reinforce the opportunities to achieve the goals, for example, self- respect, autonomy, etc.

Extrinsic rewards and punishment usually work well with workers and where they do not influence, the intrinsic ones come to play and reduce resistance against the goals of the enterprise. Research was carried out by IBM by experimenting in two groups. One group's morale decreased where extrinsic rewards and punishments were used. In the other group, where intrinsic rewards and were applied, the workers desirers to work was increased.

The flaw in such research studies was that only 'morale' was studied and the negative effects were not taken into account.

2. **Motivation:** McGregor says that individuals are motivated by their very own nature because he is an organic system and not a mechanical one. His behaviour gets affected by the environment and a relationship is established because he is an organic being. This theory is supported by behavioural scientists opposed to the mechanical Theory of human nature. McGregor reiterated Abraham Maslow's Need Hierarchy Theory with physiological needs at the base and move on to the needs of safety, social and ego. An individual moves to the higher levels when the lower levels are satisfied. So, the higher level becomes a motivator itself to achieve it.

McGregor goes on to say that the hierarchical needs do not necessarily work that way. Individuals sometimes, aim for the higher levels even when they are derived of the physiological needs and can be achieved by extrinsic rewards. This must be accomplished by a mutual trust between the organization and the individual while the management keeps the function of direction and control.

Intrinsic rewards system is used for individuals to achieve their needs besides the ego needs but the management faces a problem in controlling them in this case.

The Negative Side: The motivational Theory, however, states that if an individual's physiological needs are satisfied, his energies will be utilized to satisfy the higher-level needs. The negative side to this is that once an individual's physical needs have been sorted, he will also start expending his energies in embracing a higher standard of living and recreation. The management faces a problem in dealing with this implication.

3. **The Theory for Management—Implications:** The management must always strive to create opportunities and conditions for the individuals to achieve their goals by working for the organizational goals. The major generalizations covered in the Theory for management are:
- The management must provide extrinsic rewards on an equitable basis and if goals are not met, then withdraw the rewards or use extrinsic punishment which are not related to manager's wishes.
 - Intrinsic rewards, by removing the restraints must be given to satisfy medium and high-level needs but they cannot be equitable because they are not in the control of the management. This can be done by providing a conducive environment by:
 - Examination of work methods
 - Nature and execution of managerial controls
 - Assignment and supervision of responsibilities
 - Goal setting
 - Established policies
 - Planning
 - Intrinsic rewards do not work well usually because individuals are used to the extrinsic rewards unless a positive environment of trust is built.
 - **Cause and Effect:** Managers might be confused about the cause and effect. The manager might have ignored the intrinsic to motivate individuals for higher needs so that they work for original goals. This might result in frustration amongst the employees.
 - **All Human Relationships are Transactional:** Since all human being are organic in nature, their relationship with the environment are transactional and is a two-way process of influence. The manager must recognize this and rectify problem with mutual interaction based on the aspects of the relationship between the environment 'E' and 'I' variables. The manager can do this by using participative management to eliminate any type of resistance beforehand.
 - **The Manager's Strategy:** The manager's strategy depends on his thinking of the human nature and the strategy influences the behaviour of his subordinates. There are two implications in this:
 - This circular reaction occurs with the beliefs of the human nature whether they are appropriate or not.

- It follows from the above point that in such a situation, the adverse evidence is rejected and eliminated on the basis that it is inconsistent with direct observable reality.

Perceived Versus Objective Reality

Behavioural Science research states another characteristic of human nature and behaviour rarely having a direct response to objective reality but a response to the individuals perception of that reality.

McGregor explains this by an example of an individual perceiving hotness as hotness by actually touching the gas stove but will perceive it as hot before touching it next time as a result of past learning. So, there is the difference between the perceived and objective reality.

McGregor applied this logic to administration, for example, administration, of salaries or promotions, with respect to, equity is perceived by the management quite differently from that of workers concerning reality. Thus, an individual responds not to reality but to his/her own perception of that reality.

Rational Versus Emotional Man

The manager must take care of the emotional characteristics of behaviour and its control keeping abreast of the latest psychosomatic medicines and Clinical Psychology. Nonetheless, all managers believe that man has two sides of him, which are:

1. **Rational:** An individual is rational operating logically dealing with facts and arrives at objective conclusions.
2. **Emotional:** An individual is also emotional at the same time who behaves irrationally ignores or misinterprets facts and works with bias.

Managers prefer to work with a rational person who has the ability to make decisions objectively. However, psychologically this has been disproved as every individual is influenced by emotional factors. The manager must not separate these two factors as they are present in all individuals consciously or unconsciously.

- **Control over Emotions:** Managers and employees can make an effort to first recognize, then accept his emotions and lastly control them. Social interaction helps in this process of detaching oneself from emotions.

Thus, the relationship between social interaction and control of emotional influences on behaviour. The managers can work out strategies to achieve this balance and hold specific training to develop such skills.

- **Difficulty in the Emotional Man:** The typical managerial view of emotion is quite narrow as it does not consider loyalty, enthusiasm, commitment, responsibility as emotional variables. There is no rationality in all such variables, especially, motivation, being an emotional force since the organization cannot remove all these variable and still think of achieving its goals.
- **The Cultural Factor:** Our society has a taboo with a preset notion that a manager must be of a masculine nature with characteristics of aggressiveness, competitiveness, firmness and justice. He is not supposed to be soft as it is associated with femininity. Emotions are mythically thought of as a weakness which will not let a manager operate his business functions effectively. However, emotions are a part of every individual and has a strong influence on behaviour, attitudes, opinions and decisions.
- **Team Work:** Team work is an important aspect of any business's operations which can be attained only by cooperation and social interaction which control occurs without emotions. Sometimes, a manager's cosmology makes him believe that groups are ineffective in decision-making, problem-solving or innovation as opposed to his belief that all these characteristics are individualistic.

- **Transformation in Cosmology:** In the recent times, the cosmology of a manager has undergone transformation, with respect to, activity. Although creativity and innovation are still considered individualistic but much importance is being given to group tasks. Large IT firms have their organizations divided into teams who come up with inventions and new technology every day.

As long as an individual understands that his self-interests can be served only if he accepts those of other group members. This consideration, mostly, occurs naturally because man exists in a social group outside the organization also. This view was substantiated by a study in Harvard which is famously called, 'The Hawthorne Experiments'.

Group behaviour was justified as positive as it was observed that an individual does not only need acceptance, support and recognition in a group but also wants to give it to his group colleagues. Characteristics like leadership, autonomy and self-fulfilment are also satisfied in a group. Lack of these values lead to frustration and aggression.

- **Prediction and Control:** McGregor compares group behaviour to physical sciences to understand prediction and control at all levels and as a whole, i.e., a group. Groups do make rational decisions, are creative and innovative and operate efficiently.

To sum up, the cosmology of manager, with respect to, his perception of reality results in his success or failure and also subsequently of his organization. His view of the individual organization and his understanding of his own behaviour is important to study and analyse to so that he can predict and control and modify strategies.

Q23 Discuss the logic of organization structure with respect to McGregor's cosmology of a professional manager.

Ans. Since organizations were established, organization charts have been the responsibility of managers—identifying the hierarchical levels, fixing authority and responsibility. There can be delegation of authority wherever possible, with himself as the leader, but he cannot delegate the overall responsibility. The lateral and vertical lines of authority in a chain of command are defined to make them legitimized. Functional designs are prepared for staff and line employees. The organizational concept of span of control is involved since individuals cannot act on their responsibilities effectively if a number of people report to them. The organization is further modified if this number exceeds limit of a manager's span of control.

Such an organizational map is static and even minor changes can be made only by a reorganization.

The Reality of Organization Life

The professional manager thinks that the above discussed organizational map is quite rigid and a formal 'approximation of reality'. It is a normative organizational structure but there are situations when some managerial activities have to be carried out beyond the formal channels of organization.

CONVENTIONAL THEORY OF ORGANIZATION

McGregor gave some benefits of formal organization charts. The conventional Theory of Organization is part of a cosmology comprising of a mechanical, rational and individualistic concept of man. Some important observations about the reality of formal organizational charts are:

1. **Imbalance between Authority and Responsibility:** The manager is accountable for the issues that he cannot control directly even if has the formal authority to do so. Influence of staff over various

issues infringe on the limits of authority. However, the formal organization chart helps in defining authority to have some guidelines of positions to avoid chaos.

2. **Organizational Hidden Map:** It is seen generally that managers hide the organizational structure map because they protect themselves by safely staying within their limits and secondly it may lead to disputes. On the other hand, a manager's arbitrariness will not be questioned. When the formal lines of authority are not clear, his subordinates will compete to survive in uncertainty.
3. **Informal Ways:** Not always, the managers conform to the conventional Theory of organization. Individuals do not behave in the designed formal ways and methods owing to human nature. They act in competitive self-interest as the conventional Theory states and tend to form alliances informally to become a part of cooperative groups. The purpose could be to work for or against the organizational goals. Mostly, these informal ways work towards the intended goals.
4. **One Boss:** The feature of the conventional Theory asserts the importance of one boss but it is seen in organizations that bosses get work done from subordinates who are not formally responsible to them, outside the chain of command.

Hence, an organization in modern times cannot survive if it acts purely on the formal conventional Theory of organization. However, a formal organizational structure is definitely required for a manager to have some order and semblance in the organization and there is no logical alternative to the conventional Theory.

Must Do of Professional Manager

A professional manager uses the process of selective process and memory along with his emotional needs that enable the manager to impose this view on reality even though it is something of a mirage.

Conventional Theory still works due to full two reasons:

1. **Theory Reality:** Theory is related to reality which makes the employees in an organization to follow it while broadly believing it.
2. **Reciprocity:** Reciprocity of social relationships is very important to uphold social norms and structure between the employee and employees.

Informal means going along with the formal organization going around the rules and procedures. The basic purpose of all individuals is to achieve self-interest by achieving the organizational goals. McGregor supported the conventional Theory for want of a better alternative.

Q24 Critically assess the contributions of Douglas McGregor.

Ans. Modern-day organizations, whether public or private, try to work for the achievement of organizational goals through employee motivation. McGregor presented Theory X based on Maslow's Hierarchy Need Theory and pointed out the defects in it and replaced it with the Theory Y. He proposed that control and direction by managers must be replaced by building a free environment, which would provide employees to work efficiently and willingly. However, many flaws can be detected in his Theory which is why it cannot be applicable in all types of organizations. The main issues that drew criticism from many scholars are:

1. **Validity:** McGregor's Theory is based on studies in human nature and behaviour. His presentation of Theory X and Y are extremely negative and positive respectively. However, none of the research studies could prove that behaviour can be of such extremes in both the theories. Also, individuals behave in an individualistic distinct manner in response to similar situation. Hence, McGregor's Theory is invited.

2. **Self-Actualization:** The inducement of self-actualization is quite ineffective as it is not a practical motivation as such an opportunity is generally not present in organizations. Such freedom, as suggested by McGregor, is not found in reality.
3. **Authority:** McGregor pushed his concept of authority twinned with autonomy but his critics pointed out that authority could steer and direct an organization towards success. McGregor's concept of authority appears to be superficial. Motivation strategies can be worked upon to create an amicable environment.
4. **Culture:** McGregor based his Theory on Abraham Maslow's Theory of hierarchy of needs. This point of view is curtsied for its ethnocentrism and that it does not consider different cultural environments, which makes it inapplicable to all cultures. Theory Y is mostly aptly suitable in developed countries having stable market economics.
5. **Tough on Weak Personalities:** Since all individuals have unique personalities, not all can become masters of self-control and innovative. The Theory Y comes across as tough on weak personalities. Such people need guidance and direction and in the present scenario, they are working for less pay and have to produce more because of pressures of unstable market economies. The focus is still on increasing productivity rather than the emotional well-being of individuals.
6. **Application of Theory Y:** Application of Theory Y is seen more successful in organizations that are technologically more advanced. One such experiment was conducted in Procter and Gamble by implementing non-hierarchy and self-motivation in selected teams. The results increased productivity proving that organizational culture was a very important factor in making Theory Y a success.
7. **Impractical:** Theory Y is a successful methodology in management but it requires a particular set of environmental conditions which are difficult and impractical to create. Individual differences do not allow an environment that is suitable to all.
8. **Cost-Efficiency:** McGregor himself admitted that there are some employees who require the application of Theory X and others who work better with Theory Y. This implies that organizations and managers have to employ both theories simultaneously which might result in higher costs for the organization even though the employees might be satisfied.
9. **Harder Recruitment:** Using either of the two theories of X and Y, the organization has to decide the type of workers who can fit into those set of working conditions and environment. While recruiting personnel, it might become a loss to the employee as well as the organization. The organization might lose a potentially good employee and employee might lose a good job if he is a misfit in the organization due to inconsistency in the Theory and his mindset.
10. **Assumptions:** The world and economy are moving dynamically and the assumptions of Theory X and Theory Y, both, have a lot of assumption. The work force is also changing its attitude with every passing day. The present generations, for example, in the IT industry work at all odd times because of working online across the globe. If an organization fixes office timings, the individuals will not be able to work.

Summing up, McGregor has been a dynamic contributor to the study of organizations managers and employees. Unfortunately, he died before he could rectify the errors and weaknesses. He was working on Theory Z to remove these criticisms. However, his Theory has been a major landmark of his time.

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UNIT



ADMINISTRATIVE BEHAVIOUR

Chapter 16 Process and Techniques of Decision-Making

Chapter 17 Communication

Chapter 18 Morale

Chapter 19 Motivation Theories: Content, Process and Contemporary

Chapter 20 Theories of Leadership: Traditional and Modern

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16

Process and Techniques of Decision-Making

Learning Objectives

In this chapter, you will learn about:

- Quantitative Techniques
- Quantitative Techniques
- The Classical School of Decision-Making
- The Administrative Model
- Chester I. Barnard's Image Theory on Decision-Making
- Incrementalism—The Political Model of Decision-Making

PROCESS AND TECHNIQUES OF DECISION MAKING

Techniques of Decision Making

Decision-making (DM) process is a complex one, to say the least, in today's scenario of globalization and competition. Policy decision makers have to use techniques to reach rational and practical decisions. There are qualitative as well as quantitative techniques applied to formulate strategies and policies. Earlier, methods like observation, intuition and guessing by gut were employed by leaders but now they have to support them by various complex quantitative techniques.

Quantitative Techniques

The quantitative techniques are based on 'quantity' which means literally the ability to be measured in symbols and units of measurement. The non-numerical statement of a fact can be measured in numbers to make it work in the decision-making process. It can be defined as, 'the numerical descriptions of quantitative process and analysis extensively applied in the study of problems and the process of decision-making'. Given below are some of the main quantitative techniques used in decision-making:

1. **Statistical Quantitative Techniques:** These techniques use methods of statistics comprising tools like collection of data, classification and tabulation, measures of averages, variation and of relation, skewness and kurtosis, diagrammatic and graphic presentation, intrapollation and extrapolation and statistical quality control.
2. **Mathematical Quantitative Techniques:** Quantitative techniques that employ algebra, arithmetic, geometry and calculus are called mathematical quantitative techniques. They achieve sharpness, critical and analytical thinking and reasoning, and define structures and relationships. They also help in building capacity of individuals to adapt to innovations, diagnose patterns and assess risks to take alternative measures with technical knowledge.

3. **Programming Quantitative Techniques:** Operations research models are also called programming quantitative techniques. They involve collection of information, goal programming and decision making at the initial levels.

Phases of Operations Research

- Formulation of the problem quantitatively
- Make a mathematical model
- Identify the solution from the model
- Validate the model
- Implementation of the solution

Techniques of Operations Research

Given below are the techniques of operations research in brief:

1. **Probability:** Prediction of future events can be done by working out the probability of an activity. Probability helps in making feasible predictions and operational policies to deal with those occurrences.
2. **Decision Theory:** Every organization works out its own decision theory that suits its purpose. The basic process, however, involves identifying the problem, the alternatives, analysis of alternatives, selecting the best option and implementing it.
3. **Queuing Theory:** This theory is applied where the demand exceeds the supply in an organization by applying mathematical models. The queuing of products is an issue which is resolved by reducing the waiting. The model applied finds out a solution by working out the optimum capacity of the plant.
4. **Game Theory:** (Game Theory discussed earlier)
5. **Cost Benefit Analysis:** Cost benefit analysis is used in all organizations but is particularly useful in public organizations. It makes an estimate of the benefits in value that will accrue out of the project or activity and compares it with the costs in value that would be incurred in executing the project.
6. **Monte Carlo Simulation Technique:** It is a computerized mathematical technique that considers risk as a part of the decision-making process. It basically works out various plausible end-results ranging from zero to the maximum. It uses risk analysis via probability distribution that leads to a wide-ranging probabilities of different outcomes. The probability distribution may use a bell curve, lognormal, uniform, triangular, PERT or discrete system.
7. **Linear Programming:** It is a mathematical technique mostly applied in computer simulation to seek the best feasible solution. It is also called linear optimization by making a linear function to the maximum or the minimum limit over a convex polyhedron with linear limits.
8. **Decision Tree:** This is a decision-making tool which is a conceptual map on which all feasible alternatives are depicted like a branch on a tree while putting a value against each of the option. The best possible alternative is selected and a decision is taken.
9. **Breakdown Analysis:** The breakdown analysis is applied when enterprises are making an effort to breakeven between the cost and revenues. It is not a successful technique because it assumes predictability and basically follows the rational decision-making model.
10. **Pareto Analysis:** This technique is applied to choose one of the many plausible alternatives by using the 'Pareto Principle' or the 80/20 rule. It proposes that if 20 per cent task is done, the remaining 80 per cent task will be covered by it through generation of that task. It involves the following steps:
 - Identify and list the problems
 - Identify the root cause of each problem

- Score problems
- Group problems by the root cause
- Add the scores for each group
- Take action

There are many other techniques, such as Checklists, Benchmarking, PERT, CPM and Marginal Analysis that are being used to assist sound decision-making and more being formulated each day.

Qualitative Techniques

Qualitative techniques used in decision-making address the issues of the why and how of a problem. They are used mostly in social sciences research but can be used in situations where a wholesome view of the problem is required that includes the environment, the social norms and the specific population that it involves. The human side of the problem can be considered through the use of qualitative techniques where there may be different beliefs, attitudes or ethnicities.

Besides the usual techniques of participant observation, case study method, in-depth interviews and focus groups, given below are some of the qualitative techniques that are used popularly in the decision-making process.

1. **Uni-criterion Model:** This model proposed a solution of each preference conflict faced in organizational decision-making and aims at promoting ethics. Ranking amongst the preferences is done in pairs, whenever the decision-maker is faced with more than one conflicting criteria and then proceeds with criteria aggregation to choose the best alternative.
2. **Force-Field Analysis:** It is an intervention method to improve the organizational environment by identifying varied attitudes and reasons influencing the attainment of objectives by making the decision-making process smooth. It helps in supervision and planning process effectively.
3. **Brainstorming:** The brainstorming qualitative technique is very simple and effective. It involves everyone giving input and all proposals are considered and recorded. A smaller committee reviews and evaluates them to finally arrive at the best solution. This process may cause ego problems due to rejected ideas.
4. **The Straw Man:** The 'Straw Man' is an initial document proposed to only initiate the process of the team to develop it further.
5. **The Jury of Executive Opinion:** This is a modern technique of decision-making which is defined as, 'A method of forecasting using a composite forecast prepared by a number of individual experts. The experts form their opinions initially from the data given and revise their opinions according to others' opinions. Finally, the individuals' final opinions are combined'.
6. **The Delphi Method:** The Delphi method identifies and refines group judgements. It comprises three elements:
 - (i) Anonymous response
 - (ii) Controlled feedback
 - (iii) Statistical analysis of the response

This process is used in forecasting complex decisions. Various other qualitative methods used are application of intuition, juristic, emotions, value and norms and attitudinal predispositions.

Chester I. Barnard is a pioneer in decision-making. He says, 'Decision-making is an act of choice reached through deliberation, calculation and thought. Choice becomes available only when there is more than one alternative'. He gave two types of decision—organizational and personal, keeping in mind the moral and opportunistic elements. This means that to find a solution to a problem, a choice needs to be made out of

the available alternatives. Herbert A. Simon stated that organization is a structure of decision-makers who make decisions at all levels of the organization. Decisions are made based on a number of premises.

In all walks of life and at every point, we are faced to make a decision. It becomes imperative to make a choice out of the available options. This can be done simply by individuals but when we talk about organizations, there is a whole new process and techniques involved. A decision has been defined as a conclusion or resolution reached after consideration to resolve a problem or a situation ridden with uncertainty.

Q1 **Discuss major Decision-Making Models given by various scholars.**

Ans. Since decisions are taken at all levels of an organization, it is natural that a lot of thought would go into it. Sound decision-making could definitely make a great leader and is his fundamental feature.

Decision-making models or theories can be grouped as:

See models or theories on Chester I. Barnard.

1. **Normative:** They present the ideal process for decision-making.
2. **Descriptive:** They give the 'how' of the process of decision-making in practice.

There were extensions and alternatives of the classical theory which focused on the element of cause, plans and the sequences of decisions.

The decision-making process has evolved over the century. The decision-making models are discussed below as they were presented in the history of decision-making.

- I. **The Classical School of Decision-Making:** The classical school of decision-making or the rational economic model was presented by thinkers, such as Taylor, Fayol, Peter Drucker and their contemporaries. It is also called, 'The Rational Choice Theory' as Taylor and his contemporaries stressed on the 'rational man' making rational choices without any consideration of any other factors like social, emotional, social, cultural or political.

The Process of Decision-Making: Decision-making is a linear and logical process where the best possible solution is sought after exhaustively examining all possible alternatives.

Drucker's Decision-Making Process

An example of the decision-making process as given by Peter Drucker comprises five steps as shown in Fig. 16.1.

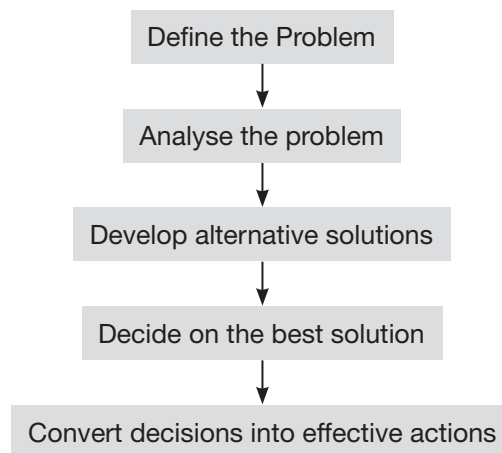


Figure 16.1: The Decision-Making Process

The steps involved in decision-making process are briefly explained below:

1. **Defining the Problem:** When a decision has to be made, the problem is already there and the task here is that the leader or the manager undertakes the problem. The points to consider in this step are:
 - (i) The formal as well as the informal organization and all the variables such as the people and events that affect it.
 - (ii) The decision-maker must not take the problem at face-value. It may be a part of or the root cause of a larger problem.
2. **Analysis of the Problem:** Once the problem has been identified, into regarding all the participating stakeholders and those who will get affected by the decision. All available data must be then analysed based on the:
 - (i) the futurity of the decision the period of time that decision would be needed in the action
 - (ii) the decision's impact on other factors
 - (iii) the qualitative factors
3. **Develop Alternative Solutions:** The third step involves developing alternatives and determining their consequences. The alternatives are prioritized and ranked to achieve the fixed goal. Ranking system can be used by brainstorming the pros and cons of the alternatives or using operations research and computer applications. However, it is a far-fetched assumption that managers know all the alternatives and that they are feasible.
4. **Deciding the Best Solution:** The best solution that will become the decision to be implemented is not a difficult task. The decision should not be a short-term temporary fix because the problem will surface again and shows ineffective leadership. The points to be considered while deciding on the best alternative requires the following considerations:
 - (i) The risks involved in the alternative.
 - (ii) The state of the economy while implementing the alternative method so that minimum possible efforts and resources are used.
 - (iii) The appropriate timing of the decision and action.
 - (iv) The capacity of human resources involved who will ultimately execute the alternative
5. **Converting Decision into Effective Actions:** This is the final stage in the decision-making process to determine the decision that will be implemented. The details of how, when and who of the action need to be worked out. The issues to be taken care of in this stage are:
 - (i) Proper and effective flow of communication
 - (ii) Oversight and supervision
 - (iii) Acceptance of the decision by those who are impacted by it
 - (iv) Development of group participation
 - (v) Feedback and review

The classical model of decision-making integrates rationality into a decision by empiricism, scientific reasoning and positivism. The classical model of decision-making, however does not conform to what it assumes. Given below are the weaknesses of the assumptions of this model:

1. **Objectivity:** The assumption is that the decision-makers are objective and have the required data in an event full of certainty. This assumption is highly unrealistic.
2. **Unbounded Problems:** Complex unbounded problems are difficult to identify. The first step in the classical decision-making process faces difficulty as unbounded parts are vague and unknown.

3. **Knowledge of Alternatives:** The assumption that the decision-maker is aware of all the alternatives does not uphold as there might be information beyond the decision-maker's ability. Mostly, managers rely on individual information based on personal education, memory or experience and try to solve the problem informally. This type of a decision is unstable because it is based on limited alternatives.

The rational model ignores the emotional state of mind and attitudes of the decision-makers as well as the employees. This model is mostly mentioned to understand the other models in comparison and in search for a better and more realistic model.

- II. **The Administrative Model:** This model was proposed by Herbert A. Simon and later worked upon by Richard Cyert and James March. They stated that the manager has a high degree of self-interest and would take a decision with whatever information is available. The decision might not be in the interest of the organization. The administrative model comprises expediency and opportunism. It was based basically on the assumptions that decision-makers do not have full information, the best alternative solutions, technical information, competitive environment, sufficient time and human resource to resolve problems. The leaders accept the best possible good enough solution that becomes available at the time.
- III. **Chester I. Barnard's Image Theory on Decision-Making:** Chester Barnard brought the term decision-making from public administration into the private corporate world. He separated individual personal decision-making from organizational decision-making.
- IV. **Incrementalism—The Political Model of Decision-Making:** This model was supported by instrumentalists. The main proponent of this model decision-making was Charles Lindblom in response to the shortcomings of the rational decision-making model and named it 'The Incremental Approach'.

The main premise on which the incrementalist model of decision-making is based on is the modifications required in the existing policy. He wrote his theory in his 1959 publication, 'The Science of Muddling Through'.

Given below are two approaches which Lindblom presented to make his case and prove which approach is better:

Approach 1: Rational–Comprehensive Method (Root Method)

In case of a formulation of a policy:

1. List all related values in order of importance.
2. Rate all policy outcome with respect to efficiency to achieve the maximum of the values.
3. Compare the alternatives systematically to decide which alternative would achieve the maximum by applying all theories with respect to them.
4. Make a choice that would end in value maximization.

Approach 2: Method of Successive Limited Comparisons (Branch Method)

1. Simplify the principal objective disregarding all related values.
2. Select few policy alternatives and compare them without applying theory. Here we rely on past experiences. Focus would be on taking small steps to predict consequences.
3. Then we make the final selection to combine the best values into one.

Lindblom said that the first approach could be applied only to simple problems. In public organizations and government agencies, the second approach is recommended for finding a solution or formulating a policy, to restraint on resources. However, the literature on decision-making advises the public administrator to follow the first approach which is extremely difficult to adopt. Lindblom supported and formalized the second approach.

He gave a comparison to prove that the branch theory was practically followed and far more better than the root theory. It is given in Table 16.1.

Table 16.1: Root Theory vs Branch Theory

ROOT THEORY	BRANCH THEORY
1. Objectives are different from empirical analysis of alternative policies.	1. The value goals and empirical analysis of the needed action are intertwined.
2. Means-end analysis is used for policy form by isolating the ends first and then means are looked for.	2. Means-ends are not distinct, making it a limited selection of method to achieve the goal.
3. 'Good-policy', means that it is the most appropriate means to the desired ends.	3. 'Good-policy', means that the analysts agreeing one way of achieving the objective.
4. Every input and relevant factor is considered to make a comprehensive analysis.	4. Analysis is limited by contrast because Input possible outcomes are not considered. Important alternative policies are not considered. Affected relevant values are neglected
5. Theory is majorly used.	5. Comparative analysis reduces or eliminates dependence on theory.

The points mentioned above in the comparative analysis between the root and branch method are self-explanatory. However, the points of the branch method need some more explanation

Branch Method: Once established that the root method is not practical, the branch method or the method of successive limited comparisons must be considered here. It focusses on following relevant aspects:

1. Value Goals

- (i) Evaluation and empirical analysis of values are intertwined. Both the elements are selected simultaneously. Hence the objective and the policy are chosen at the same time.
- (ii) The administrator or makes specific marginal or incremental comparisons.

2. Means-Ends: The means and ends are simultaneously identified because the values are not decided prior to determination of empirical analysis.

3. Good Policy Test: In the branch method, the objectives are defined only through the incremental approach to the values. The correctness of a policy can be ascertained initially when all agree on values but if they do not, it is still a good policy because policy is agreed upon.

4. Non-comprehensive Analysis: The rational-comprehensive analysis includes all important and relevant values but it is highly unlikely that it will be able to do so. On the other hand, the method of successive limited comparisons is very simple, in two ways, which are:

- (i) **Policy Limitation:** There is a limitation in the alternatives of available policies, thus reducing the numbers of alternatives to be analysed and compared.
- (ii) **Marginality:** Since it is not required to study an alternative in detail about its values, only marginal differences have to be studied although it is a counter part to the incremental values.

Moreover, policies that require attention only be reviewed and not the one on which all parties agree, for example, fundamental issues of food, hygiene, education, etc., are not contradicted by political parties also.

5. **Succession of Comparisons:** The branch theory does not rely on theory is clear. So, it marks a succession of comparisons with public choice in a chronological series. Policy is made and remade continuously. The policy maker understands that his policy will not be perfect or have the anticipated consequences. He keeps on making incremental changes successively to avoid permanent mistakes.

The root theory relies a lot on theory in policy-making but the reality is that there is no substantial theory in every area of policy formation except the likes of monetary policy. Theory requires a large amount of data to reach any conclusive observations. On the other hand, the branch theory makes the required changes to the policy via comparative method and helps to economize on all accounts.

Criticism: The incremental model, however, has some drawbacks. When the number of alternatives is restricted to apply the comparative analysis method, a better possible solution might get neglected. Secondly, a radical policy cannot be proposed and implemented if only a few small changes have to be made. Lastly, it upholds status quo whereas major changes are needed to deliver social justice.

Conclusion: The successive limited comparisons hence, is a method without going into values in detail to build a perfect policy. It focuses on comparing the present policy and making the relevant incremental changes. This led to its more popular name of 'Incrementalist Theory'.

- V. **Etzioni's Mixed Scanning Model of Decision-Making:** Amitzai Etzioni combined the rationality and incrementalist models in his model agreeing with most of Charles E. Lindblom's concepts but not with his view of rejecting rationality totally. He stated in his article, 'Mixed-Scanning: A Third Approach to Decision-Making', that the concept of social decision-making involves vague commitments of a normative and political nature which translated into specific courses of action. He further said that, 'Since decision-making includes an element of choice, it is the most deliberate and voluntaristic aspect of social conduct.'

The mixed scanning approach is a combination of two components:

1. Realistic description of the strategy used by actors in a various fields
2. The strategy for effective actors to follow

It would be a little less liable for making errors than the incrementalist approach and less tedious than the rationalist approach.

Important Elements of the Mixed Scanning Model of Decision-Making: Given below are the important element of the mixed scanning model of decision-making in brief:

1. **Scanning:** Scanning of various alternatives involves data collection which can be categorized into various levels that would majorly be divided into an inclusive level and a detailed level.
2. **Investment:** Investment of assets and time disbursed among the scanning level must be a part of the strategy. Investment of resources in the all-encompassing level must be increased in budgets to control unperceived dangers so that effective decision-making can be done.
3. **Effect of Increase in Investment:** When increments do not bring any improvements in the sites or even makes it worse, the stakeholders and actors tend to drop the action. This happens because it is not possible to assume reality where one step leads to another.

It is possible at times, according to the Incremental Approach worsening may be a temporary phase in achieving the target. So, a mixed scanning combines various levels of scanning and standardizes a criterion of identifying the level to be emphasized.

4. **Difference Between Fundamental Decisions and Incremental Decisions:**

Fundamental Decisions: They are made by scanning the main alternatives as opposed to rationalists but omitting details and specifications to achieve a feasible overview.

Incremental Decisions: They are made within the contexts set by fundamental decisions and fundamental reviews. Incrementalism and rationalism decrease the impact of each other's weaknesses. The combination of these two approaches by picking up the best of them to make it the third approach of mixed scanning approach.

5. **Evaluation of Decisions:** Decisions can be ranked in an ordinal scale and evaluated by rationalists but incrementalist cannot do that in their approach because values cannot be scaled and ranked as 'good.' However, an informal scaling of values can be attempted and goals ranked. Truncated, that is, adapted and shortened reviews can be made to evaluate decision-making so that effectiveness may be increased to attain the goals of actors rather than just 'muddling through'.
6. **Morphological Factors:** The strategies followed in the mixed scanning model are formulated by positions and power relations among the decision-makers. The ranks in an original hierarchy show a varied response to detail. The experts in the lower ranks pay more attention to details while the higher ranks do not but in some situation as they would like to just get lost in detail to escape the situation.
7. **Environment:** Mixed scanning model takes into account the environment which is constantly changing it is flexible and can adapt to the changes in the relative invert in scanning in general and among the various level of scanning.
8. **Capacity:** It is important to consider the capacity of actors. If it is low, then the actor must depend less on encompassing situation and would be less capable to deal remote outcomes. If it's is high, then the actor can indulge more in encompassing scanning which leads to more effective decision-making.

Etzioni concludes his theory by saying that there is a relationship between policy-making decisions and policy decision-makers.

An active democracy requires:

- A higher capacity to build consensus
- More effective means of control
- A mixed scanning strategy

VI. Yehezkel Dror's Optimal Model of Decision-Making

Yehezkel Dror was an Austrian who was a member of the Hebrew University from 1957 and Head of Department of Public Administration from 1964 till his retirement. He wrote in the various fields of political science, management, public administration, governance capacity and leadership. He gave the optimal model of decision-making in his book entitled, '*Public Policy Making Reexamined*'.

He proposed an optimal approach to policy-making and evaluation comprising looking for the best possibly policy via:

- Review of problems
- Goals
- Values
- Alternatives
- Cost and benefits

He makes modifications required to reach the best decision He suggested the decision-makers of policy to broaden their extra-rational information by intuition and the 'right brain.' Dror divided his model into three major stages:

1. Meta Policy Making: This stage includes seven phases which are:

- Processing values
- Processing reality
- Processing problems
- Surveying, processing and developing resource
- Designing, evaluating and redesigning the policy making system
- Allocating problems, values and resources
- Determining policymaking strategy

2. Policy Making: This stage also has seven phases:

- Sub-allocation resources
- Establishing operational goals with prioritization of operational, goals prioritization
- Establishing operational goals with a set of other significant values with prioritization
- Preparing a set of alternative policies including 'good' ones
- Including reliable predictions of the significant costs of benefits of the various alternatives, changing environment
- Comparing the predicted costs and benefits of the various alternatives and identifying the 'best' ones
- Evaluating the costs and benefits of the best alternatives and decided if they are good or not

3. Post Policy making: This stage involved three phases:

- Motivating the execution of the policy
- Executing the policy
- Evaluating policy-making after executing the policy

All phases put together make up to 17 phases which are interconnected by complex communication and feedback system which becomes the final phase of Dror's model.

Dror gave a detailed analysis of all the 18 phases (which are not required here). It is understood as a core. In the sequential model of policy-making. It is designed for leaders at the apex of an organization.

Given below are some conclusive features of the optimal model:

- The feedback phase makes the model dynamic focusing on the demands for repetitive processes
- Dror emphasis on the extra-rational behaviour considering resources
- Data issues and creativity
- Organize all processes sequentially so that one leads to the other to add up to an overall optimal operation at low cost and less distortion
- Other original models may be used in conjunction this model, as the situ demands;
- The model emphasis on the individual's contribution to the process and not a specific organizational form
- New techniques through the computer must be used to 'stimulate interprofessional teamwork and creativity

Dror considered the incremental decision-making model as a conservative system. However, he later admitted that his recommendations had not been accepted in government roles in high-level decision-making because of politics playing an adverse role in the processes. Dror failed in resolving political issues.

VII. Game Theory of Decision-Making

Game theory of decision-making was invented by John von Neumann and Oskar Morgenstern in 1944 and since 1970, 12 scholars have been awarded Nobel Prize in Economic Sciences for their work in the field of game theory. The game theory is applied to strategic decision-making.

A 'Game' is defined as any situation in which the stakeholders or players make strategic decisions. This implies that the participants consider each other's stake and their responses. The game theory is depicted in simple terms in Fig. 16.2.

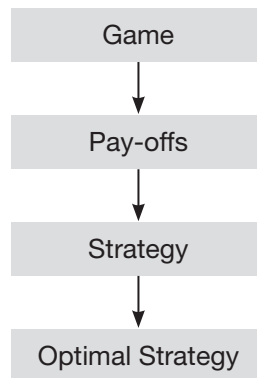


Figure 16.2: Game Theory

The decisions lead to 'pay-offs' to the players (participants) are outcomes that produce benefits in the form of profits, prices, utility, etc. Thus, payoff is a value concerning the predicated outcome. Strategy is a plan of action to play a game leading to payoffs and an 'Optimal Strategy' optimizes the pay-off of a participant or a player.

Game theory can be said to be a theory of independent as well as interdependent decision-making in organizations as opposed to the failure of classical models which consider players as non-living organisms.

Given below are the main points of the game theory:

- The game theory deals in making strategic choices available to participants.
- The 'natural selection' of choices makes a group of decisions towards rational as well as optimal.
- Decisions are made on the basis of their not being irrational instead of focusing on how the players are making decisions.
- It is an interface of mathematics and management.
- It is divided into three types of games— skill, chance and strategy.
- Games of strategy aiming at coincidence of players' interest are called co-operative games of strategy and where they have a conflict of interest are zero-sum games of strategy because all pay-offs are zero.
- On the other hand, if the interests of players are neither conflicting nor confident completely are termed as mixed-motive games of strategy. This strategy is the main element in the games theory as it's is based on realistic efforts and goals.

VIII. The Implicit Favourite Model or The Gamesman Model

The implicit favourite model explains how to make complex and non-routine decisions. It is somewhat similar to the 'Satisficing Model' laying stress on individuals reaching decisions by the process of simplification. The implicit favourite model states that the stage of evaluation of alternatives must not be reached without identifying one of the alternatives as an implicit 'favourite.' A preferred alternative is selected

by the decision maker instead of thinking it as rational or objective and goes on to brand it as the 'right choice.' The process involves the following stages given in brief:

- Identification of the problem
- Identification of an early favorite alternative
- More alternatives are researched and presented to achieve objectivity
- Two major alternatives will be worked out:
 - The choice candidate
 - The confirmation candidate
- Decision criteria are formulated to weigh the alternatives
- An evaluation of both the choices is done and the favored choice decided upon
- Intuitive feelings are relied upon more than rational objectivity

IX. Intuitive Decision-Making Model

This model appears to be quite similar to the implicit favourite model. It processes that rational decision-making is over emphasized whereas intuition can improve decision-making.

It is defined as 'an unconscious process, created out of distilled experience.' It does not work outside rationality, rather it works in conjunction with it.

The conditions required for the 'Intuitive Decision-Making Model' to work are:

1. High level of uncertainty
2. Little or no past experience
3. Variables are less scientifically predictable
4. Limited facts
5. No fixed way to go on the available facts
6. Analytical data is not supportive
7. Good alternatives are available
8. Limited time with a deadline to make a decision

The intuitive model has a less clearly defined process, which is:

- Intuition can be used at the initial stages or at the end of a decision.
- Intuition is given freedom at the front-end to come up with alternatives.
- Back-end approach relies on rationality to identify and allocate wants to decide criteria and to formulate and evaluating alternatives.
- The decision-maker waits for a day or two to mull over it.

This model is un applicable in countries or origins where rational decision-making model is the accepted way of decision-making.

X. Garbage Can Model

Kingdon, in 2003, contradicted 'conventionality' in decision-making and said that decision-making in the public sectors and the government is quite different. He categorized the decision-making process into three:

1. **The Problem Stream:** It gives an understanding of 'how and why' one set of problems rather another gains focus of the officials.
2. **The Political Stream:** The citizens problems and expectations are realized in this stream with respect to elections, public service delivery, etc., through their campaigns.

- 3. The Policy Stream:** The administrators, technocrats, researchers and political 'staffers' formulate policy proposals.

The above-mentioned three streams combine at 'critical times'. There are other theories like the Participatory Model which proposes that a diverse group of individuals with diverse interests act in a consultative capacity by giving their input. On the other hand, the Elite Theory states that only a select few are given the privilege of making decisions.

A 'Group Think' model is a specialized form of conformity when highly cohesive groups operate in a scrub environment. Its major features are directive leadership, group homogeneity and isolation from external influences.

Q2 'Policy judgments comprise reality judgments, values judgments and instrumental judgments' –Geoffery Vickers. Elucidate.

Ans. Geoffery Vickers proposed the 'Appreciative Theory' in his article, 'The Art of Judgment: A Study of Policy-Making'. He said that public agencies and organs are more unambiguous in their decision-making than individuals. According to him, social interactions and political factors must be considered in public decision-making. The problem lies in the differences between policy-making and executive elements as the executives do not understand the inclusiveness of public policy-makers. Vickers says, 'Wisdom lies in masterful administration of the unforeseen, rigidity is to be feared and flexibility is to be prized'.

Vickers contributed to the decision-making theory by his concept of the 'appreciative system'. The three components of the 'Appreciative System' are:

1. Reality Judgments: The reality judgements comprise:

- Those judgements that are concerned with what is or what is not the case
- They range from basic cause-and-effect beliefs to more subtle and complex facts
- The reality judgements depict the current status and problem of the situation, for example, the dissatisfaction of citizens, lack of infrastructure or corruption, etc.
- They are an appreciation of fact and the state of the system including its external and internal relations

It studies and explains what the state will be or might be on various hypotheses as well as judgments of what is and has been.

2. Value Judgments: Value judgments are about making judgments about the significance of these facts to the appreciator or to the body for whom the appreciation is made.

The major points here are:

- Each process study or analysis includes the assumption that human values will always dominate.
- These human values further select and create the facts that have to be analysed and controlled. Vickers stated that the Value Judgments are the facts that are judged for the appreciator or to the body for whom the appreciation is made.
- Value judgements is an approach to what must be the consequence of the anticipation of all participants by fixing the goals based on past experiences and norms.
- Value judgements comprises reality judgments and their appropriateness.
- The value judgements define the values a system must have like ethics, transparency, activity, etc.

Values and facts relationship is close and mutual because facts are important only if they are related to some judgement of value. Judgement of value is operative only in relation to some configuration of fact.

3. **Instrumental Judgment:** These judgements define 'What is to be done'. It aims at going from the current situation to the expected situation that we identify and accept value must be developed so that new experiences can be occur. Its includes the following important issues:
 - It reduces the disparity between the expected policy and current acceptable policy.
 - Removal of unsatisfactory problems in values judgements.

Hence, the instrumental judgements concern with the best means available to decrease the gap between what is and what ought to be, that is, between the positive and the normative.

To sum up, Vickers defined the appreciative setting as a readiness to notice some aspects of reality and not others. he observed that new systems were readily adopted by the technologists rather than in the government. he attempted to build and maintain relationships over time. The appreciative setting that would identify and accept value must be developed so that new experiences can occur.

Q3 Creativity allows the decision-maker to more fully appraise and understand the problem, including seeing problems others can't see. Elucidate.

Ans. Ingenuity and creativity naturally leads to innovative ideas by using expert skills, intrinsic task motivation and insight. Simon proposed that decision-making is the optimum rational choice between various alternate available courses of action. The creativity lies in selecting the right choice by considering all facts and values relevant to the problem at hand.

The decision-makers need to develop an insightful viewpoint to take stock of the entire situation in the environment it is located in and go to the root cause of it. For example, an area which is prone to terrorism must be investigated with respect to the causes before deciding upon the course of action to deal with it.

Etzioni's mixed scanning model of decision-making proposed a combination of realistic description of the strategy used by actors and the strategy for effective actors to follow. One of the elements that he suggested was that environment must be taken into account as it is always changing unless a decision-maker is creative he/she cannot be flexible according to the situation to make effective scanning among the various levels. Also, while using Yehezkeil Dror's model, innovation and creativity to understand which technique to use according to the situation is significant to achieve better results.

The implicit favourite model focused on how to make non-programmed decisions in which intuitive gut is relied upon more than rational objectively. This involves creativity from the intrinsic ability of perceiving problems rather than weighting the problems rationality. The intuitive decision-making model also supports this view.

On the whole, creativity and innovation in a leader will make him take sound decisions. With an insight to look into producing creative solutions for conflict management, as Follet proposed the idea of integration, to bridge the gap between divergent view. Creativity also compensates for shortage of finances, material and information. Each must keep flowing so that good decisions can be made by identifying problems. For example, the decision-makers use counter-insurgency programmes to control the situations in Naxalite ridden areas but must have the realization to look into the causes of under development in those area. So, he/she tries to develop the area along with the counter insurgency approach.

Although creative thinking falls into the ambit of organizational behaviour, it can be applied to public administration in decision-making.

Q4 Discuss the importance of ecological factors in decision-making.

Ans. 'Ecology' literally means 'the branch of biology concerned with the relations between organisms and their environment'. The ecology of decision-making depends on some factors like economic social and political environment at the levels of policy formulation planning and management. The ecological factors in decision-making are found in an administrative setup which have a direct or an indirect impact on the process of decision-making.

Given below are the relevant elements influencing decision-making, with respect to, the ecological factors:

1. **Systems Theory:** Woodrow Wilson and later on F. W. Riggs brought in the concept of Comparative Public Administration (CPA) by introducing the environment factor and its influence on decision-making. This was witnessed by the world after the economic recession of 2008 in the US which coerced the organizations to react to it to survive. The systems theory focussed on the fact that an organization cannot exist in a vacuum with its concepts and techniques on its own. It has influence over the surrounding environment and vice versa. An organization is a part of a larger system, that is, the environment. The environment impacts the decision-making in a government by way of the ever-changing situation and the demands of the citizens.
2. **Globalization:** All organizations are affected by the global environment due to globalization. The economic world has been brought together and is close-knit now than ever before due to interdependence electronically. Globalization affects the decision-making of an organization, whether public or private, to keep up with the changing situations.
3. **Socio-cultural Factor:** An organization has to consider the socio-cultural factors in its decision-making to maximize its profits. Isolation from the environment will lead an organization to loss of market and customers. An organization needs to understand the mood and needs of the customers. Private organizations have taken up Corporate Social Responsibility (CSR) to do good for the society. This helps in giving it back to the society and builds a social base for the organization.
4. **Political Environment:** The political environment identifies and lays down rules and regulation in a society by which all the decisions to be taken within its limits. A democracy promotes progressive decision-making whereas a dictatorial administrative set-up would restrict it. A bureaucracy on the other hand leads to redtapism which adversely affects the speed of the process of decision-making. Simon wrote in length about bureaucracy and rationality in his 'Decision-Making Model'.
5. **Economic Environment:** A country's economic condition or status defines the tone of decision-making. Decisions taken in a developed nation would be different from those in developing nations where all kinds of policy decisions would be taken keeping in mind social welfare of the people.
6. **Formal and Informal Groups:** It has been established in various decision-making models that organizations run with the pressures and values of formal as well as the informal groups. They affect the decision-making equally. The stakeholders have the power to get decisions made or reversed. Use of participation decision-making and collective bargaining is exercised in such skills.

To sum up, all the above-mentioned ecological factors affect decision-making. If the decision-maker understands these factors, it will result in a good decision for the organization, public or private.

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17

Communication

Learning Objectives

In this chapter, you will learn about:

- Knowledge Management
- Importance of Communication
- The Communication Model in Contemporary Times
- Channels of Communication
- Communication Regarding Organization and Authority

The word 'communication' originated from the Latin word *communicatio* from the verb *communicare* which means 'to share'. Communication literally means 'the imparting or exchanging of information by speaking, writing, or using some other medium'. It moves information from one level to other, horizontally or vertically, in any form of organization. However, communication is not so simple as it serves various important purposes and goals. Communication has been used since the inception of human civilization before it got its formal definition, meaning, theories and uses. People used stone carvings, pigeons or the spoken words to do so. Speaking and writing are the simple means of communication but with the changing times, it is carried out by the major technological devices like the computers, smart phones and fax machines. Meetings and interactions are held virtually on the computer via internet whether on a personal basis or an organizational one. Businesses are run via computerized interactions from remote locations. Recent times have also seen political election campaigns run by video conferencing and hologram addressing of rallies.

About 2300 years ago, while discussing the features of effective public speech, in his famous work 'Rhetoric', Aristotle said that communication comprises five elements:

- The speaker (sender)
- The speech (message)
- The audience (receiver)
- The occasion (context)
- The effect (consequence)

Q1 *What is knowledge management in an organization? How is communication crucial for proper knowledge management in an organization?*

Ans. Refer to Chapter 16—Process and Techniques on Decision-Making: Herbert Simon.

Q2 *'Without communication, there can be no organization'. Discuss the importance of communication in public administration.*

OR

'Information constitutes the life-blood of the functioning of organization'. In the light of this statement, explain the utility and importance of communication in an organization.

Ans. Communication is important to all our activities in life to relate to people around us. Its purpose ranges from the simplest of functions to more complex interpersonal and organizational conflicts and problems. Day-to-day organizational functions are eased out by proper flow of communication amongst and across hierarchical levels increasing productivity and workflow quantities. Employees in an organization form alliance with other organizations only if they are well-informed which can happen only through communication. It brings about control and coordination in an organization as dissemination of information across various levels via effective communicating leads to sound decision-making and compliance according to Simon.

IMPORTANCE OF COMMUNICATION

Communication is important in an organizational structure in the following ways:

- **Scope of Organization:** According to Barnard, 'In an exhaustive theory of organization, communication would occupy a central place, because the structure, extensiveness and scope of organization are almost entirely determined by communication techniques. Moreover, much specialization in organization originates and is maintained essentially because of communication requirements'.
- **Trust:** Communication helps in making the system transparent and building trust amongst the employees across levels of hierarchy. Poor communication makes the employees frustrated and affects their psychological well-being. They tend to avoid work because they are not clear about the processes and the state of the organization. Good communication makes them shake off the feelings of job insecurity and helps in building a positive work atmosphere.
- **Building Relationships:** Open and strong communication brings individuals together across organizational levels to interact and build interpersonal as well as professional relationships. They become more open in sharing their innovative ideas and solutions. It also builds a strong relationship between the enterprise and the customers with respect to service and delivery. With proper flow of information, the employees can provide better customer support to the clients facing problems with the product or service, whether in a private or a public organization.
- **Clarity:** Communication can define and clearly lay down the roles and functions of employees at different levels of hierarchy. It dissipates negative attitudes and misunderstandings between

the employees and leads to coherent ideas. This is especially applicable in organizations which have employees coming from cross-cultural backgrounds. It would help in achieving higher organizational goals as the employees from diverse geographical areas would be able to understand each other better.

- **Collaboration and Teamwork:** Effective and good flow of communication leads to a positive work environment which helps in building willingly collaborative teams who want to work together.
- **Globalization:** The present-day business is not restricted to a region or a country and neither does it depend on the traditional methods of communication. Globalization demands communication through electronic mails and remote location meetings and interviews. An organization grows efficiently with the new ways of communication.
- **Morale:** The morale of the individuals working in an organization gets a boost with effective communication as it brings out a positive environment in the workplace. When the morale is high among the workers, they work more efficiently and productively.
- **Decision-Making:** Thinkers like Herbert A. Simon have stressed on the importance of communication to reach a well-informed sound decision. The quality of a decision depends highly on the information provided to the decision-makers.
- **Foundation of Delegation:** Delegation and consequently decentralization improve with proper flow of communication. Since delegation rests upon clear definition of positions, roles and processes, effective communication helps in achieving unambiguous delegation.
- **Planning and Coordination:** Effective communication takes ideas from all levels to the superiors who make plans. Good planning and coordination follow as a result. Delegation is done to improve motivation among employees and to get things done efficiently. This can be achieved with the help of good communication.

The importance of communication has been given by Chester Irving Barnard in his work, *The Functions of the Executive*. Barnard says that, 'The possibility of accomplishing a common purpose and the existence of persons whose desires might constitute motives for contributing towards such a common purpose are the opposite poles of cooperative effort. The process by which these potentialities become dynamic is that of communication'. An organization, therefore, requires communication to align the common purpose with the desires of the employees.

Q3 Discuss the communication model which is commonly followed in contemporary times.

Ans. Norbert Wiener invented the word, 'cybernetics' in his book by the same name in which he stated that communication is a complex problem. He mostly talked about it from a mathematical perspective but when applied to organizations, he said that there is a general tendency of disintegration of an organization which is called 'entropy'. Communication works towards the prevention of entropy. Classical theorists aimed at achieving its goals but the contemporary focus is on feedback mechanism although Henri Fayol also stressed *esprit de corps* which can be achieved by only communication. It is termed as team building now, which can be done by communication, between a sender and a receiver focussing on integration.

The most commonly used communication model is the Shannon-Weaver interpersonal communication model. It was propagated by Claude Elwood Shannon in 1948 with an introduction by Warren Weaver. He gave the process consisting of seven elements depicted below in Fig. 17.1.

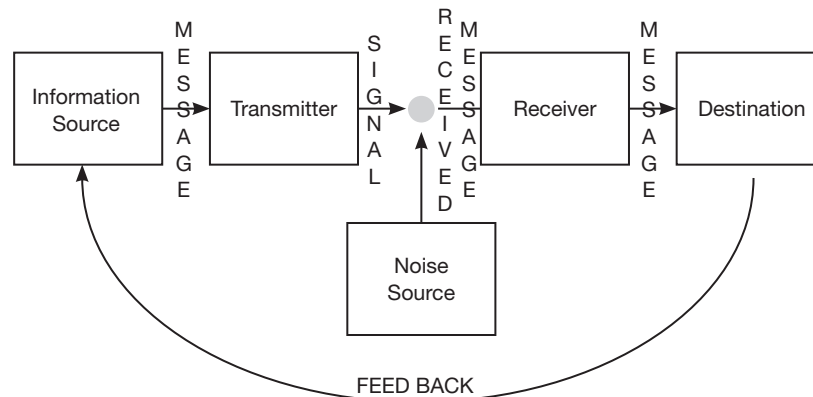


Figure 17.1: The Process of Communication

The communication process is basically between a sender and the receiver comprising the following seven steps:

1. **Source:** The first component of the communication process is the source of the message, that is, the sender. The purpose and the intention with which the message is initiated must be absolutely clear and in alignment of the ultimate achievement of goals towards the progress of the organization. The message is generally an idea of the communicator.
2. **Encoding:** A message is encoded in a symbolic form which is then transmitted to the receiver. It could be in the form of language or symbols. There needs to be a common language for all members of the organization for the message to be communicated successfully. In technical organizations, symbols are extremely relevant because their technical functions cannot be carried out without codes.

Conditions Affecting Encoding:

- Skills regarding the encoding of the message, like writing, reading, listening, reasoning or presenting.
 - Attitudes of the sender of the message affect its content.
 - The extent of knowledge of the sender of the message defines and limits it.
 - The socio-cultural factors affect the behaviour of individuals and so, of the sender of the message.
3. **Message:** After the encoding is done, a message gets ready to be sent, whether it is a written, spoken or a typed one. It could be a gesture, blinking of eyes or facial expression.
 4. **Channel:** The medium used to send the encoded message is the channel. It can be informal or formal means of communication. In an organization, it is sent through the formal ways to reach the receiver.
 5. **Decoding:** The receiver of the message has to be made understandable by the sender so that the message gets the required action. Decoding is the process of deciphering the message into a form that the receiver can perceive for implementation. If the sender is unable to comprehend, the sender must develop his capability to do so prior to sending the message. It is the delegator's responsibility to ensure that the delegate is skilled to receive the message.
 6. **Receiver:** The receiver is the individual who ultimately gets the message on which he implements the action.

7. **Feedback:** This is the last and most important step of the process of communication which finally shows that the message has been successfully received and acted upon. In short, it is the response to the message.

CONDITIONS REQUIRED FOR A SUCCESSFUL COMMUNICATION

A message that has to be communicated has to meet four conditions and if they are not met, they tend to become barriers in communication. They are:

1. **Clarity:** The message to be communicated must be absolutely clear in its intention. Lack of time and tolerance will lead to a message been rejected if it is not comprehensible by the receiver. The 3 W feedback model lays down a simple method of getting a positive response by answering simple three questions:
 - (i) **What:** The message should be clear and specific as to what needs to be done.
 - (ii) **Why:** The message should contain the impact required.
 - (iii) **Way:** The change needed must be stated concisely.
2. **Specificity:** As stated in the first point of clarity, the message must be specific. As Barnard says that the boss issues orders to the subordinates but it is up to the subordinates to follow them or not. If the subordinates do not understand a vague communicated message, they will not be able to execute it.
3. **Description:** The message needs to be described exactly the way the sender wants it executed so that it is not misinterpreted. For example, in the government, if a policy is not laid down descriptively, it cannot be implemented in the way it was intended to be.
4. **Timeliness:** There must be timeliness of communicating the decision otherwise the delay will lead to mismanagement.

Causes of Distortion

After understanding how a message is communicated by the sender to the receiver, it is relevant to consider the causes of distortion. All the seven components of the communication process have the scope of causing distortion. Distortion occurs when the receiver interprets it in some other way than it was intended by the sender of the message majorly due to the following reasons:

- **Noise:** The communicated message might get distorted due to noise. It could be physical, technical, social or psychological.
- **Encoding:** If the message is not encoded properly, it can get distorted, for example, inadequate selection of symbols and unclear content in the message can be misinterpreted and get distorted.
- **Prejudice:** Prejudice, skill sets or information of the sender or the receiver can distort the message.
- **Apprehension:** Anxiety and apprehension over communication is a barrier or distortion of the message. The whole communication process can get endangered if it is not done with confidence and propriety. Oral communication is the most threatened dimension by apprehension.

Factors Affecting Communication

Given below are the ways communication is impacted:

- **Organizational Climate Control:** The organizational climate impacts communication in three ways:
 - **Robotic Climate:** When the management does not consider the concern for employees, communication is downward. This does not help in feedback and the 'Robotic Non-Human' attitude leaves a void in communication between the management and the employees.
 - **Happiness and Hug Climate:** An organization, where everyone goes to be happy with friends in an informal atmosphere, does not help in getting any work done, usually found in NGOs.
 - **Open Climate:** An organization with a balance between the management and employee relationship and communication flowing in all directions is the optimal climate for successful communication.
- **Status:** The interpersonal communication model states that status can become a barrier to effective communication. The higher status employee gets more communication from internal and external sources increasing his control and authority. The individuals at a lower hierarchical level avoid communicating with the higher status officials.
- **Communication Overload:** When there is communication overload, it becomes difficult for the employee to cope with it. Managers reduce their lines of communication to avoid the overload.
- **Socializing:** Contemporary organizational world socializes on a regular basis to increase their networking and public relations. This is related with the social capital an organization can build by managers who can gather more clients to have a large resourceful network. Lack of socializing becomes a barrier of communication.

Hence, communication becomes the most important component in making organizations run smoothly and increasing their organizational productivity.

Q4 Channels of communication must be known. Comment.

Ans. Channels or dimensions of communication refer to the direction of flows for sending a message. The classical theorists recognized only downward communication but contemporary communication flows in all directions for the message to be sent or received. Basically, communication can be of two types which have further dimensions. They are:

INFORMAL COMMUNICATION

Social networking involves informal communication in an organization although outside an organization, also, we find informational communication. In an organization, it is referred to as the 'grapevine', as an important means of communication which does not follow any direction. It can move any side and it is required to follow any hierarchical levels. It, however, has many pitfalls of exaggeration, unaccountability and the rumours.

Characteristics of Informal Communication

Informal communication has to deal with three main features:

- No control of management
- Believed as more reliable and believable
- Serves as self-interest

It flows from the social groups that define the social structure of the organization.

Purpose of Grapevine

Various research studies were conducted on the concept of grapevine and it was found that it serves four purposes:

- To structure and reduce anxiety and apprehension.
- To comprehend pieces of information.
- Is used as a medium of organizing members or outsiders into a group.
- Signalling the status of the sender.

Cause of Grapevine

Grapevine or rumours happen as a result of ambiguousness and unclarity in situations or when the organizational climate is undergoing an important change, for example, change of management or a takeover. Frequent contact and common identification, which are the dimensions of a social structure, become the cause as well as the effect of such communication. It has a similar relationship with the authority of identification, the way formal communication has, with the hierarchical authority. Grapevine is initiated by a small percentage of employees who feel anxious about the work situation or are threatened by uncertainty at work. It can be curtailed, if not eliminated by:

- Timelining decisions
- Examining secret behaviour
- Explaining the pros and cons of the current and future decisions and plans
- Pointing out the worst situation possible
- Effect of Informal Communication

From the perspective of management, the grapevine is helpful sometimes if the managers can use it to their advantage. Given below are some of the effects of informal communication:

- **Gossip:** Informal communication forewarns the managers of any brewing frustration or resistance to a specific plan or a decision. Mostly, the effective managers know that they must ignore most of the gossip to let the employees vent off their frustrations. They usually have an informant and the managers can stop the wrong and harmful rumours in time.
- **Use of Information:** According to Simon, 'Informal communication is not only inevitable, if somewhat illicit, shop talk and gossip'. It does not prescribe to the specified channels and most of the decisions taken by managers use information relayed by such means. On the other hand, Simon points out that it disrupts formal authority relationships and makes coordination more difficult because it lacks any formal monitoring. Moreover, the information could be distorted and wrong.
- **Using Grapevine:** Usually, effective managers use the grapevine to their advantage by building relations socially with employees in all the key departments of the organization. Also, it helps to initiate decisions with respect to new ideas at the higher hierarchical levels.
- **Powerful:** Informal communication lends power to the organization's management. However, it is upto the manager to use it positively to make better decisions. It is even more powerful and supplementary where the formal channels of communication are weak.
- **Swifter Operations:** Information acquired through informal communication means supplements operations with respect to speed as it is capable of cutting red tape. However, informal communication works better in relatively smaller organizations. Larger organizations have to depend more on the formal communication.

II. Formal Communication: All types of communication have their specific use in an organization. Formal communication works through the chain of command prescribed in the organizational structure. It is a purposefully intentional design to disseminate information with easy flows. Besides other relevant purposes, its main goal is to fix task responsibility. The formal communication moves via channels or pathways which coordinate various parts into a whole to make it a cohesive system.

EXTERNAL AND INTERNAL COMMUNICATION

Communication can be external or internal. As the name suggests, the internal communication is between the organizational management and the employees whereas the external communication exists between the organization and those with which it works and interacts.

The differences between the internal and external communication are given in Table 17.1.

Table 17.1: Differences between Internal and External Communication

S. No.	Parameter	Internal Communication	External Communication
1.	Cause	Flow of information among various departments and sections of the organization	Networking with external organizations
2.	Types	It is multidimensional: horizontal and vertical	No dimensions
3.	Incidence	Very high to have effective outcome of tasks	Relatively quite low
4.	Distance	The sender and the receiver have no distance	A significant distance exists between the sender and the receiver
5.	Extent	Limited within the organization	Vast extent

Dimensions of Internal Communication

There are many dimensions to internal communication which an organization adopts to succeed in its projects and activities. Its basic purpose is to transmit messages to deal with day-to-day activities in all its departments, for example, personal objectives, job instructions, data, orders, inventory, problems and solutions in production, etc.

Organizational Communication: Thinkers like Invernizzi in 2003 and Coccozza in 2010 stated that internal communication has evolved in its content and methods into 'organizational communication'. So, in a way, the external communication becomes a part of the organizational communication. It uses the same tools and strategies that the internal communication applies with a wider scope and considered external to an organization.

Definition: Invernizzi defined organizational communication as, 'The set of strategic and operational processes aimed to create, exchange and share informative and values-related messages within the diverse relationship networks that constitute the organization's essence and its position in the environment.'

This implies that organizational communication comprises three elements:

1. Internal members
2. External-internal
3. External stakeholders

Thus, it integrates all communication processes to develop an organization. The ICT advancements in the present-day have evolved to an extent, where it is easier to develop a composite corporate culture. It renders the traditional distinction between the internal and external communication obsolete and helps in taking the company's mission and agenda forward. It helps in product visibility with a transparent system of processes and procedures in the organization. The organizational communication covers three levels:

1. Micro
2. Meso (the level between micro and macro levels)
3. Macro

It deals with formal and informal communication as well as the internal organizational communication means, which constitute verbal, non-verbal and strategic communications on one hand and external dimensions of public, media and communications with other organizations on the other. Organizational communication also comprises communication technologies like data analytics, video conferences, learning, knowledge and conflict resolution. This means that organizational communication covers all aspects of communication via coordination leading to organizational behaviour. Hence, communication is the backbone of the organization with respect to its existence. Unless internal and external communications are amalgamated into one cohesive system, it cannot be effective.

Outcomes of Internal Communication: Internal communication can be categorized into two:

1. Individual
2. Organizational

Individual Outcomes: They are the positive consequences that the internal communication may have on an employee to modify its behaviour. Individual outcomes caused by internal communication are given below:

- **Commitment:** Organizational commitment is derived from communication. It has been defined by Mowday *et al.*, (1979) as, 'the relative strength of an individual's identification with and involvement in a particular organization because of his/her emotional attachment to it'. The factors involved in communication affecting commitment are:
 - Adequate information to do their tasks via formal communication.
 - Interpersonal communication with peers and direct superiors rather than higher level management.
 - Socio-emotional content.
 - Higher quality of feedback on an employee's task.
- **Trust:** Trust is an important element in making organizations a success and is a two-way street. It builds interpersonal relationships, cooperation and stability in the organizational social atmosphere. Trust makes them work better as a result of internal communication and the employees feel proud of their output if they are communicated appreciatively about it. Trust is developed in:
 - The management
 - Colleagues
 - In the general organizational context

The characteristics of trust are:

- Ability
- Benevolence
- Integrity

Trust improves the quality of communication of openness in communication. From the management's perspective, it inculcates trust via communicated messages about its mission, goals, organizational conflicts and their resolution which may not address the task specifically. Presently, new communication technology has made things easier and faster to build trust between the organization and the employees and amongst employees also.

- **Employee Job Satisfaction:** Thinkers have given two terms—Job Satisfaction and Employee Satisfaction. Job satisfaction is a part of the employee satisfaction, which is task related but employee satisfaction is the employee's satisfaction with the organization as a whole. Good communication leads to higher levels of satisfaction among employees. This is depicted in Fig. 17.2.



Figure 17.2: Employee Satisfaction

Internal marketing in an organization increases employee job satisfaction, thereby, making the organization performance better. Internal marketing and internal employee job satisfaction and commitment (employee considered as a consumer here) are interrelated complementarily.

- **Upgradation of Performance:** Keller *et al.*, (2006) have proposed the concept of internal marketing where employees are believed to be customers. If these customers/employees are satisfied, they would perform better. Communication with internal suppliers improves the capabilities of employees and decreases errors in their tasks or shortcomings in service delivery. This flow must be smoothly facilitated to the internal customers by the internal suppliers with the help of internal communication.
- **Development:** Individuals working in an organization move towards a positive development with the help of internal communication. This can be eased out by the maintenance of formal coordination and an all-pervasive communication system. Employee development will further the service and customer orientation by modifying behavioural attitudes via an effective internal communication system.
- **Organizational Supportive Attitude:** An organizational supportive attitude is defined as 'a positive attitude toward the organization's strategic direction' by De Ridder and Human (2004). This can be achieved in two ways:
 - **One with the Organization:** The organizational individuals consider their activities and the organization's as one, leading to affective commitment. Affective commitment makes the employees feel solidarity with the organization and he/she will be more supportive towards the organization's strategic direction with the increase in commitment.

- **Belief in the Management's Capacity:** If the organization's individuals believe that the organization is working according to a plan and that they can trust the management and its plans, they will develop a supportive attitude towards the organization's strategic direction. Even though trust and commitment are two distinct concepts, they achieve the same desired result of a positive relationship with the help of internal communication.
- **Motivation:** When employees do not get positive and reinforcement-oriented internal communication, they tend to lose their motivation to work with efficiency and effectiveness. Good effective leaders get their employees' motivation high by positive supports and incentives by communicating with them to achieve the organization's goals.

Organizational Outcomes: They are the sum of the individual benefits that the internal communication causes to be accrued to an organization as a whole. They are dependent on the individual outcomes because an organization cannot be successful if individuals are not happy and positive about the internal communication and are also called second level outputs.

External Communication

External communication, on the other hand, is between an organization and another organization or an individual. These external entities can be clients, suppliers of ancillary parts in a product, the media, a government agency which has to pass a contract or vice versa, or general public, within the country of the organization or outside. They can be maintained through verbal or oral communication and be typically formal or informal. Rebecca Luhn Wolfe in her work, *'Office Politics: Positive Results from Fair Practices'*, bases practical and ethical choices to be followed by five rules given below:

1. **Corporate Culture:** An individual in the hierarchical chain who is unable to change policy must follow it by flowing with the organization's corporate culture.
2. **Flexibility:** An employee must know when to hold and when to fold to deal with a situation.
3. **Win-Win Situation:** One side winning a conflict leaves the other side frustrated and angry. So, a win-win situation must be worked out to keep everyone happy and satisfied.
4. **Respect:** One must be respectful and fair while tackling external communication.
5. **Think First, Act Later:** Rationality and not emotion must be the basis for any communication and especially, external communication.

Dimensions of External Communication

External communication has many features and dimensions but the main are mentioned here briefly:

- **More Relevant:** Organizational outward outcomes are more relevant in the present-day. Globalization, especially, after a major crisis has occurred. There could be various situations like accidents, scandals or the organization's legitimacy, etc., where a message needs to be sent out. Organizations may have to clarify their stand in case of a failure. Risk management strategies come into play and external communication is a medium used to sort out the crisis.
- **Appeasement of the Public:** Public managerial announcements are made after accidents, scandals or public safety issues. They can either be:
 - Accepting that there was a problem and the organization is prepared to take actions to rectify the issue; or there can be a
 - Defensive denial of any existence of a problem and build an opinion of the organization's sustainability by upgrading their operations.

However, defensive statements are accepted more favourably. Organizational legitimacy can be established by external communication. On the other hand, management researchers are propagating 'proactivity'. It implies that organizations must deal with external relations before the scandals or threats, pre-emptively, to make conditions favourable to their situations. The organization must have sound 'marketing ethos' or 'marketing orientation' before changes take place. For example, in the 1980s, in the USA, the society became litigation crazy and there were many lawsuits happening for frivolous causes. The insurance companies had to pay out huge amounts of money to their clients as compensation. As a proactive strategy, the insurance sector can amend their laws or the companies can declare disclaimers regarding any flaws.

- **Interlinkage:** Internal or external communication is a part of the same process and are lined to each other for the same objective. The external contacts are a social construct which are most important to an organization and internal communication works towards gaining access to the external links.
- **Factors Influencing External Communication:** According to contingency theory, external communication behaviour is influenced by various environmental constraints. Whatever the organizations environment is, it impacts the external communication and cannot work independently. However, the contingency theory's premise was replaced by the factors that affect external communication, Grunig (1992) suggested the following factors affecting external communication:
 - Organizational power
 - Organizational culture (flexibility)
 - The expertise of a top executive

Thus, external communication is an end result of various factors and situations within as well as outside the organization.

II. FORMAL COMMUNICATION

Formal communication flows in six directions:

1. **Chain:** The chain can be upward or downward in a vertical direction. The information in a chain network communication flows either upward or downward on rigid hierarchical lines.

A. Vertical Communication: In a chain flow of communication, there exists vertical communication which can be downward or upward as per hierarchy.

Downward Communication: The most popular conceptual framework of downward communication has been given by Katz and Kahn in their work, 'The Social Psychology of Organizations' and called it 'Communication down the Line'.

Types of Downward Communication: Katz and Kahn gave five types of communication originating from the superiors to the subordinates:

- (i) **Job Instructions:** The first category involves giving specific instructions regarding the job, generally found in factories, military and hospitals. The communication is a direct order in clear-cut terms from the superior, which can also be in forms of training sessions, training manuals and written directives. This ensures reliable performance of every role incumbent in every position in the organization.
- (ii) **Job Rationale:** This type of communication entails information providing understanding of the specific task and its connection and bearings on other organizational tasks. Usually, the task of an employee is a part of the whole and the employee seldom understands the reasons of what he is being told to do. The team must be allowed to take some time in-between their tasks

to interact with each other to discover the optimal organizational pattern to improve efficiency. The interaction among the team members must be related to the task and not to any socio-emotional issues. However, it is clear that not every employee needs to know all the reasons and rationale about their task as it will lead to the problem of communication overload and nor it should be too less for the fear of organizational malfunctioning.

- (iii) **Procedures and Processes:** Information concerning the procedures and processes is communicated via downward communication in the organization. This type of communication does not have any contradiction but the second category continues to be a problem. Hence, a balance needs to be maintained via manuals and rulebooks comprising information with respect to the employees' obligations and privileges besides his job role requirements.
- (iv) **Feedback:** The downward communication entails communicating feedback to employees about their performance. Feedback becomes clear if the criteria has been set beforehand otherwise evaluation becomes complicated.
- (v) **Indoctrination of Goals:** The organization wants to develop its goals by communicating them to its employees. Public organizations, which are doing service to the nation, like the police or the armed forces, have to drill into the employees that they are working for the larger good of the society.

Size of the Loop and Downward Communication: Size of the loop and downward communication is an important variable to send information down the hierarchical levels to improve morale and effectiveness. Generally, the high management level is not aware of the communications regarding job instructions, though it would be a waste of their time to know about them. The indoctrination of goals covers the last man in the organization's loop in theory but not in practice.

Comprehension of the message communicated within the loop must be decoded and broken down into simple and specific details for it to be effective. Decoding of the message is supported by the likeability of the sender, especially, in political organizations.

Channels of Downward Communication: There are various channels and forms of downward communication which are most often used. They are briefly discussed below:

I. Verbal or Written: Written communication is used to send a message to a receiver using a code of symbols which can be understood by the sender as well as the receiver. It can take the form of a letter, memo, report, e-mail, fax, etc., it is used when a face-to-face is not possible.

Advantages of Written Communication: The advantages of written communication are:

- (i) **Immediacy:** A written communication defines the urgency of the message which can be sent immediately, notwithstanding the geographical location of the sender and the receiver.
- (ii) **Permanence:** The formal value of a written communication is one of its main characteristics. Once communicated, the message has the advantage of being a permanent record.
- (iii) **Delegation of Responsibility:** Written communication regarding delegation of responsibilities in an organization is better than any other forms of communication because it is acknowledged by the receiver.
- (iv) **Records:** Written communication provides the basis for maintenance of records which serves as a point of reference in legal disputes.
- (v) **Prestige:** Finally, it also takes an organization on the way to increased prestige and standing.

Disadvantages of Written Communication: The disadvantages of a written communication are briefly mentioned below:

- (i) **Costly:** The manpower and the writing material used to send a written communication add to its cost.
- (ii) **Distance:** The geographical distance makes it difficult for the receiver to remove any doubts regarding the message. It also involves time if it is a letter.
- (iii) **Not Immediate:** The response of the receiver is not immediate as it needs encoding and decoding by the sender and the receiver respectively.
- (iv) **Writing Skills:** Adequate writing skills are essential to communicate a message otherwise it might have an adverse effect, especially, in the case of external communication. The organization's image can be contrarily affected rather than achieving its goals by that message.
- (v) **Burden:** Paperwork and e-mails lead to a burden over the organization.

However, written communication is the most popularly used method of formal downward communication.

II. Non-Verbal or Oral: Organizations are mostly laced with non-verbal communications, that is, the oral communication. Given below are the various channels of oral communication:

- (i) **Face-to-Face:** The face-to-face interactions are effective as they are personal and can be done over the phone, video, radio, television and internet calls. The factors that affect oral communication are:
 - (a) **Pitch:** It refers to how the tone in which the message is communicated determines the degree of effectiveness.
 - (b) **Volume:** If the volume of the voice over the interaction is not controlled according to the subject matter of the message to be communicated, it might suggest sarcasm, anger or rudeness unless it is intended.

B. Horizontal Communication: Horizontal communication is between the employees at the same organizational hierarchical levels laterally. It does not consider the socio-emotional factor as it does not result in maximum efficiency desired by the organization, except for the purpose of coordination required for a specific task. The employees usually receive communications from the boss above them but in reality, the lower level, owing to the hierarchical differences, communication is found flowing more. Since individuals at the same level share the same type of problems, it follows that horizontal communication within the unit is extremely important for the system to function effectively.

Their problems must be addressed so that they do not aggravate and shape up into a counterproductive problem due to communication. Disruptions due to noise or lack of training might hinder a joint decision. This could result in a collective disruptive action due to misunderstanding of a communication, for example, a communication of firing, sent to an individual could be misinterpreted as firing of the team.

Conditions in Lateral Communication: Given below are the conditions in which lateral communication works:

- (i) **Effectiveness:** There are certain tasks that necessitate lateral/horizontal communication to complete it effectively.
- (ii) **Socio-Emotional Support:** Besides providing coordination to a team to complete its task, lateral communication also gives socio-emotional support to the team members.

Thus, lateral communication needs to exist only if the organizational principles permit in doing so otherwise it can lead to organizational disruption. Communication at the same hierarchical level must be related only to the task assigned to the team. The higher levels do not consider lateral communication as relevant, whereas, some real information might be there to be used. Most organizations do not

favour horizontal/lateral communication so that they can maintain social control and consequently move towards an authoritarian organizational structure. This leads to unrest and disruption among the lower levels of organization leading to a decline in cooperative efforts. Banning horizontal communication does not help the organization and it is useful if they try and sort out the problems of the workers at the lower levels instead of just eliminating all communication laterally.

C. Upward Communication: Upward communication is associated with what an individual:

- Communicates about himself, his achievements or the lack of it
- Says about others or their performance
- Perceives about the procedures and policies of the organization
- Thinks the procedures can be improved

This clearly implies that an individual can report to his superiors about the issues mentioned above and any grievances he might have, though the element of subjectivity is usually there. However, superiors are not in the habit of listening to the subordinates for fear of adverse situations for them.

The features of upward communication are briefly mentioned below:

- It is subjective
 - It does not get the response from the superior as anticipated by the subordinates
 - It is usually moulded into what the superior wants to hear and not the entire truth
 - The upward loop is generally small ending at the immediate supervisor which gets passed on to his superior in a modified way
2. **Star:** The second direction of the flow of communication is relayed among the group members by a leader being the focal initiator. The group members do not communicate to each other but are sent messages only by the leader. This is why it is also called the, 'Wheel Communication Network'.
 3. **Circle:** The team members communicate with only the one next to them which is also called the lateral communication.
 4. **All-Channel:** There is free communication amongst the team members using the concept of decentralization, also known as the, 'Completely Connected Network'.
 5. **Inverted V:** The concept of levels of hierarchy is used in this model. A subordinate can communicate with two levels above him but the second higher level is conditional.
 6. **Y-Network:** The-Y network is decentralized in which two subordinates can communicate with a superior and the superior can communicate with two superiors above his level.

Q5 *Discuss Barnard's views on communication with respect to organization and authority.*

OR

The nature and role of communication in administration indicates that 'Communication is authority'. Comment.

Ans. While discussing, 'The Theory of Formal Organization', Chester I. Barnard stated that, an organization comes into being when:

- (i) There are persons able to communicate each other
- (ii) Who are willing to contribute action
- (iii) To accomplish a common purpose

Hence, the three most basic elements of an organization are communication, willingness to serve a common purpose. The motives and efforts of achieving a common purpose are in contradiction which can be made effective by communication. Techniques of communication are most important to achieve the common purpose. They can be oral, written, signalling, body language, codes, etc.

IMPORTANCE OF A LEADER AS AN EFFECTIVE CHANNEL OF COMMUNICATION

An organization requires communication so that the workers can know what the other is doing to comprehend the situation as a whole. A central channel or an effective leader is paramount to keep communication flowing in all directions. On the other hand, a leader is often swamped with various functions he has to undertake to look after the organization. The ideal practical number a leader can communicate effectively is 15 and to obtain cooperation, it is usually five or six persons. This emphasizes the issue of limitations put on communication in situations. Communication is basic to convert purpose into concrete action effectively. There must be complete information about the environment and the actions that need to be carried out.

Size of the Unit: The specified number of persons a leader can communicate which determines the size of a unit within an organization. They are:

- **Purpose and Technical Conditions:** In organizations, when there is complexity involved in the purpose or specific tasks require specialized technological conditions, communication must be adequate by the leader. The size of the unit is defined by these conditions.
- **Communication Process:** In various situations, verbal communication becomes difficult and demonstration is required to communicate, it becomes imperative that the unit is kept manageable. It is practically impossible to demonstrate to a larger group of employees.
- **Conditions Where Employees Cannot See Each Other:** In performing their tasks where employees can see each other what they are doing, for example, pulling a boat, communication is not required. On the other hand, for example, in organizations where employees cannot see each other due to different locations, communication becomes essential.
- **Social Conditions:** In an organization, the size of the unit is determined by the limitation of a leader which is dependent on the social conditions. These include the complexity of personal relationships involved. A group is sub-divided into sub-groups, which increases the number of relationships. The group dynamics become more complex with an addition of a member. Since the requirements of communication limit the size of the unit in an organization, the only way left for it to expand, is by creating more units. An effective leader uses communication to coordinate the units and becomes an 'overhead' unit of organization.

Similarly, communication is established between groups and combine themselves to form a whole. Barnard gives the example of an army to explain such a complex organizational structure woven by the essentials of 'communication'.

Interlink Between Communication and Functions of an Executive: There is an important interlink between a unit organization and the functions performed by several individuals whereas in a complex organization, functions are usually localized in one person which is essential in formal communication.

Communication and Authority: Barnard relates two elements to authority, one is the willingness of the workers to contribute to their organization and the second is communication.

Barnard defined authority as, 'The characteristic of a communication (order) in a formal organization by virtue of which it is accepted by a contributor to or member of the organization as governing or determining what he does or is not to do so far as the organization is concerned'.

This definition of authority gives two implications which are:

- **The Subjective:** The individual accepts authority, personally, by accepting a communication as authoritative.
- **The Objective:** The characteristic in communication due to which it is accepted.

The System of Coordination

Barnard developed a system of coordination based on the 'objective' aspect. According to the definition of authority, it follows that if a directive communication is accepted by the individual, for it sent, authority was established as the basis of further action. Not accepting of authority for that individual.

Hence, a concept was arrived at by Barnard which was totally contrary to the popular understanding that authority lies in the 'person' of position and authority, whereas, authority lies in the acceptance of the order to whom it was communicated to.

Conditions Required for Acceptance of Authority

Barnard mentioned that there are four conditions that must be met so that an individual accepts authority. They are:

1. **Comprehension:** The individual to which a message has been communicated must be able to understand its content to ultimately accept the authority in that communication. So, the interpretation and the reinterpretation of an order to be communicated must be considered in their implementation.
2. **Inconsistency:** If the individual receiving the communication finds it inconsistent with the organization's purpose, the communication will not be accepted. Conflicting orders create confusion and denial of authority.
3. **Compatibility:** There must be compatibility between personal interest and that of the organization. The receiver of the communication must perceive it to be in alignment with his personal interest. If it is so, the communication will be considered, otherwise it might even lead to voluntary resignation.
4. **Capabilities:** The receiver of the communication must have the necessary mental and physical capabilities to obey the directive communication. (See the Chapter on Chester I. Barnard on 'Zone of Indifference').

Controlling Factors of a Communication System

Barnard discussed the basic factors that control a communication system to make it effective and successful. They are:

- **Channels of Communication:** As discussed earlier in the interpersonal communication model, Barnard also mentions that the channels of communication must be clearly established by:
 - Announcing official appointments
 - Clarifying position classification to the employees
 - Organizational charts
 - Making general announcements
 - Educational efforts
 - Securing a permanent system by habituation

- **Defining Formal Channels:** Barnard identified two principles: The first was, 'everyone reports to someone', which implies one-directional communication and the second principle was, 'everyone is subordinate to someone', which implies communication in the other direction. These two directions will ensure a formal relationship of every employee to the organization.
 - **Direct or Short Line of Communication:** Mostly, all formal communication is written or oral, which is facilitated by language. Language has its own limitations and constraints which can lead to misunderstanding. There can be a loss of content if a verbal message passes down many hierarchical levels. Hence, it is proposed that the communicated message must be framed as short as possible and sent directly to have a high speed of delivery time and minimum possible error. Barnard mentioned some sound practices to achieve a direct and short line of communication by using:
 - Expanded executive organizations at every stage.
 - Technical expertise.
 - Segmentation of the executive work into operating sections.
 - Delegation of responsibility by coordinating with the help of conferences, forming committees, etc.
 - **Communication Must Be Used Throughout the Line:** A message must be communicated from the top of the organization through all the stages till the bottom of the line of authority. This eliminates any possibility of misunderstanding or conflict to have a clear comprehension of the message.
 - **Adequacy of Supervisors:** The supervisors must be adequately competent regarding the messages being sent about the specific job on one hand and sufficient capability of handling the central office of communication in a large organization. An individual with authority is the executive head, who or which is generally a board, a committee or a legislature, dealing with the communications. His/her team acts as a field staff assisting in translating information from the field, preparing plans for transmission, etc.
 - **Uninterrupted Line of Communication:** During the working hours of an organization, communication must be uninterrupted. In situations, where the employee goes for a long leave or dies, an employee is hired to substitute for him/her. This ensures:
 - Uninterrupted line of communication
 - Maintenance of an impersonal character of the organization
 - Informal communication remains active
 - **Authentic Communication:** The message or a decision that has to be communicated must come from the position of authority. Authentication of the person of authority can be established by holding public ceremonies of the investiture.
- To sum up, as Barnard says, in unit organizations, the channels of communication:
- Are known
 - Obvious
 - Definite
 - Shortest possible

The contentious issue here is sometimes of the competence of the individual. Barnard further concludes by stating that communication is not only related to authority in organizations but also to specialization and all aspects of coordination. All communication relates to the formulation of purpose and the transmission of coordinating prescriptions for action and so rests upon the ability to communicate with those willing to cooperate. Also, a system of communication becomes a part of the functions of an executive. It comprises a scheme of organization and executive personnel.

18

Morale

Learning Objectives

In this chapter, you will learn about:

- Emergence of the Concept of Morale
- Ways in Which Morale Improves an Organization
- Morale and Organizational Productivity
- Factors Affecting Morale
- Ways to Improve Morale

Q1 **Discuss 'morale' and how it emerged in the world scene.**

Ans. Defining morale has been attempted by many thinkers but since it is an abstract, a feeling or an attitude, it is quite difficult to put it in words. It can, however, be attempted to explain it. In the recent times, morale has been researched as an important factor in influencing the productivity having other factors in itself that impact it rather than it being a unitary concept.

The late 1700s to mid-1800s witnessed the growth of textile mills as the first factories in the USA. The organization of work developed in factories rapidly as the means of production. The main problem that cropped up and was researched on was the best possible organizational structure. The classical approach considered the worker as a lazy and isolate being, who could be motivated only by withdrawal of incentives that were only monetary. None recognized the human side of the individual and morale was a fetched concept.

History

1800s: In the early 1800s, Robert Owen conducted social experiments by developing communities for workers around the factories to facilitate social control.

1910: Wanamaker started programs to 'engender diligence and loyalty'. Surprisingly, centuries ago, he delved into the in-store vocational training programmes and gave welfare benefits like paid vacations and limited number of working hours. There were the first attempts towards building an 'individual' democracy

1915: Many large organizations, by 1915 established 'welfare work' departments which were managed by sociologists and psychologists whose main aim was to build morale of the workers and help resolve their grievances.

1915s: F.W. Taylor conducted experiments and established the Scientific Management Movement in which he emphasized the importance of the application of science to organizations and the fear of unemployment based on the 'Piece Rate System'.

1950's and 1960's: The New Delhi Legislation worked out solutions via collective bargaining and adversely conflict resolution.

Later on, research and studies were conducted to increase productivity by employee participation by boosting their morale in the working environment. The morale productivity relationship was studied by many eminent thinkers and researchers. Instead of a positive moral productivity relationship, its adverse impact was also researched.

According to the Webster's dictionary, 'Morale' is the:

1. Mental and emotional condition (as of enthusiasm confidence or loyalty) of an individual or group with regard to the function or tasks at hand.
2. A sense of common purpose with respect to a group, the *esprit de corps*'.
3. The level of individual psychological well-being based on such factors as a sense of purpose and confidence in the future.

On the other hand, when 'morale' is used in the sense of an employee in a workplace, it refers to the feelings, attitudes and job satisfaction in a workplace and affects the organizations productivity. Productivity and the zeal to work more and better are improved if the morale of the employees is high and vice versa.

Defining morale has been attempted by many thinkers but since it is an abstract, a feeling or an attitude, it is quite difficult to sanction words to it. It can, however, be attempted to explain the word. In the recent times, morale has been researched as an important factor in influencing the productivity and includes various other variables which defy the characteristic of being a unitary concept.

Cantril H: He defined morale in his book, '*Gauging Public Opinion*', as, 'a condition of mental soundness marked by a wholehearted, decisive resolution to achieve given goals, and by spirited, unyielding, coordinated efforts in the direction of three goals.'

La Pierre and Farnsworth: Morale is the general level of regard that the members of a group have for that group.

Harrell: High morale would imply perseverance at work which is important to the objective of management. This definition implies quite an objective dictionary perspective of morale.

Dale Yoder: Morale is a feeling and related to *esprit de corps*.

Flipppo: Morale is a mental condition or attitude of individual and group which determines their willingness to cooperate.

Mooney: Morale is the sum of several psychic qualities which include courage, fortitude, resolution and above all confidence.

There are various elements that are included in 'morale', which can be summarized, after studying all the definitions, as follows:

- **Faith:** When the employees build faith in themselves towards the organization, it gives a boost to morale.
- **Attitude:** A positive attitude or feelings in the mind of an employee.
- **Cooperation:** Individuals in a workplace develop feelings that invoke voluntary cooperation.
- **Confidence:** Morale exhibits the feelings to have courage and confidence to perform effectively in the task.

- **Job Satisfaction:** This is the most important aspect of morale. The more satisfied an employee is in his/her job, the higher would be the morale.

Some other elements that are a part of morale are:

- Self-induced obedience
- Respect for authority
- Collective administration, unity and adjustment
- Elimination of frustration
- Mental peace and satisfaction
- Productivity

Two Aspects of Morale

It has been observed that morale is the merit and attitudes of inter-social stimulation with a high social value. Individual morale is single man's attitude towards his work and the workplace environment. Group morale is the general attitude of a group of individuals. Group morale is a sum total of not only the interactions of all individuals of the group but also leading to tensions, problems and changes in their behaviour.

Individual: It represents individual's mental health, which encourages him to work confidently enthusiastically and with discipline. It is the limit to which persons needs are satisfied in his job and work environment. Groups also affect the morale of individual.

Group: Group morale is not static. It changes with time and can be of different degrees than the individuals of that group, although they affect each other.

The group aspect of morale has two connotations:

1. Individual morale in a group context means his/her own effort to voluntarily work.
2. The group means morale of the group as a whole that the individual coordinates with other group members to accomplish the goals of the organization. There is evidence of subordination of individual interests to those of the groups interest.

Q2 *Morale can drive an organization forward or can lead to employees' discontent, poor job performance and absenteeism. Examine.*

OR

What are the features of morale? Discuss the need of morale in organizations.

Ans. As discussed briefly earlier as the summation of the definitions of the concept of morale, it embodies wide spectra of features. Since a single dimension or a factor cannot be attributed to the element of being intangible, it is imperative that the features of morale are understood. They are:

- **Variability:** Morale is seen in different aspects in different situations, which is why defining it is complicated. In a war situation, a soldier tends to disregard his personal safety to keep up the group morale whereas on other occasions, morale is affected by fear or danger and acts in accordance to safeguard himself. The same morale affects individuals differently if there is a bomb explosion, which makes everyone to run from there. Hence, morale can be high or low.

- **Psychological Concept:** Morale is a psychological concept to sustain personality functioning and mental health in becoming a part of the group cohesively. Morale is viewed as a psychological concept by psychologists for the reason of the need of social acceptance of an employee to keep up a high morale. Maslow and Herzberg also emphasized through their Needs Theory that individuals keep on working happily if the needs of social acceptance, self-esteem and self-actualization are met favourably.
- **Multidimensional:** Morale relates to a number of dimensions like feelings, attitudes, sentiments, acceptance, confidence, faith, etc., It is a composite mix of these elements and cannot be representative of a single force motivating individuals to work effectively. Morale embodies the mental as well as physical well-being of the individuals in their work life as an individual and as a member of his group to which he belongs to. Motivation, commitment and loyalty to the organizations are some of the factors to which morale is linked to. Morale can be broken down into a number of factors, which can be determined by factor analysis.
- **A Group Phenomenon:** Morale can be low or high in an individual but ultimately, he is a member of a group and his behaviour and the group's behaviour are interlinked and affect each other. It is the willingness of an individual to work in coordination and cooperation with the group cohesively.
- **Teamwork:** Morale acts as a tool in accomplishing effective and efficient teamwork. The positive attitude and the feelings of faith in the organization to achieve organizational goals. High levels of morale can be achieved by giving a reason to the individuals to believe in the organization's vision so that they work well within their team.
- **Long-term Condition:** Short-term efforts to boost morale cannot obviously go a long way. The organizations goals and vision cannot be achieved with short-term measures of keeping the morale high among the individuals. Morale can be built up to a higher limit gradually and steadily to improve commitment within the working individuals. However, short and sudden morale booster might have the impact required for a short duration. Good camaraderie, recognition by employees and creating individual development plans help in improving morale.
- **Morale is not Motivation:** Morale refers to sentiments and motivation deals with the mobilization of energy. Motivation is an intrinsic psychological passion of a person to act in a special manner whereas morale, on the other hand, is mostly a group phenomenon. Higher motivation leads to higher morale but it might not be vice versa.
- **Pervasive:** Morale does not restrict itself to an individual but pervades the whole organization's workers, superior and the tasks.

Importance of Morale

The present scenario of job market is such that it can bring the individuals to the job and the workplace but cannot retain him/her there for long if morale is low. Employees need to be happy in their workplace and the management has a major role to play here. The leaders must be effective in building positive attitudes and their acceptance in the organization. The importance of keeping morale high is due to many benefits that accrue to the organization as a result. They are mentioned here briefly:

- **Better Productivity:** Morale leads to higher productivity is a widely and truly accepted principle. Individual performance improves when morale is high leading to a better performance of the organization as a whole.
- **Improved Creativity:** When the morale in an organization is high, the individuals working in it have a creative attitude. A visible difference can be observed between the way a meeting is conducted and solutions are found to problems when the morale is high or low.
- **Employee Retention:** Labour turnover is a concern even in an economy where it is difficult to find jobs. Employees tend to leave and change jobs frequently. Organizations which consider the

employee's job satisfaction and morale at the workplace have a higher employee retention rate. Employee engagement is the extent to which an employee carries with himself/herself loyalty and productivity to the workplace. Effective leaders use employee engagement to their advantage to increase organizational goals and productivity as it helps cut costs which are incurred in replacing an employee as well as losing the ability to compete.

- **Decrease in Absenteeism:** Job absenteeism is a major issue in discussing the causes of a reduction in organizational productivity. When morale in the work environment is low and the individuals feel its brunt, they tend to take personal day off or sick leaves. It is a natural conclusion that lesser the absenteeism the more the organizational productivity. Overwork, stress, feelings of unappreciation or personal stress at the time, child/elder care, depression, employee disengagement are some of the causes of job absenteeism.
- **Focus on Detail:** When the workplace morale is high, employees have the zeal to focus on detail of their specific task. Their span of attention increases and they are able to perform efficiently. The quality of work increases when there is a higher morale in the organization.
- **Quality in Work:** Higher morale at workplace is conducive to happy employees who pay attention to detail in the course of performing their tasks and this results in a high quality in work.

There are also other characteristics of morale leading a safer workplace. However, higher morale leads to an increase in productivity is a bi-variate analysis, implying that only one variable 'morale' affects production whereas, there are other variables like, personality of the employee, type of task satisfaction in life, etc., that affect productivity. Having said that, morale definitely has an impact over the productivity levels.

Q3 *Discuss the factors affecting morale to increase productively in an organization. What are the external and internal factors influencing employee morale? How can they be controlled?*

Ans. It has been established that morale is a multidimensional intangible concept but is affected by material factors. It is extremely difficult to determine the specific factors that influence an employee's morale and his state of mind. There are two types of factors at work:

Internal Factors: There are many dimensions that are included in internal factors like the:

- Quality of supervision
- Individual status at job
- Job stress
- Non-alignment of individual and organizational goals
- Supervisor-subordinate relationship
- Change in management
- Organization's policies
- Processes and procedures involved in performing the job
- The system of incentives rewards and punishment

External Factors

The external factors comprises:

- Individual factors like age and sex of the employee
- Work experience

- Job description
- Authority extent issues
- Size of the organization and the unit
- Economic conditions
- Geographical conditions surrounding the organization.

However, the major factors influencing an employee's morale can be summarized as below:

- **The Organization:** There is a great need to align the goals of an individuals and an organization. If the organizations goals are perceived by the individuals as functional and admissible goals. The organization has a major shall of influence on the job specialization and attitudes of employees. The image and reputation of an organization also builds or lowers the feeling of pride to work in that organization and affects ultimately morale.
- **Organizational Culture:** The beliefs, values, norms and traditions that an organization holds go to form its culture. If the employees like and conform to the organizations culture, moral stays high and vice versa.
- **Job Security:** An individual looks for job security from an organization for obvious reasons like steady income. A secured and steady job increases morale and thereby improving productivity quantitatively as well as qualitatively. On the other hand, if job security is on a low ebb, the employees do not feel happy and satisfied lowering their morale and performance. Job security is one of the factors that majority impact morale.
- **Organizational Design:** A lot depends on how an organizational structure is designed with respect to the hierarchical lines and labour relations. It determines the dimension of communication and its effect of morale.
- **Leadership and Supervision:** The leader's methods to lead and surprise affects the attitudes and perspective of employees. The way a manager treats his/her team regarding respect, comfort level, sympathy and care. Good supervision is rudimentary to high moral. The supervisor needs to be confident in his manner so that his subordinates also get in the same mood to work.
- **Colleagues:** The attitudes of an individual's colleagues impact his/her behaviour and morale. If an individual is ill-treated by his co-workers or they keep talking about their workplace and organization, it creates a negative atmosphere and vice versa.
- **The Nature of Work:** Morale is kept at a high degree if the specialized work is interesting and challenging and at a low level if it is boring and repetitive. The feeling that an individual is just a cog in a machine rather than a person, plummets the individuals moral to a lower level. However, the individual's capability and skills to do the task needs to be considered by the management. Assembly line operations moving at a constant speed lead to a low morale. The employees must be explained about the organizations vision and goals so that they understand about the nature of their work precisely.
- **Job Satisfaction:** Morale is affected by the level of satisfaction in the job, the individuals feel positively or negatively. Factors like job security, job stability, appreciation from others, attitude of workers, etc., determine the level of job satisfaction.
- **Self-esteem:** The employee's self-concept of his own level of esteem and respect reflects in his level of morale. Good physical and mental health projects a high degree of morale.
- **Rewards and Punishment:** An employee receives rewards and punishment from the organizations management as incentives. The extent to which an organizational employee is satisfied determines the degree of his/her morale. If an individual believes that the rewards are insufficient or that the withdrawal of incentives were unjustified he/she would become insecure about his/her future advancement in the organization thereby affecting his morale and productivity.

- **Age:** Elder employees have a higher morale than their younger counterparts, for the sole reason that age helps them to become wiser, mature and contented. They young employees are generally restless, frustrated and get a low morale.
- **Education:** The education level of an employee affects morale. It is a fact that employees with a lower level of education hold positions at a lower hierarchical level and those with a higher level generally hold higher positions. The employees at the lower positions feel frustrated and tend to hold grudges the higher positions thereby leading a low morale.
- **Social Life:** The social life of an organizational individual impacts the degree of morale. An individual can be tensed and frustrated due to family's or friends' pressures.

The above-mentioned factors are some of the major issues that affect morale.

Q4 What are the ways in which morale can be improved?

Ans. An organization improves its performance with two instruments—effective leadership and the employees. Leaders or managers are as influenced by morale as the employees. Organizational productivity is affected in various scenarios by morale. This has been explained in detail by Charles Miller and William Humbert in their work, 'The Industrial Sociology Work in Organizational Life'. They researched on the measurement of morale to find out the most materialistic elements in the work environment, such as pay benefits, working conditions etc., to the interpersonal relations in the organizations and to the intangible, non-financial incentives and individual satisfactions.

Major Findings of Morale Research

The major finding of morale research by Miller and Form was that the attitude towards job of employees are determined by the job itself and the environment. They categorized groups into three classes of occupational groups. They are:

1. **Production Workers:** Miller and Form discovered during their research study that the general morale of production workers was low to average. Their responses were:
 - Wary of the work pressure
 - Complained of tiredness and boredoms
 - Very less opportunity for personal growth in the job
2. **Office Employees:** During their study, it was observed that morale was average for office employees because they did not have strong opinions about any pre-determined indicators due to their closeness to their management. Dissatisfaction was found to occur because:
 - They felt overworked
 - Their take away salary was less
 - They were tired and bored due to the routine nature of their jobs
3. **First-line Supervisors:** The highest morale out of the three categories were of the first-line supervisors. They showed high levels of confidence in the management, identified with the organizations and believed in the existence of opportunities for personal growth in their job. The dissatisfaction in there was due to:
 - Fear of them being fired and replaced by younger employees or;
 - The anxiety of new production planning departments

Morale Building Techniques

Miller and Form worked on morale building techniques since low morale was an established reality. They suggested two techniques to build morale. They are discussed below:

1. **Feedback of Morale Survey Results:** Policy and supervisory attitudes can be changed according to sociological principles to improve morale among employees in an organization based on the feedback of morale survey results. This can be explained better by briefly citing the research that Miller and Form conducted.

They selected the Detroit Edison Company in Michigan which had 10,000 employees. Three surveys were conducted to understand morale.

- A. **1948:** In the above-mentioned company, an attitude survey was done by administering a questionnaire to:

- White collar and manual employees
- Non-supervisory and supervisory staff
- The staff and line employees

The issues covered in the questionnaire were:

- The job itself
- Supervisory practices
- Relations with others in the organization
- Satisfaction with the company policies and practices

The tabulated and analysed results of the questionnaires were given to everyone which was followed with discussions to engage the employees as widely as possible to work out solutions to the emerged issues from the survey data.

- B. **1950:** A second survey of job attitudes with respect to morale was conducted. The data that emerged from the 1948 survey was compared to that of the one conducted in 1950. More discussion was held to make the feedback more intensive than it was in 1948. One of the main goals of these discussions was to form habits of free interactions between the supervisor and his subordination.

- C. **1952:** The third survey was conducted in 1952 in the accounting department with a new aim to assess the survey feedback process. A favourable change in moral was found between 1950 and 1952 which was in proportion to the time and effort was devoted to the feedback process. The issues where favourable increase was seen were:

- Interest in one's job
- Feeling of self-importance
- Perceptions of a considerate superior
- Perceptions of a sup who tackles probs positively

So, the whole research study spanning from 1948–1952 proved that an increase in morale can be achieved by conducting surveys and using the feedback to an advantage.

2. **Building Group Morale by Sociometric Placement:** Miller and Form worked out the second method of building group morale by sociometric placement. In their words, 'The problem of social placement can be denied and the traditional practice of filling a job in terms of technical skills and personality traits can be continued.' Such practice does not consider interpersonal relations but assumes collaboration. On the other hand, managers and thinkers propagate that charts of interpersonal feelings of the work groups will ease the induction of a worker into the group. Sociometry is highly important in social placement.

Sociometry: It is the study of interpersonal feelings or relationships. All teams or work groups in an organization have a dynamic of feelings towards others which lead to the formation of formal and informal groups. These groups affect employee behaviour in all areas.

Sociometry records spontaneous feelings and choices that employees make by free choice. Feelings are divided into three classes:

1. Attraction (like)
2. Repulsion (dislike)
3. Indifference (general feeling)

A sociometric test is structured as a preference schedule enlisting all work group members who in turn record their preferences for like, dislike or indifference. The results are analysed and action is taken to replace those employees who might fit better into other groups. Attraction of employees to other employees is a major factor to decide grouping.

Sociometric Choices and Cooperation

Various researches use sociometry to improve group morale and a positive outcome of this technique is that attraction between members of group result in an increase in cooperation and repulsion, on the other hand, results in low morale, conflicts and a decrease in productivity and efficiency.

Sociometry can help in selection the right personnel for the right job in a right work group for optimal productive efficiency.

THE RELATIONSHIP BETWEEN LEADERSHIP, MORALE AND PRODUCTIVITY

Four Combinations of Morale and Efficiency

Miller and Form concluded from their research that there could be four combinations that could emerge in organization depicting a relationship between morale and efficiency. They are:

A.	High Efficiency	High Morale
B.	Low Efficiency	High Morale
C.	High Efficiency	Low Morale
D.	Low Efficiency	Low Morale

The above table shows four combinations which were explained by Miller and Form. They are briefly mentioned below:

Combination A (High Efficiency—High Morale): Combination A with high efficiency may occur due to:

- Satisfied goals of group for example recognition or pride, which lead to high productivity.
- Satisfied individual goals such as good salary, interest in job, etc., which leads to an increase in motivation and morale.
- Successful motivation by the supervisor by Human Resources application.
- High productivity produces high morale and subsequently high productivity.

Combination B (Low Efficiency—High Morale): This occurs because:

- Goals of workers like good working conditions, good interpersonal relations are satisfied instead of those that lead to high productivity.

- Output is restricted due to the work group norms.
- Low technical or superior skills causes low efficiency of a high morale group.
- Low technical skills of workers.

Combination C (High Efficiency—Low Morale): This may occur because of the situations given below:

1. The supervisor increases productivity by using his own planning abilities instead of motivating men.
2. Supervisory and organization practices that lead to higher productivity due to the fear of punitive measures lead to high efficiency but low morale.
3. The technology used in a particular production of a product speeds up the manufacturing but not the workers.

Combination D (Low Efficiency—Low Morale): This is a bad situation where efficiency and morale, both, are low. The factors involved in combination A are absent from the organization.

To sum up, it can be said that there is a strong and definite relationship between morale and productivity.

However, organizational productivity can definitely be improved by increasing morale building exercises. There can be preventive measures and secondly, remedial measures to maintain high morale.

Some of the major ones are:

1. **Appreciation of Employees:** The team member in an organization must be given their well-deserved recognition and appreciation of their work. After all, it is the employees who ultimately make an organization. They must be appreciated when the situation demands and must be rewarded. The reward as an appreciative effort can be as small as a certificate of appreciation, a small amount of monetary incentive or a gift. Such an action can give an objective to employees to work better and imbibe a respectful attitude towards the management.
2. **Retaining Employees:** It has been established that employees are the keystone of an organization's increased productivity and performance. The recruitment process of hiring skilled employees takes a toll on the organization's resources in time and money. A higher employee turnover in the organization's HR department to point zero and they have to go back to the hiring process. Reasons for employees leaving their jobs must be studied and it is usually observed via research that a low morale is one of its major causes. New hired employees follow the example of old employees of being loyal to the organization. The cost of training of new employees can be cut by retaining them and retention become easier if a high morale is built and sustained in the organization.
3. **Clarity:** Poor performance of employees needs to be analysed thoroughly so that the problem can be resolved. Clear communication with the employees will lead to a positive outcome with the deliverable. It would be wrong to presume that an employee is unable to perform up to the standards required. There could be a lapse on the side of the leader/manager also. The superior task assigned to an employee must be based on clarity in instructions on the ways to do it, what is to be done and when the task has to be delivered. Clear expectations what is expected of employees makes them perform better as their morale is high because they understand 'what' and 'when' of the deliverable.
4. **Employee Health:** Employees must be physically and mentally healthy to engage themselves completely in their work. The healthier they are, the better they will be able to contribute to their work. An unhealthy person will only get disengaged from his work because he will be involved in his own problems and be stressed as a result. The effort to maintain health must come from the employee as well as the management so that the overall morale in an organization can be maintained.

5. **Trust in Employees:** Negative derogatory comments by managers towards their employees lower their morale as they feel inadequate and incapable of doing the task well. If the manager believes and has trust in his/her employees, the employees would definitely perform better as their morale would be high.
6. **Management Systems:** In the present-day organizations, morale can be greatly influenced positively by the management systems that are employed by the management.

The major management system that affects morale is the quality management which aims at arriving at a 'win-win' solution. The processes can be altered to fit the organizational design to boost up morale by using extrinsic as well as intrinsic factors motivating employees.

Learning Management System (LMS) is a new method to improve administration as a whole in a corporate structure which improves morale as an end, among other things. It involves target programs for employees. Morale is improved via LMS in the following ways:

- **Employee Retention:** Training programs help in the skill development of employees making the employees believe that the organization trusts them to advance. This increases morale.
- **Training Costs:** The LMS are online which can be accessed by the employees in their free time. This reduces training costs and administrative task times. Nonetheless, continuous training on the job must be done, even if it's not online, to bring the employees out of the routine jobs, presenting them with new challenges and ways they can employ in their tasks.
- **Monitoring:** The LMS can track the progress of employees to improve and adapt their training content. Hence, a web-based HRM, not only leads to efficiency but also high morale as it decreases the time for receiving information for example, his pay structure, reward system, tax-filing procedure, etc.
- **Empowerment:** The online procedures of submission of their tasks, communicating with other departments, etc., ease the pressure and makes the employees empowered. This makes them feel less stressed and keeps their morale high.
- **Accountability:** Employees feel empowered with better ways of appropriating others via electronic means leading to accountability. This reduces time wastage and morale is high.

Accountability and transparency in areas of promotion help in keeping the morale high. A clear picture of how employees can climb the proverbial ladder will make the employees understand better how they need to perform.

Communication: The human resources has more time for face-to-face when all communications are done online. However, e-mail or online communication cannot be the only means of communication. There must be 'slack channel' which refers to fun communication or publicity recognizing good efforts and performance of particular employees. An open dialogue, on the other hand, in one-to-one basis reveals attitudes and feelings of the employee. This creates an environment in which the manager understands the problems of employees and moves to rectify them and the employees tend to be more receptive to work towards the organization's goals.

7. **Respect:** The employee and employers must have mutual respect for each other leading to positive employee dynamics. The gospel truth, 'Do unto others what you want done to yourself' works well in this dynamic. Small efforts go a long way in keeping the morale high like recognizing and addressing of employees by their employers, by name or asking employees about their family member's health after a day off.
8. **Poor Performance:** An employee with a poor performance rate is usually demoted or incentives are withdrawn or get a bad appraisal. This leads to a lower level of morale among the employee and his colleagues as well. On the other hand, if such an employee is ignored by the management and retained at the same pay grade and benefits it will lead to a lower morale among other employees who will perceive that good performance will not be valued. The employee must try to understand

the individual process of his poor performance and rectify them if possible. If not, then appropriate action must be taken so that other employees will not get a low morale literally, ripping off the band-aid to run the situation, which will only lead to a positive cascading effect.

9. **Supporting Innovation:** Innovation, that is, new creative ideas worked out by the employees by putting an effort to plan the product, needs encouragement to boost morale instead of giving an indifferent and dismissal attitude. Given below is the way the manager must show his interest and learn about the new idea:
 - He/she can set a date for a review and study it himself/herself by setting up a judging and a review panel.
 - Selection of all stakeholders must be done.
 - At the set date, take a review of the plan formulated for the manufacturing and release of the product.
 - Grasp the attitudes and new ideas of the stakeholders to improve the product.
 - Finally, choose the best presented plan.
10. **Team Building:** Most organizations have team building events like ice-cream socials, dinners, happy hours, etc., to encourage the team to bond and understand each other. There are various fun games and competitions held to lift off the work stress and burden which leads to team building. The managers must participate in such events to improve channels of communication amongst employer and employees and also amongst employees. A few do's and don'ts regarding carrying out such team-building exercises are:
 - Invite everyone to the event
 - Build a platform where all ideas of all participants are welcome
 - Stick to the time-schedule
 - Summarize the lessons that can be learnt from the experience

Organized volunteer work can also be encouraged as it brings a positivist attitude and raises morale in a wholesome view of the organization. Also, voluntary work is giving back to the society as it flows from the concept of Corporate Social Responsibility (CSR).

Such team-building exercises definitely lead to a high morale.

11. **Non-monetary Incentives:** Monetary incentives do not have the tangible quality that an employee can taste or enjoy as much as the non-monetary ones. To keep the morale high, employee can be given incentives like announcing the best employee of the week/month and display his name with his photo on a wall or a cash card for a family dinner at a celebrated restaurant or paid weekend family holiday. The employee will feel encouraged, happy, appearance and will return to work full zeal and vigour.
12. **Debriefing of a Project:** After the completion of a project, there must be a debriefing of a project to understand the problem areas. This will lead to resolution of those issues to avoid them in the next project to alleviate morale and eliminate frustration of employees.
13. **Mentoring:** Usually, employees do good work and are appreciated by monetary/non-monetary award but they do not understand how to make progress in their carrier path or which direction they can take. Manager helps employees to understand their option which they can take to contribute the most and get the best in return.

Mentors can see through the skills of the employees and further their names to the higher levels of management by personalization.

14. **Leaves:** It is a natural human phenomenon of falling sick or a family member or a friend falling sick or various number of other reasons that an employee might have to take leave. Organizations have a set of guidelines regarding the number of days an employee is initiated to take as off in different categories. However, the employees are faced with shame or guilt when they come

back. Also, employees must be allowed flexible working hours or work from home, when they require it. This definitely keeps their morale high.

15. **Time-wastage in Meetings:** Many research studies have shown that a lot of time is wasted in meetings in organization meetings must be held only when extremely necessary and kept short and to-the-point. A recent trend of conducting standing meetings lasting for about 10–15 minutes help in saving a large amount of time ultimately.
16. **Supervision:** Slow or non-performer must be checked with periodical monitoring and pulled up appropriately. On the other hand, there must be a proper real time feedback for the employees who achieve their assigned tasks, targets and rewarded. In the process of supervision, the manager also can find that.
17. **Manpower Management:** Grievance redressal system, safety measures, disciplinary rules and regulations are elements of sound manpower management. This will reduce employee turnover and improve morale.
18. **Continued Learning:** The technology is changing so rapidly that even highly educated and skilled workers find it hard to keepup. The training and learning practices must be provided to hone the skills of the employees. They must be steered in the special direction required by the organization and helped in mastering new skills. For example, the organization can also handpick an employee every year and sponsor his further studies academically or special short courses required to help him be updated.

There are many other ways to rejuvenate employees to have a high morale in the organization among the employees. Besides the above-mentioned ways, each organization can customize these methods to improve morale as there are some organizational differences.

Q5 'Organization morale is more in private enterprises than in public enterprises in India'. Discuss and comment.

Ans. The private sector and the public sector operate in different ways and at different levels for the obvious reason that is profit. The public sector works on the promise of welfare whereas the private sector cannot survive without making a profit. The public sector, which is busy providing public service, has a difficult task of boosting the morale of its employees and moreover, sustain it.

According to S. Morton (2008), *History and Resistance of an Idea and an Ideal and Motivation in Public Management: The Call of Public Service*, James L. Perry and Annie Hand (New York Oxford University Press)

The term, Public Service, has been defined as:

1. Government employed people who work in the public administration.
2. A government-funded service.
3. The motivation of people to contribute to the common good of society.

It has been researched and observed by UNDP in a study, 'Motivation of Public Service Officials' in 2014, that public services are 'failing the global poor'. Public services officials must be intrinsically willing to serve the society but that is not the case in reality.

The sense of duty and public morale is declining among public sector officials. The main reason can be cited briefly as:

- Low salaries
- Inadequate working tools
- Flawed good budgets
- Economy cuts

When officials do not have sufficient resources to deliver and are unable to do effective work, the public sector employees fall down on the steps of the morale ladder.

Factors Attracting Individuals to Public Service

Factors attracting individuals to public service have been identical in various studies are:

1. **Public Policy:** The individuals feel drawn to public policy making to understand the process and become a part of it.
2. **Civic Duty:** Some individuals have a deep passion for civic duty and serve in public interest.
3. **Self-sacrifice:** Individuals who do not expect anything in return of doing well indulge in self-sacrifice. They feel motivated and positive in converting self-sacrifice into their profession.
4. **Compassion:** A high percentage of individuals is found to enter the public service who have a heightened degree of compassion for others.

A study classified the reasons to join public service as:

- **Samaritans:** Who are charitable helpful individuals.
- **Communitarians:** Who develop a positive connection with the community rather than focus on the self.
- **Patriots:** Who passionately love and support their country and want to serve and defend it.
- **Humanitarians:** Philanthropist and love to promote human welfare.

After understanding the background of public service and the reasons why individuals join it in the first place, it is a bit disappointing that the employees are unable to sustain their morale. In India, however, individuals join public service not solely due to self-sacrifice or civic duty but mainly due to job security. India is beset by the problem of unemployment and underemployment and underemployment but the problem under study is that organizational morale in the public sector in India is low.

Public sector lacks in sustaining morale which leads to a major dip in the initiative to effective and efficient work.

Reasons for Low Morale in the Public Sector

Morale is considerably low in public organizations as compared to the private sector because:

1. **Likert System-3:** Rensis Likert (see chapter on Rensis Likert) presented four systems. The system-3, that is the consultative system states that the opinions of employees are taken into account but the leader's decision is final. Whereas the private sector follows system-4, which is recommended by Likert, which denotes participative management. The system-3 lowers the morale of the employees as their work initiative gets killed because their innovative and creative ideas are not incorporated.
2. **Bureaucratic Structure:** Public sector organizations in India work with a bureaucratic structure which leads to rigid rules and red-tapism. Private sector promotes neutral bureaucracy, which keeps the morale high. Public sector employees have to face a lot of delays and problems in procedures and rules making. The employees are skeptical of application of their ideas. They tend to take advantage of these rigid rules as they feel that they have job security and poor performance cannot get them fired or reprimanded.
3. **Team Spirit:** The concept of *esprit de corps*, proposed by Henri Fayol, is missing in the public sector. India is still working with the colonial work culture which manifests itself in authority and leadership and ignores team building.

4. **System Theory:** The System Theory proposes the following model.

Input	Private Sector Throughput	Output
↓ • Competition • Comparative pay scale • Performance based salary raises • Structured work flow - fixed accountability • Debureaucratized	• Fast speed • Less red tapism	• Higher Morale Shawnon and • Weaver Model of Communication • Maslow's Theory in application • Quick implementation
Input	Public Sector Throughput	Output
• Job security • Low salaries • Fixed salary raises • No rewards for good performance	• Very slow pace • A lot of red tapism	• Slow implementation • Faulty communication • Lack of objective performance evaluation

Figure 18.1: System Theory: Input → Throughput → Output

However, the government has tried to make efforts to boost morale. The Second ARC recommended ways to improve morale.

5. **Information:** Failure of keeping a high morale also results from failure in formation problems. It makes the employees frustrated and ineffective when they cannot perform due to lack of information.
6. **Incentives:** Public sector officials are not given performance-based incentives. They are usually given a time promotion and a time-based salary increased but it does not consider the loss of initiative and more the lower heretical levels or public officials feel themselves to have a lower status.
7. **Negative Attitude:** There is a negative attitude that prevails against of public sector employee as overpaid who hardly work. This advance affects the public sector employee's morale engagement is very less and they are ways of the mammoth task that they have perform day after day. Public opinion can be changed with engagement citizen between public officials.
8. **Frequent Transfers:** Top leaders get transfer almost every two years in the Public Sector Enterprises (PSE) in India. The managing directors of PSE are usually politically appointed and have their own political agenda. Employees are aware of this and lose their will to frequently adapt to new ways while sustaining their innovative abilities too.
9. **Intangible Quality of Public Service:** Public sector employees serve in areas where the service is intangible and cannot be measured. The employees are unable to connect to what exactly they have been doing to make a different in the society and tend to lose sight of their object of service, thereby, bringing down the morale.
10. **Transparency:** All work done in a fiscal year, processes and procedures, meetings and discussion are in the public domain as a part of Good Governance Indicator of transparency. In India, the public sector employees are always under pressure to be absolutely correct procedurally and legally because everything is documented. On the other hand, the private sector has the advantage of conducting their business and meetings without the need to have it on public display. So, the public sector employees find it difficult to upkeep their morale. Hence, it can be said that morale is an important factor in increasing the organizational productivity.

19

Motivation Theories: Content, Process and Contemporary

Learning Objectives

In this chapter, you will learn about:

- Concept of Motivation
- Categorization of the Theories of Motivation
- Malow's Theory of Motivation
- Critical Assessment of Maslow's Theory of Motivation
- Herzberg's Two-Factor Theory
- Comparison between Maslow's and Herzberg's Theory of Motivation
- Difference between Maslow and Alderfer's Theory of Motivation
- McClelland's Theory of Motivation
- John Stacey's Equity Theory of Motivation
- Vroom's Expectancy Theory of Motivation
- Porter and Lawler Theory of Performance/Satisfaction

There is always some undeniable force or reason why an individual behaves the way he/she does. The word 'motivation' is derived from the word 'motive' in the late 19th century from a Latin word, 'Movere' which means 'to move'. The literal meaning of motivation is 'the reason or reasons one has for acting or behaving in a particular way'. There is a reason motivation, required to do the simplest of the day-to-day activities like waking up, getting ready, cooking, etc. finally to learn.

Motivation is a stimulus that makes people respond to it by an action to achieve goals and targets.

MOTIVATION

Sigmund Freud: A person's motivation is a function of the unconscious and that is biologically, that is, sexually based.

Bandura: Freud's theory was refuted by behavioural scientists because of their absence of any predictive value. He propagated a causal analysis of the dynamics among the personal behaviour and environmental factors affecting an individual behaviour instead of looking into the unconscious.

James (1890): He suggested that biological/physical changes affect an individual's behaviour.

Mitchell (1982): He defined motivation as 'those psychological process that cause the arousal, discretion and persistence of voluntary actions that are goal directed'.

Phares and Chaplin (1997): They defined motivation as ‘the forces within us that activate and one behaviour and direct it toward one goal rather than another’.

All the above-mentioned definitions, if studied together, point out to two issues:

- That external factors modify individual behaviour.
- That internal mental state, conscious and unconscious, affects individual behaviour.

It can be safely said that in an organization ‘the process of arousing and sustaining goal directed behaviour’ is motivation.

Q1 Discuss the content, process and contemporary theories.

Ans. Organizations are motivated into behaving in a certain way to produce more effectively. The Process Theories comprises:

- **Cognitive Abilities:** The process theories are basically cognitive as it stimulates the cognitive abilities to rationalize their needs process that motivate them. They highlight the rudimentary fact that motivation is the sum total functional of an individual’s perceptions, thoughts and beliefs. Process theories are also called the cognitive theories or cognitive process theories.
- **Choice and Outcome:** Individuals make their own choices by their own evaluation while understanding the factor influencing the choices and the outcomes that will emerge out of them are studied by the process theories.
- **Related to Human Resource Development (HRD):** The process theories are related to the HRD aiming to modify individual behaviour in an organization by influencing their perception, beliefs and attitudes. Learning is a part of all HRD programmes as a cognitive process and they can be designed effectively to comprehend the emotions and beliefs of the employees.

There are mainly three process theories that fall in this category. They are:

1. Vroom Expectancy Theory
2. Porter Lawler Model of Motivation
3. Equity theory of motivation.

The three elements that constitute an organization are:

- **Structure:** The organizational mechanics.
- **Process:** Use of structure by individuals to achieve organizational goals.
- **Human beings:** The individuals who have emotions and values.

This implies that human beings strive to achieve organizational goals and it depends on the level of motivation they have to act.

Categorization of the Theories of Motivation

The theoretical models of motivation can be categorized into three:

1. **The Content Theories:** The Content Theories began in the 1900s. They were:
 - **Scientific Management Approach:** F.W. Taylor proposed the Scientific Management Approach. He identified monetary inducements as the sole motivators to increase organizational productivity and efficiency and withdrawal of them to do the same.
 - **Hawthorne Studies:** Elton Mayo and his colleagues contributed to the study of motivation in which he stated that affiliation needs and working conditions as motivators.
 - Maslow’s Hierarchy Theory.

- Douglas Mc Gregor's Theory X and Y.
 - Clayton Alderfer Expectancy, Relatedness and Growth (ERG theory).
 - Frederick Herzberg's Two Factor Theory.
2. **Process Theories:** The process theories are:
- Vroom's Expectancy Theory
 - Porter Lawler Performance Theory of Motivation Satisfaction.
3. **Contemporary Theories:** They are:
- Stacy Adams Equity Theory of Motivation
 - David McClelland's Achievement Motivation Model.

It is easier to understand motivation theories once its classification is comprehended given in Fig. 19.1.

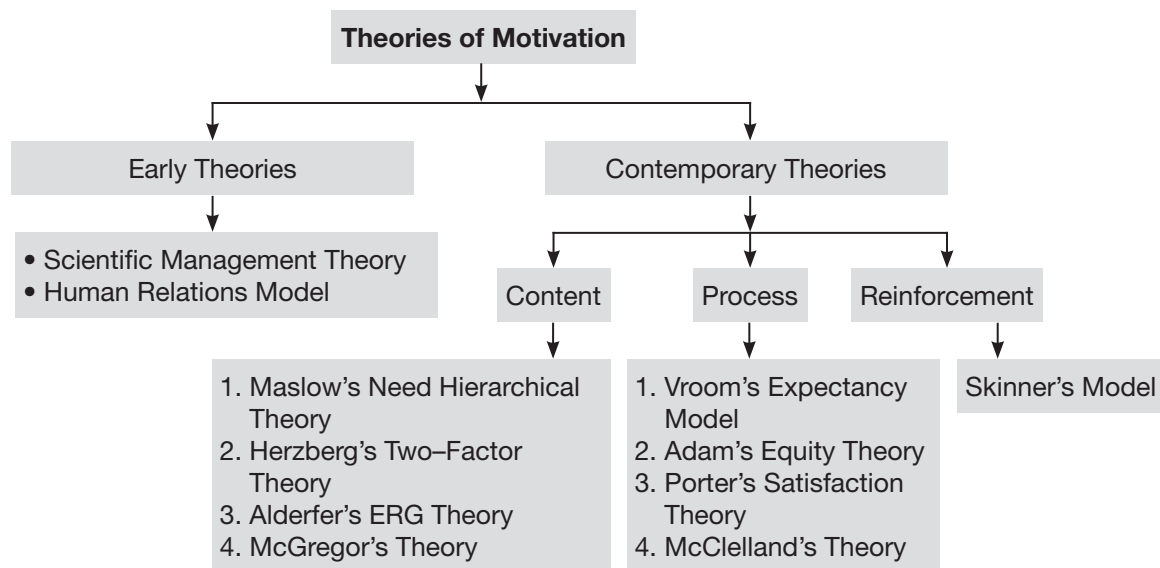


Figure 19.1: Classification of Motivation Theories

Before moving on to study these theories, it will be beneficial to understand the basis of their classification. Table 19.1 shows main features of the Content and Process Theories.

Table 19.1: Features of Content and Process Theories

Content Theories or Need Theories	Process Theories
1. Addresses the needs of an individual, the 'what' that motivates people.	1. Deals with the process involved in motivation, the 'how' of 'motivation'.
2. Managers must understand individual differences arising out of work.	2. Individuals move to choose options that are based on their individual preference rewards and their withdrawal.

(Continued)

Table 19.1: Features of Content and Process Theories (Continued)

Content Theories or Need Theories	Process Theories
3. Managers must aware of what can be given to the individuals with respect to their needs.	3. Managers must be experts in the process of motivation to be able to impulses it with expertise.
4. Effective leaders must have the capability to create work place environment that lets employees move towards job satisfaction.	4. The process refers to the interspersion interaction among employees, hiring to work towards the organizational goals. The better the processes used to motivate, the better will be the outcomes.
5. Identification of appropriate reward to achieve optimal performance of employees.	
6. Since the individuals needs keep changing according to the changing situation, the programs are designed to satisfy their needs.	

CONTENT THEORIES

The Content Theories refer to the selection of candidates in the organization, what the interpersonal interactions among the employees are the solution to the problem. Prioritization of individual needs is done and the types of incentive are identified that would drive employ can work effectively towards organizational goals fulfillment.

There are four major Content Theories that are studied to understand the content of motivational needs and will be discussed one by one.

1. Maslow's Need Hierarchical Theory
2. Herzberg's Two Factor Theory
3. Alderfer's ERG Theory
4. McGregor's Theory: X, Y and Z.

Q2 *How does Maslow's need hierarchical theory motivate individuals? Discuss the basic data points of the theory.*

Ans. Before proceeding to understand Maslow's need hierarchical theory, it relevant that a brief life history of the renowned psychologist be studied. Abraham Harold Maslow (1908–1970) was a famous American psychologist, born in Brooklyn, New York. His parents were Jewish immigrants from Russia but Maslow had a disturbed childhood. He studied experimental behaviourism later in 1931 and worked as a faculty member at the Brooklyn College till 1961. Maslow proposed the Theory of Needs Hierarchy in 1943 which gained a lot of attention from various academic fields.

THEORY OF HUMAN MOTIVATION

Abraham H. Maslow gave his views of motivation in his popular work, 'A Theory of Human Motivation,' in which he enlists and establishes the basic need. He gave 13 propositions that are intrinsic to any theory of human motivation.

They are:

1. **Wholeness:** An organism's integrated wholeness must be rudimentary to any motivation theory.
2. **Physiological Drive:** The hunger drive or any other physiological drive cannot be included in any definitive theory of motivation as it cannot represent a type.
3. **Basic Goals:** Any motivation theory must focus on basic goals and the ends so that it would leads to conscious motivation.
4. **Cultural Paths:** Generally, there are a number of cultural paths to achieve a goal in a motivation theory but the best are the unconscious goals.
5. **More than one Motivation:** Motivation can be consummatory (a behaviour pattern that happen in response to a stimulus) or preparatory implying that any action had more than one motivation.
6. **Motivation:** A basic premise is that all organismic states are motivated and motivating.
7. **Interrelated Needs:** Maslow states that is always an interrelated need which must be satisfied, which he called pre-potency, before man moves on to the next need.
8. **Classification:** Classification of motivations has to deal with the extent of specialization around or generalization of motives.
9. **Goal-Setting:** Motives can be classified based on pre-determined goals instead of motivated behaviour.
10. **Humanistic:** Any motivation theory must be human-centric and not animal-centric.
11. **Reaction of Organism:** Reaction of organism happens in a field or a situation. The factor of field cannot the sole justification of the behaviour. Motive needs to be incorporate into the field which implies that field theory cannot replace the motivation.
12. **Integration:** Another assumption of motivation would be of an integration of the organism and any other reaction.
13. **Separate from Behavioural Theory:** Motivation is separate from Behavioural Theory as behaviour has many determinants and 'is almost always motivated, it is also almost always biologically, culturally and situationally determined as well'.

THE BASIC NEED HIERARCHY

Maslow named these a fusion of ideologies as 'general dynamic theory', by corroborating thoughts of various thinkers. However, this theory was not validated much by research. Maslow summarized his theory into five sets of goals called 'Basic Needs'. Abraham Maslow formulated a positive theory of motivation. They are explained here in Fig. 19.2.

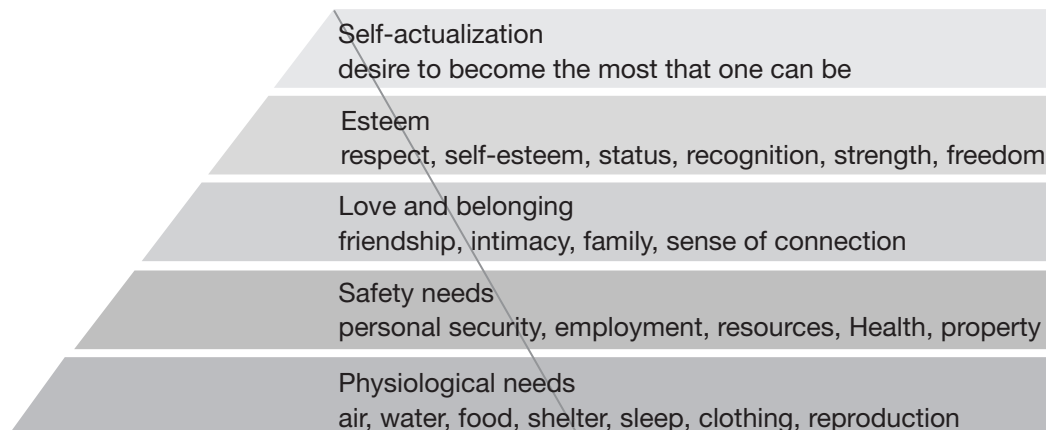


Figure 19.2: Maslow's Hierarchy of Needs

1. **The Physiological Needs:** On the need hierarchy chart, the physiological need is the initial point of reference. He divides them into:

- **Homeostasis:** It is the body's automatic effort to maintain a stable blood stream.
- **Appetites:** It refers to the choices that an individual makes.

The homeostasis and appetites shape physiological needs in actuality. The physiological needs can be multifarious and cannot be enlisted. However, they are not completely isolable and other factors affect it, for example, hunger for one individual could be satisfied by eating a regular meal and for the other it could be a rich protein diet only that would satisfy him/her.

Maslow says that if all other needs are unsatisfied, they become meaningless, then an individual would be motivated only by physiological needs. The individual is motivated for work only to satisfy his physiological needs. Once the physiological needs are satisfied, what motivates then? Then the second stage is that of the safety needs.

2. **Safety Needs:** According to Maslow when one set of needs, situated at the lower level of the hierarchy, are satisfied, a new set of needs emerge. He calls this pattern a hierarchy of irrelative prepotency. This implies that satisfaction is as important as deprivation in the motivation theory. An individual will be motivated towards the next level on the hierarchy of needs that is, the safety needs. Maslow identified the safety needs as:

- Security;
- Stability;
- Dependency;
- Protection;
- Freedom from fear, anxiety and chaos;
- Need for structure;
- Order;
- Law and limits; and
- Strength in the protector and so on.

All the constituents or a combination of safety needs dominate an individual to be motivated and act as a 'safety-seeking mechanism'. Mostly, normal and lucky individuals are satisfied in this level of need except the economically deprived or the mentally challenged. For the majority of individuals, safety needs diversify into medical insurance, dental insurance, unemployment disability, old age etc. Some other dimensions of safety needs are war, disease, disasters, crime and terrorism. An individual need to overcome his fears of safety to move to the next level of the hierarchical needs.

3. **The Belongingness and Love Needs:** A person who is fairly satisfied in the first two levels of physiological and safety needs, moves on to the next level of the belongingness and love needs. An individual gets frustrated and fixated of his love and behaviour needs are not gratified.

It is observed these days that employees in an organization are overinvolved with their work as they have to work for a greater number of odd hours to excel it with teams from other parts of the world as globalization is increasing. Employees tend to sign up for all kinds of training groups (T-groups), personal growth groups and seminars due to the growing need to connect, contact, initial and belongingness. The speed of loneliness caused by urbanization require that individuals satisfy their need for love and belongingness. This need is so important and must be satisfied in the individuals in a society to be mentally healthy to move on to the next level of 'Esteem Needs'.

4. **Esteem Needs:** Mostly individuals need to have a stable self-worth, self-respect on self-esteem and also for others. Maslow grouped them in two categories:
 - (i) The desire for strength, achievement, adequacy, mastery, competence, confidence, independence and freedom.
 - (ii) The desire for reputation or prestige as respect or esteem from others in the form of status, fame and glory dominance, recognition, importance and appreciation.

Achievement of self-esteem need is conducive to a rise of self-confidence, worth, strength, competence, adequacy and being useful to the world. An individual is happy and live a satisfactorily motivated to work better life whose self-esteem need is satisfied and moves on to the next level of the self-actualization need.
5. **Cognitive Need:** Maslow revised his heir of needs, and changed the 5th stage as (keeping stages 1-4 unchanged) to cognitive needs which include knowledge, meaning and self-awareness.
6. **Aesthetic Need:** The sixth need was identified as Aesthetic needs comprising, beauty, balance and form. He placed 'Self-Actualization' as the seventh and 'Transcendence', as the last and final stage in which an individual helps others to self-action.
7. **Self-Actualization Need:** The self-actualization need refers to what an individual can be, they must be. If they do something else than what they are capable of, they would become frustrated as they would be doing something against their nature. Kurt Goldstein coined the term 'self-actualization' in 1939 meaning self-fulfillment of individuals to become actualized in what they are personally. Maslow used this term in a limited manner.

THE HIERARCHY OF NEEDS

After understanding the hierarchical level of needs and how the needs are placed, it is important to understand the implications of the hierarchy. The needs based on the lower rungs of the hierarchical ladder are distinct from the ones at the top. Maslow says that the needs are placed on the basis of the principle of relative potency.

The order of choice or preference in the Maslow's Theory of Motivation is an order that ranges from lower to higher in the following ways:

1. **An Evolutionary Development:** The higher need is an evolutionary development which has a unique equation with others.
 - Physiological needs = shared with everyone
 - Safety needs = shared with everyone
 - Love and belongingness = shared with higher individuals
 - Esteem = shared with himself/herself
 - Self-actualization = shared with the higher apes. The higher needs have more humanity in them.
2. **Ontogenic Development:** Maslow differentiated the higher needs from the lower needs as an 'ontogenic development'. ('Ontogenic' literally means an 'addition' or 'growth'). The hierarchy of needs is based on their inchoatic characteristic.

At birth, an individual has physiological and safety needs that are in the process of growing as the individual grows. Love and belongingness come in later as the infant grows and begins to recognize the relationships around him. The needs for esteem and self-actualization come later in life as an individual grows.
3. **Less Dominating:** The higher needs have a less dominating diagnostic in Maslow's Theory of Motivation. The lower needs are all persuasive like the physiological and safety needs if an individual is deprived of them. The deprivation of higher needs of esteem and self-actualization does not dominate an individual to put all his competencies and capability into fulfilling them.

4. **Sound Health:** Individuals who have achieved the higher needs maintain a better physiological health and encourage undesirable physical as well as undesirable psychological results.
5. **Urgency:** The higher needs are difficult to perceive and identify and to do so is a psychological win. They are less urgent subjectively. The lowest need, for example, the physiological needs, need instincts gratification and cannot be ignored.
6. **Subjective Results:** Satisfaction of the higher needs result in positive subjective results like happiness, calmness and maturity. The individuals placed at the higher needs level are most likely to find inner peace where the ones at the lower levels can only get objective satisfaction of feeling safe or relaxed after a good measure.
7. **Psychopathology:** Individuals who have achieved gratification of higher needs are healthy psychologically and away from psychopathological problems. It becomes difficult sometimes, for individuals to value their achievements and they have to be deprived of those things to understand and value them again.
8. **Preconditions:** 'Prepotent', needs, that is, the pivotal, dominant needs must be satisfied at the higher need level. Since, the higher need involves other people, a broader perspective with respect to means, goals and networking, it was observed by Maslow that the same cannot be said about the lower needs; each higher need has the precondition to be satisfied first.
9. **Environmental Conditions:** The higher needs require better environmental conditions to be achieved than the lower ones, like the family, economic situations, political scenario, etc. The highest needs of self-actualization can be gratified when there are optimum environmental conditions.
10. **Greater Value:** Individuals who have had the gratification of higher needs hold greater value for them.
Renouncement comes only after fulfilment. An individual who is hungry or unsafe has nothing to value. So, the values of self-sacrifice, ascetism, ethics and principles and postage are found and placed with more value by those who have attained the higher needs.
11. **Love Identification:** Human beings who have crossed the level of love and belongingness have a wider circle. It involves more people as an the individuals whom a human being loves becomes as one and their needs become aligned.
12. **Social Consequences:** The higher needs involve other people so that they can be satisfied. The lowest level of hunger involves the individual himself/herself cannot involve another person but on the other hand, the needs of love and belongingness cannot be satisfied by himself/herself on his/her own. Hence, the higher needs have social implication individuals at the level higher needs have proven to be better human beings.
13. **Self-actualization:** Individuals at higher needs are close to the self-actualization stage as they have the qualities to reach there.
14. **Individualism:** Although individuals at a higher level tend to be more social, but as a contradiction, they become individualistic. Self-respect and esteem motivate people to love mankind because they attain an individualistic inner peace and gratification.
15. **Psychotherapy:** Individuals at the higher level of hierarchy of needs respond well to psychotherapy if required than the ones at the lower level. Psychotherapy cannot help anyone in hunger satisfaction.
16. **Tangible and Limited:** The lower needs are more tangible and limited like hunger, thirst, etc., but love and respect are abstracts which have no limit.

Consequences of a Hierarchy of Needs

Having studied Maslow's needs and their hierarchy and their differences, it is relevant here to also determine the consequences of a hierarchy of needs. Although there are many, the most important ones are mentioned here in brief:

1. **Dichotomy Between the Cognitive and the Conative:** According to Maslow, the dichotomy between the Cognitive and Conative is not true. The 'cognitive' is a part of cognitive of the needs for knowledge, understanding, philosophy for life, a value system or a theoretical framework which are influenced with culture, social and economic factors. These factors are cognitive. Hence, there is only the cognitive capacity that perceives all other needs.
2. **Philosophy:** There are age-old philosophies which can be understood from a new perspective. For instance, the values of low selflessness or seeking the truth can be for your own good, putting then in clear contradiction with the concept. If an individual derives pleasure through doing voluntary work of feeding the hungry, the individual gets pleasure and satisfaction by doing so. The selfless act becomes selfish. The concepts of the rational, irrational, the impulsive and the instinct need to be reviewed.
3. **Ethics:** Individuals are closely riddled with the problems of ethics and the ways to perceive and practice it. The higher needs come as an evolutionary consequence of gratification of the lower needs. The difference between the perception of the higher and lower needs reduces considerably when an individual rises on the hierarchy of needs, for example, the work which seemed as duty transforms into pleasure at the stage of self-actualization.
4. **Culture:** Culture must be in synergy with attitudes of the people towards it. Culture is created and evolved by people and not vice versa. Culture should not act like a hindrance to the need satisfaction and must work in harmony with the individual.
5. **Intrinsic Value:** Values need not be logical or be dictated by authorities. Observation and research are very important and an individual must look within and identify what he/she values intrinsically.
6. **Instinctual Needs:** Even though the basic needs are instinctual, they are distinct from the lower animals. A consequence of the Maslow's Theory of Motivation is the realization that instincts are weak, good or neutral. Once a need has been satisfied, it loses its importance till it is deprived.
7. **Aim of Education and Psychotherapy:** The aim of education and psychotherapy is not imposition of restrictions and controls over individuals. On the other hand, its aim must be to release pressure on controls and inhibitions. Spontaneity and self-acceptance must be encouraged where our intrinsic impulses must be regarded as admirable rather than accursed or abominable.
8. **Improvement of Human Nature:** Human nature can be improved by considering culture as more powerful than weak and confused impulses along with good basic needs. When effort made to improve culture, the intrinsic biological tendencies will work towards self-actualization.
9. **Theological Solution:** The theologists advocate a reconciliation of the lower and the higher needs in an organism but a solution has never been reached. According to Maslow's Theory of Motivation, it can be observed that once an individual is satisfied with the lower needs and moves up to the higher needs, the higher needs would become relatively independent of the lower ones.
10. **Growth Values:** A person grows and imbibes good values as he/she moves up to achieve the higher needs. The higher needs involve values like happiness, calmness, clarity of reality, etc.

Hence, these are the consequences of a hierarchy of needs as given by Maslow.

Q3 Maslow's Theory of Hierarchical Needs cannot be universally applied to organizations. Discuss the shortcomings in the theory. Make a case against acceptable points keeping in mind its application.

Ans. Abraham Maslow (1908–1970) was a psychologist who researched and applied a Humanistic Approach to Psychology and is known for his Theory of Motivation of Hierarchy of Needs. The Theory being worked on intuition lacked empirical support. Although Maslow himself did not put needs into a pictograph or a pyramid form, his theory is mostly explained in the pyramidal form.

Given below are the shortcomings in the Maslow's theory as understood by various thinkers.

1. **The Structure of the Pyramid:** The points of criticism with respect to the structure of the pyramid are:
 - (i) **Post-Self Actualization Level:** The structure of human motivation by Maslow as a hierarchy of prepotency and graphical representation was questioned by J. Rowan in 1998. He questions what happens after reaching the self-actualization level and suggested that the pyramid must be extended to add more stages. However, the graphic representation popularly used by Maslow has no evidence of authenticity and neither did he profess a pyramid.
 - (ii) **Doubts Over Continuity:** On the other hand, Frame in 1996 doubted the hierarchal structure itself by saying that every level is distinct and independent of the preceding level, for example, if an individual is safe, he does not necessarily progress to love and belongingness. An individual might be in love even when he is not satisfied at the physiological needs, hence, proving that the hierarchy of Maslow becomes a dis-continuum instead of continuum. Nonetheless, Maslow's theory can be thought of as a sequentially rational continuum of moving on to something new once a need is satisfied but the prepotency does not hold true.
 - (iii) **Need for Hierarchal Needs:** It is difficult to grasp the need to have the hierarchical needs bound in a universally fixed and a rigid structure. Maslow's universal application of the structure claims that all human beings will follow it necessarily but human beings have individualistic characteristics. Although Maslow conceded that there might be exception in cases of geniuses, psychopathic individuals and those who have high self-esteem, yet he could not explain it in detail and fit everything into the format of deprivation–gratification cycle in five types or level of needs.
There could be a multilevel hierarchy of needs. A relationship between the satisfaction and the level of needs could not be establish strongly empirically.
 - (iv) **Cycle of Needs:** Maslow proposed that satisfaction of need lowers the intensity of needs but in reality, needs are cyclical and will reappear in future and the decrease in the preceding need is ephemeral and temporary. It implies that the question is more of how Maslow worded this concept rather than the concept.
 - (v) **Cultural Differences:** Maslow formulated his Maslow's Theory of Hierarchy of Needs in the 1940s on basis of his experiences of the culture of the USA and critics termed it as ethnocentric. He missed out on the workers having needs to take care of his family or their being worried about their fellow colleague. All the needs pointed out by Maslow cannot be satisfied without any social influences and collaboration. The importance of social interaction was ignored which builds a team to achieve organizational goals, although Maslow did not write his theory for management. He had a one-dimensional view of the 'how' of employee behaviour in the USA without considering other cultures.
 - (vi) **Deviation:** Maslow presents a rigid hierarchical pyramid but some thinkers have criticized it with respect to the possibility of deviations in it. A self-actualized individual might forgo his psychological and safety needs for example, Mahatma Gandhi. He did not define any constructs and neither laid down any ways to empirical verification. Maslow probably was doing

so because as a psychologist he understood that all human beings are individualistic and its differences to lay down definite lines and limits. However, there is a lack of a definition of needs and experimental verification.

Researchers conducted experiments with respect to the validation of Maslow's theory but found that the fifth need overlapped with other unrelated factors but was independent in some studies. Reasonable doubt was laid on the overlapping and independence of the 'self-actualization' needs.

2. **Methodology:** Although Maslow conducted clinical studies and research, he did not explain the deductive steps that he traced during his study. This creates a problem of doing the experimental research again. He did not define any constructs nor did he lay down ways to empirical verification. Researchers conducted experiments with respect to the validation of Maslow's theory but found that the fifth need overlapped with other unrelated factors, but was also seen to be independent in some studies. Reasonable doubt was laid on the overlapping and independence of the self-actualization need.
3. **Psychological Health:** Many thinkers have criticized Maslow's attainment of psychological health of even existential philosophy because as it happens, individuals mostly get satisfied after the satisfaction of physiological and safety needs and lose any initiative to move ahead.
4. **Individualism:** Maslow stated in his fifth need that once individuals achieve self-actualization. They tend to move into the zone of helping others but over a period of time, the individuals aim for becoming number one instead of helping others. This, is selfish individualism in reality.
5. **Social Media:** As pointed out in the fifth sub part of the first point in the 'cultural differences', social connection dictates our needs to a large extent. In Maslow's times or in the times of Facebook, Instagram, Snapchat or Twitter, social behaviour is modulated and adapted to the environment around individuals, emphasising the importance of social connection. Today, the employees who are entering the job market are the youth belonging to the era of social media and their behaviour is shaped accordingly. This leads to informal groups within an organization and they satisfy the psychological needs to a high degree without any impractical goals of self-actualization.
6. **Vagueness:** The fifth type of need of self-actualization does not have clarity and definition that an empirical testing requires. This is shown in the weak connection between the work design and motivation in an organization which Herzberg tried to resolve.

To sum up, although many points of criticism of Abraham Maslow's Motivation Theory of Need have been enumerated here, it is not possible to simply write off his contribution to original behaviour. His ideas had an impact on behavioural scientists like Chris Argyris, Douglas McGregor, Rensis Likert and Frederick Herzberg.

Q4 *In spite of the criticism on Two-Factor Theory, it is unquestionable that Herzberg's contribution to work motivation is substantial. Comment.*

OR

Frederick Herzberg's Two-Factor Theory is more or less an extension of Abraham Maslow Theory of Motivation. Comment.

OR

Compare A. Maslow's Theory of Motivation and Herzberg's Motivation Hygiene Theory. Do you think that they are universally applicable? If so why? If not, why not?

OR

Compare the relative merits of Maslow's Theory of Human Needs and Herzberg's Motivation and Hygiene Theory.

OR

Write a short note on how the good working conditions are considered as a motivator a hygiene factor.

OR

Give reasons why the individual organization accepted the Two-Factor Theory given by Frederick Herzberg.

OR

Identify the main shortcoming of Herzberg's theory.

Ans. Frederick I. Herzberg, (1923-2000), was an American psychologist who enlisted in the army in the World War II and could not finish his education. Later in 1946, he completed his studies graduating in Science and Public Health. He submitted his PhD at University of Pittsburgh on electric shock therapy.

Herzberg began his research work along with consulting the USA government as well as foreign governments. He took up professorship at the University of Utah, in management at Case Western Reserve Unit and established the Department of Individual Mental Health. Herzberg proposed the 'Motivator Hygiene Theory' more popularly known as 'The Two-Factor Theory of Job Satisfaction' in his book, *The Motivation to Work* Bernard Mausner and Barbara Block Snyderman.

'MOTIVATING' WITH A KICK IN THE ASS (KITA) BY HERZBERG

Herzberg conducted research with hundreds of individuals in an organization and companies and observed that most companies use KITA (A Kick In The Ass) as positive or negative.

Negative KITA: KITA has two aspects, physical and physiological. The psychological KITA has the following advantages over the physical KITA which are:

1. The affect psychological KITA is not unusable or painful.
2. Backlash is quite less than the psychological one.
3. There are an unlimited number of ways an individual can feel psychological pain making it having more possibilities of using negative psychological KITA.
4. The individual giving the KITA can rein detached from it all and let the system administer the psychological kick.
5. These who administer KITA find ego satisfaction more than the physical being abhorrent.
6. It cases the employee makes a complaint there is no evidence in the negative psychological KITA.

Positive KITA

Most organizations use a reward or an incentive as motivation but Herzberg considers KITA not as motivation as it can only make an individual move and to make the individual move, KITA must be administered again.

Generally Used Motivators: Some of the positive KITA Human Resources practices that are carried out by the organization to motivate are:

- Fewer hours of work;
- Increase in salary; and
- Perks and fringe benefits.

Sadly, these motivators do not sustain for long and have come to be considered as the rights of the employees.

Herzberg concludes from the above that the real motivation for individuals comes from within themselves and not from a 'carrot and stick approach'. He goes on to present his Theory of Motivation Hygiene to achieve job-enrichment.

Historical Background to the Motivator–Hygiene Theory

World War II: Herzberg went to fight for the USA in the World War II and realized a few important issues of life that formed his ideas. They are:

- **Sane People Same:** In his words, 'A society goes insane when the sane go insane and, in truth, more problems are created by the sane who are inept and unethical than by the acknowledged insane and criminal'. He realized that the main function of the management in an organization is to keep the sane as sane because the World War II showed that the meaning of 'sanity' must be understood as sane people committed insane acts which cannot explained.

Job Attitudes (1957): In the intertwining gap till 1957, Herzberg worked with:

- **John Flanagan:** Herzberg did his PhD under him and studied the quantitative methods at the University of Pittsburgh. Flanagan had developed the critical incident method and help in the selection of pilots, bombardier and gunners for the Army Air corps during the World War II.
- **Public Health School:** In the times of Herzberg when all the focus was on positive health, he talked about it in his paper, 'Mental Health is not the opposite of Mental Illness'
- **Psychological services of Pittsburgh:** Herzberg joined the physiological services of Pittsburgh as a research director and studied morale but was not quite satisfied.

Before Herzberg postulated his Two-Factor Theory, he researched on a categorization of troublesome and complicated areas of jobs attitudes. The key points of the way the research was conducted were:

- **Scope:** About 2000 published writings on the subject were studied from 1900-1955.
- **Goal:** The study entailed the question: 'What do workers want from their jobs' as it goal.
- Data from 155 research studies published between 1920 and 1954 was studied.

Results: The amassed research data gave conflicting results:

- A high range of varying methods and quality of research designs.
- The response got affected even by a minuscule shift in the working of the questions.
- Herzberg realized that the same rating scale could measure all kinds of job attitudes.

- Herzberg shifted 15 studies with 28000 workers and asked them exactly what satisfied or dissatisfied them in their job.
- The studies were categorized as four positive donors to satisfaction, six only negative and five considered both.

The Motivation to Work (1959): The 'Motivation to Work' came out in 1959 which eventually became the 'Two-Factor Theory'. It used the Sequence of Events (Critical Incidents) technique of John Flanagan to understand the question- 'Describe time, an incident, when you felt good, and a time, incident, when you felt bad.'

Herzberg divided the factors into two:

1. **Hygiene:** Good environment is called the 'hygiene' but employees do not get satisfied by it whereas they get dissatisfied by the bad environment, the 'extrinsic' of the job.
2. **Motivations:** Employees feel satisfied by the intrinsic of what they do, which Herzberg calls the 'motivators'.

Herzberg published his theory based on the study conducted on employees with the objective of understanding job attitudes.

Research Design

Some basic constituents of research design established by Herzberg are:

1. **The Specialization of Attitudes:** Questions were put up to the employees to understand the specialization of attitudes and to identify periods of time, during the course of his work life, that gave him more than normal feelings towards his job. This method did not have any standard measurement scale, however, employees had to rank their feelings about the job on a continuum by fixing the continuum extremes.
2. **Identification of Factors:** The researchers work out a list of factors to measure the job attitudes. The distorting forces in this step can be:
 - A halo effect from some irrelevant consideration in the process of testing.
 - The respondent gets influenced by the social ramifications or by the pleasure of the responses he is about to make.
 - The employee might get affected by unconscious motives and report accordingly. Such distortions could be avoided by a respondent identifying a definite period of high or low morale.

To sum up, the identification of factors in job attitude would not be distorted by any kind of influence from the physiologist, managers or the perceived notions of the employees and would be rather done by genuine feelings in real time.

3. **The Effect of Job Attitudes:** The earlier research studies had flaws to measure the effects of job attitudes. Herzberg chose the best way to eliminate all these flaws by going to the source, that is, the individual himself to describe his job attitudes.
4. **The Semi-Structured Interview:** Herzberg used the semi-structured interview in which the researcher asked predetermined questions but could steer the course of the interview to ascertain the factor attitudes affecting information. This technique enabled freedom of the respondent. Questions were designed to ask an employee to narrate stories about the times they felt exceptionally good or bad about jobs.

The interviewer discovered the situations that led to positive or negative job attitudes and their effects.

Factors-Attitudes-Effects: To sum up, the triad of factors were studied as a unitary system.

Job Attitude Factors

According to Herzberg, it was important to sift out the relevant information from the narrated stories of respondents via semi-structured interviews to understand the reasons for the change in job attitude. Herzberg defined these job attitude factors in two levels. They are:

I. First-Level Factors and their Criteria: Herzberg defined 'First-Level Factor' as an objective element of the situation in which the respondent finds a source for his good or bad feelings about the job. Herzberg and his colleagues formulated the criteria to categorize the first-level-factors. They are mentioned here in brief:

1. **Recognition:** The respondent would narrate an act of recognition during the course of the interview. The recognition could be a negative one where the respondent was abused, criticized or blamed for something that he may or may not have done. The recognition could be positive if there was an act of praise or a monetary reward.
2. **Achievement:** The category of 'achievement' includes the lack of it or its absence.
3. **Possibility of Growth:** Although the word 'possibility' itself has no objectivity but employees mentioned it as a thing. The possibility of growth can be tabulated as a positive or a negative one. It could also mean progress in using one's skills in the profession.
4. **Advancement:** 'Advancement' was considered as a factor only if there was a change in status in reality. A transfer did not come in this category.
5. **Salary:** All sequence of event with respect to any increase in wage or the lack of it is considered as a factor.
6. **Interpersonal Relations:** Only those interpersonal relations were considered where there was a verbal exchange. They were further classified into three, given below:
 - Superior
 - Subordinate
 - Peers
7. **Supervision–Technical:** Herzberg separated the sequences of events falling into internal relations and supervision–technical. The unfairness of the supervisor was recorded as it would affect an employee's feelings.
8. **Responsibility:** Favourable and satisfactory attitudes towards responsibility of his work or for a new responsibility are considered in this category. Also, negative attitudes occurring due to a lack of responsibility are recorded.
9. **Company Policy and Administration:** This category involved two types of overall company policy and administration:
 - Adequacy or inadequacy of company organization and management.
 - Over all characteristic of the company covering the harmfulness or beneficial effects of the company's policies.
10. **Working Conditions:** The responses concerning physical work environment and amount of works fall in this category.
11. **Work:** The work acts as a beggetter of good or bad feelings. Innovative work fires up an employee whereas routine work bores the employee.
12. **Personal Life:** If the job affected the personal life of an individual working in an organization which changed his attitudes towards the job, it would factor in this category. Also, requirement of a particular amount of salary for the family were also covered here.

13. **Status:** If status becomes a source of modifying attitudes towards job, it was coded in the study.
14. **Job Security:** If factors like tenure or stability of company affected an individual's job security, they would be included in the factors.

SECOND-LEVEL FACTORS

Herzberg developed second-level factors which involve the self-examination of the employee's feelings in a verbalized form.

These feelings of second-level factors are mentioned below in brief:

- Recognition
- Achievement
- Possible growth, blocks to growth
- Responsibility or the lack of it
- Group feelings of belongingness or isolation, socio-technical or purely social
- Interest or lack of interest in job performance
- Increased or decreased status.
- Increased or decreased security
- Fairness or unfairness
- Pride, guilt or inadequacy
- Salary

MOTIVATION VS HYGIENE

The whole premise of the Motivator-Hygiene Theory of Herzberg was the question, 'What do people want from their jobs?'

Hygiene Factors: When the answer to the above question was that they were happy with their jobs, in words of Herzberg, they mostly described factors related to:

- Their tasks;
- To events that indicated to them that they were successful in the performance of their work; and
- To the possibility of professional growth.

On the other hand, in the study they replied completely the opposite set of feelings of unhappiness. They might have been happy with the job itself but not with the surrounding disorganized conditions symbolizing to him 'an unhealthy psychological work environment. Herzberg called all the above factors as the hygiene factors. He called them so because they are similar to the preventive principles of medical hygiene. At a work place, these become the hygiene factors that affect the job attitudes.

The management must work to remove such impediments to have a better environment and positive job attitude with the help of better awareness.

Herzberg included the following factors in the hygiene factors:

- Supervision
- Interpersonal relations
- Physical working conditions
- Salary
- Company policies and administrative practices
- Benefits
- Job security

Employees feel dissatisfied when these factors fall below their level of acceptance but not vice versa. However, even at the optimum level of the hygiene factors, the employees will not develop positive job attitudes.

Motivators or Motivating Factors

Individuals can get motivated only when they actualize themselves in all spheres of their lives. An individual gets motivated only while performing his/her job well and not from his physical surroundings. There are two points to be considered here with respect to the satisfaction derived from a job doing well:

- The factors relating to the doing of the job.
- The factors defining the job context.

Both the factors are goals for an employee but their nature of motivation is totally different. Job context factors cater to the individual needs to avoid unpleasant situations. On the other hand, job factors benefit the individual needs to achieve individual aspirations. Conclusively, the job factors are called the 'motivators' as opposed to the extra-job factors of 'hygiene' factors. Herzberg talks about avoidance–approach with respect to factors. For example, they avoid the feelings of unfairness. The motivation and hygiene factors are explained in Table 19.2.

Table 19.2: Motivation and Hygiene Factors

Hygiene Factors	Motivators
1. An essential base to the motivators as justified compensation, supervision, working conditions and administrative practices but do not motivate the individual higher job satisfaction or extra performance.	1. Bring about job satisfaction and improvement in the employees' performance beneficial both to the employees as well as the organization.
2. Prevents job dissatisfaction and poor job performance.	2. Encourages an employee to work more and achieve higher levels of job satisfaction.
3. Supervisory training in human relations is a pre-requisite to maintenance of positive hygiene factors.	3. Supervisory training does not lead to motivating employees and do not become motivators.
4. When the tasks is usually routine, the hygiene factors help in making the work environment tolerable but cannot lead to self-actualization.	4. When a supervisor is strict and intolerable, the work environment become difficult to work in.
5. Fit for the need for fair treatment.	5. Fit the need for creativity.
6. When employees are not physiologically attached to their jobs and want to run away from the workplace at the shift bell. The hygiene factors will bring a 'fair day's work' worth peace. Salary becomes an agent to keep them in the job for survival.	6. Employees love their jobs because they find it challenging even if the salary is only tolerable. An increase salary will not bring in motivation to do a job better. Love for the job and the achievement of success that bring in self-respect and and respect from others would make them stay with the job even after working hours.

SUGGESTIONS TO STRENGTHEN MOTIVATION

Herzberg suggested certain ways to improve motivation by emphasizing an a positive approach towards the morale of the individuals. The traditional approach was negative, proposing the need to reduced bad hygiene factors so that there could be decrease in turnover, absenteeism and individual malfunction. Herzberg, accepting this approach to move forward to the next phase of creating motivating factors. However, good hygiene factors cannot be an end in itself raised a, slogan, 'Hygiene is not Enough'. Motivation must be reinforced relatively more than the hygiene factors to achieve an increase in job satisfaction and employee performance.

Given below are goals that were specified by Herzberg and his colleagues:

1. **The Job Structure:** The jobs must be restructured, according to Herzberg, to maximize the ability of workers to achieve work goals. Most of the workers do not have the freedom of creativity in their jobs except craftsmen and this is what the management must make an effort to do so. The individual ought to have control over the way he wants to do his job so that he can have the feelings of achievement and personal growth to self-actualize, although they have a clear constraint in the jobs related to assembly lines and automation.
2. **Interesting Jobs:** Automated jobs are mostly routine and dull and it is one of the biggest challenges for managements to make jobs interesting. Rotation of activities can be used to bring some psychological meaning for a worker. Interesting work in itself is are to a higher level of motivation 'These jobs themselves have to be set up in such a way that, interest or no, the individual who carries them out can find that their operations lead to increased motivation'.
3. **The Problem of Selection:** The selection process of individuals for a specific job must be such that an individual's work capacity must be matched with the job duties he needs to do. Each job must be analysed with respect to the abilities required in an individual to do it optimally. However, the right combination of temperament and abilities leads to success.
4. **Supervision:** A few main points to be considered in supervision are:
 - The main impact of supervision is the recognition it awards for successful work. Usually, the supervisor structures the work in such a way that the workers can realize their ability for creative achievements. The supervisor must be skillful in the functions of organization and planning which can be done by hiring graduates in Business Administration or Industrial Engineering.
 - The essential task of a supervisor is to recognize and reward good work of his subordinates appropriately while keeping a balanced relationship with them.
 - The supervisor must organize and distribute work considering the potentialities of his subordinates.
5. **Participation:** Employees can be given more room to devise their own methods to accomplish organizational goals. Participation of employees at low level is only lip service as they certainly cannot participate in exercising control over the organizational goals.
6. **Mental Health:** Herzberg and his colleagues observed that mental health is very important but in their study, only a small percentage in the sample had bad mental health and very few high warranted clinical treatments. Work motivation leads to positive job attitudes.

The Final Goal: All the situations discussed prior to this final goal, help in performing better and increasing individual output. Giving latitude to the individuals to work on their own time schedule. Creativity in individuals would be pushed to higher limits with higher motivation. Nonetheless, the supervisory and management executives would have to themselves more powers in evaluation and control recognition and rewards would be helpful in improving performance.

There can be cases of such groups of individuals who may not be receptive to the prescriptions given by Herzberg's Two-Factor Theory. The motivation might have to come externally from the society for such people.

Criticism of the Motivation–Hygiene Theory

Although Herzberg's theory is still being followed in the industrial organizations, it still has its shortcomings. Herzberg proposes that an organization is able to accomplish its goals by developing the infrastructure in such a way that the individuals in it contribute on their own. They are:

1. **Methodology:** Most critics believed that questionnaires were designed by Herzberg were intended to prejudice the results. The respondents were asked to present their exceptionally good or bad experiences which made the study subjective. The critical incident method following had the flaw of the respondents narrating good times in their personal job experience that are under their control or in which they were in control whereas the bad times narrated were depicted as being under the management. Hence, Herzberg's methodology is ridden with unreliability.
2. **Individual Differences:** Herzberg's research did not consider individual differences in personality. The methodology did not take into account individual differences of age, sex, social status, education or occupations levels. A motivator for one could be perceived as a demotivator for another. The responses could be different from what one would give if this factor was considered.
3. **Inconclusive:** The research study took the majority of its sample from the communication of 203 engineers and accountants. Herzberg himself admitted in his conclusion of the theory that its prescriptions do not present precise and detailed accounts of how this can be done', and only the goals can be specified from the results of the study. The precise way in which increased motivation can be developed must await further research'. The answers given by the respondents were socially acceptable stereotypical answers.
4. **Interrelation Between the Motivators and the Hygiene Factors:** Herzberg stated that the two factors—motivators and the hygiene factors, were independent of each other. This view has been criticized by explaining that some factors satisfy at one given point of time and dissatisfy at another. Herzberg also assumed a direct relationship between job satisfaction and organizational productivity but did not explain it.
5. **Classification:** Herzberg classified factors into motivators and hygiene. This classification was criticized on the grounds that it is a resultant of confusion between the agent and the happiness. Herzberg stressed on the events that brought an individual satisfaction from his job where a factor that brought dissatisfaction of a high intensity a number of times is not as important as its having occurred frequently.
6. **Intrinsic Job Factors:** Research conducted after Herzberg, contended that intrinsic job factors were important in identifying satisfaction or dissatisfactions in a job. Herzberg said that intrinsic factors led only to job satisfaction.

The effect of intrinsic factors and extreme organizational rewards on job satisfaction was studied in another research. It was concluded, in contradiction to Herzberg, that the intrinsic job rewards such as latitude in creative freedom, meaningful and challenging work modified the levels of job satisfaction. The extrinsic factors like the support of the seep and peers affected job satisfaction but extrinsic rewards like pay, working conditions, perks and promotional opportunity were considered to be effective in the lower levels of organizational hierarchy. In various other research studies inconsistencies in job satisfaction. Factors ignoring situational variables and overall satisfaction were found, as given by Herzberg.

However, Herzberg Two-Factor Theory is accepted by the individual organizations. It addresses the modern ethical management and social responsibility by improving the motivation of the employee by using intrinsic instead of extrinsic factors.

HERZBERG VS. MASLOW'S THEORY OF MOTIVATION

Maslow and Herzberg, both, researched and theorized on motivation (discussed earlier). They both held the same ground over the satisfaction of primary motivators to move on higher to achieve self-actualization. Satisfaction of lower needs is important to the pursuit the higher needs. Since both emphasized on the various needs of the employees, they can be classified as content theorists. Both saw the lower needs as satisfied where they reach the higher ones. However, there are many points of difference that are discussed below in brief:

- 1. Order of Needs:** Maslow considers all needs of an individual. starting from the physiological ones whereas Herzberg based his study on only environmental needs and does not give any hierarchy for them. Maslow talks about prepotency, meaning, higher order needs become operational only when the lower needs are satisfied but Herzberg does not believe in it and finds all the needs as operational at all times.
- 2. Nature:** Maslow's theory is simple and descriptive which is based on human needs whereas Herzberg's theory is more prescriptive which is based on actual information collected in real time research of a sample of 200 engineers and accountants.
- 3. Applicability:** In comparison, Herzberg's theory refers to the applicability of his conception-based on motivators that rises above the money, which is found one in developed countries. It is applicable only to profession. On the other hand, Maslow's theory has a wide application as it considers money as a motivator, which can be practically possible in the developing countries applicable all types of employees. Herzberg considers money as hygiene factors necessary to achieve the level of motivators. This is depicted in Table 19.3.

Table 19.3: Comparison Between Maslow's and Herzberg's Theory Regarding Applicability

S. No.	Maslow's Need Hierarchy	Herzberg's Two Factor Theory
1.	Self-actualization motivators	Challenging work achievement
2.	Esteem or status motivators	Growth in the job responsibility and advancement
Maintenance Factors		
3.	Affiliation or acceptance	Status
4.	Security of safety	Quality of supervision, company policy and administration
5.	Physiological needs	Working conditions, job security and salary

- 4. Motivators:** In Maslow's theory, any need can act as a motivator as long as it is not satisfied whereas Herzberg, in his Two-Factor of Dual Factor Model, only higher needs of achievement recognition and challenging work as motivators.
- 5. Universality:** Maslow's needs are active 24 hours of a day whereas Herzberg considered only to the work hours and did not include the social environment. So, Maslow's theory has more universality than Herzberg.

However, both theories are Content Theories and the lower level needs are referred by both the theorists and are important to the Theory of Motivation.

Q5 *How does the Existence, Relatedness and Growth (ERG) Theory explain someone's motivation to work in a job?*

OR

More than one need can be active and operational simultaneously instead of a structured hierarchy and the satisfaction of a lower need to move on to a higher essential need. Discuss ERG Theory of Motivation.

Ans. Clayton Paul Alderfer (1940–2015) was an American consultant, recognized for his exceptional work on advanced research on Maslow's Hierarchy of Needs Theory from 1966–1989. He reworked Maslow's Need Hierarchy of Motivation and called it the ERG Theory of Motivation by condensing the five needs of Maslow into three categories of 'Existence, Relatedness and Growth'.

Hypothesis: Alderfer hypothesized that more than one need can be active and operational simultaneously instead of a structured hierarchy and the satisfaction of a lower need to move on to a higher essential need. Alderfer proposed, as opposed to Maslow's contention of an individual staying at a specific level of need till it is satisfied, when a higher-level need is not being gratified, the individual might go to a lower level to increase his satisfaction. He named this as a frustration–regression dimension because frustration in achieving satisfaction in a higher level need can result into a regression to a lower level need.

Classification of Needs

The classes of needs regrouped by Alderfer are Existence, Relatedness and the Growth needs. They are:

1. **Existence Needs:** Existence needs are the basic physical and the psychological needs like, food, water, air, love, etc. These would cover the first two needs of Maslow, which are insatiable.
2. **Relatedness Needs:** These needs refer to the needs for satisfactory relationship with others, like family, friends, supervisors, subordinates and other important groups. These needs are similar to Maslow's belongingness and esteem needs. They cover the needs of acceptance, mutual understanding and recognition by others.
3. **Growth Needs:** Creativity and innovation needs to grow and develop themselves to achieve self-esteem and self-actualization which is the fifth need of Maslow. They are the most abstract of needs with no physical dimension.

Fundamentals of ERG Theory

Alderfer tried to remove the discrepancy of overlapping needs of Maslow by regrouping them into three needs, ERG, based on empirical research. Some fundamentals on which the ERG theory is based on are:

- **Distinction:** Related needs are different from the other two needs, Existence needs and growth needs because the related needs work only with mutual relationships.
- **Order:** The three classes of the ERG needs are not in a specific order and run together in continuum based on their level of concreteness. Alderfer ranked the existence needs as the most concrete of all needs because they can be most easily attained. Relatedness and growth need come down in the ranking of concreteness.

- **Multiple-Compound Needs:** The ERG needs are in a complex, compound and multiple form. All the three needs can co-exist, for example an individual, who gets promoted can become a leader with and increase in his salary and develop beneficial relations with his/ her peers, supervisors or and subordinates.
- **Basis of Frustration-Regression Process:** The basis of the ERG theory rests in two important constituents of desire and satisfaction which arrive to predict and analyse the outcome of desire-satisfaction dynamics/interaction. Alderfer defines the constituents as:

Desire: Desire corresponds to the notions of want, preference and the strengths of such wants and preferences.

Satisfaction: Satisfaction is fulfillment. An individual might desire any or all the three categories but satisfaction in one category impacts the extent to the other two.

The Dynamics between the ERG Concepts

Alderfer's categories of needs, ERG, have three relationships among them which can be briefly summarized below:

1. **Satisfaction-Progression:** The Satisfaction-Progression principle states that individuals progress to the higher needs once the lower needs are satisfied. Alderfer opposed this principle, which was given by Maslow, saying that progression to the relatedness needs or growth needs does not necessarily require the satisfaction of existence needs.
2. **Frustration-Regression:** The Frustration-Regression principle states that an individual faces frustration at a higher-level need, if it is not satisfied. An organization is impacted to a great extent by this principle, for example, if an individual does not get positive environment of growth needs, there might be his/her regression to relatedness needs. This impact can be reduced by the management if it recognizes the symptoms well in time.
3. **Satisfaction-Strengthening:** The Satisfaction-Strengthening principle states that the present level of satisfaction must be strengthened. Alderfer goes on to explain that an individual's satisfaction with an already satisfied need must be maintained frequently if the high need is not gratified. The organization's management must consider and identify these symptoms to sustain motivation for the pursuit of growth needs.

Advantages/Importance and Implications of ERG Theory

ERG theory has been considered as more important contribution to the study of motivation in individual organs than Maslow theory of hierarchy needs. A lot of empirical research has been done to conclude that even if satisfaction of needs has been attained, the desire for needs continues to motivate.

Importance of the ERG Theory

Given below are mentioned two main points describing the importance of the ERG theory:

1. **Direct and Consistent:** The ERG theory is direct and simple to comprehend. It considers individual differences with respect to variables like education, family background and socio-cultural factors, altering the prioritization of needs differently.

2. **Less Limiting:** The ERG theory is less limiting and has wider scope of application. It is more appropriate to motivate employees in an organization maintained or frequently if the high needs are not gratified. The organization's management must consider and identify these symptoms to sustain motivation for the pursuit of growth needs.

Merits of ERG Theory

The ERG theory helps in many ways to make better managers. The major points are:

1. **Better Managers:** ERG theory helps in making better managers as it emphasizes on the fact that one rule doesn't apply to all. Motivating factors depend on the hierarchical level the individual is, while considering other relevant psychological, socio-cultural and environmental factors. Employees at a higher hierarchical level usually get more motivated by growth needs than existence needs as compared to the employees of an organization at a lower level.
Hence, the ERG theory is quite relevant and important to motivate employees in a workplace.
2. **Value for Managers:** Managers can realize that individual can get motivated by a complex set of needs, all at the same time. If the manager can recognize his/ her frustration, that need can be looked into and resolved so that the employees do not go into regression and try to satisfy more of his relatedness needs until he/she gets an opportunity to develop and satisfy the growth needs while considering that needs keep changing with time.
3. **Job Performance:** Empirical research has suggested that if the managers concentrate sufficiently to enhance and develop relatedness needs, there can be a marked increase in job performance at all hierarchical levels. For instance, it is seen in organizations where relatedness needs are given importance the employees perform better. This can be observed in companies excelling in their fields like Google, Intel and Microsoft, a lot of focus is laid on team building exercises like organizing events, games, social work activities, etc.
4. **Growth Needs:** Since, the ERG theory was developed and applied in the western culture, satisfaction of growth needs lead to a higher self-esteem and better performance. On the other hand, in the developing countries, more stress is laid on existence and relatedness needs.

Critical Evaluation of ERG Theory

ERG theory shows that different needs operate with complicity that is present inherently in the dynamics between desire and satisfaction. Extrinsic and intrinsic motivating factors influence an individual in a workplace. However, the ERG theory has been outstayed on the following grounds.

1. **Financial Incentives:** Financial incentives have a different meaning for different people. For some, monetary inducements may satisfy growth needs while existence needs for others. An individual gets motivated by other needs besides monetary incentives, according to ERG theory. This makes management motivating and a difficult task as managers find it complex to customize motivation for individuals by identifying the particular set of needs that would be required for each individual.
2. **Unclear Classification:** ERG theory does not present a clear-cut classification of needs. It makes the task of managers extremely complicated and fails to contribute to the Human Resource Management. It refutes hierarchy of needs and proposes continuum which managers find it difficult.
3. **Impractical:** The ERG theory presented by Clayton Alderfer might hold empirical support but it is highly impractical to understand which employee is motivated by which set of needs. It needs more research to understand its applicability by each organization developing its own scale.
4. **Neglects Intrinsic Needs:** The ERG theory ignores the intrinsic need concerned with work like employee participation.

5. **Validity:** The ERG theory lacks intrinsic validation and requires more research to support it although it has become very popular among organizations because of its ease and giving freedom to employee.

Its simplicity in understanding human behaviour goes in its favour. To conclude, Alderfer's theory at present has not gained much importance due to a lack of further research. Many other theories have been proposed thereafter. Some organizations, however, are trying to customize individual needs and desires to motivate employees individually making the whole process of motivation a flexible one.

Q6 Discuss the difference between the approaches of Maslow and Alderfer towards motivation.

Ans. It has been established that Alderfer used Maslow's theory of motivation as his base to work on and refine it. After closely studying both the theories, it can be safely said that there are given similarities as well as dissimilarities.

Similarities

Content Theories

The first similarity is that both are Content Theories. Content Theories expound the rationale behind the change in human behaviour in time, that is, the motivating factors. Both the theories fit the bill by identifying the needs of the organization individuals and relating them with changes in human behaviour.

Hierarchy of Needs

Even though Alderfer did not believe in the prepotency of human needs of Maslow, he definitely put human needs in some order. He has classified his needs into three whereas Maslow made five. Alderfer agreed, like Maslow, that gratification of lower needs causes an individual to shift to the desire to assuage his higher needs though he included the concept of complex multiple needs operating simultaneously. Alderfer mentioned in his book, 'Maslow mentions issues such as physical illness, pain and assault as one set of issues and parental outbursts of rage, name calling and speaking harshly as another.' ERG theory proposes that physical threats might be usefully put together with Maslow's physiological category and thereby, fit the existence-needs category. Safety issues involving interaction with other people would be considered part of love needs included with relatedness needs. So, Alderfer, readjusted the categories but were the same.

A map of ERG needs and Maslow's needs can be drawn as follows:

Existence ↔ Physiological and safety needs

Relatedness ↔ Social and external esteem needs

Growth ↔ Self-actualization and internal esteem needs

Hence, it can be said that there is a hierarchy of needs in both the theories with existence needs being lower than the relatedness needs and in turn being lower to the growth needs. Hence, the substance of the two theories is same with a difference in their treatment.

Differences between Maslow's and Alderfer's Theory of Motivation

Besides the couple of similarities, there are some differences between the theories of motivation of Maslow and Alderfer. They are:

- **Multiple Needs:** Maslow's Theory of Needs worked with the assumption of prepotency in which one need dominates an individual's behaviour at one time. On the other hand, Alderfer, says that multiple needs can be operational simultaneously.

- **Flexibility and Predictability:** Maslow is quite rigid in his treatment of the hierarchy of needs but opposed to this concept, ERG theory is more flexible in considering the individual's needs. He concedes that needs can present themselves in an absolutely different order. This leads to the observation that Alderfer's needs are not predictive as compared to Maslow's needs.
- **Individualistic Characteristic:** Alderfer's theory allows the order of needs to be individualistic unlike Maslow's conception.
- **Outcome of Satisfaction:** Once the needs are satisfied, the question remains about the outcome content. Maslow stated that dissatisfaction arising due to not achieving a higher level need drives an individual to keep on working towards its attainment contrarily, Alderfer proposed the frustration regression principle which stated that an individual regresses to a lower need if the higher needs is not satisfied making the need important. So, the movement hierarchy, in the Maslow's model is only upward but in Alderfer's model, the movement can be upward or downward.

To sum up, there are similarities as well as dissimilarities between Maslow's and Alderfer's treatment of motivation. Such studies help the organizations and managements to understand the issues related to job performance and productivity and work towards increasing them.

Q7 Write a short note on Process Theories.

Ans. The primary characteristic of process theories is its emphasis on 'how' the needs of individuals in an organization affect their behaviour while working with their colleagues. Content Theories focus on 'what' of the motivation but it would of no consequence if the 'how' is not studied, understood and implemented. A good process would lead to good content naturally. The process ultimately, determines the level of the organization's performance. The process theories are a step beyond the biological and physical basis of motivation analysing the use of rational and cognitive processing faculties. Since the needs of all individuals are fluid and change with time and circumstances, it is highly important. that an effective process of motivating workers is arrived upon. It organizations face a fall in their productivity and performance, they can review their process of electing quality performance, required to reach the standards of organizational goals and try repeat the process that got them to achieve the high point earlier.

Q8 A sound system of high morale is not the guarantee of high production, though high morale is needed for the maximization of production (McClelland). Examine.

OR

How does the term 'valence' play an important role in motivation theories?

OR

McClelland believes that individuals are instinctive by achievement, power and affiliation, yet they tend to favour one over the others. After reversing and researching the theory, discuss which one seems to motivate you the most – achievement, power or affiliation – and why?

Three Needs/Motives Theory or Acquired or Learned Needs Theory

David McClelland was a physiologist who propounded, 'The Acquired-Needs Theory' in 1961 in his book, *'The Achieving Society'*. He has written a large number of books and articles to understand personality achievement and motivation. David McClelland and his colleagues proposed that an individual's specific needs are developed and acquired over time and moulded by one's experiences in life. In a nutshell his theory states:

The needs for achievement, power and affiliation significantly influence the behaviour of an individual.

The three needs a person works for, are:

I. Achievement: McClelland terms the need for achievement as 'nAch' which drives an individual to be excellent in his work. A few major points to consider in achievement are:

1. **Goals:** An individual will pursue creative but challenging goals in his job because they do not present a challenge and is not attractive enough for the individual. Its achievement would not give the employee a sense of achievement. Choose work that has a fifty per cent probability rate of success. Usually individuals, with a high achievement. The individual will also avoid high risk situations because it is difficult to achieve. Higher achievers have a higher level of motivation and are innovative instead of working an chance. Achievement seekers are satisfied with achievement as a rewards. The individuals are calculative, like feedback and like to work on their own. They are result-oriented and like such hierarchical environments.
2. **Career Choice:** McClelland and his associates conducted an experiment on individuals with high nAch to opt for such careers. They measured nAch in college students and those with high nAch after 10-14 years were found to be in entrepreneurial jobs later in life. He concluded that high nAch shows before a career choice is made.
3. **Training Programmes:** McClelland developed training programmes for individuals to act as individuals with a high nAch who wanted to become entrepreneurs.
4. **Achievement Imagery:** McClelland conducted experiments on identifying and examining motivation having imaginative productions as its foundation. His hypothesis was that a society's preoccupations, as they change over time, are related to changes in the fiction it produces and found it to be true in his study.

Measuring the Achievement Motive

McClelland stressed on the fact that the field of motivation has seen advancements due to the standardization in measurement. He developed the measurement tool 'Thematic Appreciation Test' (TAT) for nAch based on Experimental Psychology and psychoanalytic insights of Freud and his followers.

The step wise method of measuring achievement is given below in brief:

1. **Arousal of Achievement Motive:** The selected group of subjects was stimulated by the arousal of achievement motive to observe its affect on their behaviour to avoid errors in deduction. Freud's method of recording an individual's uninhibited and freely associated thought to evaluated motives was used. Effects of aroused achievement on fantasy had to be determined to understand the motivating force of 'inner concerns' for achievement.
2. **Individual Capacity:** Individuals in the category of high nAch have a higher level of intelligence on an average and the capacity to organize material to assess crucial situations with speed and precision. When instructions are given to such respondents, they vie to do well intelligently depicting leadership skills.

3. **Story-Writing:** The respondents were asked to write five minute stories which were prompted by pictures flashed on a screen for a few seconds. The pictures were related specially to work. McClelland favoured fantasy over 'overt' behavioural measures because:
 - Overt action is more realistic than fantasy;
 - Fantasy has more influencing factors than overt action; and
 - Fantasy points out to what motive is aroused.
4. **Comparison of Stories:** The stories submitted by the subjects, whose achievement motive had been aroused under normal conditions, in the experimental study were compared and analysed.
5. **Obtaining a Score:** Motivating thoughts of subjects pointed towards a stronger achievement motivation. So, the next step was to obtain a score for an individual. A tally was made to count the number of mentioned achievement related ideas in the submitted stories which would represent the strength of individual's concern with achievement which McClelland termed as nAch.

He applied the nAch tool to measure affiliation and power too. The high level of score of nAch refers to a number of implications which are:

- Individuals have better memory for incompletely tasks;
- Volunteer as subjects for psychological experiments;
- More engaged in college activities;
- Prefer experts instead of friends to work with; and
- Are more averse to social pressure, etc.

McClelland made some relevant observations of his study. They are briefly mentioned here:

- **Achievement Significance:** Individuals with high scores will do better only if performance of a task holds some sense of achievement for them otherwise they would do that task only faster. In a word scramble task, they did not do better at the decoding as it did not hold any achievement sense because the instructions given by the experimenter was that they were only experimenting and asked for their cooperation.
- **'Task' Experimental Condition:** The subjects were given the instructions that since they were being tested to measure their critical ability to deal quickly and accurately with unfamiliar material it would be related to general intelligence and their future career, they must perform as well as they can. The nAch was measured a few months earlier was better of high nAch subjects than those with low nAch. However, in the 'extrinsic' experimental condition, the factors of speed and accuracy were added to a code test and were promised that they could leave the premise if those who could complete the task within five minutes with the highest scores while the rest of them we have to stay there to practice and retest. The 'lows' performed better to be away from the test.
 - This implies that high nAch will motivate a person to do better if there is a possibility of achievement.
 - High nAch individuals will seek situations where they could, achieve more.
 - The 'highs' would set high achievement standards for themselves and not get affected by extrinsic situational inducements.
 - The 'highs' would strive harder to achieve the standards they set for themselves.

On a larger level, McClelland observed that if there would be a large number of individuals with high nAch in a given period of times there would be a meteorical surge of progress promoting economic and cultural growth.

II. Affiliation (nAff): The second need that McClelland gave was the need for affiliation nAff an unconscious drive to be included in warm relationships and have acceptance. McClelland worked mostly in the area of the achievement need. An individual with high affiliation motivation has:

- Need for friendly relationships;
- Are engaged towards reciprocal action;
- Acceptance from others;
- Pleasant association with others;
- To be popular among others;
- Are team players;
- Conform to work group norms as they are afraid;
- Give priority to work that involves personal interaction, trust and mutual understanding;
- Suited best for customer service and client interaction scenarios;
- Prefers collaboration instead of competition; and
- Avoids high risk situations.

Individuals with a high score of n-aff gives way to incapability in a manager's strengths. High n-aff individuals' behaviour is affected by the features mentioned above. Since some managers have an intense need to be liked by all do not make good leaders. People with a high n-Aff are best suited for teaching jobs, counsellors and public dealing jobs.

III. Power: McClelland termed the need for power as n-Pow. Individuals with high n-pow are 'authority motivated'. The features of individuals having high n-Pow are:

- They want to gain a position;
- Prefers collaboration instead of competition; and
- Avoids high risk situations.

In 1975, McClelland that a high nAch individual does not necessarily have the capability to deal with human relationship.

David McClelland stated that the power motivation was a rudimentary constituent to conceptualize and assess for future success in developing managerial skills. Such power needs must be inculcated with motivational background to attain the objective.

The Stages of Power Motivation

In 1975, McClelland admitted that a high nAch individual does not necessarily have the capability to deal with human relationships. David McClelland identified two stages of power motivation. They are:

Stage I: This initial stage involves individuals seeking influence from other by increasing their network.

Stage II: The individual draws strength and power from within oneself and doing one's own thing'. Influence over others does not materialize yet.

Stage III: The third stage moves the individual to use the power within to influence the behaviour of others the individual also develops a competitively need of helping other with the purpose of dominating the other thus rendering him/her weak.

Stage IV: The fourth and the final stage drives the individual's self into the background. The individual uses power to influence the behaviour of other to achieve the larger organizational goals and success.

Q9 Write a short note on the types of power given by McClelland.

Ans. David McClelland gave two types of power. They are:

1. **Personalized Power:** Personalized power is a relationship of domination-submission and win-lose. The need to direct and dominate others is considered as an undesirable need because satisfaction is derived by conquering others.
2. **Socialized Power:** In the words, of David McClelland, 'There is a concern for group goals, for finding those goals that will move men for helping the group to formulate them, for taking initiative in providing means of achieving them, and for giving group members the feeling of competence they need to work hard for them'.

In 'Socialized Power' the power motivation has an element of altruism and pragmatism. It does not feed the self and hence is a positive and good motivation it is also termed as institutional power which motivates individuals to direct others in an organized manner to achieve organizational goals. Managers with a high need for the socialized/institutional power become more effective than those with personal power.

After studying the features of individuals with high *n*-power, it is important to mention here that they are not power hungry. They have a better rational conception of the use of power to get things done positively, rendering the power need as a positive premise. Such individuals have the need to modify behaviour of others the way they want to.

Combination of the three needs and work situations David McClelland observed that according to the 'Acquired Needs Theory', most individuals have a combination of all the three needs which impacts and modifies their behaviour. A few points that emerge from this confusion are:

- Individuals with High *n*-affiliation face a compromise in managerial objectivity and decision-making ability due to their need to be liked.
- Individuals with High *n*-power will help in constructing an ethical work environment in the organization but lack in being people's persons.
- Individuals with High *n*-achievement are best suited for becoming effective managers and leaders. However, their expectation from others sometimes is too high.

Q10 The relevance of any theory is realized only through its application. Discuss with special reference to McClelland's Theory.

Ans. Application of the Acquired Needs Theory: Any theory's relevance is substantiated only if it can be implemented well. The management can implement this theory by following the two steps given below:

Step I: Identification: The management must identify the motivational need of the team under consideration by understanding which need motivates them. The personality traits and how the team members had behaved previously can be taken into account to facilitate the process. Individuals with high *n* achievement must be given challenges that they can achieve and given feedback periodically. The employees with a high *n*-affiliation must be placed in such positions that are in a cooperative atmosphere. Lastly, the individuals with a high *n*-power are the power seekers must be provided with an opportunity to become managers.

Step II: Approaching employees according to their needs:

- Identifying the needs score by testing them.

Critical Evaluation

David McClelland has contributed a lot in easing the path of management in task by arrangements identifying the needs and personality traits of the individuals in an organization. However, his work has been criticized on the following grounds:

- **Justifiable:** Psychology literature does not justify the three needs theory.
- **Trained Needs:** McClelland contention that needs can be modified with training. But physiologists counter it by saying that individual needs are acquired permanently.
- **Thematic Apperception Test:** The responses elicited from the respondents were studied by the researchers which are ridden by their bias.
- **n-affiliation and n-power:** The other two needs affiliation and power, were not researched by David McClelland as much as n-ach.

Q11 Give the main elements of John Stacey Adams' Equity Theory.

OR

'Motivation is influenced by an individual's subjective judgement about the fairness of the reward he or she gets, relative to inputs, compared with rewards of others'.
Elaborate.

Ans. Equity Theory: John Stacey Adams was a workplace and behavioural physiologist who gave the Equity Theory in 1963. His main contention was that wages and workplace conditions are not the only factors that affect motivation. One individual's promotion or a transparent organizational pay structure showing one's pay raise can have an adverse effect on others and lower their motivation. Hence, the main thrust of the 'Equity Theory' is the principle of equity. It states the relationship between the individual's perception of fair treatment towards him/her in the organization and the extent of his/her motivation.

Generally, everyone desires fair treatment and this needs to be considered by managements to motivate them. In an organization, employees seek a balance between their input in work and the work rewards that is, the investment/ rewards ratio must be at par with others.

J.S. Adams used some new key terms which were used in the equity theory which are different from the simple terms like pay, efforts and rewards. He called them simple because they include not only hard work but also many other dimensions. Rewards are not only an is pay but includes various angles like prestige, esteem, etc.

The definitions of these terms are given below:

- **Inputs:** Inputs are all the manifold constituents that employees' factor in their jobs. They include their education, experience, loyalty, work commitment, ability, relationships, skills, etc.
- **Outputs:** Adams defined outputs as the positive and negative consequences that an individual perceives a participant has occurred as a consequence of his/her relationship with another. They can be material or non-material. They can be esteem, compensation including salary and perks, expenses and sense of privileges, prestige, appreciation, sense of achievement, etc.
- **Over-rewarded:** The employees will try to correct the imbalance by working more if they feel over rewarded.
- **Equity:** The employees will contribute to their jobs at the same level if they perceive an equity between the input and output.

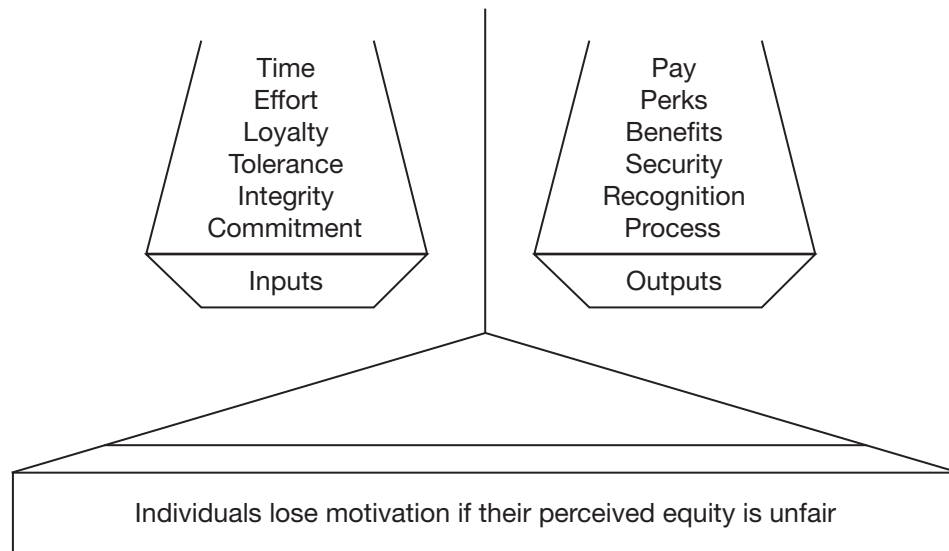


Figure 19.3: John Stacey Adams' Equity Theory

- **Referent:** Referent are those points on people with whom we compare our own situation. An individual at a workplace selects some referents that make the equity theory work complex. Adams stated four referent comparisons that an employee can apply:
 - **Self-inside:** The individual perceives a different position in the current organization.
 - **Self-outside:** The individual perceives a different position outside the current organization.
 - **Other-inside:** An individual perceives himself to be someone else or a group in the current organization.
 - **Other-outside** An individual perceives himself/herself outside the current organization.

The individual chooses a referent based on four moderating variables which are:

- **Gender:** Individuals prefer same-sex comparisons, for example women in a way, accept lower pay because they compare with their own gender.
- **Length of Tenure:** It is natural that the length of tenure is used to compare to bring in parity.
- **Level in the organization:** The hierarchical level an individual works at is an important factor in making a comparison.
- **Educational Level:** The educational qualifications of an individual makes an important referent point of comparison with others.

PROPOSITIONS OF THE EQUITY THEORY

The Equity Theory proposes four basic assumptions:

1. **Comparison:** The first proposition is that 'individuals develop their perception of fairness by calculating a ratio of their inputs and outcomes and then make a comparison of this ratio to others. 'There final goal is maximize their outcomes excluding costs'.
2. **Inequity:** If the individual perceives the ratio to be unequal, then there is inequity. The individual will be demotivated and if one feels that one is being overpaid as compared to others, there could arise feelings of guilt.

Equity can be developed with in groups so that collective rewards can be reaped. The group leaders can motivate others to work effectively for equitable rewards. The groups will tend to favour compliant members and disfavour those who are not.

3. **Distress:** If the inequity ratio increases the employee becomes distressed and stressful. The degree of distress varies from individual to individual based on one's tolerance. Adams differentiated equity sensitivity spectrum individuals into three types:
 - (i) **Benevolent:** Benevolent are those individuals who are complacent with being under-rewarded and contribute more to the task.
 - (ii) **Equity Sensitives:** Equity sensitives conform to the equity theory and prefer an equal ratio in comparison to the others.
 - (iii) **Entitleds:** They are happy to be over rewarded keeping the ratio exceeding in comparison with other and feel that the world owes it to them.
4. **Perceived Inequity:** If an individual perceives inequity with others, he/ she will be stressed and tense and would work to rectify this inequity ratio. They would adjust the inputs outcomes by using cognitive or behaviour' processes.

Social Dimension

Stacey Adams states that perceived inequity results from social comparisons by forming an input-outcome ratio of oneself and then comparing it with others.

Core of Equity Theory: The area of the equity theory is that perceived equity is based on social comparisons. People strive hard to maintain a state of equity or fairness in order to maintain interval, psychological balance. The problem of reduced motivation arises when different ratios lead to inequity and individuals strive to get it back into a balanced state.

Ways to Lower Inequity

Individuals develop distress and tension because of perceived inequity. They will work towards reducing the tension and use either of two main processes behavioural and cognitive to restore equity.

Behavioural Processes

Behavioural processes are the changes made by an individual in his inputs or outcomes to keep individuals motivated. A few important points that the employee can do are:

- The age group must be considered when fixing salary and number of hours.
- Feedback can be taken from employees what they would prefer, for example, flexible hours, higher salary or more annual leave. Strategizing by the management can reduce other risks, like theft or employee turnover.

Task Enhancement: Adams admitted shortcomings of behavioural and cognitive processes, suggested an alternative strategy that can be used. The individual distorts his perception of the task to something that is interesting.

Research Related to Equity Theory

John Stacy propounded Equity Theory in the 1960s. An extensive amount of research has been done since then to test various social relationships that could have an impact on the perceived inequity. A few of them are mentioned here:

- **1967:** Effects of inequity on work output and quality by underpayment were researched in this study by Lawler and O’Gara who observed that equity theory.

There can be two situations in which changes can be made with behavioural processes:

1. **Under-reward:** If the employee perceives that he/she is being under-rewarded, inputs can be decreased to balance the equity. This can be done by taking more breaks or delaying the deadlines, etc. There could be influence of an informed group of employees to work less if they, perceive that there is under-reward. Theft has often been found as a behavioural reaction to compensate for the perceived inequity.
An informal group of employees can pressure an employee to work more or faster if they perceive that their colleague is being over rewarded.
2. **Over-reward:** The second situation presents itself when an individual perceives that he/she is being over-rewarded, the employee might start putting in more number of hours or work through his brakes to balance the equity.

Cognitive Processes

Cognitive processes relate to the mental processes through experience and the senses. They make the individual find reasonable premises for the inequity by:

- Manipulating perception of inputs and outcomes;
- Selecting some other comparative; and
- Reforming the perception.

Out of the two processes of behaviour and cognition, cognition process is more rational as it involves less risks and will even imbalance the perceived inequity to a higher level and the individual would feel worse.

Employee Process to Reduce Perceived Inequity: The employer can improve the process of reducing perceived inequity by structuring rewards. They stated that the individual who got less salary than their co-workers performing the same organizational duties (the comparative other) discovered methods to upgrade their outcomes by reducing their inputs. During the experiment, it was seen that the under-paid individuals had feelings of inequity in compare to other who got a higher pay. They increased their effort to equalize the inequity, However, their quality of work was poor because they perceived their work as ‘unimportant, simple and unchallenging’ as compared to the more equitable group.

- **1988: Equity and Workplace Status:** The study, ‘Equity and Workplace Status’ was undertaken by Greenberg in 1988 who stated that, ‘workers who receive level of rewards higher or lower than coworkers who made equivalent contributions to their jobs are considered overpaid and underpaid respectively’. He included the factor of status affecting performance, when workers placed in offices with equal-status workers performed better.
- **1990: Employee Theft:** This study was also conducted by Greenberg in which he found that employee theft was a result of underpaid in equity. It becomes a hidden cost of paycuts.
- **1992: Distributive Justice Theory:** Cowherd and Levine tested if the quantum of pay differential between the employees at the lower and top management level affected product quality. It was observed that lower level workers perceived inequity and reduced their effort to balance it. They suggested that a cooperative spirit could help in creating a positive atmosphere and reduce the inequity feelings while maintain quality in production.
- **1993: The Equity Sensitivity Construct:** King, Miles and Day conducted the research, ‘A Test and Refinement of the Equity Sensitivity Construct’ to study the level of tolerance of employees to inequities at work. It was proposed that each individual has one’s own level of tolerance. They defined equity sensitive construct as, ‘the perception of what is and what is not equity and then using that info to make predictions about reactions to inequity.

Three classes of people were identified in which benevolent and entitled were found to be at the opposite end of the equity spectrum and equity sensitives followed Adam's Equity Theory.

- **2000: Effort-Reward Imbalance:** Under the banner of equity theory, another study was conducted by Bakker et. al who states that, 'Burnout is a psychological syndrome of emotional execution, depersonalization and reduced personal accomplishment that occurs among individual who work with other people'. The study was conducted on nurses who are motivated by helping others. An 'Effort-Reward Imbalance Model' was researched based on the reciprocity of costs and gains, depicted that the inequity feelings or lack of equal reciprocity was positively related to burnout. There have been researches and studies conduct under the equity theory. The recent study has been to study its application across globe with respect to cultural differences.
- **Fairness Model:** According to the Fairness Model an individual evaluates the entire 'fairness' of the comparison between their inputs and outcomes based on an internally derived standard.
- **Equity Theory and Game Theory:** Equity Theory factors were incorporating with Game Theory in which employees exist in competition and work out the implications of optimal labour contracts.

Q12 Vroom's Expectancy Theory assumes that behaviour results from conscious choices among alternatives whose purpose it is to maximize pleasure and to minimize pain. Discuss.

Ans. Vroom Expectancy Model: Victor Vroom (1932) was born in Montreal, Canada and is a Professor of Management at the Yale School of Management. He developed the 'Expectancy Theory of Motivation' in 1968.

He put out two questions with respect to motivation:

- Why is the organism active at all? What conditions instigate action, determine its duration or persistence and finally its cessation?
- What is the direction of behaviour? What determines the form that activity will take?

Vroom took up the second questions dealing with the conditions an organism chooses one response or another or move in one direction another. The behaviour that is voluntarily controlled is motivated. Vroom's Model assumes that, 'The choices made by a person among alternative courses of action are lawfully related to psychological events occurring contemporaneously with the behaviour'.

The Cognitive Model: He gave three basic concepts of valence, expectancy and instrumentality and then formulated their relationships to make his theory.

Assumption: The Expectancy Theory on the assumption that individual conscious choices among other alternatives determines human behaviour to optimize pleasure and minimize pain. The performance of an employee is based on various determinants like personality skills, knowledge, experience and abilities.

The Concept of Valence: Valence literally means a related capacity to unite and react. According to Vroom a person has preferences among the alternative outcomes at any given point of time. Preferences are the relationships between the strength of a person's desire for two outcomes. Vroom uses the term 'valence' with respect to the preference of the specific outcome.

Levels of Valence

1. **Positive Valence:** An outcome is positively valent when an individual prefers to achieve it instead of not achieving it.

2. **Zero Valence:** An outcome has zero valence when an individual has no mind to achieve to not achieve it.
3. **Negative Valence:** When an individual prefers not to achieve an outcome instead of achieving it, is negative valence.

Link between Valence and Motive: A preference for a class of outcomes is a motive. A positive motive implies positive valence whereas a negative motive signifies negative valence.

VALANCE AND ITS VALUE

Difference between the valence of an outcome to an individual and its value to that individual can be explained as an individual may wish to get an object but may not gain satisfaction from its acquisition. The valence (expected set from an outcome) could be different from its value (actual satisfaction that it provides). There could be many outcomes positively or negatively valent but are not expected to be satisfying/dissatisfying which affects the strength of an individual's desire or aversion to it. Employees tend to join groups also in anticipation of getting a higher status or a promotion and work effectively to do so.

However, Vroom accepted that not all variance in the valence of outcomes can be explained by their expected results. He gave a to work out the valence.

II. The Concept of Expectancy: Vroom states that, 'the specific outcomes attained by a person are dependent not only on the choices that he makes but also on events which are beyond his control'. There is always some ratio of surprise and non-predictive nature of future that figures in an outcome.

An individual makes his choice based on his belief that the probability of success is high of the outcome. These are the expectancies or subjective probabilities. Expectancy defined by Vroom expectancy is a momentary belief concerning the likelihood that a particular act will be followed by a particular outcome. They may be described in terms of their strength. The highest value of expectancy is determined by the subjective certainty that the preferred choice will result in its outcome and the lowest value (zero) would be shown by the subjective certainty that the preferred alternative will not result in the outcome.

Hence expectancy is an action outcome association, where the action is preferred choice out of the given alternatives. He fixed the expectancy range from zero to one.

III. The Concept of (Instrumentality): The concept of (instrumentality) is an outcome association. Its value ranges from -1 to +1. -1 indicates a belief that the success of the second outcome is ensured without the first outcome and impossible with it +1 depicts that the first outcome is believed to be a necessary and sufficient condition for the success of the second outcome.

The Motivational Bases of Work

Vroom poses the question, 'Why do people work at all?' and delves into the work-motivation relationship.

Determinants: Vroom stated the reason the people will work depends on:

- Availability of work
- Preference to work or not to work.

The determinants of preference are briefly discussed below:

1. **Financial Remuneration:** Money is the basic reason an individual works for satisfying his needs, thus, justifying 'the economic man'. However, money serves its purpose far beyond than just the physical needs. They help in securing comfort, security, luxury and social status. The remuneration,

in the present day, includes all the perks and fringe benefits along with stocks and medical packages. Nonetheless, individuals work for something more than money to be motivated and satisfied.

2. **Expenditure of Energy:** Individuals need to expend their mental and physical energy according to Vroom. However, since many years most of the theories stated that dissatisfaction from job arises from expending, energy assuming that individuals do not want to work or work the least. On the other hand, Vroom cited many writers stating that the expenditure of effort was in fact satisfying instead of being dissatisfying. Activity versus aversion brought into an individual due to inactivity. Vroom found it safe to say that there is an optimal extent of activity that leads to the observation that the valence of energy expenditure could be positive after prolonged inactivity but negative after prolonged activity. The aversion can be reduced by inducing the individual with rewards taking ethnicity, religion, etc., into consideration. This determinant, nonetheless, needs more research.
3. **Production of Goods and Services:** Expenditure of must be purposeful in the production of goods and services. Individuals get satisfaction from their jobs if they are able to fulfil a purpose satisfaction, for example, may be derived by a doctor by serving his/her patients to good health. It could give him/her mental peace. The extent of satisfaction may vary from one individual to another.
4. **Social Interaction:** Work is considered as a social activity by social physiologists. There is public dealing and interaction between the individual working in an organization and the client. If the individual gets job satisfaction, he/she from the social relationship would be motivated to work more effectively and efficiently. Most of the social physiologists and thinkers have written about the tendency to gain satisfaction from social relationship as a human attribute. However, individual differences needs to be considered while studying motivation through social interaction.
5. **Social Status:** An individual's occupation affects the way other respond towards him/her outside the workplace. The tag of the individual's designation or work role walks with him which can be termed as 'social status'. The higher the social status, the higher the satisfaction.

Determinants of Occupational Choice

Vroom gave three interpretations of the chosen occupation:

1. **Occupation preference:** The occurrence with the most positive valence.
2. **Occupational choice:** Strongest positive force.
3. **Occupational attainment:** The occupation is which the individual is a member.

Vroom conducted research with secondary data, from experiments on occupation choices and observed:

- Occupation do not coincide with choices.
- A relatively high number of respondents entered into less preferred occupations.
- A disproportionately large number of persons.
- States a preference of higher status occupations than actually attain them.

Vroom states that there is a substantial relationship between preferred occupations and the relative valence of a number of outcomes and the relative instrumentality of occupations for their attainment. A marked difference in ability was observed in individuals in different occupations and their preferences. Hence, the correlation between the individual's belief in his ability and his occupational preference.

Determinants of Job Satisfaction

Positive attitudes towards job are referred to as job satisfaction and negative attitudes as dissatisfaction. Vroom stated that the determinates of job satisfaction could be complex set of variables. There are two implication of this:

- The general valence of the work role as a whole would have a high value to predict behaviour, moving towards or away from.
- The valence of this some sets of properties of work role might have value in predicting a change in the individual behaviour or initiating change himself/herself.

Dimensions/Determinants of Job Satisfaction: Vroom gave the following six dimensions of job satisfaction which accounts for different levels of job satisfaction:

1. **Supervision:** Vroom has cited various research studies based on the link between supervision and job satisfaction. Vroom stated with caution, that if the superior is accommodating towards his subordinates, its outcome is a high score of satisfaction. This is corroborated by low turnover rates, complaints and leaves. On the other hand, it could be that the sample that was selected for the research experiment consisted of those subs who liked the sup. However, there is a definite relation between the two.
2. **Influence in Decision-Making:** Supervisory styles affect decisions of subordinates Vroom noted that:
 - People who are satisfied with their jobs feel that they have a better environment to have an impact on organizational decisions.
 - Participative Decision-Making and job satisfaction have the factor of individual personality that has a considerable effect.
 - Authoritarian supervisors would have a considerable impact on job satisfaction.
3. **The Work Group:** The problem of deriving from the social interaction within a work group has not been researched environment. Social interaction within a group denotes the valence of group melted outcomes. The expectancy earning of rewards increases when the rewards of being in a group are greater. Exchange of rewards with in a group increases with an increase in interaction. The conditions necessary for studying interaction to be effective are:
 - **Similarity of Attitudes:** Interaction would always be better between people having similar attitudes. Barring a few contradictory results, similarity of attitudes in most of the studies, was found to be an important function with respect to interaction.
 - **Acceptance:** The extent to which an individual is accepted by the group affects the importance of work groups. Vroom stated that if a person's acceptance by other group members affects the valence of the group for him, it should also affect the probability that he will withdraw from the group.
 - **Goal Interdependence:** Interaction between two employees would bring satisfaction to both if it fulfils their goals and vice versa. Group incentive or profit-sharing plans lead to promotive interdependence. Such plans encourage interaction and it leads to satisfaction of employees as well as the management because the goals would be accomplished.
 - **Individual Differences:** Lastly Vroom considered the role of individual differences affecting social interaction with work groups. Each individual has his/her own needs and is different in desires.
4. **Job Content:** Besides the social interactions in a work, the job content has serious affect on the satisfaction job or dissatisfaction. Generally, employees attribute job achievements, friends, acceptance, recognition to themselves but job dissatisfaction is attributed by employees to the work environment, obstacles presented by company policies, etc.
5. **Job Level:** Research has shown a positive relation between the level of the worker's status and job satisfaction. The greater the satisfaction of higher level managers is due, greater are the opportunities to satisfy esteem, autonomy and self-actualization needs So, hierarchy of the individual is in direct relation to his/her motivating needs.

6. **Specialization:** Vroom talks about specialization and repetitiveness of job affecting job satisfaction. Repetitiveness can be decreased by job rotation or assigning multiple operations to the worker to do their job. This feature is one of the problems in motivating workers.

Vroom suggested that working conditions can be improved to increase motivation. They are:

- Changing the form of activity at appropriate times;
- Paying workers according to output instead of the time put in;
- Considering work as a series of self-contained tasks instead of a continuous activity;
- Letting the workers do their job in small social groups instead of isolation; and
- Giving suitable rest periods.

8. **Control over Work Methods:** Vroom did not support one work method for all as it may definitely increase productivity but will bring a reduction in job satisfaction. More empirical research is needed to support this.
9. **Work Pace:** Workers, who are controlled for their pace by their superiors or with automated speed controlled belts are not satisfied with their work and least motivated.
10. **Use of Skills and Abilities:** Employees who can make the best use of their skills and ability are most satisfied. Vroom supported their view also given by A. Maslow. The employee's performance score and the turnover count verify the above-mentioned hypothesis. Vroom further modifies Maslow's statement by adding the cognitive element of belief by a worker that he/she has the skill but also admitted individual differences. Self-opportunity expression was highly related was highly related to the satisfaction and adjustment of workers with the highest ego involvement in their jobs.

VROOM'S WORK PERFORMANCE

Work Performance: Success in work performance leads to a positively valent outcome whereas failure to a negatively valent outcome. Success and failure, thus, refers to effective and in effective task performance. Vroom studies how individual's satisfaction with a work role influenced by the satisfaction achieved in the assigned task. He did not find experiment evidence for the relationship between job performance to job satisfaction. Such a relationship can be found in a lab situation but not in a industry situation. This difference could be due to the manipulations of factors in a lab and so the subjects might want to impress the researcher.

Interruption of Work on Tasks: Motivation effects as interruption of work on tasks. An individual release his tension when the goal is attained in the workplace. The tension becomes a part of the employee when he/she works towards the goal which ends with the goal achievement. Vroom quotes Lawing and his associates work that the 'Frequency of voluntary work stoppages among workers was directly related to the size of the lot on which they were working'.

Wages: Wages is directly related to job satisfaction of an employee according to many economics thinkers but was contradicted by the Human Relations (HR) thinkers who emphasized on social and ego needs. However, wages contribute to an employee's satisfaction to some extent, employees tend to compare their wages to other and their satisfaction depends on it.

Promotional Opportunities: Opportunities to get promotion in the hierarchy of an organization influence an individual's satisfaction with his/her job. However, the expectation of individuals could be varied with respect to the promotion and are possible determinants of job satisfaction or morale.

Hours of Work: 'The work role occupied by a person affects not only how he will use his working hours but also how he can spend'. The work life balance is positive if an individual is satisfied with his job. Shift workers are generally unhappy with their work because they would get deprived of leisure time in the evenings or weekends.

Victor Vroom proposed a model for prediction the affective consequences of work schedules.

Assumption: The valence of a given work schedule for a person will be an inverse function of the extent to which that work schedule interferes in the individual's leisure time.

The main concepts he used in his Model are:

- **Time Pattern:** The time pattern of an activity can be worked by 'plotting the probability that an activity can be performed at various times of the day to determine their flexibility.
- **Discordance of a Work schedule:** Vroom defined the discordance of a work schedule as the amount of overlap between the work schedule and the time pattern for that activity.

Hypothesis: 'The greater the positive valence of an activity for a person, the greater the negative effects of discordance of his work schedule with respect to that activity on his satisfaction with the work schedule according to Vroom'. The valence decreases if an activity has strong valence for a person and a decrease in his work schedule.

However, if an individual has no reaction to an activity, then the variation in the work schedule of that specific activity, then the valence would have no impact on the work role valence.

Vroom discussed job satisfaction with respect to turnover absenteeism, accidents and job performance.

The Role of Motivation in Work Performance

Vroom considered two definitions of motivation with respect to effective performance in work. They are:

1. In terms of the relative valence of different performance level's.
2. In terms of the relative of the force on the individual to have an influence on the different levels of effort in performance of the job.

Vroom preferred the second definition of motivation doing a task well does not necessarily depend exclusively on motivation but also on the worker's ability to do the job assignment. Vroom stated after an analysis of various studies conducted by Industrial Psychologists, that the ability of an individual as well as the motivation that drives an individual to do his task effectively have an inter linkage between the workers who are low in their ability are not influenced by motivators whereas it is a positive affect on those who have a high ability.

Vroom studied and cited over 500 research studies and bridged the gap between the sc of psychology and technologies to influence human behaviour.

Q13 *The feedback loop (variable 9) in the Porter and Lawler Expectancy Model, is associated with the first variable (value of reward). What is the significance of the feedback loop?*

Ans. Lyman W. Porter and Edward E. Lawler developed the Expectancy Model which they based on the expectancy theory of Victor H. Vroom. Dr Lyman W. Porter (1930–2015) from Indiana completed his education at the Yale University with a PhD in psychology in 1956 and joined the faculty of California, Berkley he worked in the field of Organizational Behavioural Psychology and Organizational Behaviour.

Edward E. Lawler was a Professor of Business at the University of Southern California. He became the Director of University Centre for Effective Organizations (CEO). He contributed, greatly to theory, research and practice in areas of Human Resource Management, compensation, organizational development and organizational effectiveness.

Porter and Lawler developed the 'Expectancy Theory' of Victor Vroom and gave a comprehensive theory of motivation which falls into the category of Process Theories.

The Thrust of the Model: The resilience and force of motivation is determined by an individual's expectation of the probability of the motivated action leading to rewards. This point is further developed by adding dimensions the individual's abilities and traits that influence her/her level of performance, the individual's realization of his/her role in the organization, and the relationship between performance and rewards.

Hence, it is observed that this model considers that effort on motivation alone does not lead to effective performance.

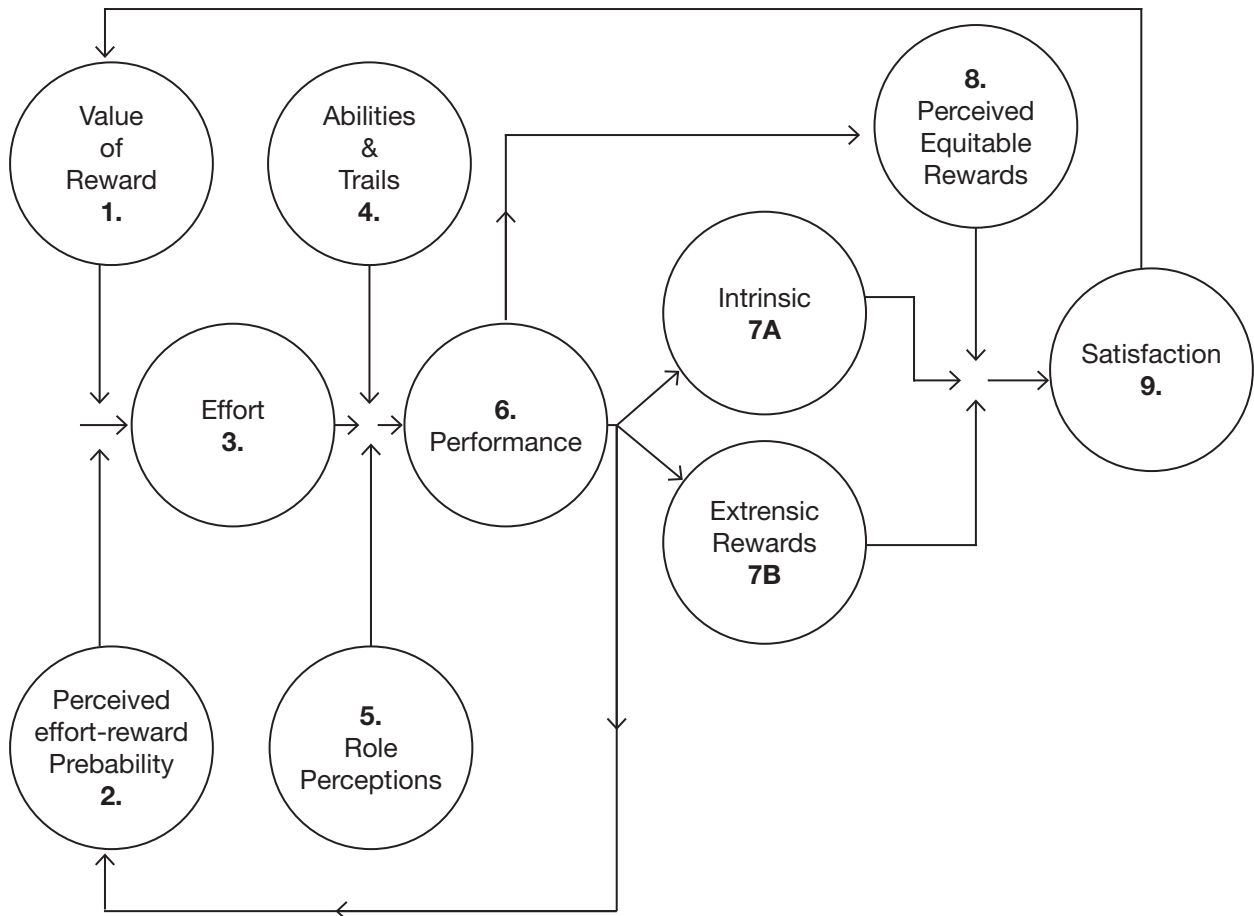


Figure 19.4: The Porter and Lawler Motivation Model

Assumptions of the Porter and Lawler Model

The model states that valence and expectancy result in effort along with ability, skill, role perception lead to performance and ultimately to satisfaction. This relationship between performance and satisfactions needs to be strengthened rather than just on satisfaction.

The assumptions of the Porter and Lawler model are:

- Individual behaviour is dependent on a combination of factors in the individual and in the environment.

- Individuals are rational individuals who make conscious decisions concerning their behaviour in the organizations.
- Individuals have varied needs, desires and goals.
- Individuals make a choice to behave in an organization in a certain way that will lead to desired outcome based on their expectations. Lawler did not state these assumptions but researchers have derived these assumptions after an assessment of the model. Besides these major four assumptions given below are a few more of derived assumptions on which the Porter and Lawler model is based.
- The organization is working in a routine manner without any disruptions like strikes or tense conflict situations.
- Organizational working conditions are normal.
- The organizational policy is that good performance is rewarded.

Elements of the Porter and Lawler Model

The Porter and Lawler Model constitutes of nine elements as variables which has been depicted in the diagram. It is a multi-variate complex relationship that exists between these variables. The variables of the Porter and Lawler Model are:

- **Value of Rewards:** The value of reward was termed as 'valence' by Victor Vroom. It is the extent to which it is a desirable outcome for the employee, for instance, an individual may be interested to get a medical insurance instead of a seven day free vacation. So, the reward must be valent enough for the individual to put in more effort in his/her performance.
- **Effort:** Effort is the amount of energy that an individual on a task in an organizations put in). Effort is dependent on two factors:
 - Value of reward
 - Probability of reward

The relationship between effort and reward is determined by the expectancy of the amount of rewards.

- **Abilities and Traits:** Personality traits, IQ level, acquired manual skills, etc., determine the individual's capacity to perform a task.
- **Role of Performance:** Unless an individual perceives his role in the organization as designed by the organization, his/her performance will be low.
- **Performance:** The combination of efforts, role perception abilities and lead to performance. Performance is the attainment of the completeness of the task assigned to the employee. If the combination results in a low score, then the performance would not be effective.
- **Rewards:** Rewards are the desired state of outcomes. They can be intrinsic or extrinsic. They can be briefly explained as:

Intrinsic: They are the rewards followed by performance. Intrinsic rewards are positive feelings and attitudes which in individual feels within oneself when the task is completed with success. The individual feels self-esteem and a sense of competence leading to satisfaction which are directly related to performance.

Extrinsic: Extrinsic rewards are outside the individual given by others or the management like money, recognition or appreciation. Such rewards are given in relation to the individual performance.

- **Perceived Equitable Rewards:** It is the desired fair extent of rewards that an individual perceives to be deserving to receive *in lieu* of his efforts in achieving the desired outcome. The individual would feel satisfied only when there is an alignment between his/her perceived and actual rewards.
- **Satisfaction:** An individual will experience satisfaction when he/she reaches that desired level of intrinsic and extrinsic rewards. It could be negative or positive depending on the expectancy of the desired outcome.

The level of motivation would decrease if the level of satisfaction of the individual does not equate to his/her expectations. It could be due to reasons lack of effort, abilities or wrong estimation of performance probability. These elements of the Porter and Lawler model point out a relevant observation that, being an expectancy theory, a quality performance leads to job satisfaction whereas the Content Theories stated that quality performance is a natural progression of job satisfaction.

There are two feedback loops in the Porter and Lawler model diagram which make the model more practical and above Vroom's expectancy theory.

First Feedback Loop

The first feedback loops have two points of consideration.

1. The extrinsic rewards policy of the organization gets altered over time.
2. The intrinsic rewards perception changes as the time passes.

Second Feedback Loop

Porter and Lawler talk about 'felt satisfied' which an employee gets when he perceives the rewards that he gets as equitable. For an individual the reward can be fair or deficient. Porter and Lawler does not consider any possibility of over reward. However, Porter and Lawler admitted that there was no data to confirm if the satisfaction that comes with a rewards increases or decreases its perceived value in times to come. If the organization's management gives rewards for good performance the efforts leading to rewards will become more effective and stronger.

Implications of the Porter and Lawler Model

Porter and Lawler model assumes that motivation is not a simple cause and effect dynamics.

The multivariable complex Porter and Lawler model can be understood by the implications given below:

- **Reward Structure:** The management must design the rewards structure after its careful assessment so that effort performance reward satisfaction system can be amalgamated into the whole organization's system.
- **Groups of Variables:** The model suggests that the nine variables mentioned earlier can be classified into four stages to understand how satisfaction can be achieved. They are:
 - Stage I: Efforts:** 'The value of reward and the perceived effort-reward probability result in efforts.
 - Stage II: Performance:** Abilities and traits combined with role perception results in performance.
 - Stage III: Equitable rewards:** Extrinsic and intrinsic rewards jointly lead to the perception of equitable rewards.

Stage IV: Satisfaction: All the nine variables interact and play with each other to get the final outcome, that is, performance.

The value of rewards for an individual depends on the level to what he desires which could be different for each individual, that is, the valance. Various external and internal factors can have a role in deciding the value like personal needs, cultural dimensions, family and friends, nationality influence of leader, etc.

Some important considerations in the variable of value of rewards are:

- The individual perceptions and assigning of value to the reward influence one's motivation and vice versa.
- Value differs from one individual to the other.
- The desirability of value of a reward depends on personal, socio-cultural, organizational and situational factors.
- When the value is negative, an individual is not motivated to put in effort and vice versa. If the value is zero, he remains indifferent towards work.
- The first variable of value of reward is most important for any kind of mot to take place. So, the organization management must understand what makes an individual tick so that he can contribute to organizational productivity.

Approaches to Make the Value of Reward Desirable

The Porter Lawler Model identifies four approaches which the management can follow to make the value of reward more desirable to the individuals:

- (i) **Changing:** Individuals can be made to change their attitude by:
 - Converting individuals with negative value to positive.
 - Improving a low positive score to a higher one.
 - Sustaining the higher positive score.
- (ii) **Changing Rewards:** If the individuals are unhappy with rewards and have a lower score of values of rewards, then the rewards must be changed with respect to amount, content or the tensing.
- (iii) **Changing Job Design:** If the first two changes do not bring about the desired result, the job must be redesigned by:
 - Lowering the standard of work.
 - Reducing the number of hours or deadlines
 - Assessing risk and lowering it if required. Making the work more fun-filled and interested.
- (iv) The last option was to try changing individuals, rewards and work in combination.

The higher the value of rewards is, the more satisfied the employees are.

- **Perceived Effort Reward Probability:** The perceived probability identifies the interconnection between the extent of efforts and performance with a range of 0 to 1. It is the individuals cognitive perception of the probability of how much effort will have to be put in for a certain reward Porter and Lawler emphasize specifically on 'perceived' because it is an individual perception of the situation.

The main points to consider in the second variable are:

- The probability or the expectancy is in reference to the first level outcomes.
- The individual's cognitive ability which makes him perceive the levels of efforts and performance.

The probability is high, close to 1, if an individual, perceives that a specific amount of effort will result in equal or more performance and finally rewards and the probability is low if the perception above result does not equals the efforts and finally the probability is zero if the individual perceives that there will be no reward whatever the level of efforts the puts in.

Role of Management: The management must select individuals for the organization who maintain a reasonable and proper perception taking into account the relevant factors.

- **Efforts:** The Porter and Lawler model define efforts as the 'amount of energy exerted by an employee on the given task. The energy includes mental exertion stress, struggle or depreciation.
 - It depends on an individual's ability to do the assigned task and the motivation Porter and Lawler differentiated between efforts and ability and equated efforts and motivation Force.
 - Amounts of efforts depends on the value of reward (valence) and perceived effort-reward probability (expectancy).

Role of Management: The management must train its employees to create a situation in which they case 100 per cent of their ability, expertise and innovation. This would enable them to assess the probability value precisely.

- The management should have such programmes that would enable the employee to assign a high positive value to rewards. If the assigned value is low or negative, or zero then the management must be fined out he reasons, which could be lack of confidence, organizational policy or distorted perception and theory to remove such distortions.
- **Abilities and Traits:** Porter and Lawler states that efforts come before the performance but they do not necessarily lead to performance. Individual differences in mental and physical abilities and traits result in varying degrees of per the management can focus on training those employees who lack in abilities and traits so that when they are accompanied with efforts, it results in effective performance.
- **Role Perception:** Each employee has a distinct perception of his job role in the organization and of how others perceive it. The perceived role, in the Porter Lawler Model, can be different from reality. The employee needs to perceive his role in the organization correctly so that he can fulfil expectations that others would have of him. His behaviour with others, techniques employed in the task must be appropriate and righteous keeping in mind job requirements, and objectives of the organization.

The management can deal with individuals who have a poor role perception of their job by:

- Providing him correct info about organizational goals, rules, procedures, etc.
- Building the employee's trust on the info provided to him.
- Adequate training by the management.
- Ensuring that there is no bias, emotion, irrationality and normal conditions prevail.
- **Performance:** Vroom defined performance as 'a first level outcome' which is of quality and quantity performance is measured in absolute terms or in relative proportions. Absolute evaluation is conducted with respect to norms, organizational standards, etc. whereas relative evaluation is made by comparing the individual's performance with other. The qualitative measurement can be done base the satisfaction level, interpersonal relations, morale and behavioural measures and quantitative measurement can be done based on profits, sales, input-outputs rehns, etc.

However, Porter Lawler Model emphasized on the importance of abilities and traits in getting a exception, qualitative and quantitative performance

The management must monitor the join individual's efforts if they are upto the set standards and if it less or negative, then reasons must be found out and make a better and comprehensive

plan. Since rewards are decided on the basis of performance, all the five variables discussed prior to the sixth, must be assessed and improved.

- **Rewards:** Rewards is the second level outcome as per Victor Vroom. The Porter Lawler Model divides it into two, extrinsic and intrinsic. They can be further divided into directly and indirect, monetary and non-monetary individual and collective, etc. Rewards are given to the employees for desirable performance to keep them motivated. The management must have a well-structured reward system to maintain the predetermined standards of performance
Intrinsic rewards with a personal touch are a supportive measures to keep the motivation high.
- **Perceived Equitable Rewards:** This variable work better with intrinsic rewards by making the work attractive and fun-filled although the extrinsic rewards are more practical and easier for the management. The management can ensure a balanced reward system to keep employees satisfied by:
 - Linking rewards with performance.
 - Bringing parity between efforts and performance.
 - Careful set at the hiring level to have the right attitude according to the organization.
 - Aim for job satisfaction of employees.
- **Satisfaction:** So, this the most important variable the Porter Lawler Model (PLM) which is achieved by taking combining all the variables together to make a sound motivation policy.

Q14 What is the approach of the Porter Lawler Model (PLM) towards management?

Ans. The Porter Lawler Model is a complex system in its application for the management. However, the management has diligently tried to put the model into practice. So far, 35 expectancy theories have been published, which emphasizes the importance of the 'expectancy' factor. The most common factors that emerge in the research while evaluating this theory along with other expectancy theories are:

- Expectancy and valence are related to effort and performance in an organization.
- Individuals will indulge in motivated behaviour only when the expected rewards to be given by the organization have an equal or more value than their own, believe that their efforts will result in performance and thereby get converted into desired rewards.

MANAGEMENT CONTROL

After understanding and analysing the Porter Lawler Model at all places, it is essential that it should be understood what it means for management. control. Given below are the areas where Porter Lawler Model can be of extensive use:

- **Standards of Performance:** Standards of performance are the management's expectative of what it thinks to be successful performance assuming that extrinsic and intrinsic rewards would be given for it. It would motivate the employee more if he is clear what rewards he/she will get if the std of performance is achieved. This could get adversely affected if the individual did not receive the expected rewards in the past. The management must try to control any inconsistencies in its reward structure.
- **Measurement of Performance:** Since the Porter Lawler Model is more application oriented, it requires a sound system of measurement of performance so that attitude measurement can be put into practice. It would measure performance for evaluation of performance to determine the reward by management accounting. An extensive mechanism to measure all aspects of performance must be practiced to meet the expectancy of individuals for probable and desirable rewards.

- The budget division must also make the procedure easy to follow with accuracy. Besides financial performance, the non-monetary aspect of performance must also be considered by taking into account the dimensions of bias. This becomes difficult because what cannot be measured is complicated to evaluate. This could lead to negative effects of over cautions behaviour and defensiveness.
- **Rewards:** Extrinsic rewards system is easy to determine since it is in measurable terms. However, intrinsic rewards are difficult because it has to come from within. Porter and Lawler suggested the following conditions to prevail to have effective motivating performance:
 - Organization must offer significant rewards.
 - The employee's current performance must be evaluated to give rewards.
 - Performance evaluation meetings can be held between the supervisors and subordinates so that the achievements of the employees can be appropriately communicated.
 - Objective measurement of performance in measurable terms.
 - High level of trust must be maintained.

To sum up, the Porter Lawler Model has made a significant contribution to the theory and its application to work motivation.

Modifications Made by Edward E. Lawler

Lawler modified the Porter Lawler Model in 1973. Some of the major modifications are:

1. **Third Feedback Loop:** Elaborations of parameters were specified more formally which determined the employee's expectancy with respect to the effort that would get the work done, establishing a third feedback loop.
2. **Subjective Probability:** The subjective probability of an individual resulting in the task accomplishment depends on:
 - The information about a particular job assignment that is specific to the stimulus in that situation
 - The individual's information about his in the past
 - The individual's general self-competence in all kinds of tasks

This third feedback addresses the issues of a drop in self-esteem in an individual.

He gave the following four recommendations on using the Expectancy Theory which are:

1. The public and private enterprises must collect and maintain systematic information and databases on what the employee expects from their jobs to design a reward system.
2. The management must ensure that the employees comprehend their role precisely to avoid waste of effort.
3. The organizations must link rewards to performance by declaring it clearly to the employees so that their effort is directed towards achieving goals. Effective performance will get them rewards. The organizations must:
 - Customize individual rewards.
 - Increase the extrinsic rewards and create condition for intrinsic rewards.
 - A transparent pay structure which is known to all.
4. Monitoring and appraisal of employees must be done continuously.

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20

Theories of Leadership: Traditional and Modern

LEARNING OBJECTIVES

In this chapter, you will learn about:

- Different Styles of Leadership
- Relevance of Traits
- Participative Leadership
- Personality Traits
- Situational Leadership
- Path Goal Theory
- Transformational Leadership
- Influential Increment

Q1 What do you understand by leadership? Discuss the different styles of leadership.

Ans. One of the greatest philosophers of human kind, Plato, said, 'No two people are born exactly alike, there are innate differences which fit them for different occupations'. Out of the masses, rises an individual, who was either born with leadership qualities or has acquired them, who becomes a leader of the society or an organization. The concept of leadership has attracted multitudinous theories and definitions leading to ambiguity. A careful and complete study of the leadership theories leaves us with some common generalizations.

A leader is an individual who has follow leadership has been defined from various perspectives and can be studied if not agreed to. It can be approached from four major alternatives, which are:

1. **Position:** The position at which the leader operates from
2. **Person:** The leader's traits
3. **Result:** The activities and function that a leader performs leads to effective results
4. **Process:** The ways and the methods that a leader employs to get things done

These four leadership styles are discussed below:

1. **Position-based Leadership:** It can be found in a formal or informal organization.^[1] It can be defined as, the activity undertaken by someone whose position on a vertical, and usually formal, hierarchy provides them with the resources to lead. Such persons are generally at the top of the vertical hierarchical ladder in any organization. The important points inherent in positional leadership are:
 - **Control:** The positional leader commands control over his/her subordinates to have an effective change in the organization.
 - **Coercion:** In military force or a large organization, positional leaders use coercion to make the organizations operational.

Power and Responsibility: Obedience cannot be guaranteed in an organization even if the leader has the power to do so. The leader is powerful as long as the subordinates accept the orders of the leaders, the counter insubordination is seen in a mutiny in an armed force.

Horizontal Leadership: A leader can be in a position in horizontal hierarchical lines where he/she may or may not be at the top but might have power of a limited circle of subordinates.

Leadership-in Front: Leaders who have followers in the field of fashion music, religion lead in front. It can, however, be counterproductive, for example, Hitler's anti-Semitism behaviour.

Hence, the position-based leadership depends on the two basic factors—firstly, the extent of the structure of the organization being formal or informal and secondly, whether it is leadership-in-charge or leadership-in front.

2. **Person-Based Leadership:** A person-based leadership depends on the individual's personality traits which could result in formal or informal role having the same change. Person-based leadership can be defined by who the leader is or leaders are (formal and informal), and it may entail an emotional relationship between the leader and the followers. So, who you are characterizes a leader, who can be a hero or has charismatic charm infusing trust in the common masses. However, different perspectives, share the view that leadership involves a person of influence, that is, by means of which a person influences other to accomplish an objective and directs the organization in a way that makes it more cohesive and coherent.^[2] This implies that a person-based leadership involves processes to reach specifically desired outcomes. Nonetheless, this type of leadership possess the required qualities to address the organizational challenges and are a cut above the managers.
3. **Leadership as a Process:** Result-based Leadership—Leadership without some result is impacted, what good is a leader. Two major issues are embedded in a 'Results-Based Leadership', which are:
 - (i) **Attribution of the Results to the Leader:** Usually, the achievement of focused outcomes and results are attributed to the leader but this precise is highly controversial. It is difficult to connect the two in concrete terms regarding the success or failure of a leader. The responsibility of the results cannot be laid solely on the shoulders of a leader because there are various processes and activities involved therein.
 - (ii) **Importance of Processes:** The second issue relates to the importance of processes in achieving the results. There is a doubt over the relevance of the process itself or if the results happened due to the teamwork of the subordinates.

Hence, processes are not universal across space and time.

4. **Process-based Leadership:** The relationship between the leader and practice matters in process-based leadership. Hersey and Blanchard defined leadership as, the process of influencing the activities of an individual or a group in efforts towards goal achievement in a given situation. Process-based leadership is now called collaborative leadership which characterizes a process rather than by what leaders do.

Collaborate leadership has been defined by Chrislip and Larson as, if you bring the appropriate people together in constructive ways with good information, they will create authentic visions and strategies for addressing the shared concerns of the organization or community.^[3]

The above-discussed four alternate leadership styles provide an understanding of what leadership is. It is a complex social process, rooted in values, skills, knowledge and ways of thinking of both leaders and followers.

Q2 Discuss the relevance of 'Traits' in the concept of leadership which are the main trait theories.

Ans. The Trait Approaches: The trait theory of leadership is one of the earliest approaches on leadership which assumed that leaders are born with the required qualities and traits appropriate for leaders. It also called the dispositional theory or the 'Great Man' theories.^[4] A set of common behavioural traits of

great leaders were studied to identify their inherent qualities. Given below is an account of the studies conducted by scholars on the trait theory in brief:

1. **The Great Man Theory:** Thomas Carlyle popularized the Great Man theory in his book, '*Great Men*' in 1840. According to him, a leader is a hero, almost equating to a divine status. The history of world is the history of the 'Great Men' and their thoughts. Religion is a major factor in this theory in which man develops his relations to the mysterious universe and his primary duty to it. Carlyle mentions 'Odin-the Scandinavian divine hero, the Prophet Mohamed in Islam, Shakespeare, Luther, the priest, Johnson Rousseau-the hero of letters, and king Cromwell, Napoleon of the modern revolution son'. Carlyle professed that hero-worship exists forever and everywhere: not loyalty alone.^[5] However, the 'Great Man' theory was rejected by many scholars based on the fact that individuals having the same traits as the so-called natural born heroes do not become leaders. They presented with many other factors that affect the leadership.
2. **The Trait Theory:** There have been many versions of the trait theory in deterring the specific traits that make an effective leader through extensive research studies. One of the pioneers in the trait theory was Gordon Allport, a renowned psychologist, who developed 'The Theory of Common Traits'.

ALLPORT'S THEORY OF COMMON TRAITS

Personality traits are inherent in every individual. He refuted the fact that traits predict the personality because there is the element of unknown personalities, situations and environment with which that personality will come into contact with. A given act is the product of the interaction of many determining forces, of which traits are only one.

Allport stated that 'traits are only convenient names given to types or qualities of behaviour which have elements in common. They are not psychological entities but rather categories for the classification of habits'.^[6] Habits are real but traits lie in the eye of the beholder. He based his theory on certain elements, which are:

- **Stimulus-Response Units:** The element of 'specificity' holds that, 'personality is made up of thousands of independent and specific habits'. The element of specific habit must be merged with the specific behaviour tendency which must be defined in terms of a particular stimulus and a particular response.
- **Identical Elements:** Personality is composed of countless specific habits and their consistency of the conduct of people is justified by identical terms. The identical elements in the stimulus fields or in the neuropsychic structure lead to traits. The concept of traits is based on similarities which are distinct from identical elements. However, similarities are perceptions and are subjective. A more objective concept speaks of equivalence of stimuli and equivalence of response which will result in common traits. In Allport's later researches, he denied that specific stimulus response units or identical elements are the foundation stones of personality structure.
- **Factorial Units:** Factorial units do not rest on neural or behavioural assumptions, as does the doctrine of specificity, but on statistical assumptions. The factorial units used in research studies do not present a rational analysis due to its weaknesses of being away from reality, human nature, naming of factors, experimental errors and biases.

The Nature of Common Traits

After establishing the fact that traits are not perfectly consistent, that is, they are veridical.^[7] Normal people in a given culture area necessarily tend to develop somewhat roughly comparable modes of adjustment. Allport gave the following main points with respect to the nature of common traits:

- **Ascendancy Submission:** In a competitive society, such as ours, every individual tends to find a level of assertiveness or ascendancy that is congenial to an individual's way of life. A number of varieties of denominators, leaders, aggressors, followers, gilders and timid souls take an important place in identifying personal traits.

- **Common Traits:** Common traits are those aspects of personality in respect to which most people within a given culture can be profitably compared, common traits are more nominal and less veridical than personal traits. They can be only semi veridical but indispensable while studying personality by scales, lists ratings or any other comparative method.
 - **Frequency:** The frequency with which a person adopts a certain type of adjustment.
 - **Range of Situations:** The individual adopts the same mode of acting when presented with a range of situations.
 - **Intensity:** The intensity of reactions in keeping with this 'preferred pattern' of behaviour is the third criterion to establish a trait.

To arrive at common traits, there is no strict answer except that testing measures must be repetitively reliable and consistent. Hence, a common trait is any generalized disposition in respect to which people can be profitably compared.

Types of Common Traits

According to Allport, common speech tells us that a person has a trait but fits a type which is perceived by others. This implies again that traits are veridical but the types are nominal as perception outside that individual. Type are abstractions created by taking bits of people and forcing them into a category of special delight to some investigator. Allport categorized the common traits into the following types:

- **Empirical Type:** When an investigator claims to cover a large area of the personalities of many people, this type is called as a superordinate common trait. The empirical investigation shows that many habits, traits and attitudes are manifestations of a more embracing organization, for example, introversion is an empirical type. However, it faces the challenge of maintaining clear-cut divisions in the human population. So, the doctrine of empirical type claims that most people are of a mixed type, for example, both introvert and extrovert both cerebrotonic and somatotonic.
- **Ideal Types:** If the whole of the human population is divided into a fixed number of ideal types then individual man may be looked upon to fit into one of these ideal types as per the schemata of comprehensibility. This helps us to understand people because people align themselves to varying degree with one or more of various possible human values.
- **Cultural Types:** The cultural type falls somewhere between the ideal types and the empirical types. Such individuals are identified on the basis of their belongings to a particular culture like a typical Britisher, true cosmopolite, etc.

So, typology might not be an accurate way to categorize common traits and personality types but it is point to start from.

These dispositions rather than habits or attitudes help in the analysis of personalities. Allport wrote extensively on various methods of investigation on personality.

Critical Evaluation: Allport's theory of traits has been criticized due to his personalistic concepts:

- **Invisible Structure of Traits:** Allport traits were perceptions by other and were not visible. The critics found this invisible structure of traits as an empirical impossibility.
- **No Linkage:** There is no linkage between the present and the past while focusing on the discontinuity of development and functional autonomy. Allport stressed on the discontinuity of personality without any link between an individual's childhood and adulthood.
- **Unscientific Approach:** Allport did not study groups of people following a nomothetic approach and studied individuals in an idiographic approach to establish general laws of behaviour.

- 3. Trait Theory by Raymond Cattell:** Raymond Cattell conducted various studies in the 1930s in the measurement of personality. He developed, 'Cattell's Personality Factor Model' to construct a common taxonomy of traits, drawing upon previous studies on personality measurement of Allport and Odbert. Cattell aimed at achieving integration of language and personality.

Cattell used a 16-factor model of personality, each dimension is scored over a continuum from high to low instead of a trait being present or absent. When the test is administered to groups of people belonging to varying occupations, group profiles can be performed. He developed a nature–nurture ratio which represents the degree to which a trait is due to biological or environmental factors.

Factor Analysis: Cattell used factor analysis to identify how a large number of surface traits can be grouped into groups of source traits. Factor analysis can be conducted with the aid of computer comprising the following steps:

- Data collection
- Establishing an intercorrelation matrix
- The identification of factors

Cattell combined information relating to the source traits with the behavioural specification equation to predict behaviour. He defined surface traits as the overt expressions of related forms of behaviour determined by source traits. Source traits are the unifying force of overt expressions of behaviour which is the core of one's personality.

Cattell's 16 factors are given below in the Fig. 20.1.

LETTER	FACTOR LABEL	HIGH SCORE-DESCRIPTION	LOW SCORE-DESCRIPTION
A	Warmth	Outgoing	Reserved
B	Reasoning	More intelligent	Less intelligent
C	Emotional stability	High ego strength	Low ego strength
E	Dominance	Assertive	Humble
F	Liveliness	Happy-go-lucky	Sober
G	Rule consciousness	Strong conscience	Lack of internal standards
H	Social boldness	Adventuresome	Shy
I	Sensitivity	Tough minded	Tender-minded
L	Vigilance	Trusting	Suspicious
M	Abstractedness	Imaginative	Practical
N	Privateness	Shrewd	Forthright
O	Apprehension	Apprehensive	Self-assertive
Q.1	Openness to change	Experimental	Conservative
Q.2	Self-reliance	Group dependent	Self-sufficient
Q.3	Perfectionism	Group dependent	Self-sufficient
Q.4	Tension	Relaxed	Tensed

Figure 20.1: Cattell's Sixteen Factors

Cattell's personality tests were never repeated but made the study of personality traits much stronger.

THE BIG FIVE PERSONALITY TRAITS

Cattell's work led to the Big Five Personality Traits, popularly known as the Big Five. An acronym, OCEAN, has been used for Openness, Conscientiousness, Extroversion, Agreeableness and Neuroticism to remember these factors. This is depicted in Fig. 20.2.

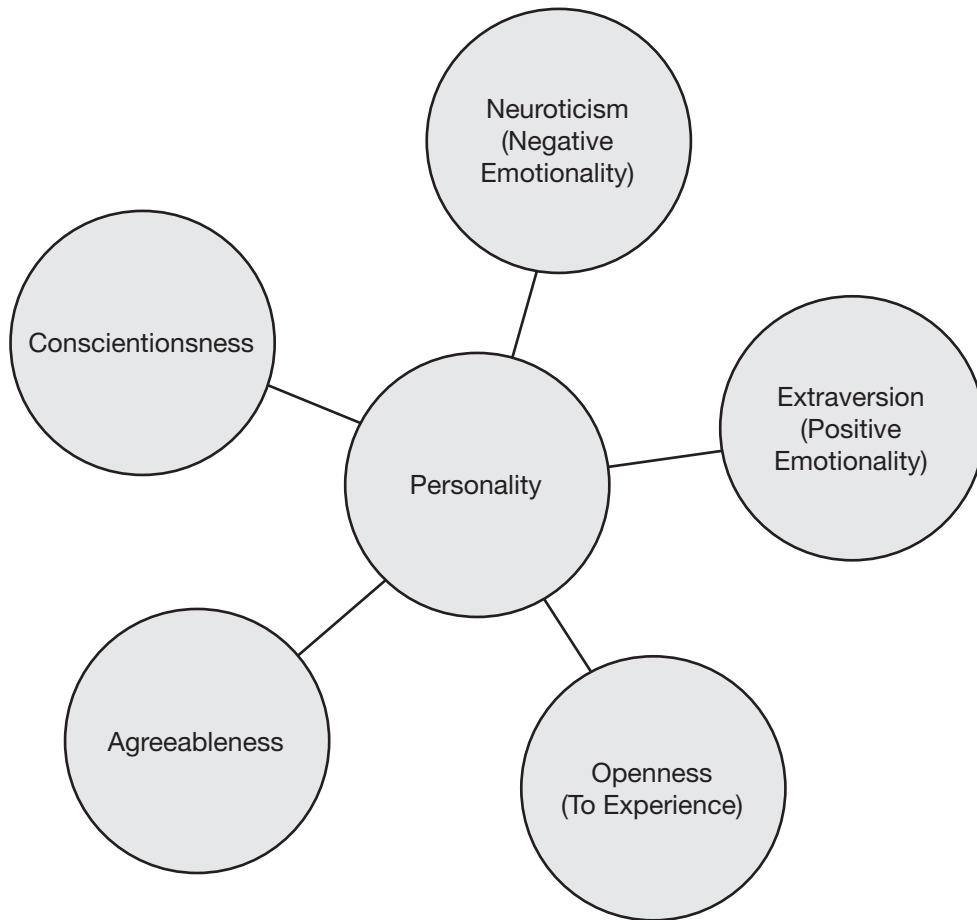


Figure 20.2: The Big Five—OCEAN

All these trait theories are being developed continuously so that they can be applied to employees in organizations with respect to their relationship with their leaders.

Q3 Write a short note on participative leadership.

Authoritarian-Democratic *Laissez-Faire*

Kurt Lewin gave 'The Leadership Theory' in 1939 and identified the different styles of leadership they are:

Traditional Authoritarian: It deals with the question about whether the leaders can tell their followers what to do and how to do it. It assumes that the power of leaders is derived from the position they occupy and that people are lazy and unreliable.

Non-Directive Democratic Styles: The followers the organizational employees can share their leadership responsibilities with their leaders in planning and execution activities of the task. The power of leaders is granted by the group they are to lead and people would be self-directed and creative at work if properly motivated.

The above-mentioned two styles are at extreme ends and the other styles of leadership fall between the two.

Laissez-Faire: The *Laissez-faire* style of leadership minimizes the leader's role in decision-making but taking the responsibility of the outcome even though the decisions would be of the followers.

Lewin proposed in his conclusion of his experiments that the most effective leadership style was the democratic as the autocratic style led to revolutions and a *Laissez-faire* style were not coherent and active in their work.

Q4 How did the behavioural theories of leadership emerge post-trait theories? Give a brief account of major behavioural theories.

Ans. The focus of leadership theorists had shifted from the trait theory paradigm to the behavioural theory paradigm. Leadership effectiveness was researched till the 1970s. Nonetheless, the traits of an effective leader could not be ignored. The major behavioural theories are:

- **Ohio State University Studies (1940s):** Ralph Stodgily stated that 'leadership exists between persons in a social situation, and that persons who are leaders in one situation'. The personal research board of Ohio State University conducted study in effective leadership styles under Ralph Stodgily. They developed a tool called 'The Leader Behaviour Description Questionnaire (LBDQ)' and arrived at two distinct styles of leadership:
 - (i) **Initiating Structure Behaviour:** Orientation with the help of formal lines of communication and identifying expectations from the subordinates. The behaviour of leaders is oriented towards the process of initiating, organizing, clarifying and information gathering.
 - (ii) **Consideration Behaviour:** Such leaders behave in a manner that shows consideration for their subordinates so that their inner needs are satisfied. It is people-oriented behaviour compressing of encouraging, observing, listening, coaching and mentoring the subordinate employees.
- **Michigan Studies (1950s):** Rinses Likert conducted the Michigan studies at the University of Michigan to find leadership styles that would lead to higher performance and satisfaction among employees. The focus was on the behaviour of leaders instead of their traits. Two styles of leadership were determined, which are:
 - (i) **Job-Centered:** Two job-oriented behaviours of goals and work facilitation were identified. The leader takes charge of the task to be done and clarifies job roles and goals.
 - (ii) **Employee-Centered:** The employee-centered behaviour refers to the development of employer-employee relationships, focusing on human needs. It comprises trust, respect and support for the subordinates.

Q5 What is a leadership grid? Discuss its applicability.

Ans. Leadership Grid: (1960s) Robert Blake and Jane Mouton, from the University of Texas, developed 'The Management Grid' in 1964 and kept on updating it in subsequent years of 1978, 1985 and 1991. It is also called the leadership grid. The Black and Mouton grid identifies major theories about how to exercise leadership in the pursuit of production with and through others.^[8] It is important to study the elements of leadership before understanding the grid.

Elements of Leadership: The elements of leadership can be isolated and examined individually, reflecting the specific leadership approach. They are:

- **Initiative:** When a specific activity needs to be focused upon, an initiative is taken by the leader. On the other hand, the leader might avoid taking initiative even though it is expected out of him by others.
- **Inquiry:** Gathering of facts and information depends on the extent of a leader's thoroughness and the spirit of inquiriness about work activities.
- **Advocacy:** Advocacy implies taking a position for or against an issue depending on the extent of convictions and risk assessment. The leader also may embrace a point of view simply to oppose someone or to win.
- **Conflict Resolution:** Conflicts are integral in an organization and can be either disruptive or creative depending on the way it is resolved. A leader who is capable of resolving conflicts for organizational and individual matters benefits; elicits respect from all the in competence and incapability of a leader in conflict resolution results in hostility and antagonism.
- **Decision-Making:** Leadership can be applicable to performance through decision-making. The leader is the sole decision-maker whose decision is ultimate; leadership may involve delegation of responsibility and teamwork utilizing all available resources.
- **Critique:** Critique describes a variety of useful ways to study and solve operational problems that members face either singly or collectively as they carry out their assignments. It is a process of stepping away from or interrupting an activity to study it, to see alternative possibilities for improving performance and to anticipate and avoid any activities that have adverse consequences. Through learning from experience, critique and feedback provide the basis for working more effectively with and through people.^[9]

The above written leadership patterns depend on certain assumptions that guide behaviour every organization holds a certain set of assumptions based on culture and beliefs. The leader may be verbal about them or assume it as an accepted code of behaviour and his/her subordinates follow it.

However, unsound assumptions can be changed by identifying them. The management grid helps the examination of assumptions about leadership to get productive and positive results.

The Management Grid: Organizations have certain constant and universal characteristics like:

- The purposes of an organization, the people without whom the purpose cannot be achieved.
- Power (Hierarchy) is important to achieve the organizational purpose through people to set direction and coordinate effort.
- Organizational culture comprises certain norms and values that influence individual behaviour.

The Grid: There are various ways to use authority in exercising leadership, which are presented on the grid in the Fig. 20.3.

There are two dimensions of the grid:

1. **Concern for Production:** This concern includes results, bottom-line, performance, profits, mission and creative ideas; production is whatever an organization hires people to accomplish.
2. **Concern for People:** The concern for people is not readable; subordinates are instrumental in getting effective leadership. The assumptions that a leader makes about his subordinates are important in determining effectiveness.

Interrelation of Concerns: These two concerns are pictured on the grid which is shown as a nine-point scale where '1' represents low concerns, '5' represents an average amount of concern and '9' is a high concern. The way these concerns are expressed by a leader defines how authority is used. The results depend on the relative importance given to the concern for people or production.

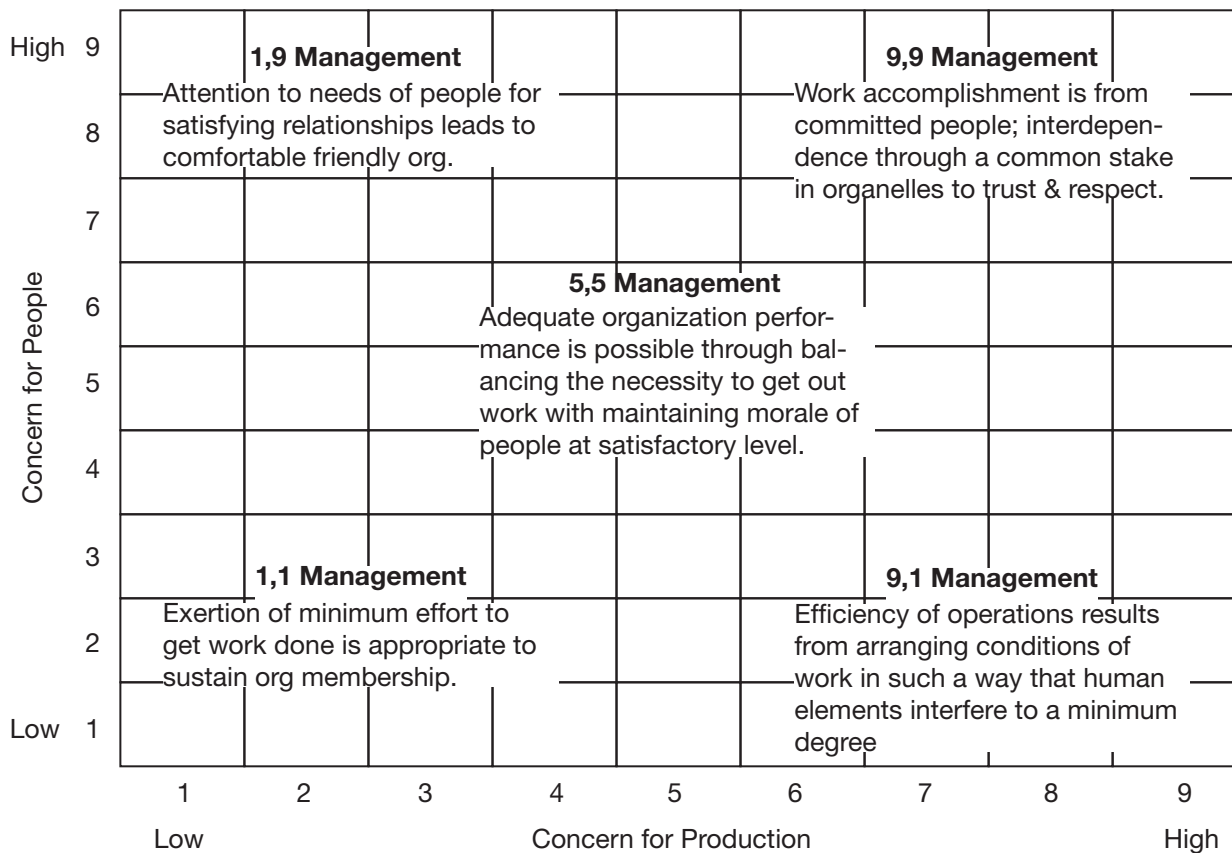


Figure 20.3: The Management Grid

Other Grid Styles: Besides the management grid-black and motion gave some theories which are:

- **Paternalism:** A combination of direction and control coupled with rewards through praising compliance.
- **Opportunism:** A combination of any or all theories based on whatever will advance the manager's person gain.
- **Facades:** Roleplaying to hide true motivation.

The dominant grid style is determined by certain conditions like values, organization membership, personal history and chance.

LEADERSHIP STYLE IN INDIA

India has a mixed style of leadership especially, in politics. The great man theory still prevails as is seen with leaders like Mahatma Gandhi, Indira Gandhi, Jawaharlal Nehru and Narendra Modi. People are followers of such leaders with an emotional bond culminating in worship of their leaders. They were the leaders who got us our freedom by influencing the behaviour of others without the use of force.

Research in leadership styles began in the 1950s and trend has increased over the decades to understand what works in organizations, private as well as public. At present, it is seen that supportive leadership is more prevalent in India. However, an empirical analysis shows that there is a mixed nature of leadership styles in India as compared to the American counterparts. This can be attributed to the fact that India has a unique cultural and religious pattern. The public sector has a bureaucratic style of leadership which is characterized by the democratic and developer styles. There is a lack of teamwork whereas the private sector shows more of it.

India, according to various studies is more suited to transformational leadership because of social dynamics and kinship structure. Eateries and moral values need to be incorporated into leadership so that corruption can be curbed, considering its high rank on the corruption perception Index prepared by the transparency international. Hence, motivation, morality, ethics and values are very important elements of leadership in India. That is why transformational leadership is the best leadership style for our country because the leaders and follower raise each other levels of motivation and morality to address the true needs of the followers. It comprises four basic considerations—charisma, motivate intellectual stimulation and individualized attention. A personalized relationship of the leader with his followers is appreciated more in India.

Q6 *The decades 1960s and the 1970s were extremely active in leadership theoretical research. Discuss the main theories that emerged in that period.*

Ans. The 1960s began with research on leadership theories, named as, contingency theories. The major thrust was on inconsistent nature of leadership as it depends on the situations. There is a varying degree of performance in proportion to the situations. The word ‘contingency’ refers to a situation in which a leader may perform optimally or not. Given below are the main theories that emerged in the 1960s:

- **Fiedler’s Contingency Theory:** Fred Fiedler developed his theory based on his work on leader attitudes and group effectiveness in the mid 1960s.^[10] His theory is also called the ‘Least Preferred Co-worker’ (LPC) theory because he measured attitudes and behaviours. On the LPC scale, where a leader is asked about which traits he/she can assign to his/her least preferred co-worker. The main issues that are considered in the contingency model are:

- Control over a situation
- Good leader-member relations
- Task with clear goals and procedures
- The ability of the leader to give rewards or punishment to the subordinates under him/her

Fiedler’s work on group effectiveness and leaders reflected certain trends which can be summarized in the results given below:

- **Competition:** Fiedler’s combat engineer study showed that intergroup competition could be meaning fully established in situations in which there were no functional task groups. Psychological adjustment of men in military units can be promoted by appropriate administrative measures taking care that negative effects of competition does not become detrimental to person adjustment.
- **Negotiation:** Role differences among the group members were reflected in the pattern of interpersonal relations and altitudes of the members. During the study, the members who were in a minority did not feel comfortable. However, the individual adjustment was related:
 - Directly to group negotiation success
 - Inversely to under personal conflict

- **Culturally Induced Stress:** Fiedler conducted studies on finding ways to reduce culturally induced stress, especially, for military personnel who were stationed out of country and felt discomfort. Such situations hamper their performance. Fiedler developed culture animators through training manuals for individuals to become inculcated against the unexpected social situations.

THE LPC SCORE

Fiedler stressed on the leader's personality and his/her ability in three aspects:

1. His/her ability to lead
2. Psychological disposition
3. How the group or his followers receive him/her

A high LPC score shows a position orientation towards human relations. On the other hand, a low LPC score reflects that the respondent in the survey are task-oriented, effective, regardless of whether the factors are highly favorable or not, thus creating a favourable leadership environment.

Critical Evaluation: Fiedler's contingency theory was criticized for being too vague. The vagueness cannot lead to sound prediction. The survey methods were very inaccurate and subjective.

Q7 What is situational leadership? How can different level of employees be dealt with?

Ans. The situational leadership theory focusses on the behaviour of a leader in relation to followers. The concepts presented in the theory are inherently designed to have the capacity to be applicable.

The Concept of Maturity: Maturity is defined as the capacity to set high but attainable goals (achievement-motivation), willingness and ability to take responsibility and education and/or experience of an individual or a group. These variables of maturity should be considered only in relation to a specific task to be performed. This implies that an individual or a group is not mature or immature in any total sense.

All persons tend to be more or less mature in relation to a specific task, function or an objective that a leader is trying to achieve through their tasks.

A leader may have to assess the level of maturity of the group besides that of the individual in a group. Leaders have to understand that they may have to behave differently one-on-one with members of their group than they do with the group as a whole.

COMPONENTS OF MATURITY

Hersey and Blanchard studied the characteristics of task-relevant maturity, in the capacity of setting high but attainable goals to assess the attitude toward risk in the individuals.^[11] It is a dual-factor concept of willingness (motivation) and ability (competence). They gave four combinations of maturity, which are:

- M1.** Individuals who are neither willing nor able to take responsibility
- M2.** Individuals who are willing but not able to take responsibility
- M3.** Individuals who are able but not willing to take responsibility
- M4.** Individuals who are willing and able to take responsibility

M4 would be considered as having the highest level of maturity whereas the lowest level of maturity would be M1. The level of maturity does not mean that they are different as the difference lies in either learning or through experience. However, M4 have high job maturity as well as psychological maturity. Other situational variables like the leader's style, location, time deadlines and nature of work also affect the task maturity.

The Situational Leadership Theory: As the levels of maturity of their followers continues to increase in terms of accomplishing a specific task, leaders must reduce their task behaviour and increase relationship behaviour until the individual or the group reaches a moderate level of maturity. The theory focuses on the appropriateness or effectiveness of leadership styles according to the task-relevant maturity of the followers. This is depicted in the Fig. 20.4.

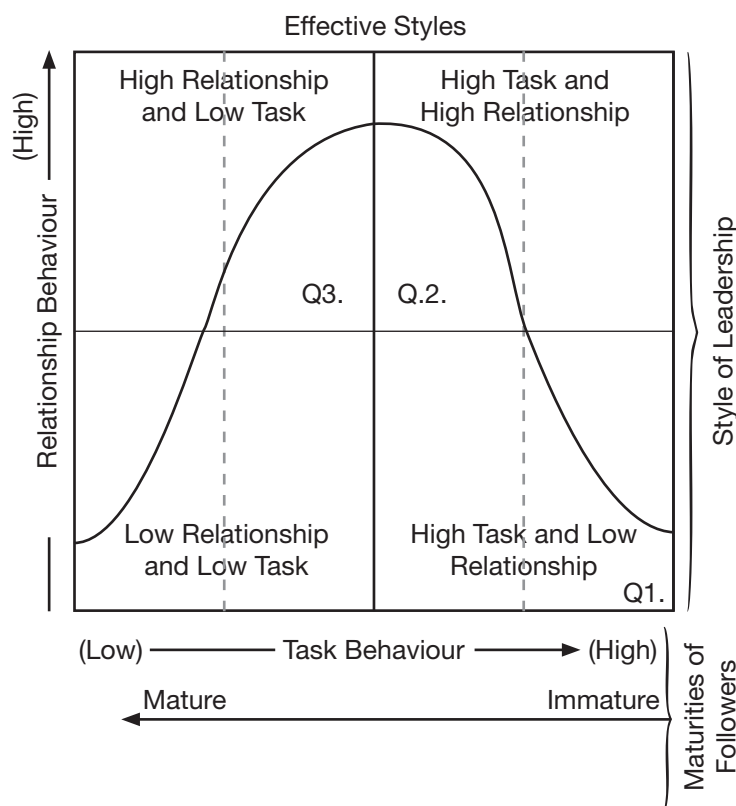


Figure 20.4: Situational Leadership Theory

STYLE OF LEADER VERSUS MATURITY OF FOLLOWERS

The figure on situational leadership theory portrays the relationship between task relevant maturity and the appropriate leadership styles to be used as followers move from immaturity to maturity. The appropriate style of the leader for given levels of follower maturity is portrayed by a curvilinear function in the four leadership quadrants. The maturity level of the individual or a group supervised is depicted as a continues ranging from immaturity to maturity.

Probability of Success

The situational leadership theory also indicates the probability of success of various leadership styles. It is described below in brief.

M1:	Q1 High	Q2 2nd Q3 Third	Q4-Low Probability
M2:	Q2 High	Q1 and Q3 Secondary	Q4-Low Probability
M3:	Q3 High	Q2 and Q4 Secondary	Q1-Low Probability
M4:	Q4 High	Q3 2nd, Q2 3rd, Q1 Low Probability	Q1-Low Probability

EFFECTIVE LEADERSHIP STYLES

Situational leadership theory addresses the issue of developing effective leadership styles to deal with different levels of employees. Hersey and Blanchard developed four effective leadership styles to arrive at quick diagnostic judgments. They are:

1. **Telling (S1):** It refers to high task/low relationship leader behaviour as this style is characterized by one-way communication in which the leader defines the roles of followers and tells them what, how, when and where to do various tasks.
2. **Selling (S2):** Most of the direction is still provided by the leader while attempting a two-way communication and social emotional support to get the follower(s) psychologically to buy into decisions that have to be made. It comprises high task/high relationship behaviour.
3. **Participating (S3):** S3 comprises high relationship/low task behaviour. The leader and follower(s) now share in decision-making through two-way communication and much facilitating behaviour from the leader since the followers have the ability and knowledge to the task.
4. **Delegating (S4):** The last style of leadership entails low relationship/low task behaviour because it involves letting follower(s) 'run their own show' through delegation and general supervision once the follower(s) are high in both task and psychological maturity.

Hence, the situational leadership theory helps in dealing with all types of employees.

Q8 *Path goal theory of leadership is an amalgamation of contingency theory and expectancy theory of leadership. Explain the above statement.*

Ans. The path goals theory of leadership, given by Martin Evans and Robert House, emerged out of the expectancy theory and stated that each of these styles will be effective in some situations but not in others. The relationship between a leader's styles and effectiveness depends on to some variables like employee characteristics and work environment. Hence, all the three theories converge at some point and it is safe to say that path goal theory is an amalgamation of the other two theories, expectancy and contingency.

The path goal theory propose that the leaders must assist the subordinates in defining their goals and helping them to achieve them effectively and efficiently. However, to understand the amalgamation of the three theories, it is important to understand the path goal theory.

Kinds of Leader Behaviour: The path goal theory needs to be broken down into smaller constructs to loosen the complexity. It specifies four kinds of leadership behaviour in which various variables can be included. They are:

1. **Directive Leader Behaviour:** Directive leadership behaviour is similar to 'Initiating Structure' in the 'Ohio State Studies' and the 'Telling' style in situational leadership the leader gives direction to his/her subordinates about:
 - The task to be performed
 - Expectations out of the employees

- How the task has to be done
 - Its timeline
 - Clear-cut quality standards
 - Rules and regulations
2. **Supportive Leader Behaviour:** In contrast to Fiedler's contingency theory, path goal theory proposes that the leaders can alter their styles or behaviour to get the desired outcomes. The leader can adopt a supportive style to promote a positive environment or a directive one to get the task done according to the situation. The accessible leadership behaviour to attend to the well-being of his/her subordinates, treating them as equals and giving them respect for their work.
 3. **Participative Leader Behaviour:** As the name suggests, the leader develops a participative relationship with his subordinates before making a decision. This relationship is further strengthened when the employees are trained and involved in their job-tasks. It comprises consultation of the leader with his subordinates, welcoming suggestions and promoting participative decision-making.
 4. **Achievement-Oriented Leader Behaviour:** The leader exhibits a goal-oriented behaviour by setting challenges, increasing the performance levels of the subordinates by encouraging them and having trust in their capabilities. This resembles the goal setting theory.

Subordinate Characteristics: House gave three subordinates characteristics which affect a leader's behaviour as perceived by the subordinates. They are:

1. **Strong Need for Affiliation:** Subordinates who have a strong need for affiliation prefer supportive leadership that will become a source of satisfaction for them. Other leader behaviour styles can also be applied but they would yield varied results due to their need for affiliation.
2. **Desire for Control:** House divided desire for control into two dimensions of internal and external perspective of the subordinates. For the subordinates with an internal locus of control think that they are in control of their lives, participative leadership would be best suited. On the other hand, for the subordinates with an external locus of control, directive leadership would be effective because the subordinate would be controlled and direct externally.^[12]
3. **Own Ability:** As a subordinate's confidence in his/her own ability increases, the need for directive leadership decreases.

Despite of the strengths of the path goal theory, various criticisms were leveled against it like, the daunting task to merge all factors into one leadership style, partial success of validity, failure of explaining the relationship between a leader's behaviour and the motivation of workers. To conclude, one says that path goal theory is one of the most applicable theories of leadership in organizations.

Q9 Explain transformational leadership. This type of leadership style has come to stay. Explain your views.

Ans. Transformational leadership is defined as a leadership approach that causes change in individuals and social system. In its ideal form, it creates valuable and positive change in the followers with the end goal of developing followers into leaders.^[13] It reinforces the motivation, morale and performance of the followers with the help of various tools. This requires an alignment of the self-identity followers and the organization's collective identity.

Alignment would result in:

- Pushing the employees to take a bigger role in their work
- The leaders must realize the strengths and shortcomings of the employee's followers

Initializing the Transformational Leadership: James MacGregor Burns came up with the concept of the transformational leadership with special reference to political leaders.^[14] According to Burns, 'Transforming leadership is a process in which leaders and followers helps each other to advance to a higher level of morale and motivation'.

Burns gave two concepts, which are:

1. **Transforming Leadership:** It is a mechanism to mobilize change in the levels of people and organizations.
2. **Transactional Approach:** It is grounded in the leader's personality and traits by having a dynamic vision and challenging targets.

Transformational Leadership: Bernard M. Bass developed this concept of Burns 1985 and devised measurement techniques with respect to the impact it would have on the motivation of the followers.

Extensive research has been done on transformational as well as transactional leadership. It can be depicted in the following Fig. 20.5.

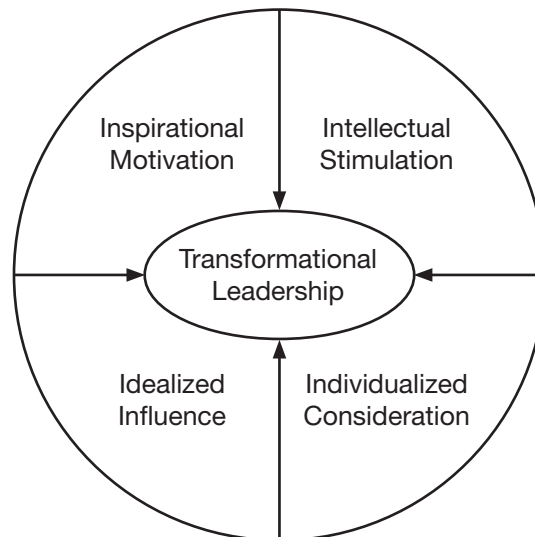


Figure 20.5: Model of Transformational Leadership

COMPONENTS OF TRANSFORMATIONAL LEADERSHIP

The components have helped in refining the measurement as well as the conceptualization of transformational leadership. It inspires, imitates and expands the abilities of the followers, Bass and Riggio used the 'Multifactor Leadership Questionnaire' (MLQ) and 'Factor Analytic' studies. The components are described below, in brief:

- **Idealized Influence (II):** Transformational leaders behave in ways that allow them to serve as role models for their followers. The leaders are admired, respected and trusted. Followers identify with the leaders and want to emulate them.^[15] Two aspects were identified from two separate sub-factors of the MLQ represent:
 - The interactional nature of idealized influence
 - Its attributions that are made regarding the leader by followers

- **Inspirational Motivation (IM):** Transformational leaders inspire and motivate the followers by challenging their tasks. He/she instils enthusiasm and optimism by making them participate in future tasks considering the larger picture. The followers are made to alignment with the organization's goals and commitment. Idealized influence and inspirational motivation form a combined single factor of charismatic–inspirational leadership.
- **Intellectual Stimulation (IS):** The third component of the transformational leadership is intellectual stimulation in which the leader leads by example in creativity and innovation and questioning assumptions, reframing problems and looking at old situations with a new method or way. Individual errors are not to be publicized and rather they are encouraged to give their ideas without criticism even if the ideas are different from the leader.
- **Individualized Consideration (IC):** The transformational leader considers each individual follower's needs for achievement and growth. They are pushed beyond their limits in a supportive environment with a two-way communication and personalized interactions. Delegation is practiced by the leaders for tasks and their progress is monitored.

However, transformational leadership theory was criticized on the grounds of impression management and amoral self-promotion by leaders. There is a lot of chance that the followers might be manipulated and exploited.

Despite these criticisms, the transformational leadership theory has come to stay. There have been various transformational leaders like Mahatma Gandhi, Indira Gandhi, Desmond Tutu and Nelson Mandela who brought a change in the behaviour of their followers. The same is being applied in organizations these days by pushing employees beyond their limit and working towards innovative ways and methods.

This is also seen in India which is an emerging economy and needs exemplary leadership in all types of organizations, whether it is a public or a private organization.

Q10 Leadership is the 'influential increment over and above mechanical compliance with the routine directives of the organization'—Katz and Kahn. Analyse.

Ans. Robert L. Kahn and Daniel Katz were social psychologists but they wrote about leadership from a different perspective than their colleagues when they decided to tackle the subject in their classic work, *'The Social Psychology of Organizations'*.^[16] They articulated a distinction between leadership and management that had some currency among leadership scholars, especially psychologists. They stated, 'One common approach to the definition of leadership is to equate it with differential exertion of influence. We consider the essence of organizational leadership to be the influential increment over and above mechanical compliance with routine directives of the organization'.

This statement given by Katz and Kahn explain the difference between routine management functions and leadership. Individuals do not lead when they gain the organizational rules they occupy. Rather, leaders gain compliance by employing personal, rather than organizational resources.^[17] Leadership is located outside the organization's routine directives.

Katz and Kahn said that an influential increment derives from the felt that human beings rather than computers are in positions of authority and power.^[18]

RELEVANCE OF INFLUENTIAL INCREMENT

The influential increment discussed above has relevance for organizational effectiveness in many ways. The legitimate power of office and the rewards and sanctions which go with it implies that all supervisors

at a given level in the hierarchy are created equal but in reality, they do not remain so. The variance owes to knowledge, technical expertise and understanding of organization.

The influential increment occurs due to the expert and referent power which develops within a group with the power available from formal rewards and punishments from the organization. This result in an increase in control.

THE NATURE OF ORGANIZATIONAL LEADERSHIP

According to Katz and Kahn, organizational leadership is a combined function of:

- Social structural factors
- The particular characteristics of the individuals making up the structure

Three types of leadership behaviour occur in an organizational setting:

1. The introduction of structural change or policy formulation.
2. The interpolation of structure, that is, piecing out the incompleteness of existing formal structure or improvisation.
3. The use of structure formally provided to keep the organization in motion and in effective operation or administration.

During the course of the experimental studies, Katz and Kahn, observed that there are differences between the cognitive orientation and the affective style of the leader which are due to basic dimension of the leader-follower relationship:

- Task direction
- Socio-economic supportiveness

The organizational leadership patterns, their locus in the organization and their skill requirements^[19] is depicted in the Fig. 20.6.

Type of Leadership Process	Appropriate Organizational Level	Abilities Cognitive	Skills Affective
Organization change creation and elimination of structure	Top echelons	System Perspective	Charisma
Interpolation, supplementing and piecing out of structure	Intermediate levels: pivotal roles	Sub system perspective two-way orientation	Integration of primary and secondary relations, skills
Administration of existing structure	Lower Levels	Technical knowledge and understanding of system of rules	Concern with equity in use of rewards and sanctions

Figure 20.6: Leadership Patterns, their Locus in the Organization and their Skill Requirements

However, no pattern of leadership is appropriate for all phases of organizational life. The broad sharing of leadership functions contributes to organizational effectiveness under most circumstances.

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UNIT

IV

ORGANIZATIONS

Chapter 21 Regulatory Authorities

Chapter 22 Public-Private Partnerships

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21

Regulatory Authorities

Learning Objectives

In this chapter, you will learn about:

- Rationale for Regulatory Authorities
- Emergence and Key Principles
- Public Sector Undertakings
- Typology of Regulation in India
- Regulatory Bodies in India
- Improvements in Regulatory Architecture

There is a need for regulations and compliance in a world of rapidly growing institutions, both in the public as well as the private sector. The government as well as the corporate functions are evolving incessantly in the backdrop of a shrinking world due to globalization. Use of Information Technology (IT) also has brought the world into a mobile handset where one is literally flooded with an overload of information. The laws regarding the use of internet, that is, the cyber laws, are still in the phase of initial formation.

The developing countries are in the phase of building infrastructure—socially, physically as well as economically. With so much happening on every front, there is a need for regulations so that is a smooth flow of inputs and outputs without *mala fide* activities, fraudulent transactions and dishonest pathways.^[1]

Q1 What do you understand by regulatory authorities?

Ans. Regulation is a principle or a condition that usually governs behaviour to induce compliance made by an executive authority. Non-compliance of these rules can lead to penalties whereas inducements may be given to elicit compliant behaviour that is non-detrimental to the societal or governmental interest.

A regulatory authority can be defined as, taxes and subsidies of all sorts as well as explicit legislative and administrative controls over rates, entry and other facets of economic activity.^[2]

A regulatory body is like a professional body but it is not a membership organization and its primary activity is to protect the public. Unlike professional bodies, it is established on the basis of legal mandate.

The above-mentioned definitions imply that regulatory authorities are legally mandated bodies which have been entrusted with the function of enforcing restrictions, laws and rules regarding the specific sector it has been formulated for. They can be of an independent nature in the financial sector in banking, commodity market, telecom industry or the capital market or in the social sector, ensuring that proper disbursements are being made to the deserved or not.

On the other hand, regulatory authorities can be self-regulated covering a wide scope of areas. However, a legislation is required to have an operational regulatory authority to provide protection to people, for example, in the area of health, there are a number of regulations required to be followed to ensure the safety of common people.

RATIONALE BEHIND THE FORMULATION OF REGULATORY AUTHORITIES

As mentioned before, the multiplier effect of the functions of the public and the private sector, was an important factor thought of by those who have mulled over the need of regulatory authorities. They are:

1. **Public Interest Theory:** The public interest theory of regulation explains, in general terms, that regulation seeks the protection and benefit of the public at large.^[3] This concept is mainly associated to welfare economics and was propagated by Stigler and Poser. Its main proposition is that regulation via government's practice public administrative policing of a private activity with respect to a rule laid down in the public interest. The regulations ensure that the organizations that work for charity do not fall prey to profits while losing sight of public interest at large.

According to the public international theory, regulation is the result of cost-benefit analysis done to determine if the cost to improve the operation of the market overweighs the amount of increased social welfare.^[4]

Criticism has been against the public interest theory stating that regulation is a political process besides being economical. The two problems with the public interest theory are:

- There is a discrepancy by various thinkers over the quantum of optimal regulation.
- There is doubt on the legislative oversight to ascertain whether the regulating authority is acting in the public's best interest.

2. **Interest Theory:** The drawbacks of the public interest theory led to the development of the interest theory. It states, 'Individuals form groups to protect their interests in regulation by lobbying. Some interest's groups are demanders of regulation and the legislature is the supplier of regulation'.

The legislature is also another interest group that seeks to retain power by 'supplying' regulation to those demanders who will help them retain power. The interest group theory is a better indicator of how regulation is made.

It is based on the standard setting of conflict and compromise. Therefore, the interest theory emphasizes on the political economy factors. This is depicted in the Fig. 21.1.

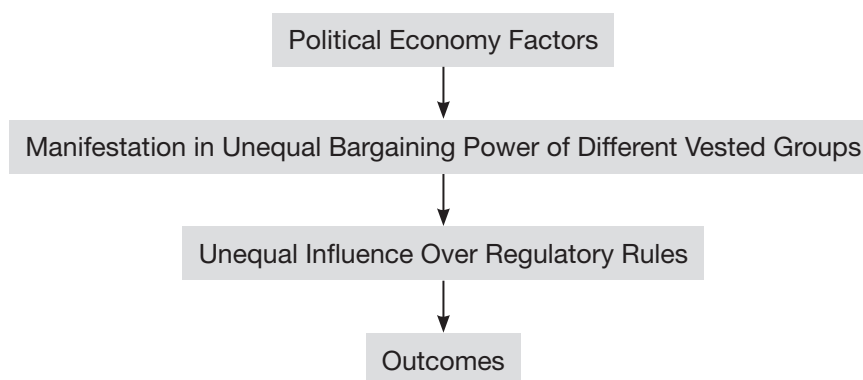


Figure 21.1: Interest Theory

Both the theories present two different approaches on which regulatory authorities are based on. The public interest theory bases itself on 'norms' of maximizing welfare to achieve equity, whereas the interest/capture theory highlights the fact that powerful interest groups can twist and use the regulatory frameworks to their own, advantage. So, it is a tussle between 'what should be' and 'what could be' both the schools of thought are prevalent in India.

Q2 Write a short note on the backdrop in which regulatory authorities emerged in India.

Ans. Since the economic reforms were implemented in India in 1991, its economy has grown into a full-fledged market but was hesitant and full of disparities. Even though populist politics has played an important role in the resultant economic conditions, all governments were keen to sustain the economic reforms. Most the state-owned enterprises in India have been disinvested and there is less interference of the state in the private sector and markets.

The state plays a less direct, but more important and influential regulatory role in guiding economic activity and ensuring competition on a level playing field. Since 1991, the Government of India has set up a number of independent regulatory authorities to:

- Prevent monopolies
- Permit network industries in a number of real (non-financial) sectors
- Govern the financial sector (banking, insurance, capital markets and derivatives)

Their role is to lubricate the functions of a complex, modern economy as well as to protect wider public interest. The public interests include:

- Wider stakeholder interests
- Wider health and safety standards
- Ensuring the protection of public common like environment standard

Such agencies need to be impartial and objective.

Q3 Write a short note on the conflict of interest regulatory governance and the dominant presence of Public Sector Undertakings (PSUs) in India.

Ans. Although privatization was promoted in 1991, the state-controlled important sectors and still owns some of the largest companies in those sectors. The regulatory authorities are given the responsibility of promotion and development of a certain industry on one hand and its regulation on the other. The personnel in the regulatory agency tend to look out for the interests of the industry instead of its users. There must be sufficient distance between the regulators and the PSUs to avoid conflict of interest.

Secondly, the conflict of interest arises because the Government of India is a market regulator as well as the owner of the PSU.

Resolution of conflict of interest between the PSU and the regulatory agency becomes complex and different to achieve in cases where:

- (i) The state dictating the content of general corporate laws, in its own favour to the detriment of competitors in industries where private firms are competing with the PSUs.
- (ii) Enforcing those laws and associated rules and regulations.
- (iii) Outside investor protection.
- (iv) Ensuring competitive market efficiencies. However, such situations and conditions need to be identified to work upon them with good governance.

To sum up, it can be said that a conflict of interest arises when the state has ownership interests which improperly influence the performance of its primary, legitimate, statutory duties and responsibilities. The India regulatory system is ridden with various conflicts of interest, for example, the Reserve Bank of India (RBI) faces it between:

- Monetary policy and investment banking
- Monetary policy and banking regulation
- The RBI as a regulator versus the RBI as a player^[5]

The establishment of Directorate General of Hydrocarbon (DGH) under the Ministry of Petroleum and Natural Gas through a Government of India resolution in 1993, raised the issue of conflict of interest in the appointment of members from the public sector oil companies on deputation with the objectives of the directorate and the oil companies.

Similar cases have been noticed in the coal and telecom industry. Also, in the case of insurance sector, the Life Insurance Corporation (LIC) of India is beyond the scope of the regulatory body, Insurance Regulatory and Development Authority (IRDA).

Therefore, conflict of concern is a matter of concern to be addressed.

Q4 Discuss the relevance of the independence of the regulatory authorities. What are the principles for the independent regulator model of regulatory governance?

Ans. Regulators are expected to behave and act objectively, impartially and consistently, without conflict of interest, bias or under influence, in other words independently. Regulatory independence is a means towards ensuring effective and efficient public service delivery by market players.^[6]

Pressure from interest groups must be avoided to retain the regulatory independence. The members have to avoid the influence of interest groups, that is, lobbying to be effective otherwise the regulatory agency becomes one of the interest groups and the result would be regulatory capture.^[7]

Regulatory capture can be done by politicians or businessmen of the industry, which is a common feature in the Indian economic and political system. The local political regime influences both pricing and regularity of supply (duration and frequencies of power cuts) by issuing opportunistic policy directives and compromise the regulatory functions.

There are instances of judicial interventions to maintain regulatory independence from politicians and the administrative elite who take undue advantage of their positions. Regulatory ineffectiveness is also compounded by not granting statutory standing to the agency, legislative ambiguity, lack of clarity in their jurisdictional powers and lack of coordination in the work of regulatory bodies regarding competition issues, thereby raising prices and harming public interest.

The pressures on regulatory independence, as discussed above require certain guidelines and principles to avoid them.

Organization for Economic Cooperation and Development (OECD) has given ten principles regarding the independent regulator model of regulatory governance. They are discussed here in brief.

TEN KEY PRINCIPLES FOR THE INDEPENDENT REGULATOR MODEL OF REGULATORY GOVERNANCE

There must be principles of the highest level to have an effective and sustainable regulatory framework. The OECD has outlined ten key principles, which are:

1. **Independence:** As discussed above, the infrastructure regulating authorities must be independent in their decision-making without requiring any prior approval from the government or its agencies.^[8]

2. **Accountability:** Accountability is paramount for regulatory authorities and its mechanism must comprise the following:
 - Appeal rights for parties believing their interests harmed by regulatory agency decisions that have been made against the requirements in the law, either on process or on substance.
 - Substantive reporting and audit obligation.
 - Oversight or performance reviews through evaluations and hearings.
 - Ethical and procedural obligations.
 - Extensive transparency obligations.
3. **Transparency and Public Participation:** The entire regulatory process must be fair and impartial and open to extensive and meaningful opportunity for public participation. The following are recommended with very limited exceptions:
 - All documents and information used for decision-making should be available for public inspection.
 - All procedures by which and criteria upon which decisions are made, should be made in advance and made publicly available.
 - All major decisions made by the regulatory agency must be publicly available in a written document including a clear statement of all the decisions, a complete description and analysis of all evidence taken into consideration, etc.
4. **Predictability:** The regulatory system should provide reasonable, although not absolute, certainty regarding the principle and rules that will be followed within the overall regulatory framework. The following changes must be made to have an effective regulatory framework.
 - Changes should occur only after extensive public notice to include feedback from all stakeholders.
 - Changes must be instituted gradually.
 - Changes must be applied prospectively instead of retroactively.
5. **Clarity of Roles:** The role of regulatory agencies any other sector agencies must be clearly defined in law to avoid:
 - Duplicity of functions
 - Inter-agency conflicts
 - Mixed signals to the stakeholders
 - Policy confusion.
6. **Completeness and Clarity in Rules:** There should be clear and complete timely advance notice of any change in the principles, guidelines, expectations, responsibilities, consequences of behaviour and objectives that will be pursued in carrying out the regulatory activities.
7. **Proportionality:** Regulatory intervention in the sector should be proportionate to the challenges the regulatory agency is addressing keeping it to the minimum so that the problem is addressed. The likely benefits must outweigh the expected economic and social costs.
8. **Requisite Power:** The regulatory authorities must have all powers, under the law to perform their mission and must have the authority:
 - To set tariffs for regulated entities.
 - To establish, modify and monitor market and service quality rules.
 - To address market power and market design problems adequately.
 - To carry out normal administrative functions.
 - To investigate, as well as adjudicate or mediate, consumer complaints.
 - To provide dispute resolution facilities for the regulated entities.

- To compel the provision of needed information.
 - To monitor and enforce its decisions and to remedy problems.
9. **Appropriate Institutional Characteristics:** Regulatory authorities must be competent and consistent in their performance which requires the following:
- Compensation and education or training opportunities for commissioner and staff at competitive scales.
 - A reliable, adequate and independent source of revenue and adequate budget.
 - The ability to retain outside consultants when needed.
 - Commissioners who are appropriately insulated from short-term political repercussions.
 - Regulatory decisions made by a board of three or five commissioners who come from diverse professional backgrounds.
10. **Integrity:** There must be strict rules governing the behaviour of decision-makers to preclude improprieties or any conduct appearing to be improper. The rules must be covered by ethical loopholes, to have prohibition:
- Against bribes and gratuities of any kind.
 - Of all forms of conflicts of interest.
 - Against any form of preferential treatment.
 - Of unreasonable disclosure of financial interests.
 - Of use of inside information for personal gain.

Q5 What is the typology of regulation in India?

Ans. India has adopted a mixed economy model after it got its freedom in 1947. It has always tried to work on the socialist pattern with the state controlling heavy industries and utility services. The private sector is allowed to enter the market albeit they adhere to the regulatory controls like the licenses and quotas regarding the intermediate imports and outputs and not to forget the tariff walls and price ceilings. Such regulation is not independent and the economy tilted away from capitalism, disturbing the balance of a mixed economy.

After the 1981 economic reforms, the Indian economy saw a lot of favourable changes for the private industry. Liberalization helped in delicensing of industries and abolition of output quotas and the private sector was able to break into the government's monopoly, for example, electricity, telecommunication, toilets, passport *Kendra's*, etc. Hence, a consensus emerged among the decision-makers was reached that independent regulation was required to develop a level playing field.^[9]

Regulation in India can be mapped under three broad categories, which are given below:

1. **Economic Regulation:** The Indian economy is regulated in the economic terms to tackle market failure. Economic regulation is achieved with prescribed rules that have the authority to penalize market distorting behaviour, for example, The Foreign Trade (Development and Regulation) Act, 1992 to bring ease of imports and exports.
2. **Regulation in the Public Interest:** The private stakeholders have been allowed to enter in the sphere of delivery of essential services. A regulatory framework is essential to have the private companies meet standard and quality that is pre-determined by the government. In India, the Bureau of Indian Standards (BIS) created by the Bureau of Indian Standards Act, 1986 has been setting quality and safety standards for various product, some of which are mandatory. These standards help in quality assurance and consumer protection.

However, in India, there is a low level of consumer awareness, skewed income distribution and lack of capacity of majority of population to pay for essential services might call for regulation in the public interest. Regulation helps in supporting the price mechanism for essential services and especially, food security. The government tries to buy such produce that the small entrepreneurs are unable to sell at an appropriate price, like foodgrains and puts it under the subsidy head.

3. **Environmental Regulation:** Environment degradation harms the land, labour resources and economic development. Environmental regulation has been given constitutional status in India based on the fact that the Directive Principle of State Policy states that protecting and improving the environment is the duty of the state as well as citizens of the country. The Environment (Protection) Act, 1986 is the umbrellas legislation for setting standards for emissions and discharge, regulation of the location of industries, management of hazardous waste and protection of public health and welfare.

The act specifies a list of 31 categories of industries in which statutory clearances are required with respect to pollution control and the environment.^[10] Any project with investment less than ₹ 1 billion does not require environmental clearance except in cases of pesticides, bulk drugs and pharmaceuticals, asbestos and products containing asbestos, integrated paint complexes, mining projects, tourism projects of certain parameters, tarred roads in Himalayan areas, distilleries, dyes, foundries and electroplating industries.^[11]

Q6 What are the various regulatory bodies in India? Are they able to function with independence and without conflict of interest? How can it be improved?

Ans. Regulatory governance is a prudent method to regulate various identified sectors according to various guidelines and policies prepared by international agencies. OECD has done great work to make them functional without any conflict of interest (Discussed in Q.4) and with independence. The regulatory authorities in India have the responsibility of development besides the duty of regulation. The Government of India has established regulatory authorities mainly in sectors like insurance, telecom and finance. Given below is a list of regulatory bodies in India in Table 21.1.

Table 21.1: Regulatory Bodies in India

S.No	Regulatory Bodies in India	Sector	Functions
1.	Telecom Regulatory Authority of India	Telecommunication and Tariffs	To make regulations to ease competition and enhance the efficiency in the operation of telecommunication services.
2.	The Competition Commission of India	Company Affairs	To protect the interest of consumers, prevent some practices having harmful effect on competition
3.	Securities and Exchange Board of India	Securities (stock) and Capital Market	To safeguard the interests of investor and to regulate the securities market.
4.	Food safety and Standards Authority of India	Food industry	To ensure the food quality, to watch and regulate the processing, distribution, sale and import of food.
5.	Medical Council of India	Education in medicine	To regulate and establish high and consistent standards in education in medicine.
6.	Insurance Regulatory and Development Authority	Insurance	To regulate and boost the insurance and reinsurance business.
7.	National Bank Agricultural and Rural Development	Rural Development Finance	It is the supreme body to control the credit needs in rural development.
8.	Reserve Bank of India	Banking and Monetary regulations	It is the Central Bank which controls the country's banking and monetary functions.

(Continued)

Table 21.1: Regulatory Bodies in India (Continued)

S.No	Regulatory Bodies in India	Sector	Functions
9.	Central Board of Film Certification	Certification and Censorship	It regulates the show of content of films to the public.
10.	Pension Fund Regulatory and Development Authority	Pension and Welfare	It regulates the promotion and development of the pension sector.

An independent and unbiased regulatory agency is the need of the hour in this era of competition. Various problems arise between the regulatory authorities and the various sectors, like:

- The appointments made for the regulatory authorities do not appear transparent and the competence of appointee is also questionable like in the case of Central Board of Film Certification (CBFC).
- The government is itself a stakeholder and a player in the market. There is a conflict of interest when it tries to regulate the private sector. Corruption cases are given a favourable tone as in the case of Forward Markets Commission.
- Another example of conflict of interest is when the 'Airtel Zero' aimed on providing certain websites for free browsing and in order to promote digitization but Telecom Regulatory Authority of India (TRAI) did not permit it in the name of net neutrality.
- Reporting and accountability are hampered due to the conflict of interest, like in the case of Department of Electronics and Information Technology having a hold of TRAI.
- The regulatory authorities are dependent on the government for funds which makes their position vulnerable and cannot take independent decisions for their sectors.
- The review mechanism of the regulatory authorities is not appropriately robust.
- There is a lack of database to explore reasons for failure of regulatory bodies, for example, in the health sector.

To sum up, in the words of Arvind Subramanian, Chief Economic Advisor to the Finance Ministry, India, 'Regulatory institutions in India are still a 'work in progress' and they have not attained the kind of maturity that is needed for the emerging economy. There are reasons for this and I am not assigning any blame to anyone. Capacity is still a real problem. We need more and more talent and build capacity in our regulatory institutions' Capacity is needed to understand how to use data better and draw upon best practices internationally. For a country with so many skilled people, it is surprising how deficient these skills are in different parts of the government. India's economic and political system has still not developed the maturity to have finely calibrated interventions for the country's problems. Nuanced analysis and nuanced interventions are required for problems instead of blunt instruments of bans and restrictions.^[12] Private stakeholders need to be more litigious and go to the courts to appeal to keep a check on the regulatory authorities. In India, the appeals against the orders of the concerned commission are to appellate tribunals and not directly it's the High Courts which leads to delays and dilution of the original intentions of the commission. The state government departments get the regulatory commission to act at the behest of the government, and not independent because the appointees are selected by the government.^[13]

Q7 *With the creation of new regulatory agencies in the wake of liberalization, suggest what can be done to improve regulatory architecture?*

Ans. India's regulatory architecture is getting increasingly complex with the setting up of new regulatory bodies which are inadequately empowered and insufficiently manned in terms of both numbers and

skills.^[14] In India, there are three key areas where better regulation could help boost productivity and growth. They are:

1. **Easing Business Regulation:** By easing business regulation to boost entrepreneurship and dynamism and to support job creation in the formal sector.
2. **Reducing Barriers:** By reducing the barriers to international trade and investment including Foreign Direct Investment (FDI), to boost competition and productivity.
3. **Reforms:** Thirdly, by undertaking wide-ranging financial sector reforms to strengthen investment.^[15] The above suggestions were made by Mr. Angel Gurría, Secretary General of OECD in an interview. Some other reforms in regulation that can be made in India are:
 4. **Simplification:** State and local government have a relationship established in the Constitution of India. The three-tiered government makes regulation three times, wasting resources. Even though the regulatory authorities have created a robust environment for business, it has not been done in a coordinated way. There must be a 'whole of government' approach to improve the consistency and quality of the regulatory environment in India. The OECD helped Mexico to do away with 12,000 norms, rules, codes, regulations, laws to have a successful regulatory environment.^[16]
 5. **Setting up of a New Regulatory Authority:** The Damodaran committee suggested that before setting up a new regulatory organization, adequate thought should go into the need for such an organization, the ability to manage that organization appropriately and to invest it with functional autonomy. A new regulatory organization should not be a knee-jerk response to a specific situation or content but a well-thought out disengagement plan of the ministry or department concerned to move from writing out and implementing regulations.
 6. **Self-evaluation:** All regulatory authorities must undertake a self-evaluation of themselves once in three years put out the conclusions in the public domain for informed discussion and debate. There should be a transparent system in which the head of the regulatory organization and his board level colleagues appear before an appropriate parliamentary committee once in six months to report on the developments of the previous six months and the board plan of action for the next six months.^[17]
 7. **Appointments:** The appointment of persons to head regulatory organizations should be more transparent according to the Damodaran committee by following guidelines and processes of developed countries where the subject matter of informed public discussions before the appointment is finalized.

To conclude, there is still much to do in the area of regulatory authorities. They have to catch up with the technological advancements like the algorithms, artificial intelligence, etc. A whole of government policy towards regulating would provide the connectivity of different reform efforts and help the concerted effort toward regulatory governance instead of disconnected regulatory reforms.

Securities and Exchange Board of India (SEBI) has gained credibility because it has adhered to key good governance principles as detailed by the OECD's best principles for the governance of regulators. Another positive step towards reforms in regulatory policy in India is to promote stakeholder engagement, that is, the citizens, businesses, etc.

The twelfth five-year plan included the employment of the regulatory impact assessment for existing and future regulations that affect the business environment in India. India has been changing its structure by revoking redundant and obsolete laws and has gained a high rank on the index of ease of doing business since 2014. India has moved from the era of 'License Raj' to 'Market Raj'.

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22

Public-Private Partnerships

Learning Objectives

In this chapter, you will learn about:

- Evolution of Public-Private Partnership (PPP)
- Features and Types of PPP
- Models and Governing Principles of PPP in India
- Process and Challenges of PPP in India

The Public-Private Partnership (PPP) is a collaboration between the public and private sectors, aimed at the building of infrastructure, whereas the need arises due to a gap in the governmental plans and projects and their delivery. The PPPs neutralize the negative effects of privatization on one hand and the monopoly of the state ownership on the other.

Q1 What do you understand by Public-Private Partnership (PPP)?

Ans. PPPs emerged in the backdrop of rising levels of public debt in the 1970s and 1980s amidst macro-economic dislocation. PPPs is a tool to procure and maintain public sector infrastructure, especially, the physical sector, like, the roads, bridges, railways, airports, etc., and social infrastructure, like schools, hospitals, social housing, etc.

The need for PPPs arose in decades following the 1970s, *in lieu* of a reaction against the traditional methods of procurement and flaws in its levels of efficiency especially, in the developing countries. The PPP arrangements explicitly incorporate the project risks into the cost of fund. To understand the PPPs, it is important to study how it has been defined by various scholars and agencies.

PUBLIC-PRIVATE PARTNERSHIP

OECD: A public-private partnership is defined as an agreement between the government and one or more private partners (which may include the operators and the financiers) according to which the private partners deliver the service in such a manner that the service delivery objectives of the government are aligned with the profit objectives of the private partners and where the effectiveness of alignment depends on a sufficient transfer of risk to the private partners.^[1] This definition gives by OECD is a comprehensive covering all factors involved in PPPs.

World Bank: The PPP knowledge laboratory defines a PPP as ‘A long-term contract between a private party and a government entity, for providing a public asset or service, in which the private party bears significant risk and management responsibility, and remuneration is linked to performance’.

PPPs typically do not include service contracts, of turnkey construction contracts, which are categorized as public procurement projects or the utilization where there is a limited ongoing role for the public sector.^[2] Various nations are including a definition of PPPs in their laws which is specific to their country.

Brazil: Article 2 of the Brazil’s PPP Law defines PPPs as agreements entered into between government or public entities and private entities that establish a legally binding obligation to manage (in whole or part) services undertakings and activities in the public interest where the private sector is responsible for financing, investment and management.

UK: The UK’s Private Finance Initiative (PFI) where the public-sector purchases services from the private sector under long-term contracts is the best-known component of that country’s PPP program.

India: The Department of Economics Affairs in the Ministry of Finance, Government of India, 2007, defined PPP as ‘A partnership between a public sector entity (sponsoring authority) and private entity (a legal entity in which 51% or more of equity is with the private partner’s) for the creation and / or management of infrastructure for public purpose for a specified period of time (concession period) on commercial terms and in which the private partner has been procured through a transparent and open procurement system.

Hence, from the above definitions of PPP, it is clear that the common feature is an agreement between the government and a private sector company to facilitate infrastructure development on payment of user charges.

Q2 ***It is the duty of a government to provide physical and social infrastructure to the society. Give reasons why PPPs are needed in the sphere of government’s duties and activities.***

Ans. Public administration is commonly defined as the activities and affairs of the government to secure public services to the public. The common masses depend on the government to gain benefits of social welfare in various spheres. It is expected that the government will provide them with basic facilities of roads, bridges, schools, health, internet connectivity, etc. PPPs emerged as a substantiation of the modern economy to increase mutual benefits of the common masses as well as the public authorities. PPPs are needed in the sphere of the delivery of public services due to the reasons given below:

- **Influence:** The private sector is needed in the delivery of public services because of their acumen of management. The government is ridden with problems of Public debt, lack of management and effectiveness in supervision and control. The private sector influences the delivery of public services efficiently and effectively.
- **New Public Management (NPM):** The establishment of NPM in the 1980s manifested the importance of decentralization of government and separating the responsibility for the procurement of public services from their provision. Contracting public services out to the private sector become a trend.
- **Budgetary Issue:** Mostly, governments have budgetary constraints in providing social and physical infrastructure which the private sector do not. The funding of PPPs is done by the user over a long time which saves the government of expenditure and the private sector makes profit. The government avoids the debt or borrowing complexities. However, it eventually shows in public budget as a future annual cost which equates with borrowing, like in the PFI model in the UK.

- **Additional Welfare Activities:** While the PPPs help the government in relieving the burden of funds, the government is spared of extra funds to invest in more welfare projects. This concept of additionality facilitates public welfare while stressing on the importance of PPPs.
- **Know-how:** The private sector has more technical know-how than the public sector to optimize the sector in which the partnership is made. The private sector personal is updated with the latest information and technology that helps to complete projects faster than the governments.
- **Accountancy:** There is often mismanagement of financial records in the government showing poor turnover as opposed to the private sector.
- **Innovation:** Innovation and technological advancements helps in timely and effective delivery of public services which is lacking in the government sector, streaming the need of PPPs.
- **Risk Management:** There is risk sharing in PPPs as the government and the private sector share their stake equally. This makes the project economically viable as the liability is shared equally.

To sum up, it is evident that PPPs is the best option to achieve efficient effective and an economic delivery of public services and has come to stay.

Q3 *Discuss the features of PPPs that are common to all countries.*

Ans. Since there is no clear definition of the concept of PPPs, the features are also in the similar status. However, there are some common features that comprise the PPPs, as opposed to traditional public–private contractual agreements. They are given below in brief:

- **Funding:** Since the governments have budgetary constraints, given the variety of welfare activities that it has to do and the long procedural delays that hamper the initiation of the projects. Country to the government sector, the private sector does not have to go through such constraints and can get funding from banks or financial institutions. The financing technique of ‘project finance’, a recent development is a method that raises long- term financing for major projects. It is a form of financial engineering’ based on lending against the cash flow generated by the project. It depends on a detailed evaluation of a project’s construction and operating and revenue risks.^[3]
- **Risk Transfer and Value for Money:** Risk transfer is an important characteristic of value for money. The risks are transferred to the private sector which can be handled by it better. Risk transfer aids the government to get the projects approved politically as it shows the advantages of going in for PPP.
- **Construction Risk:** PPPs comprise of the transfer of construction risk from the public to the private sector. Cost overruns surface at a later stage in a PPP which helps in timely construction of a project.
- **Economy:** PPPs are economic from all aspects as a PPP acquires a project as a whole and work begins simultaneously in various sections.
Capital cost is not very high because, for example, construction companies have the specialized equipment avoiding cost inflation.
- **Maintenance for Life:** The private sector takes the responsibility of maintaining the project for whole-life as it is included in the PPP construct. When the private company knows that it is its responsibility to maintain the project for life, it infuses the project with more capital so that it does have to spend for the whole life. This increases the quality of work and value for money.
- **Efficient:** PPPs result in a remarkable increase in efficiency which is based in profit. The PPP contract establish a minimum standard of quality to be maintained, thus improving the efficiency standards. Even if some errors are detected they can be rectified by the company swiftly which is not done by the government.

There are various other features of PPPs like innovation driving the private sector and making the PPPs successful. They act as a catalyst to public sector reform. PPP is a credible solution to provide infrastructure and public services.

Q4 What are the various types of PPP models? Discuss with special reference to India.

Ans. PPPs are contractual partnership between the public and private sector agencies to perform infrastructure facilities and services that were traditionally provided by the government. The premise of using PPP model to deliver public services to the common is to achieve maximum possible efficiency economy and effectiveness in a pre-determined time-schedule. The basic standard models utilized by governments and the private parties can be depicted in the Fig. 22.1.

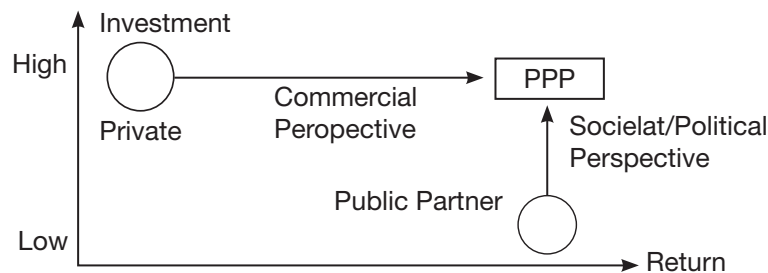


Figure 22.1: Public-Private Partnership

The basic purpose of a PPP is risk-sharing. Various types of PPPs are given below which have been framed by the world bank group these are adopted by various nations based on their specific needs. They are depicted in Fig. 22.2 and discussed below:

- **Utility Restructuring, Corporatization, Decentralization, Performance Contracts:** A government gets into agreements with the private stake holder to improve the performance of utilities. If an agreement is difficult to achieve, the first step would be to consider sector reform or restructuring. Various sector reforms may include utility reform utility reform utility restructuring corporatizations contract plans and performance contract etc.

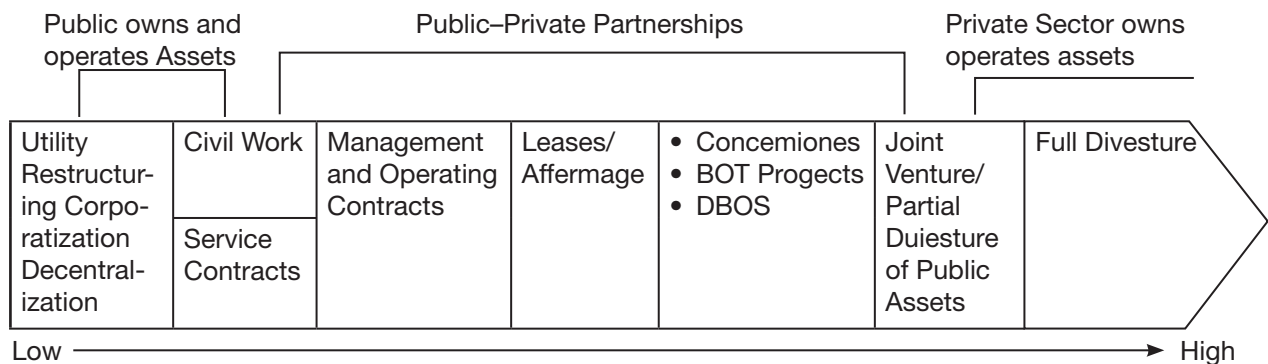


Figure 22.2: Spectrum of PPP Agreements

- **Civil Works and Service Contracts:** Utilities commonly source goods and services from the private sector third parties, whether to purchase spare parts or stationery or to procure civil works such as laying pipes or cables, or a customer service, for example, outsourcing of passport making/renewing services.

The World Bank has outlined some simple contracts for goods and services which are followed more or less in the same format or with some modifications civil works contracts have been prepared by the construction industry and the World Bank.

- **Management/Operation and Maintenance (O&M) Contracts:** Management and O&M contracts govern a type of PPP agreement. Management contract covers a wide range of contracts from technical assistance contracts through to full-blown O&M agreements. It is difficult to generalize them into one type.

The simplest management contracts involve the private operator getting a fixed pay from the awarding authority for performing specific tasks:

- The remuneration does not depend on task revenues
- The private operator does not take the risk of asset condition

The risk of asset condition and replacement may be increased if the management contracts be more performance based.

The main components of management/O&M contracts, given by the World Bank group, are:

- Contractor to manage a range of activities.
- The contract is usually for short term of 2–5 years although in the water and energy sector, the term is longer;
- A fixed fee is paid to the operator for its staff and expenses on the condition of a performance-based fee and liquidated damages for failure to achieve quality standards.
- Can be operational where the private stakeholder is open to more risk.

The World Bank has developed a standard from management contract to provide a format of such agreements.

- **Leases and Affermage Contracts:** They are generally public–private sector arrangement under which the private operator is responsible for operating and maintaining the utility but not financing the investment. The conditions to choose leases/affermage contracts are:
 - When private equity and commercial debt are not available for water supply and sanitation.
 - The awarding authority wants to combine public financing with attracting private efficiencies.
 - Greater commercial risk is to be passed to the private operator than with a management contract, with incentives to perform.

The leases and affirmages differ from management contracts as:

- The operator does not receive a fixed fee for his services from the awarding authority but charges an operator fee to consumers.
- The operator tends to bear a greater risk.
- The operator employs the staff directly.

Some main elements of leases and affermage contracts are:

- Typically, between 8 and 15 years.
- Collection risk is passed to the operator.
- Lease operator will require assurances regarding tariff levels, etc.
- Cost of maintenance and some replacement passed to operator.

- **Concessions, Build–Operate–Transfer (BOT), Design–Build–Operate (DBO):** Such projects (PPPs) are output focused. Each type of such agreements is described in brief here:

Concessions: A concessionaire gets a concession for a long term right to use all utility assets conferred on the concessionaire, including responsibility for operations and some investment. Asset ownership remains with the authority which is responsible for the replacement of larger assets whereas the assets are reverted back to the authority at the end of the concession period.

Build Operate Transfer (BOT) Project: This model is typically used to develop a discrete asset rather than a whole network and is generally entirely new or greenfield in nature although refurbishment may be involved. The revenues are obtained by the operator by a user fee charged to the utility/ government rather than charging tariffs to consumers. Some countries call these BOT projects as concessions also.

Design–Build–Operate (DBO): Design–Build–Operate Project comprises the public-sector ownership and financing the construction of new assets. The private company designs, builds and operates the assets to meet certain agreed outputs. It consists of turnkey construction contract.

The categorization of the PPP models is depicted in Table 22.1.

Table 22.1: Alternative Approaches to Infrastructure Development (From least private involvement to most)

Traditional Approach (Non-PPP)	Definition
Design–Bid Build (DBB)	The traditional method of project delivery in which the design and the construction are awarded separately and sequentially to private firms.
PPP Approaches Design–Build (DB)	Combines the design and construction phases into a single fixed-fee contract, thus potentially saving time and cost, improving quality and sharing risk more equitably than DBB method.
Private Contract Fee Services/ Maintenance Contract	Contracts to private companies for service typically performed in house (planning and environmental studies, program and financial management, operations and maintenance, etc.
Construction Manager	A contracted construction manager (CM) provides constructability, pricing, and sequencing analysis during the design phase. The design team is contracted separately. The CM stays on through the build phase and can negotiate with construction firms to implement the design.
Design–Build with a Warranty	A DB project for which the design builder guarantees to meet material workmanship and/or performance measures for a specified period after the project has been delivered.

(Continued)

Traditional Approach (Non-PPP)	Definition
Design–Build–Operate–Maintain (DBOM). Build–Open–Transfer (BOT) or Build–Transfer–Operator (BTO)	The selected contractor design, constructs, operates, and maintains the facility for a specified period of time meeting specified performance requirements. These delivery approaches increase incentives for high quality projects because the contractor is responsible for operation of the facility after construction. The public sector retains financial risk, and compensation to the private partner can be in the form of availability payments.
Design–Build–Finance (DBF) Design–Build–Finance–Operate (DBFO), or Design–Build–Finance–Operate–Maintain (DBFOM)	DBF, DBFO, and DBFOM are variations of the DB or DBOM methods for which the private partner provides some or all of the project financing. The project sponsor retains ownership of the facility. Private sector compensation can be in the form of tolls (both traffic and revenue risk transfer) or through shadow tolls (traffic risk transfer only).
Long-Term Lease Agreements/ Concessions (brownfield)	Publicly financed existing facilities are leased to private sector concessionaires for specified time periods. The concessionaires may pay an upfront fee to the public agency in return for revenue generated by the facility. The concessionaire must operate and maintain the facility and may be required to make capital improvements.
Full Privatization Build–Own–Operate (BOO)	Design, construction, operation and maintenance of the facility are the responsibility of the contractor. The contractor owns the facility and retains all operating revenue risk surplus revenues for the life of the facility. The Build–Own–Operate–Transfer (BOOT) method is similar, but the infrastructure is transferred to the public agency after a specified time period.
Asset Sale	Public entity fully transfers ownership of publicly financed facilities to the private sectors indefinitely.

- **Joint Ventures/Government Shareholding in Project Company:** Joint ventures between the public and private sectors in PPP arise when:
 - A contracting authority may require to have an equity stake (shares) in the project company / operator.
 - When an existing public utility or SOE (Standard Operating Environment) sells a stake in the utility to a private company.
- **Full Divestiture/Privatization:** Full divestiture is also known as privatization also and it occurs when all or substantially all the interests of a government in a utility asset or a sector are transferred to the private sector. The government generally retains some indirect form of control or mechanism for regulation over the privatized utility in the form of a license granted to the entity to deliver the service to the public.

- **Contract Plans/ Performance Contracts:** Reforms can be made more effective if there is a performance contract in place between the utility and the government or regulator with incentives to meet and outperform the plan. The performance plan may be included in an informal performance contract, contract plan or a more formal, legally binding intergovernmental loan or great agreement.

PPP MODELS SUPPORTED BY THE GOVERNMENT OF INDIA

The Government of India commits to the spirit of ‘partnership’ amongst all the stakeholders public, private end users and community. The government is open to newer PPP models which would be simple, flexible and engage in increased participation amongst the contracting parties. The PPP models supported by the Government of India are:

- **User-Fee Based BOT Models:** Medium to large scale PPPs have been awarded mainly in the energy and transport sub-sectors (roads, ports and airports). Although there are variations in approaches over the years the PPP model has been veering towards competitively bid concessions where costs are recovered mainly through user charges.
- **Annuity Based BOT Models:** In sectors/projects not amenable for sizeable cost recovery through user charges, owing to social-political affordability considerations, such as in rural, urban, health and education sectors, the government harnesses private sectors efficiencies through contracts based on availability/performance payments. The conditions necessary for BOT models are payment guarantee mechanism by measure of making available multi-year budgetary support and a dedicated function.
- **Performance-Based Management/Maintenance Contracts:** PPP improves efficiency in sectors like solid waste management, road maintenance, etc.
- **Modified Design-Build (Turnkey) Contracts:** In the traditional Design-Build contract, private contractor is engaged for a fixed-fee payment on completion. It helps in time and cost savings, efficient risk-sharing and improve a quality. A ‘Turnkey DB’ approach with the payments linked to achievement of tangible intermediate construction milestones.^[4]

Principles Governing Implementation of PPPs

The Government of India has devised the principles that must govern the PPP implementation. They are:

- **Transparency:** Provision of a fair and transparent framework to facilitate and encourage PPP mode of implementation.
- **Planning:** Proper planning and prioritization must be done to benefit the users and maximize stakeholders economic returns.
- **Process:** The process selected must be efficient, equitable, transparent and competitive.
- **Protection of Interest:** The interests of end-users, project affected persons, private and public-sector entities and other stakeholders must be protected.
- **Efficiency:** Efficiency must be ensured in the delivery of public services by using the best available skills, knowledge and resources in the private sector.
- **Investment Deployment:** Deployment of investments must be done in a way that efficiency is increased. Long-term maintenance must be kept in mind.
- **Contingent Liabilities:** Requisite provision in budgets for contingent liabilities to sponsor the government must be done, for example, liability towards lenders, etc.

India has ventured into PPPs to achieve greater milestones to become an efficient economy.

Q5 *Methods and processes are integral in PPP implementation to avoid the typical delay in the government. Discuss.*

OR

Describe the PPP process in India.

Ans. It is important to follow a specified process in implementing a PPP.

Phase I: PPP Identification

Phase I would cover activities such as strategic planning project preferability analysis, value for money.

The Government of India (Ministry of Human Resource Development) has developed specified phases to be followed in the PPP process. The various analysis, PPP suitability checks and internal clearances to proceed with PPP development as present in Phase I is depicted in the Fig. 22. 3.

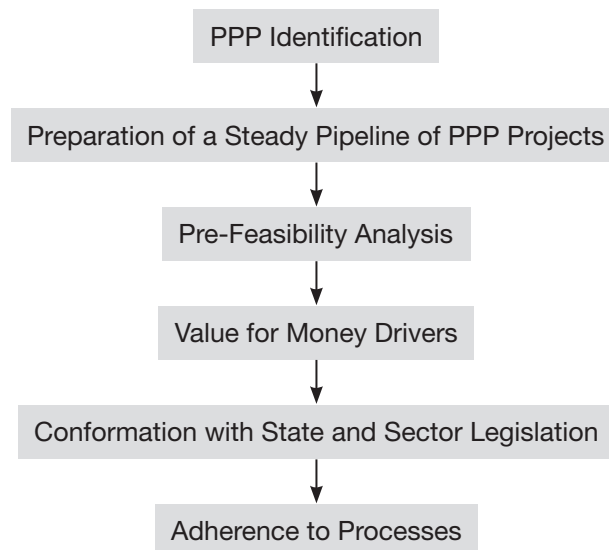


Figure 22.3: Phase I of PPP Development

Phase II: Development Stage

The second phase in the PPP process is the 'development stage' that covers project preparation, project structuring preparation of contractual documents and obtaining of project clearances and approval. The activities to be undertaken during this stage are given below in the Fig. 22.4.



Figure 22.4: Phase II Activities

As part of the project developmental activities following core activities, critical in this phase, must be ascertained:

- Economic, financial and affordable assessment
- Economic analysis
- Financial analysis
- Affordability analysis
- Bankability assessment
- Any contingent liabilities

Value for money analysis and management of risks must be taken out in detail.

Phase III: Procurement Stage

The phase III would involve procurement and project. Transparency, accountability non-discrimination, competitiveness and timely procurement will be following to encourage maximum participation by the private sector so that public trust is built. The following points would be considered in the phase III, given below in Fig. 22.5.



Figure 22.5: Phase III Activities

Phase IV: PPP Contract Management and Monitoring Stage

Phase IV covers the project implementation and monitoring over the life of the PPP Project. A PPP is an active process that involves a wide range of skills to have effective project management, commercial expertise and negotiation skills. The government and the implementing agencies shall ensure timeliness of the completion of the project. A project monitoring unit must be set-up to oversee project implementation. Inter department committees would see that any dispute arising between the stakeholders are resolved amicably by arbitration according to applicable legislation. Management information system must be employed to have smooth and continuous monitoring over the project cycle. The evaluation reports would be tabulated and summarized so that quality of service delivery can be improved.

Post project award negotiations must not be included in the PPP contract. All negotiations must be made with transparency requiring mandatory disclosure by the both parties.^[5]

Q6 Write a short note on Public Social Private Partnership (PSPP).

Ans. The concept of PPPs evolved into Public Social Private Partnership which is simply, PPPs in the social services sector. The social sector requires special needs and conditions for the PPPs to achieve success. The exciting PPPs can be modified to suit the needs of the social sector. PPPs in the health sector are a suitable example of PSPPs. The PSPP is a pre-condition for ensuring that a PPP with a social goal.

- Will assure and implement the public aims, agendas and tasks in the sense of community benefit, welfare, etc.
- Agendas and aims of cooperation's the mid-and-long-term.
- That the necessary conditions and resources, for example, financing, for sustainable results are planned and applied suitably.^[6]

Social Public-Private Partnership (SPPP) aims basically at social development which is at disparity with the economic development. The social dynamics is changing in complexity and the expectations of the citizens are increasing from the government. Since government cannot resolve all social issues on its own, it is important that the private sector is roped in to develop social infrastructure. SPPP aims at strengthening collaboration through a wholistic approach towards the society.

The marginalized sector is targeted specifically via SPPPs to come out of their vicious circle of misery and poverty.

SPPPs are particularly relevant in India to resolve issues of conflict of interest. PPP projects worth around 70 billion dollars in 2012 were assessed to have suffered from bad terms, bad loans and unwarranted delays. SPPPs focus more on creating wider social value instead of value for money and profit-maximization. Societal needs determine markets rather than traditional economic and physical needs. They are applicable particularly in agriculture, health care and large-scale infrastructure. The economic value benefitted from PPPs must be compounded with social value. India has become a major center of SPPPs, for example, the Tata Consultancy Rallis India partnered with the Government of Maharashtra to develop the agriculture sector and won the Porter Prize in improving agricultural productivity. To gain social benefits, it has also been suggested that P2P model must be adopted which proposes that public to public sector organizations get together and work for social causes.

Q7 Discuss the PPP initiatives in India.

Ans. The Government of India is undertaking serious measures since 2004 to increase investment in physical infrastructure through PPPs. However, the numbers in the overall infrastructure decreased after 2012 due to a slowdown in the private sector investment. PPPs is the best solution in a country like ours to achieve faster infrastructural development. The National Policy of PPPs, 2011, laid a strong framework for PPPs and has made progress in the transport sector, energy sector and water and sanitation.

National Infrastructure Investment Fund was set-up to channelize foreign institutional funds into infrastructure. The various initiatives taken by the Government of India in infrastructural development through PPPs are:

- **The ADB in India:** Mainstreaming PPPs in India is a joint programme of ADB and the government, through India's Department of Economic Affairs, which focus on such activities as:^[7]
 - Capacity building of officials
 - Process standardization
 - Sector tools
 - Development fund
 - Project development

ADB has supported the programme through seven technical assistance projects, which are:

- Mainstreaming PPPs at state level
- Mainstreaming PPPs at Central Line Ministries of the Government of India

- Supporting on Initiative for Mainstreaming PPPs for providing Urban Amenities in the Rural Areas
- Preparing the PPPs Pilot Projects Initiative (Mainstreaming PPPs)
- Assisting is Framework Development for Development for Mainstreaming PPPs
- Sustaining the Government of India–ADB Initiative for Mainstreaming PPPs
- Deepening Capacity Building for Mainstreaming PPPs
- **Key Infrastructure:** Roads, railways, airports and sports are the key infrastructure sector for PPP in India. Transport Sector is being developed by PPPs, through a lot needs to be done in this area by relaxing rules and improving monitoring.

The Economic Survey 2018 states that India needs 4.5 trillion dollars by 2040 to develop infrastructure in the next 25 years India will be able to garner 3.9 trillion dollars. It stressed on the need to fill the infrastructure investment gap by financing from private investment institutions dedicated for infrastructure financing like National Infrastructure Investment Bank (NIIB) and others. It was accepted that the massive underinvestment in the sector was due to the ‘Collapse of PPP especially in power and telecom projects’.

- **Health Care:** PPPs strive to maintain equilibrium between public and private risk and reward, cost and impact. Health care can be improved significantly with the help of PPPs. The WEF began a project in Jharkhand to provide affordable and efficient health diagnostics services managed by the private sector. The private sector will be mobilizing about 12 dollars million over the next two years for procuring advanced equipment like MRI, CT scans, ultrasonography machines, auto analysers and other important equipment. The Yeshasvini Health Scheme in Karnataka is a health insurance scheme targeted to benefit the poor initiated by Narayana Hrudayalaya and the Department of Cooperatives of the Government of Karnataka. *Arogya Raksha* Scheme in Andhra Pradesh has collaborated with the New India Assurance Company and private clinics to provide hospitalization benefits and personal accident benefits to citizens below the poverty line who undergo sterilization for family planning from government health institutions. There have been many PPPs in the health sector in India which are doing great work.

Stress is being laid on PPPs in various sectors like infrastructure for Digital India, new energy strategy and infrastructure and mission urban infrastructure. The government must gear up to meet the PPP initiative and challenges.

- **Central-Sector PPP Projects:** The PPP Appraisal Committee approval 337 central project proposals worth Rs 2,97,856,58 crore which include 242 proposals for national highways, 29 proposals of ports, 2 for airports and 27 proposals for housing were approved. Railways and tourism infrastructure were not paid much attention.
- **The India Infrastructure Project Development Fund (IIPDF):** IIPDF was initiated in December 2007 to facilitate project development through PPP. It ensures smooth transparency and procurement and 51 projects were approved in which IIPDF sponsored with Rs. 64.51 crore.
- **Capacity-Building:** Capacity-building initiative was taken to strengthen the state and central institutions with the launch of the National PPP Capacity Building programme. Fifteen states and two central training institutes were involved in it. Specifically in functioning of PPPs 154 personnel were trained.
- **E–Toolkits:** Online Toolkits for PPP projects have been developed by the Ministry of Finance and are operational in five sectors for now on the department’s website on PPPs, www.pppindia.com. It helps in making sound decisions to achieve pre-determined quality and performance standards.

Q8 *India still faces a lot of challenges in revitalizing PPPs. Discuss the modifications and the way forward to make the PPPs a success.*

Ans. The PPPs in India are a relatively new concept in the physical and social infrastructural development. There has been a partial success in PPP projects. PPPs saw a decline in the last 7–8 years. The Government of India faced problems in raising sponsorship from the private stakeholder. The vicious cycle explains the relevance of PPPs in Fig. 22.6.

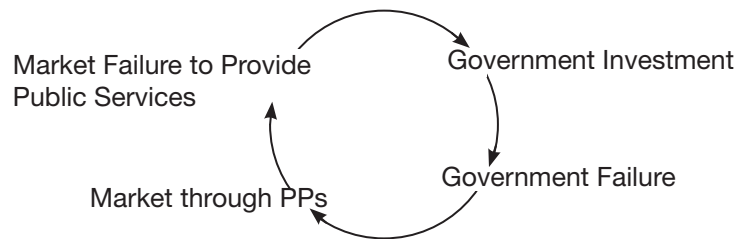


Figure 22.6: The Emergence of PPPs

India has become one of the world's largest markets for PPPs in enabling economic environment. PPPs are generally long-term contracts and the conditions change in that period leading to bottlenecks and gridlocks. The main challenges being faced in the success of PPPs in India are given below:

- **Standardizations of a Framework:** Each PPP contract between the government and the private party is unique and is formulated on specific terms. The Government of India has made a format through *NITI AAYOG* and the specific website on PPPs has but it is a generalized format which cannot cater to all contract. Modifications are required to be made in every project which must include steps and solutions to circumstantial problems that might emerge during the completion of a project. There must be leverage and room enough to make changes periodically.
- **Institutional Framework:** The National policy on PPPs, 2011 and legislations like the Public Procurement Bill, 2012 and State Regulations work towards making the environment conducive to PPP projects. However, most of these legislations are in the draft stage. Delays happen due to small but complex issues which are not resolved due to absence of regulations on them. These issues could be related to:
 - Confusion over single-stage or double-stage bidding
 - The essential number of bidders needed to ensure healthy competition
 - The prevalence of a regulator to standardize price, quality of service, etc.

Such issues cause delays in project completion leading to cost overruns.

- **Land Acquisition Issues:** The commercial operating date of PPPs generally gets delayed making cost an imperative issue. It has occurred partly due to land acquisition issues, willful default by promoters, irrational biddings, huge difference between project costs as approved by NHAI, and ones that are given to lenders^[8]. The time and cost overruns caused due to land acquisition disputes make the PPP projects unviable. The government usually gives the approval to begin the PPP projects in the hope that the land required would be acquired by the end of the project but in reality, it does not materialize.
- **Unviable Projects:** Tendered projects are mostly found to be unviable, especially, in the national highways sub-sector due to project planning beyond the scope of the bidders. Imprudent bidding leads to

the failure of PPPs, for example, in the allotment of Ultra Mega Power Project, the bidders did not clarify the revenue-sharing and fuel cost share with exchange rates and the project had to be bailed out.

There must be clear-cut regulations covering minute details of all possible issues related to the completion of PPPs. The legislations must be amended suitably to be enable clarity and conflict-resolution.

Insufficient viability gap funding and increases risk to the provider because of certain terms in the concession agreement.

- **Transparency:** The process specified for the PPPs compresses of four phases which has too many steps and drags for a long period. These is evidence of private parties gaining under favours to bypass the formalities which puts issue of transparency into question. This is seen in user-based projects also where the users are kept in dark over the commencement date of and the expiry of user charges, the amount, etc.

This issue usually goes unnoticed but remains a point of dissatisfaction among the user which turns into violent protests like it happened in Maharashtra. Hence, the government must ensure that the entire time schedule is displayed clearly on every toll plaza and on the websites of the projects so that there is transparency for the users.

- **Database:** There is a lack of information database regarding traffic, land and inventory. The market is ridden with the asymmetry of information which leads to a confused state of project and these confusions become invisible complexities of the PPP project.
- **Visibility Gap Funds:** The PPP projects work with the direct source of revenue from ‘user fees’ for concessionaires. They apply for visibility gap funds from the government and gain but the government is left without any leverage if the concessionaire does not deliver in twice and compromises on quality.
- **Ethics and Corruptions:** Research on corruption in PPP projects has been quite sparse. Corruption usually happens in the bidding phase undermining the integrity and capability of the PPP to deliver benefits. According to OECD, corruption occurs when a contract is not awarded to the bidder who offers the lowest price or the best value for money but to the bidder, offering a bribe. When corruption occurs the public-sector procurement process is damaged because it permits personal gains that create market inefficiencies. Ultimately, the public pays more for poorer quality of service.^[9]

There are some other problems plaguing the success of PPPs in India. The way forward is to curb corruption by making the processes more transparent and accountable with proper monitoring. Clear and detected regulations regarding PPPs would help to improve delivery but it is quite possible that regulations might curb the entrepreneurial activities as the private investors get discouraged by street rules and regulations. However, compliance and enforcement will improve the accomplishments of PPPs.

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UNIT

V

ACCOUNTABILITY AND CONTROL

Chapter 23 Concepts of Accountability and Control

Chapter 24 Citizen and Administration

Chapter 25 Role of Media, Interest Groups and Voluntary Organizations

Chapter 26 Civil Society—Citizen's Charter

Chapter 27 The Right to Information

Chapter 28 Social Audit

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Concepts of Accountability and Control

Learning Objectives

In this chapter, you will learn about:

- Impact of the Concept of Accountability
- Concept of Control
- Articles 38 and 32
- Public Interest Litigation
- Judicial Activism
- Mechanisms to Improve Accountability

Insofar as an enquiry into the practice of accountability in development is *de facto* an enquiry into how to control the exercise of power, we can view contemporary debates as a continuation of concerns that have driven political philosophy for several hundred years. Beginning with the ancient philosophers, political thinkers have worried about how to restrain power, prevent abuses, and keep it in line with established rules.^[1]

Q1 *Discuss the concept of accountability and control and highlight the impact it has when applied to administration.*

Ans. The concept of accountability has been prevalent in the societies of the world since we know them historically. In one way or another, there were some ways in which the head of the kingdom, tribe or a state had to be accountable to its citizens, unless it was a tyranny. If it were a tyranny, it could not sustain due to its atrocities and unanswerability to the citizens.

Beginning from India, there is evidence of the concept of accountability in its religious texts like *Ramayana* and *Mahabharata*, the king was answerable to its subjects. In Athens and Rome, there was the establishment of civilian oversight of public funds as well as of the wealth of public officials and generals so that there were no inappropriate gains derived from their positions.

In England, in 1215, the Magna Carta was signed, which established the first standards of accountability in government. In 1517, Martin Luther challenged the 'selling indulgences' and demanded accountability from the religious authority and ignited reformation. In the eighteenth century, elections became an instrument of accountability as it was in the hands of the voters to reject a leader if he was perceived and found to be at fault. The word 'Accountability' is of Anglo-Norman origin, semantically very close to the meaning of accounting or bookkeeping. The origin of the concepts hints towards a more technical process.^[2]

After a long historic journey, the concept of accountability found place in good governance. The Worldwide Governance Indicators (WGI) given by the World Bank included accountability in its list of indicators for over 200 countries and territories over the period 1996–2016, for six dimensions of governance.^[3]

1. Voice and Accountability
2. Political Stability and Absence of Violence
3. Government Effectiveness
4. Regulatory Quality
5. Rule and Law
6. Control of Corruption

The above set of indicators of governance show how accountability is closely interlinked with governance to achieve control.

Accountability Defined: World Bank defined accountability as, ‘The notion of accountability is an amorphous concept that is difficult to define in precise terms. However, broadly speaking, accountability exists when there is a relationship where an individual or body, and the performance of tasks or functions by that individual or body, are subject to another is oversight, direction or request that they provide information or justification for their actions’.^[4]

Public Accountability: Public accountability is a contested but fundamental concept in the structures of contemporary services.

Roberts and Scapens: Accountability is giving and demanding of reasons for conduct.^[5]

Melvin J. Dubnick: Dubnick proposed accountability, as a concept instead of just a word. The development of a meaningful empirical program for accountability research requires explicitly locating specific measures and their organizing analytical frameworks within maps of the conceptual space and historical ontology of accountability as a mode of governance.^[6]

Accountability and Control: Control is the process to ascertain that the work carried out has been done according to pre-determined standards and procedures. Accountability can be ensured by following certain mechanisms to check the overbearing and dominating bureaucratic power. The difference between accountability and control is the timing of its occurrence. Accountability takes place after the work is done whereas control need to be carried out simultaneously.

Typology of Accountability: Public organizations face the problem of the many eyes and their leaders are accountable to a number of different forums and there are different ways of categorizing who is accountable to whom, according to Bovens and Dubnick. The different types of public accountability are:

1. **Political Accountability:** Political accountability is important to improve the state mechanisms, policies and processes to achieve good governance, democracy and state responsiveness. Political accountability comprises a chain of superior subordinate relationships. Since the answerability is up and down the hierarchical chain, it is called vertical accountability.
2. **Administrative Accountability:** It is related to a person’s position in a hierarchy whereby a superior call a subordinate to account for his or her performance of delegated duties. It is vital to an organization to assess the performance regarding achievement of its goals. Punishment in some way or degree is used if the employee is found to be underperforming. It ensures optimization of all available resources to accomplish organizational goals.
3. **Professional Accountability:** There are professional codes of conduct governing professional governmental organizations where technical expertise is of utmost importance. Professional service delivery is ascertained by professional accountability.

4. **Social Accountability:** Social accountability, is applied when there is lack of trust in government where there are numerous social stakeholders, for example, civil society organizations, NGOs, social media, etc.

Control: There are two major types of control:

1. **External (or Political Control):** The external controls operate and have an impact over administration from the outside, as the name suggests. External control is administered in the following four ways:
 - (i) **Legislative Control:** The parliamentary control over administration in India is carried out through two basic mechanisms to prevent arbitrary and unconstitutional action by the government.^[7] They are:
 - (I) **Accountability on the Floor of the House:** It includes:
 - A. **Question Hour:** Question hour is allotted for the members of the Parliament (MP) to ask questions to ministers concerning policies of the government and hold the government accountable for its actions. The answers may be given orally or in a written form. However, as regards the impact of the question hour, it has been observed that from generally, about 40 per cent of its scheduled time is functional due to disruptions, leaving no room for a feedback and effectiveness.
 - B. **Debates and Motions:** The parliamentary oversight function is operational via debates and motions, again, to seek clarifications on government policies.^[8]
 - **Debates:** Debates do not require a vote at the end of the discussion and comprises four types:
 - **Short Duration Discussions:** An MP can raise an issue of public importance followed by a discussion with other MPs and a statement by the minister concerned, for example, rise in petrol/diesel prices.
 - **Calling Attention:** Calling attention requires only a response from the minister concerned on an urgent issue and no discussion is supposed to follow with other MPs.
 - **Half-an-Hour Discussion:** It is initiated when clarity is needed in a particular issue.
 - **Rule 377:** Under Rule 377 of the Lok Sabha, an MP may use the platform to make a statement on an urgent matter. It corresponds to 'Special Mention' in the Rajya Sabha. The concerned minister is not required to respond.
 - **Motions:** Motions allow for voting at the end of the discussion. There are three types of motions to assist in the parliamentary oversight, which are:
 - **No-Confidence Motion:** It can be moved against the 'Council of Ministers' (not an individual MP) by an MP, to be discussed only with the support of 50 or more MPs. If the motion is passed on voting, the government must resign.
 - **Adjournment Motion:** It leads to the adjournment of the house signalling a disagreement of the house with a government policy but the government does not need to resign.
 - **Rule 184:** In Lok Sabha Rule 184 and in the Rajya Sabha Rule 167 is used to support or oppose the government policy through voting.
 - C. **Zero Hour:** The hour following the question hour is popularly called zero hour and is used by MPs to raise urgent matters. The MPs must notify the speaker/chairperson, who can decide whether the issue may be raised.

The zero hour is typically used to make statement on urgent issues using Rule 377/special mention.

- II. The Committee System:** Since the Parliament has so much work, the committee system has been devised to address important issues. A parliamentary committee comprises MPs to examine bills, budgets of ministries and government policies. The debates get an informed perspective based on the committee reports. The committees can be permanent or temporary. They are given in a concise manner in Table 23.1.

Table 23.1: Parliamentary Committees

COMMITTEE	DESCRIPTION
Departmentally Related Standing Committees (DRSCs)	There are 24 ORSCs, which examine the working of ministries which are allotted to them, regarding their policies, issues Parliamentary Bills, Budget of the Ministries.
Financial Committees	There are three financial committees—The Public Accounts Committee, Estimates Committee and the Committee on public undertakings responsible for financial oversight of the government. They monitor the government expenditure after the passing of the Budget.
Committee on Petitions	Citizens can petition this Committee for the redressal of their grievances.
Committee on Government Assurances	It examines the assurances given by the Ministers on the floor of the Parliament And submits reports.
Joint parliamentary Committees (JPCs)	They are temporary investigative committees, set-up for a specific object and duration examine issues of Public importance.

Other ways of exercising external control are:

- The Parliament's power to convene itself.
- The role of the opposition

The legislative control has shortcomings in its impact. The above given methods are 'what should be', that is normative but the impact in reality is different. It can be summarized in the points given below:

- Deficiency in technical knowledge and expertise to have an effective control
- Lack of sustained methods of control
- Overbearing and high-handed attitude of bureaucrats
- Private industrial lobbying
- Promotion based on seniority instead of merit, thereby hampering creativity and innovation
- Lack of understanding in sanctioning excess grants

- (ii) **Executive Control and Accountability:** The political executive in a parliamentary system is the government in power and the permanent executive is the bureaucracy. The bureaucracy works under the government in power and is hence accountable to it. The government in power is accountable to the Parliament in turn, making it accountable to the people. Control can be effective in the following ways:

- Recruitment and promotion system
- Law-making or passing ordinances
- Budget
- Civil service code for conduct and business
- Appeal to public opinion through pressure groups and industry organizations

- (iii) **Judicial Control and Accountability:** The courts have the authority to exercise control over the bureaucracy regarding the legality of their acts to protect the public interest. This can be done through a Public Interest Litigation or a *suo moto* action.
- (iv) **Citizen centricity and Accountability:** Civil Society Organization (CSO) in the modern democracies are a major medium to exercise accountability. It can be done via:
 - Redressal through legislature
 - Judicial solution
 - Administrative tribunals
 - *Lok Adalat*

Some other control measures regarding corruption and malpractices are through Central Vigilance Commission (CVC), ombudsman, *Lokayukta*, grievance cells in various ministries and departments, all mediums of media, interest groups, unions, Citizens Charters, RTI and social audit.

2. **Internal Control:** The internal control works as a part of the administrative machinery as a self-regulatory mechanism. They are:
 - **Budgetary Control:** If the executive in the department overspends, they can be held accountable.
 - **Personnel Management Control:** The personnel is bound to work within the rules, regulations and codes of the department. Any violation of such kind warrants, the personnel to be held accountable.
 - **Management Control:** The supervising level functionaries conduct regular inspections to evaluate the output of the employees.
 - **Ethics:** Each department has to follow a code of ethics and professional standards. Any ethical violation needs to be handled by the appropriate authority.
 - **Acceptance of Leadership:** The employees of a public organization need to accept the leadership and function accordingly.

After understanding the procedures and mechanisms of accountability and control, it is important to assess them on ground. The weakest aspect of the Indian administrative system is utter disregard of accountability which results in corruption and disruption in the developmental activities. Ethical values in administration are in absolute disregard and chaos follows. Accountability needs to be accepted as a positive reinforcement to have effective and efficient development administration and good governance. Faulty control leads to failure of schemes and projects.

Q2 Article 78 in the constitution confers 'Executive Power on the President'. Elucidate.

Ans. It is important to first state Article 78 of the Indian Constitution to understand the executive power being conferred on the President. It states:

Duties of Prime Minister as respects the furnishing of information to the President, etc.

It shall be the duty of the Prime Minister.

- (a) To communicate to the President all decisions of the Council of Ministers relating to the administration of the affairs of the Union and proposals for legislation.
- (b) To furnish such information relating to the administration of the affairs of the Union and proposals for legislation as the President may call for.
- (c) If the President so requires, to submit for the consideration of the Council of Ministers any matter on which a decision has been taken by a Minister but which has not been considered by the Council.

Article 78 establishes two things:

1. The Prime Minister as the head of the Council of Ministers is the channel of communication between the government and the President.
2. The President can enforce the collective decision-making by the Council, even if a minister has tendered^[9] advice to the President on their own. There have been controversies that have happened on the issue of the relationship between the President and the Prime Minister. However, the Prime Ministers in India have fulfilled their responsibilities. According to Article 78, the Prime Minister should furnish such information relating to the administration of the affairs of the Union and proposals for legislation as the President may call for. He should submit for the consideration of the Council of Ministers any matter on which a decision has taken by a Minister but which has not been considered by the Council.^[10]

Q3 *The judicial control over administration is no substitute for parliamentary control. In fact, they are supplementary but serve two different kinds of purposes.*
Comment.

Ans. The judiciary plays an important role as a protector of the Constitution of India and a corrector of any wrong doings done by the legislative and the executive. The parliamentary control over the administration, on the other hand, is the main mechanism through the committees on public accounts, estimates and public sector. The judiciary is established to act in a supplementary manner. The purpose of both the arms, judiciary and the Parliament, is different, however, both aim to achieve good governance. Judicial control is extremely important to control administration. The administrative authorities have become very strong resulting in diverse complications for the socio, economic field of India.

The power of judiciary rests in Article 32 of the Indian Constitution.

Article 32

1. The right to move the Supreme Court by appropriate proceedings for the enforcement of the rights conferred by this part is guaranteed.
2. The Supreme Court shall have power to issue directions or orders or writs, including writs in the nature of *habeas corpus*, *mandamus*, prohibition, *quo warranto* and *certiorari*, whichever may be appropriate, for the enforcement of any of the rights conferred by this part.
3. Without prejudice to the powers conferred on the Supreme Court by clauses (1) and (2), Parliament may by law empower any other court to exercise within the local limits of its jurisdiction all or any of the powers exercisable by the Supreme Court under clause (2).
4. The right guaranteed by this article shall not be suspended except as otherwise provided for by this constitution.

Judicial review in India has its roots in the UK unwritten constitution. It can be defined as, 'A court's power to review the actions of other branches of government, especially the court's power to invalidate legislative and executive actions as being unconstitutional'.

To understand the judicial control over administration, it is important to understand the context of administrative actions. Administrative action is strictly neither legislative nor judicial. The decisions taken under this sphere are based on policy and practical, however, it may be improper. In India, the Supreme Court, in *Siddheshwar Sahakari Sakhar Karkhana Ltd. versus Union of India*, opined that the court should not interfere in policy matter, which is the government's jurisdiction, normally unless it is against the law. Hence judicial review must be based on 'self-restraint'.

In addition to the five types of writs that can be used for judicial review of administrative actions, Public Interest Litigation is also used as a control mechanism to there is any:

- Abuse of official discretion
- Lack of jurisdiction
- Error of law
- Error in finding of fact
- Error of procedure^[11]

To summarize the above discussion, it can be said that judicial review can be conducted based on three basic grounds of legality, irrationality and procedural impropriety of an administrative action.

However, there is separation of powers between the Parliament and the judiciary establishes the difference between their control mechanisms. The basic difference in their purpose is their power and functions. The Parliament is the law-making body and its control is over the executive and administration to ensure that no misappropriation of funds or conduct of behaviour is carried out whereas the purpose of judicial control is to evaluate the legality of the administrative action.

Q4 *Comment on the following statement, 'It would be fatal for administration if the public functionaries indulge in procrastination, betray in action or move in circles because the demand for accountability has overawed and benumbed them'.*

OR

Comment on the statement, 'Beauraucracy is a system of government the control of which is so completely in the hands of officials that their power jeopardises the liberties of ordinary citizens'.

Ans. Administrative self-regulation is essential to deliver public services to the citizens. The public functionaries are expected to conduct themselves in an ethical manner by following the rules and regulations so that they serve the public. In reality, they get overawed and benumbed with accountability are caught in a closed circle of procrastination and inaction by taking refuge in procedures and processes.

The public functionaries and administrators need to commit themselves to the internal as well as external control mechanisms but they have proven to be a highly different, arrogant, high-headed and arrogant class. Their attitude is inbred since the British times. India inherited the administrative system and attitudes from the British and which was not reformed according to the needs of the people. Nonetheless, bureaucracy is the extended executive through which the government gets its work done.

There is procrastination among the public functionaries which might be due to lack of confidence a lack of motivation but majorly because of fear of failure when they realize that they might not be able to achieve performance and quality standards and would be liable to accountability, they tend to keep the activity or matter at hand trapped in circles of procedures in files.

This attitude could also be intensifying because of apathy, antiquated equipment, archaic processes, corruption resulting in faulty implementation.

Bureaucracy cannot remain in their ivory tower and has to connect to the social environment and be a part of it. They need to be credible and flexible to simplify procedures and deliver. Citizens depend on the government and its functionaries for various services in an honest manner but their apathy leads to a disruptive state of affairs. When basic services are affected it naturally leads to chaos and anarchy, bringing the whole societal system into danger.

Q5 Public Interest Litigation is an effective innovation in realizing social justice. Discuss.

Ans. Public Interest Litigation (PIL) is a legal action initiated in a court of law for the enforcement of public interest where the rights of an individual or a group have been affected. The concept of PIL is based in providing social justice to all without any bias of any type social justice in a society is built on the laws that hold in that country but the prevailing moral principles of a society may be unjust or oppressive. It can be said that justice is the apportionment of what is to be apportioned in accordance with personal ability, merit, rank or wealth. India is a democratic country with an extremely well-written constitution in which social justice is one of the paramount features.

The Preamble of the Constitution of India states that, 'We, the people of India, have solemnly resolve to constitute India into a sovereign socialist secular democratic republic.' PIL relates to the writ jurisdiction of the Supreme Court under Article 32 and Article 226 before any High Court, seeking redressal.

A PIL is introduced in a court of law not by the aggrieved party but by the court itself or by any other party. This implies that the victim need not personally approach the court. PIL in India is concerned primarily with providing access to justice to all social constituents and has been a part of the constitutional litigation and not civil litigation.

The concept of PIL is directly derived from the Article 39 (A) of the Constitution of India to protect and deliver prompt social justice according to the law. Any citizen of India, consumer group or social action groups can seek legal solutions from the apex court in the interest at stake. There are two scenarios in which a PIL can be filed:

- (i) If the complaint is about a legal wrong the High Court of the state under Article 226 of the constitution.
- (ii) If a 'fundamental right is alleged to have been violated', the High Court or the Supreme Court directly may approached.

In providing social justice to citizens, the Article 32 states 'The right to' move the Supreme Court by appropriate proceedings for the enforcement of the rights conferred by this part is guaranteed. In 1981, justice P. N. Bhagwati allowed any member of public to approach court for an appropriate direction, order or writ'.

However, PIL is confused over where a, lawsuit, with regard to class diction, must be filed or defended by an individual acting on behalf of a group. There has doubts over the use/misuse of PILs. The apex court faces a challenge to deal with the ever expanding scope of the PIL in which the genuine cases have been pushed to the back. PILs are also used as a means to harass opposition political parties or business rivals. Another allegation levelled against the PIL is that the judiciary is overstepping the boundaries of jurisdiction. Nonetheless, the PILs is a positive tool to implement equitable social justice to the poor and the marginalized a sector.

The criticism levelled against the PILs taking time and resources of the Supreme Court; they constitute less than 1 per cent of the overall case load.^[12] The rate of PIL cases regarding women and children's rights and to the concerns of SC/ST/OBC's rights as well as the marginalized sector.

Q6 Write a short note on judicial activism with reference to India.

Ans. Judicial activism means that the courts become activists and pass judicial rulings based on personal or political considerations rather than on existing law. It is intricately associated with the constitutional interpretation, statutory construction and separation of powers. Black's Law Dictionary defines judicial activism as a 'philosophy of judicial decision-making whereby judges allow their personal views about public policy, among factors to guide their decisions'.^[13]

The judges pass judgements according to their own values keeping in mind the needs of the society, as opposed to the concept of judicial restraint. Judicial activism becomes even more important and relevant in a state of poor governance. The Supreme Court expands its jurisdiction by issuing novel directions to the executive. The reasons for the rising judicial activism are:

- Collapse of responsible government
- Pressure on judiciary to be active
- Judicial zeal to bring social reform and change
- Filling, the legislative void due to the changing needs of the society
- Supreme Court is the final authority to validate a law
- Courts as guardians of fundamental rights
- Public trust in the judiciary

Judicial activism creates problems at times in the implementation of its directives. If the union government does not align itself with the court's ruling it has to make constitutional amendments, for example, in 1986, in Shah Bano Case, the Supreme Court of India held that Muslim women can claim for maintenance after divorce but the central government passed the Muslim Women's (Protection of Rights on Divorce) Act, 1986 to dilute the decision given in Mohd. Ahmad Khan versus Shah Bano Begum 1985 Cr. L.J. 875 (SC).

However, judicial activism has come to stay. In the words of Dr. A.S. Anand, Chief Justice of India, 'The Supreme Court is the custodian of the Indian Constitution and exercises judicial control over the acts of both the legislature and the executive'.

Q7 In what respects do the powers of Lokpal and Lokayuktas help in accountability?

Ans. The *Lokpal* and *Lokayuktas* (Amendment) Bill, 2016 was passed in the Lok Sabha which requires a public servant to declare his assets and liabilities and that of his spouse and dependent children. Such declarations must be made to the competent authority within 30 days of entering office. The public servant must file an annual return of such assets and liabilities by 31st July of every year. The *Lokpal* Act also mandates statements of such declarations be published on the relevant ministry by August 31 of that year.^[14]

Some other features of the *Lokpal* and *Lokayuktas* (Amendment) Bill, 2016 are:

- It enables the leader of the single largest opposition party in the Lok Sabha in absence of a recognized leader of opposition to become a selection committee member that has been appointed to select the ombudsman.
- It has extended the time given to the public servants and trustees and board members of Non-Governmental Organizations (NGOs) to declare their assets and those of their spouses.
- The public servants and trustees and board members of NGOs must be receiving government funds of more than ₹ 1 crore or foreign funding of more than ₹ 10 lakhs. The act is basically an anti-corruption mechanism to increase accountability.

The act can ensure accountability in the following ways:

1. **Superintendence:** The *Lokpal* will have the power and authority of superintendence and direction over any investigation agency extending also to CBI for such cases which will be referred to them by the ombudsman.
2. **Summon Public Servants:** The *Lokpal* can summon or question any public servant in case of a prevalent *prima facie* case against an individual prior to an investigation by any investigation agency. During the investigation the *Lokpal*, no officer of the CBI would be transferred without the permission of the *Lokpal*.

3. **Timeliness:** An investigation must be completed in a time bound manner within six months. An extension of six months can be given (in writing) if the *Lokpal* or *Lokayuktas* approves of it.
4. **Special Courts:** Special courts will be established to conduct trials on cases that are referred by the *Lokpal*.

The issue with the *Lokpal* Act presently, is that it has not been implemented completely. *Lokpal* could not be appointed at the centre because of political limitations and twelve states have not still not established *Lokayuktas*. However, it is an effective mechanism to ensure accountability with the help of the special features of this act.

Q8 *The weakest aspect of Indian administrative system is utter disregard of accountability. Examine the current mechanism for enforcing accountability. What steps are necessary to make it more effective?*

Ans. Public accountability in India still has traces of its socio-economic and institutional structural framework of its past. The caste system is embedded in our hierarchical system constitutionally. The nexus between politics, bureaucracy and the powerful elite is highly detrimental to the accountability system of India. Moreover, there are frequent malpractices in our institutions like the electoral system, public delivery system, etc. Good governance depends on strong economic and social institutions along with the achievement of quality performance. This is depicted in the Fig. 23.1.

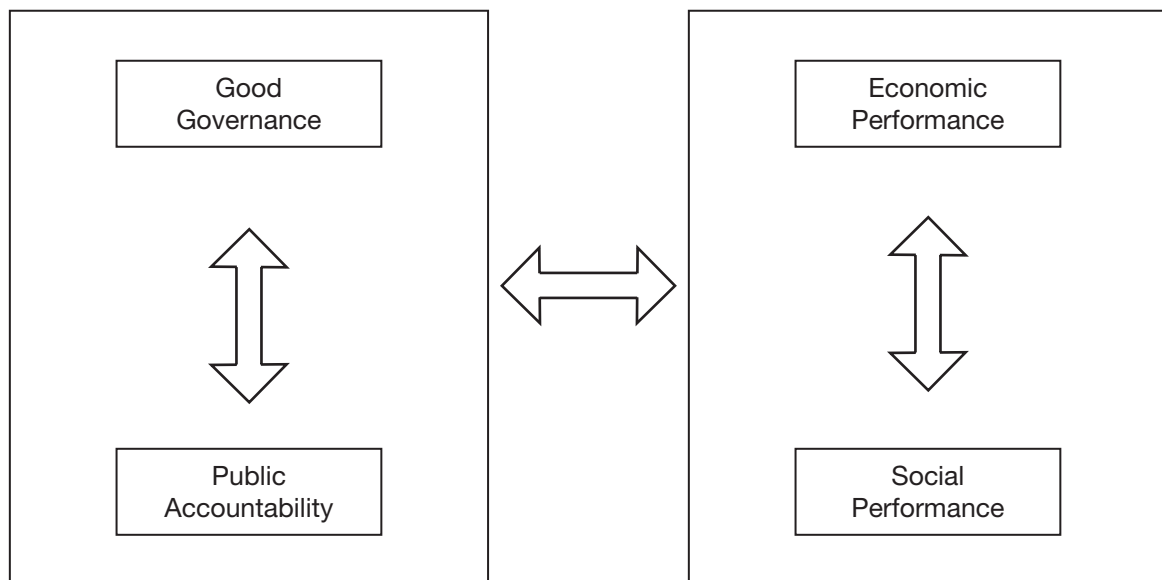


Figure 23.1: Public Accountability ↔ Good Governance

It has been observed in worldwide indices that the level of governance in India is very low. The quality of performance depends on the economic and social performance.

The weaknesses in the Indian public accountability are given below:

1. **Judicial Accountability:** Judicial accountability is of paramount importance in any nation to mete out justice to all and keep malpractices of the government, its agencies and officials, in check.

The issues being faced in accountability of the judiciary are:

- (i) **Corruption:** The Indian judicial system is ridden with corruption but not even a FIR can be registered against a corrupt judge without the permission of the Chief Justice of India.
- (ii) **Pending Cases:** There are over 30 million pending cases in the Indian courts and number is still rising. This points out the inadequacy of the judicial system. The undertrials have to just languish in the person and waste their precious years in the eventuality of delayed justice. Moreover, it is a big deterrent to foreign investors because they shirk away from delayed and difficult dispute resolution.
- (iii) **Transparency:** There is a lack of transparency in the Indian judicial system. Even the RTI cases are not in its sphere. Accountability and transparency are totally unclear.
- (iv) **Away from Ground Reality:** The judges and the law officers follow the British norm of staying away from the society to avoid contact and controversies. As a result, they are unaware of the ground realities.

The conclusion from the above points is that the Indian judicial system has been unable to keep up with the changing face of the society and the world. It needs to adopt reforms to retain its independence, especially, from the other branches.

The reforms in the judiciary required are:

- (i) **Appointments:** The present Indian judicial relies on the collegium of judges, which appoints judges for courts. There are a large number of vacancies, especially, in the High Courts, but the collegium process is quite ineffective in filling them. The process reform is still in complete and needs to be implemented as soon as possible.
 - (ii) **Corruption:** The blemished selection process of the judges has resulted in incompetency and a question mark on their integrity. Corruption in the judiciary and unworthy behaviour requires a more transparent mechanism for judicial accountability.
 - (iii) **Decrease Responsibilities:** The judges have to manage and supervise diverse responsibilities like the court calendar, staff services, records, court reporting and liaison with the bar. However, they are not able to perform their duties effectively. Court managers must be appointed to help manage these diverse responsibilities effectively.
 - (iv) **Mid-career Training:** Indian court system need their officials and judges to be trained at the beginning as well as undergo a mid-career training programme. The budgetary allocation must be increased to improve the judicial system and its accountability.
 - (v) **National Litigation Policy:** Majority of the cases are between government departments with which the judiciary is burdened and the cases of the common masses get neglected. The National Litigation Policy must be developed and implemented to increase accountability.
 - (vi) **Support from the Bar Council of India:** Any kind of judicial reforms can be implemented only with the support from the Bar Council of India but the bar council has not done enough to regulate the system. Legal education has lost its standard and the professional conduct of young lawyers is questionable and corrupt.
3. **External Accountability Mechanisms:** The accountability mechanisms in India are internal as well as external. The external controls comprising of CSOs and media need to be active to achieve effective accountability. The major issues being faced in the external accountability mechanisms are:
- (i) **Unresponsiveness of Citizens:** Citizens in India have an indifferent attitude which is shown in their low participation in elections and legally asking the government to account for its actions.

- (ii) **Monitoring:** The parliamentary monitoring procedure lacks in effectiveness due to lack of updated databases.
- (iii) **Liability:** The functioning of MPs is very poor and they are not held accountable for their misconduct due to lack of awareness amongst citizens and groups to challenge the elected representatives through PILs.
- (iv) **Corruption:** Large-scale corruption scams have surfaced involving political leaders and industrialists who have defrauded the government and run away from the country. Anti-corruption mechanisms have been put in place but to no effect. The trend of corrupt behaviour has trickled down to the lower levels of administration and people are also used to getting their work done in government offices by bribing officials.

SUGGESTIONS TO IMPROVE PUBLIC ACCOUNTABILITY

One cannot let go of the issues in public accountability by first understanding them. Ways to improve public accountability must be looked into. The areas in which it can be strengthened are:

1. **Information:** There must be a strong database of information on which the public accountability mechanisms can be relied upon, in a simple format. Information hence, must be available, accessible and understandable. Availability of information would comprise of the expenses of ministers. It would deal with social services like health, education, employment etc., online on the websites of the relevant ministries. Accessibility of information should be through internet, mobile apps and mass media so that accountability mechanisms like the RTI can be used easily. Citizens must be made aware of their rights to make the government accountable through widespread campaigns on the media. Information understandability means that the data and information presented on the websites and elsewhere must be in a simple language without any loopholes.
2. **Equality:** Indian constitution declares equality as a fundamental right. Equality in all government procedures like transfers, promotions, appointments, tenure and performance targets must be dealt without any bias and favouritism. There must be a quantitative evaluation system in all spheres so that a fair system is evolved. Incentives can be given to public officials if their performance ranks as excellent on the quantitative assessment scale.
3. **Implementation:** Policies in India are not faulty but their implementation is. It must be improved with the help of social audits. Incentives and their withdrawal if the performance is below pre-determined standards.
4. **Autonomy:** Autonomy must be granted to the agencies responsible for supervision and monitoring. Effectiveness in their functioning can be achieved only if they are given a free hand. Decentralization of authority is another area which needs to be strengthened so that there can be better accountability.
5. **Institutional and Human Resources:** There must be adequate manpower of officials and funds in all monitoring agencies and accountability mechanisms. All vacancies must be filled as soon as possible so that workflow is not interrupted. Human resources must be supported with necessary modern technology and software's.
6. **Citizen-Participation:** Citizen-participation and engagement must be encouraged in areas of budget formulation and policy-making to understand the needs of the people at the local level. The citizens, through CSOs, must keep a check on the government expenses and expose any misappropriations committed or omitted by the government agencies.

The Global Integrity Report^[15] stated that India is 'weak democracy' because of corruption and accountability deficit. It said, 'The absence of any meaningful law to monitor the funding of political parties had

been a glaring limitation in the Indian electoral/political system'. India scored 19 out of 100 in terms of public participation in the budget formulation cycle against the global average of 25. There must be proactive strengthening of the public accountability mechanisms, especially, in the areas campaign funds and criminalization of funds. The area of governmental action must be narrowed down substantially to concentrate on its basic governance.^[16]

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24

Citizen and Administration

Learning Objectives

In this chapter, you will learn about:

- Relationship Between Citizen-Centricity and Good Governance
- Emergence of Citizen-Centricity in India
- Governmental Initiatives
- Minimum Government, Maximum Governance
- Supply Side of Citizen-Centricity
- Barriers to Citizen-Centricity in India

The relationship between a citizen and administration is the focus on which the success of a democracy rests. A democracy is by the people, for the people and of the people. Since 'people' is the main constituent of a democracy, the democracy has to provide them with welfare through good governance which can be accomplished only by keeping the citizen in mind. This is why good governance is also called Citizen-Centric Governance or Citizen-Centric Administration. It is important to study and understand the Citizen-Administration relationship to identify the lacking areas and the ways to improve them.

Q1 ***Discuss Citizen-Centricity and Good Governance Relationship. How did the concept of Citizen-Centricity emerge? (with reference to India). What are the initiatives taken by the government in this regard?***

Ans. The concepts of Citizen-Centricity and good governance are intimately connected. The main objective of both the concepts is the welfare of citizen. Public administration deals with the affairs of the 'public', which is the representation of citizens. Citizens are dependent on the government to avail social and physical infrastructure. Hence, the relationship between the government and the citizens must be transparent and trustworthy. Good administration in modern democracies leads to good governance so that they build trust with citizens. This relationship will keep the government in power longer so that it can implement good policies and programmes to improve social welfare. However, a citizen is not concerned with the convolutions of governance and politics but only interested in the benefits and services that it can obtain from the government.

Citizen-Administration relationship can be defined as the various ways in which individuals and public sector organizations interact. This includes in-person interactions and mediate interactions for transactional relationships. It also includes the less tangible relationships involving the citizen not as direct of a

good or service but as general stakeholders in public sector relationships^[1] the concept of Citizen–Centric governance is not new although it was not termed so. The citizen and administration relationship has been evidenced in the ancient times also.

EVOLUTION AND EMERGENCE OF THE CONCEPT OF CITIZEN AND ADMINISTRATION

The concept of Citizen–Centricity has been existing in our society since the ancient times. Given below is an account of its evolution and emergence in the world:

Kautilya: Kautilya in his treatise *Arthshastra* elaborated the traits of a well-governed state which Mahatma Gandhi termed as ‘*Su-Raj*’.^[2]

Rome: After the collapse of the old monarchy and the foundation of the Republics, the citizens were called ‘plebians’ meaning the poor people as well as the ‘wealthy’. After a revolt the council of the Plebians was constituted to include everyone, based on law.

Ancient Israelites: The concept of citizenship is seen in the society of ancient Israelites, bound by common geographical location and ethnicity. The Jewish Covenant was an agreement with the whole nation of Israel.

Ancient Greece: There are instances of citizenship in ancient Greece which had city–states around the eighth century BCE.

There were revolutions across the globe in Italy, France, European towns, The Great Britain and America.

INITIATIVES TOWARDS CITIZEN–CENTRIC ADMINISTRATION IN INDIA

Citizen–Centric Administration developed in India with its gaining independence in 1947. Mahatma Gandhi was a strong proponent of the concept of ‘*Su-raj*’ thereby giving rights to the citizens and responsibility to the government to perform its functions for the social welfare of the people. There have been major initiatives in this area to identify the weak areas and the ways to improve them. These initiatives were taken in the following ways:

- Enacting laws giving certain rights to people
- Setting up of new institutional mechanisms to redress citizens’ grievances
- Improving accessibility to citizens by setting up units closer to people
- Simplifying procedures to reduce bureaucratic delays
- Using technology to improve internal efficiency
- Rewarding government employees who perform well
- Improving discipline within the organization
- Reducing regulatory control
- Holding public contact programmes, etc

Santhanam Committee Report: The Central Vigilance Commission

The Committee on Prevention of Corruption, popularly known as the Santhanam Committee, the Central Vigilance Commission (CVC) was set-up by the Government of India, 1964. It was accorded statutory status via the Central Vigilance Commission Act, 2003. It advised the Union Government on all matters pertaining to the maintenance of integrity in administration.

First Administrative Reforms Commission (ARC)–Lokpal and Lokayuktas

The First ARC recommended the setting up of the *Lokpal* at the centre and *Lokayuktas* at the state level to investigate allegations or grievances arising out of the conduct of public servants including political executive legislators, officers of the state government, etc. The *Lokpal* Bill was passed in the Parliament but no consensus has been reached for the appointment of *Lokpal* although many states have constituted *Lokayuktas*.

Administrative Laws

Delay in public service delivery is due to the complex system of rules, regulations and procedures which have outlived their utility. A commission on the review of administrative laws was set up in 1998. It recommends the following:

- Compilation of up-to-date information about rules, regulations, etc.
- Expeditious amendments to various Acts.
- Unification and harmonization of statutes, laws, etc.
- Repeal of 1382 central laws of different categories out of about 2500 laws in force on the grounds that these laws have become irrelevant.

CITIZEN'S CHARTERS

A consensus evolved in the Government of India in a conference of chief ministers of various states and union territories in 1997, on 'Action Plan for Effective and Responsive Government'. It was decided that Citizens' Charters would be formulated by all government departments at the centre and state levels to have a wide interface with the citizens.

Right to Information Act, 2005

The Right to Information Act, 2005 was passed to give freedom of access to information. It is a useful tool in the hands of the citizens to ask for any information so that they can hold the public agency accountable for any omission or commission in the delivery of public services.

E-Grievance Redressal System and Governance

To keep the citizen in the central focus for all public activities, E-Grievance Redressal System through Computerized Public Grievances Redressal and Monitoring System (CPGRAMS) was developed by the Department of Administrative Reforms and Public Grievances (DAR&PG) with National Informatics Centre in 2001.

All these initiatives were reinforced by the recommendations given by the Second ARC. It reiterated that the citizens are at the core of good governance, hence good governance and Citizen-Centric Administration are intricately linked.^[3] Other mechanisms that strengthen the Citizen-Administration interface are the anti-corruption legislations, decentralization and delegation, consumer protection, institutional mechanisms and process simplification.

Q2 *Is the concept of Citizen-Centric Governance compatible with the idea of 'Minimum Government, Maximum Governance'?*

Ans. The concept of Citizen-Centric Governance (CCG) keeps the citizen at the highest level of priority. Participatory governance is essential to take care of the interest of the citizens. Civil Society Organizations have a major role in making the citizens aware of their rights to expect quality service from the

government. The legitimacy of the government can be sustained through taking action. Infrastructure can be provided by the government, for example, the buses to ply on a certain route, but if the administration keeps on changing the route of the bus, the citizen will always be confused about the pickup point of the bus and will get dissatisfied that there is no transport being provided by the government for them. Thus, the government officials need to be slick and smart in implementing the plans so that the benefit reaches the citizens for whom it is basically meant for.

The size of the government keeps getting bigger making it difficult to do any good. It works for itself which is a complex governance problem. Nothing can be done about that but the government officials need to prove that they merit the position that has been given to them. This can be done with the help of various mechanisms that they have at their disposal. Digital governance delivers with better quality and better transparency with commitment. Many government portals have been launched to deal with various issues, for example, taking an appointment in a hospital, selling of products on the portal gem.gov.in, which is a government e-market.

The Government of India has started the Smart Cities Mission which is an urban renewal program. This will make the lives easier for citizens and can become business hubs. Governance is required only to set-up the cities and the development will spread as a cascading effect on the areas surrounding them.

The Government of India follows the quote 'Maximum Governance, Minimum Government' to reduce the decision-making layers to a minimum to facilitate faster information sharing, procedure simplification, etc. Direct Benefit Transfer via Aadhar has been a transparent method to give subsidies to the poor. Self-certification has also reduced a lot of hassle for citizens instead of submitting affidavits for small government jobs.

Q3 Discuss the supply side of Citizen-Centre Administration.

Ans. The supply side of Citizen-Centric Administration (CCA) implies the public service delivery efficiently, timely and of good quality. The benchmarks of the supply side are:

- The parameters
- Laws
- Policies
- Institutions

An effective public distribution system of essential services plus other basic services is important to utilize the advantages of demography dividend and this can be achieved only through focusing on the citizen, that is, CCA. Good CCA will ultimately lead to higher ratings on Happiness Index, Corruption Perception Index, etc. Given below are some important issues to be focused on to improve the supply side of CCA:

1. **Sound Legal Framework:** Unless there is a sound legal framework, a government and the citizens do not have anything to fall back upon. The old and redundant laws need to be repealed and new laws must be enacted to cater to emergent needs and services for social welfare of the citizens.
2. **Rule of Law:** There is an appropriate institutional framework in India to uphold the Rule of Law, one of the vital indicators of Worldwide Governance Indicators (WGI), but their implementation lacks in effectiveness and efficiency. Thus, accountability and control mechanisms like RTI and Redressal of Grievances must be ramped up.
3. **Commitment:** Human resources need to be optionally utilized by adhering to the ethical codes of various government departments and agencies. The government personnel must uphold commitment to the carrying out of developmental work and Public Distribution System (PDS).
4. **Decentralization and Accountability:** The 73rd and the 74th Amendment of the Constitution of India mark decentralization and delegation of power and authority to the *Panchayati Raj* Institutions

(PRIs). They are entitled to hold social audits to effectively hold the *Gram Sabhas* accountable of the projects and schemes under them.

5. **Transparency:** All government departments are mandated to put out relevant information on their individual websites and have an interactive portal where the citizens can be well informed to compare the promised and declared works to what is being done in reality. This transparency will empower the citizens to demand service by the mechanisms available to them like Public Interest Litigation (PIL), RTI, etc.
6. **Outcomes, Evaluation and Monitoring:** The focus should be not on the targets only but on the performance outcomes. The budgeting procedures mandates the state as well as union governments to prepare outcome budgets to have a comparative analysis and to evaluate their performance. A strong foolproof system of monitoring must be implemented to ensure delivery of public services.
7. **Information sharing:** The government agencies must develop information sharing digital as well as physical campaigns to promote citizen participation. Various departments have developed mobile applications, for example, the *Swachh Bharat Campaign* app on the mobile phone has a feature to upload a video or a photo of debris or piled rubbish in any area and the Municipal Corporation responds to it and cleans it.
8. **Process Simplification:** It is important to simplify processes to increase the ease of doing business in day-to-day life. Most of the services are available online and One-Stop-counters have been made operational through which a citizen can pay electricity bills, water bills, property tax, etc., or buy stamp papers. The GST system has been made totally online which gives the businessmen an ease of paying tax and maintain a proper accounting system.

Summing up, it is felt that India is not deficient in any kind of institutional framework in various areas but the deficiencies lie in their implementation. For instance, the Indian traffic rules have been appropriately made taking international practices into consideration but their implementation by the traffic leaves much to say. Corrupt and careless police does not care about the following of traffic rules or they look for drivers who violate any rule to only take bribes and let them go scot-free.

Q4 What are the barriers to delivering Citizen-Centric Administration in India? Discuss the ways to reduce the barriers.

Ans. Citizens-Centric Administration is an established precursor to good governance which is integral in providing services to people with efficiency, effectiveness, economy, timelessness and quality. This can be achieved by following the Worldwide Governance Indicators^[4], laid down by the World Bank, with a strong citizen-government interface. However, in India, there are some genuine and some made-up barriers to CCA. The Government of India is facing declining citizen satisfaction, increasing public distrust and high costs in public service delivery. The various challenges to delivering CCA in India are given below:

1. **Needs of the People:** Projects, plans and schemes of PDS, including physical and social infrastructure are prepared by the government based on their own requirements and processes instead of the needs of the people they have been elected by them to serve.

This issue can be resolved by considering the following suggestions^[5]:

- (i) **Citizen Interface:** The citizens must be asked what they need to be improved in services. A survey can be conducted in which they rank each service to understand the needs of the users and their priorities. The survey can be done by the local government agencies or they can outsource it.
- (ii) **Identifying Acceptable Service Levels:** Another way to improve service delivery is to improve one-stop-centres. Acceptable service levels can be identified which the local public

agencies must strive to achieve and customer satisfaction stays at least at average levels. This method of identifying acceptable level is called Break Point Analysis which has given goods results in the UK.

- (iii) **Combination of Public Feedback with Internal Data:** Operational data must be combined with customer-satisfaction to yield customer expectations in clear terms through surveys. This approach has been successfully achieved in the Australian taxation office. Statistical correlations between the specific areas that the customers have identified as problem areas and the drivers of their dissatisfaction. The agency can come to a conclusion about the specific areas of improvement in the Interacting Voice System (IVR). Employees of the public agency also have valuable feedback regarding the pain areas in the service delivery.
 - (iv) **Detailed Understanding of the Citizen Journey:** A 'citizen journey' is the entire experience that a person has when seeking a government service. It is discrete, multi-touch, multichannel and cross-functional in nature which is premised in how people think about their experience and not in how government agencies do. The public agencies that skillfully manage the end-to-end journey report higher level of customer satisfaction. Instead of focusing on improvements at individual touch points, government leaders can view services through the eyes of the constituent to consider the entire citizen journey. This methodology involves:
 - Identifying the journeys that matter most to citizens
 - Developing a map of how citizens experience those journeys
 - Identifying the internal processes that shape those journeys
 - Translating improvement opportunities into front-and back-end solutions
 - (v) **Proactive Notifications and States Updates:** The public agencies which believe in information-sharing with citizens achieve greater levels of satisfaction while also reducing costs. This methodology has been successful in achieving success upto 97 per cent of customer satisfaction and reduction in wait times to less than ten minutes in the State of Indiana, USA.
6. **Improved functionality of Self-Serve Channels:** Citizens expect multichannel communication options and prefer self-serve channels, like online portals. However, there is evidence that citizens' uptake on self-serve online portals is quite low.
 7. **Professional and Consistent Communication:** In-person and telephone channels still account for most of the citizens interactions with their government. The staff must provide clear, consistent and courteous explanations to the citizens regarding their issues. Back-office operations also need to be ramped up as the fault in delivery of public services lies there.
 8. **Corruption:** India faces a major challenge into corruption and bribery. Citizens are used to giving bribes to officials to get services and on the other hand, the officials are used to taking bribes. This problem needs to be curbed by putting all anti-corruption mechanisms into good implementation.
 9. **Red-tapism:** Timelines is the essence of service delivery to citizens. Red-tapism is the root cause of corruption especially, when the citizens do not get services on time, in need.

There are various other problems like ineffective implementation, centralization, etc. The above-mentioned issues must be resolved to raise customer satisfaction.

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3. For more information, log on to: <https://darpg.gov.in/sites/default/files/ccadmin12.pdf>.
4. There are six key dimensions of governance–Voice and Account Ability, Political Stability & Lack of Violence, Government Effectiveness, Regulatory Quality, Rule of Law and Control of Corruption which were laid down by the World Bank. They were formulated in a project involving more than 200 countries and territories over the period from 1996 to 2016.
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25

Role of Media, Interest Groups and Voluntary Organizations

Learning Objectives

In this chapter, you will learn about:

- Evolution of Media
- Types and Classification of Media
- Role of Media with Special Reference to India
- Interest Groups Emergence, Types and Models
- Pressure Groups
- Voluntary Organizations

Media, interest groups and voluntary organizations have a great role in providing input to ensure accountability in the government in its activities of social welfarism. Besides that, they try to bridge the gap in governance by contributing in the delivery of public services since the government cannot be everywhere. This chapter comprises three stakeholders making a mark in public governance and administration. Each stakeholder will be dealt with separately although their end goal is same.

Q1 What do you understand by media? Discuss its evolution and types.

Ans. Media, or mass media, a plural form of medium, connotes any channel of communication, for example, radio, print (newspapers, magazines, journals, etc.), television, films and social media. They are the collective tools of communicating to express views, thoughts, studies and research and opinions. Media has a specific purpose in putting out their thoughts and opinions to achieve an end-goal. Communication has existed since the inception of human civilization but media came into existence with the invention of radio and printing machines. However, prior to this, the scholars used to produce handwritten texts for which there is plenty of evidence.

In the eighth century, wooden blocks were used to print in Japan and Korea, called Xylography. Johannes Gutenberg, a German goldsmith in the fifteenth century, invented the printing press, which enabled book production. This helped in dissemination of information with speed throughout Europe. He is known for the 'Gutenberg Bible' as he was successful in popularising it although they existed in Asia long before that.

The next invention that added to the sphere of media was that of a radio in 1895 by Guglielmo Marconi and telegraph in 1901. The controversy of who invented radio needs a mention here regarding Marconi versus Tesla. Nikola Tesla, a Croatian, invented the idea of radio in 1892 and after a long battle in the US, the Supreme Court ruled that the patent of radio invention belonged to Nikola Tesla in 1943, after his death. Contrary to popular belief that television is a thing of the modern world, it was invented way

back in 1927 by a twenty-one year old Philo Taylor Farnsworth. Television has become a necessity today playing multiple roles, some with responsibility and some with recklessness. Then came the age of cinema and films which were also made to express strong opinions about issues or spreading social messages. Lastly digital media began in 1988 when Internet Relay Chats (IRCs) were used till 1990s. The first social media site was Six Degrees, which was developed in 1997 which was followed by Orkut, Facebook, Twitter, Snapchat and many more.

All these types of media, presently, are being used to form public opinion, spread social awareness messages and disseminate information. The news journalists challenge the wrong doings of the government or private persons to check malpractices. With the digital technology, everything happens instantly and answers are sought.

Q2 What is the role of media in a democracy like India? Discuss how reliable is the information being disseminated through the media.

OR

How can media play a constructive role in improving the performance of the administrative machinery?

Ans. Media is present everywhere and is always within our reach. We are updated about what is currently happening whether or not we want to know. Media is referred to as the fourth estate, the proverbial pillar, of our democracy. It is important in various ways.

1. **Information:** First and foremost, media gathers information and data, collates it, analysis it and then presents to us the most relevant information in a systematized manner, raising questions to the incumbents of wrongdoings and for us to decide what is wrong or right. Without media, the public would be left in the dark regarding many aspects of reality and facts. It covers all fields possible from remote geolocations to statutes of governance. It acts as a watchdog to safeguard the interests of the citizens and spreading awareness amongst them.
2. **Education:** Media channels help in increasing levels of education amongst its audience. They serve a source of information to educate us. Many television channels run classroom lecture programmes also to help students to learn. Besides replicating classroom education, it educates the society in various processes and procedures of the administration and governance.
3. **Elections:** Elections in any democracy are not possible without media comprising of all its types. The participation and engagement of the voter is important for him/her to make an informed and wise decision to whom to vote. Public debates about the political party and the candidate help in making the right choice. Pluralistic and independent media improves transparency and accountability in elections.
4. **Group Organization:** Groups are formed for social change against issues like sexual violence, corruption or sustainable environment through digital media. Such groups are instrumental in changing attitudes and outlook towards sensitive issues and bring about a visible transformation.
5. **Conflict-Resolution:** Freedom of expression in a modern democracy like India implies rise in conflicts. Media has the power to create a scenario of conflict-resolution. Public debates and discussions on radio or television can result in solving problems and breaking down warring boundaries.
6. **Neighbourhood Cooperation:** Social networks help in developing cooperation amongst neighbours resulting in social change. Cleanliness drives, building parks or volunteer work disaster-struck areas are some examples of cooperation through social network platforms.
7. **Community Radio:** Community radio is a third-tier mechanism in the broadcasting sphere (the first two being public and private radio) which is run by a community. The community radio plays an important role in upholding democratic principles. For example, Nobel Prize winner Kailash

Satyarthi has collaborated with a community radio to bring women together and help them in setting up small-scale enterprises.

8. **The Medium of Films:** The role of films in a democracy is a proactive one. Not all movies are made to send a message but many films are made with the intent of spreading awareness on serious and meaningful issues which have a powerful impact on society. They take a stand with which the audience may or may not agree but they definitely spark off a debate in the society and make people think, react and probably change for the better.

To sum up, media is making a great positive and constructive impact in the democratic society of India. The Indians are becoming more aware as the numbers of newspaper circulation have increased, the television viewing is on the rise with the ever-increasing number of channels.

However, there is the question of the reliability of information that is being disseminated in the television channels or the newspapers. Most of them are either aligned with the government or take an anti-establishment stand. The news gets twisted and are presented with a bias.

Media self-regulation is another important issue to be considered. There have been instances where the live telecast of a battle or a terrorist attack went wrong and innocent victims got killed due to the revelation of their location. The news channels in India followed the 26/11 attack live on TV and the terrorists got the location of the hostages. After the attack, the Press Council of India imposed self-regulations to not give live coverage of such attacks or any other mishap. Being the fourth state of democracy, it has the responsibility to uphold its ethical practice. The analysis of how the media has an overwhelming impact over the society surmises that any carelessness or insensitiveness on its path will cripple the process of change.

Q3 Describe Interest groups and their types.

Ans. Interest groups or special interest groups are any association of individuals or organizations that on the basis of one or more shared concerns, attempt to influence public policy in its favour usually by lobbying members of the government.^[1] Interest groups are also called pressure groups or vested groups. All formal and informal associations can be called interest groups. However, in reality, they have some generic differences. Interest groups may exist without even exerting pressure on the political parties. On the other hand, an interest group that exerts pressure on the government is clearly a pressure group. This distinction is depicted below in the Table 25.1

Table 25.1: Distinction between Pressure groups and Interest groups

S. NO.	Interest Group	Pressure Group
1	Formally organized	Strictly structured
2	Interest-oriented	Pressure focused
3	May or may not influence the government policies	Must influence the government policies
4	Softer outlook	Harsher attitude
5	More or less protective	Protective and promotive

Interest groups can be grouped into the following categories:

1. **Economic Interest Groups:** These groups work for the economic interests of their members. These groups are powerful and have more than enough funding as they get contributions so that they can get some political mileage and make profits. Generally, economic interest groups are further sub-divided into four types:

- (i) **Business Interest Groups:** They engage themselves in the promotion of employer interests. Large corporations develop their lobbyists who work for their interests like the Confederation of Indian Industry (CII)^[2] in India.
 - (ii) **Labour Interest Groups:** They include trade organizations and unions who work for the economic benefits of their members. They also make efforts in creating and facilitating opportunities for open citizen participation and engagement, education and lobbying like The Centre of Indian Trade Unions and Indian Nation Trade Union Congress (INTUC). INTUC is affiliated to the International Trade Union Confederation.
 - (iii) **Agricultural Groups:** The farmers face a lot of problems in procuring seeds, facing the weather disturbances and in pricing and marketing. They are unable to succeed individually hence, they tend to join agricultural groups. Such groups play a crucial role in protecting the interests of their members. However, some groups align themselves with large agribusinesses to make gains on both sides. There are smaller regional groups which work for family farms.
 - (iv) **Professional Groups:** Professional like medicine, engineering, architecture, law, etc., all have their separate national level groups. In India, the examples are All India Association of Industries, Electronic Association of India, Indian Institute of Metals, etc.
2. **Public Interest Groups:** They work for public interest and also work with politicians in a non-partisan way. They get funding from individuals or foundations to support their activities. Consumer advocacy groups are an example of public interest groups.
 3. **Government Interest Groups:** Relevant issues are put forth in front of the local state governments to get grants from the union government.
 4. **Religious Interest Groups:** They are not averse to lobbying and are involved in politics in one way or another. They hold a great sway over people.
 5. **Civil Rights Interest Groups:** They work for causes concerning women, gay rights, etc., who have to face legal discrimination.
 6. **Ideological Interest Groups:** They are concerned with all kinds of issues like taxes, foreign affairs, court appointments, etc. with their political ideology.
 7. **Single-Issue Interest Groups:** Some interest groups are formed with a single issue, for example, drinking problem among men or drug addiction among the youth in Punjab. Interest groups are a thing of our democratic system but lobbying is not legalized. However, they have a strong influence in the political dynamics and synergies to gain benefits.

Besides these, there are Insider and Outsider Pressure groups. They can be described briefly as:

Insider Pressure Groups: They are usually used to consult by ministers and bureaucrats and make negotiations with opposing parties in a hushed manner. They have inside connections in the high echelons of the political parties who can exert influence on them, for example, the CBI, the profession associations, etc.

Outsider Pressure Groups: Such groups exist outside the circle of ministers and bureaucrats and do not have the so-called 'links' with them. They are dependent on public opinion for the government to respond, for example, animal welfare protest groups like PETA.

Q4 Discuss the emergence and models of Interest Groups in India.

Ans. Groups with specific interests form into interest groups who lobby with political parties to profit from the outcome. Interest groups are also known as pressure groups because that is what they do to protect the interests of their group. The emergence of pressure/interest groups in India can be understood by dividing it into two phases, given below:

1. **Pre-Independence Era:** The introduction of western education in 1835, determined the pattern of Indian modernization more than any other policy decision. It set up an essential base for the rise of a new Indian elite. The products of the new English education were the first to enter the modern professions of law, medicine and journalism. They founded voluntary organizations based on patterns of interaction resulting from their common experience and education and reflecting new sets of values in society. These organizations, which marked the beginning of modern politics in India, were designed to bring about social, religious, educational and political realization of the society. Some of the groups formed in the pre-independence period are:

1815: The Atmiya Society

1826: The Young Bengal Group

1828: The Brahma Samaj

1829: The Dharma Sabha

1876: The Association of Calcutta

1885: The Indian National Congress

1906: The All India Muslim League

1920: The All India Trade Union Congress (AITUC)

1936: The All India Kisan Sabha

Various other groups that were formed by Indian national leaders worked for specific causes like that of the *Harijans*, exploitation of poor workers by Indigo Leaders, heavy taxes imposed on poor peasants, etc. Mahatma Gandhi's movements gained impetus with the help of interest groups.

2. **Post-Independent Era:** The second phase began after India gained its independence. There was rising frustration and anger amongst the common masses because socio-economic development was not progressing according to their expectations. The government was pressed for funds to rehabilitate the refugees post-partition and the wars with Pakistan and China. In this scenario, pressure groups began forming to make their voices heard by the government.

The emergence and growth of pressure groups in the Indian political system has been a vital factor in the process of its political modernization, insofar as it represents a response to increasing functional differentiation and to the breakdown of traditional types of authority.^[3] The pressure groups in India rose from the rural as well as urban areas.

Features of Indian Pressure Groups

The pressure groups in India present a confusing picture because lobbying is not legalized. They work behind the scenes and political tie ups and alignments, usually with the ruling governments. It is important to understand the features of pressure groups in India before studying the models/approaches to them. Some of the major features of Indian pressure groups are given below.

1. **Status:** The interest groups in India do not have a clear-cut role. They are neither independent nor autonomous in their status with special reference to their political relationships. They do not align openly because of illegality of lobbyism. They show that they are neutral in their outlook but in reality, they are opportunistic.
2. **Diversification:** Since India is comprised of diverse groups, the government and the interest groups also are made up with diversity. The Government of India acts as a mediator to moderate the diversities. Inversely the interest groups play an important role in the unification and bifurcation of these parties.
3. **Means of Pressure:** The interest groups follow a mix of old and new techniques to pressurize the government. Their influence over politics is also termed as 'Anonymous Empire' or 'Legislation behind Legislature'.

Table 25.2: Major Pressure Groups in India

S. NO.	GROUP TYPE	NAMES
1	Business Groups	FICCI, CII, ASSOCHAM, AIMO, FAIFDA
2	Trade Unions	AITUC, INTUC, HMS, CITU, BMS
3	Agrarian Groups	All India Kisan Sabha, Bhartiya Kisan Union
4	Students Organizations	ABVP, NSUI, SFI, AISF
5	Religious Groups	SGPC, RSS, VHP, Jamaat-e-Islami
6	Caste Groups	<i>Harijan</i> Sewak Sangh, Nadar Caste Association
7	Linguistic Groups	Punjab Association, Tamil Sangh, Andhra Mahasabha
8	Tribal Groups	NSCN, TNU, Tribal League of Assam
9	Professional Groups	IMA, BCI, AIFUCT
10	Ideology based Groups	<i>Narmada Bachao Andolan</i> , <i>Chipko</i> Movement, Change.org
11	Anomic Groups	ULFA, Maoists, JKLF

4. **Funding Political Parties:** The interest groups finance the political parties to promote their own candidates to reap benefits from them provided they come into power.
5. **Direct Politics:** They consciously stay away from direct politics and never contest elections. They work for the objective of their cause and try to influence public policy through contacts with the political personalities.
6. **Vital for Democracy:** Allowing for the fact that the interest groups pressurize the elected representatives to gain for their own groups, their vitality for sustenance of democracy is characteristic of their nature.

Q5 Discuss Pressure/Interest Groups and their classification with reference to India.

Ans. There is no denying the strong nexus between the pressure groups and political parties. Elections activates this relationship to the extent of abuse of pressure groups to get votes, not absolving the pressure groups of their opportunistic attitude. Pressure groups play an important and generic role in making a democracy more representative and strong. Pressure groups are an indicator of determining the level of political maturity a nation has achieved.

Pressure groups, growth in India has been slow due to the constraints imposed by the British government. They have been classified by many Indian as well as western scholars. The one that classifies them appropriately is given by Hansraj^[4] in the below Fig. 25.1.

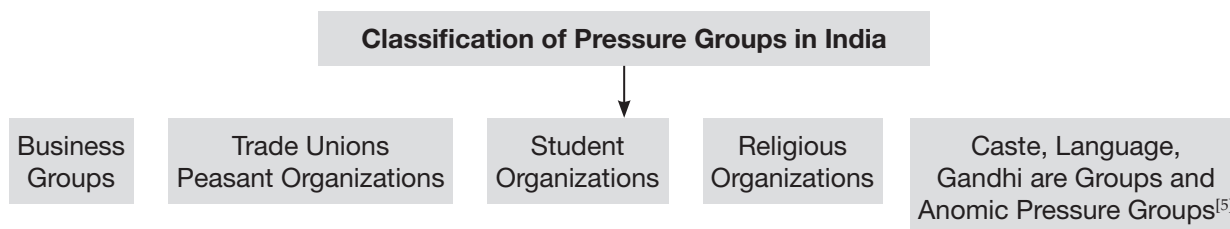


Figure 25.1: Hansraj Classification of Pressure Groups

Pressure groups in India have a low level of institutionalization. They are viewed with suspicion and their activities are generally seen as illegitimate.^[6] The government gives very less importance to the pressure groups in India to minimize political bargaining but the political parties have a tendency to use them to their advantages during elections by promising them sops in exchange of votes. This non-recognition leads a lot of protests and violence. The importance of pressure and interest groups cannot be denied but it takes a reverse route when the political parties form them to suit their purposes. The democratic ethics and the interests of the workers and common people become irrelevant to the political parties. The groups that are established on their own create awareness amongst the people to fight for their cause and keep the democratic spirit alive.

Q6 *It is suggested that the Indian government should consider permitting open and registered lobbying by Interest Groups. Critically examine the suggestion.*

OR

Should the demands of interest groups be entertained by governments?

Ans. There is no legislation in India to control and regulate lobbying by the interest groups. Lobbying is a tool used by the interest groups to represent their causes to the government by networking into the corridors of the government and the highest positioned bureaucracy. Lobbying in India is considered synonymous with corruption and bribery as it entails getting favour without the legal mandate to back it up. In fact, it goes totally against the civil services (conduct) rules. Interest groups and lobbying, however, happens in India by giants like FICCI, CII and NGOs which get their work done from the government but the question rests on the borderline between corruption and government activity through the groups. Cases like Nira Radia tapes exposed the black side of interest groups.

Lobbying has become a professional and like all professions, there must be rules to regulate it.^[7] Some important issues to be considered in the legalization of lobbying by interest groups are:

1. **Narrow Broader Public Interest:** Lobbying as a mechanism, has become tainted. The mere mention of the word brings corruption to one's mind. The upside of lobbying in India is to bring people across the broad spectrum to the public policy makers which will have an impact on the common masses. This implies that rules promoting transparent must be formulated to legalize lobbying so that any money transaction that might happen during the process of lobbying can be controlled and the culprit must be penalized.
2. **Disclosure:** Since lobbying is an unavoidable tool used by interest groups, the only option left for the government is to legalize it and make it transparent with full disclosure. The voters must be aware of such meetings and outcomes so that they can make an informed choice. Rules regarding the government not to hire lobbyists for at least two years after it comes to power must be made to break the chain. This would reduce the influence of interest groups.
3. **Framework for Legislation:** Tough laws must be formulated for individuals or groups to register as lobbyists who spend more time in doing so. In the US, twenty per cent time has been stipulated as the maximum time that individuals or interest groups could consume in lobbying. This raises the complexity of people reporting less than twenty per cent of their time.
4. **Representation of Commercial Interest:** Legalized lobbying can lead to better public policy making but there is the risk of it representing only narrow commercial interest. Legislation must be made to increase transparency, accountability and more disclosure but it cannot solve all problems.
5. **Technical Expertise:** Recognized bodies like FICCI, CII, and Associated Chambers of Commerce and Industry of India (ASSOCHAM) makes representations to the government, for example, the budget memorandum, etc. However, a distinction can be made between corporate lobbyists and non-profit lobbyists. In any case, if they want to influence the government, they must be registered.

6. **Disclosure:** If lobbying is legalized the concerned minister or elected representative must have the responsibility to disclose that he/she has been associating with the lobbyists or the Interest Groups and the outcomes of such meetings too. They must work with restrictions to ensure that they work in the public interest and not self-interest.

It can be concluded from the above discussed issues that there are many healthy forms of lobbying that thrive in democracies, such as policy advocacy done by think-tanks, citizen's groups, NGOs, etc. Hence, legalising lobbying in a democracy like India will improve the status of accountability, policy-making and citizen-participation. Digital governance can help in making the whole system better. Interaction with interest groups provides them with the technical expertise to the policy-makers.

ROLE OF VOLUNTARY ORGANIZATIONS

Q7 Discuss the concept of voluntary organizations and its role in the Indian democracy.

Ans. The word 'Voluntarism', has been derived from the Latin word *voluntas* which means 'freedom'. It is from the state and conducts activities that are controlled by the group's member themselves instead of being directed by the state. It serves a special cause and works for the victims of socio-economic exploitation ethically. The concept has its premise in the Constitution of Universal Declaration of Human Rights. In India, the constitution states that, a social order in which justice—social, economic and political—must inform national life. The Voluntary Organizations (VOs) include small self-help groups with unpaid staff or paid workforce along with them to bring in professional organization in their nature. The term VOs is many times confused with the terms charities, civil society community sector, NGOs, non-profit organizations, or third sector. Voluntarism in India has a strong historical base starting from the religious text, *Ramayana* in which there is mention of charities and voluntary work by saints. The kings left their seat of power to greet the saints and the saints upheld the values of renunciation charity and ethics in the society.

Later, references of volunteerism have been found in all the different dynasties who ruled India like the Gupta and the Maurya Dynasty. Mahatma Gandhi's philosophy and actions comprised the concept of voluntary activities in his Constructive Programme.

This voluntary work continued in the independent India in the phase of nation-building to deal with the emergent needs of the people. Sarvodaya Samaj by Vinodha Bhawe gained momentum and gave the idea of *Bhoodan* and *GramDan* to transform the rural India in 1951 and 1952. The Five-Year Plans by the Planning Commission recognized and pronounced a greater involvement of the volunteer sector in rural development.

The term voluntary organizations is used in place of NGOs synonymously. In 1945, the UNO recognized the need to give a consultative role to organizations which were not classified as government nor member states. The UN defines an NGO as a non-for-profit, voluntary citizens' group which is organized on a local, national or international level to address issues in support of the public good.

Article 19 (1) (c) of the Constitution of India confers on the Indian citizens the right 'to form association'. A voluntary organization is set up to provide a service to the society and are found in all spheres of life in India, like the health, education, sanitation, hygiene, clean drinking water, etc.

Legal Framework: Any organization that is voluntary in spirit and with non-profit making objectives and exist under the Indian Societies Registration Act, 1860 or Charitable and Endowment Trust Act or corresponding state acts, covering limited areas of actions, are voluntary organizations. In India, many organization who fall into this category remain formally unregistered and become a part of the NGO ambit. All VOs are NGOs but not vice versa.

The Voluntary Organization (Regulation) Bills, 2016: The said bill was presented in the Rajya Sabha in 2016, defined VOs as any organization or institution or society, whether incorporated or registered or not, which is engaged in any of the following activities.

The Bill mentions fifteen spheres of activities that a VO can indulge in, for example, health, education, disaster relief, medical camps, destitute homes, etc.^[8]

Role of VOs in the Indian Democracy: As mentioned earlier, the VOs is considered as the third sector of the democracy to shape and implement participatory democracy, working at the grass roots level with a wide outreach. They work at the local community level and understand their needs better than the government. They can be established under the either one of the following Acts:

1. The Societies Registration Act
2. The Indian Trust Act
3. The Religious and the Charitable Societies Act
4. Any other legislation that may be recognized by the state governments.

The VOs can be informal or unregistered bodies and comprise community based organizations or self-help groups. Religious organizations also do a lot of voluntary social service work. Given below are some of the ways in which the VOs play an important role in the Indian democracy:

1. **Bridging Gap:** A wide gap is observed between the government and the process and its outcomes of the government. It can be due to intentional purposes, lack of resources or lack of awareness. The VOs attempt to bridge this gap by taking initiatives at the local level involving the people living there. They work with funding received as donations and grants from national agencies, private persons, corporate sector or international organizations.
2. **Lack of Political Will:** There are some areas of development where the government does not intend to intervene due to various implications which may land them into unwanted controversies and loss of vote count. VOs enter such areas because they are not afraid of any such loss and moreover, they usually involve local people as agents to convince unwilling people to come into the fold of development. For example, the political parties do not want to interfere into the caste hierarchical issues because they survive on cast-based politics and refrain from their development. The VOs take over and try to make the marginalized castes to become self-sufficient and get sustainable through cooperative efforts.

There are many sensitive problems which the government is unable to resolve. Issues like encouraging girls to stay in schools are taken up successfully by VOs.

3. **Health Care:** The government is committed to provide health care to all irrespective of their gender, caste or economic status but there are many cases where health is ignored. Girls and women do not get the requisite healthcare. The VOs set up free medical camps where free consultation by qualified doctors is held and free medicine are distributed.
4. **Human Rights:** The VOs work to ensure that no one is devoid of their basic human rights and justice is given to all citizens. They run awareness campaigns in the villages and the remote areas to primarily educate the people living there about their fundamental rights and then move on to provide them with justice, whether it is political, social or economic.
5. **Environment:** There is a plethora of VOs working in the environmental protection sector. They are working in all possible problem areas like the mining sector, clean air projects, safe drinking water, marine life, etc. They get funding from many national and international organizations for the cause of environmental protection.

There are many other areas where the VOs are making a mark in the development process. Their number has been increasing manifold which has resulted in fraudulent practices too. A lot of reform needed in the regulation of VOs to have effectiveness in their work.

Q8 *Voluntary organizations are facing internal as well as external challenges. Critically analyse.*

Ans. Voluntary Organizations make small as well as humungous efforts in making the developmental work reach the marginalized population but fail and face internal and external challenges, both. Given below are the major challenges being faced by the VOs in India:

1. **Bad Fiscal Health:** Voluntary Organizations in India are facing a severe paucity of funds. There are powerful causes that controls the donation funds. The donating agencies place conditions of targets which mostly the VOs are unable to achieve. Mostly their progress is not tangible and thus cannot be qualified. Government grants to VOs are not released on time due to procedural delays. Funds not released in time means that the project/programme will be adversely affected. They are not self-sufficient and do not sustainable income-generating mechanisms.
2. **Programme Planning and Implementation:** Most of the VOs face difficulties in planning programmes and lack of infrastructures and facilities so that they can be implemented successfully. Strategic planning is another area of weakness which leads to ineffectiveness in raising and capitalising on the financial support.
3. **Weak Base:** Usually VOs start with one person's will to make a change in a democratic set-up of the society. He/She establishes the organization with the help of volunteers and some technical help. The organization becomes big with time but the structure remains weak and small to cope up with increases activities. Effective governance and networking are required to promote transparency. Use of current digital technologies is important to increase communication with other VOs, NGOs, INGOs and government. Officials to keep up with the regional, national and global issues.
4. **Lack of Capacity Building:** Most of the VOs lack in trained personal and works with untrained volunteers. There is an unsustainable developmental programme in place. Development of both individual workers and the organization is required. The personal volunteering may be high in their commitment but not in their training, especially, to work in the rural areas.
5. **Misappropriation of Funds:** NGOs face a lot of cases of misuse of funds as many unscrupulous and unethical people enter into the VOs to only make profits without any motive to do service. Such elements harm the work of genuine organizations trying to do some good in the society. The government is taking steps to shrink the democratic space by cancelling the Foreign Contribution Regulation Act (FCRA) of more than 20,000 of 33,000 NGOs after they were found to be allegedly violating the provisions of the Act. They were barred from receiving foreign funds without taking permission from the Home Ministry. Major agencies like Greenpeace, Lawyer's collective and Ford Foundation in India were barred under FCRA. The VOs do not follow the rules and fulfil the statutory requirements of filing financial statements and practice transparency.
6. **Approach:** Most of the VOs follow a hardware approach instead of a software approach to development. This implies that they concentrate more on building physical infrastructure and provision of bank services instead of empowering people and local institutions to manage their own affairs.

All these challenges are making it difficult for the VOs to do good work. The VO sector requires self-regulatory guidelines and transparency mechanisms to increase the effectiveness and trust levels Strategic leadership with training can help them to improve the situations. A system of accreditation of the voluntary/NGO sector must be put in place. Stringent government rules and regulations will eliminate fraud-

ulent practices and fake NGOs. The national policy on voluntary sector and the role of government in facilitation of the social development work of NGOs must be reformed. A meaningful policy instrument for NGOs must be developed in public–private partnerships. Corporate Social Responsibility is helping lot in this area.

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26

Civil Society–Citizen's Charter

Learning Objectives

In this chapter, you will learn about:

- Precariat Charter
- Concept and Evolution of the Citizens' Charter
- Importance and Principles of the Citizens' Charter
- Recommendations of the Second Administrative Reforms Commission for the Citizens' Charter
- The 'Sevottam Model'

According to the '*Citizen's Charters-A Handbook*', in the Indian experience, states that all over the world, good governance is essential for sustainable development, both economically and socially. The three essential aspects emphasized in good governance are transparency, accountability and responsiveness of the administration. 'Citizen's Charter' initiative is a response to the quest for solving the problems which a citizen encounters, day in and day out, while dealing with the organizations providing public services.

This implies that the government has a duty and a responsibility to be answerable to the public in their day-to-day concerns and proceedings with the administration. It is fundamentally a promise of delivering to the client or the citizen and if the administration is unable to do so within a stipulated time period, then the citizen has to be compensated. Such a concept has emerged in a very definitive form all over the world so that there is satisfaction among the citizens, thereby leading to good governance.

Q1 **Discuss the Precariat Charter being a precursor to Citizens' Charter.**

Ans. Guy Standing propagated the concept of the 'Precariat' which connotes a social class which is insecure of the unpredictability. The word 'precariat' is a combination of 'precarious' and the 'proletariat'. The precariat class is clueless and protesting as the world passes through the global drifting transformation. People struggle and the situation involves an insecure, underemployed, part-time labour moving towards the 'phenomenon of crowd labour'. This form of flexible labour is increasing globally and has evolved as a class-in-the-making, named as, 'precariat'. Jobs are less and temporary which leads people to look for loans.

Since the politicians lack an understanding of class-based values, they work with a solution that would appeal to the 'working class' ignoring the minorities. The minorities are forced to join the 'precariat'. The precariat, if not considered by the political leaders, will move towards violence and forcing, resulting in anarchic situations in the society. A 'Precariat Charter' was proposed by Guy Standing to avoid such a social condition which would cater to the insecurities and the needs of the precariat, which is the educated section of the society, equipped with digital technology.

The second phase called for a collective action in the great transformation stage. By 2011, the existence of the precariat became more visible as more and more people with degrees became aware of their insecurities and asked for more secure jobs with reasonable salaries. The global protests *in lieu* of this condition led to the realization that the government needs to change and deal with the needs of the people.

A Precariat Charter must have guidelines for all nations to follow with reasonable variations. Guy Standing has outlined 29 articles covering all physical, social, economic and educational issues. The fact that the precariat is increasing rapidly and becoming a majority cannot be ignored. The different classes in a society need to interact and cut across to support each other. Rights-based policy must be formulated by all governments.

The governments must exude stability and certainty so that the precariat unites.^[1]

Q2 Discuss the concept of Citizens' Charter and how it emerged globally with special reference to India.

Ans. The Citizen's Charter is a major shift in thought about the methodology of the public delivery system in a country in which the stakeholders are of utmost importance. The citizens are considered to be 'customers' of public services. Citizens' Charter ensures that the public services delivered to the citizens are in response to the needs of the society in an appropriate and an effective manner.

The Citizen's Charter is a document which emphasizes on an effective and timely public delivery system. The Charters contain provisions if those services are not delivered on time the way they were supposed to, with the expected standard of service, information, complaining cell, etc. The problem with the Citizens' Charter is that it is not legally enforceable and not justifiable. It can be called an effective tool of good governance. Each organization can and must have a Citizens' Charter to ascertain quick source and good delivery of services.

CITIZENS' CHARTER CONCEPT

Since the Citizen's Charter was initiated by John Major, he defined its concept as: 'Citizens Charter sees the public services through the eyes of those who use them. For too long the provider has dominated. Now it is the turn of the user. The principles of the Citizens' Charter, simple but tough, are increasingly accepted. They give the citizen published standards and results; competition as a support to quality improvement, responsiveness, and value for money to get the possible service within the resources that the nation can afford. They give more power to the citizen and more freedom to choose. And where choice is divided in some key public services like schools, social services, probation and the police, the Charter is bringing in independent inspection with a strong key element to ensure that the citizen's voice is heard'.^[2] He gave six principles of public services to build-up Citizen's Charter which were:

- Standards
- Information and openness
- Choice and consultation
- Courtesy and helpfulness
- Putting things right
- Value for money

Three important points can be deduced from the above concept of John Major and the six principles, which are:

- **Citizen as a Customer:** Firstly, the citizen is a customer who is buying public services as a person doing shopping. This concept helped in promoting public services as something that a citizen buys of his will but expects the service with a standard of quality in the stipulated time.

- **Services as a Right:** The public services that the government provides to the public is their right as the members of the society. The social and physical infrastructure facilities provided by the government are the rights that the citizens deserve.
- **Citizen's Duties:** This point is not quite as important or popular as the earlier two but it is imperative that there are some duties that the citizens are obliged to perform for the nation.

EVOLUTION OF CITIZEN'S CHARTER

UK 1991: Citizens' Charter began in the UK by John Major, the then Prime Minister on 22 July 1991. The principles and his concept of Citizens' Charter was criticized on the grounds of claiming to improve the public service but bringing in private methods of management. Many countries initiated the concept to make service delivery a responsive exercise to improve the quality of service and transparency with a time frame. Such Charters can be perceived as one of the programmes of 'New Public Management'. The initiative of raising standards of public spread to many countries like Belgium, France, Canada, Australia, and USA. The Citizens' Charter after a few years started losing its utility. The UK Parliament under the leadership of Tony Blair under the label, 'Service First' program in 1998 and added three more principles to the earlier six but it did not service for long.

1992: The customer service, became a part of the 'Charter Mark Program' which was an extension of the Citizen's Charter programme. Its procedure required giving an award to those institutions which led accomplished the best customers service in the public sector organizations. The points that had to be taken into consideration for awarding an organization were:

- Performance standards
- Information and transparency
- Choice and advice
- Politeness and assistance
- Putting things in proper perspective service for money assure satisfaction
- Better quality of service
- Proper innovation

The members of Charter mark holders grew from 35 in its first year to 1600 organizations presently.

USA: In 1993, the Vice President Al Gore, introduced the concept of the Citizens' Charter by removing unreasonable elements from the way the Federal Government interacts with the people of America. He introduced the concept by projecting the government's work in competition with private concerns so that the public gets what it expects and deserves. This competition would put pressure on various agencies to make them more accountable.

Four Steps to Customer Empowerment

Al Gore proposed four steps to serve the customers better which are:

1. **Customer First:** The federal agencies are required to put their customers first by taking a feedback from them about the difficulties they face while dealing with any governmental activity and the ways they would prefer the services to be better.
2. **Competition Among the Agencies:** In this process of 'Customer First Program', the agencies would be put against each other to get customers for their business. The governments monopoly is required to be broken so that they learn to serve the customers respectfully.
3. **Business Like:** It has to be conceded that not all government departments can compete. An effort must be made to transform such government monopolies into business-like concerns by interacting with their customers.

- 4. Change in Federal Functions:** Some government departments still run like old styled bureaucracies, so it will be endeavoured that they work in synchronization with market mechanisms by cutting their costs and solving the issues of citizens. Such efforts will make the conservative bureaucracies into responsive and innovative departments by reducing red-tapism.

Malaysia: The Malaysian government introduced clients' Charter in 1993. It is a document by an agency to deliver outputs or services according to specified standards of quality as given by the government. A competition was held annually to award, 'A Best Clients Charter Award' almost similar to the UK's model. It also has an additional system of improving service delivery named 'service recovery to build confidence measures when there is a lag in the service delivery'.

Australia: The Australian government initiated its service Charter in 1997 to have better quality in service given by the governmental agencies to the public by transforming the traditional bureaucratic ways to client-based. It does all the same things that the original Citizens' Charter of the UK does, that is, to provide and assess performance and services. It developed a program, 'Centrelink' which is a one-stop shop, giving service to over six million people and treats them like customers by employing a personalized approach making the processes and procedures easier to the public.

Canada: An initiative called service standard was started in Canada but amplified its ambit by adding its commitment to decrease its deficit to the responsibility of giving service to its citizens with efficiency in service delivery.

Hence, it can be seen in these above-mentioned Charters in a few selected nations, that the Citizens' Charter's main objective is to provide services in time and makes the government accountable. This concept is also being named as 'Total Quality Management'.

India: India witnessed an increase in the literacy rate and economic development in the past two decades at a rapid rate. The environment has changed in such a way that the citizens expect a lot more from the government in the form of services. The emergence of Citizens' Charter in the timeline is given below:

1997: An 'Action Plan for Effective and Responsive Government' was proposed in a conference of Chief Ministers of various states and union territories. The centre as well as the states were one of the first to formulate Citizens' Charters of the main departments first like the railways, posts, public delivery systems, etc. Quality standards and response times were supposed to be the high points in the Charters along with grievance redressed measures and procedures.

The agency responsible for framing and keeping a check on the Citizens' Charters was the Department of Administrative Reforms and Public Grievances (DARPG) in the Government of India. It issued guidelines and directions to various departments and were told to take advice of senior level management executives and citizens.

CITIZENS' CHARTERS IN INDIA

The following six components must be a part of Citizens' Charters in India:

1. Vision and mission statement
2. The organization's activities
3. Logistics of the citizens
4. An accurate statement of services to be delivered to a specific group of clients
5. A proper procedure of grievance redressal system
6. Anticipated services of the clients

The last component was an addition to the UK model. This serves the purpose of involving various organizations and stakeholders in the formulation of the Citizens' Charter to make it an effective tool of good governance. In India, these, Citizens' Charters are supposed to be publicized through print or electronic media and making people aware of their rights.

Website: In 2002, the DARPG launched a website specially for Citizens' Charters in Government of India, www.goicharters.nic.in, to put up all Citizen's Charters on it for public information and scrutiny. This solves a major issue of the common man to understand where to go for redressal of his grievances as well as to avail of services.

Q3 Justify why having Citizens' Charters in a society is important in modern democracies. Also, discuss the principles on which these Charters are based on.

Ans. Citizens' Charters have become an integral part of our societies. Given below are the reasons why we must have them:

1. **Aligns Public Service With Citizen's Expectations:** Citizens' Charters becomes an interface, between the public's anticipations and the public service delivery, to make a balance. It is generally observed that there is an imbalance between the two and citizens are dissatisfied with the quality of services provided to them. According to the framework of Citizens' Charters given by the DARPG, it helps in reducing the gap between the citizens and the administration and can fairly result in better planning and policy formulation to avoid any ambiguity in the perception of the needs of citizens. The practical aspect of all this is that precise strategies must be made at various levels of administrative as well as political level. These strategies must have the following three elements:
 - (i) **Clarity:** Each level of politics and administration must have a clear understanding of the Citizens' Charters so that the policy can be transformed in to delivery of its objectives as anticipated by the citizens.
 - (ii) **Interface:** The Charters must have a citizen-administration interface so that the citizen is given his/her place of importance since the whole exercise is meant for the citizen.
 - (iii) **Monitoring:** Thirdly, Charters are ineffective if proper monitoring systems are not evolved.
2. **Performance:** Usually, the plans and projects made by the government are good but their implementation lack efficiency. Here, Citizens' Charters come in useful. The performance leaves much to be desired for and the Charter programme can make the government improve its performance and its quality of delivering services too. The employees will also understand and follow work culture to satisfy the customers. So, Charter initiatives help in promotion of standards and putting them in limits. The issue here is that the standard of delivering services must neither be too high or too low so that citizens do not have abnormal expectations.
3. **Time-bound:** The Citizen's Charter will make sure that the citizen gets his services in time. If the services rendered by the government to the clients are not delivered on time, the purpose and value of it is lost. If this objective becomes a legislation, as it has in some countries, it ensures, as a guarantee time-bound delivery. Such a law can impose penalties also for failing in 'time-bound' service delivery.
4. **Transparency:** A Citizen's Charter aims to improve transparency so that people have access to the required services without corruption by simplifying the process and procedures.
5. **Total Quality Management:** To have good governance in a country, quality has to be improved. In the recent past, total quality management, as a concept, has emerged to cater to the agenda of good governance. Citizens' Charters move the service quality to a higher degree making all stakeholders more satisfied.

Principles of Citizen's Charters

Citizens' Charters are basically a link, a bridge or a go-between the citizens and the service providers in a written document. It is based on some principles stating the vision, mission and its promise to prompt and time-bound service delivery. The need for a Citizen's Charter arises due to the fact that the service

providers are unable to provide according to the expectations of the people. Citizen's Charters act as an effective tool of good governance and are formulated on a few common principles, as given below:

1. **Transparency:** The Charters must be a medium to improve transparency must strive for openness abandoning secrecy about the procedures of service delivery agencies, the officials in-charge priding on anonymity except in matters of national interest or safety. The Charter also provides information about various forms required for services, where those forms have to be submitted or if any payments have to be made. Such information makes it easy for the citizen in seeking the particular service which he needs. Other areas where transparency is required, as given by the Indian Institute of Public Administration, are:
 - **Contact Points:** The Charter must explicitly mention the names and address of the contact person of a specific service along with the timings of their availability of all locations and agencies.
 - **Information Facilitation Counters:** The citizens must be able to get information in the Charter about these information facilitation counters so that can approach them to solve their queries. If an organization does not have such a counter then it must endeavour to do so and update in its Charter, the date, by which it will be established.
 - **Function of Information Facilitation Counters:** Information like the organization's information handbook, scheme booklets and visitor's register make people aware of which service they will get. The Charter must also include information regarding the information facilitation counters having computerized administrative installations with trained employees.
2. **Quality:** Improvement of the quality services was one of the six principles of the Citizen's Charter in 1991 in the UK. The Charters endeavour towards better quality in all public services and work effectively towards alleviating the relationship between the public service and citizenry. To ensure good quality of services, it is essential to have pre-defined standards given in the Charters so that there is some accountability, although accountability is another principle. Quality of services can also be improved through various Total Quality Management (TQM) tools so that organization can key out, study, examine and evaluate the information quantitatively as well as qualitatively, which is specifically related to that agency or organization. Such TQM tools are over hundred but most commonly used are pie charts, bar graphs, histograms, run charts, force field analysis, focus groups, etc.
 - (i) **Process Simplification:** Service quality can also be improved by process simplification. It means that the organization cuts down on such activities which have no value and are not essentially required. Internal system analysis can be done to compare it with other agencies' service so that the difference may be reduced.
 - (ii) **Ways Towards Service Quality Success:** Quality improvement in one of the fundamental principles of Citizen's Charters to have a change for the better in good governance, though this is a difficult task. There is a lot of resistance found in improving quality as it requires freedom from internal obligations. Another problem in assuring quality is the over-expectations of the public from the public organization.
 - (iii) **Demand-driven Quality Initiative:** Before any service quality can be improved, there has to be a leader to start it. Then comes the reality driver, that is, money. Funds are the main medium to push the quality issue to the forefront. Once the financial resources are arranged, the organization can start on the path of quality improvement. This would lead to efficiency in public service delivery system to increase economic performance.
 - (iv) **Quality Service Culture:** Public organizations need to be managed with the same methodology as the private sector to improve the quality. The administration of an agency must inculcate a quality service culture with the help of decentralization and delegation

of responsibility and authority. This would promote a system where the officials are responsive to the needs of the citizens according to their expectations. Capacity building must be done with the help of workshops, seminars and training. There can be a system of feedback for consumers to give their honest opinion about their level of satisfaction so that decision making is reinforced by data instead of just whims and fancies. The Government of India has proposed a system of PDCA Cycle—Plan, Do, Check and Act. This cycle must continue as in a circle to ascertain uninterrupted progress in quality.

- (v) **Service Quality Elements:** Good governance enacts a few necessary elements like delivery of services on time, precise on interactive and responsive politeness and giving choice to the customers in legal limits to avoid corruption. Hence, it must be ensured that the principle of quality is adhered to while implementing the Citizen's Charter.

3. **Choice:** The third principle of the Citizen's Charter being discussed here is the 'Choice'. It refers to the 'Customer Choice'. It is the right of the customer to choose what he prefers and wants. The reality is that not all customers have the same choices as it depends on the economic status of the citizen. Secondly, for a customer to have choice, he needs to be up-to-date and aware of the latest developments and the available choices. For example, in India, we have information facilitation counters (IFCs) to assist customers to be aware of their choices.

So, the public sector needs to facilitate citizens with choice wherever its possible and viable with people participation. IFCs can provide information regarding choices about service levels and quality also. It is essential to have the needs of the customers in priority so that services and choices can be provided to the users accordingly.

4. **Accountability:** Good governance has accountability as one of its main indicators and includes the Citizens' Charters. The Citizen's Charter has accountability as one of its major principles to improve the service delivery system. The public sector has to accountable to individuals and organization as a duty towards citizen-centric administration. It is basically fixing the responsibility of the official liable for lack in service delivery.

Since people have a right to know and to accountability to ensure basic rights while service delivery. Citizen's Charter aims at ascertaining accountability through the Right to Information (RTI). Accountability of Citizens' Charters covers various issues like:

- Monitoring
- Evaluation and Review
- Public Redressal of Grievances

The Administrative Reforms Commission (ARC) of India in its fourth report on 'Ethics in Governance' mentioned that the government employees must be held accountable. The Charters must clearly state the remedy/penalty/compensation if there has been a gap in providing quality service according to the standards mentioned in the Charter. It recommended that it is better to promise on a smaller scale which can rather be keep than making tall claims that cannot be fulfilled.

Public accountability, through Citizen's Charters leads to gaining trust and confidence of the citizens in public sector organizations. The civil society participation also helps in ensuring accountability by involving themselves in the decision-making process with the governments. The Right to Information Act, 2005, helps in maintaining a proper flow of communication from the government to the citizens. So, the Citizens' Charters help in enumerating the rights of the stakeholders.

As given by the United Nations Development Programme (UNDP) in a module in the area of accountable and citizen-friendly government, Citizens' Charter acts as an effective tool if implemented properly. The exercise of accountability can be made beneficial if standards of services to be delivered are pre-determined and put up on the Charters. This would help in fixing accountability if the service was not delivered on time or there was a compromise in the quality.

5. Standards: The next important in the formulation of the Citizens' Charters is 'Standards'. Standards of services to be delivered must be mentioned on the Charters. The original framework of Citizens' Charter claimed about standards that they need to be specified, on the Charters, what to expect and how to act if standards are not met. In the UK, the Labour Government elaborated it as one of the principles of service delivery in 1998. The ARC specified setting of standards and norms for each service as one of the 'Seven Step Model for Citizen-Centricity'. The ARC stated that 'What cannot be measured never gets done'. This seems to be the most guiding principle of the Citizen's Charter. After identifying and defining services, setting up of standards for each service becomes the next rational step. While doing this, an initial pilot study may be done by asking customers about their expectations regarding the services they want. As earlier mentioned, the standards that are defined must be realistic and realisable. Such set standards become the base for the redressal system. The Citizens' Charter must clearly pledge itself to service delivery standards like precision, timelines, access, accuracy, reliability, pricing, responsiveness, etc. To make it a success, quality can be achieved by maintaining standards with the adherence to its eight principles which are:

- Customer first
- Leadership
- System analysis
- Perpetual effort to improve
- Stress on facts and figures
- Goods supplier relationship with the clients

In India, the Bureau of Indian Standards (BIS), plays a major role in making the Citizen's Charter a success. The BIS is an organization at the national level which controls the standards, quality and certification in India. It has the mandate of the BIS Act, 1986, which gives it the authority to function in the areas of formulating standards and quality certification.

The areas in which the BIS formulates the Indian standards have been classified into 14 departments which are:

- Chemical
- Food and Agriculture
- Civil
- Electro-Technical
- Electronics and Information Technology
- Mechanical Engineering
- Management and Systems
- Metallurgical Engineering
- Petroleum Coal and related Products
- Medical Equipment and Hospital Planning
- Textile
- Transport Engineering
- Production and General Engineering
- Water Resources

The BIS standard mark on a product claims that it meets with the BIS standards in India which makes it easier for the manufacturer to market commodity. The BIS has established the National Institute of Training for Standardization (NITS) to make the whole system functional. Hence, service standards help in promoting transparency and openness in an organization. The customers can be aware when the promised standards are not met.

The elements that need to be included in meeting the standards are given below:

- (i) **Time Bound:** There must be a time limit of delivering a service so that the customer is mentally prepared for the time it is going to take for his work to be done.
 - (ii) **Reliant:** Relevance of standards is significant to all the stakeholders.
 - (iii) **Accurate:** Standards that are formulated and established must be precise so that they are easily relatable by the consumer.
 - (iv) **Measurable:** Standards must be measurable to assess if the service has met the requirements. Targets must be concrete in numbers and must not be fixed vaguely like, 'An effort will be made to ----' or 'It will be our objective-----'.
6. **Value:** The sixth principle to be met while empowering citizens through the Citizens' Charters is 'Value'. This implies that the public organizations have to deliver the value for the taxpayer's money by using resources efficiently.

Hence, these above-discussed principles must guide the formulation of Citizen's Charters.

Even though the Citizens' Charter is not legally admissible, it charts out the roadmap to quality service delivery by fixing standards.

Q4 Discuss the recommendations of the Second Administrative Reforms Communi-cation (ARC) with respect to the Citizens' Charters.

Ans. According to the second ARC, 'A Citizen's Charter is a public statement that defines the entitlements of citizens to a specific service, the standards of the service, the conditions to be met by users, and the remedies, available to the caller in case of non-compliance of standards. The Charter concept empowers the citizens in demanding committed standards of service'.

This implies that the Citizen's Charter caters to proper delivery of basic services while fixing standards for the citizens to go to Public Grievance Redressal Tribunals in case they are not met at all or have been compromised. The Department of Administrative Reforms and Public Grievances (DARPG) formulated six principles to be based on the Citizens' Charter movement, which are quality, choice, standards, value, accountability and transparency (Discussed in Q3).

These six principles were reviewed in 1998 and were increased to nine:

1. Define service standards
2. Transparency
3. People's participation
4. Choice of services availability of information
5. No discrimination
6. Corrective measures
7. Utilize resources optimally
8. Create new better methods
9. Cooperate and function with alternate providers

The Second ARC contains some mention of Citizens' Charters in its fourth report on 'Ethics in Governance'. It noted that the Charters must stage in no uncertain terms the Public Grievance Redressal System. It must include the penalty, remedy and compensation rules and regulations if the specified standards in the Charter are not met. It stressed on maintaining a realistic level of claims of the standards so that they can be met.

Given below are the recommendation of the Second ARC with respect to Citizens' Charters:

1. **Systems Analysis of the Organization:** The mere mentioning of the standards, quality, time period, etc. will not ensure delivery of service. There has to be an analysis of the organization systems so that the concept of Citizens' Charter can be implemented, otherwise it can be a failure with the ongoing structure of the organization if it is not compatible.

2. **One Size Does Not Fit All:** The commission used this phrase quite emphatically as formulating and implementing Citizens' Charters is a mammoth task. Every organization is different from one state to another depending on its various factors like, infrastructure, local conditions, etc. If one agency needs more time to train its staff, the other requires lesser and achievable targets and standards to promise to citizens. The organization also may need of an entire restructuring to adopt to the Charter. The Parliamentary Committee also conformed the ARC's recommendation regarding this issue. It suggested that there is a lack of citizens' participation and hence they must be involved in the formulation as well as implementation of Charters.
3. **Staff-citizens Interface:** The organization's staff must have a series of interactions with the citizens to understand each other expectations as well as needs. Unrealistic needs and expectations can lead to the failure of Citizens' Charters. If required, expertise can be hired of specialized personal in the particular field.
4. **Definite Allegiance:** The Citizens' Charters must have firm and dedicated promises made to the citizens in measurable members and units. This would help in making the Charters effective to adhere to quality service delivery.
5. **A System of Redressal:** The Charters must put down conditions clearly in it for such situations where the organization is unable or does not provide the clients with the promised service. A proper redressal mechanism must be devised and implemented for the convenience of citizens.
6. **Periodic Assessment:** The Charters need to be monitored periodically from time to time by an agency other than the organization itself. The evaluation needs to include the verification of the promised services achieved targets to analyse how successful the organizing has been in delivering services. This analysis can then be used to make the Charters more effective and make changes if necessary. The Charter cannot be a fixed piece of document which once made needs no change. It must be revised continuously according to the fast changing needs of the citizens and the society resulting because of so many factors like technology, advancement in lifestyle, etc.
7. **Feedback:** Since continuous periodic evaluation and changes in its have been established, as a need, to make the Citizens' Charters effective and better, feedback from citizens is the best way to do this. Surveys and questionnaires can be used to obtain the end-user feedback to study and analyse the shortcomings and failures. Such assessments will help in making good effective Charters so that the organization performs and delivers in an efficient and effective manner.
8. **Accountability:** The redressal system ensures accountability of officials if they have defaulted and failed to deliver. An internal monitoring system can also help in this regard.
9. **Citizens Participation:** While formulating Citizens' Charters, Civil Society Organizations must be involved so that their needs and expectations are understood and considered in detail. This exercise would help in spreading awareness among people of their rights.

Some of the recommendations of the Second ARC were followed to build up an efficient system of delivery of public services through the Citizens' Charters.

Q5 Discuss the seven step model, 'Sevottam' being followed in India.

Ans. The quality of the service to be delivered is as important as the delivery of the service itself. What good would be a continuous water supply if it is contaminated or what good would be an electricity connection if it was given to a person a year later. Another issue surrounding the problem of quality of service delivery is absence of uniformity across different organizations and agencies. There is a lack of a common standard accepted norm of the quality of service. So, to create a background structure to deliver quality service, the DARPG, Government of India, initiated a model called, 'Sevottam'.

The term 'Sevottam', is a combination of two words, 'Seva' (service) and 'uttam' (excellent), meaning excellence in service. It worked on the factors of service standards, timelines and a foolproof grievance redressal system. Sevottam can be perceived as a framework of quality management which acts as a tool of organization dealing in public service delivery while promoting citizen-centric delivery of service. The Sevottam model is certified by the Indian agency of standards by IS 15700:2005.

THE MAKING OF THE SEVOTTAM

The Sevottam model was not just an outcome of the well-researched best international well practices but was rather based on the interactions and field surveys in India. The process of the formulation of Sevottam involved the following requisites before beginning with the seven step model:

- **Field Work:** Field study was undertaken to understand the working of organizations starting from the village level and going up to the ministerial level. The main thrust was to determine the factors impeding the service delivery within the range of quality of permissible standards. The problems and their solutions were analysed throughout all the sectors and common points were determined and learned assessment improvement.
- **Research of International Best Practices:** The Citizens' Charters of the UK, the USA, Europe and some variants were studied to comprehend their applicability in India in its present stage of development. Three modules were formulated (discussed hereafter).
- **Prototype Test:** The model developed by the team was tested in a few central and state agencies which were in the area of banking, mail, etc. The three models contained eleven components each which covered each question specifically.
- **Participation of NGOs:** The model was taken up with the Civil Society Organizations (CSO), Transparency International (TI) and Consumer Coordination Council (CCC) and encouraged them to have its trial run. This helped in making a comparative analysis of the model's success with the DARPG. The weaknesses were removed to make it a viable model.
- **National Workshops:** The Sevottam model was showcased at national workshops with various departments and CSO and their suggestions were taken.

The process contained with discussions with the Bureau of Indian Standards (BIS) and Quality Council of India (QUI) in 2005. Such presentations were also made in the Parliament and at execution was compared with the USA experience in October 2006. A few Central government organizations were selected to implement the model.

THE ARC SEVEN STEP MODEL

The twelfth report of the Second ARC Chapter 4, in its recommendation 4.9.9., paragraph 4.9, gave a 'Seven Step Model for Citizen-Centricity'. This model is based on the IS 15700: 2005, the Sevottam model and the customer service excellence model of the UK. It consists of seven steps given below:

1. **Define:** The first step directs all agencies and organizations to identify and define the services in clear and certain terms. Any lawful expectation of a citizen can be considered as a service and must be defined including any type of abstractions like politeness, fair, language, etc. Identification and definition of services assists in proper comprehensions of the connection between the employees, task and the objectives of the organizations. On the other hand, the customers of an agency must also be determined and classified if they are diverse.

2. **Set Standards:** After the first step of formulation of a Citizens' Charter, the Sevottam model in this case, is done with, comes the second step of drafting a set of service standards. This enables the staff of the organization as well as the client to be clear about the quality of the service to be provided. This must be done for every service in the public domain prospective clients as the sample to understand their expectation. As stated by the ARC, the objectives set for standards must be realistic and achievable. These established standard from the basis of public redress mechanism.
3. **Develop Capacity:** Step one and two do not entirely serve the purpose of the whole exercise of formulation and execution of the Citizens' Charters. Capacity building is a very important feature in this process. It needs to be continuous at the same time with additional training inculcating good ethics and values in a citizen-centric governance. Consideration to morale and motivation also must be given.
4. **Perform:** The organization must be modified and strengthened from within structurally so that it may perform as per the determined standards. The performance management system must be so good that the agencies can instruct and steer the staff's performance towards accomplishing the overall goals and standards.
5. **Monitor:** Well-defined clear standards would be effective only if they are upheld and this can be achieved by a system to monitor and suppress if the standards have been conformed to or not. This system of monitoring must have a foolproof automatic control mechanism to check any kind of falling out. There must be a standardized structure of executing restorative appraisals to make the entire system steady. Abidance to standards works better with an arrangement of carrot and stick theory.
6. **Evaluate:** An assessment of the system of public service delivery is a significant step to streamline and smoothen the process of improvement. Such assessments and evaluations lead to good feedback. As new services are initiated which have a basis on the feedback more improvements and amendments may be made effectively.
7. **Improvement:** The feedback received through the monitoring and evaluation systems gives the organization an insight into the improvements that need to be made in its processes for efficiency and effectiveness.

So, this seven step model is quite uncomplicated and citizen-centric when implemented.

THE SEVOTTAM FRAMEWORK

The Sevottam model consists of three modules which are discussed below:

Module-I: Citizens' Charter and service standards

Module-I comprises of three stages. They are implementation, monitoring and review.

1. **Implementation:** The first criterion of this module deals with implementation. It has five elements which are discussed below in brief:
 - (i) **Identification of Services Offered and their Standards:** As discussed earlier in the seven steps of the ARC model, this covers the step of determination of the services being given and their level of standard in an agency. The following main considerations will be dealt with in this element:
 - **Specify:** The organization or the agency will define evidently and without any loopholes the clients of that particular service that it proposes to offer.

- **Synchronize:** The services that have been determined by an organization must be in synchronise with the client's needs.
 - **Statement:** A clear statement must be made in the Citizens' Charter regarding the major services that are being given by the agency.
 - **Information:** Information with respect to the services that a citizen can expect to receive must be stated in the Charter while also mentioning the level of efficiency.
 - **Special needs:** The Charters must mention about any type of services being given to any special category clients with specifics regarding the particular outlet or branch would be available at.
 - **Alignment:** The Citizens' Charter must align the information about the agency's annual plans and projects with the information given in it.
- (ii) **Understanding Service Recipient Expectations:** This element would include the following components:
- **Expectation:** The expectation element in this criterion is about comprehending the expectations of the customers who have been identified in the above step.
 - **The Correctness of Expectation:** The agency will formulate a way to ascertain that the perception of the client's expectations is correct.
 - **Parameters:** There must be parameters on the basis of which the agency can analyse and correct the expectations of the customers with the services being provided in reality.
 - **Assessment:** An assessment of the customer feedback meets the customer.
 - **Improving Standards:** The analysis and comparison made from time to time to meet and improve the standards of the service being provided.
- (iii) **Aligning Services with Service Recipient Expectations:** It is significant that the services being offered by the organization must be aligned with the customer's expectations. Given below are main considerations to be kept in mind in this criterion:
- **Benchmark:** The organization must take out a document stating the benchmark standards as a criterion to measure for the major services that it provides.
 - **Time Period:** The agency must define the standards that it will honour in the current period considering its restrictions as well as favourable conditions.
 - **Verification:** There must be tangible quantifiable parameters that can be verified to see if the standards have been met.
 - **Over-the counter:** The standards must be defined in plain terms over-the counter for all services.
 - **Continuous Process:** The organization would in the continuous process of improving the standards that have already been accomplished within a time period to maintain the standard.
- (iv) **Preparation of Citizen's Charter:** This step comprises five elements of this criterion given below:
- **Task Force:** The organization that has decided to have a Citizens' Charter needs to formulate a working group or a task force to supervise and assess the Charter from time to time with respect to the service standards declared in it.
 - **Elements:** The main elements or the content contained the Citizens' Charter must lay stress on quantifiable service standards that can be verified.
 - **Type of Charter:** The task force will take the decision of the organization or the agency requires one or multiple Charters considering the variation in standards that have to

be maintained and accomplished by its branches in different locations. Such Charters require viewpoints and feedback from the relevant end-users.

- **Inputs:** The task force will endeavour to get inputs in the shape of feedback from the clients, employees at the field office and the stakeholders so that the Charter can be monitored and evaluated periodically.
 - **Improvement Decision:** The task force would have meetings on a regular basis so that new ideas can be incorporated into the service delivery to improve it.
- (v) **Understanding of Charter Contents:** This is the fifth criterion which has four elements are given below:
- **Format:** The format and the substance in the Charter must be structured and written in a simple and easy language.
 - **Awareness:** The organizations must ascertain that the client or the end-user is completely aware of the service standards. This would make the whole system of charter more successful.
 - **Frontline Staff:** The agencies must make the frontline staff cognizant of the service standards given in the Charter so that its delivery can be made accordingly.
 - **Vernacular:** The information to be given to the clients of the Citizen's Charter must be given in the local language to make it convenient for the employees as well as clients.
2. **Monitoring:** Monitoring is the second criterion in the first module and contains three elements given below:
- **Comparison of Actual and Prescribed Standards:** The organization must check if the standards mentioned in the Charter are being followed or not.
 - **Reporting:** The organization will report the periodic verification of the service standards compliance from time to time.
 - **Internal Inspection:** The organization must do audits and have its own verification procedures.
- (i) **Reporting of the Gap between the Actual and Prescribed Standards:** It has the following points to consider:
- **Corrective Measures:** The task force would analyse and assess the verification report of service standards compliance and plan corrective measures.
 - **Field Agency:** The field agency where standards were not met, must also be aware of the lapse and must take steps to remove the weaknesses.
 - **Other Field Offices:** The verification report containing lapses in compliance must be communicate to other field offices to be vigilant of any such shortcomings.
- (ii) **Elimination of Differences between Actual and Prescribed Standards:** The last element in the section of monitoring has three points to consider:
- **Feedback:** The agency must evaluate and compare the variations between the actual and prescribed standards after taking feedback from the customers.
 - **Responsibility:** The organization would make the field agency and the employees responsible to blot out the variation to have corrective measures.
 - **Reasons:** The reasons behind the variation need to be determined to enable the organization to eliminate them within a time period.
3. **Review:** The third criterion of the module I is review. It has three elements given below:
- (i) **Evaluation of Effectiveness of the Charter:** It comprises of the following elements:
- **Realignment:** The organizations will keep on amending the stated service standards as per the changing requirements of the clients/customers or the situations and the environment. The compliance verification report also must be taken into consideration.

- **Updation:** The service standards must be perpetually updated in coordination with the periodic assessment.
 - **Changes:** Utmost care needs to be taken while making changes in the service standards to the outdated needs.
 - **Effectiveness:** An evaluation of the accomplishment of effectiveness must be done from time to time so that it can be established that the Charter is achieving its objective.
- (ii) **Alignment of Charter with Changes in Environment:** The agency implementing the charter must keep on assessing its Citizens' Charter from time to time to coordinate and make it parallel according to the diversification and development in the governments functioning.
- (iii) **Awareness About Revised Charters:** The organization has the obligation to make the customers and the employees dealing with them with the changes made in the Charters. The causes for the revisions made in the Charter must be explained to the stakeholders to explain to them about how these changes would be instrumental in improved delivery of services.

Module-II: Grievance Redress Mechanisms

The second module, of this model is the 'Public Grievances Redress'. There has been a lot of mention of fixing service standards and their updating but it does not however guarantee its delivery or the satisfaction of the customers. So, a sound 'Grievance Redress Mechanism' needs to be put in place to upgrade the satisfaction level of the customers where they can lodge a complaint which is heard. The Second ARC reinforced the consideration for an effective, internal 'Grievance Redress Mechanism' in each organization. Report of 'Ethics in Governance', (the 4th report of the ARC) emphasized that all government offices must have public interface covering a large via an online complaint tracking system. The DARPG made a web-based tool to lodge and track complaints, in 2007.

The second module comprises of two criteria, redress and prevention, which will be discussed below:

4. **Redress:** The fourth criterion in this model is redress. It has three elements:

- (i) **Public Awareness of Grievance Lodging Process:** In an effort to achieve public awareness with respect to the process of lodging complaints, the following points would be considered:
- **Informing Citizens:** The organization will make a zealous effort to inform all citizens about the complaint process about where they can lodge it. The awareness campaigns must cover the whole ambit of clients, literate or illiterate.
 - **Easy Procedure:** The organization must make the procedure of making complaints and tracking it should be easy and simple.
 - **Information and Facilitation Counters:** The agencies must set-up information and facilitation counters to provide functional information about the contact details and the name of the individual who can be contacted to lodge complaints.
 - **Well-informed Employees:** The organization must keep their employees well-informed about the procedure of dealing with the complaints or grievances.
- (ii) **Convenience to Public in Lodging a Grievance Helplines:** The convenience to public can be made effective by:
- **Helplines:** The agency employing the Sevottam model must establish helplines and other such applications so that the complainant can lodge his complaint without taking trips to the office of the organization.
 - **Process:** The organization must have a system to realize and understand the preferred means of lodging complaint.
- (iii) **Classification of Grievances at the Point of Receipt:** The main points to be taken care of in classifying grievances at the point of receipt are:

- **System:** The organization will formulate structured systems to process the complaints effectively.
 - **Numbering:** The complaints must be separated from other communications to avoid delays. A unique identification code or a number can be assigned to the particular complaint so that it can be easily traced.
 - **Categorization:** The structure of complaints must be categorized into various subcategories based on the type of complaint and its priority.
 - **Determination of Time Norms for Grievance Handling:** The consideration in this element is acknowledgement in which the organization shall lay down a standard model in which the complainants get an 'acknowledgement' that his/her complaint has been registered, any progress status or if the problem has been solved and taken care of. These norms in the model need to be laid down in writing as a rule for each category of the complaint.
- (iv) **Adherence to Time Norms for Grievance Handling:** The time norms include:
- **Non-compliance:** The time period fixed to resolve the grievance must be adhered to otherwise the non-compliance must be dealt with by the proper mandated person.
 - **Procedure:** The organization must have a foolproof mechanism to cater to such cases where the grievance was not resolved within the identified time period. Such cases must be forwarded to the higher level of officers.
- (v) **Disposal of Grievances:** Given below are the elements included in disposal of grievance:
- **Resolution:** The organization must ascertain that every complaint is cross-examined and proved till it is resolved legitimately.
 - **Communication:** As soon as a decision has been taken on the grievance, it must be communicated to the individual with the grievance.
 - **Instant Redress:** Complaints which can be resolved instantly must be done instantly to avoid delays. Only those complaints can take more time which need to be dealt with at more than one level.
5. **Prevention:** The elements included in prevention are:
- (i) **Identification of Grievance Prone Areas:** This element will definitely improve service delivery. It involves identifying, the 'prone areas' of grievances and then taken suitable action to remove such shortfalls.
- (ii) **Action on Grievance Prone Areas through Annual Action Plan:** Action can be taken by:
- **Report on Grievance Analysis:** The agency executing the Citizens' Charter must consider the report on grievance analysis to incorporate it into the annual action plan which is documented in the plan.
 - **Identified Prone Areas:** The identified prone areas of grievances must be analysed to understand the causes behind them. Funds must be appropriated to resolve the issues arising in these prone areas.
- (iii) **Internal Coordination:** Action on grievance prone areas can be done through:
- **Coordination:** A satisfactory level of coordination needs to be achieved where all the divisions endeavour to act to remove the causes of the grievances.
 - **Verify:** The organization must verify the effectiveness of the action taken to remove the causes from time to time.
- (iv) **Charter Review:** The action on grievance prone areas can be taken through Charter review with the help of:
- **Grievance Analysis:** The Charter task force must consider the report on grievance analysis to decide upon the changes if required in the contents of the Charter.

- **Additional Information:** If the Charter task force feels that more information is required to improve the Charter in the areas where grievances are happening repetitively.
- (v) **Awareness About Progress of Controlling Grievances Prone Areas:** it can be achieved by:
 - **Awareness:** The decisions that have been taken by the Charter task forces regarding the resolution of grievance prone areas must be communicated to the employees as well as citizens getting the service.
 - **Motivate:** The staff must get motivation from the organization to alleviate the complaints.
 - **Cooperation from Citizens:** The organization will make citizens aware to get their cooperation so that it can make its service delivery efficient.

Module-III: Service Delivery Capability

The organization executing the Citizens' Charter has to implement a sound and effective system of redressal of grievances. To do this effectively, capacity and capability has to be developed. Service delivery excellence can be achieved only at the expenses of efficient management of the basic elements. To do this, capacity building in the organization is extremely essential. The guidelines regarding the Sevottam model are discussed in this module.

6. **Customers:** The elements included in this criterion are:

- (i) **Determining and Improving Citizens Satisfaction Levels:** The organization must identify and improve the quality of services to increase the satisfaction levels of the end-users by considering the following elements:
 - **Satisfaction Level:** The agencies executing parameters that will be employed to evaluate the end-user's levels of gratification.
 - **Analysis of Data:** The organization will conduct a survey and collect and analyse the data on the client's level of satisfaction by employing the identified parameters. Workshops with the stakeholders can also be held to complete this exercise.
 - **Internal Processes:** The internal processes have to be boosted and reinvented to improve the service delivery based on the pre-defined parameters.
- (ii) **Measuring Citizen-satisfaction Levels:** Citizen-satisfaction levels can be measured across the organization and field offices by:
 - **Differential Target Values:** The organization will have to establish differential target values of the parameters for the various branches and outlets found on their location, funding, etc.
 - **Monitoring:** The organization will monitor its various branches on outlets by measuring the levels of satisfaction based on the predetermined indicators and from time to time. Appropriate remedial action needs to be taken based on such feedback.
- (iii) **Charter Review:** Citizen-satisfaction measurement can be done to review the Charters by including the following:
 - **Review:** The feedback received from the service clients' level of satisfaction must be included in the Citizens' Charter review.
 - **Improvement:** The report of satisfaction level will be assessed and analysed by the organization to improve the service delivery.
- (iv) **Citizen Focused Environment:** A citizen-focussed environment must be created across field offices by including:
 - **Periodic Consultation:** Periodic consultation must take place by the organization with the end-users of the services being delivered to them to improve them.

- **Trouble Shooting:** The organization must replace the fire-fighting or the trouble shooting actions with basic improvement in the quality of service delivery.
7. **Employees:** It contains the following elements:
- (i) **Employee Behaviour:** Given below are the ways in which employee behaviour can be evaluated and improved through courtesy, punctuality, delivery promptness:
 - **Behaviour:** The employees of the organization must be trained to ascertain that they interact with the citizens politely.
 - **Underperformance:** The organization must determine the shortfalls and weaknesses of the underperforming outlets and use corrective measures as remedial action.
 - (ii) **Willingness of Employees to Accept Responsibility:** Responsibility must be accepted by employees with considerations given below:
 - **Specify:** The duties and responsibilities of the employees must be specified by the organization so that there is a precise discharge of duties politely.
 - **Incentives:** There must be a system put in place to acknowledge and honour the employees who met the demands of the job of service delivery excellently.
 - (iii) **Employee Motivation for Service Delivery Improvement:** It includes the following considerations:
 - **Facilities:** Any organization and its staff need suitable and advanced equipment to discharge their duties efficiently and effectively. So, they must be provided with computers, printers, fax machines, internet connectivity, etc., to improve service delivery.
 - **Suggestions:** The organization will take suggestions from its own employees with respect to improvement of service delivery.
8. **Infrastructure:** It has two elements:
- (i) **Basic Infrastructure and Facilities:** Given below are basic infrastructure and facilities which are required to make Citizens' Charters effective:
 - **Minimum Requirements:** The organization will determine and regulate the minimum requirements regarding a waiting area for clients, drinking water, parking space, some token system to streamline queries, etc. They are:
 - **Suitability:** Different outlets of an organization would have a different set of requirements depending upon factors like weather environment, etc., so the requirements need to be specified accordingly.
 - **Resources:** Funding is an extremely essential element to cater to these requirements for which the organization would be responsible.
 - **Review:** There would be a review from time to time of these minimum infrastructure requirements to evaluate if they are in coordination with the change in situations.
 - **Verification:** Whether the needs at the different outlets of an organization have been met must be verified by the organization and then work for the remedial actions.
 - **Information Boards:** There must be information regarding forms, service costs, time period required for delivery, etc., displayed on boards.
 - **Availability of Forms:** Forms must be available at all outlets of the organization.
 - (ii) **Resource Requirement to Meet Prescribed Service Standards:** There are two conditions:
 - **Resource Requirements:** The total funds needed to serve as per the identified standards must be worked out by the organization. If the funds available are less than the requirement then other option must be worked out.

- **Priority:** Allocation of funds must be done by prioritizing the service to be delivered at the top.
- (iii) **Efficient Use of Available Resources for Continuous Improvement:** They are:
 - **Optimization:** There must be a sound system to encourage optimization of insufficient funds to maintain and deliver identified service standards.
 - **Wastage:** Such mechanisms must be worked out which dissuade wastage of resources.
 - **Technology:** Instead of wasting valuable time doing clerical work manually technology must be used to make the most of the situation.

These above-mentioned criteria and elements constitute the three modules of the Sevottam model issued by the Government of India, Ministry of Personnel, Public Grievances and Pensions, Department of Administrative Reforms and Public Grievances.

Q6 Discuss how the legal framework of Citizens' Charter Bill, 2011. How will it help in the improvement of public service delivery if passed in the legislature?

Ans. The Citizen's Charter Bill, 2011, when enacted by the Parliament would be called as the Right of Citizens for Time Bound Delivery of Goods and Services and Redressal of their Grievances Act, 2011. It would cover the whole of India except 'Jammu and Kashmir'. The Bill, as given by the Government of India, would lay down an obligation upon every public authority to publish Citizens' Charter stating therein the time within which a specified good shall be supplied and services be rendered and provide for a grievance redressal mechanism for non-compliance of Citizens' Charter and for matters connected therewith or incidental thereto.

In a nutshell, it means that the public organization is duty bound to deliver timebound services as per the claimed standards and if it is not done so, there would be a mechanism to attend to the complaints of the citizens and to resolve them. The Bill has eleven chapters and they shall be dealt herein brief chapter-wise. Chapter I deals with definitions so a summarization of the Bill with its major features would begin with the second chapter.

Chapter-II: Right to Service

Right to Service is identified here as every individual citizen's and organizations right to time bound service good delivery with a mechanism for redressal of grievances.

Chapter-III: Publication of Citizens' Charter and Grievance Redressal Officer by Public Authorities

Give below are the main considerations in this chapter:

- **Publishing a Charter:** This chapter deals with the obligation of a public organization to publish a Citizens' Charter within six months once this act is legislated. The Charter would mention the particular goods it would supply or services to be provided and the time frame within which it would be done.
- **Specifics:** The Charter would mention the specifics regarding the goods and services by the organization with respect to the name of the individual or agency of the supplier and the time frame within which the services have to be rendered. It would also refer to various conditions regarding which kind of service recipient can get the services or the standards of the goals and services, etc.

- **Updating and Verification:** The departmental heads in each public authority has the obligation to keep the Charters up-to-date annually keeping a check on the accuracy of the substance.
- **Dissemination:** The department heads would be responsible to disseminate the information, keeping in mind the vernacular and the methodology of doing so without any money involved, to a large population. The Charter can be put up on the website and any other electronic media but free of cost. A copy of the Charter must be communicated by the department head to central and state public grievance redress commissions when even it is amended or updated.

Chapter-IV: Establishment of Information and Facilitation Centre

The chapter deals with setting up the information and facilitation centres. As discussed earlier in the chapter, they will make the whole processes and procedures easy for the end-user and the organization too. There are two main points in this chapter given below:

1. **Establishing:** Information and facilitation centres must be established in every public organization to deliver goods and services efficiently and effectively. Customer care centres, help desks, etc., must be set-up to deal with redressed grievances.
2. **Responsibility:** Every departmental head of the public organization will have to be responsible for the progress, betterment, updation and reformation in service delivery as well as managing the system of grievances settlement.

Chapter-V: Appointment and Obligation of Grievance Redress Officers by Public Authority

This chapter deals with the appointment and obligations of grievance redress officers including for each municipalities and *Panchayat*. Given below are the main features:

- **Appointment of Officers:** As soon as this Bill passed to become an act, every public authority shall be obliged to appoint the required number of officers for all its offices. The grievance redress officer must be one level higher hierarchically than the employee delivering the goods and services. All contact details of the Grievance Redressal Officer must be published in the local newspaper where the services are being provided. In addition to newspapers, this information must also be given in all the information and facilitation centres, call centres, customer care centres, help desk, etc.
- **Help by the Grievance Redressal Officers:** The officers must help the complainants in filing their complaint as well as helping in solving it. If the grievance can be solved orally on the spot it must be done to avoid written documentation.
- **Acknowledgement:** There must be an acknowledgement of the complaint within a day either in a written or an electronic form giving the complainant a reference number specifying the details of the complaint and the time that would be taken to resolve the issue.
- **Stipulated Action:** The Grievance Redressal Officer will make sure that:
 - The complaint is resolved within fifteen days.
 - The cause of the grievance must be determined while making the employee accountable who defaulted.
 - Action must be taken against the defaulting officer as per the departmental rules.
 - If the defaulting officer is corrupt then a case be filed under the Prevention of Corruption Act, 1988.
 - If required he will hire or depute another officer in his place to pursue the case.
 - An action taken report must be submitted to him.

Chapter-VI: Appeal to Head of the Department of the Public Authority

This chapter deals with appealing to the Head of the Department of the Public Authority. Given below are the issues related to appeal:

1. **Complaints:** All complaints under Section 7 will be considered as an appeal to the departmental head. An appeal can also be filed by the complainant if he is not satisfied with the decision regarding his issue after thirty days.
2. **Powers of the Departmental Head:** The departmental head has similar powers as the civil court as per the Code of Civil Procedure, 1908, with respect to:
 - (i) Call for a person to examine him under oath
 - (ii) Call for any document or evidence
 - (iii) Ask for evidence in the form of affidavits
 - (iv) Asking for any governmental record
 - (v) Examining witnesses via a commission
 - (vi) Assessing its verdicts and orders and any other matter

The departmental head will also have original jurisdiction to pass verdicts.

3. **Guiding Principles:** The guiding principles a departmental head would not be the Code of Civil Procedure, 1908, but justice via this act.
4. **Time Bound:** The departmental head of a public organization is bound to resolve the appeal filed by a citizen within thirty days from the day it was filed. If the appeal is of an urgent nature, it would be resolved the same day the appeal was made. The copies of decisions also must be sent to the parties involved within five working days from the day the decision was made. The defaulting officers with deceitful or corrupt action would be brought to justice if such evidence comes into light during the inquiry.

Chapter-VII: Establishment of State Public Grievance Redressal

This chapter deals with the setting up of State Public Grievance Redressal System. The major features are given below:

1. **Appeal to State Commission:** If a complainant is not satisfied with the decision of the departmental head of the public authority can appeal to the State Public Grievance Redressal Commission within thirty days.
2. **Appointment of State Public Grievance Redressal Commission:** The state government will institute a commission, by notification, the State Public Grievance Commission to resolve appeals against the departmental head.
3. **Composition:** The commission will comprise a chief commissioner and five commissioners including one from the Scheduled Castes, Scheduled Tribes and women.
4. **Selection Committee for Appointment of Members:** The governor, based on the selection committee's recommendations would appoint the chief commissioner and the commissioners. The selection committee will consist of the Chief Minister (chairperson), the opposition leader in the legislative assembly and a High Court's sitting judge. Many other issues like qualifications and terms of office have been given in this section. Staff, salary and allowances of the state commission, filling up of vacancies, resignation and removal and powers of commission and procedure before it, all proceeding of the commission would be deemed as judicial proceedings.
5. **Time Frame:** This chapter also includes the time frame for disposal of appeals and the staff and officers of the commission would be public servants.

6. **Powers of the Commission:** The commission would have the power to direct the public authority to ensure that it complies with the Citizen's Charter and disseminates information in time and updates it. The commission can listen to complaints which would not get a hearing with the public authority or is not satisfied as per the Charter. The burden of proof would be on the Grievance Redressal Officer who had not dealt with the request of redressal. The corrupt act or price would be adjudicated accordingly.

Chapter-VIII: Establishment of the Central Public Grievance Redressal Commission

This chapter deals with the setting up of a Central Public Grievance Redressal Commission. Given below are the issues dealt in this chapter in brief:

1. **Rationale:** The rationale behind the setting up of a Central Public Grievance Redressal Commission was for the complainant and who could not get a satisfactory decision from the State Public Grievance Redressal Commission within thirty days as an appeal.
2. **Appointment:** The Central government shall constitute a Central Public Grievance Redressal Commission via a notification to hear appeals. It would comprise of a chief commissioner and ten commissioners including one from amongst the Scheduled Castes, Scheduled Tribes and women.
3. **Selection Committee:** There would be a selection committee who would be appointing all the above-mentioned officers. This committee would comprise of the Prime Minister as the Chairperson, Opposition Leader in the Lok Sabha and the Supreme Court's sitting judge.

This chapter also consists of qualifications for the appointment of Grievance Redressal Commissioners, terms of office of the commissioners salary and allowances of the staff of the National Commission, filling up of vacancies, resignation and removal.

4. **Powers:** The central commission would have the powers of the civil court as per the Code of Civil Procedure, 1908. It would have the powers to:
 - Call for or force any person to examine him under oath.
 - Call for any document or a public record as evidence, and such.

The commission has the powers to give directions to the public organization to abide by the Charter's rules and claims, timely updating and dissemination to the people. It can also inquire *suo moto* if it feels there is any *prima facie* case of a corruption or a complainant can go to the commissioner if his/her complaint was handed with dissatisfaction or the Charter of the public authority was not made only.

5. **Proceedings:** The commissioner's proceedings would be deemed as judicial while the burden of proof would be on that Grievance Redressal Officer who did not deal with the complaint. The commissioner's staff would be considered as public servants. This chapter also contains the time frame stipulations which is fifteen days from the date of the appeal and that the commissioner can also charge the officer with penalty if found guilty after a court hearing.

Chapter-IX: Penalties

The chapter IX deals with the penalties for *mala fide* action. Given below are the main features:

- **Penalty:** The Head of the Commissioners, whether state or centre, can charge the officials who had defaulted with a lump sum penalty, with respect to quality service delivery within a time frame.
- **Disciplinary Proceedings:** The officer in fault will have disciplinary proceedings against him if he is found guilty of *mala fide* action.

Chapter-X: Reporting of Redressal of Grievances by Public Authority

The tenth chapter deals with the reporting of redressal of grievances by public authority. The main issues in this chapter is about reporting. The Grievance Redressal Officer is supposed to record each and every complaint or appeal it gets. He has to put it upon the website every 15th of the month giving the details about the complaints.

Chapter-XI: Miscellaneous

Chapter-XI, lastly, involves miscellaneous issues as given below:

- **Jurisdiction:** Any matter that comes under this act which is to be decided by the adjudicating agencies mentioned therein will not come under the preview of the civil court.
- **Enforcement of Orders:** The commissioners must enforce the orders passed by them and if they are unable to do so, the matter must be sent to the local courts of that local jurisdiction. There are more sub clauses to this point given in the Bill.
- **Protection for Acts:** Any legal proceedings against any person will not make a difference in the proceedings under this act.
- **Provisions:** The provisions of this Bill when passed will be an additional advantage to the laws that are in force already.
- **Power to Formulate Rules:** The enforcement of an act is an important as its formulation. The government can formulate rules to implement this act.
- **Laying of Rules:** The rules formulated by the union government would be tabled in both the Houses of Parliament when in session for thirty days. The amended rules can be effective if both the houses agree.
- **Removal of Problems:** Any problems that may arise in the acts implementation, be removed by the union government by passing such order which must be published in the official gazette within two years of the commencement of this act.

Q7 What are the problems faced in the implementation of Citizens' Charters?

Ans. The Citizens' Charters are at an evolving stage in India as they began in 1997 when the then Prime Minister I. K. Gujral started the initiative as part of the action plan for effective and responsive government. The implementation of the Charters faces many problems which are discussed below. Charters have usually drawn flak from all quarters and especially in India.

CRC AND PAC

An evaluation of the success of Citizen Charters is a significant way to understand when they lack and the areas of improvement can be identified.^[3] The evaluation methodology is called Citizen Report Cards (CRCs) which is considered as a good practice. The Public Affairs Centre (PAC), Bangalore is a strong tool for data analysis via user feedback to make transparency and public accountability better. The vast number of public agencies offering services can be ranked with direct feedback from citizens.

The PAC conducted a study of more than 200 Charters and found that:

- There is no comprehensive listing of Citizens' Charters available at the central and state levels.
- At least six essential components were found in the Charters in the western and the northern regions.

- The central/union territories Charters are accessible on the internet than the ones drafted by the states.
- Many Charters simply passed off templates provided by the modal ministry which raises doubts of their customization.
- The central ministry Charters are bilingual and available in English on their websites while those of several states are only available in regional languages.
- There is a substantial variation in the format, length and content of Citizens' Charters across agencies and states.
- Some Charters are only poorly scanned copies making them difficult to read and understand.

The Public Affairs Centre, Bangalore, observed that the Charters had achieved success of a range between 30–40 per cent was found but the shortcomings were very glaring. They are given below in brief:

- **Lack of Updation:** Charters are rarely updated while most of them do not mention any date of the publications' release. It is understood that the presence of a publication date assures end-users of the validity of a Charter's content.
- **Access to Citizen's Charters:** There is a limited accessibility to reports and assessments of charters from all over India. Getting access to the Charters itself is a challenge. There must be a reform *suo moto* with respect to its services and programmes for the benefit of all citizens. Yet, access to the Charters was not even for researchers. So, the information on Charters provided on websites were not always complete or user friendly. There is no central, comprehensive listing of all charters at one place. It is difficult to get citizens empowered if the required information is made scarce.³ Design and Content: Most of the Charters of the government agencies do not have a good design and are lacking in critical information that the end-users need to make the agencies accountable. Hence, the Charters lack in public accountability. Only 151 Charters out of 561 Charters reviewed had eight or ten essential components and most of them had been copied from sample templates.
- **Lack of Planning and Support:** There is a lack of planning and technical support that is required by the agencies. Since there is a variation in the resources of governments, such a reform seems as only a glossy document to them. Secondly, there is a resistance to such reforms owing to those in government who gain from a regime of non-transparency and discretionary decision-making. Such factors led to the poor performance of the Charter initiative. The failure of support of the participating governments and their agencies with the needed technical assistance may well have reinforced this end result.
- **Weak Charters:** More developed states like the southern states have better Charters. Agencies like the environment and industrial sectors have a public dealing with educated people or organizations, more than the social infrastructure sectors. In essence, the most poorly drafted Citizen's Charters are those implemented by agencies, such as those in the social development sector, whose users could most benefit from critical information in a Charters, while the most effective Charters are drafted by agencies whose users need a Charter the least.

Citizen's Charter initiative though seems to be a great mechanism but has a complex set of factors working in it. The complicities can be due to lack of resources, reforms of organizational framework, leadership, etc. Major changes in the work culture need to be implemented by achieving coordination between the official and citizens. 'Mission Mode' is essential for success of the Charters. The 'Mission Mode' implies that a dedicated team is given the mandate to achieve the specified goals and outcomes.

- **Responsibility of Citizens:** The end users have some duties and responsibilities owing to the simple fact that the resources available with the public organizations are mostly limited. An economic and effective utilization of such resources is required. The governments must consider some

cancellation of rights to public services if they do not commit to their responsibilities. On the other hand, to execute this issue, effectively, there must be a planned awareness campaign to make people well-informed about their responsibilities regarding their ways of using public services.

- **Limited Scope:** Generally, Charters have a restricted scope with a few parameters and basic issues involved in service delivery like the expenditure to be incurred on each person, the number of users ultimately getting the service. However, qualification of the degree of satisfaction cannot be done in most of the public services. Usually the citizens are not involved or asked in the structural design of the service being provided. The citizens are not empowered as the service delivered is done from the providers perspective. Quality improvement ways must be enhanced and worked upon to empower the citizens in a genuine way.
- **Lack of Focus:** Generally, the top-down approach affects the Charters as a lot of training needs to go in to make the employees of the public organization respective to the Charters. A lack of participation of the citizens and employees both has resulted in the lack of focus in the implementation of the Charters. The assessment carried in India showed that none of the Charters in India had the relevant and necessary elements as compared to the globally accepted Charter.

The issues must be resolved by passing the Bill as soon as possible and the Charters must be implemented with managerial professionalism and using the latest technology.

Notes and References

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27

The Right to Information

LEARNING OBJECTIVES

In this chapter, you will learn about:

- Need of Right to Information
- Evolution of RTI—in the World and in India
- Important Features of RTI
- Critical Assessment of the RTI Act, 2005

Each organization has an abundance of information in many forms and on every conceivable aspect of its working. Even though the age of information technology has arrived, paperwork still exists and sifting through the vast heaps of paper is a monumental task. Hence, every organization undertakes various strategies for the management of information in order to be able to provide it when required. It is not as if information was any less important earlier than it is today. The importance of information has always been paramount from the days of the Magna Carta in twelfth century United Kingdom or today when access to information is the common man's right. Information is core to development in every stage and form. Since information is always related to the public in one way or other, it rightfully belongs to the public, except in the case of national security. The term, information, derives from the Latin word *informare* which means to supplement a shape or form a structure by removing ambiguity of ideas and thoughts. Thus, the Right to Information Act was introduced with the view that information gives power to the common man.

Q1 *How does being well-informed help citizens safeguard social and economic rights?*

Ans. The Right to Information (RTI) is an essential component for the attainment of economic as well as social rights. Since information increases the limits of awareness among citizens, it helps raise the bar for participatory governance. Given below are the few fundamental aspects on which the need of RTI is based so as to ensure social-political rights of the citizens:

- **Judicial Requirement:** The RTI is an act, since 2005 and hence, it has the necessary mandated lawfully. It is included in the Constitution of India, as in all other countries, as part of the fundamental Right to Free Speech and Expression. It was passed in the Parliament to extend the right of the public to have a bearing on all companies, NGOs and international agencies whose job is in the public interest. India is facing a lot of pressure while dealing with imparting of information under this act. Since it is a right, it extends in fulfilling the other acts also like the Right to Food, Right to Education, and most importantly Right to Life.

- **Human Rights:** The Right to Information has been acknowledged as a human right all over the world by a large number of agencies and organizations. The Universal Declaration of Human Rights included the RTI sixty years ago, it postulated that ‘freedom of information is a fundamental right and the touchstone for all freedoms to which the United Nations is consecrated’. In Article 19 of the International Covenant on Civil and Political Rights it was asserted that everyone shall have the right ‘to seek, receive and impart information and ideas through any media and regardless of frontiers’.

The RTI is a tool to achieve all human rights. The citizens can become more aware of their rights and hold governments accountable to their fundamental rights ensuring social and economic welfare. Individuals as well as non-governmental organizations fight for basic fulfilment of needs via the RTI Act by seeking information, for example, public knowledge of the quantity of rice distributed through the public distribution system ensures that hoarding and illegal price surges are contained.

- **Containment of Corruption:** RTI acts as a tool to curb and contain corruption. Since the problem of corruption is a vast one, it cannot be said that RTI can thoroughly eliminate it. The RTI Act states containment of corruption as one of its objectives in its preamble. If there are government servants, bureaucrats or legislations indulging in corruption, there is also a section of people and agencies who are working to fight against corruption to have clean and honest good governance. The seeds of corruption need to be destroyed at the higher level to control at the lower levels.

The internet is a powerful instrument in the control of corruption. The act can work with this issue with the facilitation of new Information and Communication Technology (ICT) as every organization has to post the RTI procedures on its websites. More so, the NGOs can delve into information and shame the corrupt officials for the public to see.

- **A Democratic Prerequisite:** Any democracy in the world works on the basic principle—‘*Of the people, by the people and for the people*’. RTI addresses the democratic state directly by involving the consensus of the citizens in government projects and activities. The democratic prerequisite works on the same framework as the participatory governance. RTI helps in encouraging participation. Since the government does all the revenue collection and takes the decisions concerning the public in all areas, it is only fair that the public expect information in return.

The basic objective of the RTI is to hold the government accountable. The former President of India had ‘created a virtual Parliament of people’. Likewise, it is the right of the people to have the relevant information to lead them to the path of development. The absence of information will lead to unwarranted and dangerous speculations and create an adverse effect on the society and economy.

- **Development:** The Official Secrets Act, 1923, India, had kept the process of development hidden from the public. This is said to have caused high levels of corruption and the low levels of infrastructural development in the six decades of independence. The ramifications of traditional processes were turned back significantly after the RTI Act to cater to the basic standards of living.

The governmental organizations now have made it imperative to make available all relevant information about their processes and procedures of their activities.

- **Transparency and Accountability:** Since India elects its representatives every five years, the absence of any legal mandate for the RTI, made the government answerable only after every five years. The RTI Act automatically leads to transparency as it makes access to the policies and activities of the government simple for the people. So, when the people have the necessary information, they have the means to hold the government accountable for their commissions and omissions.

Media helps in speeding up the process of transparency and accountability via the RTI Act. This is seen in the form of public debates over relevant and important issues to let justice prevail. Public organizations are also encouraged to perform better because of renewed and visible accountability.

- **Building Trust:** It is generally perceived that masses do not have trust in the intent of the activities of the government. This leads to unrest and frustration in a society based on the simple feeling of betrayal. On the other hand, policies like access to information lead to openness and transparency, strengthening the national strength and democracy. Good governance is difficult to attain in absence of the trust of people. Public would simply not support such a government if they feel that the proclaimed projects and activities might not just take off and that they have been designed only on paper to indulge in corrupt practices. Such national instability becomes a hurdle in the way of development.

The need for the RTI Act is established in the issues discussed. It is an important tool of good governance which was finally passed in 2005 in its present form.

EVOLUTION OF RTI—GLOBAL

In 1215, the Magna Carta, or the 'Great Charter' established some basic human rights underlying the foundation of freedom. Over the centuries since that historic event, more than a hundred countries have passed the freedom to information act in some form or the other. Given below are the various versions of the act in the following countries:

1766: In Sweden, an ordinance relating to freedom of writing and of the press (1766) was passed in Stockholm. It gave the legal freedom of writing and of the press and stated that an unrestricted mutual enlightenment in various useful subjects gave the general public better knowledge of the system of the government. It came into being as a result of the Parliaments' efforts. Sweden is among the top positions in the list of least corrupt nations and thus validates the link between the RTI and corruption-free state.

1948: The UN General Assembly passed a resolution in Article 19 of the International Covenant on Civil and Political Rights (ICCPR) which stated that the freedom of information is a human right that acknowledged the right of citizens to have access to the information of public organizations and agencies.

1951: Finland passed the 'Act on the Openness of Public Documents' which sanctioned the openness of all records and documents of the government and also registered religious communities.

1982: New Zealand passed the 'Official Information Act' enforcing the policy of transparency with respect to openness of governmental documents.

1983: Canada passed the Access to Information Act to let the citizens rightfully ask for information from the federal organization under the Pierre Trudeau government. A time limit was also set to respond to such a request. A Privacy Act corresponding to this act was passed to protect individuals and private parties.

1985: Denmark passed the access to 'Public Administration Files Act' with respect to all records of governmental agencies.

By 1990, there were only 14 nations who had passed their law but the number kept on growing with about hundreds of them including the largest of the democracies like China, India, USA, Russia, Central Asia and most of them in Europe, Latin America, etc. Now, Africa and the Pacific also are catching up with this law. The enactment of this act has impacted the governments to move on in their developmental process at a greater speed. It obliterates vagueness and ambiguity. The mystery and secretly ridden bureaucracy have started coming out of its must.

1966 USA: The 'Freedom of Information Act (FOIA)' was passed on 4 July 1966, stated that any individual has a right to access to federal agencies documents legally unless they fall under the official secrets exempted from public disclosure. Its procedural information is given on FOIA government as a part of the 'Department of Justice's Open Government Plan'. This department accumulates and files all documents on behalf of the federal government. The US government amended the act in 1974 and 1986.

2000: UK passed this law as 'The Freedom of Information Act 2000' to access official information held in computers, in emits, printed or handwritten documents, images, video and audio recordings. The procedure such information is clearly stated on its website with its rules and regulations.

The World Bank policy on access to information states how public can get information about projects that are underway in their planning stage or implementation, analytic and advisory activities or the board's proceedings. The international bank for reconstruction and development and the international development association has the policy to disclose any information that it has barring its list of exceptions. It has a streamlined procedure regarding this with the provision of right to appeal in case of a dissatisfaction in a field situation.

The World Bank's policy in this respect changed service wherein it discloses any information that it possesses, 2010 wherein it discloses any information that it possesses, except for its list of exception, to promote transparency and accountability. This policy was amended in 2013 widening its ambit of transparency.

EVOLUTION OF RTI–INDIA

1975: There was a Supreme Court ruling that Indian citizens have a right to know.

1980: The *Mazdoor Kisan Shakti Sangathan* (MKSS) was established in 1980 with the aim to work for accountability from the government in Rajasthan. It began with its demand for minimum wages for workers but the RTI was its major achievement which began in Ajmer in Rajasthan as a strike demanding for information regarding non-payment of minimum wages in 1996.

1982: The Right to Information was declared as a fundamental right and part of Freedom of Speech and Expression

1985: Post the Bhopal gas leak tragedy, the environmental NGOs asked for information about environmental risks and it resulted in the Supreme Court's intervention.

1989: The government made a promise to have a transparency law in place but the government lost its members in 1990 before it could do anything.

1996: National Campaign for people's Right to Information (NCPRI) was established. It prepared a draft RTI Bill with the help of other groups and Press Council of India.

1997: The draft bill was sent to a committee for review with H. D. Shourie as its Chairman.

1999: The then Prime Minister revoked an order of a cabinet minister which permitted access to information within his ministry.

2000: A case was filed in the Supreme Court to pass the RTI Act. While on the other hand, the Shourie Committee Report was tabled and referred to a parliamentary committee.

2001: Recommendations were forwarded by the parliamentary committee.

2002: The government was given an ultimate with reference to the RTI by the Supreme Court.

2003: The President's assent given but notification could not be taken out.

2004: RTI emphasized by the United Progressive Alliance (UPA) coalition government in the common minimum programme.

June 2004: The National Advisory Council (NAC) is established .

August 2004: NCPRI submitted its draft bill to the NAC and the NAC furthered, after modifications to the government.

December 2004: The RTI Bill was introduced in the Parliament but it was referred to a parliamentary committee and it covered only the Central government.

January–April 2005: The bill was under study and consideration by the parliamentary committee and the group of ministers. A modified version of the bill, including the state government, was introduced in the Parliament.

May 2005: The bill was passed by the Lok Sabha as well as the Rajya Sabha.

June 2005: The RTI Bill got assent from the President.

October 2005: The RTI Act came into force.

FILE NOTINGS

There was an ambiguity about file notings in the RTI Act, whether they came under the purview of the disclosure of information or not. File notings are those comments that are written on the left side of the government files, which might be later accepted or not. These notes record the happenings and proceedings of the meetings and as such are very significant in decision-making. Such information also shows when and where the file was and with whom. So, it ensures that the government works within rules and regulations.

According to a recent amendment, file notings regarding social and development projects only would be disclosed to have bureaucratic transparency. A press note was released on 26 July 2006, by the Prime Minister's Office (PMO) clarifying that the union government had approved the Section 2 (i) (a) of all government plans, schemes and programmes the purview of social and developmental areas.

Important Features of the Right to Information Act

The RTI Act, 2005, was passed to ensure transparency and accountability in the functioning of every public organization by making such arrangements that the citizens have the right to have access to information. The main features are covered in six chapters which are further divided into sections. Given below is a brief summary of the most important features:

Chapter-1

The act covers the whole of India barring Jammu and Kashmir. This chapter deals with the definitions and notations of various terms.

Chapter-2

The second chapter deals with the right to information and obligations of public authorities. It deals with committing to the fact of giving the right to information to the citizen of India. Under this, the public authorities have some obligations.

Obligations of the Public Authorities: The following are the obligations of the public authorities:

- The public organization would have to maintain its records online for them to be accessible to all.
- Would have to issue in print, its functions, powers, duties, and also of its officers, its decision-making process, supervision and transparency processes and levels of hierarchy.
- The rules and norms in all its procedures and processes and their records.
- Budget allocations and other issues.
- The material must be laid out in an easy manner so that it is understood by all.

1. Public Information Officers: Every public organization was supposed to appoint officers as the Central Public Information Officers (CPIO) or State Public Information Officers (SPIO) in all units of administration to cater to citizens requiring information within hundred days of passing this act.

(i) **Issues in Making the Request:** Every CPIO or SPIO is supposed to make available information to individuals requiring it. The individual needs to appeal for information either in a written form or electronically in English, Hindi or in that state's official language to the concerned CPIO/SPIO. In case the individual is unable to do so, his verbal request must be accepted and help given to him/her to make the request written.

(ii) **Information:** The CPIO/SPIO would be obliged to take help of any officer required to make the information accessible to the individual which would be binding as that officer.

(iii) **Time Period:** There are specific cases where the time period varies accordingly in supplying the information. A few of them are:

- The CPIO/SPIO shall either provide the information requested with the fee or reject it under reasons specified within thirty days.
- If the information concerns the life or freedom of the individual who had requested the information, then it has to be handed over within forty-eight hours.
- The request would be considered denied if it is not met within the specified time. If a further fee has to be paid, the individual would be intimated. The time that goes in this process would be excluded from the total period of thirty days.

(i) **Rejection:** If the request is rejected according to the law, the CPIO/SPIO needs to inform the information seeker the reason behind such a decision. There are specific guidelines regarding:

- The time duration within which an appeal may be filed
- The information regarding the appellate authority

(ii) **Conditions of refusal of information to citizens.**

The act provides for certain conditions under which information may be denied to citizens:

- The information's disclosure must not impact in any way the sovereignty and integrity of India's security, state interests, relations with a foreign state or involve information that might lead passably to an offence.
- Such information that might lead to contempt of court.
- Information that might be conducive to breach of privilege of the Parliament or the state legislature.
- Trade secrets which might harm the third party.
- Confidential information received from foreign governments. Information that might put someone's life at risk.
- Records of cabinet meetings, council of ministers, secretaries, etc.
- Personal information of an individual which has no connection to the state's activity.
- Copyright issues.

Chapter-3

The Central Information Commission (CIC)

The office of the Central Information Commission (CIC) was constituted by the Central government after the notification was released in the official gazette regarding the RTI Act, 2005. It was decided that the office of CIC would comprise:

- The Chief Information Commissioner (CIC)
- CICs not more than ten numbers and would be appointed by the Presidents keeping in mind the committee's suggestions

The committee would include:

- The Prime Minister as the Chairperson
- The leader of the Opposition from the Lok Sabha. The Prime Minister's nominee of the rank of a Cabinet Minister

If there is no designated leader of the opposition, the leader of the single largest party among those in opposition would be considered as the leader of the opposition.

Role and Functions of the CIC

The CIC plays a very significant role while performing the functions assigned to him via the RTI Act 2005, which are given below in brief:

- **Administration of the Commission:** The CIC would be administered by the Chief Information Commissioner. He would have a team of information commissioners working only for him and no other authority.
- **Requirement of the Post of CIC:** The CIC and his ICs would be required to be personalities of distinctions, notability and prestige. They must be generalists having information about science, legal system, organized welfare efforts, governance, etc.
- **Office:** The CIC and his staff of ICs must not hold any office of profit, be a member of Parliament or the legislature of any state or union territory, be affiliated with any political organizations, or running any other enterprise.
- **Headquarters and Term:** The headquarters of the CIC would be at Delhi but more offices elsewhere in India may be established provided the union government permits it beforehand. The CIC and the ICs would be in office for five years there is no provision of appointing the same person again and or appointing someone after the age limit of 65 years. An IC will be eligible for the post of CIC.

The CIC/IC can be removed according to the procedure given in the Section 14 of the chapter-III. The President can remove or suspend them on account of misdemeanour/misbehaviour which has been proved after an inquiry or a report of the Supreme Court. A few conditions of removal are:

- Declared insolvent
- Proven immoral act
- Engaged in another paid job simultaneously
- Physically or mentally unfit
- Proven financial interests interfering in the discharging of his duties

- **Salaries and Allowances:** Salaries, allowances, privileges and other terms and conditions of service of a CIC would be the same as the Chief Election Commissioner and that of the IC would be the same as an Election Commissioners. If the CIC/IC has served in some corporation or a government service, his salary as CIC/IC would be decreased by the sum of the pension comparable to the retirement perks.

Misbehaviour according to this act is misbehaviour if the CIC/IC pursues in any tender or contract of the Government of India.

Chapter-4

The State Information Commission (SIC)

The act mandates every state in India to establish, a SIC with the state's name as a prefix to it to do its duties and exercise its powers. Given below is an account of its organization and role:

Organization: The SIC would comprise:

- The State Chief Information Commissioner
- State Information Commissioners (SICs) as many as needed but not more than ten

Appointment: The appointments of SCIC and the SICs shall be made by the Governor based on the recommendations made by a committee that comprises:

- The Chairperson of the Committee who is the Chief Minister
- The leader of the opposition in the legislative assembly
- A Cabinet Minister nominated by the Chief Minister

The leader of the opposition is the leader of the largest single party that sits in opposition even if it has not been accepted. Other conditions are exactly the same as the Chief Information Commissioner at the centre.

Chapter-5

Powers and Functions of the Information Commissions, Appeal and Penalties

This chapter deals with the conditions and rules regarding the complaints and inquires. Given below are the powers and functions of information commissions, be it central or state:

1. **Complaints:** Such complaints would be accepted whereas the individual:
 - (a) Has not been able to file his/her complaint as needing information or appeal.
 - (b) If the information has been denied to the complainant which has been applied for.
 - (c) If the time limit has been exceeded which has been specified in this act.
 - (d) There is some dispute of fee.
 - (e) The applicant considers the information as not being complete or correct.
 - (f) The commission may start an inquiry on its own if it thinks that there is a justifiable basis for rejection/acceptance/delay in the application.
2. **Conditions During the Inquiry:** The commission can inquire as per the individual code of civil procedure, 1908, in the issues mentioned as under:
 - (a) The individual or individuals can be summoned to provide with verbal or written proof or evidence under oath.
 - (b) The paperwork in question can be inspected.

- (c) An affidavit can be asked for to get evidence.
 - (d) Any public document or its copy can be asked from any court or the concerned office.
 - (e) Summon may be issued to call for documents or witnesses.
 - (f) Any other mentioned issue.
3. **Follow-up of Inquiry:** A few issues regarding the follow-up of such an inquiry, excluding the sub-clauses, are explained below:
- (a) Any public record or document can be asked from the public organization and it cannot be denied under any pretext, except as listed in the act.
 - (b) The time limit specified in the act needs to be followed otherwise the applicant can go to a higher official.
 - (c) The concerned officer can accept the appeal if the decision passed and received by the applicant within thirty days has not been accepted by the individual. There can be a second appeal ninety days after the decision was taken if the commission feels that the appeal is justified. The decision of the commission would be final.
4. **Power of the Commission in Decision-Making:** The commission has some powers regarding decision-making which are given below in brief:
- (a) The information given has to be given in a specific formal, provided it is requested.
 - (b) The commission needs to appoint a CPIO or SPIO.
 - (c) Some information is required to be published.
 - (d) Record management needs to be done with respect to its maintenance or elimination and its constant updation.
 - (e) It trains its officials and executives in relation to the procedure of right to information
 - (f) It is imperative to prepare an annual report as per the act's requirements.
 - (g) The commission has to pay compensation for any losses the complainant has had to suffer.
 - (h) On the other hand, besides the compensation, the commission has to enforce retribution or fines according to the act.
 - (i) Lastly, the commission has the right to reject the application as per the act.
5. **Appeal Regulations:** The commission will give notice about the decision that it takes or if there is any right to appeal to the applicant as well as the public organization. Also, the commission decides about the appeal of the request as per the act.
6. **Penalty on the Officer:** If the commission finds at the time of taking a decision that the central or state information officer has denied the request for information, or the work has not been done in the specified time limit or an inaccurate reply has been provided, a fine of ₹ 250/- will be imposed per day not exceeding twenty-five thousand rupees. The condition here being that the officer gets a chance to put up his explanation before the imposition of fine as truthfully as possible. If the officer is proven guilty in the above cases, he will have to face disciplinary action according to the service rules.

Chapter-6

Miscellaneous: This chapter contains a few miscellaneous regulations which are given here in brief:

- **Legality of Actions:** Whatever a person may have done under this act, it would not be held against him legally.
- **Official Secrets:** The Official Secrets Act, 1923 shall be upheld if such information would be asked for under this act.

- As per this act, no court would accept any case if it is ongoing under the act.
- Intelligence and security organizations will not be covered under this act.
- All complaints or accusations with respect to corruption and human rights would be included after the Central Information Commission sanctions its diligence to be executed within 45 days since the request was filed and correspondingly in the state.
- **Report:** All departments or ministers are required to make a report to maintain records of information annually based on the member of applications for information to individual government organization.
 - The number of decisions taken against divulging information.
 - The statistics of the member of application requesting information and their results.
 - Any disciplinary action taken against an officer.
 - The sum of money that was deposited by all governmental organizations as per the act's provision.
 - The endeavours of the specific governmental organization to make this act work.
 - Suggest modifications to improve the act.

Such a report, as the case may be, must be laid in the state legislature or the Parliament. The CIC/SIC have the right to recommend changes required to make the act work in a better way.

- **Awareness:** The CIC/SIC can hold sessions and formulate plans to promote awareness of this act to such social group which are not financially or socially aware. The commissions must insist and instill in the public organizations to hold such programmes to make this act a success. Also, it must be ensured that relevant information is circulated to all public organizations along with any training material.
- **Guidelines:** It is essential that the government, central or state, must publish the guidelines at definite regular intermittent periods specifying any modifications regarding:
 - The contents and clauses of the act, addresses of the CPIO/SPIO of every governmental organization (postal, fax, number, phone number, electronic mail).
 - The procedure for requesting information from CPIO/SPIO, and the type of legal or filing and extent of help that is available from them.
 - The legality regarding divulgence of documents at will.
 - The fees remittance to be made to apply for information.

Recommendations Given by the Second Administrative Reforms Commissions on the Right to Information Act, 2005–India

The Second Administrative Reforms Commission gave its report on the Right to Information, 'master key to good governance' in June 2006. It identified the RTI as a key that opens government's records to public scrutiny thereby arming citizens with a vital tool to inform them about what the government does and how effectively, thus making the government more accountable. It calls the RTI as a 'basic necessity of good governance'.

This ARC's report is divided into two sections, the official secrets and confidentiality issues including these chapters.

- Official secrets
- Rules and procedures
- Confidentiality classification

The second section deals with the effective implementation of the act and is chapterized as:

- Rights and obligations
- Issues in implementations
- Application of the act
- Judiciary and removal of difficulties

A summary of the most important and relevant recommendations of the Second ARC with regard to the aforesaid topics is given below:

I. Official Secrets Act 1923: There has always been a dichotomy between these two acts, the RTI and the Official Secrets Act (OSA). One tries to access the information and the other keeps sensitive matters hidden from public gaze and scrutiny. To end vagueness and contradictions between these two acts, given below are the recommendations suggested by the Second ARC.

- (a) The OSA must be revoked or withdrawn formally and a whole new chapter based on the laws with respect to official secrets must be added.
- (b) Since the Section 5 of the OSA contains the penal provisions which would be applicable to that impact security. The committee suggested a new law with the following additions:
 - (i) If some individual has some such official secret while in a position in the government which was shared with him in trust and was part of a legal governmental agreement, then violating the trust would make the person guilty.
 - (ii) If an individual is shared an official secret and he is aware of it being under the act, he would be held as guilty in the event of violation.
 - (iii) The penalty of the above-mentioned offences would be upto three years or more with or without fine.
- (c) Section 123 of the Indian Evidence Act, 1872 needs to be amended as:
 - (i) Under the RTI Act 2005, no one would be allowed to give any kind of evidence taken out from official documents which have not been published or are excluded from the list of documents to be presented.
 - (ii) If an individual is allowed to do so, it must have an affidavit and the court must call for such documents if they are not released by the particular office. Court would inspect the documents if they are harmful to public interest or if they have been categorized as top secret.
- (d) **Oath of Secrecy:** All ministers are administered an oath of secrecy when they assume office. In the oath the minister promises that he/she will not reveal any official matter to any one while doing his duties. It was recommended that even though the ministers are committed to transparent governmental affairs, the oath of secrecy obstructs it, so it must be done away with by amending the Articles 75 (4) and 164 (3).

Secondly, the National Security Law which includes the official secrets must be amended by including protection for the disclosure of information which is considered, against the national interest, in a written form.

- (e) **The Armed Forces:** The second schedule of the act includes some organizations that include Border Security Force, Central Reserve Police Force, Assam Rifles, etc., except for the Armed Forces. The commission suggests that the Armed Forces must be a part of the exempted organizations. The recommendations were also about the review of the second schedule of the act at regular intervals. The enlisted public institutions were supposed to have Public Information Officer (PIOs) and any appeal against the PIO's was to be with the CIC/SICs.

II. The Central Civil Services (Conduct) Rules: The Central Civil Services (Conduct) rules does not allow any unconstitutional disclosure of information and laws at the state level. The commission recommended that under the RTI Act 2005, 'Every government shall, in performance of its duties in good faith, communicate to a member of public or any organization full and accurate information, which can be disclosed under the Right to Information Act, 2005'.

This means that, there can be no kind of divulgence of information of any classified nature illegally or for any undue profit to any government employee or any other individual.

Confidentiality Classification: The government documents are declared as secret under OSA since they are useful in cases of national security and interest. These directions are given in the manual of departmental security instructions and the manual of office procedure regarding the classification of security issues. Such issues are usually considered in the RTI Act and left out of public scrutiny.

It was recommended that the Government of India needs to amend the above said 'Manual' regarding classifications. The issues which are excluded from the RTI Act must be classified in different levels. Annual confidential report of officers of different ranks and examination papers can be removed according to Section 30.

Another issue is the upgrading and downgrading which can be done only after a period of 30 years of classified documents. The change in grading for 'top secret' cannot be done below Joint Secretary, 'Secret' cannot be done below 'Deputy Secretary' and finally 'confidential' cannot be done below 'Under Secretary'. The state governments can equivalently empower officers to modify the grading.

Implementation of the Right to Information Act

The following issues are dealt with by the commission in this part:

- **Rights and Obligations:** The commission gave a stepwise review to implement the act based on the points given below:
 - **Building Institutions:** Building of institutions means broadening the infrastructure and, in this case, it covers the building of information commissions, information officers and appellate tribunals or authorities. Recommendations regarding building institutions were made by the Second ARC that:
 - A selection committee of CIC with the Prime Minister would be framed along with the opposition leader and the Chief Justice of India and correspondingly in the states as well.
 - These SICs must be framed within 3 months and the CIC would have to constitute four regional offices of the CIC which would have a commissioner as its head and the corresponding in each state.
 - In this case, the information commissions must include members from non-civil services.
 - The ministries or agencies which have more than one PIO have to appoint a modal assistant PIO empowered to accept requests for information.
 - The PIO would be of the post of Deputy Secretary or a Director and similarly in the state. In agencies of a lower designation can have a PIO of a lower rank also.
 - Appellate authorities of all public agencies must be designated by them.
 - **Information and Record-Keeping:** The next step which the commission reviewed and considered for recommendation was about information and record-keeping. Transparency is the key principle on which this act is based upon so as to achieve the principle of good governance.

Issues: Given below are some issues important to information's and record-keeping:

- The problem faced in divulging information comes when an organization deals with *suo moto* disclosures of information. Presently, these *suo moto* disclosures, are defiant in content and quality and are mostly not available. Their on-time accessibility comes into question because the majority of citizens do not have the inputs regarding them.
- The neglect of record-keeping is another issue to consider as it is required by people to keep them as evidence of title of property, industry, etc.
- Another significant issue is the lack of correct digitized record-keeping. Citizens have to pay an additional cost to retrieve documents.

Recommendations in Hard Copy: Based on these issues, the commission recommended:

- **Suo motu Disclosures:** There must be printed documents in the official language which must be reviewed and updated annually at a cost if a citizen needs, but free for reference and upload the same on its website.
 - **Public Records Offices:** Establishment of Public Records Offices all over the country would help in providing updated records. Such offices would work as independent organizations of the Government of India and all states while employing the best professionals to maintain record. Such offices would work under the CIC/SIC.
 - **Finding:** It was recommended that the Government of India must assign 1 per cent of all the flagship programmes, funds to have a better physical and organizational structure with respect to revision and updation of records.
 - **Land Records:** It was proposed that a lands records modernization funds for survey and updation be established.
 - **Digitization:** It was suggested that digitization must be done of organizations having a jurisdictional area as vested by a district. It was supposed to be covered in the eleventh five-year plan.
- **Capacity Building and Awareness Generation:** It is an established fact that RTI Act is the basic foundation to build transparency in governance. Given below are a few issues that need to be taken care of in this area:

Capacity Building: To have transparency, it is important that the information provided is correct. The government employees and even the PIOs do not have an open mind-set to divulge any kind of information and are secretive about it.

Awareness Generation: Presently, only print advertisements have been utilized for awareness generation and there is a lack of multimedia campaigns including street plays (*nukkad* plays), television advertisements, radio advertisements, etc. The underprivileged do not have any inkling about the RTI Act. It was revealed in a survey that awareness of the act was at a very low level at the sub-district and *Panchayat* levels.

Recommendation: The Second ARC recommended a few suggestions regarding capacity building and awareness generation which are:

- **Capacity Building:** It was recommended that there must be one day training programmes for not only PIOs and APIOs but also all government employees. A 'Cascading Model' may be adopted which would hold such programmes at block level by trained experts.
- **Awareness Campaigns:** Non-profit organizations must be involved to promote the RTI Act and make people aware of it at the state level. Multimedia technology can be used in the vernacular language. Guides and manuals must be updated and kept ready in time.

- **Creation of Monitoring Mechanisms:** If a tool is not monitored periodically, it does not remain effective. The CIC/SICs exist but their role does not extend to monitoring. Another issue that needs attention is lack of coordination among the information commission. They can gain by interacting with each other.

Recommendations: The Second ARC recommended the following with respect to monitoring mechanisms:

- **Section 30:** Section 30 of the RTI Act can be amended to add the role of monitoring to the CIC and SICs.
- **Nodal Officer:** There must be a designated nodal officer to monitor the act's implementation at regional state district as well as sub-district levels.
- **National Coordination Committee (NCC):** A National Coordination Committee must be established under the CIC's Chairperson. It would include the Union ministry, as well as state's representatives. This organization would make the act effective by monitoring and updating a national portal of the RTI.
- **Implementation:** Even though the RTI Act is a bold step in promoting transparency in the good governance, there are many problems in its implementation. The Second ARC has identified such areas along with some solutions given below in brief:
 - **Interact Filing System:** The Second ARC identified the following weaknesses in the system of RTI Act. These are in respect to the filing of an application for information from a public agency:
 - **The Filing Procedure:** The system of accepting applications is quite complicated and cumbersome for a common man. The fee to be paid has to be deposited in cash at the pay counter and accounts office which is usually at a different location or via a demand draft which again is an additional cost. So, a small fee of ₹ 10 entails additional expenses and an extra ₹ 2/- per page.

Recommendations:

- The Second ARC recommended that payment through post must be facilitated.
- Any disparity between fees of different governments must be removed.
- The cost of additional pages be reduced.
- The mode of payment be modified by issuing stamps in appropriate denominations or
- Allow the post offices to collect the fees in cash *in lieu* of receipts.
- **Inventory of Public Authorities:** The commission suggested that the central government, through the department of personnel and training, must prepare an inventory of all public agencies in its scope. All such agencies must be categorized as, constitutional bodies, live agencies, statutory bodies, public sector undertakings, organizations set-up via executive orders, and NGO's supported financially by the government. Such information must be put up online on the public organizations, portals as per the proper chain of command.
- **Single Window:** Every district must establish a single window agency by setting up a separate section within the district level office under an Assistant Public Information Officer. This cell may be set-up in the District Collectors Deputy Commissioner's Office or the *Zila Parishad*. Even the establishment of the government must be considered as a public authority.
- **Non-Government Bodies:** The commission made some recommendations regarding non-governmental bodies. These are listed below in brief:
 - Those non-government bodies which perform the duties similar to those assigned to public organizations fall under the purview of the act.

- Organizations that are sponsored by moneys from the government upto one crore rupees in the last three years must have their rules and regulations established by the government.
- Even if certain information is relocated from a governmental institution to a non-governmental body, the status of that information as per the act remains the same.
- **Time Limit:** There were recommendations made by the commissions with respect to the time limit that information of twenty years only would be sealed.
 - **Redressal:** Public complaints would be addressed by establishing autonomous redressal system to deal and curb with delays and corruption. Single window agencies, as mentioned earlier can also assist in redressal of public grievances.
- **Irrelevant Request:** It was recommended that 'frivolous and vexatious requests', that is irrelevant requests need not be considered. Such a rejection after proper permission from the appellate authority must be sent to the individual organization who requested it, within 15 days.
- **RTI Implementation in Legislature and Judiciary:** Legislature and judicial records are too many and bulky, so a system of digital record-keeping must be established. The system can include reports like (CAG, commissions of enquiry and house committee). Other agencies that may be included could:
 - Legislative committees
 - District court and subordinate courts

Hence, the report of the Second ARC on the RTI Act, gave many relevant and important recommendations.

Critical Assessment of the RTI Act 2005: The RTI Act is an effective tool to ensure the upholding of all fundamental rights including equality, liberty, etc., given by the Indian constitution to establish the ESC being economic, social, cultural rights. Political justice, as mentioned James Madison, former USA President, stressed that the governed must possess themselves with proper information.

Given below are the shortcoming and drawback in the RTI Act starting with the process of the implementation of the RTI Act generally involves three different ways:

1. **Demand Side:** The demand side refers to the individual who requests for information and faces various problems during the process.
2. **Supply Side:** The supply side refers to the executive side of the system, that is the PIO and his staff. The issues and problems faced by them are from the perspective of supply from the stage where they receive a request for information till the point where it is dealt with and the point where it is dealt with and the information passed on to the seeker.
3. **Institutional Side:** This involves the basic structure of the institution with respect to the act as well as of the specific nodal organization for the implementation of RTI.

Demand Side

- **Low Public Awareness:** The RTI Acts Section 26 asserts that there must be awareness programmes to make the public aware of its provisions by the government. The poor, under privilege sections of the society do not get the requisite information due to the lack of knowledge of its existence. A survey was conducted by the 'Price water house Coopers' on RTI which stated that only 15 % of the selected sample population knew about the act via mass media channels or by word of mouths and this was specifically found in the under-privilege section of the society.

The respondents who were presumably aware of the act were not in the knowledge of the procedure of the seeking information. This concludes that the government needs to increase efforts to

make the act more accessible to people. Firstly, the reasons for this weakness can be due to lack of monitoring and accountability of the organization by a higher authority. Secondly, there is an acute absence of systems to check the level of implementation of the act.

The survey also highlighted a major finding that the people seeking information through this act was more of men and only 5 per cent of and 10 per cent of the urban information seekers were women.

- **Application Procedure:** There is special provision in the act for the PIO to give help to the individual requesting for information in the whole process of filing application. Given below are the shortcomings of the implementation of application procedure:
 - **Absence of User Guide:** The nodal department has not published user guides in most of the states in India to help the applicants. Maharashtra, Assam, Andhra Pradesh, Orissa and Uttar Pradesh, did not have any user guide on its website. Sign boards explaining the procedure were missing.
 - **Standard Forms:** The act does not provide standardization of the form to file a request information according to the RTI Act. Such standards, would provide a better display of information like the addresses and contact members of the applicants for better communication. Since *suo motu* disclosures are not usually found satisfactory by the citizens, the increasing numbers of requests concerning the same problem.
 - **Payment Procedure:** The mechanism being used for requesting information is not easy (mentioned also by the second administrative reforms commission earlier in its recommendations) cash fee deposits or demand drafts both mode of payments become difficult for people to arrange. The states of Maharashtra, Orissa and Andhra Pradesh support only the treasury challans and banker cheques.
 - **Non-Cooperative PIOs:** Politeness and cooperation and qualities that are absent in PIOs.
 - **Quality:** The information seeker survey conducted by PricewaterhouseCooper dictated that the quality of the disclosed information was quite poor. Three fourths of the individuals questioned were dissatisfied about the quality as well as partial and sketchy information. People also mentioned that many times irrelevant information was given to them which led to further appeals. The poor quality could owe its status faulty record management, lack of transparency, inexperienced PIOs or improper/incomplete applications.
- **Record Inspection:** Section 7 (a) of the RTI Act states that the information must be disclosed to the applicants as its been requested in its application as it would utilize more funds and time of the officers, especially PIOs. The PIOs themselves admitted that they did not use the Section 7 (a) of inspection of records.
- **Information Demand:** The act is good insofar as disclosing information on demand. But does not divulge it itself on the basic requirements like water food, environment, etc. The act states in its Section 4 (i) (b) that the public authorities must divulge information proactively *suo motu*. This would obviously improve transparency but presently, the quality and the member of such proactive disclosure is quite less. Moreover, there is ambiguity in Section 4 and it's not clear on *suo motu* disclosure. Additionally, there is no supervisory agency to monitor if the Section 4 is being adhered to or not though that government passed guidelines on it in May 2011 to ensure compliance.
- **Right to Privacy:** There is a limitation of demarcating the right to privacy from right to know. The word 'privacy' here denotes the information that has some influence or repercussion on the governance and administration. So, there is some information is privately held affecting all citizens in some way which exists because of the nexus between the well-known nexus between the politicians and bureaucrats. There is a lot of information under the scanner but not much can be done about it as it is private but must be known as 'need to know'. There must be more articulateness while defining private and public information in this act.

- **Safety of RTI Activists:** The RTI Act began an effective tool to reduce, if not eradicate, corruption from public agencies. There have been numerous cases of attacks and murders on whistle-blowers in India which establishes the fact that corruption is at a very high level. The Whistle-blowers Protection Act 2011 was passed finally in May 2014 but has not come into force yet. The problem here is that the RTI Act does not have any clause or section devoted to the security of the whistle-blower. It has been accepted by information commissioner also from time to time that whistle-blowers were being attacked and harassed but the commission does not have the requisite wherewithal to ensure their safety.

Supply Side: We have already discussed the shortcomings on the demand side of the RTI Act which is from the applicant's point of view. The supply side denotes the officers and the machinery in delivery of information. There are various issues and limitation in the RTI Act 2005 faced on the supply side given below in brief:

- **Non-Compliance in Delivery:** The information commission lacks in compliance of delivering the needful information within 30 days owing to insufficient processes and procedures. More than 50 per cent of the times, the applicants got the information exceeding 30 days from the days the request in filed. The cause for not supplying the applicant with the information requested for is found to be poor record-keeping of the public agencies and lack of training of the PIOs to be able to use computers, scanners, photocopiers or even the internet connectivity.
- **Substandard Training:** The PIOs themselves were not fully aware of the act and not able to implement it effectively. Only half of the PIOs was found to be properly trained in a survey conducted on the various implementation issues of the act. Another factor impeding effective implementation are the continual transfers.
- **Lack of Refresher Training:** As the RTI Act is continually evolving, the PIOs also need to be constantly trained via refresher courses. The present initiatives seem to be quite insufficient as compared to the requirements to maintain and update records according to the prescribed guidelines.
- **External Support:** The public agencies suffer from shortage of financial resources which makes it difficult for them to undertake relevant trainings. So, they seek external support from external agencies to train PIOs and other assenting staff with respect to RTI. Non-governmental organizations can help in this area.
- **Archaic Code:** Record-keeping and management is usually done as per some regulations and codes to make disclosure of information possible under RTI. It requires computerization and internet connectivity to link all over the country. It was found in a survey that record management was done on an archaic system. This problem of weak record management system was also found in the central universities. There is evidence that the many PIOs do save the RTI applications digitally. It can be understood that there may be deficient funds to carry out good record-keeping but there is definitely a lack in effort. Institutional framework of public agencies with respect to RTI is somewhat absent.
- **Use of IT:** IT is not used in all public agencies to intimate the acceptance of the RTI applications. There is lack of standardization in the format of application throughout the country at state level, though there is a management information system for RTI at the union government level in the aspects mentioned below:
 - Updation of lists of PIOs
 - Automatic system of automated replies of PIOs
- **Problem of Motivation:** RTI work in India is expanding by the day whereas the number of officials handling the work is quite inadequate. The PIOs are generally criticized for lack of prompt delivery who work incessantly without motivation.

- **Poor Execution of Section 4 (i) (b):** The public agencies are required to categorize information on *suo motu* basis. Some government departments have put up the information on their web portals but this is generally missing at the state level. Proactive disclosures were found absent or not updated on their web portals. There is a lack of awareness on the part of PIOs about *suo motu* disclosures.

Institutional Framework: The third and the last aspect of implementation of the RTI Act 2005 relates to the framework of the act and needs to be tackled by the information commissions. Given below are a few such issues:

- **Submission of Reports:** The SICs and the CIC have to make submission of report on their work output of RTI implementation. The commissions are not up-to-date with these submissions and neither any untraced digitalized data base is available of RTI applicants. Having such a database will help in submitting reports on time.
- **Penalties:** It was observed in the survey that very few cases, penalties were imposed on officers who did not provide information to the applicants on time or on the other conditions of Section 20 of the RTI Act. The information commissions must have a conscience to penalize their officers if they do not deliver on time.
- **Insufficient Monitoring System:** A periodical review and supervision system is essential to be vigilant and ensure compliance as per the act. The commission has the responsibility to have a proper monitoring and review system in place but this has been found to be missing. Even though the commissions are overloaded and are actually listening to the appeals but there is insufficient monitoring.
- **Pending Case:** The RTI applicants are on the rise with every passing year. The statistics shows that the number of appeals is increasing at an alarming rate and so is the pendency of cases making it extremely difficult for the commissions to average it.
- **Locational Problem:** Most of the sites are based in capital cities. As a result, the individuals requesting for information have to incur more expenditure to go for court hearings. The act has made provisions to establish regional offices avoid such as issue.
- **Poor Execution of Section 4(i)(b):** The public agencies are required to categorise information on *suo-moto basis*. Some government departments have put up information on their web portals but at the State level, its missing proactive disclosures were found absent or not updated on their web portals.

The RTI Act has been successful in empowering citizens to make the seat of power accountable by making it transparent. The RTI is a tool which helps in treading on the path outlined by Mahatma Gandhi as envisioned as 'Swaraj'. The basic goal of Swaraj being making people empowered to enable themselves to transform the society. Another way to look at the RTI Act 2005 is that it is a right to survive as anyone can apply for information shelter, work, education, etc. The fourth pillar of our pillar of our society that is the media, supports and acts as an overseer of democracy. If the media gets to know of some wrongdoing from their own sources, they use this Act to substantiate their facts which become official, making, RTI a means to an end rather than being the other way.

The Act can be safely said to be as a revolutionary legislation. As mentioned earlier, it helps in reaching out to in formation of the government which had been lying as official secrets throughout history. It makes the governments and governance effective and accountable. Besides promoting transparency and accountability, it exposes and curbs corruption. Allover the country, there are numerous RTI stories some successful and some fully disgruntled but surely the story of RTI has begun and has a long way to go.

28

Social Audit

Learning Objectives

In this chapter, you will learn about:

- Social Audit—Meaning, Definition, Evolution, Objectives and Importance
- Need for Social Audit
- Principles of Social Audit
- Approaches to Social Audit
- Benefits and Scope of Social Audit
- Process of Social Audit
- Emergence of Social Audit in India
- Limitations of Social Audit

Q1 What is social audit? Give its meaning, definition, objectives and importance.

Ans. Organizational decisions affect our lives in one way or another. Their accountability is important to ensure that they are doing their job efficiently, economically and effectively without any misappropriation of funds with a social perspective. Organizations can establish and quantitatively evaluate its progress and problems to put it out to all stakeholders.

SOCIAL AUDIT

David and Blomstrom: A social audit is a systematic study and evaluation of an organization's social performance, as distinguished from its economic performance. It is concerned with possible influences on the social quality of life instead of the economy of life. The social audit leads to a social performance report for management and perhaps outsiders also.^[1]

The Food and Agriculture Organization (FAO): A social audit is a way of measuring, understanding, reporting and ultimately improving an organization's social and ethical performance. A social audit helps to narrow gaps between vision/goal and reality, between efficiency and effectiveness. It is a technique to understand, measure verify, report on and to improve the social performance of the organization.^[2]

Centre for Good Governance: Social audit is a tool through which government department can plan, manage and measure non-financial activities and monitor both, internal and external, consequences of the departments' social and commercial operation.^[3]

EVOLUTION OF THE CONCEPT 'SOCIAL AUDIT'

Though not in its present form, social audit existed in the ancient times when kings used to send officials to examine if the work/projects were being carried out as planned. Emperors used to send auditors to compare the reports of the kings with ground realities. The word Audit derives from a Latin word '*audire*' which means 'to hear'.

Rome: In ancient Rome, the emperors used to engage the persons in the name of auditors for obtaining feedbacks directly from the public on their welfare activities and allied issues like behaviour of employees, incidence of tax, image of local officials, etc. The emperors used to modify or alter their policies and programmes for the benefit of common people based on their feedbacks. The process thus involved the ordinary people in policy-making and indirectly the whole society took part in governance.

1930s: Before the final shaping up of the concept of social audit, Professor Theodore Kreps, an academician of Stanford University, introduced the term 'Social Audit', first in his subject *Business and Social Welfare* to develop the concept of social responsibilities of companies.

Bowen: 1953

The term Social Audit was first mentioned by Howard R. Bowen in 1953 in one of his articles, *Social Responsibilities of a Businessman*. He discussed business ethics and social responsibility and laid the foundation by which business executives and academics could consider the subjects as part of strategic planning and managerial decision-making. Bowen's work is important in the subject of social audit due to its relevance to the current ethical issues of business operations and is considered as the seminal book on *Corporate Social Responsibility*.^[4]

George Goyder: 1950s

The term Social Audit was promoted as early as Bowen in the same period. He linked the growing importance of social audit to the need for the society enabling control over organizations when they grow into multinational corporations. He stated, 'Financial auditing is a one-sided state of affairs and belongs to the days when the companies were small and public accountability was secured In an economy of big business there is clearly as much need for a social audit as for a financial audit'.^[5]

Medawar: 1972

In 1972, Charles Medawar took up the subject of social audit. According to him, 'Social audit is neither a straightforward nor a complete solution' at best it is only a means to the end of real industrial democracy. The means is an arrangement whereby business at least systematically answers for its actions to those affected by what it does. Business ethics need to be defined in law and any basic format of social audit must have the measurement of the level of compliance with the law. The problem lies in the laws because they were not formulated to measure performance and impact on the social lives of people.^[6] Medawar applied the concept of social audit in the policy on medicine, drug safety issues and accountability in government as well as corporate organizations.

UK and Europe: 1970s

Trade unions, local government institutions, corporates and industrial organizations applied the concept of social audit to understand the impact on jobs, community and environment of the organization's activities to project their objectives as social and not economic impact of a specific activity.

Dunston Social Audit: 1982

The report was published and gained initial attention but most of the organizations considered it as a one-off evaluation.

1984: The cooperative retail society again took up social audit and many organizations followed to go for it willingly.

In the 1990s, the concept gained popularity and in 1997, the Social Enterprise Partnership initiated the first European Social Audit Program which engaged groups from across Europe. Universities began a course in social audit.

Objectives of Social Audit

It is important to study the objectives that is, what purposes social audit must achieve to have a better understanding of the concept.

1. **Identification of Gaps:** Social audits assess the physical and financial gaps between the needs and resources that are available for local development of the society. This would reduce the disassociation between what people want and what people get.
2. **Social Principles:** The social audit report is made to the organization which highlights whether the strategies and activities of the organization are in alignment with social principles. The socio-economic contributions are measured in the audit.
3. **Awareness:** It brings into light the gaps between the promised developmental activity and the reality and spreads awareness among the people who are the beneficiaries of the organization's services.
4. **Improvements:** A social audit analyses and concludes on the weaknesses in the programmes and the activities of the organization from a social perspective. These shortcomings would help the organization to come up with a plan for making changes to improve their programmes to have a positive social impact.
5. **Information on Social Resources Allocation:** It would bring to light how much resources the organization under audit has allocated toward social responsibilities.
6. **Advisory Role:** The social audit performs an advisory role to the organization's management on how to prepare social accounts and a social income statement. It examines whether the 'value added statements' are correctly made if it describes it as a contribution to the national economy.
7. **Quality of Services:** A social audit also assesses the quality of service that is being provided by the organization to its beneficiaries.

From the above objectives, it can be concluded that social audit is a tool for the principle of disclosure to ensure accountability. It is clear how important the social audit mechanism is to strengthen public accountability. This is not to say that it does not work for corporate since, by law, it is mandated that large corporations invest in activities involving social responsibility.

Importance of Social Audit

The concept of social audit as a tool of public accountability in an area of social benefits from the organizations to its beneficiaries is moving towards matured. Its uses are derived from its objectives mentioned above. The success in achieving the objectives highlight the importance of social audit as it acts as a guide

to the management where they stand in their social contribution. Social audits lay out the social costs and social benefits for the organization's management.

Q2 Discuss in brief the need to have social audit.

Ans. The divide and the disconnect between the expectations of the people and what people get is the basic premise on which the need for a social audit is justified. Public investments in projects are half lost in bribes and frauds committed by the officials in the mid-level management. The play of margins, cuts, commissions and bribes deflect the public funds from the direction of the intended beneficiaries in the Fig. 28.1 given below:

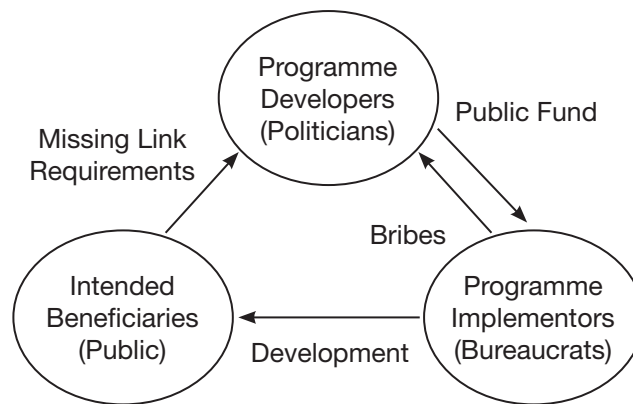


Figure 28.1: Play of Cuts and Bribes

The bureaucrats are instrumental in implementing programmes on ground. Social audit exercises control over the policy developers and implementers in the following manner:

1. It measures social benefit
2. Monitors social and ethical impact of an organization's performance
3. Serves as a basis for framing the management's policies in a socially responsible and accountable manner
4. Boosts accountability
5. Increases transparency
6. Assesses social cost^[7]

It can be concluded from the above that social audit can help in cutting out commissions and bribes. It can be said that social audit is not a panacea for all issues but it can surely act as a deterrent to challenges faced in delivering social benefits to the users.

Q3 What are the principles of Social Audit? Write a short note on it.

Ans. Social audit is based on certain key principles to achieve its objectives. Eight principles appear to be commonly accepted in all countries around the world. They have been prepared by the 'Centre for Good Governance' in Hyderabad.^[8] They are given in the Fig. 28.2 and described in brief thereafter.

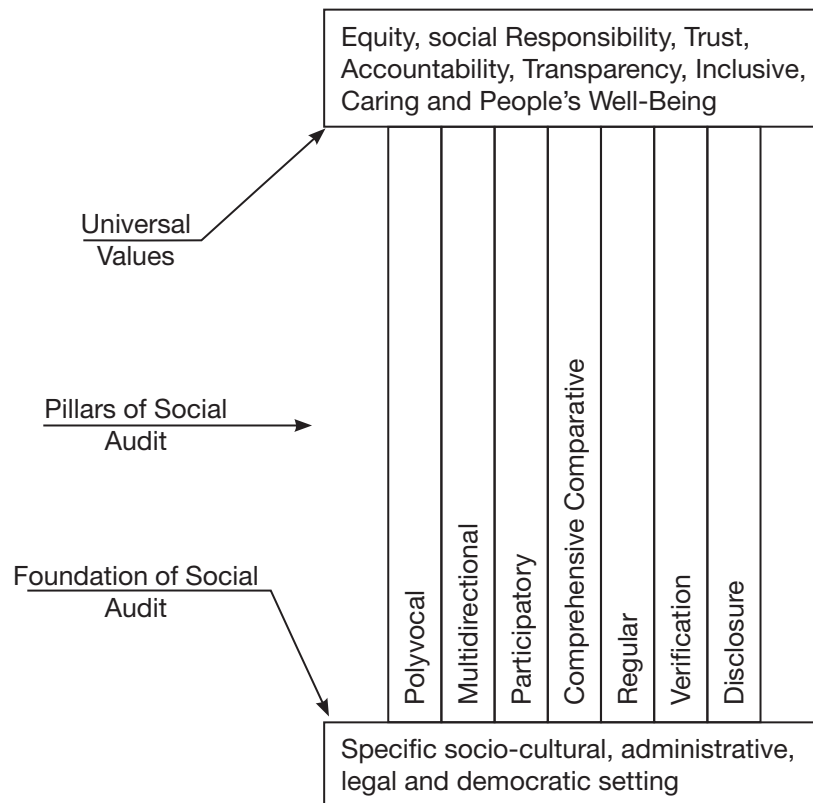


Figure 28.2: Principles of Social Audit and Universal Values

1. **Multiperspective/Polynomial:** Aims to reflect the views (voices) of all those people (stakeholders) involved with or affected by the organization/ department/ programme.
2. **Comprehensive:** Aims to (eventually) report on all aspects of the organization's work and performance.
3. **Participatory:** Encourages participation of stakeholders and sharing of their values.
4. **Multidirectional:** Stakeholders share and give feedback on multiple aspects.
5. **Regular:** Aims to produce social accounts on a regular basis so that the concept and practice become embedded in the culture of the organization covering all the activities.
6. **Comparative:** Provides a means whereby organization can compare its own performance each year and against appropriate external norms or benchmarks; and provide for comparison to be made between organizations doing similar work and reporting in similar fashion.
7. **Verified:** Ensures that the social accounts are audited by a suitably experienced person or agency with no vested interests in the organizations.
8. **Disclosed:** Ensures that the audited accounts are disclosed to stakeholders and the wider community in the interests of accountability and transparency.

The above given principles build a social audit to help the decision-makers improve and uphold the universal values of equity, social responsibility, trust, accountability, transparency inclusive, caring and people's well- being.

Q4 Discuss the approaches to Social Audit in brief.

Ans. Although there is a difference of opinion by various thinkers and agencies, the general consensus about social audit is that it is concerned with the social performance as measured in the financial audit. The different approaches to approach the concept of social audit are:

1. **Cost or Outlay Approach:** It involves the recognition of costs and the search for ways to reduce such costs, but it poses complex problems of cost allocation. It focuses only on inputs and makes no attempt to measure outputs. Measuring of outputs implies how much social good or favourable public reaction towards the organization have the funds been expended actually produced. It provides information needed to guide to guide operating officials within the organization but offers no measures of accomplishment that will satisfy the demands of information by consumers, the public at large and government.^[9]
2. **Human Asset Valuation Approach:** It measures the 'value of the productive capability of the firm's human organization' and the 'value of shareholder loyalty, supplier loyalty, and loyalty in the communities where plants or offices are located'.^[10] These values must be fulfilled to justify the costs of social activities of the organization. It evaluates the positive values of the social activities and recommends ways to carry them out. However, this approach does not measure social achievements in terms that are not relevant to people outside the organization.
3. **Program Management Approach:** It measures activities that are exclusively related to social causes involving:
 - Cost approximation
 - Assessment of the activity's effectiveness
 It has worked in the corporate sector
4. **The Inventory Approach:** It catalogues the narrative description of the organization's activities for which the specific community or the segment of society has expectations from the organization. This approach has the shortcoming of no analysis of costs and the value of morale, goodwill, reputation or the benefits accrued to the society and lacks in an evaluative accounting.
5. **Cost Benefit Approach:** The several types of Cost Benefit Approach are:
 - **Balance Sheet Approach:** It quantifies assets/values contributed to the society and the detriments/liabilities to the society for actions taken or not taken by the organization for the society.
 - **Evaluation of Cost/Benefits:** This is a more popular and simpler approach which calculates costs of social programmes and benefits to the organization and/or society quantitatively or qualitatively.

In practical terms, no single approach is followed, and a combination of approaches is applied.

Q5 What are the benefits and scope of Social Audit?

Ans. Social audit is a tool to assess the impact of public activities on the social well-being of users, that is, the citizens. K. Davenport gave the benefits of social audit, which are accepted by all agencies and governments. They are:

1. **Enhances Reputation:** The results of a social audit report clearly shows the level of the organization's ethical performance on one hand and the perceptions of stakeholders about the services provided by the government on the other.

If the social perspective in service delivery of the organization is of a high level, it adds and enhances the organization's reputation. The present-day system of evaluating services is all about benchmarking and indicators. Citizens are aware of all procedures and have information access through Citizen's Charters and Right to Information Act, the government organizations want to enhance their reputation to build public interest in them.

2. **Alerts Policymakers to Stakeholders Trends:** Social audit dishes out information that is the key to understand and predict issues and problems of the stakeholders. It helps in facilitating the mutual reliance on each other between the government and the society.
3. **Affects Positive Organizational Change:** Social audit process furnishes information on the implementation and the extent to which organizational goals are achieved. This helps the management to improve their day to day functioning.
4. **Increases Accountability:** Social auditing verifies its information from external sources to achieve inclusively. External validation of the audits adds acceptability and trustworthiness to the organization's efforts in service delivery. The increase in the performance levels, after the social audit has been carried out is the real test of the social audit's credibility.
5. **Priorities:** It helps in reorienting and refocusing priorities once they have all the requisite information.
6. **Provides an Increase in Confidence in Social Areas:** Once the organizations are aware of their weakness in specific social areas, they can focus more in those areas with confidence.

Scope of Social Audit: Once established that social audit has optimal uses to improve social and ethical performance of organizations, it is important to study its scope. The areas where it can be applied are:

1. **Ethics:** Social audit can be carried out in an organizations to find out if its policies and projects align themselves to the day-to-day functional activities ethically. It verifies if the organizational activities are being performed according to the laid down ethical standards and principles.
2. **Philosophy and Vision:** Social audit identifies the vision of an organization with respect to social responsibility. It provides information regarding any drawbacks in its philosophy so that it can be improved.
3. **Staffing:** A social audit can be conducted to determine how the organization manager its staff with respect to its policy for rewards, training and development, anti-discrimination, fairness and equitable treatment to all.
4. **Environment:** Most manufacturing organizations have to deal with waste disposal and damage reduction to preserve the environment. Social audit can be conducted for such organizations to identify if the particular organization is following all the concerned laws and regulations to conserve environment or not and if not, then the organizations can work out ways to improve.
5. **Human Rights:** Social audit can be conducted to examine if any human rights are being violated by the organization.
6. **Community:** Citizen participation and community engagement is important to understand their needs for an organization to maximise social benefits. Social audits ensure that the agreements related to social commitments are being maintained.
7. **Society:** It is mandatory to contribute at least two per cent of the organization's profit every year to Corporate Social Responsibility (CSR). The law is popularly called the '2 Per cent Bill'. The social audit ensures that the target of CSR is being met.
8. **Compliance:** Every organization has to comply with certain statutory and legal requirements and the social audit ensures that such conditions are met.

To conclude, the organizations have to accept the social audit to make it successful.

Q6 What are the steps involved in the process of conducting a Social Audit?

Ans. Usually, the social audit report is read by the management and the organization sits on it for its implementation on an internal administration and policy-making. It does not make it public for the citizens to analyse if the findings are according to the policies of the organization or there is a gap. The social audit has to be conducted from two perspectives:

- Firstly, being from the management's perspective to improve its internal working
- Secondly, from the perspective of the segment of the community that is socially affected by the organization activities

The social audit has to undergo an established process.^[11] Given below are the six stages involved in it:

1. **Identifying 'What':** The first step in the process of social audit is to identify 'what' is actually happening by consulting with the stakeholders based on the principle of inclusivity. The stakeholders comprise members, clients, users, customers, staff, board members, trustees, grant providers, pressure groups, supplier and the local community members. This implies that whoever is affected by the organization's activities are consulted regarding their satisfaction and its extent with:

- Transparency in financial dealings
- Helping in achieving their goals
- Organizational values and ethics

After conducting a preliminary pilot study, the social auditor(s) can decide areas of concern in the community with respect to the dynamics between the organization and the community creating or deterring social capital.

2. **Deciding 'Why':** The second is to decide 'why' the social audit is being conducted. A research design will be prepared to assess the social impact of the organizational activities to come up with relevant information.
3. **Designing the Data Collection:** All factors of time, resources and the needs of the community must be kept in mind when collecting data. The data collectors must be trained in the data collection methods. They must abstain from their own opinion and record the respondent's answer with honesty. The social auditor must select the most appropriate technique to collect data.
4. **Comparison between 'what is' and 'what should be':** After following through the survey according to the research design, the data is examined. A comparison is made between the situation on the ground in reality and what should be optimally. Performance indicators are prepared which indicate the extent how the organization is doing in percentages.
5. **Identification of Improvements Required:** Once the data has been analysed, the areas of improvement must be identified and notified in the report.
6. **SMART Goals:** Besides improvements to be made in the identified areas, SMART (Acronym for Specific, Measurable, Achievable, Relevant and Timely) goals must be formulated that the organization can motivate its employees to achieve.
7. **Verification of the Findings by an Independent Authority:** An independent authority who is not a stakeholder in the organization must verify the findings.
8. **Publishing the Social Audit Report:** The social audit report must be published in print must be uploaded on the organization's website.

The 'Social Audit Process' is depicted below in Fig. 28.3

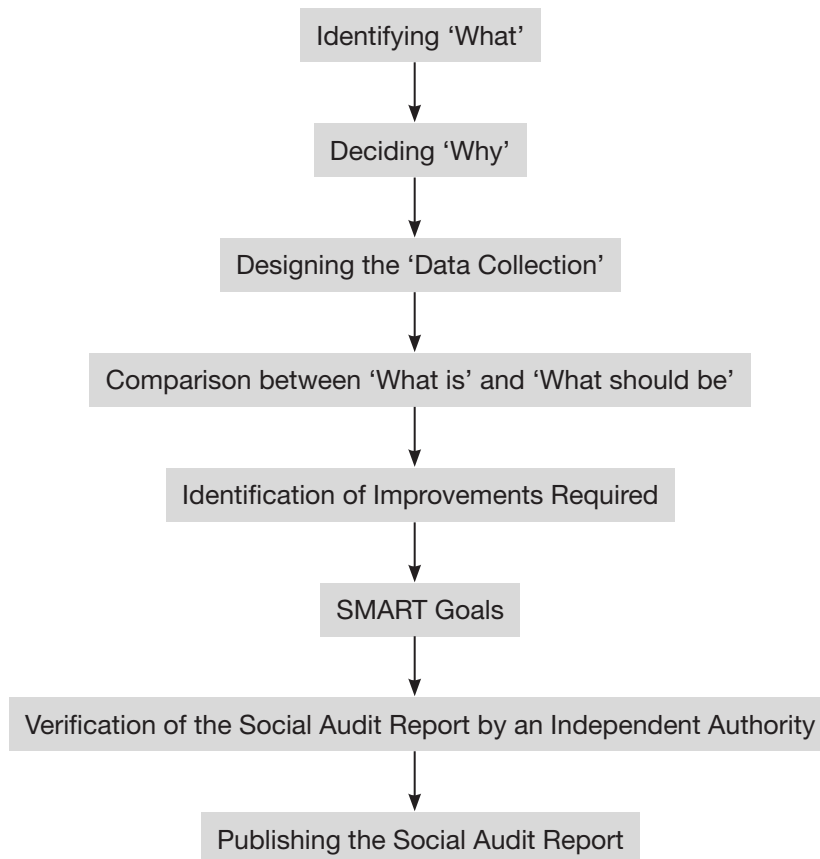


Figure 28.3: Social Audit Process

Q7 Discuss the emergence of Social Audit in India with a few examples and its legal framework.

Ans. In India, the initiative of conducting social audits was taken by Tata Iron and Steel Company Limited (TISCO), Jamshedpur in 1979 to measure its social performance. This was the first attempt at social audit in India in the modern age. However, the tradition of the concept can be traced back to the Vedic era about 5000 BCE *Kautilya's Arthshastra*, *Manusmriti* and *SukraNeeti* texts have clearly mentioned social audit.

Social audit is necessary in India due to problems in the social, economic, legal, political, managerial and research spheres. There is complacency and inaction in the public organizations floating in an atmosphere of apathy. People in India are frustrated with this state of affairs and protests in various forums have become an everyday thing.

The 73rd Amendment: The *Gram Sabha* became an integral premise where social audits could begin their process to strengthen people's participation in the social responsibility of public organizations. The 73rd Amendment of the Constitution of India in 1993 made social audits mandatory by which the village communities have the power to conduct social audit of all developmental activities. They are the only real affected stakeholders who will be facilitated to conduct social audits by the *Gram Sabha* officials.

There will be a 'Social Audit Committee' at each level of the PRIs, set up, as the need arises. The Comptroller and Auditor General (CAG) is responsible for exercising control and supervision over the proper maintenance of accounts of all the three tiers/levels of the PRI but since *Panchayat* is a state subject, the CAG cannot control the accounting and audit process. Practically speaking, the CAG cannot conduct audit of all 2.41 Lakh *Panchayats* combined with the fact that there is no unified procedure of audit for all *Panchayats* in India.

LEGAL FRAMEWORK FOR SOCIAL AUDITS IN INDIA

Article 40 of the Constitution of India states, 'The State shall take steps to organise village *Panchayats* and endow them with such powers and authority as may be necessary to enable them to function as units of self-government'.

The 73rd and 74th Amendments formally introduced a basic framework for a minimum level of decentralization and democratic local governance in rural and urban areas across all states in India. After satisfaction by more than half of the State Assemblies, the Constitution (73rd Amendment), Constitution (74th Amendment) Act, of 1992 (74th Amendment) established mandatory provisions for decentralization of local Governments in India. While the 73rd Amendment provides provisions for rural local bodies the 74th Amendment deals with primarily urban local bodies.

Key mandatory provisions of the 73rd Amendments include:

1. The creation of a three-tier local government structure, *Panchayati Raj* Institution (PRI)
2. Regular PRI elections with seat reservation for Scheduled Castes/Tribes and women
3. Establishment of *Gram Sabha* (village assembly) to exert control over local government
4. Periodic auditing of local government's accounts^[12]

74th Amendment: Similarly, the 74th Amendment also provides for a three-tier municipal system in the urban centers and requires the establishment of Ward Committees in Municipalities.

Adivasis and Scheduled Areas

The *adivasi* (tribal people) and scheduled areas that were not covered in the 73rd and 74th Amendments, the *Panchayats* (Extension to the Scheduled Areas) Act of 1996 (PESA) was enacted in December 1996 to provide the extension of the provision of Part IX of the Constitution relating to the *Panchayats*.^[13]

Impact of 73rd and 74th Amendments

The amendments give PRIs an important role in shaping local development with the goal of integrating the poorest and most marginalized into the mainstream decision-making process. These amendments require having a quota of *Panchayat* members and chairperson positions for Scheduled Castes/Tribes and women (no less than one-third of the total number of seats). This enables the marginalized individuals and groups to voice their problems and join in decision-making on matters affecting their lives.

The three-tier rural local government structure in India consists of:

1. *Gram Panchayat* (Village Council)
2. *Panchayat Samiti* (Intermediary or Blocks)
3. *Zila Parishad* (District Council).

In the urban areas, the classification is:

1. *Nagar Panchayat* (Area Council, City Council)
2. *Nagar Palika* (Municipally), and
3. *Mahanagar Nigam* (Municipal Corporation)

Social Audit: After understanding the three-tier system of PRI in India, it is important to mention here that the Constitutional Amendments 73rd and 74th mandated the *Gram Sabhas* to conduct social audits.

1990S: MAZDOOR KISAN SHAKTI SANGATHAN (MKSS)

The MKSS started the concept of social audit in the 1990s when it was formed in 1991, after a land struggle between a feudal landlord and peasants and workers in a rural state of Rajasthan. It was instrumental in getting the Right to Information Act, 2005 to get passed in the Parliament.

Dungarpur: The MKSS, along with other NGOs, organized a social audit in the Dungarpur district of Rajasthan in 2006, to monitor the implementation of programmes of the government in their community. Around 800 people participated in the exercise and focussed on 'Programme Funds spent in Dungarpur district under the National Rural Employment Guarantee Act' (NREGA). After a rigorous training of the participants in the social audit and conducting a survey, they concluded the following aberrations:^[14]

- Non-payment of minimum wages
- Late wage payments
- Poor work site facilities
- Payment of wages less than the statutory State minimum wage of ₹ 73

All these issues were then raised in a public forum with the district administration, which pronounced corrective action.^[15]

MAHATMA GANDHI NATIONAL RURAL EMPLOYMENT GUARANTEE (MNREG) ACT, 2005

Social audit got more attention after the MNREGA was passed in 2005, guaranteeing 100 days of unskilled manual work to each registered rural household as their right to work to create durable assets and livelihood opportunities in rural areas.^[16]

Legal Mandate: Article 17(2) of the NREGA says 'the *Gram Sabha* shall conduct regular social audits of all projects under the scheme taken up within the *Gram Panchayat*'. Article 17(13) says, 'the *Gram Panchayat* shall make available all relevant documents including the muster rolls, bills, vouchers, measurement books, copies of section orders and other connected books of account and papers to the *Gram Sabha* for the purpose of conducting the social audit'.^[17]

Social Audit Functioning: Initially, the *Gram Panchayat* with the help of 'Social Audit Forum' or 'Social Audit Team' conducted the social audit but it did not get much attention.

Andhra Pradesh: With the rolling out the MNREGA, the Government of Andhra Pradesh (GOAP) developed a real time Computerized Management Information System.^[18] It was created by Tata Consultancy Services (TCS) to proactively disclose information to anyone who visits the website of MGNREGA.

Various status reports and analyses on progress made are accessible online to:

- Help those connected with the project/scheme implementation in tracking its progress
- Making accountability effective by providing information for scrutiny and verification

Social Audit in AP, 2006: Twelve National Food for Work Program (NFFWP, precursor to MGNREGA) worksites were selected as a pilot study for social audit. The GOAP collaborated with the MKSS as they had trained officials and experience.

Strategy and Performance Innovation Unit (SPIU): An SPIU was established in the Rural Development Department by the Development for International Development (DIFD), UK. Given below are the major bricks of foundation that were laid to have a substantial Social Audit Institutional Framework.

- (i) Training:** In 2006, a pool of trained social auditors was trained in its process. A twenty-five member strong state resources team prepared, had been hired externally. They trained village social auditors and were given the jobs as district level resources persons.
- (ii) Officials on Board:** A mass social audit was conducted in Anantpur district of AP involving civil society activists but landed into a secure resistance from politicians and officials. The key learning data point from the mass social audit was to abstain from involving controversial actors and familiarising local officials with the social audit.^[19]
- (iii) Legitimacy for the Social Audit Process:** The State Rural Development Department issued an order mandating the key government officials to be present at public hearings and furnishing all relevant records to the social auditors at the time of the audit.

Society for Social Audits Accountability and Transparency (SSAAT): With the changing political environment and the fear of the social audit process getting scrapped, the Society for Social Audits Accountability and Transparency (SSAAT) was established in May 2009. It was housed under the rural development with an independent board and is responsible for the conduct of social audits in the state. They shifted the focus to grievance redressal mechanism.

Grievance Redressal: The focus shifted build a grievance redressal mechanism in 2010. A vigilance cell was created in 2011 within the rural department but was independent of SSAAT and the MGNREGA implementation team. A mind map, prepared by the SSAAT, for the stages in social audit so given below in Fig. 28.4.

Similar examples of social audit that were successfully conducted in Orissa and Kerala. Recently, Meghalaya became the first state to pass legislation on April 4, 2017 which was followed by pilot social audits for 26 schemes in 18 villages of the north eastern state. The Act has made social audit a part of the legal system. A social audit facilitator will be appointed to carry out the audit and prepare a report to be presented to the *Gram Sabha* which will add its own information and findings which will be submitted to the auditors.

To conclude, social audits are greatly useful in identifying the gaps in programme implementation which pushes the government to take action on the report findings.

Q8 Discuss the limitations of Social Audits in brief.

Ans. Social audit is a relatively new concept, especially, in India. A social auditor faces many problems, some that are his own limitations and the rest are beyond his control. Bias is a common problem that an auditor needs to keep away from. India has taken a major step by legalizing social audits but only one state, that is, Meghalaya has passed legislations on social audits. The concept is still gaining ground and a uniform framework for India is required.

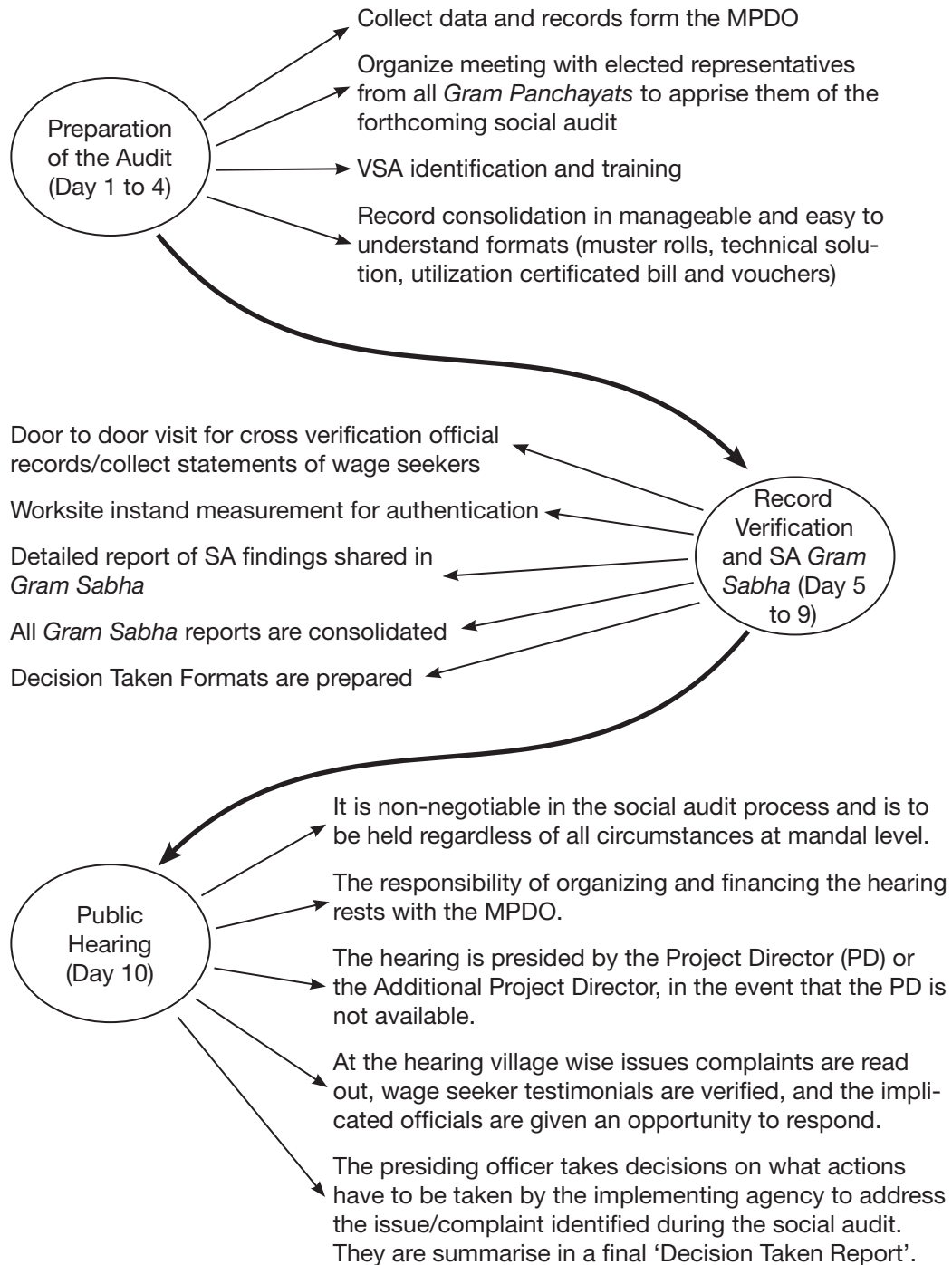


Figure 28.4: Different Stages in Social Audit

The limitations of social audit are:

1. **Technical Support:** Social audits require substantial technical support to conduct it in obtaining and analysing the data. Funding is required to hire the technical staff and the public departments that in doing so.
2. **Access to Records:** A social audit cannot be performed without free access to records from public officials. The government must legislate furnishing all such information that is needed for social audits to the auditors.
3. **Awareness of the 'Social Audit Concept':** Service providers are not completely comfortable with the concept and process of social audit. There must be short training courses for all government officials to keep them updated with the concept and process of social audit.
4. **Citizen Engagement:** The mindset of people living in the rural and remote areas is not in line with a questioning attitude toward the service delivery by public organizations. They are still complacent about whatever the situation is and hesitate to engage and participate in the process of social audit to improve developmental activities.
5. **Principles of Social Audit:** Organizations go through the steps of social audit without properly following its principles. This makes the whole exercise of social audit fruitless neither are the organizations legally bound to do so. There is no penalty if the organizations do not go through the process.
6. **Frequent Transfer:** Transfers is common personnel phenomena in government departments. Any aberrations found in the organization's developmental activities cannot be fixed to a person because he/she might have been transferred.
7. **Independent Voice of Women:** Women have a reserved representation in the electoral process in India in PRIs but do not have a voice. They shirk away from the process of social audit.
8. **MGNREGA:** Under the MGNREGA Act, there is a delay in the disbursement of funds and irregularities in the recipients of job cards and less wage rates. The social auditors faces a problem in this area as either the job card recipients do not report the irregularity, or they do not understand how to deal with the *Gram Sabha* members and *Gram Panchayat* members possessing a job card. The number of days on their job cards does not correspond with those of getting lesser number of work in the same village.
9. **Confrontation:** The social auditors have to face confrontation from government officials and local powerful agriculturalists who do not want the social audit to be completed due to their fear of exposure of corruption and unethical practices.
10. **Follow-Up:** There is no seemly use of his whole exercise of social audit if there is no follow-up or action taken on the report. Punishment for irregularities is not common and there is a bad percentage of recovery of lost funds. The success of social audits depends on the willingness of elected representatives and the bureaucrats to take remedial actions against the personnel found guilty.

Hence, the social audit process in India has many shortcomings which need to be corrected. India has a long way to go before all the states in India make the social audits mandatory.

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UNIT

VI

ADMINISTRATIVE LAW

Chapter 29 Meaning, Scope and Significance of Administrative Law

Chapter 30 Dicey on Administrative Law

Chapter 31 Delegated Legislation

Chapter 32 Administrative Tribunals

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29

Meaning, Scope and Significance of Administrative Law

Learning Objectives

In this chapter, you will learn about:

- Meaning, Scope and Significance of Administrative Law
- The Red Light Theory and The Green Light Theory
- Significance and Modalities of Administrative Law

Q1 *What is Administrative Law? Give its meaning, scope and significance.*

OR

'Today the content of Administrative Law is driven primarily by the scope of public administration activity'. Explain.

OR

'Administrative Law in modern government system is inevitable'. Comment.

Ans. Administrative law is a new branch of public law which studies how those part of our system of government that are neither legislatures nor courts, make decisions. These entities, referred to as administrative agencies, are normally located in the executive branch of government and are usually chargeable with the day-to-day details of government.^[1]

ADMINISTRATIVE LAW

Administrative law has been defined by various scholars to give clarity and relevance to the subject. Some of them are:

Holland and Maitland: Administrative law is a part of constitutional law. The general principles relating to the organization, powers and functions of 'the organs of the state, namely legislature, executive and judicial, and their relationship are, *inter alia*, dealt with, in the constitution'.

Holland referred to the state and was sympathetic to the distinction between public and private law, was affected although differently, by the preoccupations with persons, the subjects of private law. He defined 'Public Law' and 'Administrative Law' by reference to the state but did not define the state more

specifically than as 'a great juristic person' with rights and duties resembling those of individuals. For Holland, the state was itself a person, a juristic person.^[2]

Lust S: Administrative law in the broadest sense of the word consists of rules with regard to the organization and the functioning of the executive.^[3]

He further added that in a more formal way, it can be defined as the rules concerning the organization and the functioning of the legislative and the judiciary power and minus the rules that belong to the other branches of law, such as tax law and social security law. This is usually called administrative law *senso stricto*.^[4]

Ivor Jennings: Administrative law is the law relating to the administration. It determines the organization, powers and duties of the administrative authorities.^[5]

Griffith and Street have criticized this definition on the grounds that it is not distinct from constitutional law with a very wide scope, neither does it cater to the redressal of grievances.

Wade and Forsyth: Administrative law is 'the law relating to the control of governmental power'. The primary object of administrative law is to keep powers of the government within their legal bounds so as to protect the citizens against their abuse.^[6]

Garnier B. A.: It is the law that governs the organization and operation of administrative agencies (including executive and independent agencies) and the relations of administrative agencies with the legislature, the executive, the judiciary and the public.^[7]

Jain and Jain: Administrative law deals with the structure, powers and function of the organs of administration, the limits of their powers, the method and procedures followed by them in exercising their powers and function the methods by which their powers are controlled including the legal remedies available to a person against them when his rights are infringed by their operation.^[8]

A.V. Dicey: Administrative law is:

- A portion of a nation's legal system which determines the legal statues and liabilities of all State officials
- Defines the right and liabilities of private individuals in their dealings with public officials
- Specifies the procedure by which those rights and liabilities are enforced^[9]

However, this definition has been pointed out for its weaknesses in being unable to include several aspects of administrative law such as public corporations have been excluded from the term, 'State Officials,' etc.,

I. P. Massey: Administrative law is that branch of public law which deals with the organization and powers of administrative and quasi-administrative agencies and prescribes the principles and rules by which an official action is reached and reviewed in relation to individual liberty and freedom.^[10]

SCOPE OF ADMINISTRATIVE LAW

It is important to understand the nature of administrative law before studying its scope. Administrative process is an integral part of governance. It basically deals with the malignancy of power and has moved at fast pace due to the rapid changes that have to be incorporated owing to globalization. The role of the State has increased in providing social and physical infrastructure although it has reduced its entrepreneurial role. The administrative agencies have a larger role to play which makes the need of administrative law imperative to enforce the norms of good governance to make the administrative processes more efficient, effective, economic and citizen-centric.^[11] The nature of administrative law is depicted in Fig. 29.1.

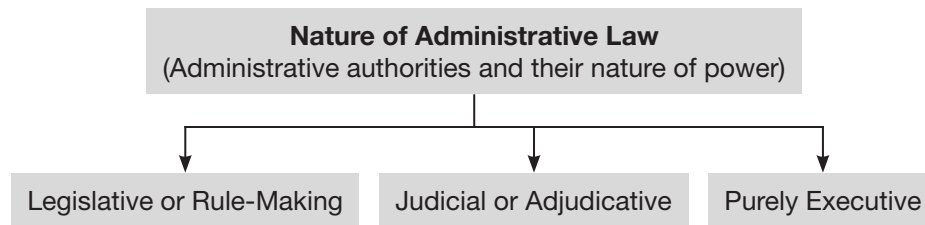


Figure 29.1: Nature of Administrative Law

Scope: Moving on to understand the scope of administrative law, its main object of its study is to unravel the way these administrative authorities could be kept within their limits so that the discretionary powers may not be turned into arbitrary powers. To understand the scope of administrative law, there are two important considerations to be taken into accounts:

1. **The Separation of Powers:** The focus of administrative law is to uphold the separation of powers to control and check the power of the government. The government must be accountable to external control and keeps its power in balance and its monopolistic nature, if practiced be diffused. Thus, administrative law raises basic questions about responsible governance according to law.

The theory of 'Separation of Powers' was proposed by Montesquieu in his book in '*The Spirit of the Laws*' in 1748. He described the separation of powers among legislature, executive and judiciary to avoid centralization of power.

In India, the separation of powers is given in the constitutional provision given below, also depicted in Fig. 29.2

Article 51: The constitution has vested the executive power in the President (or the Governor) but not in the legislature or the executive.

It enjoins separation of the judiciary from the executive.

Article 123: It provides for the ordinary making power of the President and the judiciary making its own rules of procedure.

Thus, administrative law seeks to function as a check on executive power and the concentration of power in the executive branch of government. The scope of administrative law extends beyond the traditional norms of governance due to privatization, outsourcing, contracting out of public bodies and functions of non-governmental bodies. It considers the nature of the Parliament democracy, the political accountability and legal accountability. This is explained in Fig. 29.2.

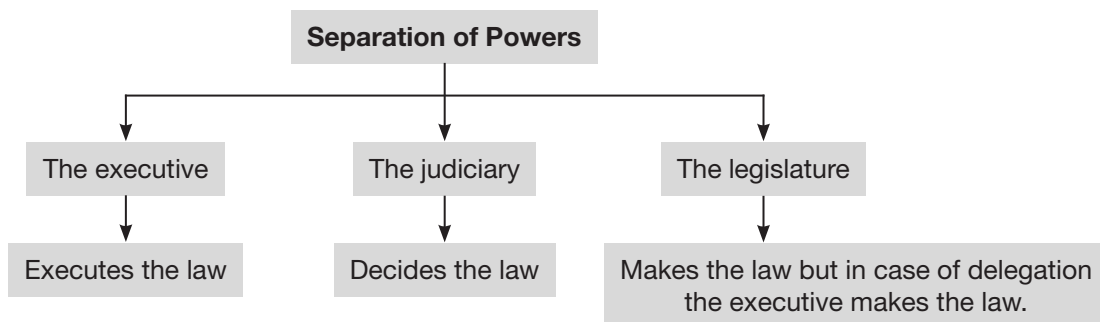


Figure 29.2: Separation of Powers

2. **The Rule of Law:** Edward Coke gave the concept of 'Rule of Law' when he said that the king must be under God and law. This proved that all laws were applicable to the King too. The 'Rule of Law' implies that all activities are carried out as per the law of the land. Albert Venn Dicey, the author of *'Introduction to the Study of the Law'*, stated that:
- (i) **Supremacy of Law:** Dicey said, with reference to England, that there was the undisputed supremacy throughout the country of the central government. The supremacy of the law is closely connected to the supremacy of the central government. It is opposed to arbitrary decision-making of authorities.
 - (ii) **Equality before the Law:** No man is above law. Every man/woman, irrespective of his/her rank or condition, is subject to the ordinary law of the realm and amenable to the jurisdiction of the ordinary tribunals.^[12]
 - (iii) **Ultimate Source of Law:** The constitution of a state is not the ultimate source of law. It is the common law of basic rights and liberties. They are the result of judicial decisions determining the rights of private persons in particular cases brought before the court. It is the predominance of legal spirit to give credence to laws.

Scope: After understanding the background to the administrative law, its scope can be understood clearly with the help of Fig. 29.3.



Figure 29.3: Scope of Administrative Law

THE RED LIGHT THEORY AND THE GREEN LIGHT THEORY

After the scope of administrative law discussed above, it gives a clear picture of its extent, however, there are Red Light Theory and the Green Light Theory theories that are referred to while studying the scope which portray, contrary perspectives. Carol Harlow and Richard Rawlings labelled the contrasting theories/models of the subject's scope. The theories given below in Table 29.1.

Table 29.1: The Red Light and the Green Light Theories

RED LIGHT THEORY	GREEN LIGHT THEORY
• Aims to curb state activity and control against state absolutism. • Seeks to protect private rights and individual interests through judicial control. • Government is perceived as a potential threat to civil liberties. • Favour minimum government's intervention in people's lives. • Constitutional law is the means of controlling the State and protecting the rights and freedom of individuals. • Political accountability. • Law is superior to politics.	• Believe in ground reality and favour regulatory measures. • Emphasizes political process. • Government institutions and public authorities uphold community value and cooperation. • Constitutional law is less of a means of limiting and controlling government than as a means of empowering government to implement welfare and social reforms for the good of the public. • Emphasize the roles of functions to increase the efficiency in government processes. • Legal accountability. • Law is only a type of a political discourse and is not superior to administration.

AMBER LIGHT THEORY

The third approach to understand the scope of administrative law is 'Amber Light Theory' given by L. Boule, B. Harris and C. Hoexter. They proposed that there is a need to develop administrative law principles and procedures to supplement the democratic, political controls over those who exercise State power. The 'Amber Light' perspective implies an important but restricted role for the courts and judicial review. An optimal balance is sought among internal administrative controls and external political and judicial controls over administrative process.^[13] Hence, the Amber Theory is a mix of the Red and Green theories based on two factors:

- (i) Judicial and political controls, both are essential, over administrative process
- (ii) Judicial review must be balanced against the systemic needs of efficiency

Significance of Administrative Law

The administrative law has gained importance in the growing welfare functions of the state. It must be understood by the officials to execute efficiently and within the law. It is specifically base of on the constitution and 'Judge made Law' dealing. Reasons for the growth of administrative law are important to understand before getting to its significance. The significance emerges from the reasons for growth and are interlinked. The significance of administrative law is given below along with the reasons for its growth.

1. **Role of the State:** The role of the state has radically changed with the advent of globalization, privatization and liberalization long after the establishment of the welfare state. It is necessary to separate the branch of law too, so that new problems can be solved.

2. **Inadequacy of the Judicial System:** The judicial system was incapable of resolving all sorts of judicial disputes due to its speed, cost and complexities. The ordinary courts of law were inept to deal with the rising flood of conflicts so the branch of administrative law was developed to deal with such cases through tribunals and specialized courts to fast track cases with modern techniques and methodologies expertly.
3. **Delegation of Powers:** Since the legislative process is inadequate in dealing with the details of the humongous number of cases regarding rules and procedure. Administrative law helps to cater to them. Powers have been delegated to the administrative authorities which makes the resolution of conflicts and cases with speed and in a detailed manner.
4. **Flexibility:** Legislations are rigid until they can be amended in the next session of the Parliament. Administrative rules and regulations are easy to be experimented with and are flexible in case something does not work out.
5. **Functionality:** The flexibility of administrative authorities highlights the significance of administrative law. It is more functional and practical in dealing with cases instead of being technical and formal like the traditional judiciary.
6. **Preventive Measures:** The administrative authorities can take preventive measures so that unrest and conflicts can be avoided. For example, if the daily wages are increased by the concerned administrative authority, the workers will be satisfied, leaving no cause for conflict and disputes.

All the above-mentioned points emphasize on the significance of administrative law. A democratic government works on the principle of accountability and administrative law works to achieve that.

Q2 Discuss the modalities of Administrative Law in India and how it evolved into its present state.

Ans. The Constitution of India has been framed by our founding fathers in detail. It is the world's longest written constitution which took a period of two years, eleven months and eighteen days to be formulated. It has significant effect on administrative law. It is under the fundamental laws made and executed, all government authorities and the validity of their functioning adjudged. No legislature can make a law and no governmental agency can act, contrary to the constitution. No act, executive, legislative, judicial or quasi-judicial, of any administrative agency can stand if contrary to the constitution.

Hence, the constitution conditions the whole government process in the country. The judiciary is obligated to see any governmental organ does not violate the provisions of the Constitution. This function of the judiciary entitles it to be called the guardian of the constitution.^[14] Articles 32, 226, 136, 300 and 311 of the Indian constitution deal with the whole control mechanism for the control of the administrative authorities.^[15]

EVOLUTION OF ADMINISTRATIVE LAW IN INDIA

Administrative law is not a new concept in India. There is evidence of it in our history with kings and administrators following the rules of 'Dharma' while one was exempted from it. 'Dharma' was the name given in Hindi for 'Rule of Law'. However, its form was obviously different from how it has been framed in the present India. The evolution of administrative law in India is given in the timeline below in brief:

1861: State Carriage Act was passed to issue administrative licenses.

1879: Bombay Port Trust Act, 1879 was passed.

1873: Delegated legislation was accepted by the Northern India Canal and Drainage Act.

1878: The Opium Act.

1884: The Indian Explosives Act regulated its trade and traffic.

Various legal provisions were made through many statutes regarding permits and licenses.

1939: The Defence of India Act and the rules made under it gave power to the executive over people's freedom, property and also their lives.

The government also gave many orders and passed ordinances concerning administration.

Many other Acts were passed giving powers to administration thereafter.

1973: In *Kesavananda Bharti Vs. State of Kerala*, the 'Rule of Law' was considered as basic structure of the Indian Constitution.

1975: In *Indira Nehru Gandhi V. Raj Narain*, the judges held that Article 329 A offends the concept of 'Rule of Law'.

1990: In *Som Raj versus State of Haryana*, judges held that the absence of arbitrary power is the first postulate of 'Rule of Law'.

The courts in India have established by the Rule of Law, Society and the discipline of Public Administration has included a paper on administrative law. The concept of administrative law is a whole branch of law that we are in, an age of being administered instead of being governed.

However, India ranks 83rd in the 'Corruption Perception Index' and the administrative control mechanisms are open to question. The old laws that are redundant are still in place while the appointment of judges is not a swift process. This has led to a huge pile up of pending cases in the courts. There is a growing need of judicial reforms in India. The law commission is working on repealing old laws to have a smooth operational administration law.

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30

Dicey on Administrative Law

Learning Objectives

In this chapter, you will learn about:

- Dicey's Views on Administrative Law
- Rule of Law
- Critique on Dicey's Views on Rule of Law
- Comparison between Droit Administratif and the Rule of Law

Administrative is the law that governs the government agencies. It was introduced to reduce the workload of the ever increasing activities of the governments. A.V. Dicey is considered the strongest advocate of administrative law.

Q1 What were Dicey's views on Administrative Law? Discuss with reference to its relevance in the present times in India.

Ans. Albert Venn Dicey (1835–1922) was a constitutional lawyer in the Great Britain. He got his education at Oxford and then a fellowship at Trinity. He became a Professor in English law at the All Souls College, Oxford. He wrote two books which have become landmarks in the discipline as well as practice of law—*Introduction to the Study of the Law of the Constitution* in 1885 and lectures on the *Relation between Law and Opinion in England* in 1905. His proposition of three main principles gained a lot of attention, supportive as well as critical, which are:

1. Relationship between formal legal rules and informal conventions of constitutional behaviour
2. The legislative supremacy of Parliament
3. The Rule of Law

The Rule of Law is the foundation of administrative law, which remains a distinctive feature of the English Constitution and most of the modern democracies today also. Diceyan principles became common currency despite the criticisms laid against them. His work became partially written code of an unwritten British Constitution.^[1]

Dicey wrote and lectured a lot on the subject of Rule of Law which is the basis of administrative law. Given below are Dicey's views on administrative law as understood from his work entitled, '*An Introduction to the Study of the Law of the Constitution*.'

PRINCIPLE OF RULE OF LAW

The principle of 'Rule of Law' means the supremacy of the law of the land is the most important. He differentiated between the 'Rule of Law' and law and order. Law and order can be preserved by a dictatorship or by any other form of government but Rule of Law is not necessary prevalent in all. The Rule of Law holds three main elements or principles that Dicey gave in the forms of statements. They are:

- The importance of the legitimacy of law in contract to the exercise of wide discretionary powers is relevant.
- Every man should be subjected to the ordinary law of the realm and amenable to the jurisdiction of the ordinary tribunals.
- Private rights do not stem from higher ranking law but are the result of judicial decisions made by ordinary courts applying the ordinary laws.

Since Dicey wrote mostly about the English law, it mostly refers to UK. In England, fundamental rights are provided as a consequence of judicial decisions given in the courts because they do not have a written constitution. In India, the written constitution is followed and all other laws are derived out of it. Hence, the third statement is irrelevant in the case of our country.

Secondly, Dicey did not support administrative law's existence in England because of his assertion of equality before the law which is the same for all citizens. He stated that having separate bodies to deal with disputes in which government is concerned was not prevalent in England. However, he ignored the privileges enjoyed by the Crown because of the belief that the King can do no wrong. The operative word used by Dicey was 'ordinary' with respect to citizens and courts clearly isolating them from the Crown and the government.

Presently, Rule of Law has been stated as an indicator of good governance, given by the World Bank. Rule of Law captures perception of the extent to which agents have confidence in and abide by the rules of society, and in particular the quality of contract enforcement, property rights, the police, and the courts as well as the likelihood of crime and violence.^[2]

Rule of Law, as given by Dicey, cannot be pragmatically applied in a modern democracy like India as there is a separation of powers inherent in the Indian constitution among the legislature, executive and the judiciary. On an international level also, The International Commission of Jurists, known as the Delhi Declaration in 1959, gave their interpretation of the concept of Rule of Law which was:

The Rule of Law implies

- The individual is possessed of certain rights and freedoms and that he is entitled to protection of these rights and freedoms by the state.
- There is an absolute need for an independent judiciary and bar as well as for effective machinery for the protection of fundamental rights and freedom.
- The establishment of social economic and cultural conditions would permit men to live in dignity and to fulfil their legitimate aspirations.

International Court of Justice (ICJ) on Rule of Law in the Present Scenario

The ICJ regards the Rule of Law as a living concept permeating several branches of the law and having great practical importance in the life of every human being. Constitutional law, administration law, criminal law, the organization and function of the judiciary and the bar are typical of them and were therefore, chosen as main subjects on the agenda of the Congress of Jurists. Rule of Law is considered of great significance for the orderly conduct between states.

It is felt by the ICJ, that Rule of Law is under assault around the world, at a public event at Geneva. This assault is threatening to reverse the progress made over the last 70 years since the Universal Declaration of Human Rights came into force. The current challenges in Venezuela and other countries is bringing a serious decline in the Rule of law.

The ICJ Secretary General Saman Zia-Zarifi remarked^[3], 'The Rule of Law is a principle that helps the world and the individuals. It is a principle that elevates democracy from mob rule and is necessary to harness the energy of democracy are give it a direction and progression towards the protection and promotion of human rights and sustainable development for the betterment of the lives of people around the world'. Erosion of Rule of Law puts all human rights at risk, which is happening in many countries. ICJ is committed and uniquely placed to robustly address these difficult questions and to continuous to use the Rule of Law to deference and advance rights protections.

Q2 'Dicey was wrong not only in his concept of the Rule of Law but he also overlooked the significance of the Administrative Law.' Comment.

Ans. The attitude against administrative law stems from the powerful corridors of politics who want to check bureaucrats and administrators. Administrative law and administrative tribunals are a derivative of constitutional law.

Dicey's concept of Rule of Law's perspective dates back to the nineteenth century promoting individual freedom and legal restraint. Dicey's Rule of Law was not accurate in his own times also which he himself realized later in life. Equality for all before law was discredited in his times only as the Crown and whole of the government was excluded from the legal provisions of the constitution. A few important points of discrepancy in Dicey's Rule Law are:

1. **Varying Connotations:** Rule of Law is a vague concept in the sense that different nations define it and interpret it differently according to their own notions and traditions. For instance, Bangladesh laws are considerably distant from the Western laws. So, there is no equity in the laws of all the countries in the world which makes the concept of the Rule of Law itself inconsistent. Even the Delhi Declaration did not render legislative power to subject to judicial review. Horwitz suggested that, 'By promoting Rule of Law, the shrewd and the wealthy are enabled to manipulate the law leaving the principle vague and unclear otherwise it would not have been manipulated.'
Dicey had made way to make exceptions to soldiers and clergymen of the established Church. Rule of Law is not universal in its applicability with equality, for example, children, foreign diplomats, judges, members of Parliament, etc.,
2. **Misinterpretation by Dicey:** Dicey misinterpreted the fact that governments or an agency are often acting for the citizens at large and that therefore, the application of the same legal principles and procedures as for a private person might not be adequate. Further, he did not realize that public law and public law remedies can be seen as a defence of the citizen against a powerful state.^[4] Dicey's Rule of Law was at fault in Britain itself because of a lack of unwritten constitution where the judges read the cases 'with a mind dominated by the spirit of the American Constitution stripping away the limited frame of reference of judicial review in Britain'.^[5] Moreover, Dicey was not concerned with the Rule of Law possessing the necessary qualities of 'good' law, legal system or of adjudication.
3. **Overlooking of Discretionary Powers:** The executive had discretionary power even at the time when Dicey gave his concept of Rule of Law which are contradictory to each other. The government needs executive discretionary powers to carry out its administrative functions which Dicey overlooked totally. He did not consider the powers possessed by the public authorities while professing that constitution is dominated by the doctrine of '*laissez faire*'.

4. **Ethical Concerns:** The three statements made by Dicey under the Rule of Law do not have anything to say about ethics. If one analyses Dicey's definition of Rule of Law theoretically, any legislative act conforming and promoting terrorism would be valid as long as it was precise in its terms. It does not comment on ethical concerns at all. This would result in non-adherence to the constitutional law.
5. **Ordinary Law and Ordinary Courts:** Dicey stressed on the ordinary courts and ordinary laws. It follows from his rule that all other statutory bodies or administrative tribunals are not following the norms of the courts and laws. Dicey did not define the 'ordinary' but held it at a high pedestal. As long as the rules are enforced by courts, they are valid according to Dicey and disregard all other rules and regulation. This creates unreal and unjustifiable distinctions.
6. ***Droit Administratif*:** The French administrative law is called *Droit Administratif*. It comprises the body of rules framed to determine the organization, powers and duties of public administration (administrative agencies and all its officials) and regulate the citizen-administration relationship in a nation. Dicey considered *Droit Administratif* unnecessary and stated that 'it rests on ideas foreign to the fundamental assumptions of our English common law, and especially to what we have termed as the Rule of Law'.^[6] The critics have not supported Dicey's disregard of the *Droit Administratif*. His comparative treatment of French *Droit Administratif* and the English Rule of Law has long been recognized as seriously flawed, misleading and damaging in English administrative law.^[7]
7. **Historical Materials:** His historical method, particularly in his lectures on the *Relationship between Law and Public Opinion* in England during the nineteenth century, has been fiercely criticized for imposing a reductionist legal method on historical materials, for dispensing with detailed historical research and for using history to reinforce his own existing beliefs and convictions.^[8]
8. **Parliament and the Common Law:** Dicey's institutional preoccupation with the Parliament and the common law courts and his relative inattention to government has been widely criticized. Ivor Jennings felt that inattention was already evident but it worsened with the twentieth century collectivist government policies. However, it was attributed as a means to protect the rights of individuals rather than enable the provision of services by the community.^[9]
9. **Constitutional Conventions:** Dicey's critics have observed that Dicey brought constitutional conventions to the forefront of the constitutional thought and practice, albeit solely as the object of the political view of the constitution that Dicey expressly differentiated from the legal view and thus, marginalized in legal study. However, constitutional conventions provide crucial guidance to key actors in the working of the government and are standards by reference to which they may be called to account in the working of politics.^[10]
10. **Formal Conception:** The coining of the term, 'Rule of Law' is credited to Dicey but how he conceived it is unknown. The Rule of Law given by Dicey has been shot down because of the allegation that it is too formal. It emphasizes on the legal certainty (in excluding arbitrary or wide discretionary powers of government) and on jurisdiction equality of individuals and officials alike before the ordinary law of the ordinary courts.^[11]

However, Dicey's assumption that ordinary law embodies the common law's principles and precedents and his Rule of Law is itself 'a common law constitution as it serves constitution in the absence of the higher law of a written constitution'. The British constitution has a powerful influence of Dicey's principles and theories. The modern-day has seen misuse of the Rule of Law by the powerful elite and recent Acts have given judicial or quasi-judicial authority to officials which have generally diminished the authority of the law courts.

Q3 Give a comparative analysis between Droit Administratif and the Rule of law as considered by Dicey. Do you agree? If not, then why?

Ans. The *Droit Administratif*, developed in the period from 1860–1908, is administered by bodies which are perhaps not in strictness, courts but come very near to law, utterly different from the despotic powers. It is important to understand a comparative analysis between *Droit Administratif* and the English Rule of Law.

They are:

1. **Historical Similarity:** The *Droit Administratif* can be composed with the modern English notion of Rule of Law. However, if one looks at law in both the nations of England and France, they were quite analogous. There were evidences of executive authority's power and rules in various cases in England but by the nineteenth century, it declined and Rule of Law was established. France went ahead and made administrative law stronger, as opposed to Rule of Law.
2. **Case-Law:** Dicey regarded the French administrative law as 'Case-Law' or 'Judge-Made Law'.^[12] There is no code of law but the law is based upon precedent. The French feel, just like the English and the American, that administrative law cannot be codified. They dread that codification might limit the judicial legislation.
3. **Evolution of Droit Administratif:** Dicey considered another analogy between the *Droit Administratif* and the English Rule of Law. The *Conseil d'État* (The State Council of France) was converted from an executive into a judicial body by the gradual separation of its judicial from its executive functions through the transference of the former to committees which have assumed more and more distinctly the duties of courts. Comparatively, in the English law, the growth of the judicial system can be treated as the transference to parts of the King's council of judicial powers originally exercised by the King in Council. According to Dicey, *Droit Administratif* may ultimately, under the guidance of lawyers, become, through a course of evolution, as complete a branch of the law as that of France. Equity has become an acknowledged branch of the law of England.
4. **Rapid Growth of Case-Law:** Earlier English law history saw rapid growth of Case-Law in which precedent became law in the thirteenth century. The power of tribunals was much greater in the later stages in France between 1800 and 1908.

The above given points of similarity have been given by Dicey between the English Rule of Law and the *Droit Administratif*.

Differences between English Rule of Law and Droit Administratif

Dicey's comparative analysis between the English Rule of Law and the French *Droit Administratif* showed similarities as well as differences. The similarities were mostly found in the past history but an in-depth analysis shows that they are very different. They are:

1. **Class:** The English Rule of Law is the law of a class that regulates the privileges or disabilities of civil servants but *Droit Administratif* is a very different body of law which under given circumstances, may affect the rights of any French citizen.

It is not the law of the civil services but part of the French public law which affects every Frenchman in relation to the acts of the public administration as the representative of the state. However, if one has to find similarity, the *Droit Administratif* in France can be compared to equity in England.

Droit Administratif rests upon ideas absolutely foreign to English law because of the relation of individuals to the state is governed by principles essentially different from those rules of private law which govern the rights of private persons towards their neighbours. The application of these principles do not lie within the jurisdiction of the ordinary courts. This is not found in the English law.

2. ***Droit Administratif* not Introduced in English Law:** They stated that even though the governmental activities had increased manifold, these had been no intentional introduction of the essential principles of *Droit Administratif* into the law of England. Any omission or commission of an official regarding exceeding the authority given to him by the law is amenable to the authority of the ordinary courts. The ordinary courts have the jurisdiction to determine the extent of the legal power of the official and if the order under which the official had acted were legal and valid. The English ordinary courts limit the action of the administration in a wide sense.

Hence, *Droit Administratif* does not exist in any form in England except for some slight similarity is approximation or application. The French law has placed restrictions on the ordinary courts whereby they are prevented from interfering with the actions of the executive and its servants.

3. **Protection of Individual Freedom:** Individual freedom is more thoroughly protected in England than any other European country. Dicey criticized the *Droit Administratif* being lower in giving justice.

To agree or to disagree with Dicey's comparative analysis of the English Rule of Law and the *Droit Administratif* is not to easy. His time of this study was in the nineteenth century and we are in the twenty first century. The functions of the state have transformed and multiplied greatly. The modern democracies have to deal with the growing conflicts and problems for which specialized authorities and bodies have been given power to resolve the cases.

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31

Delegated Legislation

Learning Objectives

In this chapter, you will learn about:

- Concept of Delegated Legislation
- Evolution of Delegated Legislation
- Constitutional Provisions of Delegated Legislation in India
- Delegated Legislation—A Necessary Evil But Not Absolute
- The Process of Delegated Legislation
- Control Over Delegated Legislation in India

Delegated legislation is a law made by an executive authority under powers given to it by the Parliament to implement and execute the parliamentary laws. It is also called subordinate legislation in administration.

Q1 *Discuss the concept of Delegated Legislation. Give a brief account of how it emerged as a necessary evil of modern-day democracies.*

Ans. It is a given premise that Parliament today cannot give the required number of laws with quality and accuracy to govern the country. The development of the legislative powers of the administrative authorities in the form of the delegated legislation occupies a very important place in the study of the administrative law. There is no general power granted to the executive to make law, it only supplements the law under the authority of legislature.^[1] Simply put, delegated legislation refers to all law making by the authorities other than the laws made by the legislature. In India, those other authorities are the Central government, the state governments, Central Board of Revenue and the other administrative bodies. Such legislation is called statutory rules, orders, regulations, bye-laws, directions or notifications.

These delegated legislations become law only after it is signed by the delegated law maker. The concept *intra vires*^[2] comes into play here with the Parliament and the court control the delegated legislation to ensure that it is within the powers of the parent legislation.

DELEGATED LEGISLATION

Delegated legislation covers every exercise of a power to legislate conferred by or under an Act of Parliament or which is given the force of law by virtue of an Act of Parliament.

The Committee on Delegated Legislation^[3]

The committee expressed that delegated legislation can be understood in two ways:

1. In one sense, delegated legislation means the exercise of the power of the rule-making, delegated to the executive by the legislature.
2. In second sense, it means the output of the exercises of the power, viz., rules, regulations, orders, ordinances, etc.

The expression is used here in both the senses depending on how it is used. If the emphasis is on the limits of constitutionality of exercise of such power it is used in the first sense and if the emphasis is on the concrete rules, the term is employed in the second sense.

Halsbury Law of England^[4]: When an instrument of legislative nature is made by an authority in exercise of power delegated or conferred by the legislature, it is called subordinate legislation.

Emergence of Delegated Legislation

As accepted that delegated legislation is a consequence of modern democratic legislative problems of governance, the reality is quite different. The concept was in existence since the Greek and Roman city states. The emergence of delegated legislation can traced in the brief account given below:

Greece: In the times of Plato and Aristotle, the city states were small and did not have to face the problem of an overload of law making but as time passed, the government's activities also increased. However, they observed the limitations of the powers of representation with the representative.^[5]

Rome: Rome faced a problem of delegation and the concept of *Delegatus non-potest delegare* emerged.^[6]

England: Bentham, Chadwick and Lord Hewart were the pioneers in the thick of the controversy over delegated legislation. They asked for devolution, so that the subordinate bodies could be given greater power to legislate there could be some decentralization.

The British Judicare Acts and the rationalization of the royal prerogatives, the court writs, orders in council and departmental regulations in the nineteenth century paved the way for delegated legislation.

The Twentieth Century: Parliamentary sovereignty in legislation gained strength but the world was brought back the executive sovereignty because speedy decisions were needed in a situation of emergency. Emergency executive orders became a normal norm in the form of statutory rules and orders blessed by the English rules and orders under the English Rules Publication Act of 1893 which was amended to become the statutory instruments under the English Statutory Instruments Act, 1946.

British Parliamentary Control: In the light of rapid growth of delegated legislation, the British Parliament set-up two standing committees to examine the bills, rules, regulations and orders. They scrutinized them for any technical errors in delegation.

Other countries like Canada, Australia, France and the USA also faced a similar growth in delegation of law-making. However, accountability of such Acts remained a problem.

1960s: The special committee on Statutory Instruments in Canada was mandated to report on procedures for the review of any statute made.

1970s: The Statutory Instruments Act gave new cabinet directives for drafting regulations and order for the establishment of a scrutiny committee in England.

The opposition against delegated legislation gradually accepted its existence parliamentary systems in the light of failure of the old and simple procedures of legislatures and courts.

Growth of Delegated Legislation in India

Delegation of legislation followed suit from the British parliamentary provisions before independence as a natural consequence. Its growth in India can be studied through a brief account given below:

Pre-Independence: The Privy Council of Britain was the highest court of appeal in constitutional matters in India till 1949. The case of *Queen vs Burah* in 1848, the Privy Council had validated only conditional legislation and delegated legislation was not permitted. However, the Lieutenant-Governor was given power to extend *mutatis mutandis* to other areas which means 'by changing things that need to be changed'.

The Privy Council laid down that 'seeking of assistance of a subordinate agency in the framing of rules and regulations which are to become a part of the law and conferring on another body the essential legislative functions which under the constitution should be exercised by the legislature itself'.

Interpretation of the Privy Council Decision

The decision of the privy council was interpreted in two ways:

1. Indian legislature was not a delegate under British Parliament without any binding extent on the delegation of legislature functions.
2. Delegated legislation was not permitted due to conditional validation. Hence, there was a confusion over the validation of delegated legislation.

Post-Independence: 1948: The first case with reference to delegated legislation in India was *Jatindra Nath Gupta versus. Province of Bihar* which challenged the Bihar Maintenance of Public Order Act, 1948. The Federal Court held that the power of extension with modification in unconstitutional delegation of legislative power because it is an essential legislative Act.

1950: A member of the opposition party was appointed as the chairman of the committee on subordinate legislation, following the British norms.

At the present time, parliamentary control over delegated legislation is defective for two reasons:

1. Legislative powers are freely delegated by the Parliament without the members of two Houses fully realizing what is being done.
2. Although many of the regulations made in pursuance of those powers are required to be laid down before the Houses and in fact they are so laid that there is no automatic machinery for the effective scrutiny on behalf of Parliament as a whole, and the quantity and complexity are such that it is no longer possible to rely on such scrutiny.^[7]

1951 The Delhi Law Act Case: The case is considered as the Bible of delegated legislation. The Supreme Court held^[8]:

- The doctrine of separation of powers is not a part of the constitution.
- Indian Parliament is never considered as agent of anybody and therefore, doctrine of *delegatus non potest delegare*^[9] has no application.
- Parliament can not abdicate or efface itself by creating a legislative body.

- Power of delegation is ancillary to the power of legislation.
- The limitation upon delegation of power is that the legislature cannot part with its essential legislative power that has been expressly vested in it by the constitution. Essential legislative power means laying down the policy of the law enacting that policy into a rule of conduct. So, the delegation laws held to be valid except with repealing and modification of legislative power.

Q2 What is the current constitutional provision and status of Delegated Legislation in India considering India becoming a fastest growing economy?

Ans. Indian economy is growing at a 7.2% to 7.4% growth rate. The relationship of the administrative authorities and the people, involved in taking the Indian economy to greater heights, has become complex. Laws need regularity, certainty and control over the administrative authorities.

The Constitution of India makes provision of giving powers to the legislature to delegate it to administrative authorities for the purpose of policy-making under the parent laws made by it.

Article 312: The Supreme Court of India held that Article 312 of the Constitution of India deals with the powers of delegated legislation in a defined and controlled manner with certain restrictions.

The Supreme Court of India observed that the power of delegation is a constitute element of the legislative power as a whole and the legislatures can enact laws to meet the challenge of socio-economic policies, they often find it necessary and convenient to delegate subsidiary or ancillary powers to delegate their choice for carrying out the policy of the legislation.^[10]

In another ruling, the Supreme Court ruled that the extent the delegation is established as the legislature cannot delegate its essential function of legislation in any case. The legislative policy and its principle must be clearly formulated before delegating its powers to the subsidiary authority.

In India, the classification of delegated legislation can be done in six forms. The terms are quite similar and mean basically the same with minor differences. They are described in the Fig. 31.1.

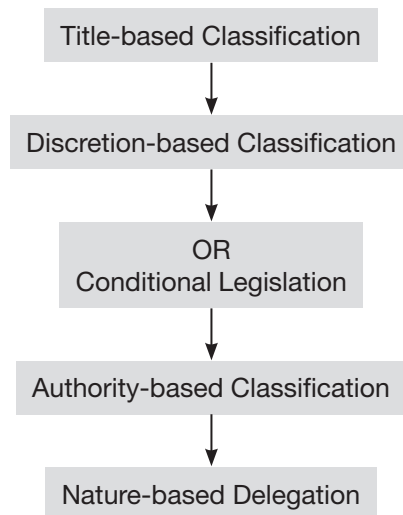


Figure 31.1: Types of Delegated Legislation

1. **Title-based Classification:** There are six types of title-based classification in India. They are:
 - (i) **Rule:** According to the General Clauses Act, 1897, a rule made by any enactment and shall include a regulation made as a 'rule' under any enactment. They are formulated to govern procedure.
 - (ii) **Regulations:** Regulation is a wider term which can include decision, orders and Acts of government which are openly communicated to the public but in case of delegated legislation, it specifically refers to a situation where power is conferred to fix the date for the enforcement of an Act or to grant exemptions from the Act.
 - (iii) **Order:** Orders are general directives issued by administrative bodies or an order of the governor in council made on the recommendation of an administrative body. The term covers various forms of legislative and quasi-judicial decisions. Orders can be specific or general. The specific orders refer to administrative action while the general orders deal with the administrative rule-making.
 - (iv) **Bye-laws:** The term, bye-laws is restricted to rules made by semi-governmental authorities established under the Acts of legislatures. They are like regulations and contain substantive law, however, they may apply in particular spheres or organization. For instance, government bye-laws may cover a city, district or a *tehsil*.
 - (v) **Directions:** The term 'directions' has two connotations:
 - The constitution confers powers to the Central government to give directions to state governments to implement its laws and thus, has no application to delegated legislation.
 - The second connotation of the term 'direction' directly refers to administrative rule-making according to the authority of law or rules/order that are made under it. If they are mandatory, then they have the force of law.
 - (vi) **Scheme:** Scheme refers to a situation in which the law gives authority to an administrative agency to build and establish a framework within which the administrative action has to be carried out.

Other Instruments

There can be other instruments of delegated legislation like ordinances, declarations, determinations, etc., The committee on the powers of the ministers recommended the following for the terminology:

Rule: Statutory instrument regulating procedure.

Regulation: Substantive administrative rule-making.

Order: To exercise executive and quasi-judicial decisions.

2. **Discretion-based Classification or Conditional Legislation:** The legislation makes the law but leaves it to the executive to bring the Act into operation when conditions demanding such operations are obtained:
 - To bring an Act into operation.
 - To extend the application of any Act in force in one territory.
 - To extend or to except from the operation of as Act certain categories of subjects or territories.^[11]

It is based on the discretion and is called conditional legislation. The legislation is complete in itself but its operation depends on certain conditions and what is delegated to an outside authority. It is the power to identify according to its own evaluation if those conditions are met or not. Under delegated legislation, some legislative power is delegated to the outside authority. The ancillary

functions are parted to be given to the other agencies with authority. The difference between conditional and delegated legislation lies in the delegation of legislative power and is, therefore, not open to attack in the ground of excessive delegation, whereas delegated legislation confers some legislative power on some outside authority and is, therefore, open to attack on the ground of excessive delegation.^[12] Given below are the cases of conditional legislation where the legislature empowers an authority:

- To extend the duration of an Act within the maximum period fixed by the legislature.
- To extend the existing laws to any territory.
- To determine the extent to which limits fixed by law should be applied.
- To determine the time of applying law.
- To bring an ordinance into forces if the state government is satisfied about existence of an emergency and declares it to be in force in the state. the ordinance provides for the establishment of the special courts in the time and within the limits considered necessary by the state government.^[13]

3. **Authority-based Classification (Sub-Delegation):** In some cases, the rule-making authority delegates to itself or to some other subordinate authority, a further power to issue rules, is known as sub-delegated legislation. If the administrative authority further delegates its law-making power to another authority and keep control substantially, there is no delegation calling for, *Delegatus non potest delegare*. Thus, only the administrative power and not the rule-making power is delegated in the sub-legislation.
4. **Nature-based Delegation (Exceptional Delegation):** The administrative rule-making, based on the nature, was stated by the committee on ministers' power as classified into two types of parliamentary delegation:
 - (i) **Normal Delegation:** The normal delegation is categorized further into two types:
 - (a) **Positive:** Where the limits of delegation are clearly defined in the enabling Act
 - (b) **Negative:** Where power delegated does not include power to do certain things, that is, legislate on matters of policy
 - (ii) **Exceptional Delegation:** It can be with reference to the power to:
 - (a) Legislate on matters of principle policy
 - (b) Amend existing Acts of Parliament
 - (c) Confer a wide discretion with unknown limits
 - (d) Make rules without being challenged in a court of law

This kind of delegation is termed as 'exceptional' because it is executive autocracy outside the sphere of constitutional authority.

Q3 'Parliament is the primary law-making body'. Why is it necessary to have Delegated Legislation? Does it have any negative impacts?

OR

Delegated Legislation in the era of modern positive state is a necessary evil but it is not absolute. Examine.

Ans. Delegated legislation has a long history with different nomenclature. Executive authority has been a necessity to bridge the gap between the parliamentary law-making responsibilities and the delivery of public services to the citizens. Modern democracies become positive welfare states. They

denote the accumulation and legitimation functions produce the modern positive state which have the responsibility of policy-making in areas of providing public goods; ensuring economic growth and stability; and dealing with poverty and inequality.

In the fulfilment of the responsibilities of a positive state, the Parliament has to double up in making laws so that executive wing can take administrative action. So, the Parliament gets overloaded with the law-making due to various constraints of time-schedule and delegated legislation allows for some relief. Given below are some considerations which prove that delegated legislation is a necessary evil:

1. **Time Shortage:** The Parliament is focused on policy-making matters and is entrusted with the responsibility of law-making too. Delegated legislation is required to reduce the burden of the already overloaded legislature so that it is free to concentrate on more pressing issues. It is not possible for the Parliament to make so many laws and that too with quality without any loopholes or lacunas. In such a scenario, delegated legislation becomes a necessary evil. It gives the Parliament to make skeletal laws and leaves the technical details to the executive to frame and make rules.
2. **Policy versus Technical Expertise:** The modern democracies require domain knowledge in making laws and rules. The Parliament does not have the requisite technical knowledge and expertise as the parliamentarians are basically politicians. They are good at policy-making because they have the long vision to see the larger picture. The administrative bodies can make the ancillary laws and fill in the technicalities.
3. **Predictive:** A law cannot be predictive because it cannot possibly comprehend the socio-economic situations in the future even though their policies are good. Once a parent Act has been made, the administrative machinery can carry the work forward by continuously upgrading rules and regulations through delegated legislation.
4. **Flexibility:** Parliamentary laws lack innovation and flexibility. Legislation hesitate to experiment with the laws but the administrative rule making can adjust the clauses here and there. It can also bring the laws upto date expeditiously. It permits rapid utilization of experience and implementation of necessary changes in application of the provisions in the light of such experience.^[13]
5. **Contingencies:** Many emergency situations arise in a democracy where immediate legislative action is required at once. The legislature usually takes action in matters of urgency depending on the nature and degree of emergency. The measure of the need should be the measure alike of the power and its limitation. Delegated legislation can be effective in cases like epidemics or natural disasters where immediate action needs to taken with some modification to the rules.
6. **Local Matters:** The departments or agencies understand the local matters better than the Parliament sitting at the centre. Any rule that has to be made would be better if the needs of the local residents and their socio-economic and cultural dynamics are taken into consideration. Delegated legislation is best suited for citizen engagement to have an efficient and effective administrative which would save precious time and money.
7. **Discretion:** When government action requires discretion, delegated legislation is needed to pressure that. Hence, delegated legislation has become necessary to have effective good governance but an evil. The term 'evil' implies that it has some demerits and ill effects.

DELEGATED LEGISLATION AS NECESSARY EVIL

The phrase, 'necessary evil' itself suggests that delegated legislation is indispensable despite of its over reach in its powers in all spheres of governance. It is well accepted that delegation legislation is here to stay but is riddled with many problems that need addressing. They are given below with possible recommendations:

- **Question of Principle:** Generally, the principle underlying the Act gets lost in its practical application. It becomes difficult to implement vague laws and subsidiary units. The delegated authority is not clear over the guidelines or standards that need to be followed in laying down rules and orders. Hence, clear and standardized methodology is required and specific principles. The specific standard must relate to certain conditions and limits which should outline the arena within which the delegate must work with his rules but beyond which he should not be permitted to go.^[14]
- **Decline of the Parliament:** Delegated legislation has curbed on the parliamentary sovereignty. There is considerable erosion in the powers and influence of the Parliament with delegated legislation incumbent on its sovereignty. Parliament is continuously disrupted by opposition ruckus and troubled with political motives. Its lack of time to make laws stems from its inherent mammoth task as well as disruptions. The net result is that the Parliament can only make skeletal laws which are supplemented with technical details by the delegated authority. This has affected the status and the power of the Parliament.
- **Awareness:** The bills framed to be passed in the Parliament are debated in the question hour and other times specified for the same but of rules or order formulated in a delegated legislation have no need to do so.

So, there is no awareness of such delegated legislations amongst the people or the Parliament. Sub-delegation of powers further causes confusion and in ability for anyone to keep oneself updated of the delegated legislations.

- **Inadequate Control:** The Parliament gets inadequate time to be aware of the delegated legislations, let alone its scrutiny and control in comparison to the primary law. The intentions of the primary law may be good but can get lost in regulations. The Parliament is not equipped to make the administrative agencies to understand the technical details of the delegated legislations.

Hence, the Parliament must work more on committee system which can thoroughly review the rules and regulations. The complicated state of affairs in the field of delegated legislation has led to 'neo-despotism' of the bureaucracy and their practicing usurping of their powers.

Every delegated legislation needs the approval of the legislature during the question hour, debates and discussions. However, scrutiny of every delegated legislation is not possible by the Parliament and usually passed by the use of guillotine.

Q4 Discuss the process of Delegated Legislation. Does it include procedural control?

Ans. Delegated or subordinate legislation making usually begins with powers from an existing parliamentary Act including statutory instruments rules or codes of practice. The Statutory Instruments (SIs) are normally drafted by the legal department of the concerned ministry in consultation with concerned parties. In India, about 3000 such SIs are passed or even more.

Articles 245 and 246 of the Constitution of India provide that the legislative powers shall be exercised by the Parliament and state legislature. The delegation of legislative power was conceived to be inevitable and therefore, it was not prohibited in the constitution.

The Process of Delegated Legislation

The commonly used process of making delegated legislation consists of the following steps:

1. **Antecedent Publicity:** There can be prior publicity of statutory rules and regulations to inform the stakeholders who will be impacted by them so that they can make a representation to the delegate authority, for consideration. This is called antecedent publicity.

2. **Drafting:** The parliamentary counsel, drafts and scrutinizes the proposed law. Prior to this, the administering authority makes a rough draft. The counsel checks whether the legislation reflects the intention of the agency and if the law is within the powers of the parent Act. The agencies may also give technical tasks to officers who are in the agency to make the legislation.
3. **Consultation:** There is no blanket legislation regarding prior consultation of interests who will be affected by the delegated legislation. Certain laws or their amendments provide for the consultation of interested stakeholder advisory bodies/committees before the finalization of the rules. If it is mandated, then the failure of consultation will result in the invalidation of the delegated legislation.
4. **Regulatory Impact Statements (RIS):** Regulatory Impact Analysis (RIA) is a systematic approach to critically assessing the positive and negative effects of proposed and existing regulations and non-regulatory alternatives. RIA within an appropriate systematic framework can underpin the capacity of governments to ensure that regulations are efficient and effective in charging a complex world.^[15]

The RIS allows evaluation of costs (including economic and social costs) and benefits of a proposed sub-ordinate law. It is not always a part of the process of evaluation when so mandated, for example, in India, The Securities and Exchange Board of India (SEBI) has been vested with the power to regulate the security markets by virtue of the SEBI Act, 1992. The Act has provided for broad parameters for SEBI's functioning and delegates the authority to SEBI to enact regulations as it thinks fit, for fulfilling its declared responsibilities. SEBI conducted RIA in a limited scope only with respect to primary corporate bond offerings.

5. **Notification and Publication:** The people cannot follow the law if they are not aware of it, however, ignorance of law is not an excuse. On the other hand, notification and publication of the delegated legislation is important to make the law achieve its aim efficiently and effectively because what good is a law without its compliance. It must be notified in the official gazette.

Publication of the subordinate legislation is based on two important principles:

- (i) **Natural Justice:** It provides the stakeholders an opportunity of being heard.
- (ii) **'Ignorantia juris non excusat' (Ignorance of law is not an excuse):** No person can claim the ignorance of the law.

However, if the public is not made aware of the existence of such law, it can not be applied. Hence, the publication of delegated legislation is important and mandatory. Presently, every department is supposed to put it up on its website with open access.

In India, there is no special law which provides for the publication of delegated legislation. It is of a customary nature that the legislation must be published in the official gazette for commencement and published in the mode prescribed in the parent Act for the knowledge of the general public.^[16] Despite of the absence of any codification of publication of the delegated legislation, the judiciary steps in and regulates the process separate Act like Administrative Procedures Act of America should be in force in India to standardize the process of publication of delegated legislation.

6. **The Date of Effectiveness of the Legislation:** Retrospective effect cannot be given to a subordinate legislation unless authorized otherwise in the parent statute a validating statute. The Supreme Court has ruled in many cases that the application of subordinate legislation can only be in effect from the time when the Act is passed unless authorized otherwise. Hence, a statute which affects substantive rights is presumed to be prospective in operation unless made retrospective.

The Henry VIII clause dealing with the legality of and the need for the removal of doubt or difficulty clause is in controversy and in India, it remains an ambiguous issue a broad perspective. Henry VIII clause is a provision under a parent legislation empowering the executive to amend or repeal one more statutes by way of the latter's enactment of delegated legislation.^[17] The exact position of this clause in India gives importance in the light of the demonetization order or hold the

Parliament non-functional due to opposition disruption in cases like Rohit Vemula suicide case. The various rulings given by the Supreme Court of India, point to the inference that the broader VIII clause is illegal in India. Power can be exercised by the executive only in order to 'remove doubts or difficulties in relation to the parent statute and not de hors'.

Hence, the broad Henry VIII clause is a necessary evil to ensure flexibility to deal with the overburdened Parliament. It is essential that the judiciary adjudicates upon the validity of the clause on a case to case basis.

In India, the process of formulating a delegated legislation is in itself a controlling mechanism as there is scrutiny at every level but the parliamentary and judicial control are supreme and have their own individual procedures.

Q5 Discuss the controls over Delegated Legislation in India.

Ans. The delegated legislation issue is a debatable issue regarding its extent and validity. The rising number of these legislations has increased to such an extent that they have become bureaucratic legislations, shifting the power from the legislature to the administration. A control mechanism is essential to avoid any misuse of the powers conferred on the administration.

The control mechanism works in three ways:

1. Judicial control
2. Legislative control
3. Procedural control

The three control mechanisms are discussed below in brief:

1. **Judicial Control:** The rule of majority in democratic systems has virtually made legislative controls ineffective. Judicial control has become an inevitable necessity to prevent executives acting as super legislatures on potential dictators.^[18] In India, judicial review of delegated legislation is subject to normal rules governing the review of administrative action but the principles on which the constitutionality of a statute is judged and that of subordinate legislation are different.

The courts have held that the legislature has the authority to delegate the power to:

- (i) Modify an Act as long as the legislative policy remains intact, for example, under the Companies Act, 1956, the Central government has been given the power to amend the schedules of the Act.
- (ii) Appoint a commencement date of the provisions of the Act
- (iii) Exempt and include certain categories of people, goods, etc.^[19]

Fiscal power can also be delegated provided that the Act provides the guidelines for the exercise of such power. Judicial control over delegated legislation with reference to the grounds of invalidity are based on:

- Violation of the constitution
- Violation of the enabling Act

Ultra Vires: The limitations and control imposed by the application of the rule of *ultra vires* is quite clear. If the Act of the enabling Act is *ultra vires* the constitution which prescribes the limits within which the legislature can act, the rules, regulations or any other orders framed would be null and void. The limits of the constitution may be:

- **Implied:** The laying down of policy and enacting that policy into a binding rule of conduct. The legislature cannot delegate its essential power to any other delegate authority otherwise the enabling Act will be *ultra vires* the constitution.

- **Express:** The enabling Act is *ultra vires* in case of the express limits of the constitution. There can be two aspects of *ultra vires*:
 - (i) **Substantive *Ultra Vires*:** When the delegated legislation goes beyond the scope of the powers conferred by the parent Act or in conflict with the powers of the concerned authority to make the legislation.
 - (ii) **Procedural *Ultra Vires*:** When the delegated legislation does not follow the prescribed procedure which is mandatory, then it may be *ultra vires*.

The cases in which a delegated legislation can be *ultra vires* are mentioned below in brief:

- When the enabling Act is *ultra vires* the Constitution of India, implying the constitutionality of the parent Act.
- When the delegated legislation is *ultra vires* the Constitution of India, which implies, the constitutionality of the delegated legislation.
- When the delegated legislation is *ultra vires* the enabling Act in case of:
 - Excess of the power conferred by the enabling Act
 - Conflict with the enabling Act
 - Conflict with the prescribed procedure of the enabling Act
- It is mala fide.
- In conflict with the terms of some other statute.
- It is unreasonable, arbitrary or discriminatory.
- Any action taken retrospectively.

Excessive Delegation: A delegated legislation can be examined for excessive delegation in case of:

- Subject-matter of the law
- Scheme of the law
- Provisions of the statute including preamble
- Factual and circumstantial background in which the law is enacted

2. **Parliamentary Control:** Due to the broad delegation of legislative powers and the generalized standard of control also being broad, judicial control has shrunk, raising the desirability and the necessity of parliamentary control. In India, parliamentary control of administrative rule making is implicit as a normal constitutional function because the executive is responsible to the Parliament.^[20]

In India, every Act has a provision on rule-making. The manual of parliamentary procedure requires rules to be framed within six months of the law coming into force.^[21] Parliament has the power to oversee rules at various levels:

- (i) **Debate on the Act:** At the time of the passing of the Act, the Members of Parliament (MPs) may debate on the provisions relating to delegated legislation. The relevant departmentally related standing committee, while examining the bill may also make recommendations regarding the scope of delegated legislation.^[22]
- (ii) **Statutory Motion:** After the rules have been tabled, MPs may move a statutory motion seeking an annulment or modification of the rules. The parent Act usually provides that the rules shall be tabled in the House for a period of 30 sitting days and MPs may move a motion to amend or annul the rule till the last date of the subsequent session. If during that time, the rule is modified or annulled then the rule shall accordingly modify or cease to have effect. Such rules must be prospectively applied and any prior action under the rules will not be affected.

(iii) **Question Hour:** The scope and provision of the rules may also be discussed in the question hour but this method is not much of a norm frequently.

(iv) **Committee on Subordinate Legislation:** Each House of Parliament has a standing committee on subordinate legislation. The main purpose of the committee is to oversee whether the power delegated by the Parliament to the government is being properly exercised.

Scope of Committee's Powers: The Rules of procedure of both Houses define the scope of the committee's powers. These include whether:^[23]

- (a) The rules are in accordance with the constitution and the Act under which they have been drafted.
- (b) There has been an unusual delay in the publication of the rules.
- (c) There is a retrospective application of the rules.
- (d) They bar the jurisdiction of courts.
- (e) They involve expenditure from the consolidated fund of India.

After the committee has submitted its report, the government has to give a response, based on which, the committee prepares an action taken report on the implementation of its recommendations. This process is depicted below in Fig. 31.2.

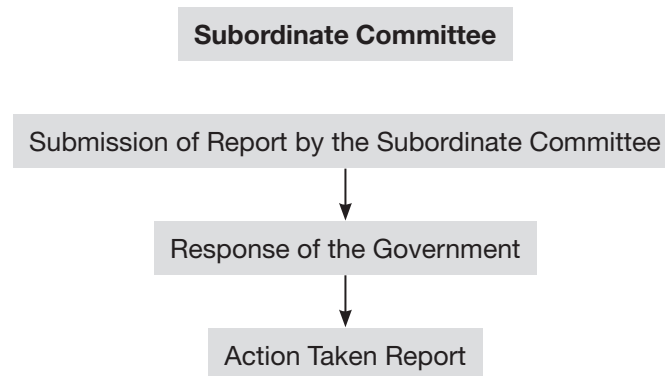


Figure 31.2: The Process of Implementation of Recommendations

If the parliamentary control remains ineffective, then procedural safeguards are ensured (discussed earlier). To improve the parliamentary control over delegated legislation, the role of the parliamentary committees must be strengthened. It has been suggested that a separate Statutory Instruments Act which would lay down uniform and strong rules of laying and publication. An official body can be set-up to make the vigilance of delegated legislation more effective.

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32

Administrative Tribunals

Learning Objectives

In this chapter, you will learn about:

- Definition and the evolution of Administrative Tribunals
- The Administrative Tribunals Act, 1985
- Constitutional Amendments to the Administrative Tribunals Act, 1985
- Advantages of the Administrative Tribunals and their Status in India
- Central Administrative Tribunal in India

Administrative tribunals (sometimes with the added adjective modern) are often said to be a product of social, economic and political developments of the 19th and 20th centuries. In the UK, 1911 is considered an important date because it witnessed the establishment, under Part-II of the National Insurance Act, of a non-judicial system for reviewing decisions about entitlement to unemployment insurance payments.^[1]

Administrative tribunals are usually, also called commission, authority or board. They are like a hybrid of routine government policy decision-making bodies and the traditional courts. They are not presided by a judge but work as a quasi-judicial organization because their functions include licensing, certifying, approval or adjudication authority.

Q1 Define Administrative Tribunals. Briefly discuss how they emerged and evolved globally with special reference to India.

Ans. Administrative tribunals run parallel to the court system, assigned with the function of dispute resolution but are not courts. They grow in response to the growing need of justice in an era of rising conflicts and the inability of the courts to deal with them. Tribunals come as a substitute for courts when lesser formalism, greater expediency and better expertise were required in adjudication of disputes.^[2]

ADMINISTRATIVE TRIBUNAL

The term 'tribunal' is derived from the word 'tribunes' which means, 'Magistrates of the Classical Roman Republic'. A 'tribunal' is referred to as the office of the 'Tribunes', that is, a Roman official under the monarchy and the Republic with the function of protecting the plebian citizen from arbi-

trary action by the patrician magistrates. A tribunal, generally, is any person or institution having an authority to judge, adjudicate on, or to determine claims or disputes whether or not it is called tribunal in its title.

A.V. Dicey: All courts are tribunals but all tribunals are not courts. A tribunal is a genus of which courts have emerged as a specie. The two terms, tribunal and court, were used interchangeably.

W. H. Pillsbury: An administrative tribunal may be said to mean an adjudicating body, other than a court, which performs certain judicial functions of the state. It includes a vast category of public agencies (an official, a board, a commission, a specialized tribunal, etc.,) who have been authorized (under special laws) to hear and decide certain kinds of disputes and to give a final decision which is binding on the parties.

To trace the history and the evolution of administrative tribunals, it is essential to examine how they emerged in major democracies and international organizations around the world. They are:

UK: England has had a long history of administrative law and quasi-judicial bodies although Dicey was against it and supported the Parliament sovereignty. There is record of court of Star Chamber, Court of Chancery, Court of Requests, etc., that developed since the fourteenth century which worked the redressal of public grievances or if there were matters requiring technical/specialized expertise.

Fourteenth Century: The early tribunals in the UK had the following features:

- The power to decide in a discretionary manner
- The use of an inquisitorial method
- Decision-making with reference to the demand of policy
- A swifter and more informal procedure

Sixteenth Century: English lawyer resented putting aside the common law and legal matters were increasingly being taken to the administrative tribunals.

Seventeenth Century: The great revolution took place in 1688 when all tribunals were considered to be a court of politicians enforcing a policy and not a court of judges administering the law^[3] and they were abolished.

Nineteenth Century: The administrative tribunals returned with the increase in state welfare activities. A complex system of national and local boards was established to implement policies and certain powers were given to them for conflict resolution with respect to the implementation of a specific policy. The railway and canal commission was set up under the regulation of Railways Act, became successful in resolving disputes because of its informality, easy accessibility and decision based on fairness and became a model tribunal for the ones to follow.

Twentieth Century: In 1911, the National Insurance Act was passed, after which the hesitation to form tribunals got removed and administrative adjudication evolved although it gathered much flak from Chief Justice Lord Hewart.

The Donoughmore Committee was formed to investigate administrative justice and supported the tribunals while recommending safeguards to ensure Rule of Law.

The Franks Committee stated that fundamental principles of 'openness', 'fairness' and 'impartiality' should characterize tribunal proceedings.^[4]

1983: The recent effort in this regard was reform of administrative tribunals by passing of Health and Social Services and Social Adjudication Act. It laid down an integrated structure of adjudication in the spheres of health, social services and social security.^[5]

USA: The historical evolution of administrative tribunals can be classified in three phases for a better understanding. They are:

- (i) **The First Phase (1775 to 1865):** The growth of the tribunals was slow till the civil war due to the socio-economic conditions in America at that time. The British Crown agencies misused the power of tribunals to exploit Americans. This led to mistrust in such institutions and moreover, America was an agricultural country which has no use of administrative machinery. However, in 1810, administrative agencies were established with definite judicial approval when Chief Justice Marshall referred to a tax collector as a quasi-judge.^[6]
- (ii) **The Second Phase (1887):** The Inter-State Commerce Commission was established to regulate railroad industry whose single concern was the well-being, in a broad public sense, of a vital and national industry.^[7]
- (iii) **The Third Phase:** The great depression of 1929 and New Deal Legislation kick started the final phase of development of administrative tribunals in the US. A large number of administrative agencies with wide regulatory and adjudicatory power were created.^[8]

1946: The Administrative Procedures Act was passed in 1946 to lay down the essential minimum procedural norms to be followed by administrative tribunals.

Presently, in the USA, the number of adjudicatory agencies has grown considerably because of the addition of governmental functions in the areas of social welfare and environmental control.

France: France has been an advocate of *Droit Administratif* since a long time historically. However, its administrative tribunals are different with respect to their jurisdiction. The hierarchy of administrative courts is depicted in Fig. 32.1.

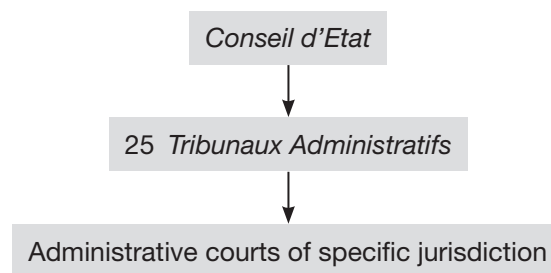


Figure 32.1: Administrative Courts

Pre-Revolution Period: France had the *Conseil du Roi* which advised the king on legal and administrative matters, similar to the English *Curia Regis*.

1789: In the post-revolution period, the judicial functions were made separate from administrative functions. The *Conseil du Roi* was abolished and the king's powers were curtailed which led to the administration appointing its own judge.

1799: *Conseil d'Etat* was established which had five specialized sections with the head of the state at the top. It performed judicial functions to resolve disputes with the administration.

1872: The *Conseil* got the status of a court in the famous case of CODOT.

1953: The *Conseil d'Etat* reforms were introduced to reduce the growing number of pending cases with it. Power cases transferred to *Tribunaux Administratifs* under the supervision of the *Conseil d'Etat*.

INTERNATIONAL ADMINISTRATIVE TRIBUNALS

The League of Nations, in 1927, set-up an administrative tribunal but the league was dissolved in 1946 and the powers were transferred to the International Labour Organization Administrative Tribunal. There are other tribunals like the United Nations Administrative Tribunal which decides on complaints of the International Aviation Maritime Organization.

EVOLUTION OF ADMINISTRATIVE TRIBUNALS IN INDIA

In India, the function of dispensing justice is entrusted to regularly established courts on the pattern of common law system. Given below is the timeline regarding the evolution of administrative tribunals in India:

1924: Justice Rankin Committee was constituted to examine the operation and effects of the substantive and adjective law whether enacted or otherwise followed by the courts of India. It gave many reforms to deal with pending cases.^[9]

1941: The Income Tax Appellate was established to reduce the workload of courts to expedite decisions.

1968: The Administrative Reforms Commission of India studied administrative tribunals to explore the possibilities, of setting them in different fields. It recommended establishing the civil services tribunals to act as the final adjudicatory authority regarding orders inflicting punishments of dismissal, removal and reduction in rank.

1970: The Wanchoo Committee recommended the setting up of Income-Tax Settlement Commission to resolve disputes concerning fiscal laws which would result in an increase of revenue. It also established a Direct Taxes Settlement Tribunal to get fair and quick decisions.

1972: The High Court's Arrears Committee (Justice J. C. Shah Committee) was constituted by the union government to deal with the pending numbers of writ petitions in the Supreme Court and the High Courts.

1974: The Law Commission in its 58th report title, 'The Structure and Jurisdiction of the Higher Judiciary' recommended that a commission must be set up to deal with litigation as the last resort in the higher courts.

1976: The Swaran Singh Committee Report recommended establishing administrative tribunals as a part of the adjudicative system under the constitution in three broad areas:

- (i) The decisions of the tribunals should be subject to scrutiny by the Supreme Court under Article 136 of the Constitution.
- (ii) The jurisdiction of all other courts including the writ jurisdiction of the Supreme Court under Article 32.
- (iii) The High Courts under Article 226 of the Constitution be barred.^[10]

1976: The Constitution (Forty Second Amendment) Act, of 1976 provided for the insertion of Articles 323-A and 323-B in the Constitution of India to make it possible to establish administrative tribunals by the Parliament as well as the state legislatures. Article 323-A gives power to the Parliament whereas, Article 323-B to the state legislature.

1985: Backgrounds and significance of the Administrative Tribunals Act, 1985

The establishment of administrative tribunals meant for speedier dispensation of justice. The term tribunal has not been defined but there have been various cases where the courts have provided their requirements. In *Jaswant Sugar Mills Limited, Meerut versus Lakshmi Chand*, it was held that to determine whether an authority acting judicially was a tribunal or not, the principle, test was whether it was vested with the trappings of a court, such as having the authority to determine matters, authority to compel the attendance of witnesses, the duty to follow the essential rules of evidence and the power to impose sanctions.^[11]

From the above discussion of the emergence of administrative tribunals, it is clear that they are an integral part of our democratic system.

Q2 Discuss the main elements of the Administrative Tribunals Act, 1985.

Ans. The Administrative Tribunals Act (ATA), 1985 was, passed to facilitate effectiveness and speed in providing fair justice to the aggrieved parties. The tribunals are kind of court performing functions which are of judicial as well as quasi-judicial nature like a court. It follows the principles of justice and fair play while being flexible without the technicalities of regular court to achieve speed and low cost.^[12]

The main elements of the ATA, 1985 are:

1. **Connotation:** A 'tribunal' according to Article 136 does not mean something as 'court' but including all adjudicating bodies, provided they are constituted by the state to exercise judicial powers as distinguished from discharging of administrative or legislative functions.
2. **Courts vs Tribunals:** The Supreme Court of India set out a test to determine whether an authority exercising adjudicating powers is a tribunal or not. It stated, 'All tribunals are not courts though all courts are tribunals'. The word 'courts' is used to designate those tribunals which are set-up in an organized state for the administration of justice.^[13]
3. **Quasi-Judicial Bodies:** Tribunals deal with the cases under special laws and therefore, they provide special adjudication, outside courts.

The situations cited in the case of *State of Gujarat vs Gujarat Revenue Tribunal Bar Association*, for a quasi-judicial authority to be called as such, are^[14]:

- (a) Where a statutory authority is empowered under a statute to do any act
- (b) The order of such authority would adversely affect the subject
- (c) Although there is contest in-between the authority and the subject
- (d) The statutory authority is required to act judicially under the statute, the decision of the said authority is a quasi-judicial decision

Hence, a quasi-judicial authority possesses certain attributes or trappings of a court, but not all. In case certain powers under the Civil Procedure Code (CPC) or The Code of Criminal Procedure have been conferred upon an authority, but it has not been entrusted with the judicial powers of the state, it cannot be held to be a court.

4. **Jurisdiction:** The ATA, 1985 brings into existence the 'Tribunals' contemplated under Article 323A (2) to deal with various matters. The Act specifically provides that it will not be applicable to:
 - (i) Any member of naval, military or air force or of any other armed forces of the union
 - (ii) Any officer or servant of the Supreme Court or of any High Court
 - (iii) Any person appointed to the secretarial staff of either House of Parliament or to the secretarial staff of any state legislature or a House or a UT having a legislature. The officers and servants of the subordinate courts were also excluded from the preview of the Act in 1987.

5. **Types:** The Act states that there will be three kinds of administrative tribunals:
- (i) The Central Administrative Tribunal
 - (ii) The State Administrative Tribunals
 - (iii) The Joint Administrative Tribunals

The ATA, 1985 was amended later in 2006. However, a need is felt to have uniformity in the matter of qualifications, appointments, tenure and service conditions.

Q3 Briefly discuss the changes made in the Administrative Tribunals Act, 1985 through constitutional amendments.

Ans. Amendment to the Administrative Tribunals Act, 1985, have been sought in the Lok Sabha/Rajya Sabha, a number of times out of which some were accepted and executed while some were not. Given below is a brief account of amendments sought in the ATA, 1985:

1. **The Administrative Tribunals (Amendment) Bill, 2006:** It was introduced in the Rajya Sabha on 18 March 2006 to amend the Principal Act. It was passed to be enacted by the Parliament in the fifty-seventh year of the Republic of India to be in force on such date as the Central government would notify. The current status on the public domain of PRS Legislative Research shows that it is 'withdrawn'. However, the amendments were:
 - (i) The bill sought to modify the Principal Act to provide for abolition of administrative tribunals if it is considered appropriate. The Central government can abolish any tribunal established for a state or a number of states and provide for the transfer and disposal of cases pending before such tribunals.^[15]
 - (ii) The Chairman/Vice Chairman or any other member of a tribunal would not be entitled to compensation for premature termination or voluntary retirement.
 - (iii) The administrative tribunals must come under the jurisdiction of the High Court and abolish the power of tribunals to punish for contempt of court.
 - (iv) If a person is aggrieved by the tribunal's decision, an appeal can be filed in the High Court within 60 days from the date of the tribunal's decision.
2. **The Administrative Tribunals (Amendment) Bill, 2012:** The current status of this bill stands, 'lapsed'. Nonetheless, to have a better understanding of administrative tribunals, the amendments sought are:
 - (i) The bill proposed that the Chairman of the administrative tribunals shall be a 'Supreme Court Judge' or the 'Chief Justice of a High Court'.
 - (ii) The Chief Justice of India shall also be consulted in the appointment of the Chairman and the members of the state and joint administrative tribunals instead of only the central tribunal.
 - (iii) The salaries or the benefits of the Chairman shall be on the same terms as a Supreme Court Judge or the Chief Justice of a High Court.
 - (iv) In addition to the Chairman, a member authorized by the Chairman shall also be empowered to transfer the pending cases.
 - (v) The Chairman and the members eligible for re-appointment shall be considered for fresh appointment in terms of the bill.
3. **The Tribunals, Appellate Tribunals and other Authorities (Conditions of Service) Bill, 2014:** The bill's current status stands 'withdrawn'. The amendments sought in this bill are mentioned below in brief:
 - (i) To establish uniform conditions of service for the Chairperson and Members of 26 tribunals and authorities was sought in the bill. These included term of office, re-appointment, age of retirement, etc.

(ii) The age of retirement for the Chairpersons and members who are:

- Former Supreme Court judges at 70 years
- Former Chief Justice or Judges of the High Court at 67 years
- Any other persons at 65 years

(iii) It sought to prohibit members from appearing before the tribunal that they were serving on, once their term of service with that tribunal ends. Other tribunals may be included within the ambit of the Bill if they value a Supreme Court or High Court Judge as Chairperson or member.

However, these amendments affected the independence of the members and the age differentiation had no justification. The bill did not address the issues of:

- Bar on post tenure employment with enterprises that have appeared before the tribunal
- Conditions of removal of the members
- The conditions and services of a vice chairman^[16]

4. **Finance Bill, 2017:** The Finance Bill, 2017 included amendments making, structural changes to 26 tribunals which comprised issues like:

- Affect on the independence of the tribunals
- The validity of bringing such amendments through a Finance Bill

The Finance Bill, 2017 changed the conditions of service of 19 tribunals that are in place. The level of parliamentary scrutiny over these provisions has been seriously reduced by the changes being made by the government through the Finance Bill. It has also abolished seven existing tribunals affecting the dispensing with pending cases. The question is whether structural changes should be enacted without going through the established standing committee scrutiny processes that ensure a careful assessment of the impact of legislative proposals of the government and ensure public engagement and rigour in law-making process.

Q4 *What are the advantages of administrative tribunals? Do you think they have materialized in realistic terms on the ground in India?*

OR

Write a short note on the central administrative tribunal in India.^[17]

Ans. The administrative tribunals are part of the Indian constitutional adjudicative system. (discussed earlier). It has many advantages which are given below:

1. **Delay in Justice:** The delay in justice administration is one of the biggest obstacles which have been tackled with the establishment of tribunals.^[18] The modern state is a positivist state which has the obligations to carry out its multipurpose duties of welfare. Conflicts are a natural outcome of such multifarious activities and the number of pending cases with the courts have humongously. Tribunals serve the purpose of reducing this burden on the courts and giving justice to the aggrieved citizens. Hence, it can be said that they serve with expediency as these administrative agencies are better than ordinary courts in disposing cases in a timely manner. Most cases can be dealt within a day saving time for everyone and eventually money.
2. **Saves Money:** The cost of going into litigation in the courts is enormous, considering the fees of the lawyers for the aggrieved parties and for the courts which have to function incessantly. They are a cheaper option to court procedures and the whatever settlement is made goes in favour of the claimant because he/she has not paid any fees.

3. **Informal:** Most aggrieved citizens hesitate to go to courts due to the language that is used in applying and its procedures. The elaborate and complicated documentation scares most people to top it with lawyers making them none confused. The administrative tribunals offers a simple procedure which accepts even a handwritten complaint application as main principle on which they work is natural justice with flexibility.
4. **Fair Justice:** The tribunals provide fair justice to individuals, not undermining the courts. They have the advantage of having support of experts on their term to comprehend technical issues which the courts lack as they are generalists in law. Thus, specialism reduces the time and cost both.
5. **Precedents:** The tribunals are independent bodies who can take decisions according to the individual case. They do not follow their own precedents; however, they have to follow court precedents.

In a wholistic view, the administrative tribunals are cheap, accessible, technically sound ensure fair justice, rich in localized knowledge, reduce the workload of the judiciary and the government departments. They also minimize cost, time and allow room for appeals.

However, all is not so advantageous as it looks on paper. It is important to have an account of its disadvantages before studying them with respect to India. They are:

1. **Imbalance:** Most of the times the aggrieved citizen is unable to articulate and represent oneself and is unable to fight fairly with well represented organizations like large corporations or government. There is no funding given to the tribunals to provide a layer to the inarticulate claimants making the whole process unbalanced.
2. **Rule of Law:** The administrative tribunals do not adhere to the principle of Rule of Law. Rule of Law is supreme implying equality before law for all through constitutional procedures above government arbitrariness. However, the tribunals have their distinct laws and procedures curbing the conceptual foundation of equality.
3. **Conflict of Interest:** No individual can be a judge in which one is involved. This principle of natural justice is violated giving rise to conflict of interest because government is a party in many conflicts and cases before the tribunals. Moreover, the government appoints the tribunal which does not uphold natural justice because most of the members of the tribunals are also employees of the agency. This results in bias and partiality because there is no set procedure.
4. **Unpredictive:** Since the tribunals do not follow any precedent, the claimant has no base to understand and predict the outcome. A lack of uniform procedure of adjudication adds to the problem.
5. **Lack of Legal Knowledge:** The tribunals have a common practice of appointing administration or technical heads who have no legal knowledge and may not be equipped to give sound and wise judgments.
6. **Private Hearings:** Some tribunals conduct private hearings since there is no uniformity in procedure. This is an impediment in having a transparent administration and government.
7. **Evidence:** The quality of judgments in administrative tribunals is poor because it is not based on evidence while hearsay evidence is included.
8. **Appeal:** In many tribunals, the right of appeal does not prevail.

The Case in India

The administrative tribunals in India are facing the threat of loss of their independence. The Central government has an excessive control over the tribunals by notifying the Tribunal, Appellate Tribunal and other Authorities Rules, 2017. The notification uses in respect to the powers delegated to the tribunals by the Parliament via section 184 of the Finance Act, 2017. It gives power to the Central government to make

rules to provide for qualifications, appointments, term of office, salaries and allowances, resignation, removal and other terms and conditions of service for judges appointed to 19 tribunals.

The tribunals in India, without any uniform structure and design, are a confusion. The enactment of the Administrative Tribunals Act, 1985 concerns only the aggrieved government servant who have complaint about their promotion, salary or posting. Many states have dissolved their tribunals, the appeals against the decisions of the tribunals was unconstitutional. Since quick redressal was not happening, there was a move to disband the tribunals more and more. It is important that there is a uniform procedure for administrative tribunals which must easily accessible online in the public domain. Additionally, they must go through scrutiny by an independent committee. Our bureaucratization of tribunals needs to be avoided at all costs. The current system of allowing the executive to decide on matters of appointment, reappointment and removal of member affects the tribunal's functioning. If the government is a litigant before a tribunal and an appointee, it becomes conflict of interest.

The present Government of India has prepared a draft law to merge the 36 tribunals in the country and bring down their number significantly. The government proposes to merges or abolishes the tribunal in three phases, through a law. It has been prepared that the Department of Legal Affairs in the Law Ministry will be the administrative agency for different tribunals instead of being overseen by different Ministries. This proposal has come to light as per Supreme Court's directions because in the beginning of 2018, five tribunals were without a head which slowed down the process of dispute resolution. It remarked, 'the least that you (government) must do is to ensure that these tribunals run with full strength'. It needs to be reviewed whether the tribunals are delivering justice faster or hampering it.

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 - National Green Tribunal
 - The National Company Law Tribunal
 - The Intellectual Property Appellate Tribunal
 - The National Consumer Disputes Redressal Commission
 - The Film Certification Appellate Tribunal
 - The Telecom Disputes Settlement and Appellate Tribunal
 - The Debt Recovery Tribunal
 - The Securities Appellate Tribunal
 - The Central Administrative Tribunal
 - The Income Tax Appellate Tribunal
 - The Customs Excise and Service Tax Tribunal
 - Cyber Appellate Tribunal
 - Employees Provident Fund Appellate Tribunal
 - Income Tax Appellate Tribunal
 - Insurance Regulatory and Development Authority
 - Intellectual Property Appellate Board
 - Securities and Exchange Board of India
 - Telecom Disputes Settlement and Appellate Tribunal
 - Telecom Regulatory Authority of India

UNIT
VII

COMPARATIVE PUBLIC ADMINISTRATION

- Chapter 33** Historical and Sociological Factors Affecting Administrative Systems
- Chapter 34** Administration and Politics in Different Countries
- Chapter 35** Current Status of Comparative Public Administration
- Chapter 36** Ecology and Administration
- Chapter 37** Riggsian Models and their Critique

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33

Historical and Sociological Factors Affecting Administrative Systems

Learning Objectives

In this chapter, you will learn about:

- Meaning of Comparative Public Administration
- Historical and Sociological Factors affecting Administrative Systems
- Importance of Comparative Public Administration

Comparative Public Administration (CPA) is a comparative perspective on the administrative systems and structures in different countries. It has its theoretical as well as practical uses. This branch of public administration is studied from various aspects like bureaucracy, civil service elitism, organizational structures, administrative law, decision-making processes and their impact. This is a broad spectrum of areas where CPA research studies are carried out. Its study can deal with two specific institutions of two different nations to arrive at conclusions regarding their administrative systems.

CPA, as it is known today, did not reach this stage overnight. It has taken over a century to develop the discipline to have context and meaning. It is imperative to study the historical and sociological factors that affect the administrative systems.

Q1 *No science of public administration is possible unless there is a body of comparative studies from which it may be possible to discover principles and generalities that transcend national boundaries and peculiar historical experiences. Discuss.*

OR

Discuss the historical and sociological factor affecting administrative systems.

OR

Trace the evolution of comparative public administration with respect to historical and sociological factors.

Ans. CPA is a branch of public administration, having a rich theoretical and practical base contrary to the allegation of it being in a paradigm state. The theory and practice might not be in the same mode as it is today but there is evidence that public administration existed in most of the civilization in ancient times. CPA has emerged as a viable and strong discipline based on the context of public administration in different countries. The historical and sociological factors that have affected the administrative systems have shaped the subject matter of public administration.

Meaning and Definition: Before delving into the factors that affect comparative studies of public administration, it must be understood what the subject comprises of CPA deals with administrative organizations or systems pertaining to different cultures and settings whose similar or dissimilar features or characteristics are studied and compared in order to find out causes or reasons for efficient or effective performance or behaviour of administrators, civil servants or bureaucrats.^[1]

In simple terms, it is the comparative study of administrative systems of different countries to understand the regularities and patterns. It is evident that no two systems would be same due to varying political, social, economic and cultural factors affecting the administrative system of a country. The purpose of CPA is to understand the successful areas and to develop a practical, standardized model that can be applied in the weak governance fields.

It is important that a comparative study of public administration must compare at least two or more than two countries but the problem that emerges this definition is that the study becomes too narrow because they are insensitive to environments in which administrations work. The factors affecting individual societies must be factored in to arrive at qualitatively as well as quantitatively.

HISTORICAL AND SOCIOLOGICAL FACTORS AFFECTING ADMINISTRATIVE SYSTEM

CPA is based contextually on the prevalence of administrative systems in various societies whatever the political system it may have. Even monarchic and despotic regimes resorted to a semblance of administration to implement their orders of any nature. There has been evidence in history of a well-oiled administrative machinery in India's relics and epics, like the *Vedas*, *Puranas*, *Mahabharata*, *Ramayana* and the text of *Kautilya's 'Arthshastra'* in 326 BCE same is the case in Greece where Aristotle wrote his famous work, '*Politics*' and in Italy, Machiavelli wrote, '*The Prince*.'

Eighteenth century saw German researchers studying the systematic management of government affairs under 'Camaralism'.^[2]

Colonialism

The period of colonialism created a powerful impact of British administrative system which worked to serve the Crown with total neglect of social welfare or delivery of public services. There was a race to gain more territory which sharpened military administration. Colonialism flourished in the southern hemisphere by the western countries like the UK, Spain and later Japan. The USA emerged out of the British power and there began a study of administration which led the whole world into believing that it had the miraculous key to develop the rest of the world with its superior knowledge.

Woodrow Wilson

The 28th President of the USA researched and wrote extensively on administration. The paper, 'The Study of Administration', in 1887 became quite popular but he had written a paper, 'Comparative Public Administration' in 1885. He classified three periods of growth of administrative systems in the world.

1. **The Period of Absolute Rulers:** The strong absolute rulers built mighty administration systems which survived in the present age also, for example, Prussia.
2. **Popular Control:** The period of popular control brought massive administrative and constitutional building.
3. **Period of Constitutional Framework:** The governments were busy in building a strong administration to meet up with the requirements of the constitution but a gap persisted for want of reforms.

Public Opinion Rules: The governments promise but seldom deliver and they must be held accountable by the public voicing their opinion. Wilson acknowledged the need of CPA and from an economic perspective to promote foreign trade. According to him, CPA would help in functional studies to learn better administrative methods and processes after proper experimentation. Foreign trade would serve as an instrument to bring all nations together instead of wasting resources in war. All these types of media, presently, are being used to form public opinion, spread social awareness messages and disseminate information. The news journalists challenge the wrong doings of the government or private persons to check malpractices. With the digital technology, everything happens instantly and answers are sought.

Frank J. Goodnow

Goodnow published a book titled *Politics in Administration* in which he stated that politics and administration must be separated to free the administrators from political interference. He opened the scholars to think beyond administration being as implementation of public policy.

The World War Period

With the growing concern of ways to manage industry due to the industrial revolution, the World War and the great depression of 1929, the governments responded with a series of programmes and projects by Franklin D. Roosevelt via The New Deal.

Scientific Management Approach

There came a period of public administration when scientific management approach was considered to be the only way to increase productive efficiency in organizations but ignored the sociological factors.

Post-World War II

The scholars believed that cross-cultural analysis in public administration was extremely important to make public administration a science. However, until Robert Dahl and his contemporaries' assertion CPA's need, it concentrated more on policy, foreign trade, international relations with special reference to study institutional frameworks.

The Marshall plan paved the way for the reconstruction of administrative system to deal with post-war development.

Robert Dahl

In 1947, Robert Dahl spiked the research study towards CPA by stating that 'The attempts to create a science of public administration with universal or ever generally applicable principles was handicapped by three basic problems of values, individual personality and the social framework.'^[3] He continued to assert that there should be no supposing, then that a principle of public administration has equal validity in every nation state or that successful public administration practices in one country will necessarily prove successful in a different social, economic and political environment.

He pointed out that the comparative concepts of public administration have largely been ignored and as long as the study of public administration is not comparative, claim for a science of public administration sounds rather hollow.^[4]

Many scholars started contemplating about the importance of comparative research in public administration to improve in performance. There became a felt need to understand that the environment comprising of sociological well as historical factors had considerable impact on administrative systems in various countries.

The Behavioural Approach

Scholars like Chester I. Barnard and Herbert A. Simon led the Human Relations Movement under the Behavioural Approach. They focused on comparative research studies across cultures by using concepts and tools from other social sciences.

THE COMPARATIVE ADMINISTRATIVE GROUP (CAG)

In 1960, the CAG was formed as a division of the American society for public administration funded by the Ford Foundation administration in the underdeveloped new democracies under chairmanship of F.W. Riggs. While researching on CPA, the group also came up with 'Development Administration' due to the realization that the developing countries had different socio-cultural environment and administrative systems and they needed to be dealt with differently.

Riggs developed the ecological approach to CPA by understanding and researching developing countries. It sparked off interest in the subject but till now the studies lacked a standardized experimental method and framework. It was easy to understand a country individually but a comparison needs to be based on pre-determined indicators and parameters which were difficult to find at that time. The CAG was dissolved because the funding stopped by the Ford Foundation.

Follow-up of CAG

The Sage publications, since 1969, has published a quarterly 'Journal of Comparative Administration' and promoted experimental teaching projects and field research in comparative administration. Dwight Waldo has referred to CPA movement as a self-conscious movement.

CPA Beyond the USA

The USA has been a leader in the CPA movement with CAG, but it caught attention in other countries too. For two decades emphasis was placed on development of the third world as the main aim of public administration is to find ways and methods to improve the process, procedures and system to deliver public services to citizens. All around the world studies were conducted to develop the rural areas via public enterprises and community organizations.

These studies can be considered as a part of CPA. United Nations took cognizance of these problems and formulated worldwide governance indicators for a period from 1996–2016 for over 200 countries. It ranks countries on individual governance for more than 200 countries and has a massive database.

In the year 2000, leaders of 189 countries gathered at the United Nations Headquarters and signed the historic Millennium Declaration Goals (MDGs), in which they committed to achieve a set of eight measurable goals that range from alleviating extreme poverty and hunger to promoting gender equality and reducing child mortality by the target date of 2015.

The achievements of MDGs were found to be uneven which led to the UN Conference on Sustainable Development and formulated a Global Development Framework Beyond 2015, called the SDG–2030 Agenda^[5]. At present, all member countries of the UN are pledged to work their way through Good Governance to achieve the SDG goals. There is a rich database of all countries based on various indices like the World Happiness Index, Competition Perception Index, Key Performance Indices and many more to understand the status of developmental work being done in these nations.

This is the pinnacle of CPA where all countries are committed to the same goals of development and are going through the research studies to arrive at a better administrative system.

After a detailed study of the growth of CPA, it is easy to understand the historical and sociological impacts on administrative systems. They are:

1. **Bureaucracy:** The world saw imperialism shattering in the whole world taking into account the two most horrendous world wars, the world has seen till today. The new democracies were left in a chaos of poverty and misery with only the imperialist administrative systems to follow. They did not have the means to go in for any kind of administrative reforms. They had the elite entering into the administrative service and once again left the striving people from other classes high and dry which was the majority doing the lower clerical jobs.
2. **Difference in Values and Norms:** The difference in values and norms follows from the issue of imperialism and bureaucratic structure in the new democracies. It impacted the social dynamics with an increasing divide between the rich and the poor.
3. **Political Development:** Both the developed and developing nations have been changing in their political synergies. Besides the socio-cultural factors impacting the administrative systems, political changes from one form to the other also influence the administrative systems. Lack of attention on the public sector and the bureaucracy by scholars and government has led to a corrupt system and nexus between the political class and the bureaucracy. The administrative system of a nation is shaped by its political clan. The government is absolutely responsible for the socio-economic as well as the administrative system development.
4. **Modernity:** According to La Palombara, 'Somewhat more perplexing are problems of conceptualization and theory that confront us when we approach the subject of modernization'^[6]. It is equated with development which implies an increase in the amount of information and energy that societies use or an increased ability to absorb new demands and organizations. There are varied perceptions of modernization which affect the administrative systems. However, there is a serious conflict in whether modernization is actually development for the developing countries or it is a western democratic or Anglo-American concept. Such aberrations lead to difficulties in making rational and empirical decisions of social and political systems which ultimately affect the administrative system of the society one way or the other.
5. **Caste Divide:** This includes, the socio-historical factors, besides the economic divide, also. The richer class and the higher castes, for example, in India, avail of higher education and have all the opportunities to get into the higher bureaucracy. They have an elitist attitude that affects their functional abilities and decision making too. The administrative system gets the same tone of the officers of which it is made of.

These are the major historical and social factor that affect the administrative systems of various countries.

Q2 Discuss briefly the importance of CPA.

Ans. CPA is as significant as any other social science to reach a scientific conclusion about administrative systems of various nation states. There has been a long history of comparative studies (see Q.1) which led to the justification of the subject. The purpose of studying CPA is given in the following points:

1. **Comparative Analysis:** Public administration becomes irrelevant if there are standards of universal principals of application scientifically. A comparative analysis of administrative systems of different countries will help in deriving hypotheses across cultures and boundaries. The early twentieth century saw a development of thought that there is more to study beyond the American and the western administrative systems to the science of public administration.

Secondly, as Wilson, argued that the study of CPA is even more important to assess if the administrative institutions and practices could be applied to the US system or vice versa.

2. **Administrative Change:** The Riggsian model of CPA was criticized based on the problems of vague methodology but it initialed a keenness among social scientists to devise methods to study different institutions of administration. The basic aim of CPA is administrative change by finding new ways and solutions through comparison. Parameters like law enforcement, budgeting, employment or training in the same ecology in different districts can be studied to arrive at better ways to make administrative changes. One can start at local levels instead of going for countries also for better results because it involves the concern of huge funding for research.
3. **Rise of the Eastern States:** Study of administrative theory and organizations was mainly restricted to the western nations but with the success of eastern states like Japan and China made the western scholars realize that their systems must be studied and their better points could be applied in their systems. Thus, its relevance to build a contextual and empirical base of public comparative administration to make improvements in administrative system.

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34

Administration and Politics in Different Countries

Learning Objectives

In this chapter, you will learn about:

- Parameters to mapping political and administrative structures in different countries
- Political structure in the UK, the USA, France and Japan
- Administration in the UK, the USA, France and Japan
- Comparison of structures in various countries

Administration and politics have been discussed and debated since the nineteenth century regarding their interlinkage or separation. The administration politics dichotomy is such a complicated subject that ‘Father of Public Administration’, Woodrow Wilson mentioned in one place their link in their support but at another place he differentiated between the two. Frank Goodnow joined him in separating the two emphasizing that politics was related only in law-making and policy-making whereas administration with their implementation. The scholars in the twentieth century realized that both the branches of administration and politics were intertwined.

With the passage of time, administrative law gained a lot in significance and the administration became powered to make rules and regulations to cater to the needs of the public. F. Reggs studied the developing countries and observed that there was an overlapping of the two. In India, J. L. Nehru remarked in one of his lectures at Indian Institute of Public Administration (IIPA), New Delhi that how can politics be separated from administration. Policy making cannot be undertaken by politicians alone because of their lack of knowledge in technical areas.

Administration and politics will be discussed here in two Parts I and II. Part I will deal with politics and Part II with administration in four countries—the UK, the USA, France and Japan on the following parameters given in Table 34.1.

Table 34.1: Parameters of Administration and Politics

S. NO.	POLITICS	S. NO.	ADMINISTRATION
1.	Legislature	1.	Model of Bureaucracy
2.	Nature of State	2.	Political Rights of Bureaucracy
3.	Type of Government	3.	Recruitment System of Civil Servants
4.	Party System	4.	Regulation of Governmental Organizations

PART I: POLITICS

Q1 *Discuss the political structure in the UK and USA and compare them.*

Ans. Legislature is a deliberative body of a country who is empowered to make or change laws for a political unit. The following is a study of the political structures in the UK and the USA.

UNITED KINGDOM

The British Parliament began working 700 years ago and is the oldest Parliament in the world. It was called the Parliament of England till, 1707, when it got a new name, 'The Parliament of Great Britain' with the union of England and Scotland.

Presently, the UK is made up of England, Scotland, Wales and Northern Ireland and is termed as a constitutional monarchy in which the monarch is the head of the state. The UK works within the framework of a bicameral legislature with two Houses as shown in Fig. 34.1.

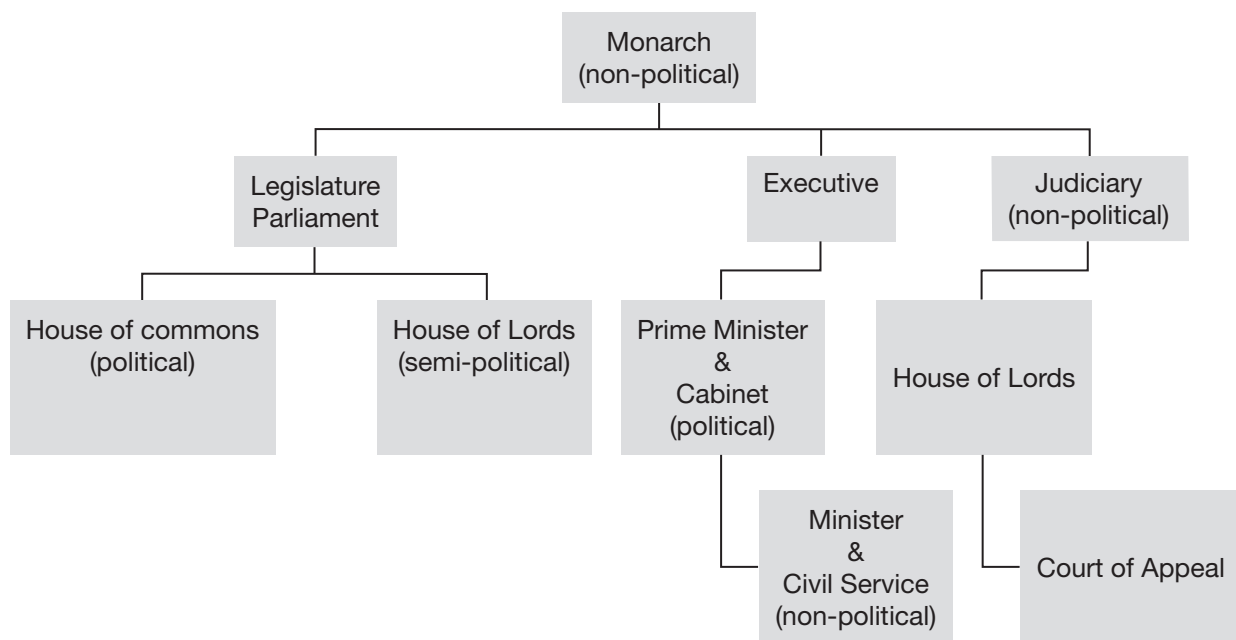


Figure 34.1: Basic Structure of Central Government in the UK

- 1. The House of Commons:** The UK public elects 650 members of Parliament to have representation of their welfare in the House of Commons, the MPs. Its functions are to:
 - Check and challenge government's work
 - Make laws
 - Hold debates

It has committees to carry out the vast role of making laws and policies. It is the lower house but more powerful than the upper house, that is the House of Lords. The House of Commons has select committees

for each government department, examining three aspects; spending, policies and administration. They check the government department's performance and economic affairs. The reports of these committees are published in the public domain.

2. **The House of Lords:** It is the upper house, the second chamber of the UK Parliament. It is independent from and complements the work of the elected House of Commons. It shares the functions law-making, checking and challenging the government's work. It has three main roles:
 - (i) Making laws.
 - (ii) In-depth consideration of public policy.
 - (iii) Holding the government accountable.^[1]

The House of Lords has select committees which focus on six major issues:

1. Europe
2. Science
3. Economics
4. Communications
5. The UK Constitution
6. International Relations.

It is a two-party system namely, The Labour Party and The Conservative Party formed on their ideologies.

UNITED STATES OF AMERICA

The USA is the second largest democracy^[2] in the world and also the most powerful in all respects. Its political system is different from the UK and the rest of the countries. Two basic documents define the political system of USA:

1. The Declaration of Independence of 1776
2. The Constitution of 1789

USA has a bicameral presidential form of government, a federal republic which consists of the following main constituents according to its constitution:

1. **The President:** The executive
2. **The Congress:** It has been sub-divided into two chambers:
 - (i) **The Senate:** It comprises of two senators from each state regardless of its size but the total is 100 senators. The term of a senator is six years without a limit to the number of terms that an individual can be selected.

Functions: The senate has the legislative power to matters concerning laws regarding.

 - The status, powers, institutions and funding of the entities under the federation.
 - The intra-federal cooperation, conflicts of competence and interest, right to substitution.
 - Constitutional court, the council of state and federal administrative courts.
 - Funding of political parties.

However, the legislative powers of the senate are limited.

- (ii) **The House of Representations:** In the USA, House of Representatives, there are 435 elected representatives, who serve for a two-year term with no limitation on the number of times they can serve. It is the lower chamber of the Congress.

Functions and Powers: The House of Representatives have the power to:

- Initiate and pass any law, especially, for the purpose of raising revenue even though the senate must prove it.
- Impeach the President or the vice-president and to declare war.

It is a two-party system, namely, the Republican Party and the Democratic Party since the civil war. The upper house, the senate, has more powers.

The Congress: The Congress, the legislature of the USA, has the power to lay and collect taxes, borrow money on the credit of the USA, regulate commerce, coin money, declare war, raise and support armies and make all laws necessary for the execution of the powers.^[3]

In terms of legislation, the President may be considered a functioning part of the congressional process. Congress is influenced by pressure groups, which is not a part of the formal structure of congress.^[4] It also has the control over the recruitment of government personnel, however, not over judiciary.

If one compares the legislature of the UK and the USA, following points can be observed in Table 34.2.

Table 34.2: Comparison of Legislature between the UK and the USA

S. NO.	United Kingdom	United States of America
1.	The House of Common is directly elected while the House of Lords is appointed.	Both the Houses of the legislature the senate and the House of Representatives are directly elected.
2.	All legislations are introduced by the government except for minor bills through a private members bill.	A member of Congress has to introduce a bill.
3.	There is no provision of a filibuster not happening but it is very rare. ^[5]	As per the senate rules, a senator or a series of senators are permitted to speak for as long as they want.
4.	The number of head of committees are distributed in proportion to the number of elected representatives of the party.	The party in power has its members as chairpersons of all committees.
5.	The speaker is chosen by the whole House for the House of Commons and functions only as a procedural essentiality in a non-partisan fashion.	The speaker has immense power as he is selected by the party in power and functions within the party line.

Q2 Discuss the political structures in France and Japan.

Ans. The following is a study of the political structures in France and Japan.

FRANCE

The French Parliament was conceived on June 17, 1789, after the French revolution. In France, the nation's representatives are divided into three estates:

- **The First Estate:** The Clergy
- **The Second Estate:** The Nobility
- **The Third Estate:** The Commoners

The French legislature rests on the constitution which was changed every twelve years which created disorder in the working of the legislature. The present constitution is called the 'Fifth Republic' which was established in 1958 to deal with the weaknesses and excesses of the assembly system of the Fourth Republic regarding issues of decolonization.

The Nature of State

The French political system, based on the Fifth Republic, is a mix of parliamentary and the presidential systems. The nature of the state is parliamentary which has a prime minister as the head of the government and is accountable to the assembly which is elected, by 'direct universal suffrage'. There is a counter-balance measure of the prime minister calling upon the head of state to dissolve the national assembly.^[6]

The President: The system of direct universal suffrage of the president makes it a strong position resembling the American system of presidential form of government. The presidential election is held before the general elections.

Parliament: The Parliament of France is 'bicameral' which is dominated by the national assembly. It consists of two assemblies:

- The National Assembly
- The Senate

The national assembly is made up of 577 MPs (maximum number) who are elected for five years by direct universal suffrage within constituencies.

The senate is made up of 348 members (maximum) who are elected for six years by, indirect universal suffrage by a college of approximately one hundred and fifty thousand grand electors 95 per cent of whom are delegates of municipal councils.^[7]

Both the Houses have the same rights regarding legislative procedures. However, in case of dispute, the prime minister can reach the national assembly to give the final decision. The national assembly has the supreme power to dissolve the government. It is clear, nonetheless, that the President has fundamental powers.

The powers of the president are mentioned below in brief:

- He/She ensures that the constitution is respected and upheld.
- Ensures that the public powers function properly.
- Appoints the Prime Minister other members of the government and military.
- Presides over the meetings of the council of minister.
- Decides the agenda in constitution of the prime minister.
- He/She is the head of the armed forces.^[8]
- Dissolve the national assembly.

Funding of Political Parties: The political parties are free to carry out their activities but have to follow the constitutional provisions regarding their funding. As per the law, one half of the funding is given to the party which has fielded fifty candidates minimum in the previous elections and the rest of the fifty per cent is given to those parties who gained from the other fifty per cent and reached the Parliament.

Parliamentary Mandate: Article 23 of the constitution states that a parliamentary mandate cannot be given in hand with continuing as a member of the government.

An elected candidate who has position in both the Houses is given 30 days to decide which post he/she should like to continue. They are also obliged to declare assets as per the legislative provisions to promote financial transparency, including the president members of the government and the local elected office members and the MPs.

JAPAN

Japan was imposed by a constitution by the USA in 1947 to build a representative democracy. It retained the system of keeping the emperor as the head of the state. The Japanese democratic system thus is a new democracy unlike the UK and the USA. The USA occupied Japan after the World War II for a few years to establish democracy and engineered the 'Potsdam Declaration'. The allies declared it to be their purpose:

- To ensure that Japan will not again become a menace to the peace and security of the world.
- To bring about the earliest possible establishment of a democratic and peaceful government which will carry out its international responsibilities, respect the rights of other states and support the objectives of the United Nations. Such government in Japan should be established in accordance with the freely-expressed will of the Japanese people.^[9]

The Parliament

The Parliament (Diet) of Japan is a bicameral system, comprising of two Houses:

1. The House of Councillors or *Sangiin*
2. The House of Representatives or *Shugiin*

Until 1982, the electorate voted for specific candidates but after that, they have had to select a party which leads to proportional representation in the legislature. It is a multi-party system but two major parties that emerge in the Japanese political system are The Democratic Party of Japan (DPJ) and the Liberal Democratic Party (LDP).

The National Diet is the term given to the bicameral legislature of Japan. It is the law-making body of the country, located in Tokyo at Nagatacho.

Role of the Diet

The Diet consisting of the House of Representatives and the House of Councillors and the cabinet assigned with the cabinet. The Prime Minister is chosen from among the Diet members by its resolution and the concept of collective responsibility is applicable.

Given below are the powers of the Diet which reside in both the Houses and exercised subsequently, in brief:

- Enactment of laws.
- Decisions regarding the budget and other financial matters.
- Matters related to international treaties.
- Designation of the Prime Minister.^[10]

House of Representatives: It consists of 475–480 members and has a four-year term unless the House is dissolved mid-term. There are direct elections for 300 members from their local districts while 180 members are termed as preferred party members who are appointed through the 'proportional representation system.' It is the highest authority to initiate bills and pass them to become laws. It can revoke on the bill to enact it into a law even if the House of Councillors reject it provided it has a minimum two-thirds majority in favour of the bill.

The House of Councillors: It is the upper house comprising of 242 members for a six-year term to serve. Elections are held every three years for 142 members from their local districts while 96 are Preferred Party members who are again appointed based on the proportional representation system according to the number of votes that every political party gets.^[11]

Japan has come a long way since 1947. The Diet has held 196 sessions till July, 2018. Shinzo Abe is the 97th Prime Minister of Japan since 2012 working for economic revitalization and structural reforms in Japan.

After studying the political systems of the UK, USA, it can be observed that historical and cultural situations in these countries have considerably affected in shaping their representative democracies.

PART II: ADMINISTRATION

Public administration is important to understand how decisions of various governments are taken so that the best decisions can be applied to those systems which need reform and change. It includes all aspects that a government has to do like business and commerce, economics, political theory and public policy. It has four main objectives in the present context:

- Improving governance
- Developing accountability
- Training for public service
- Improving relations

It helps in planning, coordination, advisory value, efficiency and sustainability and non-profit viability. Community development is essential to promote decentralization and local governance which improves standard of life at the grass roots level.

Given below is an account of the administrative systems in the UK, the USA, France and Japan to have an overview of the present systems and evolve solutions for weak systems.

Q3 Describe the administrative system in the UK and the USA.

Ans. The following is a study of the administrative system in the UK and the USA.

THE UNITED KINGDOM

UK, a monarchy, has its executive authority vested in the directly elected body of representatives. In the UK, The House of Commons is the administrative wing of the Parliament with the Prime Minister as the head of the government. It is supported by its cabinet and minister.

The Prime Minister

The Prime Minister is ultimately responsible for all policy and decisions:

- Oversight of the civil services and all government agencies.
- Appointment of the members of the government.
- Lead the House of Commons.^[12]

The House of Commons Commission

The commission is responsible for the administration and services of the House of Commons; including the maintenance of the palace of Westminster and the rest of the parliamentary estate.

Its function is to present the estimate for House of Commons administration which comprises of the administration and services of the House for the financial year. The functions of the commission are:

- Delivery of the strategy.
- Ascertaining the terms and conditions of staff are consistent with the statutory responsibilities of the commission.

Major Government Departments

The major government departments in the UK are:

- (i) **The Treasury:** The treasury (Ministry of Finance) is responsible for deciding the raise in the rate of taxation, control of government expenditure and the administration of the economy, the chancellor of the exchequer heads the treasury.
- (ii) **The Home Office:** The home office is responsible for controlling law and order problems and immigration.
- (iii) **The Foreign and Commonwealth Office:** It is responsible for all foreign affair, international relationships and the European Union. The other departments are education, health, transport, industry, etc.

Government Ministers

The government departments are headed by ministers who could come from either of the Houses. There are three levels in their classification:

- **Secretary of State:** Head of a department
- **Minister of State:** Middle ranking minister
- **Parliamentary under Secretary of State:** Most junior minister in hierarchy

The Cabinet and the Cabinet Committee System

The cabinet is made up of the senior members of the government and meet regularly to make collective decision. It is the supreme tier of British government which is prevalent as an established norm. The cabinet system is codified in the Ministerial Code of Conduct (Cabinet Office 1997). The cabinet decisions hold the highest value which no one overrules.

Collegiality: The British Parliament works on the principal of collegiality which implies that a group of people take collective decisions rather than individual ones. It has boards, committees and councils who take legit decisions acting as a check within themselves.

The Cabinet Committee: The cabinet committee works on the principles of collective responsibility and collegiality. Its number can vary based on the requirement felt by the PM. The deputy PM, leader of the House of Lords and the secretaries of state for Northern Ireland, Wales and Scotland attend ritualistic Tuesday meetings during the Parliament. A cabinet secretary is appointed from the senior bureaucracy whose role is to help in administration of decisions without any political alignments. The cabinet office is headed by a minister to achieve coordination of government policy.

Public Bodies: In the UK, there are public bodies which help in running the government to deliver public service which are called the Non-Departmental Public Bodies (NDPBs). They are

- (i) **Executive NDPBs:** They work in specific specialized areas.
- (ii) **Advisory NDPBs:** They are instrumental in giving expert advice, without bias to ministers.
- (iii) **Tribunal NDPBs:** They are a part of the judiciary but work in a specific area of law.
- (iv) **Independent Monitoring Boards:** They monitor and run the prisons and ensure acceptable norms of the treatment of prisoners are met.

Civil Service: The civil service forms an important administrative wing to carry out the work of the government pragmatically on the ground. The Prime Minister coordinates and manages the civil service as its minister.^[13]

Devolved Government

Devolution is a process of decentralization and puts power closer to the citizen so that local factors are better recognized in decision-making. Devolved administration implies the executive that is formed by the members of the devolved legislatures^[14] nominate a minister from among their members. The devolved administration works for their own minister as per their own needs and priorities.

Territorial Offices: The Scotland, Wales and Northern Ireland are represented in cabinet by a territorial secretary of state to look after the smooth functioning of the devolution settlements and act.

There are various committees to help the government carry out its work smoothly. The informal organizations contributing in the administration of the government are the civil society organizations. Free media, independent judiciary, administrative law and administrative tribunals, trade unions, premier groups and voluntary organizations help the government to work for the people.

UNITED STATES OF AMERICA

The USA government structure comprises of three main branches, namely, the legislature, the executive and the judiciary. The Executive is headed by the President. He/She shares his powers with the Congress and the judiciary which are independent of each other's but at the same time depend on each other's decisions to function correctly.^[15] The federal structure of the USA is very strong and unique as the states have the power to initiate their own reforms provided they are within the constitution.

The Executive Branch

The Executive Branch comprises of three posts in hierarchical power:

- The President
- The Vice President
- The Executive Office of the President.

The President: He/she leads the nation as the head of the government/administration and the commander-in-Chief of the United States Armed Forces. The President of the USA can only serve twice for a four-year term.

The Vice President: He/She supports the President and steps in as the acting President if the President is unable to discharge his/her duties. There is no restriction on the number of times a vice president can serve and can also be under a different President.

The Cabinet: The President selects his/her term who serve as his/her advisors. They include the vice president, the heads of executive departments and other high-ranking government officials. The selection of the cabinet cannot be only the President's choice. The nominations need to be approved by the senate by a simple majority.

The Executive Branch Agencies Commission and Committees

The executive branch is assisted by various federal agencies, departments, committees and other groups. They are briefly mentioned below:

Executive Office of the President: It communicates the President's message and deals with the federal budget, security and other priorities.

Executive Departments: These are the main agencies of the government at the federal level. The heads of these 15 agencies are also members of the President's cabinet.

There are executive department sub-agencies supports specialized work within their parent executive department agencies.

Independent Agencies: These agencies are not represented in the cabinet are not part of the executive office of the President but deal with government operations, the economy and regulatory oversight.

Boards, Commissions and Committees: The Congress or the President establish these smaller organizations to manage specific tasks and area that don't fall under parent agencies.

Quasi-Official Agencies: Not being a part of the executive branch, these agencies are required by federal statute to release certain information about their programmes and activities in the federal register, which is the daily journal of government activities.^[16]

Civil Service: The public administration mostly began and evolved in the USA. The present stage has been termed as the partnership stage since. The civil service, based on the merit system and sound principles. Civil service jobs in the federal government is managed by the office of personnel management which is an independent government agency. The civil service commission officials help the government put its plans and policies action.

Q4 Briefly describe the administrative structures in France and Japan.

Ans. The following is a study of the administrative system in France and Japan.

FRANCE

The French constitution was last amended in 1999, which is a Presidential Republic. The executive power rests in the President who appoints a council of minister which is headed by a Prime Minister. The President is elected by direct elections which is called universal suffrage.

The ministers are selected jointly by the President and the Prime Minister unless they belong to different political parties.

The executive in France is of a dual nature which has two main constituents of power, which are:

1. The President of the Republic
2. The Government

The Government

There is no fixed mandate of the Prime Minister or the government. The government formulates its policies with autonomy and the support of the national assembly. It appoints civil service official, based on merit, to implement its plans into action. Each House has its own rules of operation to recruit staff. However, the rules are subject to scrutiny by the constitutional council to ascertain their alignment with the law.

The Cabinet

In France, the cabinet is termed as the council of ministers which is headed by the President. It comprises of the Prime Minister, the ministers and junior minister who are termed as secretaries of state. The total number of the council of ministers is 40 organized in a hierarchical manner the distinguishing feature of the French cabinet is that is chaired by the President which is not found in another cabinets.^[17]

The Bureau

The bureau is the organization with power of organization and management. It is a powerful body whose powers are based in the constitution. It is presided over by the:

- President
- Six Vice-Presidents
- Three *Questeurs*
- Twelve Secretaries or 22 Members in Total.

All members of the bureau are elected every year but the President's tenure is at par with his/her tenure in his position.

Power: The bureau has the power to preside over all deliberations of the House to organize and direct its services but are bound by the rules of procedure. It is responsible for abiding to the international rules for themselves and the staff regarding its operations.

The President: As mentioned earlier in political structure of the legislature of France, the President is elected by a secret ballot by majority. It goes on for three rounds with requirement of absolute majority in the first two rounds and only a simple majority in the third round. His tenure lasts as long as the legislature in the national assembly prevails and for every three years in the senate.

Functions of the President

The President is responsible for:

- Directing the events in Houses
- Conducting debates positively
- Ensuring security
- National and international representation

The Vice Presidents

There are six vice presidents in the French legislatures to assist the President and stand-in for him in case of his absence, by relation.

The Questeurs

There are three *Questeurs* in both the Houses, are responsible for questions regarding finance and administration to uphold autonomy. They fall under the direction of the bureau and work collegiately meeting once a week.

Parliamentary Committee

There are six permanent committees in each House responsible for examining bills. They are:

- Committee on Constitutional Law
- Committee on Finance and the Economy and Planning
- Committee on Cultural, Family and Social Affairs
- Committee on Production and Trade
- Committee on Foreign Affairs
- Committee for National Defence

The senate also has separate committees. Other parliamentary committees are non-permanent in nature.

The Administrative Services

The administrative services are directed by the secretary general of the presidency assisted by a director general.

Functions

The secretary general of the *Questure* directs the administrative services for the following main functions:

- Service of the budget
- Service of the accounts and pensions
- The treasury
- Service for material and procurement
- Service for architecture
- Buildings and gardens
- The medical service

Common Services: They include personal services, archives, library and foreign documentation, services for information technology and technological development.

To conclude, the French administrative structure is divided into three areas:

1. The Regions
2. The Departments
3. The Commons (The Municipalities)

France has 22 regions and four overseas regions, 21 metropolitan regions and a special statute for Corsica with its own assembly and government. Every region is administered by a regional council the members of which are selected by universal suffrage once in six years. The regional council is headed by a prefect which is selected by the government to govern all government department in his/her jurisdiction.

The 96 metropolitan departments and four territories over sea have been governed separately since 1789.

Villages, departments and regions levy and collect taxes to resource themselves to provide services.

JAPAN

The present cabinet system, under the constitutional monarchy, according to the constitution provides, 'The cabinet shall consist of the Prime Minister, who shall be its head, and other Ministers of State, as provided by law.' (Article 66)^[18]. The cabinet is an administrative organ with consultative responsibilities which is headed by the Prime Minister. The maximum member of Ministers of State in the cabinet excluding the Prime Minister can be 14 which can go up to 17 if and when a need is felt. The cabinet has the power to execute all administrative work of ten ministries which fall in its jurisdiction. The ministries delegate some work to various external organizations like committees and agencies.

Ombudsperson: There is no parliamentary system of ombudsperson, however there are regional or municipal ombudsmen who are regulated by local self-governing bodies. It acts as grievance redressal mechanism instead of being a watchdog. There are citizen ombudsmen groups comprised of local citizens, actively work to hold the public servants accountable to their wrongful activities by acts of commission or omission. They are voluntary organizations which do not pay a salary to its volunteers.

Civil Society: In Japan, the Civil Society Organizations (CSOs) do not have the legal mandate but they exist in a large number based on Article 21 of the constitution which provides freedom of assembly and

association as well as freedom of speech, the press and other forms of expression. Article 28 also guarantees the right of workers to organize themselves and to bargain and act collectively.^[19]

Civil Service: The National Personnel Authority (NPA) is the national personnel agency of the government of Japan which is administered by three commissioners. The cabinet appoints them in consultation with the Diet for a four-year term. The NPA recruitment is done, based on the merit system. The promotion system is unilaterally decided by the management on a merit system.

The Japanese public service has been ranked as highly clean in the world by the transparency international.

Conclusion

The political and administrative systems of the UK, the USA, France and Japan have been discussed above which give some understanding and perspective of their structure and working.

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Current Status of Comparative Public Administration

Learning Objectives

In this chapter, you will learn about:

- Growth of Comparative Public Administration
- The Academic Study of Public Administration
- Operational Study of Public Administration

Q1 *The growth of Comparative Public Administration (CPA) is a continuing process and is of relevance for both operational and academic study of public administration. Discuss.*

Ans. Since the inception of CPA in 1950, comparative public administration has been studying and doing research on bureaucracies in the solid economic background. It conducts cross-cultural and cross-boundary studies to arrive at solutions that cannot be applied to aspects that need reform in any other country. Under the conclusion or the findings of the study is applicable, it has no objective and serve no purpose.

The discipline faced a decline in the 1970s but by then it had made its place as an academic discipline, a branch of public administration. CPA became an empirical study instead of remaining just a theoretical subject. The relevance of CPA for operational study of public administration is discussed below.

OPERATIONAL STUDY OF PUBLIC ADMINISTRATION

CPA is still relevant today in its operational aspect but only its form has changed. The change from its heyday of 1950s has been a major one. At present, we have many international agencies which have a continuous process of conducting comparative studies in an empirical way. They have prepared indices to measure various indications across the globe and data is collected and analysed to formulate best practices in a wide-ranging fields like, auditing, accounting, conducting business, tackling corruption, etc.

The major indices developed are:

- (i) Corruption Perception Index:** Corruption is a major impediment to the advancement of a nations socio-economic cultural, administrative and political growth. Opposed to the presumption that corruption retards the economic growth, it has a rippling effect which adversely affects all areas of growth. The organization, 'Transparency International', developed the Corruption Perception Index (CPI) which brought the issue of corruption on the international policy agenda.

They score countries on the extent of corruption in their public sector. With the growing concern over corruption, all the countries take notice of the score and act on it. This is a clear example of CPA on the operational side which serves the basic objective of practical application of the findings of comparative analyses.

The Transparency International is committed to advance accountability, integrity and transparency to make a world in which government, politics, business, civil society and the daily lives of people are free of corruption.^[1] It has made efforts to formulate anti-corruption conventions which the leaders of the free world make it a point to act upon because if they score bad on the index the other countries would not like to trade with them. Globalization has played a great role in putting CPA into operation. The CPI ranks 176 countries on a scale of 100 (very clean) to 0 (highly corrupt) India ranks 81st in the global CPI for 2017.

- (ii) **Ease of Doing Business Index:** The ease of doing business index was created by Simeon Djankov at the World Bank group, with Professors Oliver Hart and Andrei Shleifer.^[2] Economics are ranked on their ease of doing business from 1–190.

A high ease of doing business ranking means the regulatory environment is more conducive to the starting and operation of a local firm. The rankings are calculating by ranking the country on ten topics with many indicators each.

Distance to frontier measure helps assure the absolute level of regulatory performance over time. It measures the distance of each economy to the frontier, which represents the best performance observed on each of the indicators across all economies in the doing business sample since 2005. The frontier ranks on 0 to 100 scale where 0 represents the lowest performance and 100 represents the frontier. A score of 70 in 2017 means an economy was 30 per cent points further from the frontier and if it goes up to 75 per cent, it means that the economy is improving.

India ranked 142 in 2014 and it improved to 100 in 2018 jumping 42 points among 189 countries. India has planned some measures to improve its ranking in the world economies:

- Integrate processes for obtaining PAN, TAN, ESIC and EPFO registration with incorporation of company.
- Increasing the coverage of credit registry and credit business to register at least 70 per cent of the individuals and firms with information on their borrowing history from the last five years.
- Simplification in the forms for filling income tax return, GST return, EPFO and ESIC return.
- Operationalizing^[3] indecency and bankruptcy code.

- (iii) **World Happiness Index:** The world happiness report is a landmark recovery of the state of global happiness prepared by the United Nations. This is another example of operationalizing comparative public administration. The report of the year 2018 ranks 156 countries by their happiness levels and changes in happiness around the world, in on migration within and between countries. The world is going through a lot of migration due to globalization and the turmoil in the Middle East which leaves people in distressed state. The report is prepared by the pooled results of 'Gallup World Poll' survey that show change and stability. They have variables selected to evaluate the countries on the world happiness index. These are:

- Income
- Healthy life expectancy
- Social support
- Freedom
- Trust
- Generosity

Happiness is elementary and an effect of the socio-economic status of that country although a rich country can have lower ranks also like the USA and Japan. The Nordic countries^[4] have taken four out of the five spots. Migration is a major factor in determining happiness as the people are happier to live in happier countries.^[5]

India has been ranked at 133 out of 156 on the world happiness index, which is a very poor status of happiness. It slipped eleven places since 2017 behind Nepal and Pakistan.

Various issues emerge as result of such comparative data analysing of 156 countries like the health problems of obesity in the USA or if a country that is not rich and has lower GDP is happier, the reasons for such a paradox can be researched. Latin America has high ranks on the index which is higher than its income. The report results confirmed that this so-called anomaly is due to the abundance of family warmth and other supportive social relationships; the USA has a lot to learn from Latin America in this case to understand and incorporate the divers of happiness.

- (iv) **SDG Indicators:** Sustainable Development Goals (SDGs) and targets of the 2030 agenda for sustainable development were developed^[6] to make the number of indicators to be 230 which have been agreed by all. There are seventeen SDGs which use these 230 indicators to prepare the report of each country. Member nations (193) took a pledge to work in achieving these goals which the UN collects data on card prepares a comprehensive report.^[7]

The Global Indicator Framework was adopted by the general assembly on 6th July, 2017, contained in resolutions adopted by the general assembly. The 2030 agenda for sustainable developments provides a global blueprint for dignity, peace and prosperity for people and the planet, how and in the full. All member nations are translating this share version unto national development plans and strategies.

The UN published a report, '*Voluntary National Review Report*' on the implementation of SDGs in India. India's development agenda is mirrored in the SDGs. If India gets closer to the goals, the one-sixth of the world's population will become better in all the three key pillars—economic, social and environmental. All planning done by *NITI Aayog*, the model agency for planning in India, the union as well as the state budgets are in alignment with the SDGs.^[8]

The comparative analysis of the data collected and analysed helps in emulating the good experiences and applying them to economies which are lagging behind keeping in line with the version of SDG 2030 agenda of, 'leave no one behind'.

- (v) **Inclusive Development Index:** The Inclusive Development Index (IDI) is an annual assessment of 103 countries economic performance that measures how countries perform on eleven dimensions of economic program in addition to GDP. It has three pillars:

- Growth and developments
- Inclusion
- Intergenerational equity sustainable leadership of natural and financial resources

The IDI project was initiated by the World Economic Forums (WEFs) system on the future of economic progress. It stresses on the promotion of deepened public-private cooperation and corporate social responsibility action. Civil Society Organizations (CSOs) are a major player in achieving inclusive development.^[9]

There was a recent major overhaul of CSOs to need out the fraudulent organizations who, in the name of aid and development, were misappropriating and misusing funds. Legal oversight hampered the program of international CSOs and the national CSOs in India, towards inclusive development. *NITI Aayog*, in 2018, has reaffirmed the importance of CSOs to help in inclusive development.

India has ranked 62 out of 74 countries on WEFs IDS in its 2018 report. There has been a 2.2 per cent improvement in the overall five-year trend of IDI for India.^[10]

- (vi) **PISA:** The Programme for International Assessment (PISA) has been formulated by the World Bank and UNESCO together. PISA assesses the effectiveness of the various levels of educational standards achieved by different countries. A global educational policy field which could parallel the global economic policy field. Globalization and new forms of governance can help pass the way into achieving them. The number approach supported by the Organization for Economic Cooperation and Development (OECD) has been instrumented in formulating a global education policy.

After studying these major indicators devised for data collection and comparative analysis that make administrative and governance systems, it makes it abundantly clear that comparative public administration is relevant today more than ever in its operational aspect.

The Academic Study of Public Administration with Special Reference to CPA.

Besides CPA being majorly relevant in operationalizing public administration, it has been growing too. Researches use the CPA studies to find solutions to improve governance in difference nations. These are a number of international journals that are promoting comparative studies like Asia Pacific Journal of Public Administration, Korean Institutional Review, Indian Institute of Public Administration Journal, International Public Management Network, etc.

The body of knowledge and contest of CPA must be further enriched by overcoming barriers of language and culture. The researchers must consider these two factors before embarking on a comparative study. Also, policy research and institutional research must be linked to arrive at further theory formulation. There must be synergy among the researchers so that theory building can be successful despite of geographical differences and methodological techniques. This has been achieved by the international agencies like the World Bank, UN and OECD who have made comparative indicator.

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Ecology and Administration

Learning Objectives

In this chapter, you will learn about:

- Relationship Between Ecology and Administration
- Ecology and Administration as Given by Ferrel Heady
- Weber on Ecology

Ecology and administration are interlinked for the simple logic that an administrative system cannot be exist in isolation. It interacts with the environment, social political and economic, around it on a daily basis. Ecology is a term used in Biology that deals with the relations of organisms to one another and to their physical surroundings.

Q1 *Discuss the relationship between ecology and administration.*

Ans. The effort to relate government functions to the environment is necessary and the recognition of its validity by various observers and scholars confirms one's own efforts according to John Merriman Gaus.^[1] Professor Frankfurter also emphasized on the importance of considering the political machinery in its environment in which it moves. The governments have had to change their policies, strategies and planning with the changes in the environment to deliver public services.

Gaus stated, 'The study of public administration must include its ecology'.^[2] Ecology is derived from the Greek word, 'oikos' which means a house or home.

GOVERNMENT AND ENVIRONMENT

Charles A. Beard presented seven axioms on public administration.^[3] They are:

1. **Government Functions:** A government has to continuously perform functions at the central as well as local level, efficiently so that a society can exist well.
2. **Increase in Government Functions:** With the changing environment socially, politically and economically, the functions of the government keep increasing. The government develops an important relationship with the society and the citizens.

3. **Administrative Capacity:** Any government in such a complicated society, consequently any such society itself, is strong in proportion to its capacity to administer the functions that are brought into being.
4. **Enforcement of Legislation:** Beard said that law making was easier as compared to its enactment. They have to deal with the difficult job of enforcing the law for public welfare.
5. **Social Changes:** When a government amends the laws with discussions and debates with stakeholders and citizens to incorporate social changes happening in the society, it is only wise administration that is primarily required to have good governance.
6. **Personnel from all Classes:** The officials to be selected for the administrative service must belong to all classes by building a larger base through general education policy. This is important to that the bureaucracy does not become an elite arrogant class.
7. **Local Responsibilities:** The administration must be trained and functional to be sensitive to local needs and inculcate local responsibilities but must be cautious not to kill hope and enthusiasm required to keep the democratic government alive.

ECONOMICS AND SOCIAL CHANGE

Gaus said that there are two main factors that act like catalysts and are integral to the process of social change, that is, people and places. Unless these two factors are considered, public administration will suffer in its effectiveness and misdirected policies.

Changes like industrial revolution brought such rapid changes that administration became extremely important to tackle new problems. Then the Great Depression of 1929 and the World Wars shook up the very foundation of human existence. The administration had to step up its *modus operandi* to face these new challenges giving way to the New Deal and the Marshall Plan. After that there was a meteoric rise of international agencies who not only worked for the maintenance of peace but also economic growth and development.

A commonly accepted definition of Comparative Public Administration (CPA) is that it is a theory of public administration applied to the diverse cultures and national settings and the body of factual data by which it can be examined and tested given by the Comparative Administrative Group (CAG). Thus, academically also, the relationship between administration and its ecology has been established making the study of the environment a basic part of public administration.

The acceptance of ecology as a part of administration, came only in the 1950's after the CAG became proactive in this field. W. Riggs has contributed to this theory and developed many models to understand the environment of non-western countries so that development methodologies may be created.

ECOLOGY AND ADMINISTRATION FERREL HEADY

An ecological approach to the CPA proposes a systematic effort to be made to relate public administration to its environment, which is only suggestive because the sociological institutions are not living organisms.

The Environment of Bureaucracy: The bureaucracy can be understood as being the centre of a series of concentric circles in its environment. It can be understood in Fig. 36.1.

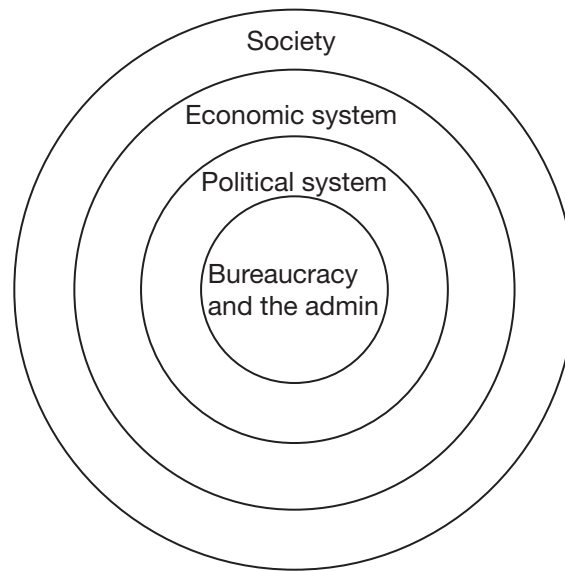


Figure 36.1: Event of Bureaucracy

The environment can be classified into two main categories:

1. **Developed Society:** A developed society is considered to be developed with reference to its characteristics that are social and economic nature in comparison to underdeveloped or developing societies.
2. **Developing Society:** This category refers to the political systems covering developed as well as developing countries incorporating political system differences and environmental factors.

Drawbacks of 'Development' Criterion

The term 'development' has so many implications that there is no clear-cut definition. Development denotes a major societal transformation a change in system states, along the continuum from peasant and pastoral to industrial organization. The assimilation and institutionalization of modern physical and social technology is critical ingredients. These qualitative changes affect values, behaviour, social structure, economic organization and political process.^[4]

The word 'developing' refers to the societies that are in the process of social transformation.

WEBER ON ECOLOGY

Marc Weber, a German scholar, wrote extensively on bureaucracy in the background of German politico-administrative system. He considered rationalism, hierarchy, specialization and careerism paramount to achieve efficiency in an administrative state.

Comparative Social Analysis: Weber relied on comparative social analysis to analyse the reasons for establishing specific social order based in law the relied a lot on ancient and medieval societies in comparing modern democracies.

Ecology: Weber's approach was majorly cross-cultural and cross-temporal in studying the growth of western bureaucracy. He tried to balance political system and bureaucracy because he neither favoured political organizations nor strong administration.

Weber's writings in public administration can be considered as ecological within limits due to following promises:

- **Growth of Bureaucracy:** He believed that bureaucracy grows amidst sociocultural and economic changes. However, he laid more stress on the bureaucracy-politics relationship instead of sociocultural and economic systems.
- **Social Goals:** His thoughts assume that societal goals which impact bureaucracy's targets.
- **Modernization:** Weber only acknowledged the social change as fact but not to direct it.
- **Methodology:** Weber's methodology and approach in his theories had been cross-cultural. His bureaucratic model is more suitable and applicable in Riggsian diffracted society rather than a prismatic one.

Post-Weber Ecological Perspective

Since Weber concentrated more on western societies, there was no inclusion of developing nations. F.W. Riggs took off from there and devised his model with respect to developing societies. His main thrust was to study countries like India and Philippines to understand their administrative systems in the background and of their local cultures and societies. The Classical Model of Bureaucracy was rendered inadequate for the developing countries which they would only aspire to reach. It became a vicious cycle because they were restricted in their own sociocultural systems and could not adopt the western model. The stage was set for their indigenous ways to come to the fore and formulate their own methodologies, procedures and processes.

This led to developmental administration which was basically goal-oriented and worked for the development of the underdeveloped societies. One can say that development administration emerged out of the studies of conducted in CPA and go hand in hand. In both the branches of public administration, ecology and administration are extremely important.

Social change, encompassing the ecological environment, has been a major theme of New Public Management/Administration in the decades after Riggs.

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37

Riggsian Models and their Critique

Learning Objectives

In this chapter, you will learn about:

- The Industria Agraria Model
- Characteristics of a Prismatic Society
- Prismatic Society in India

Fred W. Riggs was born on July 3, 1917 in China to American parents who were missionaries who had come to China in 1916 to help peasants improve their farming methods. His father was from Ohio University with a degree in agriculture and tried to apply American modern methods to farming to improve production and efficiency. However, it did not work because the American techniques were not relevant to the situation of the Chinese.

Riggs grew up with the understanding that American ways and methodologies will not work in developing societies. His father had to work out an indigenous strategy to apply improvements in agriculture. Riggs went to the USA and completed his education at the University of Illinois for his undergraduation and masters from the Fletcher School of Law and Diplomacy. He did his Ph.D. in Political Science with specialization in 'International Relations' from Columbia University.

Although he did not study public administration, he went onto research and write about administrative systems.

Q1 Write in brief the 'Industria Agraria' model given by Riggs.

Ans. F.W. Riggs wrote his first lengthy essay titled 'Agraria and Industria Towards a Typology of Comparative Administration'. He used the structural-functional approach to explain the critical range of administrative variable within the entire range of the social, economic and political. Riggs divided his 'Agraria Industria Model' into following societies.

Agraria: Agraria is a model of a pure traditional agricultural society as the name suggests.

Industria: Industria is a model regarding a pure industrial and a modern society.

Transitia: It is the model of a society in transition from Agraria to Industria.

Riggs conducted his study in Imperial China and considered it as an 'agrarian' society and the USA as the 'Industria' sample. Riggs stated that all societies transition from the Agraria to Industria in a unidirectional manner.

The Structural-functional Approach: The structural-functional approach has been adopted from other disciplines of social sciences. It connects the society and its interrelated parts in which society is the structure and the functions of the society, that is, the structure has specific norms, culture, traditions and public organizations. The functions in a society must be in harmony and work together as a whole. Riggs studied the structural-functional approach to understand social processes. The structures and the function in a particular society develop certain typical interdependent patterns.

This approach consequentially becomes ecological as it includes the whole environment of institutions and the socio-economic and structural norms.

AGRARIA AND INDUSTRIA

Riggs considered the agrarian and industrial societies as two opposite poles in his model. Riggs gave certain features for both the societies in detail in his essay. However, they can be briefed in a comparative manner, given in Table 37.1.

Table 37.1 *Characteristics of Agraria and Industria*

Agraria	Industria
1. The status is based on a factor other than achievement, which is ascribed to the group, individual or society.	1. The status is based on achievement norms exclusively.
2. The society is diffused which implies that the culture spreads as a norm in the society.	2. The society is universalistic based on rules.
3. The society is particularistic in its ways.	3. The society is functionally specific in which group are formed for a purpose.
4. People as individuals and groups do not prefer mobility with respect to space due to overattachment to agriculture.	4. Social mobility is at a high degree because the industrial workers want to move for better privileges.
5. The people have a comparatively simple and stabled occupation for livelihood but the techniques used are very backward in farming. This is with reference to the fact that even the most 'Industria' society as agriculture still exists with modern technology.	5. The people have complexities in their jobs as they are highly specialized. Even agriculture is done with modern and advanced techniques.
6. Politics and religion are mixed together while controlling each other. Superstition rules their decision.	6. Politics and religion are largely separate and are mostly rational and religion or superstition does not control their decisions.
7. The form of interest and pressure groups in agrarian is totally different and conservatist.	7. The interest groups have a say in public policy, called lobbying.
8. The majority of population has a simple life.	8. People have a modern life and attitudes.
9. There is differential social stratification based on access to resources, power, autonomy, status, etc.	9. Well-developed occupational system which have formed occupational groups.

However, it was realized by Riggs himself and other scholars too, that there are no absolute polar societies—*Industria* and *Agraria* because most of the countries are somewhere in-between the two poles. One finds mixed features in societies where some could be dominant. For example, the USA was considered by Riggs as an '*Industria*' but it consists of native American population which follow its own traditions and superstitions. They have been given reservation lands where they have their tribal governments which are more than 500 in number. Social stratification is based on economic conditions which is true for *agraria* too.

The model was criticized as being too vague and abstract with no definite parameters to conduct studies. Another point that was marked against this model was that a society cannot be unidirectional always as there could be diversions on the way.

Q2 What according to Riggs, are the three important characteristic features of the prismatic society?

Ans. F.W. Riggs gave three important characteristic features of a prismatic society which are heterogeneity, formalism and overlapping, which are discussed below:

1. **Heterogeneity:** The word heterogeneity means the quality or state of being diverse in character or content. Riggs spoke at length about the characteristics of his prismatic model at the IIPA on 'The Ecology of Public Administration'.^[1] Riggs referred to heterogeneity as the simultaneous presence side by side, of quite different kinds of systems, practices and viewpoints. The existence of heterogeneity naturally makes it difficult to describe a situation, because whenever you try to generalize about it, especially from a few examples, someone will say, 'No, I can think of cases which are quite different,' Secondly, heterogeneity creates specific administrative problems, especially because of the contradictory and often incompatible interests and needs of the population. In the Indian context, it can be the religious symbolism prevalent in the Indian political system along with the fears on rapid economic growth by the Modi government.
2. **Formalism:** Riggs explained that formalism tends to distinguish the extent to which a discrepancy exists between the prescriptive and the descriptive between formal and effective power, between the impression given by constitution, laws and regulations, organization charts and statistics, and actual practices and facts of government and society. The greater the discrepancy between the formal and effective, the more formalistic is a system.^[2] An Indian example of formalism is the commonly accepted law system like the *Khap Panchayats*.
3. **Overlapping:** Overlapping means the extent to which what is described as 'administrative' behaviour is actually determined by non-administrative criteria, that is, by political, economic, social religious or other factors. Similarly, what purports to be 'economic' turns out to be much influenced by non-economic considerations; political structures are to a considerable extent non-political. Structures and functions are often found to be overlapping in the Indian Railways and provision of education.

Riggs explained these characteristics by citing the example of Philippines and Thailand that there was relative homogeneity and realism in both the cases. Both societies did not pass through similar subjugation because Thailand was never colonized. He placed Thailand on a scale of program from 'fused to prismatic refracted' a little farther from fused towards prismatic and Philippines in the prismatic stage. He arrived at this placing by speculative given by his own admission. He could not develop any indices to measure the relative refraction or fusion of particular groups or systems.

Q3 *Discuss the various dimensions of overlapping in a Prismatic Society (Riggs) with reference to India.*

Ans. Riggs differentiated social structures in two ways:

The Functionally Diffuse: If they perform a large number of functions.

The Functionally Specific: If the social structure carries out certain specific prescribed limited functions.

The functionally diffuse societies were called as 'fused' societies and the functionally specific as 'diffracted'. The societies that fall intermediate between these two polar types are called 'prismatic'.

Riggs gave three basic characteristics of the prismatic model as heterogeneity, formalism and overlapping. Overlapping has several dimensions given by Riggs. They are:

1. **Nepotism:** In a diffracted society that is an advanced, industrial and a modern society, one finds that there is hardly consideration for family or friends while hiring or recruiting officials in the administrative system because it is based on merit. However, in a fused society, the old traditional and patrimonial society still exists with the formal structures. They have selectivistic recruitment based on nepotism. The allocation of benefits is differential which shows the importance of non-administrative criteria. Besides familial consideration, other factors that work in the process of recruitment are religion, caste or class. The level the prismatic society has reached determines the status of selectivism because it adopts universalistic characteristics at some point while at other times, it follows particularism depending on the situation and external factor of pressure.
2. **Poly Communalism or Clects:** Riggs stated that besides nepotism, there is another intermediate category of characteristically prismatic groups, which he called 'clects'. Riggs coined the word 'clects' by which he meant any group which makes use of modern associational methods of organization but retains diffuse and particularistic goals of a traditional type.^[3] However, such associations clects we easy to form in communities but it considers national interests above the interests of business.

Riggs went on to say that commerce industry associations, political organization civil service associations transform into clects working for their colleagues and subordinates' interests. They become so powerful that nepotism also creeps in favouring family and friends leading to 'selectivism'. He called this state as 'poly communalism' where this class of elites, 'clects', which produces a situation of co-existence of various ethnic religious and racial groups in hostile attitudes. This leads to poly functionalism breeding out of selectivism.

The Sala:^[4] Poly communalism influences the character of the sala. A government executive in a prismatic society tends to inculcate loyalty for his/her own community more than to the government. In recruitment they favour their own following shortcuts and their clan of clects becomes more powerful and dominant. The 'sala,' the government official becomes like a clect from the inside but follows the universalistic norms from the outside. The sala are not averse to taking bribes or kickbacks.

3. **Poly Normativism:** According to Riggs, a prismatic society exists with new norms alongside the old traditions. Poly means 'many' and normativism is derived from norms, that is, established behaviour based on norms. Poly normativism was another term coined by Riggs to explain the co-existence of diverse norms in a prismatic society. Such a situation leads to a lack of consensus and confusion in norms. The 'sala' becomes split in his thinking by pretending to follow rational thought and decisions but being traditional from inside.
4. **Power Distribution:** Riggs presented another dimension of overlapping in the power structure of a prismatic society where a highly centralized and concentrated authority structure overlaps a control system that is highly localized and dispersed. Riggs stated that authority or formal power

occurs when power is exercised according to a political 'formula'. Authority is strengthened by electing the representatives and upholding democracy but power can be established without legal sanction, like that of mafia do as or the emperor in Japan in Tokugawa regime.

Obedience will be obtained only if the authority is coupled with the consensus of population though its effectiveness varies with respect to the percentage of consensus received by the authority. Hence, legitimacy is essential for effective administration and control over the population. He called the redistributions power as the decisional or ordering model. Authority and popular sovereignty in diffracted societies is the maximum whereas decreases in extent on the scale towards fused societies or vice versa.

To conclude the dimensions of overlapping, it can be said that the sala's authority overlaps the control structures of the society which are immersed in poly communalism, clects and poly normativism. This leads to the politico-administrative nexus, that is, an unbalanced polity where the sala (the bureaucrats) dominate the politico-administrative system.

OVERLAPPING WITH RESPECT TO INDIA

Even though Riggsian model has faced a lot of criticism by researchers due to its vagueness and non-specificity of its parameters in studying the administrative systems, overlapping can be seen in all its dimensions in India. To consider the dimensions of overlapping nepotism, clects, poly normativism and authority control separation. It is safe to say that they are clearly seen in India.

India has a recruitment system based on merit but nepotism is practiced in ways that are difficult to pin. It may be difficult to help anyone in written entrance exams but the stage of interview is where the selectors awards more points to their favoured candidate and less to the others to make it look above board. To combat this, the government has enforced that all interview sessions must be videographed to maintain transparency. The RTI Act, 2005, also has helped the aggrieved candidates to access information and question any wrong doing. The system is improving but still a long way to go, India is in a prismatic phase.

Secondly CLECTS (sects+clubs) are seen in India in abundance. There are numerous associations and organizations formed by communities like the CII, Rotary Club, Lions Club, The Indian Civil Service Association, etc., who have the tendency to help their own collaboration with the public officials forming a nexus.

Q4 *The prismatic sala model 'enables us to lope with many problems of transitional societies...' (Riggs). What are these problems and how can this model enable us to cope with them?*

Ans. To understand how the prismatic model given by Riggs can enable us to cope up with the problems of transitional societies, it is relevant here to first understand what the model is about. Riggs based his model on the structural-functional analysis (explained earlier). He selected Thailand as an example for a fused society and America as refracted. The intermediary societies between these two poles are called prismatic societies. The prismatic model is popularly known as the sala model.

Riggs used a lot of terms that he had coined himself like:

Prismatic: A prism refracts fused light and the same way a prismatic society includes traditional and industrial characteristics co-existing.

Sala: Sala is a Sanskrit word which was included in Thai language. It means buildings for a special purpose but Riggs used it for a public official in a prismatic society.

Refracted: Riggs used the terms refracted to denote advanced and industrial societies like the UK, the USA and France.

Fused: When in a society one structure performs various functions, it is called a fused society. He took this term from science when white light is fused it performs various functions.

Riggsian Scale of Comparison: Riggs prepared a scale of comparison to explain the Prismatic Model. The scale of comparison in the ecological perspective comprises of five major constituents.

1. Economic
2. Social
3. Symbolic
4. Communicative
5. Political

The scale of comparison is:

1. **Descriptive:** The scale only attempts to give a description of the state a society is in rather than being a normative or predictive about how refraction needs to be achieved.
2. **Neutrality:** There is no society that is better or worse on the scale of comparison because Riggs adopted the ecological approach. Each society was to be studied with a neutral perspective to understand its status.
3. **Value Judgment:** The value judgment about a society does not imply its condemnation but only to suggest better alternative methods.
4. **Not Extensive:** The scale only discovers if a society is fused, prismatic or refracted. It does not take all parameters into consideration.
5. **Flexibility:** Riggs studied societies from the conceptual variable of power which had the implication of being present in a fused autocratic society or a refracted decentralized power.

Main Features of Prismatic Model: Riggs explained three main features present in the prismatic model. They are heterogeneity, formalism and overlapping (explained in Q3). He observed in his findings that the basic systems in the prismatic model differed majorly in its recruitment system.

Diffraction: Advanced and industrial diffracted societies like the USA have an elaborate and established recruitment system based on merit. There is no discrimination based on caste, class, race, etc. The promotional system also follows well-laid down rules and regulations which is opposed to the system in a fused society. It has nepotism and the clefts system prevalent which deals in favouring their friends and family.

Prismatic: The prismatic model considers position classification to combine duties and status with achievement. The prismatic societies have distinct features:

- They base the pay structure on partial work abilities and individual input.
- Rank is very important.

These features are contrary to those in a refracted society where the main objective is to achieve more and get paid based on their mental or physical capacities. Riggs formulated two administrative sub-models in prismatic societies:

1. Sala model
2. Bazar-Canteen or the Economic sub-system.

They are briefly described below:

Sala Model^[5]: The dimensions of feature of overlapping are the basic propositions of the sala model. They are the authority and power; poly communism or the clefts; poly normativism and nepotism.

Riggs explained the sala model by focusing on the 'sala' and his/her relationship with the clefts which leads to a decline in administrative efficiency because the 'sala' tend to indulge in bribery and kickbacks.

There is a lack of institution capacity in prismatic society and coupled with unbalanced polity in the strong nexus with the bureaucrats there is total administrative inefficiency. There is no empathy for public needs hampering development in the transitional societies. The sala and the formal political leaders are in cahoots together to make illegal benefits ignoring public service.

Bazar-canteen Model: Riggs formulated the second sub-model, 'Bazar-Canteen Model' as an economic sub-system of a prismatic society. He stated that in a diffracted society, the general market principle of price determinacy relates to demand and supply. However, in a fused society only a handful of powerful elites reap economic benefits. The price is determined by factors like religion, land ownership, family caste, etc.

Prismatic Society: The minority gets economic benefits due to their amassed power due to forces other than market like religion, society or family. This promotes a parallel economy increasing all the malpractices in the economy. The power group could also be a foreign dominated corporation influencing the government as well as the mark. The prices in the market depend on whom the product is being sold to. The elite gets lower prices for their products while they deal and sell at higher prices.

The economic sub-system according to Riggs, acts like a subsidized canteen for the powerful elite groups. This also leads to a differential wage system which causes people with less usage to join the parallel economy involving illegit means.

APPLICATION OF PRISMATIC MODEL TO TRANSITIONAL SOCIETIES

The prismatic model basically relates to transitional, that is, the developing societies. However, there is no restrictions put on it that it cannot be applied to developed societies because there are no perfect societies. If the USA can be taken as an example, there is a considerable amount of issues that it faces like racism, unemployment, homeless population, etc.

A far as developing societies like India are concerned, the prismatic model can helps to study the sub-systems and developmental issues to embark on effective planning. The following areas can benefit from the Riggsian model.

- **Developmental Planning:** Riggs did not support the development models of the west being applied to the developing societies because they had not been working. There was no progress. Development administration emerged out of comparative studies of public administration as it highlighted the weaknesses of the western models. Riggs had learnt from his father's experience in improving agricultural productivity in China that the western ways did not work. His father developed indigenious methodology keeping in mind Chinese traditions and customs and found success. Riggs tried to do the same and worked with developing countries like Philippines, India and China to develop models to improve administrative structures to deal with the failing western development models.
- **Integration:** Riggs developed 'The Bilinear Prismatic Model' after a few years to rectify some errors in the earlier unidirectional prismatic model. He focused on the ability of the society to integrate different factors of the society to maintain control over the environment. High levels of differentiation and integration would result in higher degree of development and thus move towards diffracted society.
- **Corruption:** Riggs gave lectures at the Indian Institute of Public Administration in New Delhi and discussed his model and the way corruption was spoiling the whole bureaucratic structure and hampering development.
- **Indigenous Information:** According to Riggs, the bureaucrats must encourage decentralized and indigenious data collection to understand and tackle localized problems instead of looking

towards western bureaucratic structures. In India, civil servants have a norm to visit foreign countries to understand their administrative systems. However, it is only a ruse to travel for fun with families and indulging in misuse of public funds.

- **Accountability of 'Clects':** As pointed out by Riggs, clects are formed in transitional societies and they keep getting stronger. This can only be halted by making the bureaucrats more accountable to the citizens to break their groups with selfish interests.

The prismatic model is applicable to transitional developing societies. It explains the problems in India in detail and can act as food for the 'Think-Tanks' in planning and policy-making like *NITI Aayog*.

Q5 Discuss the critique of Riggsian models.

Ans. Models in public administration are important to study administrative structures in different nations and share the following latencies according to P.B. Rathod.

- **Ecology:** They help in analyzing and understanding the social, cultural, political and economic factors that influence comparative studies.
- **Administrative Behaviour:** The concepts arrived at by studying models of public administration characterize the different behaviours in coping with environmental issues form a series which influence the decision-making.
- **System:** The models help us to arrive at a systematic study of administrative functions in relation to political systems.
- **Operational:** The operational aspects of the administrative systems can be comprehended analytically to determine their shortcomings and the ways to resolve them.
- **Discipline:** The models help in building the context of the discipline.

Riggs has been the pioneer of comparative public administration models to apply in cross-cultural analysis. He provided a framework for further undertakings in the field to such an extent that the study of CPA has moved further than have the other sub-fields of comparative political systems.^[6] However, there have been many scholars and researches who were critical of Riggsian Models. Thus, points of criticisms are given below:

- **Doubts Over Categorization:** The nations which had been under colonial rule had an efficient administrative system which worked according to the structural-functional approach while the sub-systems are prismatic. After independence, the administrative system has continued with Indian local features incorporated into it critics say that the status of societies keeps changing which Riggs did not clarify. Thus, Riggsian model is not predictive.
- **Poly Communalism:** Clects or poly communalism can be found in fused or a diffracted society. At present, for example, they can be found in all nation-states in different forms like pressure groups or lobbyists. There is no clarity about categorization again by Riggs.
- **Terminology:** The term 'sala', was used by Riggs to denote a bureaucrat which has different meanings in Spanish or Thai languages. The other terms are also difficult in his models.
- **Negatives of Prismatic Society:** Riggs highlighted the features of a prismatic society only of the negative nature. History has witnessed that these societies like China, Japan, Malaysia, India, etc., have emerged as extremely successful economies despite all the negatives. This implies that the prismatic societies have other qualities which are pushing them towards the diffracted society.
- **Abstractions:** Riggs model was based on abstraction with undefined variables. A model needs to be able for replication but in this case, the researchers were unable to convert the abstractions into realistic indicators.

- **Less Empirical, More Assumptions:** Riggs stated his assumptions and observations about the societies without any empirical evidence. Researches face many problems while conducting a comparative study based on Riggsian models.
- **Not a Wholesome View:** Riggs mentions that there are many factors like socio-cultural, political, historical, ideological, philosophies, geographical size and the type of a political system which affect administrative behaviour. Yet, he goes to elucidate mostly on sala behaviour which is full of corrupt practices in cahoots with the clefts. He fails to include rest of the variables to present a wholesome view.

Despite of the flaws in Riggsian models of determining whether a society is in a prismatic diffracted or a fused state and no workable solutions for the shortcoming he was an inspiration to work more in this area.

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UNIT

VIII

DEVELOPMENT DYNAMICS

- Chapter 38** Concept of Development Administration
- Chapter 39** Changing Profile of Development Administration:
'Anti-Development Thesis'
- Chapter 40** Bureaucracy and Development
- Chapter 41** Strong State Versus Market Debate
- Chapter 42** Impact of Liberalization on Administration in Developing
Countries
- Chapter 43** Women and Development: The Self Help Movement

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38

Concept of Development Administration

Learning Objectives

In this chapter, you will learn about:

- Background of Development Administration
- Evolution of Development Administration
- Definition of Development Administration

After the World War II, numerous countries became independent and majority of them become democracies. Freedom from the colonial powers has different connections for different countries. In the 1950, it was realized that public administration was not capable of dealing with the emerging problems of the developing world. As the nations were trying to get-on their feet, they started adapting western models which miserably failed. Administrative thinkers realized that in the name of the western aid, the west was only fulfilling its own exploitative, financial objectives. The non-western countries got caught-up in the temptation of copying although they did not have choice. Against this backdrop, development administration began its journey and became a branch of public administration.

Q1 *'Development administration is characterized by its purpose, its loyalties and its attitudes.' Elaborate.*

OR

The immediate contribution of development administration is its exposure of the administrative obstacles to the planning and implementation of development.
Comment.

OR

Discuss the background in which development administration gained relevance.

Ans. The purpose, loyalties and the attitudes of development administration lies in its exposure of the administrative obstacles to the planning and implementation of development. The subject of development administration was born out of the need to formulate projects and plans of development that would be appropriate for the country that it is being formulated for. It is relevant here to understand the backdrop

against which the concept of development administration emerged. After gaining freedom in the past World War II and the post-colonial period, there was a sudden spurt in these developing countries by the west. To understand this background, it is important to study some important events that happened and how the scholars of public administration reacted to the situation. They are divided into four phases.

Phase I

The Truman Doctrine 1947: The President of the USA, Harry S. Truman passed the Truman Doctrine which stated that the USA would provide political, military and economic assistance to all democratic nations under threat from external or internal forces. The reality was that the world had entered into a Cold War and the USA and its allies wanted to support such nations to resist Soviet control.

The Marshall Plan, 1948: The USA Senate passed the foreign assistance act to promote world peace and the general welfare, national interest and foreign policy of the USA through economic financial and other measures necessary to the maintenance of conditions abroad.^[1]

1950s: 1950s was the decade in which development administration emerged. An Indian scholar and a civil servant, U.L. Goswami, coined the term development administration while at the same time Georg F. Gant wrote: 'Development administration is characterized by its purposes, its loyalties and its attitudes'. His book, '*Development Administration Concepts, Goals and Methods*' was however published in 1979.

IRBD: The International Bank for Reconstruction and Development (IBRD) was established in the 1950s to develop an international monetary system.

The Phase II, III and IV of the history of development administrations have been:

Phase II

Political modernization happened along with institution building and administrative reform (including reorganization, reinventing the government and debureaucracy).

Phase III

In Phase III, the concept of project planning grew along with privatization and public enterprise.

Phase IV

Development management led to quality management, civil society (responsible individuals and NGOs), deregulation and administrative achievements in developing countries.^[2]

Based on the above phases of events it can be simply put that development administration is administration for development purpose. A comparative administration group was found with Fred W. Riggs as its leader and a collection of articles were compiled in a book titled, '*Frontiers of Development Administration*'. Given below are some of the definitions of development administration to explain its concept:

F. W. Riggs: He described development administration as organized efforts to carry out programmes or projects thought by those involved to serve developmental objectives.^[3] There are other analogies that have been derived as agricultural administration, educational administration and social welfare programs to implement projects related to the specific fields. The word 'development' is elusive because it is usually linked with increased production of capital and consumer goods. This increase is spiked in the beginning

in the developing countries but it goes down once the western rich countries reach a saturation point and do not need goods from the developing countries at the same rate. This is the major reason why the poor countries have not been able to develop. The thrust should be to increase the ability of human societies to shape their social, physical, human and cultural environments themselves. All governments cannot have one development model as it has to be country specific.

A project cannot succeed if it does not have socio-cultural as well as infrastructural support combined with the political will.

Saul M. Katz: Katz used the Systems Approach^[4] to development action to understand its usage and its potentialities. The approach must be absolutely simple so that there is an operational analytical framework compatible with reality. He defined development administration as a major societal change from one state of national being to another, valued state. It involves a complex of mutually related economic social and political changes. Economic changes sometimes more readily for quantification but they are only one aspect of a total proven approach. Changes as the result of both previous history and current experience of the country and in turn provide the base for future changes.

Katz went on to define development planning as the proven approach involving the rational direction and acceleration of this societal change toward the specified objectives.

It includes two major steps:

- The formulation of a set of decisions.
- The efforts to implement them.

Joseph LaPalombara: He discussed development with respect to administrative capabilities in a specific country instead of defining it which are hampered by stereotypical imagery and assumptions. These assumptions refer to the export of idealized version of western administrative organization and behaviour. It must be understood that the developing societies also vary from one country to another.

T. N. Chaturvedi: He considered development administration as a concept, a part in the developing countries of the broader discipline of public administration. Development may be considered as planned mobilization and direction of scarce resources to achieve constantly rising national goals and objectives formulated by political machinery. It is an aspect of change that is durable, broadly predicted or planned and administered or at least development administration highlighted the obstacles in the traditional public administration like red tapism, corruption and power concentration with the union governments. An urgent need for decentralization was felt to dissipate the mega issue of centralized power. In India, *Panchayati Raj* institutions were empowered through the 73rd and 74th constitutional amendments.

Civil society organizations were given more importance since 1980s to implement decisions through the approach of right sensitization. Citizen centric administration gained importance and tools like RTI Act 2005 and citizens charter have given a new push to development administration influenced by government action.^[5]

Edward W. Weidner: Development is never complete, it is relative, more or less of it being possible. Development is a state of mind, a tendency, a direction. Rather than a fixed goal, it is a rate of change in a particular direction.^[6] Weidner implied a progression in the attitudes and purpose in the government as well as the citizens towards directed goal achievement.

To sum up, development administration is the will to develop, the mobilization of existing and new resources and the cultivation of appropriate skills to achieve the development goals. It understands the obstacles being faced by the administration to implement projects based on broader policies and makes efforts to remove them to increase efficiency and achieve goals.

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39

Changing Profile of Development Administration: 'Anti-Development Thesis'

Learning Objectives

In this chapter, you will learn about:

- Anti-Development Thesis
- Main Aspects of Anti-Development Thesis
- Three Main Ideals of 'One World' Under Anti-Development Thesis

The 1970s saw an upturn in the profile of development administration which led to the scholars rejecting the development models formulated by the western thinkers for developing countries. Asian, African and Latin American countries have varying socio-cultural, economic and political dynamics with each other as well as with the western countries. Imitation miserably failed in the developing countries with respect to the western models. This gave rise to the Anti-Development Thesis (ADT).

Q1 ***Anti-Development Thesis or concept is not against the concept of development but it opposes on the application of western development ideas and theories on the development programmes and projects of the third world countries. Discuss***

Ans. Development administration flourished from 1940 to 1980 which was named as the 'Age of Development'. The Marshall plan termed the new and poor nation states as the 'under-developed' countries which had to be developed with the western aid in forms of money, technology, strategy and planning. The western understanding of development was restricted to being modernization as in the western nations.

The developing nations were as poor, miserable and in debt as they were before and may be worse even after decades of western aid. The Anti-Developmental Theories (ADTs) opposed the very concept of development which had been always thought to be in term of economic growth. They revised the concept of development to include human values, quality of life, satisfaction of essential needs and distribution of services. The ADTs emerged out of the weaknesses of dependency theory which had highlighted the problems of western concept of development without suggesting any alternatives. One can state the theory but what good can it do if there are no solutions to them. The ADTs studied about all possible aspects, in the 1980s, of the concept of development, the causes of failure and the solutions to them. They focused and valued the human lives and their quality of lives after they saw the failure of development. They had the support of the United Nations when it published its report in 1990 on Human Development.

Given below are the various aspects the new ADTs had with respect to development. Wolfgang Sachs edited a book titled, *'The Development Dictionary'* which consists of these aspects in detail. The aspects that the ADTs focused on are:

1. **Redevelopment:** After 1980s, which is termed as the 'Lost Decade for Development'. The developing nations dumped the western models of development ushering in an age of post-development. The western countries needed a redevelopment plan to bring back the speed of post-world war development and the southern countries had the need to redevelop to deal with the aftermath of the western development like the atomic waste, pollution waste of industries and such. The concept of redevelopment as opposed to the concept of development has transformed into the concept of sustainable development over the years which advocates for human rights and values. It has developed a human development index to rank countries on how they fare in providing for an overall human development. A new clan emerged in the wake of this chaos and swelled up into an urbanized population struggling to survive which came to be termed as the 'New Commons'. Their struggle is in every possible aspect of life for survival.
2. **Environment:** The report of the World Commission on Environment and Development^[1] (Burnett and report) after having evoked the image of planet floating in space, concludes the opening paragraph by stating. 'This new reality, from which there is no escape, must be recognized and managed'.

In the name of development, the western countries have been doling out aid to them to speed up the process of industrialization and modernization which has led to a burst in the levels of pollution in every manufacturing industry. They are at a crossroads to choose between the dangerous levels of pollution and the extent of economic growth they need to reach to be able to become an emerging market economy.

3. **Equality:** The post-war economic development in the world has two implications. The development it promises and the reality of it are two different things. This gap needs to be reduced to bring a sense of equality and justice. If there is a reduction in this gap by steady acceleration of economic development. However, this inequality is being produced by the globalized market economy which is capitalist in nature. This leads to the conclusion that development itself causes inequality because it is the law of nature that some countries will definitely lag behind. The problem of the problem of inequality lies not in poverty but in excess. The problem of the world's poor, defined more accurately, turns out to be 'the problem of the world's rich'.^[2]

The alternative of this problem is not just to help the country to become self-sufficient and put it on the path of development but to bring out a change in the culture of superfluity in order to place it on the path of counter-development.

4. **Western Aid:** The Anti-Development Theory marked the end of the period of development assistance all the aid that came from the west came with restrictions and conditions. Help or aid becomes a threat to the receiving country. Aid fulfils self-interest of the developed nations naming it constructive and developmental aid which is based on the historical concept of giving and taking help.

The non-governmental organizations and self-help groups have made a further chaos and managed to only funds themselves whether they are religious organizations or social welfare ones recently these have been a crackdown on fraudulent practices that have maligned the very concept of help.

5. **Market:** Market has been considered as a regulator of a society since the 1980s. With the growing international trade, all the countries have become dependent of market trends. The market impacts the behaviour and attitudes of people economically and their socially. The international agencies regulate the global market formulating various guidelines development through the market is a selective process which promotes economic growth. History saw the world for almost five decades

split into either the capitalist bloc or the socialist block but after the fall of the USSR it was only the capitalist market that survived throughout the world development for greed to acquire more goods and services brought the world to a greater divide between the rich and the poor.

The alternative solution to this problem is to create a universal middle class culture that revolves around the human life. However, it is more difficult to accomplish much in traditional societies. Since 1980s, development was promoted through the market by the state and international organization corporate social responsibility was made mandatory to spend a fixed percentage towards social work.

6. **Needs:** Changing climate, genetic depletion, pollution the breakdown of various immunities, rising sea levels and millions of fugitives have been a result of the rapid growth of development. Needs have been increasing in a mad race with the rate of development. Development is like a temptation that keep on growing in their number, making it all a vicious circle. The needs have become basic requirements with passing time.
7. **Homogeneity:** With the establishment of the United Nations and its formulation of the UN charter, the focus was laid on the economic and social freedom of countries in peace. The age of development also saw dying languages and cultures besides the extinction of species in the ecosystem. This was based in the UN's vision of having one global market to promote economic development and ultimately attain peace. However, there has been an inequality in economic relations due to the weak bargaining power of the developing countries. Homogeneity has reduced the number of languages spoken and cultures have been wiped out to the minimum due is the nations of development. The image of 'One World' or 'One Planet' or and in India, 'Vishwakutumbhakam' have only resulted in more unrest and civil was shattering economies.

The ADT scholars advocated 'One World' that is coherent by upholding three main ideals:

- Regeneration
- Unilateral self-restraint
- Dialogue of civilization

Regeneration implies acceptance of the fact that the western models have failed and a new path for development must be followed by realizing that there is a good society in every culture. Instead of concentrating on interdependent economies each country must primarily focus on its own systems to make a better whole unilaterally. This would restrict passing over the economic burdens to other weak nations. Instead of striving for homogeneity in a utopian fashion it is important that a dialogue continues to reach peaceful accords between nations term in religions and economic battles. Localism would be assumed to achieve a peaceful homogeneity.

1. **Participation:** Participation can be a moral one with genuine interests to involve the marginalized sectors of the society and all citizens in their development but it has become manipulative and ridden with serving self-interests of the powerful. It is believed that participation provides modern societies and depends on the state of economic development a society is in. Participation opposes the 'top down' approach and suggests in the process of development who are ultimately going to be affected. Majid Rahnema^[3] has identified six reasons for the acceptance of the concept of participation in development.
 - (i) **The Concept is no Longer Perceived as a Threat:** The governments and institutions have accepted participation to achieve developmental assistance in fulfilling their needs of armed forces, weapons, infrastructure etc. Socio-cultural needs fall in the last category on the priority list of needs. The benefits accrued out for assistance, helps the powerful and the rest of the population to live in the hope that they will benefit from it someday. Participation is a necessity for the governments to get aid.

- (ii) **Popular Political Slogan:** Participation is a popular attractive slogan used by governments to gain political advantage by duping the citizens who want to end wars.
- (iii) **An Economic Proposition:** The poor countries, pose development as a reason to get economic assistance but ignore the environmental cost. Financial investment and environmental cost are not in balance but must be taken into consideration.
- (iv) **Effectiveness and Investment:** Participations is perceived as a tool to achieve effectiveness and a source of investment
- (v) **Good Fund-Revising Device:** Since the western donor countries give funds to development-oriented NGOs who support participatory processes and approach.
- (vi) **Private Sector Participation:** Private sector has become a part of the development process owing to participation.

However, participation leading is development, as it is in the present has led to the fall of socio-cultural norms but the traditional societies are not participant. Development institutions and agencies prefer participation as a tool to implement their projects and plans.

2. **State, Planning and Socialism:** Development needs require the state and its planning methods to keep social welfare as the for most duties. However, with all these factors in mind culture took a setback as it had to readjust itself to the new developments but the third world countries could not do that successfully. The culture has stood its ground in these countries.

Secondly, planning is integral to bring about an engineered and directed social change. Central planning after the World Wars could not result in the much-needed development due to its historical baggage how much ever it became scientific and rational towards social action and change.

Socialism, on the other hand, prefers to achieve socialist development as it appeared to be a better recourse than capitalist measures. India also tried to adopt socialist measures following Russia. Countries like Ghana, Tanzania, Trinidad and Tobago followed. To rid themselves of the lingering imperialism and power of the UK and the USA these Third World countries turned towards socialism.^[4]

To conclude about the role of state, planning and socialism, one can say that the term of socialist development must be done away with since even that did not work out. The world needs to encourage diverse social projects and a rich multiplicity of cultural development by its peoples. Planning needs to be strengthened by innovative political practice and social movements that would bring about development from within.

The ADTs promoted to have development by strengthening capacity and institutional framework of the developer nations without bring 'anti-development'. The best ways to approach development is to develop alternate way to manage resources, determine the local needs, promote indigenous industry, planning at a micro level and follow the SDG 2030 Agenda. The civil society organizations have a major role to play in achieving development on the ground but with proper legitimized monitoring of their use of funds and their performance outcomes.

The ADT or as some also call it the 'Counter-Development Thesis' propose development through communities via grass root organizations who can put the case for the marginalized sector regarding all aspects of their living to the state while also making the communities economically and socially sustainable. Some Indian examples are the *Chipko* Movement and Anna Hazare Movement.

The ADTs could not hold much ground even though it had good perceptions and intentions. The truth is that social or economic development cannot take place without the involvement of the state. As far as India's case is concerned community development has failed because the villages in India are divided into castes, religion and community. Secondly, participation of the local people has never been achieved without political intervention. The poor are always struggling to survive and find no will to understand and bring a social change.

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Bureaucracy and Development

Learning Objectives

In this chapter, you will learn about:

- Woodrow Wilson's View on Bureaucracy
- Two-Way Relationship Between Bureaucracy and Development
- Factors Affecting Development Administration: Political, Economic and Organizational

Bureaucracy is directly linked to development, being the extended arm of the government, in a representative democracy. Developmental tasks cannot be undertaken without the bureaucracy there to implement them. The Legislature is the law-making body whereas the government is the policy-making body with a far vision to promote socio-economic growth in the country. According to scholars in public administration, bureaucracy is the strongest class of officials and can become overpowerful and dominating bearing an arrogance that keeps growing but as a class, bureaucracy is extremely important too.

Q1 ***Does the level and nature of political development in a country have any relation to the bureaucracy? Can it be supported by Wilson's view's? What is the resultant status of political development and the bureaucracy in the development of the country? Discuss.***

Ans. There is a lot of debate over what development means which is why there has been a difficulty in defining it. Development has been considered as a concept that includes all aspects of life, social, cultural, political and economic. The world after the end of imperialism and the World Wars, went through a rapid change in political and administrative systems. There was a disorderly growth and development that called for a systematic overhaul which led to cumulating the western models of bureaucracy and political systems.

Bureaucracy and political development is an important synergic relationship which works together to have effective development. An imbalanced relationship leads to a slower growth in all areas. This implies that all the western models that emerged in developed representative societies could not be applied to the ever-increasing new nations because their political system was too new and were struggling with the post-war disrupted population. On the other hand, the nations which were under the rule of developed nations had continued with their ruler's administrative systems but the nations like, Thailand which had floated with its own kingship had a very weak corrupted bureaucracy. Vietnam's bureaucracy had become so dominant that it achieved a monopoly over crucial information, increasing its quantum of power.

Development and Political System: There is less research done on the political systems and the resultant development than studies done on social and economic development. The political development in a society, its strength and stability, affect the bureaucratic system. It is a fact that all development takes place through the bureaucracy. Unless the society is politically stable and mature, the bureaucracy and development cannot be effective. The bureaucracy would otherwise become corrupt and inefficient in an unstable political environment.

Bureaucracy and Development: For effective development the most important bureaucrat would be that of the village or the officers working at the lowest hierarchical level. Decentralization comes into play based on the understanding of the local needs.

The field officer/staff is the best individual to actually implement any developmental project. The common masses struggling to arrange a square meal a day are not concerned with who is at the political realm or which political party is in power. They only want their basic needs to be fulfilled. The top bureaucracy may be the most intelligent, well-informed rational decision-makers but the officers dealing directly must be sensitive to the people's needs. The arrogant behaviour can alienate the masses instead of expecting their participation.

Hence, for the bureaucracy to be successful, its field administrators is the most relevant point to start with for effective development.

Wilson and Bureaucracy: Woodrow Wilson talked a lot about public administration in his famous essay, '*The Study of Administration*' in the late nineteenth century. All subsequent research, thought and theory was inspired by Wilson's essay in public administration for a long time.

In his essay he stated, that the administrative systems of other countries must be studied to choose the best techniques and methods to be employed in the USA. He was altogether particular to uphold political democracy in the emerging nations as he was for the USA. He accepted that administration must be easily accessible for the political leaders for good decision-making.

However, Ferrel Heady proposed that a policy of free trade administrative technology would not be adequate as a way of meeting our obligations to the new nations. What is needed is a policy of subsidized export to willing importer recipients.^[1]

Considering the level of political development and the bureaucracy, a nation state's extent of developmental work takes place in a country.

Q2 Bureaucracy has a two-way relationship with development. Comment.

Ans. It was Fred Warren Riggs who clarified the debate of the two-way relationship between bureaucracy and development. Bureaucracy has two main aspects of its relationship with development, which are:

1. **Technical Expert Advice:** The bureaucracy has a vast pool of technical expert information, knowledge and personnel to help the political leadership in the government in formulating policies. This has been the norm since ancient times and continues to do so. In India, *NITI Aayog*, the main planning body, has the top bureaucrats and experts as its members among others, who give advice to the government in policy-making.
2. **Implementation:** The second connection of the bureaucracy with development is in the field of implementation. It is the bureaucracy at all hierarchical levels which gets down to the business of executing the projects and activities rising out of the policies on ground. They understand the local needs of the people, applying the principle of decentralization and indulge in evoking public participation so that they can find ways to put the projects into motion.

Riggs gave the example of an absolute monarch in a traditional society to understand election procedures manual. He would be at total loss to what to make of it. The bureaucratic structures today have evolved a full 360° from the ones in the ancient times. The bureaucratic system also goes through the stages of development as proposed by Rostow but with respect to political and social system.

He admitted that 'there are some widespread characteristics of governments and social systems in the Third World which seriously restrict the relevance to their problems of the administrative principles that have been quite useful in the west'.^[2]

Administrative Development: In simple terms, administrative development, an integral and associated concept of development administration forms new public institutions. Riggs put the concept of administrative development into perspective. It encompasses acts of forming new institutions, especially government agencies. In many parts of the world where this term was widely used, administrative development was about reengineering or simply establishing institutions that served colonial administrations to meet new objectives and goals in emerging countries.^[3]

There are a few ways that administrative development can help in improving the chances and the speed of development. They are:

1. **Rational System:** A rational system of management of the bureaucracy promotes rapid development. Rational bureaucracies have performed better in having speedier development.
2. **Responsible:** Responsible bureaucracies can become an effective agent for the implementation of public policies to enhance development.
3. **Outreach:** Expanding bureaucratic outreach and sectorial and structural differentiation was a key element in administrative development.

However, bureaucratic or administrative reforms in various countries happened only as a consequence of political changes. Hence, the two-way relationship of bureaucracy is established. Administrative development and development are strongly interlinked. Development administration provided a central objective of achieving goals in the most pragmatic way by making administration of bureaucracy in the most developmental way. Decentralization is the key to development.

Indian Bureaucracy and Development: There has been a wide gap between the Indian bureaucracy and development defying the two-way relationship. There are many weaknesses in the Indian administration like red tapism, corruption, self-interest and nepotism. The gap was tried to reduce by Administrative Reforms Commission I and II. However, the Indian bureaucracy is still ridden with the Weberian model which is quite inflexible and supports a rigid hierarchical structure which does not result in development. It does not localize and has an arrogant attitude with no effect to change. Development administration has failed to energize bureaucracy.

Q3 Discuss the factors that affect development administration.

Ans. The context of administrative development includes many factors to deal with integration, goal attainment, adaptation and pattern maintenance but here only three aspects—political, economic and organizational, will be discussed. They are:

1. **The Political Context:** Generally, administrative action concerns only administrative actions and no political action can be involved in it. However, in realistic terms, this has not been possible ever since the ancient times till today. They are a part of policy-formulation and then its implementation. However, the bureaucracy tends to misuse its power working for their own interests. All the commissions formed for administrative reforms recommend that the bureaucracy cannot be a part of the political action at all. Riggs proposed that bureaucrats must be a part of the political decisions and

that 'A significant (but not overwhelming) degree of bureaucratic power in functionally requisite for the organization of a developed system of government'.^[4] This must be done with limits and conditions. The political administrative problems arise due to the imbalance in their powers. It all depends on whether the government is weak or the bureaucracy. The spoils system in the strong nation-states, weakens the administration.

On the other hand, if bureaucracy tends to exercise more power than the constitutive system, it creates an imbalance. In societies where military is more important, bureaucracy becomes weak.

To conclude, administrative doctrines and models cannot be universal for all countries but have to be country specific depending on their particular local needs and environment. Development can take place in the developing countries only if there is balance between bureaucracy and the political institutions.

2. **The Economic Context:** The bureaucracy is generally dissatisfied with the salaries they receive. The governments in developing countries are pressed for funds and also unable to increase the pay scale. The developing nations have to keep up their economic structure by increasing production to be sufficient for all expenses. Lack of high salary structure leads to corruption, nepotism and red tapism. The bureaucracy keeps getting larger by the day due to growing affairs and the functions of the government. In the developing society, due to the lack of economic well-beings, there are no surplus funds to hike the salary structure of the bureaucrats.

Hence, the nature of bureaucrats is determined by the affluence of the policy. The nature of bureaucracy thus, determined in a developing nation determines and influence the type of developmental work they do. Riggs stated that a system of salaried officials can work in an economically advanced country to produce development work but contrary to this, in an economically weak country, the bureaucracy tends to only drain the country resources. The bureaucrats become greedier for more and have no interest to do developmental work. This results in a downfall of political and economical stability because people's dissatisfaction leads to violence, chaos and destruction turning into rebellions.

3. **The Organizational Context:** The number of organizational theory research has been concentrated on developed nations and the developing countries did not get the required attention. The social organization and development are inherently related because all developmental work is carried out through organizations. Developed countries have well-established formal organizations which initiate the development work and the social organizations receive it and participate in it.

The developing countries do not have organizational framework to support developmental work. If a social system is not so developed, it fails to set up formal organizations. However, this is true only upto the take-off stage of a society.

To specify what is meant by organization, a term which no doubt has a variety of meanings, let us use it only for social systems that have a definite membership and can formulate and enforce new rules to govern their own conduct and that of their members.^[5] To link organizations and development in advanced and developed societies is logical but if society has been unable to formulate organizations, there is no meaning in finding a connection between the two.

Administrative doctrines are relevant even if a society has reached a stage of having quasi-organizations.

Developing societies are mostly traditional and have their own set of established norms and customs based on which all action takes place. Chinese bureaucracy has been one of the oldest bureaucracies and they brought changes in their traditional norms and culture by appointing the defected kings of weak nations in war. This led to the emergence of royal bureaucracies. There came a rapid growth of organizations in the imperial age when Europe—the UK, Spain, France, were strong kingdoms, because the European administration model was adopted in their colonies. Only after the Second World War when new nation-states were emerging, they developed at a rapid rate of

growth like Asia, Africa and Latin America. However, they emulated the western models and were totally ineffective. The bureaucracy was under the strong political system or some strong group of rich people. This led to increase the economic and social divide between them and the people.

From the above discussion, it can be concluded that organizations can enhance development by mobilizing the knowledge, skills, and energies of members for coordinated action designed to enhance a society's control over its environment. Thus, organization seems to be both a consequence of development and cause for further development.^[6] External aid in forming organizations in developing societies will only promote counter-development.

Hence, it can be concluded from the above discussion that the political, economic and social organizations affect development. More research needs to be done in this area to build a theoretical base so that these factors can be controlled and are able to improve development administration in the developing world.

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Strong State Versus Market Debate

Learning Objectives

In this chapter, you will learn about:

- Historical Background of the Strong State versus the Market State Debate
- The Debate
- The Third Option
- The State Intervention

The strong state versus market state debate has been a long historical one with both the sides trying to put out theories to present a better perspective in favour of either the market state or the strong state. The end result that is desired by all is development so that there can be more growth in all areas, thereby, attaining inclusive development. The issue of the extent of state intervention in the market is open for debate. The challenge is to achieve the correct mix and balance between the both in the economic, social, political and cultural context of the specific country.

Q1 *Give a historical account of how the debate of market state versus strong state reached to its present status.*

Ans. The economists have been state debating over the primary driver of the economy to be the market or the state. The economists before the Great Depression in 1929 had focussed on the supremacy of the market. There was a shift in the economic theories after the Great Depression, doubting the role of the market. The present status suggests the right balance, an equilibrium between the market and the state. There is a Swedish proverb that says, when a blind man carries a lame, both go forward. The first observation is that despite the imperfections of both, the combination serves a purpose. The second observation is that the combination must be quite specific, in the sense that a lame man carrying a blind man would be terribly inadequate in attaining the aim of moving forward.

It is important to first understand and define both, the market state and the strong state.

Strong State: A strong state is an economy that is run by the state, an individual or a group, by forcing individuals to carry out trade in property and labour with each other as the state deems it fit.

The major features of a state-run economy are:

- The state economies depend on the market for the production and consumption.
- The state is majorly responsible for social welfare activities and environment.

- The state's objective is to achieve equality in the society and peaceful co-existence.
- More capable of absorbing and protecting from economic upheavals.
- Social welfare activities require high taxation to fund them which results in a reduction in the efficiency of labour markets and private sector business.

Market State: A market state is an economy that is based on the division of labour. The price determination of the goods and services depends on their supply and demand. The major features of a market are:

- The social structure is formed of individual ownership of labour and property.
- Voluntary trade of property and labour by individuals for betterment.
- Flexible system and encourages competitiveness resulting in high rates of growth.
- Market forces will create an environment that will lead to social betterment.
- Divide between the rich and poor is very wide.
- State intervention becomes essential to address issues of social welfare and protection of environment.

HISTORICAL BACKGROUND OF THE STRONG STATE VERSUS THE MARKET STATE DEBATE

It is important to learn about the background of the strong state versus the market state debate to understand how it reached its present state. Given below is a historical account:

The Classical Economists: Adam Smith and David Hume proposed that the market state of private property, contract and consent could simultaneously achieve individual autonomy, peaceful domestic international cooperation and economic prosperity.^[1] Personal interests would generate a pattern outcome to facilitate the poor and social benefits would be accrued. It would not generate public benefits however and when the poor do not have private property, overconsumption of natural resources by the self-interested capitalists would lead to environmental degradation.

Invisible Hand Theory: The economists believed that eventually the self-interest of the individuals, given the right conditions, would lead to benevolence by an invisible hand. Monopoly, that would be achieved by a small number of business people, was understood to be an issue for government powers to meddle in the market.

Karl Marx: Opposed to Adam's theory, Marx stated that an unregulated market economy would only lead to concentration of wealth in the hands of few. Bigger enterprises would take over the smaller ones by controlling the market prices.

Overproduction: The bigger firms would tend to indulge in overproduction and lead to a glut of goods. This would lead to an economic crisis which could become a periodical cyclic feature.

Hence, a market economy would only lead to waste of products, conflicts of interests and economic misery with a surplus of labour at hand due to overproduction^[2], the wage levels will go below subsistence levels. So, a market economy would only lead to poverty and fall of social benefits. The rich would definitely get richer and monopolize the means of production.

Socialism: Karl Marx and his contemporaries, favoured socialism as it claimed to produce for use and not for exchange. The resource allocation would be 'rationalized' in a planned manner. There were opposing views of Large and F.A. Hayek regarding socialism.

Circular Flow of Income: The concept of circular flow of income is a neo-classical economic model depicting how money flows through the economy. In its simplest version, the economy is modelled as consisting

only of households and firms. Money flows to workers in the form of wages and money flows back to firms in exchange for products. The simplistic model suggests the old economic adage that supply creates its own demand.^[3]

Philips Curve: Various other economic models after this like the Investment-Saving schedule, Liquidity-Money schedule, Philips curve, etc., were presented by economists. Philips curve was based on empirical generalizations. It is a historical universe relationship between the rate of unemployment and the rate of inflation in an economy. The lower the unemployment in an economy, the higher the rate of increase in nominal wages in the short run. However, there is no relationship between inflation and unemployment in the long run.^[4]

Milton Friedman: He opposed the Philips curve and stated that the traditional economics would only lead to stagflation which is a mix of high inflation and minimal growth. He believed that adjusting the monetary policy cannot avert economic crises. A steady expansion of money supply is the only solution. His liberal views were widely accepted in the 1960's.

1970s: All models of economics central planning, socialism and state failed.

1990s: Margaret Thatcher and Ronald Reagan adopted Milton Friedman's economic models to reduce state intervention in the wake of neo-liberalism. There began a new era of liberalization, privatization and globalization all over the globe. It got a name, 'The Neo-liberal Model of Growth'. It proposed deregulation, small government and minimal state intervention to foster economic growth.

2007–2008: The background of the 2008 financial crisis is important to understand what failed and what went wrong though it is difficult to point out. Apple had come out with its first iPhone, Amazon released a device called 'Kindle', 'Airbnb' began its novel business, Intel introduced 'Non-Silicon' materials and Google bought 'YouTube' and came up with the android technology. 2007 is known as the 'beginning of the clean power revolution' and the 'second machine age', the first being the industrial revolution of the 1920s.

The market became an agent for the acceleration of globalization due to the new digitized world.

The 2008 Crisis: The financial crisis of 2008 made most of the whole world bankrupt and showed that markets left on their own could not cope with the financial upheavals. India, however, remained untouched to some extent due to decoupling. There were huge losses due to non-regulation of the market and finally, only state intervention brought the world economy back on track. The crisis forced the governments to think on the following major issues:

- The extent of state intervention to kick-start industrialization.
- Technological upgradation to enhance services.
- State ownership and regulation of the banking sector.
- Effectiveness of public sector undertakings.
- The degree of economy's regulation.
- Promotion of indigenous industry (small and medium scale business enterprises).
- Infrastructural development to sustainable development.

Q2 *Discuss the market versus state debate. 'The market has become the new icon of developmentalism'. Comment.*

Ans. The market has been the icon of developmentalism since the last 200 years with various perspectives. The only thing that was a differential factor was the extent of state intervention. The market has always been a playing field to spur industrialization and economic growth to improve the standards of life. After

continuous efforts by the state, there was still issues of poverty, disparity in economic growth, demand for civil society organizations to be involved in efficient system of delivery of public services. Development is a direct resultant of how the market behaves and reacts to state policies. Businesses want to grow and as they do so, the environment in the society changes because it raises the rate of employment and wages.

THE THIRD OPTION

The market versus state debate can be concluded by going in for a third option of a balance between the two to reach optimality in the economy. The 1990s crisis in the Indian economy brought India to the brink of bankruptcy and had to make structural adjustments in its fiscal and monetary policies to gain help of International Monetary Fund (IMF) to survive. Deregulation and liberalization of the economy in 1992 brought a new phase of life in India and is now the fastest emerging economy in the world.

There cannot be a single model that fits all economies. The line between the private and public sector is fast diminishing as the scenario of overlapping of agendas is increasing through private partnerships outsourcing and Civil Society Organizations (CSO). Corporate Social Responsibility (CSR) has led to a mandatory involvement of the corporate sector to involve itself in social welfare and environment protection programmes. The government, the civil society and the corporate sector are working in harmony blurring the distinction between the market-run economy and the state-run economy.

The international organizations the UN, the Transparency International, the World Bank, the Organization for Economic Cooperation and Development (OECD) and Asian Development Bank (ADB) are actively working to lay down guidelines of best practices in running businesses, upholding ethical standards and avoiding corruption, maintaining a standard of happiness and well-being, etc.

New Institutional Approach: There emerged a new 'Institutional Approach' which begins to reconcile the two sides of market and state by proposing ways in which the government can become involved in market activity without adversely affecting the economic system.^[5] The whole debate can be wrapped up by amalgamating both to reach a consensus that both the sides desire the same. The private sector can have its profit-maximization by involving itself in government infrastructure development project and public service delivery. This would lead to a positive growth via state's complementary role to the market.

India has launched various programmes like Make in India and deregulated many sectors where foreign direct investment is helping Indian economy to grow. A simple scheme of building public toilets in India can be seen as a scenario which has provided employment to many and increased the levels of production by the requirement of construction materials and sanitary fittings for the toilets. This proves the point for the third option of market and the state working together for development.

World Economic Forum: With the end of any particular theory working for global economy, the World Economic met in 2018 with a theme, 'Creating a shared future in a fractured world'. It was observed that the Sustainable Development Goals (SDGs) Agenda 2030 will require 4.5 trillion dollars per year to be realized or more than twice the amount expected to be available from traditional Official Development Assistance (ODA) alone.^[6]

It focused more on development finance to achieve goal-oriented development rather than western aid for the developing countries. The organization 'The Blended Finance Taskforce' released its report, 'Better Finance, Better World' which promoted to build a framework to develop a 'blended finance mechanism' to fund international development by pooling in private sector capital.^[7]

The OECD countries are also working to exchange information between international regulatory tax body. The OECD formulated a guide on implementing blending finance *in lieu* of the dominating financial private sector elite.

THE STATE INTERVENTION

The private sector funds, definitely works in favours of development but there is the risk of increasing the divide in resource distribution. The state intervention in channelling private sector funds instead of the parallel structures, doing that has worked better in achieving development outcomes. However, statistics show that only 25 per cent of funds had flowed through governments, thereby, protecting the financial interests of the corporate sector. There is concern over the development finance being in contradiction to public health commitments due to competition in the healthcare area.

Multi-stakeholder Engagement: In the recent decades, the multi-stakeholder engagement has been endorsed by the World Economic Forum (WEF) and the UN Industrial Development Organization. It is a concept that considers the views and impacts on society at large (stakeholders and shareholders) of management decisions.^[8] The WEF's multi-stakeholder approach considers the impact of private enterprises on economies, however, the responsibility is fixed on the private businesses to plan in such a way that all stakeholders gain from them in developing countries.

To conclude the whole debate of market versus state, it can only be said that all nations and agencies related to the cause of economic growth and development need to work in tandem by finding an equilibrium. However, things are not so hopeful as was seen in the partial success of achieving Millennium Development Goals (MDGs). One can hope for a better future in achieving the SDGs Agenda 2030 in which about 200-member countries have agreed on 17 global goals. There is still much to be done to reach the higher levels of inclusive and sustainable development by combining the market and the state.

Notes and References

1. Subahsesham (2009), The State versus Market Debate, www.scribd.com as received on 07-07-2018.
2. Overproduction would happen because there would come a saturation point in the market when consumption would go slower and the poor do not have the paying capacity.
3. www.investopedia.com/terms/circularflow-of-income.asp as retrieved on 06-07-2018.
4. Subahsesham (2009), *op.cit. ibid*
5. Chang, H. (1996), The Political Economy of Industry, Macmillan Press, London.
6. <https://developingeconomics.org/2018/02/11/from-addis-to-davos-international-development-finance-gets-conspicuous/> as retrieved on 07-07-2018.
7. Blended finance means to de-risk SDG-related investments (into things like sustainable infrastructure, health-care, education and sustainable land use) in order to attract commercial capital from private investors who would otherwise not have participated, according to the Report of 'Better Finance, Better World' by The Blended Finance Taskforce.
8. www.developingeconomics.org *op.cit* as retrieved on 07-07-2018.

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Impact of Liberalization on Administration in Developing Countries

Learning Objectives

In this chapter, you will learn about:

- Liberalization in the Indian Economy
- New Industrial Policy, 2017
- Impact of Liberalization on India

The dictionary meaning of 'Liberalization' is 'the laws or rules being liberalized, or relaxed, by a government'. The word was added to the English language in 1835, from the word 'liberal'. It means 'free' in a literal sense. It came to be accepted in economic terms to describe elimination or reduction of state control over economic terms.

Q1 *What is your understanding of the concept of liberalization in the economy? Discuss how and why it began with special reference to India.*

Ans. Liberalization, from an economic perspective, means moderation and loosening of the strict government controls in its economy as well as social policy. The term, 'liberalization' has its origin in the political ideology 'liberalism', which took its form by early nineteenth century as a result of continuous evolution in the previous three centuries. It is the product of the breakdown of feudalism and the growth of a market or capitalist society.^[1]

Pro-market or pro-capitalistic inclination in the economic policies of an economy is the process of liberalization.^[2] There are examples of the concept to be seen in China in the 1980s, the USA, and in India in 1991–92. A vibrant and competitive financial system is a necessary concomitant of trade and industrial policy liberalization to sustain the on-going reform in the structural aspects of the real economy.^[3]

Liberalization is the outcome of globalization trend and globalization today is a fact of life. The globalized world had led to the deregulation of licenses and policies to promote businesses.

BACKGROUND OF ECONOMIC REFORMS IN INDIA

The period of 1991–1992 is considered to be very important for economic reforms in India. (See chapter 5 for more on liberalization).

India had reached at the brink of bankruptcy with reserves left only for under a week. Dr. Manmohan Singh (the Finance Minister) had been pushing for economic reforms since long and moved forward for

them under the then Prime Minister Narsimha Rao. It asked for loan from the IMF but it was given under the condition of implementing structural adjustments. The country was facing a sharp decline in the export earnings, national income and industrial output. The Government of India formulated the New Industrial Policy in 1991 to initiate liberalization in India.^[4]

Given below are the five main key areas in which structural adjustment programme was carried out:

1. **Industrial Licensing Policy:** In 1991, major policy initiatives and procedural reforms were made to actively encourage and assist the Indian entrepreneurs to exploit and meet the emerging domestic and global opportunities and challenges. The focus was on:
 - Technological dynamism and international competitiveness to adapt and swiftly respond to fast changing external conditions.
 - Investment decisions to be made by the entrepreneurs themselves based on commercial judgement.
 - Government policy and procedures to help the entrepreneurs.
 - Eliminating delays and formulating transparent procedures.
 - Remove restraints on capacity creation while ensuring that overriding national interests are not jeopardized.
 - All industrial licensing will be henceforth, abolished for all industries, except those specified, irrespective of levels of investment which are required for social, safety and environmental issues.
2. **Foreign Investment:** In order to invite foreign investment in high priority industries, requiring large investments and advanced technology, it was decided to provide approval for direct foreign investment upto 51 per cent foreign equity in such industries without any bottlenecks. Some major initiatives taken besides the foreign equity were:
 - Promotion of exports of Indian products for a systematic exploration of world markets through intensive and highly professional marketing activities.
 - Taking help from foreign trading companies to assist in Indian export activities.
 - Appointment of a special board to negotiate with large international manufacturing and marketing firms to provide avenues for large investments in the development of industries and technology in the national interest.
3. **Foreign Technology Agreements:** Unnecessary government interference on a case-to-case basis hampers quick relationship progress between the suppliers and the users of technology due to the unnecessary delays. Bureaucratic clearances are a nuisance to the technology entrepreneurs and they lose out in the global competitive market. The New Industrial Policy (NIP), 1991 resolved to inject the desired level of technological dynamism in the Indian industry. Some major policy initiatives are:
 - Automatic approval for technology agreements related to high priority industries with specified parameter.
 - Same facilities will be available for other industries if such agreements do not require the expenditure of free foreign exchange.
 - Indian companies will be free to negotiate the terms of technology transfer with their foreign counterparts based on their own commercial judgement.
 - These steps will induce development of indigenous competence for the efficient adoption of foreign technology.
 - Hiring of foreign technicians and foreign testing of indigenously developed technologies, will also not require prior clearance as prescribed so far, individually or as a part of industrial or investment approvals.

4. **Public Sector Policy:** Public sector is integral to the development of India on all counts but have resulted only in insufficient growth in productivity, poor management, over-manning, lack of continuous technological upgradation and inadequate attention to Research and Development (R&D) and human resource development. The Public Sector Undertaking (PSUs) have a very low rate of return on the capital investment, becoming a burden on the government. The NIP outlined the following major priority areas regarding the public sector:
 - Essential infrastructure goods and services.
 - Exploration and exploitation of oil and mineral resources.
 - Technology development and building of manufacturing capabilities in areas which are crucial in the long-term development of the economy and where private sector investment is adequate.
 - Manufacture of products where strategic considerations predominate such as defence equipment
 - Review of existing portfolio of public investments was to be done with greater realism. High priority and reserved PSUs were to be strengthened by awarding greater management autonomy through the system of memoranda of understanding. The government decided to attend to the sick units which were incurring heavy losses serving no public purpose.
5. **Monopolies and Restrictive Trade Practices Act (MRTP Act):** The MRTP Act sought the following two principal objectives:
 - (i) Prevention of concentration of economic power to the common detriment, control of monopolies.
 - (ii) Prohibition of monopolistic and restrictive and unfair trade practices.
6. **Decisions of Government:** The Government of India took some serious measures in line with the NIP, 1991. Some of the major decisions are given below in brief:
 - **Industrial Licensing Policy:** The following decisions were taken with respect to the industrial licensing policy:
 - Abolition of industrial licensing for all projects except for the few which are related to security, social reasons or environmental reasons. Small reserved industries were continued to be so.
 - Automatic clearance was given to projects where imported capital goods were required. If imports required clearance from the secretariat of industrial approvals, it would be done according to the availability of foreign exchange reserves.
 - Cities with population more than one million population, there was no need for any industrial approvals except for industries that require compulsory licensing.
 - The system of phased manufacturing programmes run on an administrative case by case basis will not be applicable to new cases.
 - No to substantial expansions of existing units.
 - Term loans would not require the mandatory convertibility clause.
 - Abolition of all existing registration schemes and only an information memorandum was needed to be filed.
 - **Foreign Investment:** The following measures in foreign investment were taken:
 - Approval was given to direct foreign investment upto 51 per cent foreign equity in high priority industries without any bottlenecks if the foreign equity covered the foreign exchange requirement for imported capital goods.

- The payment of dividends with respect to import of components, raw materials and intermediate goods were directed to be monitored through the Reserve Bank of India.
- Trading companies with 51 per cent holding were allowed to engage in export activities.
- **Foreign Technology Agreements:** A few important steps that were taken under the NIP, 1991 to promote liberalization are:
 - Automatic permissions were given in high priority industries as per terms and conditions.^[5]
 - No permission was needed for hiring of foreign technicians and foreign testing of indigenously developed technologies.
- **Public Sector:** Public sector was a sore point in the Indian economy as most of the units had been going into losses. It was decided that:
 - Liberalization in entry into restricted areas and improvement of infrastructure.
 - Sick units were referred to the Board for Industrial and Financial Reconstruction (BIFR).
 - A part of the government's shareholding was offered to mutual funds, financial institutions, general public and workers.
 - Performance improvement was to be achieved through the Memorandum of Understanding (MOU) granting more autonomy to the management while holding it accountable. The MOU would be signed between the Public Sector Undertaking (PSU) and the government by tabling it in the Parliament.
- **MRTP Act:** The MRTP Act was proposed to be amended concerning the threshold limits of assets of MRTP companies and dominant undertakings. No approval of central Government was required by new companies.

Unfair trade practices were to be curtailed by either *suo muto* or on complaints received from individual consumers.

Industrial Policy, 2014

Consistent with the policy of liberalization of domestic industry, the number of industries reserved for public sector have also been reduced. During 2014, private investment in rail infrastructure was permitted.

To sum up, this was called a third phase of the revamping of industrial policy of India the first being in 1956, and the second in 1977 but the NIP, 1991 led to liberalization.

Q2 Discuss the journey of the Indian economy after the measures were taken for liberalization under the New Industrial Policy, 1991.

OR

What were the constraints that were felt in the Indian economy to practically implement liberalization?

Ans. The Government of India felt a need to take stock of the achievements and weaknesses in the New Industrial Policy, 1991. It published a discussion paper—*Industrial Policy, 2017* which reviewed the progress made in the years since 1991.^[6] It was an effort to build a globally competitive Indian industry to cope up with the rapidly changing skills and technology in the world.

EVALUATION OF THE NEW INDUSTRIAL POLICY (NIP), 1991

India gained momentum in its trade manufacturing and commerce sector following the 1991 reforms. Some major changes since 1991 are mentioned below in brief:

- **Compulsory Licensing:** Compulsory licensing in industries has reduced from eighteen to four industries since 1991. They are:
 - Cigars and Cigarette
 - Industrial Explosives; Electronic
 - Aerospace and defence equipment
 - Industrial hazardous chemicals
- **Foreign Direct Investment Policy:** Liberalization of Foreign Direct Investment (FDI) Policy has arrived at 100 per cent foreign investment under the automatic route in most factors and 90 per cent of total FDI inflows are through the automatic route. A few sectors like publishing and printing, satellite, food product training, mining and mineral exploration, titanium-based minerals and ores require government approval. The last three years also saw the opening up of defence and food retail by reducing the investment limits and easing of conditionalities.^[7]
- **Public Sector:** Private sector participation in the sectors of iron and steel electricity, air transport, shipbuilding, heavy machinery, telecommunication cables and instruments occurred due to liberalization much faster than the public sector.
- **MRTTP Act, 1969:** The act could not achieve any improvement in promoting a competitive market. Private business houses and PSUs have increased in size considerably.

Constraints to Industrial Growth despite of Liberalization: The discussion paper of 2017 on the Industrial Policy evaluates the reasons why industrial growth could not be achieved at a higher rate despite of liberalization reforms are:

- **Inadequate Infrastructure:** It is an accepted fact that India lacks physical infrastructure to support the rapidly growing as well as changing economy. It has resulted in deficient capacities and efficiencies. The cost of setting up industries escalates due to shoddy infrastructure resulting in higher cost prices of manufactured goods. This leads to losing out in the global market.
- **Restrictive Labour Laws:** The labour laws on paper are protective of the causes of the labour but it results in the hesitation of the employers to hire workers on a permanent basis to avoid the additional costs. The employers prefer to opt for capital or skilled labour intensive technologies instead of labour intensive sectors. So, ultimately, the labour suffers and remains poor and insecure.
- **Complicated Business Environment:** Despite of the economic reforms through the NIP, 1991, the Indian economy is riddled with complex and time-consuming processes and procedures to obtain clearances in businesses. Dr. Manmohan Singh, the architect of the 1991 Economic Reforms, himself admitted to the fact that a lot more needs to be done. Till recently, the multilayered tax system had resulted in higher costs of goods and services but with the implementation of the goods and services tax in 2017, things have improved after ongoing serious adjustments.
- **Slow Technology Adoption:** Digitalization and e-governance have been adopted only now and rather India is in the transition phase. For the last twenty-five years, India was still struggling with old and traditional methods and procedures in government as well as private dealings. This slow intake and adaptation to technology slowed the industrial progress hampering the purpose of liberalization.

- **Low Productivity:** Productivity measured by value added per worker and average wages compute to a mere one-third of the productivity numbers in China. The overall picture of productivity in India is quite dismal because the majority of workers in India are employed in low productivity and low wage jobs.
- **Challenges for Trades:** There comes a time in economies when the markets slow down due to saturation or glut in manufactured goods and services. China provides for cheaper goods in the global market making it extremely difficult for Indian export traders to compete with the prices
- **R&D and Innovation:** The government is pressed for funds because it has to spend on public service delivery. It is deficient in providing for resources for R&D and innovation. The cost of goods increases due to usage of old technology in India whereas other countries are gaining due to this deficiency.

The Indian economy faces the above constraints but it is becoming one of the fastest emerging economies in the world.

Q3 *What is the present status of India, concerning the industrial growth as a result of liberalization? Discuss what the New Industrial Policy, 2017 proposes to do in this regard.*

Ans. Considering the constraints that the Indian economy is facing in the wake of achieving industrial growth, this is the right time to bring in more liberalization through a New Industrial Policy. The Government of India released a discussion paper on it in 2017 as a draft which is likely to come into force by end of 2018. As often stated it is time to Reform, Perform and Transform. A comprehensible, actionable, outcome oriented industrial policy will enable the industry to deliver a larger role in the economy; to fulfil its role as the engine of growth and to shoulder the responsibility of adding more value and jobs.^[8]

THE DRAFT NEW INDUSTRIAL POLICY, 2017

The policy has the objective to have a clear vision for the role of the growth and development of the Indian economy that would become globally competitive with the engagement of stakeholders. The policy will be directed towards the achievement of measurable outcomes within a time frame keeping in mind the changing business cycles of the global economy.

Given below are the strategic objectives describing the policy intent with specified trigger questions:

1. **Establishing Global Linkages:** India at present, has a significantly low value addition to the brand value of Indian products with minimal positive externalities from FDI. Brand building can be achieved by:
 - Brand-building along with upholding quality and scale standards.
 - Quantum of value addition has to be increased at all levels.
 - Larger value addition will invite greater positive externalities from economic activity.
 - Creating complete value chains in the Indian economy as well globally.
 - The FDI policy ensuring that it makes technology transfer easy and promotes innovation.

Illustrative Outcomes and Trigger Questions: The policy intent gives the following illustrative outcomes and trigger questions.

Long Term

- The number of Indian companies to increase in the Fortune 500 category.

- Setting up of value chains in certain sunrise sectors like renewable energy, food processing, electronics, etc., within India and global too.
- Balancing of short-term and long-term benefits of inward and outward investments within an FDI regime.

Medium Term

- A target of \$ 100 billion annual inward FDI and also promote outward FDI to make the world perceive India's presence;
- Increasing the Indian share of top brands like footwear and apparel which are comparatively in a better position.

Ministry of Micro, Small and Medium Enterprises (MSME)

- How can Indian MSMEs be plugged into the global value chain?
- How can MSMEs be equipped to market themselves globally?

Investment Policy

- How can the FDI policy channelize investments into the potential sectors to increase the domestic value addition, strengthen linkages and enable brand building?

2. **Enhancing Industrial Competitiveness:** India lags behind other emerging and developed economies in competing with their goods and services in the global market for lack of quality and cost. Hence, it is proposed that competitiveness be improved by upgrading infrastructure. Infrastructural financing suffers from lack of funds and depends on developed debt and bond markets. India faces high cost of power and cumbersome business environment.

Illustrative Outcomes and Trigger Questions**Long Term**

- Harness existing strengths like automobiles and auto components, electronics, renewable energy, software, banking, etc.
- Create commercially viable sectors to achieve competitiveness.
- Focus on identified industries like waste management, medical devices, etc. Strengthen public sector.

Medium Term

- Targeted measures to improve labour productivity in select sectors.
- Safe digital infrastructure must be created to support next generation digital technologies.
- Improve business environment by reducing compliance cost and transaction time.

Labour Reforms

- What key reforms can enhance labour market flexibility?
- How can fixed-term employment contribute towards flexibility in hiring as well as retrenchment?
- How can the problem of low-job creation in the formal sector be addressed?

Access to Capital for MSMEs

- What alternatives to banks can be developed to improve access for MSMEs—Crowd Funding, etc.?
- Can a credit rating mechanism for MSMEs be looked upon to provide them easier access to funds?

Taxation

- How can the problem of inverted duty structure be addressed and also be balanced against obligations under multilateral or bilateral trade agreements?
- How can incentives be linked to reforms and performance?

Industry Standard

- Can industry, wide mandatory technical regulations be developed to address this gap?
3. **Employing Gainfully, a Growing Workforce:** India is now at the mid-point of the demographic dividend for coming 20–25 years. Some concerns regarding this issue are:
- There might be inequity as some states might move out of the beneficial period.
 - Projected upward trends in automation leading to job losses.
 - Disproportionately slower growth in creation of jobs as compared to growth in output.
 - Poor outcomes in education skill and health leading to an inability to harness the demographic dividend.

Illustrative Outcomes**Long Term**

- Gainful employment

Medium Term

- Mass job creation for unskilled and semi-skilled labour, to study the impact of automation on employment and identify the measures to be taken.
4. **Ensuring Sustainability and Responsible Industrialization:** Industry majorly contributes to carbon emission leaving a substantial resource footprint. Energy contributes to industrial growth as well as industrial emissions. Focus must be laid on clean energy utilization for achieving sustainable growth in balance with environment.

Illustrative Outcomes**Long Term**

- A global leader in green energy, green manufacturing and green technologies.
- A dynamic renewable sector. Establishing a circular economy.^[9]

5. **Enabling Ecosystem for Technology Adoption and Innovation:** Information technology is a strong potential sector in India including products and solutions to become the 'Digital Factory of the World', bringing in a digital revolution. There is a wide gap between R&D systems and education without understanding the needs of the industry. Technology transfer from foreign countries is at the assembly level despite of foreign investments since three decades. Hence, research-education-industry linkages need to be developed and encourage the private industry to find more of R&D projects to get high-quality patents that can be commercialized.

Illustrative Outcomes and Trigger Questions**Long Term**

- Establish on ecosystem supportive of advanced and smart manufacturing.
- Thriving innovation ecosystem that provides appropriate support at the right stage of innovation.

Medium Term

- Strengthen and diversify information.
- Focus on commercialization of innovation, incubation and acceleration.
- Enable adoption of smart technologies by SMEs in select sectors.

Technology Upgradation

- What specific action points can enable MSMEs to adopt and upgrade technology, considering the world is moving towards smart manufacturing?
- What can be done to enable adoption of industry 4.0 technologies?

Innovation and technology transfer must be given due importance and measures must be identified to facilitate technology transfer from foreign enterprises to domestic industries.

Hence, an outcome oriented actionable industrial policy must be arrived at by this draft of new Industrial Policy. Consultations are being held with industry bodies, government departments, state governments, think tanks, academia and R&D institutes to understand perspectives of all stakeholders.

Q4 Discuss the impact of liberalization on administration in developing countries with special reference to India.

Ans. Liberalization has become a global phenomenon across developing countries as a response to globalization and privatization. The three phenomena of liberalization, privatization and globalization are immensely linked and push industrial growth. Some developing countries have opened their economies to international trade to take the economic advantage and reducing poverty. After eight rounds of development in international trade liberalizations and the establishment of World Trade Organization, international trade has grown over the last twenty years.

Many developing countries have benefitted from liberalization and have significantly, increased their incomes, making a place for themselves in world trade accounting for one-third of its quantum. Trade between developing has increased to 40 per cent of the developing countries exports now going to other developing countries.

The impact of liberalization in developing countries on administration has been substantial considering various factors. They are:

- **Reduction of Administration in Size:** Since the work of the administration has considerably reduced due to the cause and effect of liberalization, it has led to a reduction in the size of the bureaucracy. Simply put, less officers are required to carry out processes and procedural functions as a result of doing away with them.
- **The New Public Management (NPM) Approach:** PSUs have had to change their approach to manage as a result of liberalization. The public sector has to compete with the private sector in all spheres of goods and services delivery. It has to work with quality standards at least at par if not better than the private sector. Thus, the NPM Approach focusing on the principles of management was adopted and is still being applied in the developing countries. It has improved efficiency and effectiveness in their performance in the PSUs. Major concepts used in this approach are decentralization of management, production and delivery of services with accepted norms of quality. The citizens who are the ultimate service users are called 'clients' and are treated as such.

The instance of revival of PSUs in Gujarat is a fine example of understanding the impact of liberalization in administration through the NPM Approach. The then Chief Minister, Narendra Modi, gave full autonomy to manage the sick PSUs and gave them the freedom to hire professionals from outside the government sector. The PSUs started breaking even and then reversed their losses too.

Hence, the role of a public administrator has taken on the mantle of a professional manager to focus on capacity-building of the institutions to cope up with the changing liberalized economy.

- **Service Delivery:** Service Quality Initiatives (SQIs) work on the guidelines are being established by the government to ensure quality of the service delivery in the wake of liberalization policies. The SQIs are set up by individual departments, ministries and various government agencies and the administration has changed accordingly in the developing countries. However, the reality is a bit opposite to it. The common people still feel miserable and betrayed in trust by the administration. The lack of service and infrastructure leaves them in frustration.

In response to the problem of service delivery, Citizens' Charter have been initiated. In India, 'Sevottam' is a model that ensures quality service delivery and grievance redressal.

- **Transparency:** The business environment has changed in the developing countries over the last three decades after the era of liberalization began. Transparency has become an accepted principle of good governance which has helped in improved service delivery. The RTI Act, 2005 has helped citizens to know of information that makes them aware of what the administration is up to. On the other hand, the administration is very much aware of its position and has become alert and steadfast, in keeping its processes and procedures crisp and clear to help the policy implementation under liberalization.
- **Regulatory Role:** The administration's role has changed to that of a facilitator and more importantly a regulator. It has to cope with the increased role of the capital market in the liberalization era. It has to exercise control over the capital markets and ensure its proper growth, for example, the Securities Exchange Board of India (SEBI).
- **Administrative Reforms:** The administrative capacity in developing countries has been quite short to deal with the changing liberalized business scenario. There has been inefficiency in dealing with the problems of poverty, unemployment, economic and social disparity, etc. Liberalization has led to an increase in urbanization and the stress on the cities has worsened the situation of sanitation, hygiene, housing, food and basic necessities. The administrative institutions need reforms to suit the liberalized economies and not emulate the age-old colonial bureaucracy.

To conclude, administration has been greatly impacted in the developing countries with the advent of the era of liberalization. It has changed accordingly in its role as well as its capacity but still has to reform in many areas to cope up with the rapidly changing technological environment in the global business and commerce.

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Women and Development: The Self Help Movement

Learning Objectives

In this chapter, you will learn about:

- Gender Equity
- Self Help Movements
- Development Timeline
- Self-Help Groups (SHGs) in India

The discussions regarding women and development showed its presence not before the 1960s. There have been examples of great women as leaders in history and mythological references but in reality, their status in all spheres of life remained at the bottom of any hierarchy one can think of. The discourse of development began after the second world war largely based on 'Dependency Theory', passing off aid to the developing and the undeveloped newly emerged nations in the name of development. However, their main purpose was to explore them for their own capitalist gains.

The issue here is that women did not configure in any development models and fifty per cent development models and fifty per cent of the world's population especially in the developing and undeveloped world remained neglected unrecognized and unacknowledged. They lived a life of hard physical labour, lack of self-respect and mental and physical exploitation.

Q1 *Wholistic development cannot take place without gender equity comment. How has the self-help movement led to women empowerment?*

OR

Self-Help Groups (SHGs) enable women to realize their full potential in some spheres of life. Comment.

Ans. The notion of appropriate and the rightful role of women in society have been guided by culture and history. The developed societies had a better perspective on gender equality than the third world countries in the Southern Hemisphere. Development as a result of non-participation of women could not take place because fifty per cent of the population was not included in the process of development.

Besides a few movements for the case of women development, in popular discourse, Women in Development (WID) is associated with the wide range of activities in the 1970s through 'Non-Governmental Organizations' (NGO). The world was changing, settling down after the world wars and trying to understand why the western development models were failing in the developing countries.

Gender equity became a buzzword for the scholars, international agencies and the policy makers. They realized that wholistic development was not possible without including women in the fold of developmental processes, plans and policies. However, the capitalistic point of view of women contribution with respect to economy and efficiency was very biased. The fund allocation for women development was based on the quantum of their contribution.

The emergence of women in development perspective and thought is briefly given in the timeline below:

1970s: The term, 'Women in Development' was coined by a group of development professionals in Washington, USA. They professed that the trickle-down theories did not impact the women's rights, status and modernization. The development process is rather reversing their situation.

1973: Percy Amendment to the USA Foreign Assistance took place to help integrate women into the national economies of foreign countries, thus improving their status and assisting the total developmental effort.

- The liberal feminists began their struggle to get a just political system in place for American women and spread to other countries. They stated that women must be given training to fit into more varied role models by introducing equal opportunity programmes and anti-discrimination legislation or by freeing labour markets.^[1]
- Equal employment opportunities were stressed upon.

Welfare Approach: Women had been considered only as a victim to be given social welfare but not as producers before the 70s. Ester Boserup, a Danish economist, challenged the welfare approach and emphasized women's importance to the agricultural economy.

1980s: Mainstream development thinking changed and provided WID advocates with an opportunity to show how women could serve development. They established women's issues a serious developmental concern to show that women are producers and thus participants in the process of economic growth and not needy beneficiaries.^[2]

WID Movement: The WID movement in the 1980s and 1990s highlighted women's participation in production.

The Self-Help Movement: The self-help movement has its origins in the Grameen Bank of Bangladesh, founded by Muhammad Yunus in 1983. However, it has its origin in an action research project launched by Professor Yunus, the Head of the Rural Economics Programme at the University of Chittagong. The project examined the possibility of designing a credit delivery system to provide banking services targeted at the rural poor.^[3] The Grameen Bank became such a massive success and the trend of SHGS picked up all over the world that the Norwegian Nobel Committee awarded the Nobel Peace Prize for 2006, which was divided into Dr. Muhammad Yunus and the Grameen Bank.

THE CONCEPT OF SELF-HELP GROUPS

SHGs are groups of 10 to 20 women or men who want to improve their living conditions by setting up their own savings and loan fund. The fund is owned by the group and consists of the savings of its members.^[4] The fund is utilized to extend loans to its members for a short-term period with interest. The interest is divided amongst its members at the end of the year. A SHG can comprise of men or women but the concept has worked to considerable lengths in empowering women. SHGs help women to establish common participatory platform to voice and solve their problems. It enhances the quality of the status of women as participants and have been known to be more successful all over the world and especially

India. The statistics show that men SHGs could not survive for long whereas women SHGs did so successfully. The most plausible reason for this variation can be that since women have been given a lower status since centuries, they have more zeal to be independent and economically empowered. They focus more on income generating project rather than social welfare activities.

Women SHGs (WSHGs) have become popular channels in rural areas and urban informal settlements to achieve economic empowerment. In India, there has been a lot of research in the SHG movement and more than 90 per cent groups are formed by women at micro or group level.

SHGs can be stated 'as a plan by the people, of the people and for the people'. It is the best example of people's participation in the country's development at the micro grassroots level.

The SHGs in India

In India, it was only the cooperative banking sector that the credit needs were being fulfilled but the rural poor, especially women had almost no accessibility to it. In such a situation, the Grameen Bank initiative in Bangladesh presented a very useful opportunity to promote informal credit to the poor. A general consensus that gender was social/cultural in origin rather than physiological, was reached.

One can assume that probably Mahatma Gandhi's thought, 'Train a man and you train an individual, train a woman and you build a nation' had inspired the SHG movement. SHGs are a familiar sight in the rural India as well as in urban settlements to mobilize the social capital that abounds in them but is not realized. The development infrastructure in India has come to include SHGs as an alternate means to streamline the delivery of public services but has now become a way to empower the poor, especially, the women.

Given below is how the SHG movement began in India and developed to its present state.

1987: National Bank for Agriculture and Rural Development (NABARD) is an apex development bank in the Government of India which has a mandatory support to facilitate credit flow for the development in areas of agriculture cottage and village industries. It took a major step as directed by the RBI, to launch its first SHG, Mysore Resettlement and Development Agency (MYRADA), which was a volunteer organization, in 1985 which became fully operational in 1987.

1987–1992: NABARD studied 43 NGOs across 11 states to evaluate the potential of SHGs becoming a regular component of the Indian financial system.

1989: NABARD launched an action research project in which grants were provided to other NGOs.

1990: The Reverse Bank of India (RBI) accepted the SHG strategy as an alternative credit model.

1992: NABARD launched its SHG Bank linkage project which became the world's largest micro finance project. It introduced a *Kisan* credit card that is a source of comfort for crores of farmers. A fifth of India's total rural infrastructure is financed by NABARD.^[5]

2001–01: SHG strategy was included in the annual plan for 2000/01.

2006: The number of SHGs increased to 3 million in India and 1.6 million were linked to banks.

The SHG–BLP got full support from the RBI and has been issuing a number of guidelines/instructions to banks regarding these micro financing programmes.

E-shakti: Digitization of SHGs through NABARD's initiative in 24 districts. Technology led financial inclusion has led to fast treads in women empowerment.

2017: SHG concept is being aligned with the era of information by linking Aadhar Card, Pan Card and *Jan Dan* accounts for better SHG linkages. This ensures the banks in possessing reliable information on the clients.

At present, Women SHG Federations are working successfully at state level and district level. Setting up of a small bank of SHGs is being proposed so that women can deposit their savings and it can provide credit and other financial services keeping in mind the local needs.^[6]

Q2 How can the SHG movement be strengthened for women without being political? Discuss.

Ans. It has been more than three decades, since the SHG movement began and has helped millions of houses and especially women. It has helped women to gain and sustain their self-respect and dignity.

Seeing the success of SHGs more women must be made aware of the movement. Some suggestions that can strengthen the SHG movement for women are:^[7]

Digitization: Digital financial inclusion is important and in India, it has increased from 54 per cent to 78 per cent from 2014 to 2017. E-shakti^[8] or digitization of SHGs is an initiative of Micro Credit Innovation Department of NABARD which at present is being implemented in 100 districts across the country.

The aims of E-shakti project are:

- Integrating SHG members with the national financial inclusion agenda.
- Improving the quality of interface between SHG member and banks for efficient and hassle-free delivery of banking services by using the available technology.
- Facilitate convergence of delivery system with SHGs using Aadhar linked identity.

The digitization of records of SHGs is important to have transparency.

Sustainability: The facilitators must be encouraged to make the SHGs more sustainable. Women depend on the SHG for their livelihood and credit facility but if there is lack of informational and banking support the Women's Self-Help Groups (WSHGs) flail and fizzle out.

Insurance Sector: The insurance sector has not been covered by the SHG movement for women. It must be explored to provide women security for life, health, etc.

Credit: At present the SHG works on saving based credit the members deposit and their small saving and take loans or credit from banks but the limit of funds is capped by the amount of their saving. This must be done away with and a need-based system must be implemented.

Interest Subsidy: Interest subsidy must be provided as applicable to such SHG members who apply the credit received from the SHGs for the SHGs for their micro enterprise rather than consumption purposes. For this purpose member level borrowing profile needs to be digitized so that spending for micro enterprises and certain infrastructures are encouraged rather than just consumption.

The issue of keeping SHGs away from any kind of political influence or involvement has become a serious one. Politicians see it as an advantage point by oiling the banking machinery to facilitate in setting up SHGs and credit without any delays in exchange for their votes. The local politicians have been found influencing and disrupting the work of SHGs and the banks according to numerous complaints filed by the bank officials. The NGOs also have been complaining about political interference. The government must ensure that the larger micro financing in the world does not get jeopardized by political interference. Women are the main beneficiaries of the SHG movement and they are in the process of socio-economic empowerment. Hence, all efforts mentioned above must be in corporate.

Digitization will bring transparency into the system of SHGs and the political interference can be controlled. It is best that the SHGs remain apolitical so that women can be a part of the development process encompassing all aspects—social, political, economic and cultural.

The SHG movement was found to have increased political awareness among women making them aware voters, candidates and effective representatives. The synergies between SHGs and political lie in the processes and positioning of the group and may be the clustering or federations of groups in village life.^[9]

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UNIT
IX

PUBLIC POLICY

Chapter 44 Models of Policy-Making and their Critique

Chapter 45 Processes of Conceptualization, Planning, Implementation, Monitoring, Evaluation, Review and their Limitations

Chapter 46 State Theories and Public Policy Formulation

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Models of Policy-Making and their Critique

Learning Objectives

In this chapter, you will learn about:

- Public Policies and their Importance
- Forms and Types of Public Policy
- Public Policy Models—Institutional Systems Analysis and Input-Output Model
- Theories of Charles Lindblom and Yehezkel Dror
- Game Theory

Since the time the Republic came into existence, it came upon the government to have a policy, a set of ideas envisioning what needs to be done, to govern. Policy-making is the primary task of a government in making decisions to bring changes in the future whether they concern social welfare, domestic policy, trade policy, foreign policy, etc. The 'Magna Carta' in 1215 was the first official effort to hold the government accountable to the public, however it was basically to control the king himself. Subsequently, many countries codified the principles and laws, giving power to the people to participate in the law making and public policy.

Public policies have become a part of daily lives and we are unimpacted by them too. Constructing public policy models is important to give direction to a government to move on the path of progress and development. Models attempt to fill the gap between theory and practice of public policy studies.

Q1 *Discuss what is public policy and why is important to have them as a part of government's vision? Can public policy be restricted to a type?*

Ans. A policy is a general set of objectives or a desired state of affairs which are driven by social norms. Public policy can be defined as, 'anything a government chooses to do or not to do'^[1] according to Thomas Dye. It is the course of action taken by a government to address an issue or a matter of national importance or resolve a problem or a crisis.^[2] The field of political science has gradually moved towards public policy. Public administration includes public policy in its discipline as an integral study.

Beginning with Harold Laswell's call for the development of a distinctive policy science, it can be said that the discipline of public policy gained importance in the 1950s and grew immensely to its present status as a strong field of study.

Given below are some of the important definitions that explain what is public policy:

Clark E. Cochran et al.: The actions of government and the intentions that determine those actions.

B. Guy Peters: Stated most simply, public policy is the sum of government activities, whether acting directly or through agents, as it has an influence on the life of citizens.^[3]

Some common essential features that can be drawn from the definitions are:

- Policy is formulated as a solution to a problem.
- Policy is made on the behalf of the public and for the public.
- Policy is goal-oriented to solve the problem.
- Policy is formulated by government even though it may take outside consultant.
- Policy is interpreted differently by individuals and groups.
- Policy is what the government choose to do or not to do.^[4]

Hence, it can be said that public policy is a statement made by the government to address a specific problem in a certain area.

Forms of Public Policy

Public policy cannot be restricted to a single statement because a country is riddled with many problems in various spheres like environment, health, law and order, etc. It can take the form of a law, statute, regulation, case law, decisions made by ministries, departments and government agencies. Some norms become a part of the public policy depending on the culture and tradition in a particular society. Policies are also revealed through texts, practices, symbols and discourses that define and deliver values including goods and services as well as regulations, income status and other positively or negatively valued attributes.^[5]

Importance of Public Policy: Public policy students derive theory by observing the collective activity of the practitioners. It is important to study public policy so that citizens can understand the process and participate in its process by holding public debates, become an elected representative, etc.

On the other hand, public policy's rationality and soundness impacts the country's development and progress. Public policy leads to plans, projects and activities but if the policy is faulty, then it stagnates nations economy.

Types of Public Policies

Public policy is based in politics because ultimately the government makes them which is composed of elected representatives. Before elections, the political parties are supposed to put out their party manifests declaring what their policies are as per the needs of the people and what they propose to do provided they come into power. Once the government is established in power, it seeks to formulate policies to keep its promises made to the voters. Not doing so would lead to loss of public trust in them and the political party will lose the next election.

However, the government has to make policies in various areas and can be of two major types as given by E.N. Gladden:

1. **Political Policy:** Policy is determined by the political parties and imposed by the ministers, collectively and individually. The ruling party is the supreme political authority to make policies at all levels of the government. The policy favours the community needs but if it takes the form of favoring's a particular class or section of the society, it will lead to frustration of the voters leaving the ruling party exposed to loss of public trust and consequently power.^[6]
2. **Executive Policy:** The executive policy, in all forms of government is given final shape by the cabinet of ministers and some top bureaucratic officials. However, the most important exposition of the executive policy is always the budget because it lays down the annual work programme of the political party in power.^[7] Budget executive policy can be directed to promote or discourage a sector by allocating funds or abstaining from it.

3. **Administrative Policy:** Once the executive policy has been laid down, it is important that the administration formulates its own policy, which is called the 'Administrative Policy' to implement the executive policy. It can be modified as and when required to deal with the practical implementation steps of making programmes, systems, methods and procedure.
4. **Operational Policy:** Once the administrative policy has been formulated, the programme on the project passes on to the operational level in the field where the technical issues have to be considered and safeguarded. Technocrats make an operational policy using their technical expertise to put the political executive-administrative policy into operation.
5. **Regulatory Public Policy:** Once the policy is underway in the field, there needs to be proper monitoring and evaluation of whether the policy is being translated into the identified goals and objectives. The regulatory policy ensures that the policy is implemented without any interference or disruption from citizens, interest or pressure groups, for example, restricting wine shops near schools and some pressure group comes up to protest against it. The regulatory policy can enforce the wine shops to stop selling.
6. **Distributive Public Policy:** Specific segments can be targeted by formulating a distributive public policy. The poor and the marginalized sector can get benefits from a distributive public policy.
7. **Redistributive Public Policy:** Sometimes public policies need to be modified and rearranged to have an impact and change in social and economic spheres so that disparities can be reduced.
8. **Capitalization Public Policy:** Every nation-state has to strive to keep up with the economic growth. The government has to cater to the needs of the capitalists so that they have the case of doing business. This would lead to an increase in economic growth.
9. **Constituent Public Policy:** New constitutions and agencies need to be formulated with internationally accepted frameworks to achieve the goals of public welfare.
10. **Technical Public Policy:** Each public policy requires technical support and expertise to implement it on ground. So, policies are framed comprising rules, processes and procedures to carry out developmental work.

Hence, the above-mentioned typologies help in serving the public in all areas. One policy cannot feed the needs of the entire society. There are many areas which need to be governed which is why, different policies have to be formulated.

Q2 What is the importance of having a public policy model?

Ans. L.D. White defined public administration as consisting of all those operations having for their purpose the fulfillment or enforcement of public policy. F.A. Nigro said that since public administration plays a crucial role in the formulation of policies, therefore it is a part of the political process as well.^[8] The integral view of public administration follows from its approach that it is the sum total of all the activities undertaken in the pursuit and fulfilment of public policy.

There is a significant gap between the ways individuals and institutions make policy and the available knowledge on how policies can be best made.^[9] Policy-making methods need to be organized accentuating the importance of public policy models. A design is essential according to which policy-makers can go ahead for its formulation. A systematic approach has become a necessity but the gap between the facts and the policy-making methodology presents critical problems and failures.

Information and knowledge are crucial to the policy-makers to understand what and where the problem is. Unless a problem is identified; the next steps cannot be taken. However, given that all necessary information lies within reach of the policy-makers, how do they proceed. Hence, models are necessary to analyse the important aspects that require attention to enable predictive outcomes.

Q3 *Public sector institutions are integral to the public policy-making process. Discuss. How the dependency factor of public policy to the institutional model plays its role?*

Ans. Public policy model are a channel to relate and link the public policy-making to its implementation and consequences. Legally established institutions help in bringing the ideologies and needs of a society together to form a policy. It is safe to say that public sector institutions are integral to public policy process. The institutional model considers policy as the output of government as the ultimate decision-making authority. It is dependent on certain factors that the model propagates:

- Constitutional provisions
- Judicial decisions
- Common law obligations

The policy becomes legitimate only once it has been adopted legally implemented and enforced by a government institution. Thus, the importance of institutions is established for the citizens to accept it universally. The participation of the relevant institutions embarks on a technical process that results in a public policy forming a collective base who work together in coordination.

Thomas Dye

Thomas Dye stated that, 'Government institutions are structural pattern of behaviour of individual groups, which persist over a period of time'. He introduced the public policy field to his institutional model. It focuses on policy as the output of governmental institutions. He cited the example of an organization trying to identify whether the policy is a state policy, a county policy or an administrative edict if it has to change it.

The advocacy efforts can pay attention to the structural arrangements that can increase the output level of that institution and change them in order to shape structural level changes.^[10]

Main Aspects of the Institutional Model

There are various aspects that comprise the institutional model. They are:

1. **Individual Behaviour:** Individuals acquire their political behaviour from institutional connections. Their direction is given by way of incentives or disincentives or can also follow norms but the main guiding force for action is the institutions. If individuals do not follow the direction, the institutions can pass sanctions against them. Guy Peters discusses the perception of organizations and institution being separate is wrong because they are closely bound up with each other and influence the society and the economy.
2. **Normative Institutionalism:** The role of institutions and organizations defines political life and public policy values, symbols and myths guide behaviour in a society which has been called sociological institutionalism by Philip Selznick. Public policy is related to values in a society and are shaped by them. Values can be substantive and procedural which can be taught by training to follow institutional guidelines. The players in the normative institutionalism follow a logic of appropriateness and hence defines policy choices.
3. **Rational Choice Institutionalism:** Individuals act in self-interest and take decisions based on rationality and this forms the foundation of rational choice institutionalism. It involves the logic of consequentiality which guides decisions to be made based on assumed outcomes. Appropriateness is not a feature of rationality. The actors in institutions who are involved in public policy-making are utility-maximizers and do not alter their decisions by being a part of the organization. This implies that they do not conform to norms and make rational decisions in public policy-making.

4. **Historical Institutionalism:** History affects the understanding of politics behind public policies as it provides various contexts in which rational actors made choices but because history affects actors' beliefs, values and preferences. History matters for our understanding of politics because history provides experience which can change the beliefs and preferences of citizens and their elites.^[11]
5. **Economic Institutionalism:** The economic institutionalism falls into the purview of the Institutional Model. Institutions have an important place in making public policy, for example, microfinancing, loans through banks, etc. the Economic Institutional Model assumes methodological individualism, individuals being maximisers, individual rationalism, opportunistic behaviour, economic society, government structure, institutions and organizations. All these are major factors in public policy making.

There are diverse institutional public policy perspectives and is definitely an important model because the majority of public policies are made as a routine practice of institutions. If there is an omission of action in public policy that can also be due to being embedded in institutions. However, the institutional model was criticized by many scholars.

Critique of Institutional Model

The institutional model of public policy is an important approach in defining the interrelationship between the government institutions and the public policy context. There are some critical points of views against the institutional model which are given below:

1. **Overlapping:** The multiplicity of institutions and services create confusion. Overlapping and duplication of functions wastes public money.
2. **Overdependence on Organizations:** Over a period of time the institutions have come to depend more and more on organizations losing vision of the wholistic picture. More focus is laid on processes and procedures instead of the main theme behind it.
3. **Overlooking Comparative Studies:** A comparative study of institutions is important to arrive at a focused point of view to formulate a public policy. The question is whether there is a sufficient intellectual core to justify an argument that there is indeed a single institutional approach with the several variations.^[12]
4. **Marx and Weber:** Power and interest were two main factors in the institutional approach. Weber and Marx considered bureaucracy as an interest and power laden institution. The institutional approach offers a framework for addressing these questions but its utility in this respect requires structural clarification about institutionalization.
5. **Environmental Factors:** A public policy cannot be formulated in isolation while ignoring the environmental factors. Moreover, the environmental factors keep changing which makes it imperative that they must be understood and included.

Q4 *The systems theorists state that the public policy is determined on the basis of a wide range of political forces and that particular policies are the result of different combinations of factors. Comment.*

Ans. The systems approach was applied to public policy formulation, a complex phenomenon, to construct a model that would simplify the process while being predictive. David Easton was a pioneer in systems approach and published his work in '*A Systems Analysis of Political Life*' in 1953 which was reprinted in 1979. He worked throughout his academic career on building a systems framework for political analysis. It came to be known as the Easton's Model Analysis in which he considered interaction as the basic unit of systems analysis which is a result of the behaviour of the members of the system in their respective roles. These interactions add up to become a set of interrelations which is called a 'system'. Easton specifically considered only political interactions.

Easton's model also came to be termed as 'Input-Output Model' depicting its simplicity. This was an outcome after the Second World War when the systems way of thought transformed from its biological sphere to mechanical systems and then to public policy.

SYSTEMS ANALYSIS BY DAVID EASTON

According to David Easton, no one way of conceptualizing any major area of human behaviour will do full justice to all its variety and complexity. The conceptual orientation, that he proposed as systems analysis stems from the fundamental decision to view political life as a system of behaviour. Its major and gross unit of analysis is the political life as a system of behaviour. Its major and gross unit of analysis is the political system and this theoretical orientation will be given a specific restricted meaning.^[13]

Systems analysis is built on the following four premises. Easton proposed that only first two of these are shared with other models of analysis that use the 'systems' concept. They are:

1. **System:** 'It is useful to view political life as a system of behaviour'. A political system is an integrated set of activities, roles and institutions that operates within an environment which provides inputs into a political system and then translates these inputs into policy inputs.

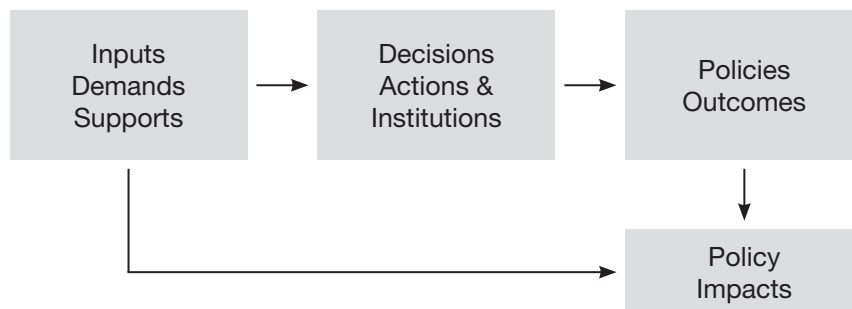


Figure 44.1: The Easton Political System Model

It is important to understand the meaning of a system of behaviour and if political life constitutes such system.

- (i) **Empirical Behaviour:** Empirical behaviour is observed and characterized as political life. The social scientist has the responsibility to discover the systems that exist in nature considering that systems are given in nature.
- (ii) **Set of Symbols:** The concept of system refers to the set of symbols through which we hope to identify, describe, delimit and explain the behaviour of the empirical system due to the fact that a system in this sense is a set of ideas, it can be called a symbolic or theoretical system. A causal political theory is a symbolic system which has particular behavioural characteristics which is called politics.

A political system, hence, will be identified as a set of interactions abstracted from the totality of social behaviour, through which valued things are authoritatively allocated for a society.

2. **Environment:** The political system imbibes the values in the social environment and also responds to them while making allocations for programmes and projects.

A system is distinguishable from its environment and open to be influenced from it. The aspects of a society that fell outside the boundaries of a political system consist generally of all the other

sub-systems of society and constitute the environment socially and physically. There are two types of environment:

- Intra-societal
- Extra-societal

This is depicted in Fig. 44.2.

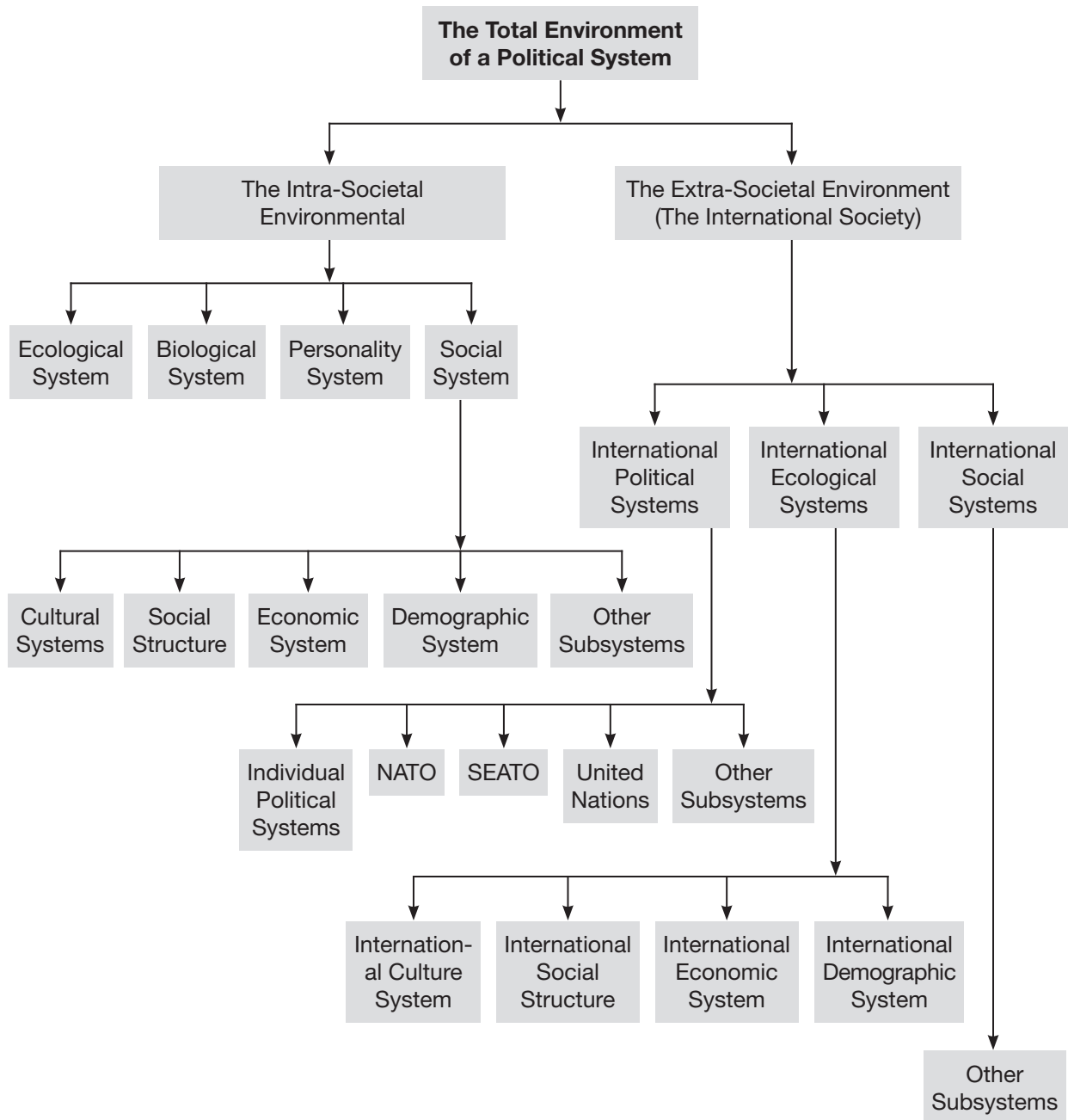


Figure 44.2: Components of the Total Environment of a Political System

3. **Response:** Easton identified the following essential variables of the political system:

- (i) The allocation of valued things for a society.
- (ii) The relative frequency of compliance with these allocations.

If these essential variables are pushed beyond their critical range, the political system may collapse. The capacity to respond to stress is essential and this capacity must be assessed and built so that the system can respond to the stresses.

THE INPUT-OUTPUT MODEL

The inputs and outputs in a political system were explained by David Easton. The influences that emerge from the environment as 'exchanges' or 'transactions' crossing the boundaries of the political system are called outputs of one system and inputs of the other.

Major Inputs of the Political System

There are two inputs of the political system:

- (i) **Demands:** Demands are considered to be inputs of a political system and it is the total environment leaves its impression on the system. The demands are the result of all the events and conditions that are happening in the system. A want will become a demand if it calls for action on the part of the government. So, demands lead to changes in the society. If the inflow of demands is high it affects the political system to push it to take action.
The 'who' and 'what' of the demand determine the political action which depends on the culture, norms, etc.
- (ii) **Support:** Support is the second major input of a system and here a political system. To convert wants into outputs, it is important that there is existence of 'support'. Support is a kind of transaction between a system and its environment. Support, as a sentiment, has two forms.
 - Sentiments
 - Behaviour

Any change in the balance of sentiments and behaviour can stress in three ways as

Any fluctuation in support can unbalance and stress a political system. They are:

- (a) **Political Community:** Support is integral to help a group to survive which shares division of political labour.
- (b) **Regime:** A stable regime with its rules and regulations, is possible only with support, which would be converted into outputs.
- (c) **Authorities:** A stable set of authorities can be possible only if the political power has support to convert wants and demands into output.

Feedback: Outputs affect change of a system through the influence they have on the level of support. Feedback loop is important to understand and maintain the stress level of the political system.

Public Policy: System model theorists applied their model to public policy by understanding the demands of the people and the amount of support that they had gathered to give shape to their policies via political sub-systems. The problem is renewed from a wholistic perspective. The important steps in realizing a public policy would involve:

- A thorough investigation of what the objectives of the man or institution that needs help.
- Measures of effectiveness and criteria for deciding how to choose among the alternatives that promise to achieve these objectives.

- The possible alternatives need to be investigated with respect to feasibility, risk and cost.
- Compare the alternatives in terms of the outcomes that follow their choice.^[14]

The techniques of system analysis and operations research work appropriately in industry and defense.

Critique of Systems Model

1. **Boundaries:** The distinction between the political system and environment is not clear. The boundaries are not distinct, hence, care has to be taken while applying this model.
2. **Precision:** The systems model requires precise calculations of inputs and outputs using techniques like management information system, simulation, etc. If articulation of the numbers is fraught with errors, the policy would also be full of flaws.
3. **Verbology:** The terms and concepts used in the systems model are used interchangeably leading to vagueness. The set of norms is unspecified.
4. **More of an Ideology:** The systems approach was criticized for being the ideology of planners, managers and technocratic elites.
5. **Lack of Results:** A systematic view and analysis of a society does not necessarily lead to substantive results and insights. An organic unity in a society remains a myth. Hence there is a lack of utility as it failed to solve the problems of cities in the 1960s.
6. **Quantitative Tools:** The systems model is criticized by Ida Hoos for using quantitative methods and tools promiscuously which are inappropriate for situations.
7. **Human Factor:** There is insufficient attention to the human factor in the systems model as it is not predicted by it. There is mention of all people or groups instead of individual behaviour.

In India, there was no significant policy-making body since independence except the planning commission which concentrated only on making Five Year Plans. Plans are a by-product tools of policies to implement the policies. Institutional mechanism has been popular in India for policy implementation. However, the NITI Aayog, formed in 2015, focuses on policy-making. India reaches out to the think-tank which is replete with expertise for policies.

Q5 *How did the article 'The Science of Muddling Through' by Charles Lindblom in 1959 present the development of the process of policy-making?*

OR

The incremental list paradigm posits a conservative tendency in public policy-making. Discuss.

Ans. The incremental approach to policy-making is usually associated with Charles Lindblom, who used the rational-comprehensive decision-making model to describe an approach usually followed in decision-making. The Incremental Model postulates that a limited number of alternatives, differing marginally from the *status quo* and from which the policy-maker has to select, is available. In the incremental model, public policy is regarded as the continuation of existing government activities, with only small (incremental) adaptations to provide for changes that may occur.^[15]

Lindblom criticized the foundation of 'bounded rationality' which is an alternative concept to rational choice that considers the weaknesses of knowledge and cognitive abilities of decision-makers.

THE SCIENCE OF MUDDLING THROUGH

Charles Lindblom published an article titled, '*The Science of Muddling Through*' in 1959^[16] in which he discussed public policy formulation. He began with mentioning two methods a policy-maker would normally use:

1. Model I

While making a policy, the administrator would proceed with the following steps:

- Listing all related values of the issue at hand.
- All possible policy outcomes could be rated as more or less efficient in attaining a maximum of these values based on inquiry into values held by members of society and calculations on how much of each value is equal to how much of each others value.
- The third step would include systematic comparison of his multitude of alternatives to determine which attains the greatest amount of values.
- Make a choice that would maximize his values.

2. Model II

The alternative model would include the following process:

- Setting of a principal objective.
- Disregard other social values except the main objective.
- No specific ranking of values.
- Outline the relatively few policy alternatives that occur to the administrator compared to the limited number of alternatives based on past experience probably without any supportive policy theory.
- Would heavily rely on the record of past experiences with small policy steps to predict the consequences of similar steps extended into the future.
- The final selection would combine into one choice among values and the choice among alternatives for reaching values.

To compare the above given two models, which Lindblom also called them synoptic and strategic models. The model I here is a mechanical process of policy-making but model II (incremental) is followed more commonly because the policy-makers find it simple as conditions and aspirations change and accuracy is improved. So, the policy-makers keep on improving their strategy year after year incrementally.

THE INCREMENTAL MODEL

The Method of Successive Limited Comparisons: Lindblom termed the second model as, 'The Method' of successive limited comparisons and formalized it. He called model I as the rational-comprehensive (root) model and contrasted it to model II (Branch).

Given below are the main precepts that Lindblom specified in his model:

1. Selection of value goals and empirical analysis of the needed action are not distinct from one another but are closely intertwined.
2. Since means and ends are not distinct, means end analysis is often inappropriate or limited.
3. The test of a 'good' policy is typically that various analysts find themselves directly agreeing on a policy (without their agreeing that it is the most appropriate means to an agreed objective).

4. Analysis is dramatically limited:
 - (i) Important possible outcomes are neglected.
 - (ii) Important alternative potential policies are neglected.
 - (iii) Important affected values are neglected.
5. A succession of comparisons greatly reduces or eliminates reliance on theory. Critical of the rationalist synoptic approach, Lindblom supported disjointed incrementalism which is a stratagem based on:
 - small steps;
 - trial and error; and
 - a limited consideration of consequences.

Hence, the policy-makers choose incrementally because it is more realistic and possible. Moreover, he/she need not try to analyse any values except the values by which alternative policies differ and need not be concerned with them except as they differ marginally.

Critique of Incrementalism in Public Policy

The incrementalist model of public policy model survived for forty years and is still used by many economists to formulate policies. However, it faced criticism from Etzioni, Dror, Downs and many others. The major criticisms are:

1. **Theoretical Basis:** The incremental model was regarded as extremely political and preferred a *status quo* even though the policy may be sub-optimal. The critics preferred the rationality models to achieve the complex and multiple interrelated variables.
2. **Defining an Increment:** The deductive power of the incremental model is unable to define an increment, especially, if there is a policy change. Thus, it can work only for a policy for a short period of time. There is a problem of how to measure the increments. It does not explain how the policy-makers arrive at the incremental adjustments and one can only categorise it as random.
3. **Pro-Elite:** The incremental approach is conservative in nature favouring the elite to maintain a *status quo*. It is quite against any new liberal ideas because it does not believe in tampering much the of the policy.
4. **Stability:** The model is applicable only to a stable society and economy where a *status quo* can be applied. It does not talk about turbulent states of economy. There is no surely, however, that other approaches might work in a crisis.
5. **Outdated Policies:** There can be situations where the policy over which increments have been applied may have become outdated. In such cases, the incremental approach is inapplicable.
6. **Overlooks Innovation:** It does not consider new and innovative fields if it is only making incremental adjustments.

To sum up, incremental approach cannot be used in a rapidly changing global world.

Q6 Dror's Optimal Model is a fusion of the economically rational model with the extra-rational model. Comment.

OR

Yehezkel Dror's Normative Models of policy-making tend to be academic in perspective with poor operational utility. Comment.

Ans. According to Yehezkel Dror, there are two ways to analyse and improve public policy-making:

- A subjective impression of public policy-making and the ways to improve it if there is unsatisfactory output which is difficult except making incremental changes.
- The main characteristics of public policy-making can be comprehensively analysed by systematically identifying the existing weaknesses and strengths systematically and find innovative alternatives to remove the weaknesses.

The first method is mostly used by policy-makers which does not require any theoretical or scientific support.

NORMATIVE OPTIMAL METHOD

Dror prefers the second model which must have a normative model of public policy-making to analyse it systematically to improve it.

Conditions of Normative Model: For a normative model to be successful, there are three conditions, which are:

1. It should match reality well enough that an action-oriented analysis and evaluation of policy-making leading to feasible proposals for improvements.
2. It should be systematic and comprehensive enough to result in a significant and penetrating analysis.
3. It should be normative in establishing processes and structures which can result in the desired maximum net output of goals can be achieved.

The optimal model avoids the two extremes of being too imaginative or too realistic. It provides an optimal goal that is more than an incrementally improved extrapolation of the present situation.^[17] Dror critically analysed various models. The pure rationality model, the economically rational model, the sequential decision model, the incremental change model, the satisfying model and the extrarational model, after giving his optimal model.

Characteristics of the Optimal Model

Dror gave five major characteristics of the optimal model on which further analysis is based. They are:

1. **Qualitative, Not Quantitative:** The quantitative aspects of optimal policy-making depends on available inputs or stipulated outputs in the following three ways:
 - (i) **Highest Net Output:** The gross output must be achieved for satisfactory quality with the lowest possible input simply put, highest net output with fixed gross output.
 - (ii) **Given Input:** If the given input is fixed, highest net output must be achieved.
 - (iii) **Non-Fixed Input and Output:** If in a given situation, inputs and outputs are not fixed, there will be disproportional output because of variations policy-making must be distinguished into quantitative and qualitative aspects that will identify and discuss the optimal policy-making.
2. **Rational and Extrarational Components:** Optimal model is based on extrarational processes in decision-making and policy-making. It needs both rational as well as extra rational components. Limited resources, uncertain conditions and lack of knowledge require innovation, intuition and creativity as extrarational elements where rational policy-making does not work.
3. **Economically Rational:** There is always a limit on funds for governments and thus, they must be allocated in the most economical terms. A policy must have a multiple-level structure.

4. **Metapolicy-making phases:** The metapolicy-making phases include three main stages:

- (i) **Metapolicy-making:** On how to make policy.
- (ii) **Making policy:** On substantive issues.
- (iii) **Re-policy-making:** Making changes in the policy based on feedback.

The metapolicy-making phases manage the policy-making system by:

- Identifying problems, values and resources and allocating them to various units of policy-making.
- Designing, evaluating and redesigning the policy-making system.
- Determining the main policy-making strategies.

5. **Extensive Feedback:** Feedback is needed for two purposes:

- For finding out whether discrete policies need to be revised.
- For enabling the policy-making system itself to learn.

Feedback takes place during and after policy-making comparing actual output with expected output so that policy-making can be improved and corrected.

The Phases of the Optimal Model

The optimal model includes three major stages meta- policing, policy-making and post-policy-making closely interconnected by communication and feedback channels. There are eighteen phases given below:

I. **Meta-policy-making Stage:** It includes seven phases. They are:

1. Processing values.
2. Processing reality.
3. Processing problems.
4. Surveying, processing and developing resources.
5. Designing, evaluating and redesigning the policy-making system.
6. Allocating problems, values and resources.
7. Determining policy-making strategy.

II. **The Policy-making Stage:** It also includes seven phases. They are:

8. Allocating resources.
9. Establishing operational goals, with some order of priority for them.
10. Establishing a set of significant values with some order of priority for them.
11. Preparing a set of a major alternating policies, including some 'good' ones.
12. Preparing reliable predictions of the significant benefits and costs of the various alternatives.
13. Comparing the predicted benefits and costs of the various alternatives and identifying the 'best' ones.
14. Evaluating the benefits and costs of the 'best' alternatives and deciding whether they are 'good' or not.

III. **The Post-Policy-making Stage:** It includes three phases. They are

15. Motivating the executing of the policy.
16. Executing the policy.
17. Evaluating policy-making after executing the policy.

All the above given 17 phases are interconnected by a complex communications and feedback network which can be considered a separate phase.

18. Communication and feedback.

Thus, the optimal model can be considered as a fusion of the economically rational mode with the intra-rational model. However, it was criticized by various scholars.

Critique of the Optimal Model

Dror paid attention to all the aspects of the policy-making process that would be normative and optimal. However, his model has been criticized on the following grounds:

1. **The Human Element:** Dror's attention, in building the normative optimal model, was wholly on the process of policy-making but he missed out on the 'public' in public policy. There was no mention of citizen engagement and participation nor any focus on who the target of the policy is.
2. **Lack of Strategy:** Dror himself accepted that in the need for both rational and extrarational components in the normative model, there is no methodology to achieve it. If there is a need for creativity and innovation in public policy-making, he did not suggest way or research institutions that could help in this aspect. However, in India, the think tank, NITI Aayog strives to achieve extra rationality by hiring experts from within and outside of India to make good use of their expertise and new ideas.
3. **New Techniques:** Dror did not give any mention of the use of new techniques in the public policy process which can improve and speed up the process.

However, Dror has been very detailed in his policy-making process phases giving a framework to the makers of policy.

Q7 *In public policy-making, 'Rationalism' is the opposite of 'Incrementalism'. Examine.*

OR

What are the features and disadvantages of the mixed scanning, the third approach?

Ans. Decision-making comprises of making a choice deliberately. Amitai Etzioni proposed the mixed scanning approach after discussing the rationalistic and the incrementalist approach. A rationalist approach requires greater resources that the decision-makers command and on the other hand, the incrementalist strategy acknowledges the limited capacity of decision-makers and foster decisions that neglect societal innovations.

Etzioni presented the mixed scanning approach that reduces the unrealistic aspects of rationalism by limiting the details required in fundamental decisions and helps to overcome the conservative slant of incrementalism by exploring longer-run alternatives.^[18]

The mixed scanning provides a realistic as well as an effective strategy for actors to follow.

Features of Mixed Scanning

Etzioni gave the mixed scanning approach, combining the rationalist and the incremental approach. Given below are the main features comprising the mixed scanning approach.

1. **Multiple Levels:** The scanning can be divided into multiple levels with varying degrees of detail and coverage including an all-encompassing level and a highly detailed level. This will take care of all the details and feasibility of the decision.
2. **Assets and Time:** The assets and time to be invested in the levels of scanning depends on:
 - The total amount available.
 - Experimentation with various level combination.

The amount of assets and time can be altered at each level depending on the changes and dangers involved in the environment.

If the decision-maker happens to stop a course of action to reduce further losses, considering the changes occurring in the environment, it will be regarded as a part of the solution.

3. **Reality, not a Straight Line:** Reality cannot be thought of as a path on a straight line in which one step leads directly to another solving the problem like in incrementalism. Mixed scanning allows a combination of various levels of scanning making way for studying a particular set of conditions in various situations.
4. **Difference Between Fundamental and Incremental Decisions:** The fundamental decisions are made by studying the major available alternatives with respect to the goals with feasibility as the foundation while omitting the details. On the other hand, incremental decisions are made within the context of fundamental decisions and reviews.

Mixed scanning comprises both type of decision-making to strengthen the process in a combination outlining the third approach.

5. **Evaluation of Decisions:** The end-client and the decision-maker in this case the policy-maker, has the responsibility to evaluate the decision-making strategies to determine effectiveness. Incrementalism does not allow measuring of decisions refuting any kind of evaluation. However, a ranking of the values can be done on an ordinal scale. Even if full detailed rationalism is not possible, Mixed scanning allows for truncated (shortened) reviews are feasible leading to more effectiveness in terms of achieving goals rather than just 'mudding through', as Etzioni put it.
6. **Morphological Factors:** Morphological literally means relating to the form of structure of things. In this case, the positions and power relationship among the policy-makers are the most important intra or inter-organizational relationships between the officials responsible for decision-making affecting the decision with respect to the details of the issue. Higher ranking position-holders are least interested in the details which are a subject matter of experts.

Furthermore, incremental approach is appropriate in a stable society but in a rapidly changing economy it will prove to be most ineffective. Mixed scanning's flexibility takes into account all factors of the societal environment to which the decision has to be implemented. It allows for adaptation at various levels according to changes in the socio-economic environment.

7. **Capacity of the Policy-Maker:** Etzioni used the word 'actor', 'decision-maker', but in this context, since this approach is being discussed for policy-making, the term, policy-maker is used. The capacity of the policy-maker plays a major role in mobilizing power to implement the decision that he/she takes. The units that have a higher level of capacity and control, can have a more encompassing scanning to achieve a more effective decision-making.

Etzioni pointed out that the developing nations focus more on planning while they have less capacity and control but still apply incrementalism. On the other hand, the modern pluralistic societies indulge very less in planning despite of having high capacities to scan. The differences can be understood better through Table 44.1 given below:

Table 44.1: Differences between Developed and Developing Nations

S. No.	Developing	Developed
1.	Focus more on planning but low in capacity.	Focus less on planning even though high in planning.
2.	Sub societies reduce the capacity to follow long run planning.	Homogeneity in the society lead to making long-run planning possible.
3.	Increments are preferred in non-crisis situations which don't exist.	Incrementalism is possible due to stable society
4.	Too much focus on centralized planning leads to failures due to later adjustment as a result of changes in the environment.	A macro envisioned plan is made with scope of multi layered scanning.

To sum up, a society to be capable of handling issues would require:

1. A higher capacity to build consensus than even democracies command.
2. More effective though not necessarily more numerous means of control than totalitarian societies employ.
3. A mixed scanning strategy which is not as rationalistic as that which the totalitarian societies attempt to pursue and not as incremental as the strategy democracies advocate.^[19]

Critique of the Mixed Scanning Approach

Despite of formulating an innovative approach of mixed scanning, there are some problems that the approach entails. They are:

1. **Data-Collection:** Integrating two methods, the rationalist approach and the incrementalist method is not easy because they depend on data and solid research. It is difficult to integrated data of both the methods.
2. **Time Required:** The mixed scanning approach requires a lot of time to triangulate all the varied available data to analyse and render it for implementation.
3. **Similar Mixed Approaches:** Hogwood and Gunn also proposed a mixed methods approach as did many other researchers. The steps outlined all varied so it is up to the researcher to find the best combination of stages involved to arrive at the best suited strategy in public policy-making.
4. **Cost:** As a corollary of the criticism of time needed to collect and collate data, mixed scanning approach is a costly approach as it has to support extensive research.
5. **Unbacked by Observations:** Etzioni builds a case for capacity of a decision-maker in developed versus developing nations but does not give his observations and relies more on general principles.

However, mixed scanning approach has its definite positive elements that can be applied to decision making and policy-making.^[20]

Q8 *Discuss the game theory and its contribution to public policy. What are its limitations in applying it to public policy-making?*

Ans. Public policy-making has two main issues of inequality and the distribution of efficient market outcomes to contend with. However, policies generally tend to be made in isolation instead of considering these issues. Strategic decisions need to be made with respect to their impacting other decisions or pay-offs.

In the 1950s, the first applications of game theory were applied to philosophy and political science. Prior to that in 1928, John Von Neumann and Oskar Morgenstern stated that games theory would have pay-offs. It was proposed for the first time that the ultimate benefits of any economic activity are subjective, in the nature of utility. There have been various scholars since then and twelve learned prefers have received Nobel Prize in game theory.

The main thrust of the game theory is that a decision-maker takes decisions by considering the rival's strategy where there are a number of organizations striving for the same goal. The decision is taken to minimize losses and risk.

Meaning and Definition: A game theory can be understood in different perspectives as it can be applied in multifarious spheres. It is difficult to define it but generally accepted definitions of game theory are:

- The study of strategic interactions between players based on different preferences which lead to different results.
- It is a rational analysis of a set of concepts to arrive at decisions in conflicting and competitive situations regarding cooperation and interdependence as per rules.

GAME THEORY IN THE CORPORATE SECTOR

It is usually understood that game theory is applied in two types of games of economics.

Cooperative Games

The stakeholders willfully comply with legal contracts concerning joint strategies in cooperative games. Some companies can get together to determine a fixed price for an identical commodity or service to ward off price fluctuation of uncertain volume of sales.

Non-Cooperative Games

The second category concerns non-cooperative games in which the companies do not make any joint strategy. As the name suggests, companies try to undersell to capture the major market share.

Both the above-mentioned categories involve quantitative methods to arrive at the conclusions and strategies of economies.

Games Theory and Public Policy

The vastness and the varied scope of games theory cannot be covered here even if we consider it with respect to public policy. Since public policy is concerned with the policies made by the government, the game theory of cooperative and non-cooperative games cannot be applied to all policies.

Game theory is most useful in formulating foreign policy or export/import policy. A nation can anticipate the moves of its opponent nations to formulate its own policy. The word 'game' is a scientific metaphor for the diverse range of human interactions. The outcome depends on these interactions and policies of two or more than two players.

As far as export/import is concerned, the government can apply game theory and sign trade agreements with another country or a large corporation who have contrast or mixed motives. This can lead to building their strength in the global market by competing with respect to prices and quality.

Foreign policy can also be formulated by applying game theory by selecting strategy 'rationally' or considering the strategies that the other countries are selecting. The government can decide if it is rational

to cooperate or not cooperate for reaping mutual gain or avoiding mutual loss. Morality can be weighed against trade-offs in case outcome is favourable.

Features of Game Theory

Games theory is not a single linear path as it involves various aspects and properties. The fact that till today twelve researchers have been awarded the Nobel Prize proves the number of variables that can be used in game theory. However, the major features are mentioned below in brief.

1. **Competitive Game:** A situation involving competition is termed as a competitive game. The following points are usually found in it:
 - It can be a two-person game or an n-person game.
 - There is a definite number of possible course of actions with each player.
 - A play begins when each player begins his/her activity after making a choice. Each player selects the activity without knowing each other's choice and the game begins simultaneously.
 - The activity or a combination of activities leads to an outcome as a mutual gain of payments to the participating players on the other hand, the whole activity can result in the loss of the same amount.
2. **Strategy:** Each player chooses his/her own choice of strategy in the game. It can be pure or a mixed strategy.
 - **Pure Strategy:** It means that the decision is a rule that directs the players to choose a specific strategy to maximize profit.
 - **Mixed Strategy:** It means that there is a probabilistic condition to be accomplished to maximize profit. The pure strategy is combined with fixed probabilities. At times game strategy is also used.
3. **Number of Persons:** There can be an 'n' person game comprising of either an individual or a group to achieve a specific objective. Two-person, zero sum game involves only two players. One player's loss will be another player's gain making the sum total of the profit zero. There can be two-person, zero sum games also, which are termed as 'Rectangular Games' comprising of a pay-off matrix. It can be calculated by defined rules.
4. **Number of Activities:** There can be finite or infinite number of activities.
5. **Pay-off:** It is the quantitative measure or calculation of the satisfaction than a player derives when the game is over.
6. **Game Value:** It is unique as it is the maximum assured game that a player gets while both the players apply their best strategies.

Limitations of Game Theory

Game theory is based on mathematical quantitative methods and tools. Applying game theory to public policy-making is quite unsuitable and complicated. Given below are the limitations of game theory:

1. **Complicated:** The game theory is very complicated to apply as it requires extremely professionals and experts in management as it has calculations of pay-offs, pay-off matrix, etc. On the other hand, complexity increases when even though pay-offs depend on another's activity, people can talk to each other.

2. **Infinite Number of Strategy:** Even though there is a finite number of possible alternatives available to a player, in reality there are infinite number of choices.
3. **Knowing Others Strategy:** One of the basic assumptions of game theory is that each player has knowledge of the others strategy but in reality, sometimes it is open and transparent leading to errors in results.
4. **Zero Outcomes:** The outcome in reality is not zero as one person's loss may not be equal to another's benefit.
5. **Risk and Uncertainty:** Game theory is successful in a static environment but in a risky and uncertain condition, problems are rarely well-defined and there is imperfect information. In volatile situations like war, there is no time to apply game theory.

On the whole, it can be said that game theory can be applied only in foreign policy or export/import situations. It is a difficult theory to be applied in public policy-making.

Q9 *How can the elite model help the public policy-making? Does it 'help' in delivering social justice or is an impediment?*

Ans. The elite model came into existence in the early twentieth century as the 'Theory of the Iron Law of Oligarchy' developed by political theorist Robert Michels. Karl Marx also supported it after getting disillusioned with democracy. Michels published his work, 'Political Parties' in 1911. According to him, oligarchy, the rule of the few, is inevitable at all times and in all places, however democratic the organization may seem to be. This rule of the few is not even inevitable, is not only an 'Iron Law', it is always ultimately a rule in the interests of the few.^[21]

Democracy was spreading all over the Europe after the First World War when Michels believed that democracy and oligarchy are inevitable. In the present day of modern democracies, the oligarchy still continues to rule as elite which comprises public administrators, politicians and a few powerful and rich businessmen. The theory proposes that this elite group influence the policies with their power which does not conform to the electoral processes of the state. The oligarchy theory gradually transformed into the elitist theory in the USA democracy is supposed to be run by people but in reality, the elite rules the country by influencing policy-makers.

GROUP THEORY

Robert Michels also talked about groups that form as industrial associations, pressure groups emerging out of Civil Society Organizations (CSO) and trade unions. They have become strong and act as lobbyists pressuring the government to formulate policies in their interest. They conform to the 'Iron Law of Oligarchy' and digress the government from delivering social justice.

Elites and groups are directly opposed to the pluralist philosophy. It would be wrong to say that groups do not work for social justice but generally overlook the division of the society into elites and masses promoting a negative competition. Since the elite groups do not depend on the masses to further their interest, influence the government in policy-making in their favour with a total disregard for social justice.

This is a perpetual dilemma the government in finding the best way to make a policy. If it goes through the empirical way, then it can work for the masses but the pressure of the groups (of all kinds) hinder in their unbiased path, ultimately impeding social justice.^[22]

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45

Processes of Conceptualization, Planning, Implementation, Monitoring, Evaluation, Review and their Limitations

Learning Objectives

In this chapter, you will learn about:

- Policy Formulation and Policy Analysis in Developing Countries
- Policy Implementation and Policy Legitimization
- Monitoring, Review, Evaluation and Limitations of Public Policy
- Challenges in Public Policy in India

Policy-making, by the governments, involves the conceptualization of the problem and setting up of agendas in the initial stage. It is followed by planning consisting of negotiations, considering the interests of various stakeholders and considering various agendas. The phases of policy-making comprises formation, legitimization, implementation, evaluation and maintenance. Their limitations are assessed to improve their performance.

Q1 ***There has been an increasing emphasis on the need for policy formulation and policy analysis in order to ensure improved performance by conceptualizing the policy via planning in developing countries like India. Discuss.***

Ans. A careful study of the concept of public policy establishes the fact that it is an activity of a government, however, involving various stakeholders like large corporations, charitable organizations, interest groups or other social groups. They can form an opinion but only the governments have the authority to formulate a policy on their behalf and provide it a legitimacy. The government decides how much extent of participation it wants to allow to influence its policies.

Policy Analysis: Before a policy is formulated, a process of conceptualization or a policy analysis is essential. It is universally accepted that there is always room for improvement in policy analysis to get the desired outcomes. The world is rapidly changing with new technological advancement on literally a day-to-day basis and the policies need to be modified to cope up with the changes.

There are various factors on which a policy design depends on, like:

Knowledge: According to Yehezkel Dror, 'Knowledge that is relevant to devising a given policy and knowledge that is relevant to policy-making are different'.^[1] This distinction is described below:

Policy-Issue Knowledge: It refers to knowledge pertinent to a specific policy, for example, health, education or foreign affairs. It deals with the policy-making system with how it operates and how it can be improved. Some areas that policy-making knowledge deals in are:

- Operation of organization structures (organization theory).
- Ways to improve the quality of the people engaged in policy-making (personnel development).
- Collecting and using information (intelligence studies and information theory).
- Coordinating and integrating different policy-making units (political science).
- Designing better decisions (operations research and decision sciences).
- Analysing, improving, and managing complex systems (systems theory).

Policy-making knowledge, hence, deals with the problem of how to make policies while making policies. Hence, both the concepts of policy-issue knowledge and policy-making knowledge are called policy knowledge by Dror.

How to Improve Policy-making Systems

Policy Science and Analysis has the responsibility of improving the design and operations of policy-making systems. A few things that can be done in this field are:

- The policy knowledge can be made use of only if the system is capable of doing so to improve the policy and the situation, for example, expert staff can be employed to improve the system.
- Secondly, to use the policy knowledge, other changes will have to be made in the operation of the policy-making system, for example, application of organization theory about conditions to increase creativity.

Hence, the conceptualization of policy is essential to move on to the process of formulating a policy.

Objectives: Identifiable objectives are an integral component of policy analysis. The process of deciding objectives of an organization depends on the available resources that are required to implement the policy.^[2]

Policy Formulation

Policy formulation is extremely important to reach anywhere close to the desired outcomes. The first phase involves the different levels where policies are developed out of the political level, it is the first and foremost level keeping in mind the intended impact and the unintended impacts that may hamper the progress. Given below are some considerations to keep in mind while indulging in the policy formulation exercise:

- **Situation Analysis:** With the latest management techniques available at hand, a situation analysis is important to initiate the problem identification stage in policy formulation. The SWOT analysis is an accepted method to understand the, Strengths (S), Weaknesses (W), Opportunities (O) and Threats (T). While scoping the problem, other mapping techniques that can be used investment logic mapping and benefit dependency mapping.

The political party in power must ensure that problem identification aligns with its party manifesto during the elections.

- **Systems Approach:** While formulating a policy, the systems approach can be applied by deciphering if an open system must be chosen or closed one. An open system is preferred to a closed one because organizations continually interact with its environment. All factors and stakeholders which are going to influence the policy must be taken into consideration.
- **Implications:** The first stage of policy formulation that is, the problem identification, considers this stage that will later affect the situation in its implementation stage. However, problem definition cannot be definitively settled and locked in at the beginning. It has to be modified from time to time.
- **Constraints:** Besides identifying the problem, a proper watch must be kept over the constraints that might prevent the goals and objectives from being accomplished. Prediction must factor in with respect to any constraints or problems that might happen in the future and be prepared for the unknown.
- **Pressure Groups:** Many occasions arise when pressure groups or lobbyists influence and pressurize the government to make policies which they favour for their self-interest. The pressure is clearly the funds that they donate to the campaign of the political parties. The government has no way out but to bow down, thereby, making policies that help only a few but adding to the economic development. This pressure needs to be dealt with by involving the large pressurizing corporations to help the government in its social causes by Corporate Social Responsibility (CSR).

After considering the above factors, the process of policy cycle moves on to agenda setting.

Agenda Setting

The agenda setting is the process or behaviour to adopt social issue or problem as a policy problem in process, a social issue or problem is chosen as a governmental issue. It is the process by which problems and alternative solutions gain or lose public and elite attention.^[3] The agenda setting is an integral part of the political process which began in the 1970s out of the weakness of the pluralist approach.

There are three ways in which the government agenda setting can take place. They are:

1. **Outside Initiative Model:** Problems that are outside the government's preview crowd towards the system and come into the notice of the government. Various pressure groups and lobbyists set out their agenda of issues and expand it to gather support from other similar groups.
2. **Mobilization Model:** The bureaucracy initiates a policy agenda with public support and acceptance so that the implementation stage becomes easier.
3. **The Inside Initiation Model:** This model propagates the synergic link between the systemic and governmental agenda by Lobb, Ross and Ross. The issue is initiated with the government with source influence of certain groups or lobbyists without any public engagement.

The first model is found in liberal democracies, the second in hierarchical societies and the third in authoritarian-bureaucratic nations.^[4]

Some other types of agendas for policy formulation are:

- Systematic agenda
- Institutional agenda
- Discretionary agenda
- Decision agenda

After a careful and detailed consideration of all the factors, agendas and choices, the problem identification is finalized to form a policy with a strong base of policy conceptualization.

Public Policy Formulation in Developing Countries like India

The socio-economic conditions have a strong influence over how their public policy is shaped. Developing countries have a peculiar and different set of problems and issues than the developed nations. They are characterized by weak institutions, low capacity training, a large population below the poverty and weak infrastructure. So, the governments have to consider and formulate policies in strengthening these areas rather than only economic development.

The development of public policy in India has been very slow. After Nehru tried to implement socialist views and established the Five-Year Plans, with centralized planning, there came a stalemate in the public policy development in India. Planning and policy consensus became an area of bureaucracy. The politicians focused only on winning elections and left policy-making to the bureaucrats, for want of formal education and lack of understanding of the process.

Economists like I.G. Patel and Raja Chelliah dominated the field making it an economic policy-making field. As a discipline, it has recently opened up as a course in select universities after the advent of liberalization in India. The increase in the number of stakeholders requires public policy experts. India passed many legislations but they do not represent policies.

Social media and print media influence public policy to a high extent as can be seen in the recent moving of the Bill in favour of revoking *Teen Talaq*. The NGOs, Civil Society and pressure groups influence the government decisions to pursue policy over the relevant issues.

Not only India but also in other developing countries, the bureaucratic politics synergy dominates the policy-making process. The developing countries involve the stages of the policy cycle—problem, goals and priorities, solution options for the achievement of policy objectives, cost benefit analysis, negative and positive externalities are associated with each alternative.^[5]

The developing world relies most on:

- Identifying the policy actors.
- Understanding their beliefs and motivations.
- Their judgments of feasibility.
- Their perceptions of the political context which is relevant in the concerned country.^[6]

However, in India as well as other developing countries, politico-bureaucratic model works because of weak institutional framework. The technocrats in the developing countries dominate the policy design which becomes a part of the political process.

In India, NITI Aayog has come to play an important role in policy planning, as a think-tank to conceive policy design. Hence, it is a mutual relationship between the think-tank, NITI Aayog, the government, bureaucrats, labour and the private sector. To help the NITI Aayog, the National Development Council and the National Advisory Council, comprising of professional experts deliberate on policy issues and engage the civil society in finalizing the policy issue to move on to its legitimacy.

Q2 *'Policy-making does not end once a decision is made'. The implementation of the decision can have just as great an impact on public policy as the decision itself. Discuss with special reference to the developing countries.*

OR

Elucidate the concept of policy implementation. How does implementation assessment focus on the operation of a public policy? How important is the policy legitimization? Discuss.

Ans. Once the agenda setting, that is the identification of a problem, and the policy formation is over, the stage of its implementation sets in. However, a stage interluding these phases is the policy legitimization. A policy moves to the Parliament to make it a law as per the law of the land. Legitimacy is important to gain public acceptance of the policy, for example, in India, the policy to provide employment for at least 100 days in a year to the marginalized sector, was legitimized in the Parliament of India as the Mahatma Gandhi National Rural Employment Guarantee Act, 2005.

The public policy implementation holds the key to achieve the desired outcomes. The role of bureaucracy comes into play to have effectiveness of the policy. This stage falls onto the fourth level in the policy cycle given in Fig. 45.1.

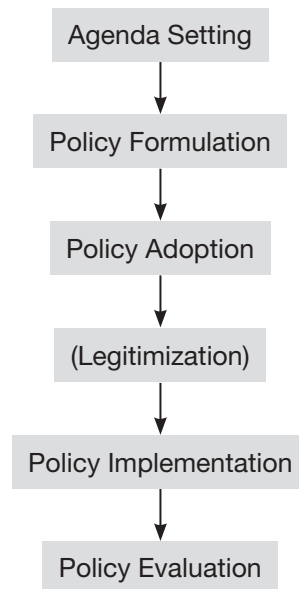


Figure 45.1: Public Policy Cycle

Generally speaking, policy implementation has been understood to be a linear process of simply progressing from its formulation and legitimization into policy implementation in a linear curve. There had been very less research designed with respect to policy implementation. It was assumed that the bureaucracy would just take over whereas policy design and the tools used in it are the most important to achieve effectiveness of the policy. (We have discussed various models of public policy to apply in the levels of the policy cycle).

Given below are some major studies and approaches of how policy implementation can take place:

1. **Hogwood and Gunn:** Hogwood and Gunn approached implementation of a public policy as an organizational and interorganizational phenomena. It considers the factors which 'undermine the perfect administration' giving some guidelines how the policy makers must prevent the challenges (Discussed in Chapter 44.).
2. **Approaches:** The top-down approach that assumes that the policy decisions at the top will trickle down on their own has been criticized and rejected by almost all the scholars. Lower-level actors and stakeholders are important in understanding if some changes are required to be made in the policy so that it can be effectively implemented. So, the bottom-up approach is more useful.

3. **The Realist Approach:** The Centre for Institutional (CI) Studies at London developed a realist approach. It considers the policies with respect to the design meant for solutions. It has the virtues of a 'rational' approach as it makes policies susceptible to a similar kind of critical analysis to that of scientific theories and offers grounds for policy choice in terms of their effectiveness in solving problems. It recognizes that various actors have different definitions of rationality and is capable to deal with conflicts arising during the implementation process.
4. **Situational Analysis:** (As discussed earlier) The situational analysis involves restructuring of the problem situation in which the public official finds himself/herself in, to adapt for successful implementation. This approach promotes rationality in problem-solving instead of following the 'Perfect-Administration Model' believing that the officials will implement the policy as designed. Hence, the behavioural aspect of people is included to have a direct impact by acknowledging the constraints. The constraints can be financial or opposition by the local communities. If this is the situation, it implies fault in the policy formulation and agenda setting stage and the neglect of these eventualities. Productiveness is essential to safeguard the policy.
5. **Policy as Trial Solution:** There can be no surety of the success of a policy beforehand but the government agencies have to move forward with it by employing trial solution. Outcomes have to be kept as goal and policy-as-trial-solution has to be measured against it. Deterministic prediction is not possible to be accurate, hence implementation of a policy can at best be a trial solution.
6. **Availability of Resources:** Policy implementation, after a policy has been legitimized, cannot be done if resources are not made available to carry out the policy. If there is a time delay, it leads to cost overruns and creates a gap that cannot be filled. Other resources like land, equipment and technology are equally important for timeliness.

Hence, to summarize how policy implementation process can succeed taking into consideration the following factors, they are:

- Policy standards and resources (basically funds).
- Support for those policies in the political environment.
- Economic and social conditions.
- Characteristics of the implementing agencies.
- Communication of policy standards and other decisions within and among implementing agencies.
- Incentives to promote compliance with policy decisions.
- The policy dispositions of implementing officials.^[7]

Basically, rules, projects or a combination of rules and projects push start the process of implementation.

Q3 *'Public Administration consists of all those operations having for their purpose the fulfillment or enforcement of public policy.' Comment.*

OR

Elucidate the monitoring, evaluation and review and the limitations of public policy.

Ans. 'Public Policy Cycle' involves the monitoring and evaluation stage to review what went wrong and what can be done to remove the challenges and difficulties faced during the policy implementation or if there was some fault in policy formulation or its adjudication. 'Monitoring and Evaluation' (M and E) is a diverse and disparate set of activities within the policy cycle. Monitoring is increasingly embedded in the

performance system while evaluation has an uncertain role with uncertain importance with a doubt over its being a system or a practice.^[8]

The basic purpose of M and E is to interpret it as a tool to manage interventions, improve practice and ensure accountability.^[9] They can also be used as instruments for rational policy decision making. According to the Global Public Policy Institute, Germany (The institute works with the UN funding), M and E systems are different in different circumstances especially in developing countries and even more so in volatile environments like Sudan, Somalia, Syria and Afghanistan.

Real-time evaluations are used to inform policy-makers about what is happening on the ground so that they can act to address problems before they get worse.

Policies convert into programmes and projects are measured based on 'Performance Measurement Indicators' which have been laid down by international agencies but can vary from government to government depending on the socio-economic factors and non-insecure volatile environments.

Data or information in developing countries is difficult to gather and analysed due to issues like corruption and outdated technology. The question then arises why data of programme results must be collected and even more so if nothing will be done about it. In developing countries, investment needs to be made that can turn into relevant evidence. Further efforts are needed to make this evidence available to the multiple actors that can benefit from the knowledge gained, mostly the administrators and policy-makers that are responsible for the formulation and implementation of government programmes.

Since it has been established that there is hardly any chance that adjudicated policies will be implemented on a linear path, evaluations and monitoring play a major role in putting the policy onto ground.

DESIGN OF EVALUATIONS

The World Bank has given five basic tenets to design evaluations that would be useful in the M and E of the policies:

1. **Be Open and Keep it Simple:** Evaluations must be made public and understandable to improve transparency and would put pressure on that government and the administration to actually use them.
2. **Where's the Beef:** It must be ensured that the evaluations include information that can be used by the policy makers.^[10]
3. **Timing:** Evaluations must be completed at strategic times so that data is available for the policy-makers when they need it to make decisions.
4. **Constructive Evaluations:** Evaluations must not come across as judgements leading to inquisition people must trust the power of evaluations to avoid hiding of information, even if it is negative in the evaluation process.
5. **Ask the Right Questions:** The evaluation must comprise such questions that are relevant to the policy makers.^[11]

The World Bank's Governance Global Practice aims to help governments build strong architecture and systems to build legitimate evaluations by integrating the evaluation process into the policy-making process. The World Bank offers to work with planners, budget offices and centers of government to help connect evaluation architecture to the policy side.

Public Policy Monitoring and Evaluation in India

Public Administration includes the instruments required to carry out the operations to enforce the public policy as well as to monitor, evaluate and review it. In India, National Productivity Council of India (NPC), established in the year 1958, is an autonomous organization under the Department of Industrial Policy

and Promotion, Ministry of Commerce and Industry, Government of India which prepares frameworks for policy formulation and implementation.^[12]

Rationale for M and E: The increase in public expenditure as well as emergence of new range of models (such as Public Private Partnerships) for infrastructure development and for various services has resulted in growing demand for monitoring and evaluation and performance management from the government project implementers, international donor organizations and the civil society at large. There is an imperative need to put in place effective monitoring, evaluation and performance measurement in order to improve the effectiveness of the outcomes. More effectiveness is required to be paid not only to outlays but also to outcomes.^[13]

M AND E IN INDIA

Monitoring: Monitoring of a program or intervention involves the collection of routine data that measure progress toward achieving program objectives. It is used to track changes in programme performance over time. The common types of monitoring are:

- (i) Results monitoring
- (ii) Compliance monitoring
- (iii) Context (situation) monitoring
- (iv) Financial monitoring
- (v) Beneficiary monitoring
- (vi) Organizational monitoring

Evaluation: Evaluation measures how well the programme activities have met expected objectives and/or the extent to which changes in outcomes can be attributed to the programme or intervention.

Evaluation is of various types:

- According to evaluation timing:
 - Formative evaluation
 - Summative evaluation
 - Mid-term evaluation
 - Terminal evaluation
 - Ex-post evaluation
- According to who conducts the evaluation:
 - Internal or self-evaluation
 - Participatory evaluation
 - Joint evaluation
- According to evaluation technically or methodology:
 - Real time evaluation
 - Joint evaluation
 - Meta-evaluation
 - Thematic-evaluation
 - Cluster/sector evaluation
 - Impact evaluation

M AND E FRAMEWORK

M and E is an ongoing process requiring data collection:

- From varied sources and locations
- From different people
- By different people

So, the M and E framework must be done by an independent, neutral and organized external agency or an institution. Its importance lies in the obvious fact that it ensures that the work is on track. The M and E framework encompasses the following:

- It lists a projects audience.
- Their informative needs.
- The strategies that will used for data collection.
- The indications.
- The methods that will be used and for data collection: when, by whom and where.

The M and E helps to:

- Make informed decisions regarding programme operations and service delivery based on objective evidence.
- Ensure the most efficient and effective use of resources.
- Objectively assess the extent to which the programme is having or has had the desired impact, in what areas it is effective and where course corrections need to be considered.
- Meet the organizational reporting and other requirements and convince programme implementing agencies that the investments have been worthwhile or that alternative approaches should be considered, etc. M and E processes lead to ways to increase productivity by identification and introduction of suitable timely interventions.

PARLIAMENTARY CONTROL

There are Parliamentary control mechanisms in place in India to carry out M and E and review of ensuring that the policies are being implemented in accordance with the rules and laws laid down for its appropriated funds. There are three Committees constituted for this purpose, which are:

- Public Accounts Committee
- Committee on Public Undertakings
- Estimates Committee

Besides these Committees, there are select Committees which can be standing Committees or *ad hoc* Committees, 18 department related standing Committees of Lok Sabha and 6 Committees of the Rajya Sabha.

Q4 *Discuss the challenges being faced by India in the Public Policy process. What can be the way forward to become a skilled and inclusively developed society?*

Ans. India is a country full of paradoxes. The elite in the country are forward looking, they emphasize the need for reskilling but, they conduct all this with backward-looking institutions.^[14] India's social as well as economic development faces time delays in processes and disbursement of funds in the face

of the exquisitely framed policies also. This implies that there are issues in policy implementation and evaluation. The best example is MNREGA which faced charges of corruption and delayed payments to the deserving workers.

The current status of policies and schemes is that they are in abundance. The issues being faced presently are:

1. **Public Perception:** There is an abundance of existing and new improvement schemes and programmes for the marginalized sectors in India and the private sector. The mood of the people perceived is of dissatisfaction and frustration regarding their poverty, employment, government procedures despite of India's jump of places in the ease of doing business ranking. Hence, there is a loss of public trust and the nation faces a reduction of human capital. Public trust building is essential to improve public perception and participation to accept the schemes and programmes.
2. **Inclusive Development:** It is important to reduce the gap between the rich and the poor in all respects. Economic growth in India. India is rapidly increasing and so is the divide. The Government of India has aligned itself with the SDG Agenda 2030 to achieve sustainable and inclusive development, leaving no one behind. The Union and State budgets are connected with the 17 SDGs but the trickle down of this benefit is small and needs to match with the numbers of economic growth.
3. **Quality Service Delivery:** A lot of budgetary allocations have been made *in lieu* of delivery of public service like health, education, sanitation, etc., but the problem of service quality still remains a problem. For example, the government school children are unable to compete with private school students whereas it should be a matter of pride to study in a public school. According to a World Bank survey, the government teachers are paid three to four times to what the private school teachers are being paid but it is not linked with performance in any way, which must be done. A portion of the salary can be linked with performance.

Decentralization of schemes is another way to see that services are evaluated by local administrators and rewards or punishments are based on the review reports. Direct Benefit Transfer (DBT) has been started by the Government of India, based on Aadhar linkages, and this system needs to be strengthened.

4. **Engagement of NGO's:** After the worldwide fiasco of misappropriation of funds and conduct of international NGOs the international donors shirked away from funding the NGOs. In India also, a large number of NGOs came in the net of fraudulent practices and misappropriation of funds. So, the governments did not encourage them until recently. In 2017, the NITI Aayog held many sessions with the civil society and come forward to engage themselves with the developmental work. It continuously asks for suggestions in drafting policies related to social and economic services.

Hence, the demand for stronger links between research and policy has become urgent while using professional methods and techniques to revamp and modernize the bureaucracy.

5. **Urbanization:** With more and more liberalization, privatization and globalization policies, the problem of urbanization has emerged in India. Despite of governance reforms, the resource users are left in object misery and poverty urbanization has increased due to rapid industrialization to increase economic growth. Along with it have come the issues of health, housing, sanitation, clean drinking water, etc. The State and the civil society need to work together to implement the policies of the government because the locus of policy-making has shifted from the state to other actors which are the markets.

More than one-third of Indians live in cities. It is estimated that, by 2050, as many as 900 million people will be living in urban centers. Meeting their needs while safeguarding the environment will require innovative models of urban development.

6. **Translating Theory into Practice:** The application of theoretical principles of public policy into practice in India does not materialize without trade. Specialization of varied fields tends to ignore the larger picture as it diminishes the achievement of objectives. It reduces coordination among the fragmented units emerging out of specialization. Integrating the specialized units increases cost by holding 'n' number of meetings, seminars, study groups, etc.
Thus, in India policy-making structure needs to be the right size to maintain a balance between specialization and integration.
7. **Excessive Overlapping:** Policy implementation, program formulation and policy-making overlap each other work by concentrating more on the operational side of it rather than decentralizing the whole process and listening to the localized public needs. Time is wasted on parliamentary debates rather than paying more attention on agenda setting.
8. **Lacks Input from Outside:** The consultation stage of agenda setting in India lacks the structure and system to consult stakeholders outside the government. In the absence of a structure for consultation and public debates, any acceptance of outside genuine problems is perceived as nepotism. Hence, the politicians and bureaucrats stay away from outside input making policies that are far away from reality.

To sum up, public policy-making can improve by making the process open to public by involving citizens in the formulation of problems. Decentralization to understand local needs is the key to good governance as the policies made would be of the common masses and for the common masses.^[15]

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46

State Theories and Public Policy Formulation

Learning Objectives

In this chapter, you will learn about:

- Pluralist Theory of State in Policy-Making
- Marxist Theory in Public Policy-Making
- Leviathan State Theory
- Patriarchal State Theory

State theories of public policy formulation give different perspectives on the subject. Policy formulation is a State exercise involving the disciplines of public administration and political science. However, theories do not treat the concept in the same way because of the ideology and beliefs that the nations follow individually. The main theories of State in public policy formulation are four, which are:

1. Pluralistic Theory of State
2. Marxist Theory of State
3. Leviathan State Theory
4. Patriarchal State Theory

Q1 **Discuss the Pluralists Theory of State.**

Ans. The Pluralists Theory of State was given by G.D.H. Cole, J.N. Figgis and H.J. Laski. They did not reject collectivism in the terms of anti-State individualism but because in meeting social needs, collectivism became a monopolistic and compulsory organization, reducing the focus on well-being. The pluralists followed the constructive aspects of English idealism believing that individuals enjoy freedom, and the ability to pursue the good because they are social.^[1]

Pluralism emerged out of the criticism of sovereignty stating that the States' power cannot be unlimited and nor can it be homogeneous without any complexities. Pluralists did not consider sovereignty a description of State power but a political, highly consequential doctrine, allowing politicians to carry out their claims to gain objectives.

Features of Pluralist Theory

Given below are the main features that form the Pluralist Theory:

- **Personality of Associations:** F. W. Maitland stated his views in 1903 in his famous lecture in England titled, '*The Moral Personality and Legal Personality*'. He spoke on the legal status of associations within the State and also the legal state of the State itself, given that it too was an association, or organized

group.^[2] Maitland questioned if these associations must be considered as persons in their own right. He proposed that associations were more than just a group. He considered group personality to be real and connects them with the State itself. The reality of the State must be viewed as whole organized community. Associations have the same attributes of the State and as Maitland proposed, the State shares the attributes of legal persons. Maitland considered associations mainly with reference to lawyers.

The State dons a corporate identity and if deficit occurs, it resorts to debt-collection in a situation of overlapping of the public and private domain in the area of service. Maitland suggested that the possible solution was to extend the corporate personality of the State from the public to private domain so that the State could lawfully make contracts, assume debts, employ servants. The corporation was called the commonwealth distinct from its crown, the king.

Lawyers acting as trustees do not succeed in a sustainable relationship between the State and government. Elaborate statutes could help in determining the terms under which public positions were entrusted to natural individuals.

- **State and Associations:** Laski proposed that the State is a form of association having no superior claim to the individual's allegiance. The associations do not have absolute sovereignty and the State also does not. The State's authority must be as federal as the society. The associations are an important component of the society having an ascending hierarchy of groups. This implies that State is not the most supreme. The interests of the society can be reunited with the State to consider the interests of the society's needs.
- **Power Concentration:** Power is not concentrated in a single group but is dispersed among various actors, groups and associations. Hence, group politics plays an important role in unifying interests of the society. This means that sovereignty must be separated as there is no single source of authority. Participatory mechanism of systems, institutions, civil society help in reaching decisions.

Other associations like Church are separate from the State and are instrumental in catering to the social needs. This proves that State is not the only authority but one of the many dimensions of a society.

Sovereignty has been broken down into two parts:

1. External
2. Internal

- **Types of Groups:** The pluralists advocated two types of groups, which are:
 - (i) **Insider Groups:** They are more powerful.
 - (ii) **Outside Groups:** Since the outside groups are not a part of the State they have less access to it and are rendered weak.
- (iii) **Pluralist Models:** After considering the above-mentioned theoretical precepts, the pluralists, Dunleavy and O' Leary gave three models of the Pluralist State, given below:
 1. **Weathervane Model:** In the 1950s, especially in the USA, the pluralists regarded the State as merely a weathervane (a revolving pointer to show the direction of the wind, mounted on top of a building) of public opinion. The State's public policy formulation is guided by the most powerful group. The State responds to public demands through the groups or associations.
 2. **The Neutral State Model:** This model advocates that the State is a mirror image of the civil society. The State must be actively neutral, acting like a referee between various pressure groups. An interventionist role of State can be acceptable only if it is for the good of the society. The State should therefore, mediate in the public interest and be responsive to electoral and pressure groups. It has a further role, making sure that disorganized and

weaker groups are not too alienated.^[3] The demands of the pressure groups lead the State to a liberal democratic State.

3. **The Broker State Model:** Public policy decisions do not reflect the interests of any particular interest group, rather it shows the activities within the apparatus of the State itself. The interest groups are not negated but a compromise and a common interest of the formal and informal groups is accepted. This results in the reduction of the divide sector. State brokers can act as intermediaries while retaining their own interests.

There are a few consequential common deductions that can be drawn from the Pluralist State Theory. They are:

- **Impartial Bureaucracy:** The bureaucrats adhere to the concept of Max Weber's impartial bureaucracy. Administrative elites are impartial, dispassionate and passively respond to public primers without getting their own preferences in the way
- **Brokerism:** The Broker, Neutral and Weathervane Models indicate that Broker pluralists consider government departments as fertile grounds for the growth of elite group formation.
- **Social Background:** The administrators come from different social backgrounds and ethnicities. These factors affect their behaviour and outlook towards issues.
- **Consequential:** The way the State formulates its public policy, depends on which model has been chosen. Policy coordination is undirected and unintentional in the Weathervane Model whereas the Neutral State Model stands for a formal coordinated role of the State. It supports the institutional pluralistic for public policy-making through the cabinet system of government.^[4]

CONTEMPORARY PLURALIST THEORY

The Pluralist Theory that had its origin in Aristotle's Theories, exists even today in some form or other. There are two interpretations of the theory, which are:

1. **Arena Theory:** The Arena Theory proposes that the government can be considered as an arena where all major problems and issues are debated and solutions are sought. Robert Dahl has formulated perhaps the most precise and persuasive interpretation of the arena vision of pluralism.^[5] Dahl mentioned the Arena Theory with special reference to the USA where various power centers of wealth, prestige and strategy emerge to exert pressure on the State to make policies. The second important factor that emerges in the Arena Theory is the role of competitive party system. Each party tries to garner support of groups and lobbies and consider their demands in policy-making to appease these minorities. The third factor in the Arena Theory points out to a decentralized, fragmented bargaining process with a general consensus for a peaceful democratic process leading to an established pluralist system.
2. **The Umpire Theory:** The Umpire Theory of pluralism was proposed by Adolf Berle which includes the factor of technological revolution giving rise to an extensively large number of organizations outside the government who have a considerable influence over the States policy formulation. Berle perceived the separation of ownership and control in large corporations to curb their influence and power in market economy.

The factors that play a major role in public policy formulation are the market forces, organized labour and the corporate elites. In modern times, the government and the corporate elite take the necessary steps to control these factors.

Berle states that regarding the control of corporate action the body of those general in stated premises which have come to be accepted leading to public consensus. All groups contribute in reaching the public consensus peacefully including university professors, the reasoned opinions of specialists, the statements of responsible journalists, and at times, the solid pronouncements of respected politicians.^[6]

Critique of The Pluralist Theory

The Pluralist Theory with respect to public policy has been criticised by scholars on the following grounds:

1. **Bias:** It is agreed that competing organized groups reach a public consensus to have a participative policy-making. However, the critics believe that one cannot rule out bias in government. There can be cases of a complicity and laxity endangering the bias-free public consensus. C. Wright Mills was very sardonic in criticising the Pluralist Theory with respect to bias playing a major role in increasing the gap between the practice and promise.
2. **Consensus:** All groups and associations may not necessarily reach a consensus. Some unorganized groups or smaller associations without access to the state officials may be left behind. The powerful groups may dominate the government in public policymaking and upset the balance.
3. **One-Directional:** The associations that are formed in a society are being done specifically for a trade or an industry or a faith. The demands that come to light are one-directional and it is highly doubtful that there would be any consensus.
4. **Personality Development:** The Pluralist Theory ignores individual personality development and opinions. As the name suggests only the groups and associations get a voice and those individuals who do not join any groups are left behind.
5. **Inhibits Growth:** Since the outside groups, lobbies and associations influence the government, Pluralism tries to inhibit their growth. Individual creativity and innovation help in rapid socio-economic growth but this aspect is neglected.

To sum up, the Pluralist Theory is considerate of all groups and associations to resolve their issues in public policy-making. However, it does not resolve the issues of personality development and bias which are bound to occur in reality.

Q2 Discuss the Marxist Theory of State and how it affects public policy-making. Give a critique of the Marxist Theory.

Ans. Karl Marx (1818–1883) is known for his Theory of State; and a public policy of a state is formulated in its reflection. Marx was an economist, philosopher, socialist, journalist and a historian. He was greatly influenced by British Economics, German Philosophy and the French revolutionary experience. Marx worked with Engels and published, '*The Communist Manifesto*'.

BASIC CONSIDERATIONS IN MARXISM

A few basic considerations in Marxism can be derived from *The Communist Manifesto*, which are:

- **The Executive:** The executive of the modern state is a committee for managing the common affairs of the whole bourgeoisie. The state has been described as a body of armed men imposing the will of a dominant clan on the rest of society by force.

- **Interests:** The bourgeoisie have interests against the social classes and the owners of capital. The social classes the proletariat are the oppressed and the bourgeoisie must control the state in an industrial society.
- **The Dilemma:** There is a perpetual dilemma that the bourgeoisie faces at the cost of the collective interests of the masses.
- **A Functional Approach:** Marx published his work, '*Capital*', in which he said that a State was a means of coordinating the social organization of a complex division of labour.
- **Public Policy:** The State can intervene to a very small extent but has no autonomy to define the direction of public policy, beyond the executive committee of any organization. State policy is set by the impersonal logic which drives the government in a capitalist society to develop the economic base and keep the balance of social stability.
- **Core Value:** Marxism's core value is freedom from exploitation, coercion of other and to realize oneself in creative labour.
- **Input Politics Shaping Public Policy:** Marxists call the interest groups, the media and the political parties as inputs and do not agree that they shape the public because the inputs are monopolized by the capitalists.
- **Class Division:** Marx had predicted that under capitalism, petty bourgeoisie will be crushed due to the growth of monopoly capital. However, the world has seen a different outcome with the fall of communism and the lower working classes rising to become a well-to-do middle class.

Nonetheless, the Marxist believe that all unrest in capitalist societies is due to the exploitation of the working class, the proletariat. The unrest result in an employment, lay-offs and low wage rates. Such unrest leads to strikes and workers forms groups and influence public policy.

MARXISM AND PUBLIC POLICY

In communist countries, the State is of a totalitarian nature where it controls all means of production. Marx spent his life in predicting the doom of capitalism and disliking bureaucracy, terming it as a necessary evil. None of the liberal democracies, on the other hand, have been able to shake off the group pressure in public policy formulation. A strictly Marxist functionalist believes that problems of State coordination cannot exist except in a revolutionary crisis because the State's function is to coordinate. However, the State's performance depends on the class struggle. Rational planning, that can exist only in socialism.

Critique of Marxist State Theory

With the fall of the USSR on 26th December, 1991, Marxism took a great hit. It was the fall of history as post-Soviet reforms resulted in large scale owned assets, especially, in the core sector. The economy shifted towards an active market economy but it led to rise in economic disparity and collapse in industrial output.

Presently, most of the developing countries who believed in socialism including India are moving towards liberalization and privatization.

Q3 Write a short note on the following:

(a) **Leviathan State Theory**

(b) **Patriarchal State Theory**

Ans. (a) Leviathan State Theory: Thomas Hobbes proposed the Leviathan State Theory in his well-known work, *Leviathan*^[7] which was originally published in 1651. He wrote this work during the English Civil War from 1642–1651. Its main theme was of a social contract and rule by an absolute sovereign. He held that the King held the supreme and uncontrolled power over his subjects and that human cruel impulses could be controlled and kept in check.

The Social Contract Theory of Hobbes was the guiding force for many scholars like John Locke, Rousseau and Immanuel Kant. The social contract is a contract between the individuals of a particular political State and the legitimate authority of the State to formulate, and interpret and execute civil laws to which these individuals bind themselves and are obliged to obey them. According to Hobbes, 'A common wealth is said to be instituted, when a multitude of men agree, and covenant, everyone with everyone, that to whatsoever man, or assembly of men, shall be given by the present the person of them all (their representative) everyone, as well he voted for it, as he voted against it, shall authorize all the actions and judgements of that man, or assembly of men, in the same manner, as if they were his own, to the end, to live peacefully amongst themselves, and be protected against other men'.^[8]

Since Hobbes' work has been difficult to translate from the seventeenth century English, one has to deduce what he meant to convey. His Theory of State professes that the sovereign, the State or the King is all powerful. The social contract allows the common masses to put up its demands while the State has the authority to make laws accordingly, hence, the supply side. The State makes policies based on the peoples' demands.

Hobbesian philosophy aim was to end all controversies of politics and philosophy. The contract between the protector of the people as their sovereign would end all controversy of who was the supreme authority.

Thomas Hobbes is considered as the father of modern political philosophy. His theory is about the natural equality of all men, the rights of the representative power of the political regime is prevalent in modern democracies too. However, there are many who find this theory futile in today's times.

(b) Patriarchal State Theory: Henry Maine (1861) theorized a totalitarian patriarchy, a primordial patriarchal despotism for the human race. His one general gender history is known as the Patriarchal Theory which forms the basic patriarchal paradigm in European philosophical and political thought.^[9]

The main precepts in the Patriarchal State Theory that influence the State's public policy formulation are:

- **Origin of the State:** Maine traced the origin of the State in a patriarchal or the eldest male member family which has the father as the accepted head of the family. This is the oldest concept of a social organization. The households or gen developed into a clan and clans together expanded into a tribe who were related by blood. The leader of the tribe, the chief, became the figure of authority. The aggregation of tribes forms the commonwealth. Hence, three features characterized the patriarchal society:
 - Male kinship
 - Permanent marriages
 - Paternal authority
- **Historical Support:** Since the time of ancient scriptures to Aristotle, the eldest male member has been considered to be the authority head of the family which aggregate into tribes, villages and the commonwealth.
- **Original Statement:** Maine's original Statement of the Patriarchal Theory is found in the fifth chapter, *Ancient Law*. He said that gradually a system of customs was established in piece meal. In a few societies these laws were required to amend laws from time to time. Legal fiction would transform into the principles of equity and finally legislation became the mechanism for legal change.^[10]

- **Laws:** Maine referred to the 'Laws of a Nature' (Greek) and the 'Law of Natural Law' to formulate philosophical basis for legal reform by incorporating justice and equity. He based his concepts only on Roman laws and later used European feudal law and the Indian village organization.
- **Freedom and Rights:** The ancient society was despotic due to the patriarchal nature but later on the progressive societies, the individuals, started enjoying freedom and rights making place into individual contracts. This was the pinnacle of social development.
- **Law Reform in India:** He discussed Indian affairs in the 1950s as a Model based in the Roman law in Germanic Europe because of India's travel and trade relations with Greece, Rome and Germany via the Silk Route.

Critique

There was a lot of reaction against the Maine's Patriarchal Theory. There was J.F McLennan's criticism that Matriarchal Theory was in fact the origin of State as the only kinship that could be recognized through the mother. Other criticisms are:

- The human society was built by complex factor and not only the patriarch.
- The primary social unit was the matriarch.
- The order of social development was in the reverse order starting from the tribe, then the clan and then the family.
- The authority of the State is one of choice whereas the patriarch is a natural phenomenon.

The policies formulated according to the Patriarchal Theory by the State are born out of the individual contract with the State, being the ultimate authority. However, when one views the current State Theories, the only common theory that emerges is that of liberalization, privatization and globalization.

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4. Mc Auley, James (2003), *op. cit.*
5. O' Connel, Francis A. ed. (2017). *Pluralism in Political Analysis*. USA: Routledge Publishers.
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UNIT

X

TECHNIQUES OF ADMINISTRATIVE IMPROVEMENT

Chapter 47 Organization and Methods

Chapter 48 Work Study and Work Management

Chapter 49 E-governance and Information Technology

Chapter 50 Management Aid Tools Like Network Analysis, MIS, PERT and CPM

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Organization and Methods

Learning Objectives

In this chapter, you will learn about:

- Evolution of Organization and Methods
- Functions and Status of Organization and Methods
- Organization and Methods with Special Reference to India

Organization has been an integral part of our administration's history in the world. Ancient and historical texts show that organizations make the administration. Another juxtaposed fact is that any organization, whether public or private, cannot work without methods to carry out its activities with efficiency and effectiveness. Organization and Methods (O and M) is the study of the organization of public agencies and the procedures that they use to improve efficiency. It implies applying such systems, procedures and processes in all aspects of an organization like the pay and wages system, purchase, accounting, audit, etc., at all levels. Here, organization and methods are mainly with reference to government organization in public administration.

Q1 *What do you understand by O and M? Discuss its evolution, functions, advantages and disadvantages.*

OR

Write a short note on the importance of O and M.

Ans. O and M is considered as organization and methods that deal with the methods used in public organization to simplify office procedures. O and M can be defined as a process of assessment and examination of an organization's internal structure, operating methods, procedures, management modes and control systems on all levels.

The main purpose of O and M is to determine where the inefficiencies are prevalent and how they can be eliminated with methods. The main points that can be drawn from this definition are:

- O and M is an evaluation system comprising research and analysis.
- Work method and study is the most popular method.
- Finding alternative methods to improve efficiency.

According to Milward, 'the usual functions of O and M are the examination of the structure of the organization under review and the studying of administrative and clerical methods, official mechanization and equipment, office layout and working conditions.'^[1] O and M is important to study the internal structure and functions of organization, especially, the procedures. However, over a period of time it has come to mean improving the management through scientific methods and techniques.

EVOLUTION OF O AND M

17th and 18th Century: The Cameralists introduced and described goals and tactics to students in the Germany and Austria. Concepts like bounded rationality, control, comparison between dues and actuals were taught. When industry and business began emerging in the eighteenth century in the private sector, O and M was applied to improve the organization's efficiency

1930s: Business and industry applied O and M techniques but otherwise not much was done till the scientific management movement was initiated by Frederick Taylor and Galbraith. Various techniques like work-study and time study were introduced to improve the administrative efficiency. A whole new set of methods were experimented and tried in government organizations also to increase efficiency.

1947: The Officer's Shortage Committee recommended the formation of a special organization for the purpose under a secretary.

1951: Report on public administration presented to the Planning Commission and said, 'the lesson of the last four years is that an expert, coordinated and continuous body must exist which plans, supervises and constantly adapts to changing needs all the arrangements necessary for proper training, proper organization and proper methods of work'.

1952: Paul Appleby and O and M^[2]

Paul Henson Appleby (1891–1963) visited India in 1952, was a scholar from University of California and researched on Indian administration. He recommended the following in his first report in 1952:

- **Creation of O and M:** Appleby recommended setting up of an O and M or a public administrative office under a minister with strong government backing, to continuously study improvement of governmental structures and administrative methods and manners.
- **Establishment of The Indian Institute of Public Administration:** He recommended that an Indian Institute of Public Administration must be sponsored by the government to provide a forum for discussion among academicians, practitioners and other interested. It would also publish a journal.
- **Public Administration Courses:** He suggested that public administration graduates must be absorbed automatically into the public service every year. However, this recommendation could not be accepted till today.
- **Simplification in Supervision:** Appleby recommended that supervision over community projects must be simple by entrusting of power to one head instead of the Planning Commission. Reduction in the advisory committees and boards at all level with a simple channel of responsibility.
- **Reducing Interministerial Reviews and Involvements:** He stressed the need and gave the detailed steps to reduce interministerial involvements and reviews. The officials must be encouraged to take responsibility and not to pass the buck to improve speed and efficiency in work.^[3]

- **Hierarchies:** Hierarchies must have a more truly pyramidal form with more executive at most levels but this means more officials and less clerks. This might lead to complex hierarchical structures.
- **Flexible Recruitment:** Appleby recommended that the elimination of fixed cadres and advocated recruiting flexibility. He also suggested that all distinctive classifications such as cadres, officers, clerks must be abandoned but he did not give any specific details.
- **Simple Language:** All procedural rules and manuals must be put in a simple language for better understanding.
- **Tax Collection:** This report of Appleby came out in 1952 when India had a small number of tax officials soon after the independence. He had recommended to have a prompt system of tax collection but that is not applicable any more due to the online portals that are up and running. The taxes are paid promptly.
- **Methods of Checking:** Appleby stressed on streamlining and introducing adequate measures of checking of the performance of official action both during and after it. He preferred simultaneous checks instead of post audit of the process and outcomes, This helps to identify solutions as progress happens. The following could be done to make a process better.
 - **I:** Implement the chosen solution (can be done as a pilot basis to begin with).
 - **M:** Maintain and monitor the implemented solution to ensure what was intended to be implemented has been and to ensure that benefits are achieved.

All these steps involve various techniques.

Q2 Briefly discuss the status of O and M in India.

Ans. In India, the O and M division was set-up in the Cabinet Secretariat in 1954 as a follow-up on one of the recommendations made by Paul H. Appleby. A Department of Administrative Reforms was set-up in 1964 and the O and M division was transferred to it. After a long journey, the division has come under the Ministry of Personal, Public Grievances and Pensions placed under the overall charge of the Prime Minister assisted by a Minister of State.

Functions of O and M Division

The O and M division's responsibilities and functions are:

- Formulation and implementation of common office procedures.
- Publication and updating of the Central Secretariat Manual of Office Procedure^[4] (CSMOP).
- Aiding and advising the state governments on O and M aspects.
- Quality management in government including laying down norms and standards for processes.
- Implementation of the plan scheme of modernization of government offices.
- Any other subject allocated by Secretary.

The procedures prescribed in the Central Secretariat Manual of Office Procedure (CSMOP), attempt to provide ways to balance speed, quality, transparency and propriety. In an ever-evolving and dynamic context that Indian polity offers, this balance cannot be rigidly or permanently fixed. Every rule and step in the procedure must serve a definite purpose.

The First Edition of the CSMOP was published in March, 1955 and since then it has been updated from time to time to take care of the changing scenario. The 13th Edition of the CSMOP came in the month of September, 2010. This edition of the CSMOP was considered as too voluminous and hence difficult to read through. The new CSMOP has been prepared with a view to remove redundancy, duplication and also doing away with a number material which can easily be taken from the various Government websites.

It is expected that the CSMOP will help Government officials to perform their functions in a systematic and faster manner.

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Work Study and Work Management

Learning Objectives

In this chapter, you will learn about:

- Work Management and Work Study
- Impact in the Current Scenario

Work management is a recent term that has come to mean simply the management of work in an organization. Scientific Management Approach (SMA) started the trend of finding ways and methods to improve the work methods resulting in an increase in organizational productivity and efficiency. The advancement of technology in the information sector and the computer software's have changed the whole sphere of work management.

Q1 *Discuss work management in the present globalized world. How does it deal with the overload of information and work?*

Ans. Work management has been a part of work culture since the beginning of the Industrial Age. This is not to undermine the ancient work methods that businesses and traders used in the older days. However, the times changed with the advent of factories, machines, offices and then large corporations along with the digital revolution. The organizations use work management to improve their performance. Work management is a set of software products and services that apply workflow structure to the movement of information as well as to the interaction of business process and human worker process that generate the information. Work management streamlines and transforms crucial business processes and thus can improve results and performance.^[1] Thus, it implies that the main objective of work management is performance improvement until the recent work management software for organizations came to existence, there was a manual system of office management.

Features of Work Management

Given below are the features of work management for its better understanding:

Entry Point: Work management covers the whole organization and since there is so much work going on simultaneously that it is imperative to identify the entry point of all work done. The origin of work

is common with a common number to track it. The service order and cost accounting systems also track it through the same common number that was given at the entry point of that work. It results in a few important functions:

- Better customer services.
- Promptly gets the actual cost of the completed task.
- Estimates to actual comparisons.

Contact Tracking System: Organizations in work management have a contact tracking system under which customer contacts can be traced and tracked by specified reason codes. There is a customized questionnaire and workflow prepared specifically for every individual contact reason.

Customization: Task workflows are customized for screen entry flows with customized printed form outputs and resource tasks.

Task-based Design: It ascertains that tasks do not get sidetracked by customization. A task-based design also fixes response times for each task by determining a specific target date for service order. There can be *ad hoc* tasks that are not associated with a customer service order.

Work Queue: It is an online task filtering tool allowing tasks to be viewed, scheduled, assigned and completed by a multitude of options. It provides a personalized ‘To Do’ list for each employee to work with.^[2]

In addition to the above features software’s like Computerized Work Management Systems (CWMS) are used to process together with the associated business processes of materials management. It includes checks, controls and approvals along with work flows for effective work management. It can be said that work management improves transparency, tracking of resources and progress and real-time mobile experience on the field data entry.

Interactive dashboards and customized provides the flexibility needed in today’s globalized world. The governments generally do not use such sophisticated measures and software in their organizations. However, public organizations, in India, are moving towards some such features like interactive dashboards, for example, the RTI cases are given unique number by which the citizen, the applicant, can track the case.

Notes and References

1. <https://www.gartner.com/it-glossary/work-management>.
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3. Work Study has been covered in Chapter 9.

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E-governance and Information Technology

Learning Objectives

In this chapter, you will learn about:

- E-Governance and Good Governance
- Definition of E-Governance
- Principles and Models of E-Governance
- The Paradox Between E-Governance and Good Governance
- E-Governance in the Indian Scenario

E-governance and information technology are linked very strongly. The world has become a global village with strong linkages in political, social and economic spheres. Globalization driven information technology has improved the indices of Good Governance the world over. The concept of governance is not a new one. It has been applied in the corporate, national and local governance.

Q1 *Discuss how E-governance has redefined Good Governance.*

OR

How far has India been able to incorporate E-governance into its Model of Good Governance?

OR

'E-governance can prove to be an effective instrument in achieving Good Governance.'
Comment.

OR

How can efficiency of the government be improved by E-governance?

OR

How is E-governance connected to the achievement of sustainable development?

Ans. The United Nations Development Programme (UNDP) proposed with Millennium Development Goals (MDGs) and its eight basic indicators that Public Administration of a nation had to deliver to the public what they deserved with the taxpayer's money. Better efficiency, effectiveness and economy are expected out of the executive power. The processes and procedures of the government result in delays and irk the common man and make him lose the will to work. The UN developed Sustainable Development Goals (SDGs) for sustainable development, which are a collection of 17 SDGs and 167 targets in 2015 terming them as, 'Transforming Our World: The 2030 Agenda'. India was one of the 193 countries who pledged to the 2030 Agenda which came into effect in January, 2016.

The SDGs can be implemented to achieve integration of policies and delivery of public services through the tool of E-Governance. It promotes accountability and transparency in government institutions by adopting best practices like easy accessibility to data and involving citizens in decision-making.

A UN survey describes E-governance as a powerful tool to achieve global sustainability goals. It facilitates and integrates policies and public service by promoting accountable and transparent institutions, such as through open data and participatory decision-making.^[1] It has the potential to implement the 17 SDGs and their 167 targets. The Information and Communication Technologies (ICTs) can help turn the public sector into an instrument of sustainable development, efficient service-delivery coupled with social equity and policies to ensure that all citizens can access quality services.

The 2016 UN E-government survey is the only report that assesses the E-government development status of all 193 Member States of the UN. India lags behind after Europe and the Americas. The best plausible solution to address the problems of governance and to assimilate the disarrayed elements of governance was E-governance.

ICT, emerged as the best alternative to the slack and slow administrations all over the world though till today, it is more of a technological initiative which is made up of a complicated relationship between the stakeholders' commitment, structured developmental processes and sufficient infrastructural resources. The ICT capability is humungous but has not been exploited in the developing countries.

E-governance has different meaning in different countries. Electronic government or e-governance means the delivery of services efficiently and effectively on time. It also means making information available to people at the click of the mouse to enable governments to interact with the citizens.

Narrow View

- E-governance, in a narrow sense, is seen as e-commerce and government-citizen relationship.
- E-governance can be defined as the internet applications within the government but this view can be stretched further to develop government-citizen interactions.

Broader View

The broader view of E-governance is the ICT application to reinforce the government performance to make it more efficient and effective.

World Bank: They are capable of changing the inter-relationship between the citizens and the government agencies to deliver better public services and empowerment of the marginalised sections of the society. Free access to information through Right to Information in India gives the citizens the power to make the government organizations accountable to the. The organizations are required to put up information in public domain on their websites for greater ease of doing business, growth in revenue and reduction in costs.

So, this definition implies that E-government increases the efficiency, effectiveness and economy. It also improves transparency and accountability, thereby reducing corrupt practices with the help of computers, internet and its applications via advanced and secure software.

UNESCO: According to the UNESCO, E-governance is the public sector's use of information and communication technologies to improve information and service delivery, encouraging citizen participation in the decision-making process and making government more accountable, transparent and effective.

Government of India: The Indian government in its second Administrative Reforms Commission (ARC) report defines E-governance as the application of information and communication technology to the process of the government functioning in order to bring about 'Simple, Moral, Accountable, Responsive and Transparent' (SMART) governance. This would result in providing information to citizens, businesses or government organizations, reduction in costs and an increase in revenue collection improving the standard of services.

Q2 What are the principles of E-governance?

OR

Is there any paradox between E-governance and Good Governance?

Ans. Information Technology (IT) promotes Good Governance in three basic ways:

1. By increasing transparency, information, and accountability.
2. By facilitating accurate decision-making and public participation.
3. By enhancing the efficient delivery of public goods and services.

The citizen's right to gain access to public documents is supported under the country's constitutional framework. Promotion of this right is pursued through the government's computerization program and the availability of these documents through the internet. Many government agencies use IT facilities to tell the public about their accomplishments, achievements, programs, and plans.^[2]

Government websites allow the citizens to send their reactions and feedback on issues that affect them. For example, the Department of Trade and Industry (DTI) website provides entries where the consumers, exporters, and business people are afforded the opportunity to ask questions, provide suggestions, and file complaints. Increased transparency in the running of government cultivates a more informed citizenry. The drafting of the Implementing Rules and Regulations of the Electronic Commerce Act was posted in the web and was able to accelerate the speed for conducting public consultations since concerned stakeholders were able to express their opinions directly through the net.^[3]

E-governance sets priorities and preferences for governance based on the following principles:

- **Government rather than 'E':** Failure of various E-governance projects has been attributed to over-emphasis on the 'E' part rather than the governance. Shifting to E-governance must take place only if the present governmental structure is sound otherwise the whole system would only be an electronic system but no governance. It must be understood that E-governance is a means to have Good Governance and not an end.
- **Citizen-Centric:** The E-governance must be citizen-centric instead of laying over-stress on the computers. Computers are there to prioritize and select where it has to be used. The personal computers began with small results saving time for consumers but with the passing time, the rapid software development has led to focus on the citizen without undermining the significance of computers at all.

- **Metamorphosis:** The point of convergence while computerizing the process has to be on the metamorphosis and not to just exchange the earlier system into the computerized one. This would only make it into e-red tapism. The focal point has to be in redefining the government processes innovatively. Such a transformation of process needs a few things to be considered like registration of industries and businesses for legality, payment of fees and fines to the government, receipts of grants and benefits from the government, filing e-tax returns, licenses and permit applications, admissions to organizations or institutions and lastly seeking information.
- **Developing Software:** Various departments have different needs and specialized software is required to meet these requirements. There has to be functional progress instead of physical and functional progress. To make a simple project to be an e-project to increase efficiency and effectiveness, the software has to be precise and applicable to that specific project so that proper processing of the content may happen. After software development, hardware must be synchronized and upgraded if required to suit the system.
- **Outlay and not Outcome:** An outlay or a plan needs to be made with the utmost care and probably start a small pilot project and then move forward if it goes a success. The benefits of having a pilot project are:
 - **Detailed Fixing:** When a software/programme is put to run effectively, many bugs have to be fixed because of the simple fact that theory usually is not always correct as when it is put to practice. The adverse effects can be removed avoiding confusion later on resulting in monetary losses.
 - **Innovation:** During the pilot project, the project managers receive a lot of feedback which become the basis to improve the project software and remove all weaknesses to have better efficiency which go up to as much as 40 per cent.
 - **Corrections:** The pilot project can answer some important questions such as,
 - (a) If the services to be provided are genuinely required.
 - (b) If the software is in synchronized with the project's needs.
 - (c) If the response time of the actual performance is acceptable.
 - (d) If the employees planning the project do not believe in the project's success, then there will definitely be problems in it.

Hence, all these principles of E-governance go on to emphasize the E-governance in the role of development. It is used in almost every department in today's age.

Q3 Discuss the different Models of E-governance.

Ans. New modes of governance through ICTs have brought unpredicted changes to human life. Human interactions as well as the government with the citizens, both, have changed the way humans live and the way the government manages its service delivery. ICT enabled networks has transformed the traditional mechanism of information into an instant exchange system. This saves time on one hand and transparency of the government on the other. E-governance has been popularly known as digital governance whose aim, besides public service delivery system improvement, is to build knowledge societies. Knowledge and information are amply available provided its dissemination is done properly at low cost. People, according to a World Bank report, want to become independent by availing opportunities which the governments are now seeking to do so through digital governance.

There are five major Models in digital governance which can be applied in varying situations according to the local situations. They are:

1. **Broadcasting/Wider-Dissemination Model:** This Model is based on dissemination/broadcasting of useful governance which is the public domain into the wider public domain through the use of ICT and convergent media.^[4] The Model's basis is that if the citizens are well-informed, then they would be in a better position to decide if the government mechanisms are working well or not. Information failure situations are highlighted so that the weaknesses can be removed. Information is better disseminated through alternative channels, for example, all laws and rules, contact details of government officials, plans, budgets and judicial decisions are put online in the public domain.

This Model will not work in cases where information is not freely available, termed as 'Optimal Ignorance'. Citizens take decisions which are not based on judicial decisions, laws or regulations which brings them losses.

2. **The Critical Flow Model:** This Model also deals with the dissemination of information but of 'critical' value. Such information is usually kept hidden in various files under the guise of red tapism for the reason that some malpractices or malicious practices have been going on and the officials doing so do not want to make the information public. If there is a critical flow of information pushed by activists and whistle-blowers can expose bad governance.

Assumptions: Some assumptions of the Critical Flow Model are:

- Understanding the 'critical and use value' of a particular information set.
- How or from where this information could be obtained.
- How could the information be used strategically.
- Who are the best target group for such information, the users for whom the availability of this information will make a difference.^[5]

Application: The Critical Flow Model can be applied in making available:

- The information on corruption (by an appropriate legal authority) of a particular government ministry or government officials online to its electoral constituency or to the concerned governing body, for example, the Central Vigilance Commission.
 - Research studies, enquiry reports and appraisals commissioned by the government to the affected parties.
 - Human rights violation and criminal impeachment records against government officials to NGOs and concerned citizens.
 - Environment related information to local communities.^[6] Various organizations like The Transparency International, Central Vigilance Committee, etc., follow this Model.
3. **Comparative Analysis Model:** This Model aims at evolving best practices in governance and utilizes them as benchmarks to assess other governance practices.

Q4 Write a short note on how E-governance has developed in India. Has it been able to support Good Governance?

Ans. Since many years now, India has been pushing forward the National E-governance plan. It constitutes of 27 Mission Mode Projects and eight components on 18th May, 2006. Four projects were added to the Mission Mode Projects which increased the number to 31 which were Health, Education, Public Delivery System (PDS) and Posts. The Union as well as State Ministries have been promoting it as much as possible. Even though the government has approved the plans but the Mission Mode Projects do not have any financial approval.^[7]

There are a few major components incorporated into the Plan to support it like the State Data Centres, State Wide Area Networks (WAN), and Common Services Centres. Some middle organizations also emerged called, 'middleware' like National E-Governance Service Delivery Gateway, State E-Governance Service Delivery Gateway and Mobile E-Governance Service Delivery Gateway. These components formulate core policies and guidelines on Security, Human Resources, etc. There are various other authentication initiatives like E-Pramaan and Government Institution Cloud to facilitate cloud computing for E-governance projects.

In the beginning of 2014, the government began formulating plans to establish such departments that would administer the social, mobile, analytics and cloud-SMAC-technologies in the next E-governance phase. The government has also started e-gov initiatives like MCA -21 and the NPeG 2.0 to increase the speed and accountability in the delivery of services, Passport Seva Kendra, etc.

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Management Aid Tools Like Network Analysis, MIS, PERT and CPM

Learning Objectives

In this chapter, you will learn about:

- Definition of Management Information System (MIS)
- Classification of Information
- Nature and Scope of MIS
- Role of PMIS
- Network Analysis and Its Techniques Like, PERT and CPM

The Industrial Revolution which started around the 1700's brought about the mechanization of production in large scale factories which later emerged into large scale business organizations with the growth in the size and complexity of such organizations and the consequent delegation and decentralization of authority, direct supervision, over the discrete units of organizations was not possible. New dimensions of problems have therefore, emerged in the field of management, that is, control, coordination, communication and the most sensitive among them, the Human Relations (HR). Thus, the decision-making process became much more difficult as the old techniques of management by intuition and rule of thumb are no longer considered dependable in the decision premising of these organizations.

Q1 Discuss the management aid tool of Management Information System (MIS) in detail.

Ans. In the present complex and unpredictable environment in which the modern manager has to operate, management of progressive organizations in recent years have stated reaching out for new technique of improvement in the organizational effectiveness and efficiency. New approaches in this direction have been attempted in several developed countries. One of these approaches is called 'Management Information System' (MIS), which assists management in searching for such quantitative information and other information by which, management can analyse the proposed alternative, administrative actions and choose one as its decision. Modern management functions are therefore, information oriented and management by 'hunch' is replaced by MIS. MIS supplies such information through reports so that managers and administrators become effective executives.

Meaning: Many definitions have been given to describe the concept of MIS but it is best to break MIS into sub-concepts to understand it better.

Kanter^[1]: He maintains that mere definitions are insignificant unless we explore the meaning of MIS by looking at the basic elements of MIS, that is, the words that comprise the term MIS namely, management information and system. An examination of these elements can help us in obtaining a basic understanding of the whole concept of MIS.

Management in general terms is the activity which involves planning, organizing and controlling of human and other resources to achieve some predetermined organizational goals.

Information is the second element in the term MIS. Information is an important valuable community required by management in order to plan and control all management activity effectively. In general terms, information is processed data for making decisions.

Data is defined as raw material and may take the form of a punch card, punched paper tape and writing of any form which have facts in isolation that enter the processing system as inputs. Processed data is called information. Basically, information is a symbolic representation of real world (money, manpower, material, machines and markets). Knowledge received from various sources including literature, intelligence, views or advice communicated by words or advice communicated by word or writing, derived from the consensus or operation of the intellectual faculties, advice or counsel, which can be studied, analysed, organized and stored for future references and summarized.

Information is very important in management and has two major roles, which are:

- To impel the executives to take action.
- To provide factual basis for taking such action.

If information is to play these roles effectively, it should be timely, with adequate and accurate representation of the real world.

Classification of Information: Information can be unstructured or structured, programmed or non-programmed:

Non-programmed Information relates to situations that are in the future, exact and external to management and used by top management.

Programmed Information is historical, exact, internal (used by operating management) such as rules and procedures which can be established to develop and measurement that will be most efficient for the known operating conditions. While the information required by the middle management falls in-between the two extremes (unstructured) structured or non-programmed/programmed having element of both.

System: Webster defines it as 'a set or arrangement of things so related or connected to form a unity or organization'.^[2]

MIS: The individual definitions of the terms used in MIS indicate the complexity of the MIS concept. It can be defined as, 'A system of providing organized information to aid management in carrying out the planning and control functions as an integrated whole'.

It is a systematic approach of furnishing timely, adequate and accurate information to the right person in the organizational hierarchy with a view to assist such a person in making such decisions as to optimize the interrelationship of men, materials, machines and money to attain organizational goals effectively.

Nature and Scope of MIS

MIS is an all-encompassing activity like collection of data, form design, programming of data, processing system and rating of information and intelligence. The important elements of MIS are:

- **Planning:** Planning of the data required involves the assessment of the needs of the data and locate its points of origin.

- **Organizing:** The collection, processing, sorting and storing of data has to be organized.
- **Directing:** The data needs directing, determining when and where the data will be required. It includes presenting data in the useful quantum of wisdom.
- **Controlling:** The data must be controlled in getting feedback to measure the adequacy of purpose served and plan accordingly. The above discussed elements of MIS in their implementation give rise to components of the information system MIS.

Components of MIS

Kanter identified four basic components of MIS which are tied together with the integrating flow concept. The flow concept implies that the information must flow to key decisions points where action is taken with regard to service to be performed in both forward and backward directions. These components are:

- **Input:** Input refers to the data generated in the process of work and in the environment, for example, meetings, discussions, observations, etc. The external data is sourced from periodicals, journals, reports, research studies, public websites, etc.
- **Data Capture:** It is the first important component of MIS, based on the needs and the environment. An effective MIS captures the data as close to the point of origin as possible. The reliability of the MIS will depend upon the quality of inputs fed into the system.
- **Processing and Analysis:** Processing corrects the raw and semi-processed data into the desired information involving, recoding, classifying, storing, etc. Analysis covers a number of aspects like abstracting, compiling, classifying, interpretation, etc. It helps in finding trends, variances and anticipating results while developing standard and significant performance indices sophisticated software's can be used in processing data.
- **Storage and Retrieval:** Data is kept safe for future use with the help of a scientific storage and retrieval system. The data now can be stored in hard drives and into the cloud instead of the old filing system. This component covers both the inflow and outflow of information.
- **Output:** The analysed information is finally passed through the handling process of MIS. It takes the form of summary, reports, action reports, etc. which can be used by executives at different levels without needing any further analysis. The information generated is supposed to indicate the meaningful relationship instead of raw data and it is to be viewed as a system design.
There is another component which is not common to all MIS, for example, the close loop-based MIS, for example, policy but which is equally important in MIS to information.
- **Information Flow or Feedback Control:** Information flow is concerned with the flow of inputs into the system output information to the users and flow data to and from the storage system and within minimum communication channels and their efficient working with minimum time lag and distortion, that is, the receipt and dispatch of correspondence reports.

Characteristics of MIS

Given below are the characteristics of MIS:

- **Integrated System:** Integration is a necessary characteristic of MIS. It is significant because of the ability to produce more meaningful management information through blending of information from several operational areas, that is, it is a logical grouping of distinct and yet interdependent components of information elements assembled for furnishing and generation of information.

- **Management Oriented:** The system is designed from the top to down but this does not imply that the system will be geared to providing information directly to top management needs and overall business or organizational objectives. The operational management is the focus of the system, such that their needs are the cornerstone on which the system is built.
- **Management Directed:** It is important that management directs the system's development efforts, that is, the system design, specifications, determining the priority of application development, continued review and participation to ensure that the implemented system meets the predetermined specifications.
- **Common Data Flow:** System designers are aware that a few key source documents account for much of the information flow and affect managers. Data must be captured closest to source where they occur to be used in functional areas to avoid duplication and simplifying procedures. Thus, common data flow is an economical and logical concept.
- **Heavy Planning Element:** MIS takes about three to five years to planning comprising future objectives and keeping in mind the needs of the organization.
- **Sub-System Concept:** The MIS is a single entity which breaks down into sub-systems that can be implemented. It applies boundaries to the problem, thus enabling the designer to focus on manageable entities that can be assigned and computerized by selected systems and programming terms.
- **Central Database:** The data base is a unified collection of data that is utilized by the various information systems. It is economical and logical together and place data on a central stage medium that can be assessed by any system. Cost considerations must be kept in mind with respect to:
 - Acquire data
 - Maintain data
 - Assess data
- **The Database Concept:** The same people who utilize the output of information systems are also responsible for providing the inputs. Requests for information that are derived from the data base are passed on to the specialists and write the specific application programme according to logic. The resultant information is then returned to the originate.
- **Computerized:** Digitalization and software applications make the system speedy and deliverable.
- **Predictive:** The information supplied in the MIS is predictive.

The above-mentioned characteristics are typical and important in MIS.

Significance of MIS

MIS has great utility to management as it adopts to all management problems in various degrees. It provides the organization the exercise of management. It helps in developing planning premises, that is, critical planning assumptions. It supplies environmental information with respect to political, social and technical situation. It assists in organizing by removing lag between organizing change and information system. In the sphere of control, it helps in establishing standards, evaluating performance. As a system, it integrates the task of decision taking, planning and controlling with a view to bring coordination.

Q2 ***Discuss the present status of MIS in the government and public sector in India. Explain its practical approach in installing MIS.***

Ans. MIS gained popularity in the 1960s and 1970s in developing countries like India. The main purpose of implementing MIS was to focus on the proper use of the scarce resources in the most economical manner. The Programme Management Information System (PMIS) has been installed as a web-based

centralized tool for monitoring and evaluation of the physical, financial and outcome parameters of the 'Mission Mode Projects' under e-Kranti framework of 'Digital India Programme' and other such e-governance projects.^[3]

Objectives of MIS

The objectives outlined by the government with respect to MIS are to:

- Provide centralized monitoring and analytics for physical and financial progress.
- Generate project specific state/district/national level MIS and dashboard reports.
- Assist the central/state departments to track and monitor the progress of the project centrally and state wise.
- Enable stakeholders to communicate information and decisions on projects effectively and periodically.
- Support decentralized data collection at source.
- Reduce turnaround time in generating periodic progress reports.

ROLE OF PROJECT MANAGEMENT INFORMATION SYSTEM (PMIS)

The role of PMIS in various projects depending on the phase of implementation is given below:

- **Pre-Implementation:** During the conceptualization, core scoping, design and development, MIS is applied to:
 - Capture vision and objective.
 - Define funding requirement and approval.
 - Define envisaged services and prioritization.
 - Define and schedule activities.
 - Define monitoring and evaluation framework, key result areas.
 - Current state assessment.
 - Future state definition.
 - e-Kranti principal conformity.
- **Implementation and Operations:** The MIS is applied in implementation and operations in:
 - Implementation approach and sourcing.
 - Develop and implement IT system.
 - e-Kranti principle conformity.
- **Post-Implementation:** Operation, sustenance and monitoring and evaluation of outcomes is done by MIS to:
 - Operate and maintain.
 - Roll-out services and systems (functionality and location).
 - Objectives and benefits evaluation and reinforcement.
 - Sustained change, capacity building and communications.
 - Periodic/monthly inputs of critical key result area (KRA) metrics (both qualitative and quantitative).
 - Reports and analytics.
 - Rework on implementation based on evaluation.

The union government has launched MIS to check progress of *Deendayal Antyodaya Yojana* (DAY) scheme in different states. It checks real time progress on skill development and enhancing livelihood opportunities for urban poor under DAY scheme.

Installing MIS

MIS is a practical approach which involves four major phases. They are briefly discussed below:

1. **Preliminary Survey:** The preliminary survey comprises determining information requirements. The following activities need to be covered in this phase.
 - A thorough knowledge about organizational objectives, its environment, its operations, its resources, its policies and procedures must be required.
 - The top management must be prepared to expend its time and resources needed in planning and designing MIS.
 - Organizational structure should be clearly laid out with well-defined titles, responsibilities and authority.
2. **Planning and Designing the System:** The information needs must be determined with respect to organizational goals, and hierarchy. The top level will need 'A', essential type of information; the middle level would require 'B' and the low level 'C' type. Some important questions, required to be analysed, for each managerial level are:
 - What type of data is needed?
 - When is it needed?
 - In what form is it needed?
 - Who needs it?
 - What is the source of the data?

The answers of these questions will give the information needed which will form a databank. In developing the system, we integrate input (data) with the output (information). Decisions regarding the forum in which management information need to be taken and can be designed on the basis of 'closed top' (feedback) or 'open top'. Open top feedback is recommended for the top-level management while the 'closed-top' for the middle and the operational level.
3. **Implementation:** There are defined steps that need to be followed to operate the MIS, which are:
 - Full involvement of each and everybody in the organization.
 - Preparing the information system manuals. This will indicate the procedure of implementing the MIS.
 - Application of electromechanical manual devices for processing and analysis of data.
 - Developing the formats of Management Information (MI).
 - Trial run of the system designed.
 - Training and orientation of the entire staff.
4. **Review and Revision of MIS:** This is the final and a very important step used to update the system and locating the problems. An inquiry must be made according to the following questions:
 - Is the information supplied relevant and critical?
 - Where is the information being used and by whom?
 - Whether information has helped in identifying and solving exception areas?
 - Is the form and frequency of reporting justified?

- What additional needs of information are envisioned in the context of the coming future?
- Whether any change in the MIS required in the contrast of the future.

All the above given phases of installing MIS require commitment of the top executives. In a centralized organization, an MIS unit which would supply output information to each level according to its requirements and collect all inputs from different sources as to produce the required output.

In a decentralized set up, each level has to design its own information sub-system for collecting, processing storing, retrieving and transferring information to other levels. A combination of the alternatives can also be implemented.

Q3 Write a short note on the limitations of MIS.

Ans. The main objective of MIS is better management but it cannot act for the management. It can simply shape thoughts and assist in the evaluation of situation. As a concept, it is oversold and yet it is underutilized. In giving justice to the system, it must be installed with substantial commitment of time and money. The cost involved in the system should be weighed with the value of information component.

Cost is a big factor in implementing MIS along with the capacity-building in the organization. The system is set in a fixed format with little room for flexibility. In the corporate sector, MIS is applied as customer information system, account information system or market information system. However, it ignores the non-quantitative factors which might not be an issue in the private sector but the public service delivery is not possible without it. Another problem that is faced in implementing MIS is non-sharing culture of information. MIS faces issues if it cannot update its system according to the rapid changes in the socio-economic fabric in the society.

Q4 Techniques of network analysis like PERT and CPM help in effective office management. Elaborate.

Ans. Information is required to follow a path making a flow through communication otherwise it hoarded information would not of any use to anyone. Organizations would not be able to work without information and its analysis. In a workplace, all activities and tasks are designed to reach the objective of a project. Hence, the events and activities make up a network.

The organizations, public or private employ techniques of project management to follow a path of identifying the jobs, events or activities and then arranging them in a logical sequence graphically.

The basic concepts and procedures used to build a network is done by analysing with the information the project managers have to plan and control. Network analysis and its techniques were created to cater to the needs of western industry and defence departments to plan schedule and control projects.

NETWORK ANALYSIS

Network analysis is a way of studying the communication networks that develop in social systems as people compete with each other.^[4] Network analysis is defined as the process of 'breaking down a complex project's data into its parts (activities events, durations, etc.) and plotting them to show their interdependencies and interrelationships.'^[5]

There is no pinpointed date when network analysis gained importance and researches/project managers began using it but it was in the 1950s–1960s that it gained importance.

The network analysis uses two types of models to explore and predict the network data. They are:

Static Model: There is only one single snapshot of the network being observed.

Dynamic Models: They can be applied to analyse data sets that contain snapshots of the network indexed by different time points.^[6]

Components in Network Analysis: There are some basic components that are included in a network to be analysed with techniques like CPM and PERT. They are:

- **Event:** An event is a point in time in a work plan with a specific definable goal to be achieved. In network analysis, an event is represented by a geometrical symbol, 'circle' or a 'rectangle' with a specific code number. The event is a step in a process in a project that can denote the beginning or an end of activities.
- **Milestone:** A milestone is used in the 'Master Control Network' which is a key event. There are some interface events where a number of networks exist. They integrate the networks to coordinate the efforts of events and their responsibilities. It is usually represented by a hexagonal figure.
- **Activity:** An activity is a physically identifiable part of a project, which consumes, both, time and resources. It is usually represented by an arrow in a network diagram. The head of the arrow represents the start of the activity and the tail of arrow represents its end.^[7] The activity lies, between two events which is performance of work.

There are three kinds of activity:

- (i) A period of waiting.
- (ii) A connection between events.
- (iii) Dummies—zero-time activities (represented by broken lines).

Types of Network

Networks can be of two types based on their focus on event or activity. They are described here in brief:

1. **Event-Oriented Network:** It is concerned with identification of specific events instead of activities. The top management network is usually event oriented known as 'Program Evaluation Review Technique' and popularly known as PERT.
2. **Activity-Oriented Network:** It describes each activity represented on the network diagram. It helps the personnel who have to carry out the specific activities. Usually, the lower management and the supervisory level are activity-oriented called as the 'Critical Path Method' and commonly known as 'CPM'.

Hence, the two management techniques PERT and CPM make up the network analysis. The differences between them are depicted in Table 50.1.

Table 50.1: PERT versus CPM

PERT	CPM
1. Event oriented	Activity oriented
2. Used by top management	Used by lower management and operators
3. Deviations can be made by the top management	No allowance for deviations of time involved
4. Time and cost are not the key points of focus	Time is related to cost

Stages in Network Analysis

Networks have interrelated flows of work that are required for a project completion. The networks consisting of events and activities usually flow from left to right. Networks are holistic and inclusive as a system which have interconnected and interdependent components at different periods of time. The four stages involved in network analysis are briefly described below:

1. **Network Generation:** The goal of a project must be identified and then move from the conception of the goal to the determination of the events and activities. The network represents a graphic model of the project usually giving time and cost estimates.
2. **Network Evaluation:** The manager evaluates the network plan of the project to on grounds of its soundness and the logic it is based on.
3. **Network Monitoring:** The project can be monitored regarding its progress and if the progress is not satisfactory, the managerial intervention options are weighed. Network provide the needed data to carry out the intervention.
4. **Network Modification:** After the third step of monitoring, the need for modification might be felt and it can carry out to keep control of the project.

Critical Path Method (CPM)

In the 1950s the CPM, an activity scheduling algorithm, was developed by Morgan R. Walker of DuPont and James E. Kelly of Remington Rand in the USA. The CPM was been designed by DuPont to deal with the issue of shutting down chemical plants for maintenance and then again starting the plant after maintenance.

The CPM models the activities and events of a project as a network. The activities are shown as nodes on the network and event signify the beginning or ending of activities are shown as arcs or lines between the nodes. There are software packages available to carry out the exercise of CPM in the present day's computerization. Given below are the main steps involve in CPM:

1. Definition of the project comprising of activities with a single start and a single finish activity.
2. There must be development of the relationships among the activities specifying their sequence.
3. Drawing of a network connecting all activities, denoted by a unique number for the events. Dummy arrows are also used in case they are need to avoid but using the same number.
4. Each activity must have the time and/or cost estimate.
5. The critical path is calculated as the longest time path through the network.
6. Use the network to help plan, schedule, monitor and control the path.

List of Outputs for Each activity^[8]

Outputs for each activity must be fixed in the CPM. They are termed as given below:

- **Earliest Start (ES):** This is the possible earliest time than an activity can begin. All immediate predecessors must be finished before an activity can start.
- **Latest Start (LS):** This is the latest time that an activity can begin and not delay the completion time of the overall project. If the earliest start and the latest start times are the same, then the activity is critical.
- **Earliest Finish (EF):** This is the earliest possible time that an activity can be finished (= earliest start time + activity completion time).

- **Latest Finish (LF):** This is the latest time that an activity can be finished and not delay the completion time of the overall project (= latest start time + activity completion time).
As with start times, the activity is critical if the earliest finish and latest finish times are the same.
- **Slack:** Slack is the difference between the ES and the LS (which in turn is equal to the difference between the LS and the LF), that is $\text{slack} = \text{LS} - \text{ES} = \text{LF} - \text{EF}$.

After a careful study of the list of outputs for each activity, the critical path is determined.

The CPM is quite simple to understand and implement but it does not take the time variation into consideration. Time is a major component in completing a project as any delay would make the cost go high.

Program Evaluation Review Technique (PERT)

The PERT was developed by the 'Navy's Special Projects' office with the help of Booz Allen Hamilton in 1957 to develop the 'Polaris Weapon System'. PERT originally focused only up on time variables but it was not long before it became possible to incorporate cost variables as well.^[9] In today's scenario of a digitalized world, there are software packages and algorithms to implement PERT instead of its earlier status of a statistical tool and method to analyse and represent the tasks involved in completing a given project.

PERT has the advantage of randomness in activity completion times and can be instrumental in reducing both the time and cost. The network diagram comprises:

- On activity
- On event (milestone)

All prior pending activities must be tended to and completed before the activity in question is pursued. PERT is represented as an activity or an arc network in which activities are represented on the lines and milestones on the nodes with unique numbers in progression.^[10]

Steps in the PERT Planning Process

The PERT technique comprises the following steps:

1. **Identification of Activities and Milestones:** The activities are identified and milestones, the 'events' are set to mark the beginning and end of the activity or activities.
2. **Sequence of Activities:** It must be decided which activity will precede which one to fix the logic sequence in which the activities will be carried out.
3. **Network Diagram:** The network diagram is an important step to depict the sequence of serial and parallel activities.
4. **Activity Time Estimates:** The estimated times of the activities are calculated in any consistent unit of time. They are:
 - (i) **Optimistic Time (OT):** It is the shortest time that an activity might take to be completed. It is named as optimistic because that is what a manager perceives presumably but might be unrealistic.
 - (ii) **Most-likely Time (MT):** This is the completion time having the highest probability, closest to the estimation errors in reality.
 - (iii) **Pessimistic Time (PT):** As the term suggests, it is the longest expected time than an activity might take.

The formula given to calculate the expected time is:

Expected Time = (Optimistic + 4 × Most Likely + Pessimistic) / 6

OR

(OT + 4 × MT + PT) / 6

5. **Critical Path:** The times for the activities in each sequence in the network diagram and the longest path is determined as the critical path. It finally calculates the actual total time needed to complete a project.

If there is some slowdown, the non-critical path activity can be given less priority and delayed but the project is achieved on time. The amount of time that a non-critical path is delayed for is called the 'Slack Time'.

6. **Monitoring:** The PERT chart is continuously updated and adjustments are made during the course the project. Any requisition of some additional resources are considered and provided.

Benefits of the Network Analysis

The network analysis provides a logical thinking in preparing a framework of the project schedule to have a working, logical model critical jobs can be identified and means to optimize resource allocation can be optimized. Real time monitoring is possible with the latest online software on portals. It also becomes a diagnostic tool to make improvements in the decision-making.

However, there are some issues faced while implementing the network analysis like the lack of trained personnel, red tapism and lack of funds. Such issues are being dealt with in India by shifting to e-governance and real time monitoring.

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UNIT

XI

FINANCIAL ADMINISTRATION

Chapter 51 NITI Aayog

Chapter 52 Goods and Services Tax

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51

NITI Aayog

Learning Objectives

In this chapter, you will learn about:

- NITI Aayog—Its Challenges and Functions
- Rationale Behind Constitution of Niti Aayog
- Effective Governance in India
- Composition and Functions of NITI Aayog
- National Institute of Labour Economics Research and Development (NILERD)
- Monitoring and Evaluation (M and E) Activities of NILERD
- Sustainable Development Goals (SDG) and NITI Aayogs Role in SDG

The central planning agency in India after independence was the Planning Commission which brought India on the path of economic development. It was set-up by a resolution of the Government of India in March, 1950. It launched its first Five-Year Plans in 1951 and continued rolling the subsequent plans till the Twelfth Five-Year Plans which was for the period from 2012–2017.

The National Institution for Transforming India, also called NITI Aayog, was formed via a union cabinet resolution on January 1, 2015. It is the premier policy 'Think Tank' of the Government of India, providing both directional and policy inputs. NITI Aayog provides technical support to strengthen the institute's designed strategic and long-term policies and programmes for the Government of India.^[1]

NITI Aayog was constituted to replace the Planning Commission to cope with the increasing needs of the Indian economy.

Q1 Discuss the rationale behind the constitution of NITI Aayog and its challenge and functions that it faces.

Ans. India is at the threshold of a strengthened nationhood given the background of its diversity of languages, culture and religions. Politically, too, India is a pluralist democracy with a federal consensus. There is a rise of the identity of the states requiring planning and freedom in designing their own architecture of economic growth and development. Central planning has the shortcoming of coming up with one model supposed to fit all states, but it ignores the socio-cultural, economic and topographical features.

India is going through a technological revolution, information access and information sharing. This transformation is partly predictive and planned while it is partly a result of market forces and global changes. The institutions have evolved and require a decentralized approach.

FORCES TRANSFORMING INDIA

The rationale behind the constitution of NITI *Aayog* is the forces that are transforming India. They are:

- **Industry and Service Sectors:** India has entered the global stage and the industry and service sectors are competing at the global level. The transforming sectors demand a paradigm in the administration in which the role of the government is that of an 'enables' rather than a 'provides of first and last resort'. It has to take on a regulatory role, passing legislations and policy formulation instead of becoming a player itself.
- **Agriculture:** There has been a tremendous development in the agriculture sector with respect to methods, technology and tools. There is need to boost this growth so that the farmers can make profits moving away from only food security.
- **India as an Active Global Player:** The world is growing as a 'global village' which is now closer than ever before with the help of modern technology and modes of transportation and communication. India is a stakeholder in the global market and is also influenced by global changes too. Therefore, India needs to be an active player in all the global debates and deliberations even in unchartered areas.
- **The Middle Class:** India's middle class is swelling up and so is its purchasing power. The neo-middle class is a major driver of growth with a high potential backed by education, mobility and readiness for change. NITI *Aayog*'s endeavour would be to enhance this potential of the neo-middle class.
- **Human Capital:** India's human capital is rich in entrepreneurship, science and intellect needs to be capitalized by pushing more policy initiatives.
- **NRI Community:** The non-resident community lives in more than 200 countries all around the world. Policies must cover this strength across the globe so that they are incentivized to provide support that would be not only financial but also technological and management expertise.
- **Urbanization:** Increased urbanization has become a reality and they need to be considered as a potential to be used for development and economic benefits.
- **Transparency:** We live in a highly digitalized society in which transparency, an integral indicator of good governance, can be achieved via social media like Facebook, Twitter, Apps, etc.

Thus, the above-mentioned factors are responsible for transforming India which present the rationale behind establishing NITI *Aayog* to meet the needs.

Challenges Faced by India

India faces numerous challenges at present which need to be met by efficient and clear policies. Policy formulation's importance cannot be undermined here because the challenges can be addressed through government initiatives. Given below are the challenges that India is facing:

- **Demographic Dividend:** India's population is at this time is the youngest in the age group below 35. This demographic dividend will work advantageously for India for another two decades but they are mostly unskilled and unemployed. Policies must be shaped in a way that this demographic dividend is realized to its full potential by improving education methodology courses and training to be industry employable. Science, technology and knowledge economy is the way forward.

- **Poverty:** The numbers of families below poverty line is still very high and they live in object miserable conditions. They must be given their right to a life complete with dignity and self-respect.
- **Inclusive Development:** India's economic growth is increasing at a rising rate but so is the regional disparity. Economic development is not providing each individual the right to enjoy its fruits. Inequalities, based on gender, class, faith are creating a gap in the society. Inclusion needs to be predicted on a belief in the ability of each member of the society to contribute.
- **Villages:** In India according to the 2011 census of India 68.84 per cent Indians (around 833.1 million people) live in 640,867 different villages.^[2] Most of them are backward with respect to the opportunities for employment and urban facilities like power, clean water, etc. They must be integrated institutionally into the development process so that we draw on their vitality and energy.
- **Environmentally Sound Development:** Responsible developed implies environmentally sound development. Our development agenda has to ensure that development does not sully the quality of life of the present and future generations. Rapid industrialization affects the environment in all the wrong ways and a balance is needed urgently.

Considering the above-mentioned challenges, NITI Aayog is committed to deal with them to integrate the Indian economy into the world politically and economically by public policy-making as well as good governance.

Effective Governance in India

NITI Aayog has laid down the following powers for effective governance in India:

1. Pro-people agenda that fulfils the individual as well as the society's hope of achieving a better life.
2. Pro-active in expecting and predicting the needs of the people and catering to them.
3. Citizen-engagement and citizen-participation.
4. Women empowerment.
5. Inclusive development with special attention to the economically weak, the SC, ST and OBC communities, the rural sector and farmers and minorities.
6. Equal opportunities to the youth.
7. Transparency through digitalization and technology.

Composition of NITI Aayog

The NITI Aayog comprises the Prime Minister as the Chairperson has a Vice Chairperson. The Governing Council comprises the Chief Ministers of all the States and Lt. Governors of Union Territories. Regional councils will be formed to deal with specific issues and emergencies that may impact more than one state or a region, formed for a fixed period. The conveyor would be the Prime Minister and the members will be the Chief Ministers and the Lt. Governors of that region. The chairperson of the NITI Aayog or his/her nominee would chair the meetings.

Additionally, the NITI Aayog would hire experts, specialists and practitioners with relevant knowledge as special invitees nominated by the Prime Minister. The full-time organizational structure of the NITI Aayog include:

- Vice Chairman, appointed by the Prime Minister.
- Full-time members.
- Part-time members which can be maximum to two from leading university research organizations on a rotational basis in an ex-officio capacity.

- Ex-officio members to a maximum of four members of the Union Council of Ministers to be nominated by the Prime Minister.
- Chief Executive Officer to be appointed by the Prime Minister for a fixed tenure of the rank of Secretary to the Government of India.
- Secretariat as deemed necessary.

Functions of the NITI Aayog

According to the NITI Aayog's website, in the public domain, the functions of the NITI Aayog are:

- **Shared Vision:** The NITI Aayog would develop a shared vision of national development priorities sectors and strategies. States would participate to achieve national objectives pro-actively.
- 2. **Cooperative Federalism:** Various subgroups of Chief Ministers have been formed separately for centrally sponsored schemes, skill development and *Swatch Bharat* Mission. It conducts regular governing council meetings and has established task forces on agricultural development, agriculture insurance and elimination of poverty in India. The NITI Aayog works with the principle of cooperative federalism through structured support initiatives through above-mentioned mechanisms with the support of states.
- **Mechanisms:** The NITI Aayog builds mechanisms to make credible plans at the village level. These would collectively progress to the higher levels of government.
- **National Security:** The economic strategy and policy must ensure that national security is given its due importance.
- **Marginalized Sectors:** It would ensure that the marginalized sectors are not neglected and receive the benefits of economic progress.
- **Long-term Policy Frameworks:** Strategic and long-term policy and programme frameworks must be designed and monitored for their efficacy. The shortcomings in the programmers would be used to make innovative improvements.
- **Knowledge-Base:** A knowledge base would be developed by innovation and entrepreneurial support system. There would be no restriction of national or international boundaries to acquire knowledge or innovation.
- **Think Tanks:** It would provide and promote support to think tanks, educational and policy research institutions.
- **Platform:** A development agenda requires cooperation via a platform between different sectors and departments. This platform would be provided by the NITI Aayog.
- **Technology Upgradation:** Special focus would be given to the technological upgradation and capacity building.

The above-mentioned functions of the NITI Aayog broadly outline the direction the institute would undertake.

Q2 Write a short note on the National Institute of Labour Economics Research and Development.

Ans. The National Institute of Labour Economics Research and Development (NILERD) is an autonomous institute under NITI Aayog in the Government of India. It was constituted by the Government of India in 1962. It is a central autonomous organization under the NITI Aayog, Ministry of Planning.

Its core activity is research and makes efforts:

- To develop methodologies for assessment of stock, forecasting demand for and supply of skills.
- Analytical and theoretical studies on area specific.
- Vocation-group specific.
- Sector-specific issues relating to human resource development and use.

It publishes research regularly related to seminars, workshops and conferences. Some of its current themes are:

- Employment and unemployment
- Human Resource Development (HRD)
- Science, technology and industry
- Social sector

MONITORING AND EVALUATION (M&E)

The NILERD carries out M and E activities research to formulate theoretical framework, political procedures, ethical issues and professional competency requirements. Major development programmes need M and E as a consequence of a surge in public expenditure. It is a matter of concern to public agencies that the allocated resources are well-spent and is linked with performance and outcomes.

Education and Training

The educational programmers of the institute are unique in their approach in assisting senior and middle level personnel of governments, parastatals, industry and academic institutions in planning for human capital. The programmes aim at providing conceptual and empirical grounding in planning and development of human capital and human resource development. Its educational programmes provide a holistic perspective to problem solving and skills development and also add value to persons and organizations.

^[3] The institute has its distinguished alumni in more than 70 countries.

The Composition

The institute comprises the President, Chairperson and the Director General. Given below is the composition of the General Council (as on 31-03-2015):

- President
- Vice-President
- Chairman (Executive Council)
- Director General
- Treasurer of the institute

One representative each of:

- NITI Aayog
- Ministry of Finance
- Ministry of Human Resource Development

- Ministry of External Affairs
- Ministry of Industry
- Ministry of Labour

There are representatives of various organizations and institutes, state governments and labour unions.

Q3 Discuss the role of NITI Aayog in achieving Sustainable Development Goals (SDGs).

Ans. NITI Aayog has aligned its policies with the SDGs since 2015. SDGs succeeded after the MDGs as the new universal goals, adopted by 193 countries of the UN by taking a pledge. The SDG Agenda-2030 comprises 17 goals to be achieved by 2030 and some even by 2020.^[4] National programmes aligned with SDGs in India are many, given in Table 51.1.

Table 51.1: List of government's programmes that would directly contribute to advancement of the SDG agenda.

Mahatma Gandhi National Rural Employment Guarantee Programme	Swachh Bharat Mission
National Rural and Urban Livelihood Mission	National Rural Drinking Water Programme
Pradhan Mantri Jan Dhan Yojana	Pradhan Mantri Aawas Yojana Rural and Urban
Soil Health Cards	Pradhan Mantri Gram Sadak Yojana
National Food Security Mission	Pradhan Mantri Krishi Sanchar Yojana
National Health Mission	Pradhan Mantri Ujjwali Yojana
National Education Mission	National Mission for a Green India
Beti Bachao Beti Padhao	

NITI Aayog has mapped out SDGs and related targets and outcome indicators on central ministries, centrally sponsored/central sector schemes and other government initiatives which has been followed by most of the states. Nodal ministries have been identified and several SDG cells have been established for SDG implementation. The NITI Aayog has also set up a task force along with central ministries and states review the SDG implementation in India for regular review.

NITI Aayog continuously holds seminars and workshop to sensitive and increase awareness among the governmental agencies who are instrumental in implementing the programmes in alignment with the SDGs. E-learning modules and mobile applications are being promoted along with formulating best practices in achieving SDGs. A national network of resource institutions, called *Samavesh* has been developed.

Monitoring SDG Implementation: NITI Aayog is creating the SDG index to rank states and union territories on the basis of key performance indicators of SDGs. It has identified 63 indicators that will be monitored regularly.^[5] The UN also supports India not only in its SDG implementation but also in formulating monitoring and evaluation frameworks.

ROLE OF NITI AAYOG IN SDG IMPLEMENTATION

A civil society, *Wada Na Todo Abhiyan*, published a report on SDGs: Agenda 2030 in 2017 to evaluate what the Government of India through NITI Aayog is doing for SDGs implementation. Given below are the evaluations made with respect of NITI Aayog's contribution in SDG implementation:

- **SDG1: End Poverty in all Forms:** The Voluntary National Review of SDGs in India has lauded the efforts of NITI Aayog regarding SDG. NITI Aayog supports Mahatma Gandhi National Rural Employment Guarantee Scheme which is the single most important measure that has benefitted women and the vulnerable sections. However, the scheme had a deficit of ₹7,000 crores till 2017. A lot needs to be done to fix the loopholes in the scheme.

The schemes like 'Mid-Day Meal' were started under the 'Right to Food and the Public Distribution System' was ramped up but vast implementation shortages have been observed. However, the pension benefits under the Indira Gandhi Old Age Pension Scheme and Widow Pension reaching the intended beneficiaries.

Direct benefit transfer based on the 'Aadhar' identification has helped the government to deliver the Below Poverty Line (BPL) families with benefits via various schemes. The government has been making a lot of structural economic reforms to grow the economy but the poverty numbers have not improved much. Sound policy frameworks and budget allocations need to be strengthened. The budget allocation of funds to women empowerment programmes and the vulnerable sections had declared in 2016 budget.

2. **SDG2: End Hunger, Achieve food Security and Improved Nutrition and Promote Sustainable Agriculture:** The data regarding malnutrition like infant deaths and actual instances of under-weight children, etc., is not accurately reported by front line workers. A third-party survey must be done to get the right numbers to help in real time monitoring of programmes. The Integrated Child Development Services Scheme (ICDS) is facing problems in for deficit in funds, vacant posts, availability of space for *Anganwadi* Centres (AWCs) and etc. The budget allocation for children is half of what is needed.

With respect to food security under the National Food Security Act, 2013, the NITI Aayog reported, 'The PDS has operated far from the ideal. There are leakages at various points: in storage, along the distribution chain as grain makes its way down to the Public Distribution System (PDS) shop and through ghost and multiple ration cards. There are also times when part of the grain sits in storage for two or more years and becomes unfit for human consumption. Agriculture contributes 17 per cent to the GDP. As per the NITI Aayog, 'The skewed distribution of labour force in agriculture is the paucity of alternative livelihood opportunities either at village level or in the nearby townships and cities. Excess manpower coupled with traditional agricultural practices has resulted in low far yield and income'. The NITI Aayog suggested improving the performance of agriculture and creating jobs in industry and services in both rural and urban areas.^[6]

The NITI Aayog's plan to double the farmers income by 2022 has been put into motion by tenancy reforms, crop diversification, micro-irrigation and digitization of agricultural marketing. The picture is improving thus promoting the SDG.

- **SDGs: Ensure Healthy lives and Promote Well-being for all at all Ages:** The Government of India which adopted the SDGs has aligned its policies with SDGs which is being headed by NITI Aayog. The Ministry of Statistics Planning and Implementation (MOSPI) has formulated national indicators for the SDGs accordance with global indicators. The SDG3 comprises twelve targets but the monitoring indicators have been reported to be flawed by civil society.

The budgetary allocations with respect to health insurance for BPL families based on Aadhar verification has been increased. The health sector for the poor is being shaped as suggested by NITI Aayog.

With respect to essential medicines, NITI Aayog has advocated restricting price control and delinking it from the list of essential drugs, whereas the need of the hour is to extend the coverage of price control to more essential and life-saving drugs. The NITI Aayog also recommended disinvestment of government owned pharma companies, a move that will rob the government of a vital tool to promote affordable access to medicines.^[7]

- **SDG5: Gender Equality Achieve Gender Equality and Empower all Women and Girls:** While much more progress remains to be made, a number of indicators pertaining to the status of women in India have moved in the right direction over the years.

The scheme of *Beti Bachao, Beti Padhao* has changed the mindset and the 'Bicycle Initiative' for the girl child in Bihar was a success. It provided a bicycle to dropout girls to motivate them to go back to school. Gender equality campaigns have helped girls to survive and get education but their safety remains a concern.

Self-Help Groups (SHGs) are being encouraged by NITI Aayog. Since 2017 when they held a conference with them, women SHGs are contributing in increasing women's participation in employment. India's female labour force participation rate was only 23.7 per cent in 2015–16. Several initiatives to help women have improved the situation like the *Mahila E-haat*, Stand up India, *Mahila Shakti Kendra* and Women Transforming India.^[8]

Women's safety issues are being curbed by initiatives by state governments like *Bharosa*, *Himmat*, etc.

- **SDG 9: Industry, Innovation and Infrastructure:** The NITI Aayog has helped in making policies, strategies and plans to build resilient infrastructure promote inclusive and sustainable industrialization and faster innovation. India has become one of the fastest countries in building roads. Electricity, power and renewable energy is another sector which has increased over the past two years. The manufacturing sector has improved with the help of economic reforms, start-up programs, Make in India, etc.
- **SDG14: Life Below Water:** NITI Aayog has made an action plan in its 'Three-Year Action Plan' to achieve SDG14 by the vision of a 'Blue Revolution'. Mangrove, coral reefs fisheries, coastal ecosystems and a holistic development of islands and coastal areas. A flagship programme designed by NITI Aayog, *Sagarmala* has been launched by the Prime Minister, Narendra Modi since 2016 to promote port connectivity, development and industrialization in a phased manner during 2015 to 2025.
- **SDG 17: Global Partnership for Sustainable Development:** India has managed to reaffirm the principle of common but differentiated responsibilities by launching various programmes and improving taxation capacity and compliance. However, India needs a lot of financial assistance to gather sufficient revenues to achieve SDG. India has urged the developed countries to provide finance assistance to the developing countries. NITI Aayog has planned for sustainable development but there is a shortage of funds to achieve SDGs.

To sum up, NITI Aayog is committed to achieve the SDGs but the issue of financial assistance is a matter of serious concern.

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Social	Environmental
SDG 1 –No Poverty	SDG 12–Sustainable Consumption and Production
SDG 2–Zero Hunger	SDG 13–Climate Action
SDG 3–Good Health and Well-Being	SDG 14–Life Below Water
SDG 4–Quality Education	SDG 15–Life on Land
SDG 5–Gender Equality	Fostering Peace and Partnership
SDG 6–Clean Water And Sanitation	SDG 16–Peace, Justice and Strong Institution
	SDG–17 Partnerships for the Goals
Economic	
SDG 7–Affordable and Clean Energy	
SDG 8–Decent Work And Economic Growth	
SDG 9–Industry, Innovation and Infrastructure	
SDG 10–Reduced Inequalities	
SDG 11–Sustainable Cities and Communities	

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52

Goods and Services Tax

Learning Objectives

In this chapter, you will learn about:

- Evolution of Goods and Services Tax (GST)
- Composition and Functions of GST Council
- Key Features of GST

Goods and Services Tax (GST) is a tax on domestic consumption. It is a historic tax reform, which is transforming the indirect taxation landscape in India which came into effect from July 1, 2017. It impacts the central as well as state levies as it is administered by the centre as well as the states. It was introduced by the President, Pranab Mukherji and the Prime Minister, Narendra Modi in the central hall of the Parliament. The President accepted in his speech that there might be teething troubles in the initial stages. The Prime Minister predicted that with continuous review and changes required in the first couple of years, it will be a symbol of cooperative federalism and economic integration. It would curb corruption and make administration a simpler a more transparent system GST is considered the biggest tax reform in India since independence.

The World Bank report stated that the Indian GST system is among the most complex in the world with not only one of the highest tax rates but also one of the largest numbers of tax slabs.

Q1 **Discuss the evolution of the GST system in India.**

Ans. GST is one indirect tax for the whole nation, which will make India one unified common market. It aims for the realization of the goal of One Nation–One Tax–One Market, benefitting all the stakeholders namely:

- Industry
- Government
- Consumer

The exports will be zero-rated in entirety unlike the past system where refund of some of the taxes logs not take place due to fragmented nature of indirect taxes between the centre and the states. GST is largely technology driven and will reduce the human interface to a great extent.

EVOLUTION OF GST IN THE INTERNATIONAL SCENE

GST has been introduced in 160 countries in the world^[1] and many other countries like Afghanistan, Bahamas, Bhutan are on the way to do so. USA does not have the GST yet, probably, due to its implication of giving more autonomy to its states. GST implementation in other countries had some negative consequences which India must be cautious about. There was a hike in prices in Singapore when it implemented GST in 1994. Anti-profiteering mechanisms at the retail level need to be put in place.

Another problem that came in Malaysia was GST preparedness. India had to face a lot of protest against GST procedures by business enterprises pose GST implementation.

GST in India^[2]: The notion of GST in India had been introduced by the former PM, Shri Atal Bihari Vajpayee in 2001. Given below is a timeline regarding the initiatives taken in India for the GST.

2006: The then Union Finance Minister proposed in his budget for 2006–07 that GST would be introduced from April 1, 2010. Work was started on formulation by the Empowered Committee of State Finance Ministers (EC) along with Joint Working Group of officials comprising of the states as well as the centre.

2009: The EC released its First Discussion Paper (FDP) outlining the features of the proposed GST.

2011: The 115th constitutional amendment bill was introduced in the Lok Sabha but it lapsed in 2013 because of a lack of political consensus.

2014: The 122nd Constitutional Bill, 2014 was again introduced in the Lok Sabha which was finally passed in 2015.

2015: The select committee tabled its report.

2016: The bill was passed by the Rajya Sabha on 3rd August, 2016 and on 8th August, 2016 by the Lok Sabha.

2017: Both the Houses passed the following bills after the approval of the GST Council:

- The Central Goods and Services Tax Bill, 2017.
- The Integrated Goods and Services Tax Bill, 2017.
- The Union Territory Goods and Services Tax Bill (The UTGST Bill).
- The Goods and Services Tax (Compensation Bill).

The state legislatures of the states in India passed their respective state GST bills. Finally, the GST was launched with effect from July 1, 2017.

Q2 Discuss how the GST regime will give a fillip to Make in India.

Ans. The GST has been given a historical status and a paradigm shift by predicting benefits for all shareholders. The uniform single indirect tax throughout the country, seamless flow of input tax credit, removal of tax related barriers at interstate borders, reduced logistic costs, end-to-end IT enabled system and minimal interface with tax authorities will provide benefits to the trade as well as the industry.

The benefits that is giving a fill-up to Make in India are given below:

- 1. For Business and Industry:** The business and industry would benefit in the GST regime in the following ways:
 - (i) Easy Compliance:** A robust and comprehensive IT system is the foundation of the GST regime in India. All taxpayer services such as registration, returns, payments, etc., are available to the taxpayers online, which would make compliance easy and transparent.
 - (ii) Uniformity:** The rates and structures of indirect tax will increase the certainty and ease of doing business. The location of business would not be a criterion to set up an enterprise.

- (iii) **Cascading Effect:** Hidden costs of doing business through a seamless tax credit throughout the value chain and across the boundaries of states. This would result in minimal cascading of taxes.
 - (iv) **Benefit to Manufacturers and Exporters:** The locally manufacturing cost of goods and services would be lowered by the subsuming of major central and state taxes in GST and absolute set-off of input goods and services. Central sales tax would also be phased out.
2. **Central and State Governments:** The GST is instrumental in simplifying and benefitting the central and state governments in the following ways:
- (i) **Simple to Administer:** Since GST has subsumed all indirect taxes at the central and state level along with a supportive IT system that is operational end-to-end, GST is simpler to and easier to administer than the earlier indirect taxes.
 - (ii) **Better Controls on Leakage:** It has been observed through data compiled so far that GST has resulted in better tax compliance as the whole system is backed by IT. Hence, transparency is accompanied by control on leakage. Due to the seamless transfer of input tax credit from one stage to another in the chain of value addition, there is an inbuilt mechanism in the design of GST that would incentivize tax compliance by traders.
 - (iii) **Increase in Revenue Efficiency:** The cost of collection of tax revenues of the government will have a significant decrease because the whole system has become online.
3. **For the Consumer:** Besides the benefits to the business, industry and the governments, the consumers are also going to benefit from the GST in two ways given below:
- (i) **Single Tax:** GST is a single and transparent tax proportionate to the value of goods and services. The cost of goods is getting rid of hidden costs.
 - (ii) **Tax burden Reduction:** India is in a process of reduction in the tax burden due to reduction in taxes on most of the commodities. The tax reform of GST is definitely going to bring in a positive and gainful environment for all stakeholders.

Q3 What is the composition of the GST council? Discuss its main functions.

Ans. According to the Article 279 A of the amended constitution, the GST council is a joint forum of the centre and the states. The guiding principle of the GST council is ascertain coordinate and synchronize different aspects of the GST between the centre and the state and among states to promote and build a harmonized market for goods and services with in India.

The composition of the GST council is given below:

Chairperson: Union Finance Minister.

Member: The Union Minister of State, in-charge of Revenue, Minister of Finance.

Members: The State Finance/Taxation Ministers of 29 states and two union territories with legislature (Delhi and Puducherry).

Function of the GST Council

The GST is council is empowered to make recommendations to the union and the states on the issues given below:

1. The taxes, ceases and surcharges levied by the centre, the states and the local bodies which may be subsumed under GST.
2. The goods and services that may be subjected to or exempted from the GST.

3. The levy date of GST on:
 - Petroleum crude
 - High speed diesel
 - Motor spirit (petrol)
 - Natural gas
 - Aviation turbine fuel
4. Model GST laws:
 - Principles of levy
 - Appointment of IGST
 - Principles governing the place of supply
5. The threshold limit of turnover below which the goods and services may be exempted from GST.
6. The rates including floor rates with bands of GST.
7. Any special rate/rates for a specified period to raise additional resources during a natural calamity or disaster.
8. Special provision with respect to the North-East States, Jammu and Kashmir, Himachal Pradesh and Uttarakhand.
9. Any other matter relating to the GST, as the council may decide.

The GST council is supposed to take decisions at a meeting by a 3/4th majority of the weighted votes of the members present and voting. There is further bifurcation of voting proportions prescribed in the law but till now all decisions have been taken by consensus and no occasion has arisen for voting.

The GST Council has held several meetings to smoothen the phase of transition. The textile and *zari* industry in Surat, Gujarat was majorly hit by GST. Many enterprises of power loom had to close down. After much protest the GST council reduced the 12 per cent tax to 5 per cent GST on genuine gold and silver *zari*. The GST council is proactive in listening to the problems of the traders, businesses and the industry and has been revising rates from time to time.

Q4 Discuss the key features of the GST and how do they help in ease of doing business.

Ans. The GST covers almost 80 per cent of the goods and services produced in India. At present, alcohol for human consumption and petroleum products are not in its coverage but the GST is likely to take up inclusion of natural gas and aviation turbine fuel under the ambit of GST among some other goods and service in its next meeting. GST is a key factor in improving the ease of doing business. India has increased 30 spots to 100 in World Bank's ease of doing business rankings.

Key Features of GST

The key features of GST are important to understand how it is helping in easing doing the business. They are:

1. **Levy of GST:** The general rule of levy of GST is that the centre GST (CGST) will be levied by the centre while the states will levy the SGST on the goods and services. A few points that come under the levy of taxes are:
 - (i) GST is applicable on 'supply' of goods and services as against the present concept of tax on the manufacture of goods or on sale of goods or on provision of services.
 - (ii) IGST (Interstate GST) will be levied on the interstate supply of goods and services; imports and exports and supplies to and from special economic zones.

- (iii) GST is a destination based consumption taxation instead of the earlier principle of origin-based taxation.
2. **Tax Rates:** The tax rates, i.e., CGST, SGST and IGST, will be decided by the GST council. The following rules are covered in the tax rates:
- (i) The tax rate at all levels of GST will not exceed 20 per cent which must be mutually agreed upon by all states and the centre.
 - (ii) There are four slabs:

5 %	12 %	18 %	28 %
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 - (iii) The tax rate of IGST will not exceed 40 per cent.
 - (iv) The CGST allows taxpayers with turnover less than ₹ 50 lakh to pay CGST at a flat rate on turnover (composition levy), instead of the value of supply of goods and services.
 - (v) Exports and supplies to SEZ are zero-rated.
3. **Liability Date:** The liability date to pay GST depends on:
- Issue of invoice
 - Receipt of payment
- whichever is earlier.
4. **Value of Supply:** The value of supply, that is, the taxable amount will include.
- Price paid on the supply.
 - Taxes and duties levied under other tax laws.
 - Interest, late fee, penalties for delayed payments, etc.
5. **Supply of Goods and Services:** The GST rules provide separate rules for goods and services to fix the state of their supply. The following rules shall apply:
- In case a good has been physically moved, the origin of supply will be the final destination of the good otherwise where the good is received.
 - Special provisions have been made in the GST rules that services like catering, sporting events, etc.
 - Taxes that are being paid on outputs may take credit for taxes that have been paid prior to that by the supplier on inputs except for:
 - Motor vehicles when used for personal consumption.
 - Supply of food, health services, etc., unless they are used to make a supply.
6. **Taxpayers' Registration:** The taxpayers with a turnover more than ₹ 20 lakhs have to register in the state they are conducting their business. The limit is ₹ 10 lakhs in special category states of Himalayan and North-Eastern States. Multiple registrations would be allowed if a business has different verticals in a state.
7. **Refunds and Returns:** The refund of tax has to be sought by the taxpayer or by any other person who has borne the incidence of tax within two years from the relevant date. The taxpayer is supposed to self-assess and file returns on a monthly basis by:
- Submitting details of supplies provided.
 - Details of supplies received.
 - Payment of tax.

An annual return also must be filed by each taxpayer in addition to monthly returns.

8. **Refunds:** Any taxpayer can file for refunds in case of:
 - Payment of excess taxes.
 - Utilized input tax credit.
9. **Audit:** Audit of registered persons to be conducted in order to verify compliance with the provision of the act.
10. **Anti-profiteering:** The businesses must pass on the benefit of reduced tax incidence on goods and services to the consumers to ensure anti-profiteering.

The above-mentioned major features of the GST Act have multiple benefits which have created a positive environment to increase the ease of doing business.

India has jumped 30 places, as mentioned earlier, at 100th rank on the 'Ease of Doing Business' index. A few points of impact of GST instrumental in increasing the ease of doing business are:

1. **Redressal of Issues:** The earlier indirect taxation system had many issues that prevented doing the business easily various issues were registration of VAT, excise, customs and service tax, movement of goods, dealing with tax authorities, timely tax refunds, etc.
Effective implementation of GST will result in redressal of all these issues by way of the earlier mentioned features of GST. The redressal of issues is being done by:
 - Simplifying tax compliance.
 - Reducing the restrictions in interstate movement of goods.
 - Mitigating the tax burden.
 - Facilitating timely realization of tax refunds, etc.

India has a very poor ranking of being 172th out of 190 economies in paying taxes in the World Bank's 'Doing Business Report'. It is hoped that this ranking will improve with the GST implementation.

2. **Easier Compliance:** GST implementation has merged all indirect taxes into one single tax through the GST network (the IT platform) which is a shared IT infrastructure between the centre and the states. All the processes and procedures have become simple and online. It is only a transitional discomfort of people getting accustomed to the computerized ways that created a sentiment of resentment against the GST within a few months after its implementation, the business enterprises have acclimatized to the new systems and compliance has become very easy.
3. **Easier Interstate Movement of Goods:** The earlier problem of vehicles carrying goods having to stop at every state barrier, consequently causing delay in the supply of goods increasing the cost of production, has been solved by the GST. Check posts have been abolished across all state borders and has brought down the costs in terms of time and money. Businesses find it easier to deliver goods in time after the GST implementation.
4. **Single Interface for All:** The GST Act has introduced GSTN which is the only interface of tax payers with tax authorities. Invoices can be collated and matched in a much easier way. Input tax credit has simplified the process by putting the responsibility on the buyers to ascertain the filing of the returns by the suppliers and to pay taxes on time, to avail credit.
5. **Reduction in Tax Burden:** The GST Act provides for availing credit on taxes on raw materials and inputs levied in the previous stages of the value chain, reducing the cascading effect. The tax burden has been reduced because a manufacturer has to pay tax only on the 'value added' in a given stage of the process instead of on the total cost of products.
6. **Creation of Common Market:** Since location with respect to taxes does not matter, raw materials will be bought from local markets. Prices are becoming stable and do not vary from state-to-state uniformity has helped in creating a common market making business simpler across states.

7. **Export Competitiveness:** GST has resulted in cutting off the portion of tax (owing to double taxation) to be added to the cost of goods. The Indian goods have become more competitive in the global market.
8. **Reduction in Bias:** Distortions arise because business tend to disburse funds in a state and sector which have favourable tax compliances and rates without taking the positive advantages of indirect taxes.
9. **MSMEs:** With the uniform GST regime, and its beneficial features, the MSMEs are benefitting from the provision of input credit on taxes to make them more competitive.

The PMO's office and the Department of Industrial Policy and Promotion are considering several new reforms. The Department of Financial Services is also considering of relinquishing the requirement of providing a company seal to open a bank account. The proposal of cash refunds on import of capital equipment to be given within a year instead of the current system of claiming input tax credit to improve ease of paying taxes is underway.

Notes and References

1. To learn more, in which countries, the GST has been implemented, log on to: www.treasury.gov.my/pdf/gst/list_of_countries.pdf.
2. <https://www.gstindia.com/about/> as retrieved on 19-07-2018.
3. Hashem, Danish A and Kumari Varsha. (2017). *GST means Ease of Doing Business* in Yojana, India.